SET 1 · Money, Banking, and Financial Institutions

Banks, credit unions, and what they do

MAIN skill: Explain what banks and credit unions do with deposits and loans

Outcome FL.BANK.01 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Financial institutions: role of banks and credit unions; insured deposit accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Deposits, withdrawals, and loans (5 questions)

Why: The MAIN questions describe what institutions do with deposits and loans; students who mix up these three words cannot follow them.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Online banks, apps, and partner banks (5 questions)

Go Deeper 2: Comparing financial institutions (5 questions)

Practical skills beyond the standards: Fintech apps and partner banks

Content status: time-sensitive

Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category. (This page supports the insurance limit only, not membership or other claims about how banks operate.) https://www.fdic.gov/resources/deposit-insurance

Source: NCUA — Credit union share insurance covers up to $250,000 per member, per insured credit union, for each ownership category. https://ncua.gov/consumers/share-insurance-coverage

Answer key for this set: M-Q1 A, M-Q2 A, M-Q3 D, M-Q4 A, M-Q5 D, B1-Q1 D, B1-Q2 A, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 D, F2-Q3 C, F2-Q4 A, F2-Q5 A

MAIN — Explain what banks and credit unions do with deposits and loans · Question 1 of 5

Learn: A bank is a business that accepts deposits (money people put in accounts) and makes loans (money it lends and expects to be paid back with interest). Banks keep only part of their deposits as cash and lend much of the rest. The interest borrowers pay helps the bank pay its costs, earn a profit, and pay interest to savers.

Maya deposits $500 of her summer earnings at a bank. What does the bank usually do with much of the money while it sits in her account?

A. Lends part of it to other customers, such as car buyers or businesses
B. Keeps her exact bills in a locked box with her name on it
C. Sends it to the government until she withdraws it
D. Invests all of it in the stock market on Maya's behalf, and she keeps any gains

CORRECT ANSWER

A. Lends part of it to other customers, such as car buyers or businesses

Feedback (shown after answering)

Banks pool deposits and lend much of the money to borrowers. Maya can still withdraw her $500; the bank keeps enough cash and reserves on hand to meet withdrawals.

Why each other choice is wrong (misconception it represents)

B: Thinks a bank stores each customer's own cash separately
C: Confuses a bank deposit with a tax payment
D: Confuses a bank deposit with an investment account

Type: instruction

MAIN — Explain what banks and credit unions do with deposits and loans · Question 2 of 5

Learn: A credit union offers many of the same services as a bank: checking and savings accounts, debit cards, and loans. The difference is ownership. A credit union is a not-for-profit cooperative owned by its members, who are its account holders. To join, you must meet its membership rules, such as living in an area, working for an employer, or belonging to a group.

Which statement best describes a credit union?

A. A not-for-profit financial cooperative owned by its members
B. A government office that issues credit cards
C. A company that only sells stocks and bonds
D. A bank owned by outside investors who buy its stock and are not its customers

CORRECT ANSWER

A. A not-for-profit financial cooperative owned by its members

Feedback (shown after answering)

Credit unions are member-owned, not-for-profit cooperatives. Profits are returned to members through lower fees, lower loan rates, or higher savings rates.

Why each other choice is wrong (misconception it represents)

B: Thinks "credit" in the name means the government provides credit
C: Confuses a credit union with a brokerage firm
D: Describes a stock-owned bank, not a credit union

Type: instruction

MAIN — Explain what banks and credit unions do with deposits and loans · Question 3 of 5

Learn: Every credit union has a "field of membership": the group of people it is allowed to serve. It might be employees of certain companies, people who live or work in a county, or members of an organization. Family members of members can often join too. Check the rules before applying.

Riverside Teachers Credit Union serves employees of local schools and their family members. Jordan is not a school employee and has no family member who works at a school. What should Jordan conclude?

A. Credit unions do not offer checking accounts
B. Jordan must buy stock in the credit union on a stock exchange
C. Credit unions only accept customers who already have a credit card
D. Jordan does not meet this credit union's membership rules

CORRECT ANSWER

D. Jordan does not meet this credit union's membership rules

Feedback (shown after answering)

Jordan is outside this field of membership, so Jordan should look for a credit union whose field includes Jordan.

Why each other choice is wrong (misconception it represents)

A: Thinks credit unions offer only loans
B: Confuses member ownership with buying publicly traded shares
C: Thinks a credit card is required to open an account

Type: instruction · practical how-to

MAIN — Explain what banks and credit unions do with deposits and loans · Question 4 of 5

Learn: Banks come in different types. National and regional banks are large and have many branches. Community banks are smaller and local. Online banks have no branches; customers use an app, a website, ATMs, and mobile deposit. Deposits at federally insured banks are protected by the FDIC, and deposits at federally insured credit unions by the NCUA, up to legal limits.

A city has a large national bank, a local community bank, a credit union, and an online-only bank. Which feature is TRUE of all four kinds of institutions?

A. They can offer federally insured deposit accounts
B. They are all owned by the customers who keep accounts there
C. They all have branches where you can deposit cash in person
D. They all guarantee a profit on money you invest with them

CORRECT ANSWER

A. They can offer federally insured deposit accounts

Feedback (shown after answering)

Federally insured banks (FDIC) and credit unions (NCUA) can all offer insured deposit accounts. Ownership, branches, and fees differ from one institution to another.

Why each other choice is wrong (misconception it represents)

B: Credit union ownership applied to every institution
C: Assumes online-only banks have branches
D: Confuses insured deposits with guaranteed investment returns

Type: instruction

MAIN — Explain what banks and credit unions do with deposits and loans · Question 5 of 5

Priya keeps $1,200 in cash in a shoebox. Which risk would a federally insured bank account reduce?

A. The money buying less in the future because prices rise
B. Having to pay sales tax when she spends the money
C. Spending the money on things she does not need
D. Losing the money to a fire or theft at home

CORRECT ANSWER

D. Losing the money to a fire or theft at home

Feedback (shown after answering)

Insured deposits are protected from loss at home and from bank failure up to legal limits. An account does not stop prices from rising and does not decide how she spends.

Why each other choice is wrong (misconception it represents)

A: Thinks a bank account removes the effect of inflation
B: Confuses where money is kept with taxes on purchases
C: Thinks an account controls spending habits by itself

Type: knowledge check

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 1 of 5

Learn: A deposit is money you put into an account. A withdrawal is money you take out. A loan is money a lender gives you that you must pay back, usually with interest.

Aiden puts $40 into his savings account. What is this called?

A. A withdrawal
B. A loan
C. A fee
D. A deposit

CORRECT ANSWER

D. A deposit

Feedback (shown after answering)

Putting money into an account is a deposit. Taking money out is a withdrawal.

Why each other choice is wrong (misconception it represents)

A: Reverses deposit and withdrawal
B: Thinks putting money in is borrowing
C: Confuses adding money with a charge

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 2 of 5

Learn: When you take money out of your own account, by cash at an ATM, a debit card purchase, or a check, it is a withdrawal. The money was already yours.

Sofia takes $60 in cash out of her checking account at an ATM. What is this called?

A. A withdrawal
B. A deposit
C. A loan from the ATM company
D. Interest

CORRECT ANSWER

A. A withdrawal

Feedback (shown after answering)

Taking your own money out of your account is a withdrawal; you do not owe it back.

Why each other choice is wrong (misconception it represents)

B: Reverses deposit and withdrawal
C: Thinks ATM cash is borrowed
D: Confuses money taken out with money earned

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 3 of 5

Learn: A loan is borrowed money. The borrower promises to repay the amount borrowed, called the principal, plus interest, which is the price of borrowing.

A bank gives Luis $8,000 to buy a used car, and Luis agrees to pay it back over four years with interest. What did Luis receive?

A. A loan
B. A deposit
C. A gift from the bank
D. A withdrawal from his savings

CORRECT ANSWER

A. A loan

Feedback (shown after answering)

Money that must be repaid with interest is a loan. Luis owes the $8,000 principal plus interest.

Why each other choice is wrong (misconception it represents)

B: Thinks money received from a bank is a deposit
C: Ignores the duty to repay
D: Confuses borrowed money with his own savings

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 4 of 5

Learn: Interest works in two directions. A borrower pays interest to a lender for using the lender's money. A saver earns interest from a bank, because the bank uses the saver's deposits to make loans.

Which choice describes interest from a SAVER'S point of view?

A. Money you pay the bank each month to keep your savings account open
B. The amount you first deposited
C. A tax on savings accounts
D. Money the bank pays you for keeping your money in an account

CORRECT ANSWER

D. Money the bank pays you for keeping your money in an account

Feedback (shown after answering)

Savers earn interest; borrowers pay interest. The first amount deposited is the principal.

Why each other choice is wrong (misconception it represents)

A: Confuses interest with a monthly fee
B: Confuses interest with principal
C: Confuses interest with a tax

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 5 of 5

Why can a bank afford to pay interest to savers?

A. It charges borrowers a higher interest rate than it pays savers
B. The federal government pays the interest on every insured savings account
C. It charges savers a fee equal to the interest
D. It prints new money to pay interest

CORRECT ANSWER

A. It charges borrowers a higher interest rate than it pays savers

Feedback (shown after answering)

A bank earns more interest from loans than it pays on deposits. The difference helps cover costs and profit.

Why each other choice is wrong (misconception it represents)

B: Thinks deposit insurance pays interest
C: Thinks interest is cancelled by a fee
D: Confuses a bank with the central bank

Type: knowledge check

GO DEEPER 1 — Online banks, apps, and partner banks · Question 1 of 5

Learn: Many apps that hold money are not banks. They are financial technology ("fintech") companies that partner with a bank. Money may be FDIC insured only if it is actually deposited at the partner bank in the customer's name and the records are kept properly. If the fintech company itself fails, getting access to money can take time.

A payment app advertises "bank-level" accounts. Its fine print says, "We are a financial technology company, not a bank. Banking services are provided by Harbor Bank, Member FDIC." What does this mean?

A. The app company is itself an FDIC-insured bank, so it is fully protected
B. No money in the app can ever be insured
C. Harbor Bank guarantees the app company's profits
D. Harbor Bank holds the deposits; the app company itself is not a bank

CORRECT ANSWER

D. Harbor Bank holds the deposits; the app company itself is not a bank

Feedback (shown after answering)

The fine print says the deposits are at Harbor Bank. FDIC insurance protects against Harbor Bank failing, not against the app company failing.

Why each other choice is wrong (misconception it represents)

A: Takes the advertising at face value
B: Ignores insurance through a partner bank
C: Misreads what a partner bank does

Type: instruction

GO DEEPER 1 — Online banks, apps, and partner banks · Question 2 of 5

Learn: Deposit insurance covers money in deposit accounts at insured banks. A balance kept in a payment app may not be a bank deposit at all, depending on how the app holds it. The app's terms explain where the money is held.

Which question is MOST useful to ask before keeping a large balance in a payment app?

A. Is my balance held at an FDIC-insured bank in my name?
B. How many millions of people already use and trust the app?
C. Does the app have a nice design?
D. Can I send money to friends instantly?

CORRECT ANSWER

A. Is my balance held at an FDIC-insured bank in my name?

Feedback (shown after answering)

Whether the balance is a deposit at an insured bank, in your name, decides whether deposit insurance can apply.

Why each other choice is wrong (misconception it represents)

B: Treats popularity as protection
C: Treats design as safety
D: Focuses on features rather than protection

Type: instruction · practical how-to

GO DEEPER 1 — Online banks, apps, and partner banks · Question 3 of 5

Learn: Online banks often pay higher savings rates and charge fewer fees because they have no branches to run. The trade-off is access: depositing cash can be hard or impossible, and help is by phone or chat. The best choice depends on how you use your money.

An online bank pays 4.0% on savings and charges no monthly fee, but it has no branches. A local bank pays 0.5% and has a branch near Ana's job. Ana is paid in cash tips each night. Which drawback of the online bank matters MOST for Ana?

A. The online bank's savings rate is too high
B. Online banks are not allowed to give customers debit cards
C. Online banks are never insured
D. Depositing cash may be difficult without a branch

CORRECT ANSWER

D. Depositing cash may be difficult without a branch

Feedback (shown after answering)

Ana deposits cash every night, so a way to deposit cash matters more to her than a higher rate. She might use both kinds of bank.

Why each other choice is wrong (misconception it represents)

A: Thinks a higher savings rate is a drawback
B: Assumes online banks lack debit cards
C: Assumes no online bank is insured

Type: instruction

GO DEEPER 1 — Online banks, apps, and partner banks · Question 4 of 5

A bank's website shows the FDIC logo. What does this tell a customer?

A. The bank's stock price is guaranteed
B. Every product the bank sells is insured, including investments
C. The bank charges no fees
D. Its deposits are insured up to the legal limit

CORRECT ANSWER

D. Its deposits are insured up to the legal limit

Feedback (shown after answering)

The FDIC sign means deposits are insured up to $250,000 per depositor, per insured bank, per ownership category. Investments sold at a bank are not deposits and are not FDIC insured.

Why each other choice is wrong (misconception it represents)

A: Thinks FDIC insures a bank's stock
B: Extends deposit insurance to investments
C: Confuses insurance with fees

Type: knowledge check

GO DEEPER 1 — Online banks, apps, and partner banks · Question 5 of 5

Which situation shows the main risk of keeping money with a non-bank app?

A. The app company fails and customers wait months to reach their money
B. The partner bank pays interest into each customer's account every month
C. The app sends a monthly statement
D. The customer uses the app's debit card at a store

CORRECT ANSWER

A. The app company fails and customers wait months to reach their money

Feedback (shown after answering)

When a fintech company fails, its records of who owns what must be sorted out before customers can get their money, even if a partner bank is insured.

Why each other choice is wrong (misconception it represents)

B: Describes an advantage, not a risk
C: Describes a normal feature
D: Describes normal use

Type: knowledge check

GO DEEPER 2 — Comparing financial institutions · Question 1 of 5

Learn: Fees add up. A monthly fee costs 12 times that amount in a year. Many banks waive a monthly fee if you meet a condition, such as a minimum balance or a direct deposit. If you will not meet the condition, plan to pay the fee.

Two banks are similar except: Bank A charges a $12 monthly fee unless the balance stays above $1,500; Bank B charges no monthly fee. Kai's checking balance stays around $400, below $1,500, every month of the year. How much more would Bank A cost Kai per year?

A. $0
B. $12
C. $48
D. $144

CORRECT ANSWER

D. $144

Feedback (shown after answering)

Kai's balance is below $1,500 every month, so the fee applies all 12 months: $12 × 12 = $144.

Recomputed independently by the build: 144

Why each other choice is wrong (misconception it represents)

A: Assumes Kai meets the $1,500 minimum
B: Uses one month instead of a year
C: Multiplies by 4 instead of 12

Type: instruction

GO DEEPER 2 — Comparing financial institutions · Question 2 of 5

Learn: When comparing institutions, start with how you will use the account: fees, ATM access, branch or app access, minimum balances, and the savings rate. A feature that matters to one person may not matter to another.

Which comparison is MOST important for a student who will make frequent ATM withdrawals?

A. Whether the bank sponsors a local sports team or event
B. The color of the debit card
C. The bank's auto loan rate
D. How many fee-free ATMs are near home and school

CORRECT ANSWER

D. How many fee-free ATMs are near home and school

Feedback (shown after answering)

Frequent ATM users can pay fees each time they use an out-of-network ATM, so fee-free ATM access is the key comparison.

Why each other choice is wrong (misconception it represents)

A: Uses advertising as a reason
B: Uses appearance as a reason
C: Compares a product the student will not use now

Type: instruction · practical how-to

GO DEEPER 2 — Comparing financial institutions · Question 3 of 5

Learn: To compare savings rates, find the interest each account pays. For one year, interest ≈ balance × rate (with the rate written as a decimal). Then subtract.

A credit union and a bank both offer free checking. The credit union pays 2.5% on savings; the bank pays 0.1%. On a $2,000 savings balance for one year (simple interest), how much more would the credit union pay?

A. $2
B. $4.80
C. $48
D. $50

CORRECT ANSWER

C. $48

Feedback (shown after answering)

Credit union: $2,000 × 0.025 = $50. Bank: $2,000 × 0.001 = $2. Difference: $48.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Uses only the bank's interest
B: Misplaces the decimal point
D: Uses only the credit union's interest

Type: instruction

GO DEEPER 2 — Comparing financial institutions · Question 4 of 5

Which document lists every fee an account can charge, such as overdraft, wire, and paper statement fees?

A. The account's fee schedule
B. The bank's home page advertisement
C. A monthly statement from last year
D. The debit card itself

CORRECT ANSWER

A. The account's fee schedule

Feedback (shown after answering)

Banks give a fee schedule (often part of the account agreement). Ads show the highlights; the fee schedule shows every charge.

Why each other choice is wrong (misconception it represents)

B: Thinks ads list every fee
C: Thinks a statement lists every possible fee
D: Thinks fees are printed on the card

Type: knowledge check · practical how-to

GO DEEPER 2 — Comparing financial institutions · Question 5 of 5

Leo picks a bank only because it gave him a $200 bonus for opening an account. Six months later he notices $15 monthly fees. What step did he skip?

A. Reading the fee conditions before choosing
B. Asking the bank for a larger bonus before opening
C. Opening the account online
D. Getting a credit card from the same bank first

CORRECT ANSWER

A. Reading the fee conditions before choosing

Feedback (shown after answering)

Six months of $15 fees is $90, and the fees continue every month. Bonuses often require conditions; the fee rules decide the long-run cost.

Why each other choice is wrong (misconception it represents)

B: Treats the bonus as the main decision
C: Thinks the method of opening caused the fees
D: Thinks a credit card prevents account fees

Type: knowledge check

SET 2 · Money, Banking, and Financial Institutions

Checking accounts and debit cards

MAIN skill: Use a checking account and debit card and track the available balance

Outcome FL.BANK.02 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods: compare debit cards, credit cards, and other payment methods

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Debit versus credit (5 questions)
  Why: The MAIN skill assumes students know that a debit card spends their own money and a credit card borrows; this is the most common confusion.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Every balance question subtracts amounts in dollars and cents.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Deposits are added to the balance in dollars and cents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: ATM networks and fees (5 questions)
- Go Deeper 2: Pending transactions, available balance, and posting (5 questions)

Practical skills beyond the standards: Holds, pending transactions, available balance

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Consumer liability for unauthorized electronic transfers: up to $50 if the institution is told within 2 business days after learning of a lost or stolen card; up to $500 if told later; transfers after the 60-day statement window that would have been prevented by timely notice can be unlimited (earlier protected amounts are not removed). https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Source: CFPB (Regulation CC threshold adjustments) — For most check deposits, banks must make the first $275 available by the next business day (amount effective July 1, 2025); the rest generally follows the regular hold schedule, with exceptions such as new accounts and large deposits. https://www.consumerfinance.gov/rules-policy/final-rules/availability-funds-and-collection-checks-regulation-cc-threshold-adjustments/

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 A, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 D, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 B, F2-Q2 D, F2-Q3 B, F2-Q4 A, F2-Q5 A

MAIN — Use a checking account and debit card and track the available balance · Question 1 of 5

Learn: A checking account is a bank or credit union account for everyday money: receiving pay, paying bills, buying things with a debit card, and writing checks. Checking accounts usually pay little or no interest. Money you are setting aside for later usually goes in a savings account.

Tia's paycheck is deposited into her checking account. Which use is a checking account designed for?

A. Earning high interest on long-term savings
B. Buying shares of stock
C. Borrowing money for a car
D. Paying rent, bills, and everyday purchases

CORRECT ANSWER

D. Paying rent, bills, and everyday purchases

Feedback (shown after answering)

Checking accounts are transaction accounts for everyday spending and bills. Long-term savings and investments belong in other accounts.

Why each other choice is wrong (misconception it represents)

A: Confuses checking with high-yield savings
B: Confuses checking with a brokerage account
C: Confuses an account with a loan

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 2 of 5

Learn: A debit card is linked to your checking account. When you pay with it, the money comes out of your account, usually within a day or two. A credit card is different: the card company lends you the money, and you pay it back later.

Noah buys groceries for $46.30 with his debit card. Where does the money come from?

A. Directly from Noah's checking account
B. From a loan that Noah repays next month
C. From the store's bank account
D. From Noah's savings account automatically, every time

CORRECT ANSWER

A. Directly from Noah's checking account

Feedback (shown after answering)

A debit card spends money already in the linked checking account. It is not a loan.

Why each other choice is wrong (misconception it represents)

B: Confuses a debit card with a credit card
C: Reverses who pays
D: Thinks debit cards draw from savings

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 3 of 5

Learn: Your balance is the money in your account. Each withdrawal, debit card purchase, or bill payment is subtracted; each deposit is added. Keeping a running balance helps you avoid spending money you do not have.

Ella's checking balance is $312.40. She pays a $95.25 phone bill and makes a $40.00 ATM withdrawal. What is her new balance?

A. $177.15
B. $217.15
C. $272.40
D. $447.65

CORRECT ANSWER

A. $177.15

Feedback (shown after answering)

$312.40 − $95.25 − $40.00 = $177.15.

Recomputed independently by the build: 177.15

Why each other choice is wrong (misconception it represents)

B: Subtracts only the phone bill
C: Subtracts only the ATM withdrawal
D: Adds the payments instead of subtracting

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 4 of 5

Learn: Some merchants, such as gas stations, hotels, and car rentals, place a temporary "hold" on a debit card before they know the final amount. The hold lowers your AVAILABLE balance (what you can spend now) until the final charge posts and the extra is released, often within a few days.

At a gas pump, Sam's debit card is approved, and the bank places a $100 hold, even though Sam pumps only $38 of gas. What is the effect until the hold is released?

A. Sam is charged $100 permanently
B. Sam's account balance goes up by $62
C. Nothing changes, because holds only apply to credit cards
D. Sam's available balance is $100 lower for a short time

CORRECT ANSWER

D. Sam's available balance is $100 lower for a short time

Feedback (shown after answering)

The hold temporarily reduces the available balance by $100. When the $38 charge posts, the extra $62 is released.

Why each other choice is wrong (misconception it represents)

A: Thinks a hold is the final charge
B: Thinks the difference is added
C: Thinks holds only apply to credit cards

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 5 of 5

Learn: Federal law limits what you owe when a card is used without permission. For credit cards, the most you can owe for unauthorized charges is $50. For debit cards, the limit depends on how quickly you report the loss: $50, $500, or more if you wait over 60 days after your statement. Debit card fraud also removes your own money until the bank investigates.

A thief steals Ava's wallet and uses both her debit card and her credit card. Which card generally gives her stronger legal protection against the thief's charges?

A. The debit card, because it spends her own money
B. The debit card, because banks must refund theft the same day
C. Both cards always have identical protection
D. The credit card

CORRECT ANSWER

D. The credit card

Feedback (shown after answering)

Federal law caps credit card liability for unauthorized charges at $50. Debit card liability depends on how quickly you report the loss: up to $50, up to $500, or more after 60 days. Meanwhile, a thief has spent your own money.

Why each other choice is wrong (misconception it represents)

A: Assumes spending your own money gives more protection
B: Thinks refunds are always instant
C: Ignores the different federal rules

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 1 of 5

Learn: A debit card takes money from your checking account; when there is no overdraft, it spends money you already have. A credit card is a way to borrow: the card company pays the store, and you owe the card company.

Which card spends money that is ALREADY in your bank account?

A. A debit card
B. A credit card
C. A store gift card from a friend
D. A library card

CORRECT ANSWER

A. A debit card

Feedback (shown after answering)

A debit card draws on money already in your checking account.

Why each other choice is wrong (misconception it represents)

B: Thinks a credit card spends your own money
C: Confuses a prepaid gift card with a bank account card
D: Not a payment card

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 2 of 5

Learn: With a credit card, the card company pays the merchant for you. The amount is added to your card balance, which is a debt you must pay back. If you do not pay the full balance by the due date, you may owe interest.

Owen pays for a $25 meal with a credit card. Who pays the restaurant first?

A. The credit card company, and Owen owes it $25
B. Owen's checking account, immediately
C. The restaurant pays itself
D. Nobody pays the restaurant until Owen gets his monthly bill

CORRECT ANSWER

A. The credit card company, and Owen owes it $25

Feedback (shown after answering)

The card company pays the restaurant; Owen now owes the card company $25.

Why each other choice is wrong (misconception it represents)

B: Confuses credit with debit
C: Misunderstands who pays
D: Thinks the store waits to be paid

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 3 of 5

Learn: A debit card can only spend the money in your account. If a purchase is larger than your balance, the bank may decline it. If you opted in to overdraft coverage, the bank may pay it and charge an overdraft fee.

What happens if you try to spend more with a debit card than your account holds?

A. The extra amount becomes a free gift
B. The store lowers the price to your balance
C. Your credit card is charged automatically, every time
D. It is declined, or covered for an overdraft fee

CORRECT ANSWER

D. It is declined, or covered for an overdraft fee

Feedback (shown after answering)

Spending past your balance leads to a declined purchase or an overdraft with a fee.

Why each other choice is wrong (misconception it represents)

A: Thinks the bank absorbs the shortfall for free
B: Thinks the store adjusts the price
C: Thinks a credit card always backs a debit card

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 4 of 5

Learn: A credit card purchase is borrowing. A debit card purchase spends deposits you already have. If overdraft coverage is on, though, a debit purchase can overdraw the account and leave you owing the bank.

Which statement is TRUE when the debit card has no overdraft coverage and purchases above the balance are declined?

A. A credit card purchase creates a debt; the debit purchase does not
B. A debit card purchase creates a debt; a credit card purchase does not
C. Both cards always create a debt
D. Neither card is ever connected to money you owe

CORRECT ANSWER

A. A credit card purchase creates a debt; the debit purchase does not

Feedback (shown after answering)

Credit card purchases are borrowing. With overdrafts turned off, debit purchases spend only your own money.

Why each other choice is wrong (misconception it represents)

B: Reverses debit and credit
C: Thinks every card is borrowing
D: Ignores credit card debt

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 5 of 5

Learn: If you do not opt in to overdraft coverage, a bank generally cannot charge you an overdraft fee for an ATM withdrawal or a one-time debit card purchase, and it usually declines the purchase instead. A credit card lets you borrow up to a credit limit, which is not your money.

Mia wants a card that will stop her from spending more than she has. Which card fits that goal better?

A. A credit card with a high limit
B. A credit card that she uses only for large purchases
C. A debit card with overdraft coverage turned on
D. A debit card with overdraft coverage turned off

CORRECT ANSWER

D. A debit card with overdraft coverage turned off

Feedback (shown after answering)

With overdraft coverage off, one-time debit card purchases above the available balance are usually declined, so Mia cannot spend money she does not have.

Why each other choice is wrong (misconception it represents)

A: Thinks a credit limit is her own money
B: Thinks purchase size changes how credit works
C: Overdraft coverage lets purchases go past the balance

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 1 of 5

Learn: An ATM network is a group of machines your bank lets you use without a fee. At an "out-of-network" ATM you can be charged twice: once by your own bank and once by the ATM's owner (a "surcharge").

Rosa uses an out-of-network ATM. Her bank charges $2.50 and the ATM owner charges $3.00. She withdraws $40. How much leaves her account in total?

A. $40.00
B. $42.50
C. $43.00
D. $45.50

CORRECT ANSWER

D. $45.50

Feedback (shown after answering)

$40 + $2.50 + $3.00 = $45.50.

Recomputed independently by the build: 45.5

Why each other choice is wrong (misconception it represents)

A: Ignores the fees
B: Includes only her bank's fee
C: Includes only the ATM owner's fee

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 2 of 5

Learn: Small fees repeated often add up. Multiply the fee per use by the number of uses in a year.

Each out-of-network withdrawal costs Rosa $5.50 in fees: $2.50 from her bank and $3.00 from the ATM owner. She makes two such withdrawals a week. About how much does she pay in ATM fees in a year (52 weeks)?

A. $5.50
B. $286
C. $572
D. $4,732

CORRECT ANSWER

C. $572

Feedback (shown after answering)

Withdrawals per year: 2 × 52 = 104. Fees: $5.50 × 104 = $572.

Recomputed independently by the build: 572

Why each other choice is wrong (misconception it represents)

A: Gives the fees for one withdrawal
B: Counts one withdrawal per week
D: Includes the $40 cash withdrawn each time

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 3 of 5

Rosa pays $5.50 in fees each time she withdraws cash at an out-of-network ATM. Which choice would cut her ATM fees the MOST?

A. Use in-network ATMs or get cash back at stores
B. Withdraw $20 each time instead of $40
C. Use a different out-of-network ATM each time she needs cash
D. Check her balance at the ATM before each withdrawal

CORRECT ANSWER

A. Use in-network ATMs or get cash back at stores

Feedback (shown after answering)

In-network ATMs and cash back at stores usually have no fees. Smaller, more frequent withdrawals raise the total fees.

Why each other choice is wrong (misconception it represents)

B: Smaller withdrawals mean more fees, not fewer
C: Thinks a different machine avoids fees
D: Balance checks can add fees

Type: knowledge check · practical how-to

GO DEEPER 1 — ATM networks and fees · Question 4 of 5

Learn: Some accounts refund ATM fees up to a monthly limit. The refund lowers what you pay, but only up to that limit.

A bank refunds up to $10 of other banks' ATM fees each month. Rosa pays $22 in out-of-network fees this month. How much does she pay after the refund?

A. $10
B. $12
C. $22
D. $32

CORRECT ANSWER

B. $12

Feedback (shown after answering)

$22 − $10 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Gives the refund instead of what she pays
C: Ignores the refund
D: Adds the refund

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 5 of 5

Which statement about an ATM "balance inquiry" at an out-of-network machine is MOST accurate?

A. It is always free, because no money leaves the account
B. It moves money to savings
C. It counts as a deposit
D. It can carry a fee even though no money is withdrawn

CORRECT ANSWER

D. It can carry a fee even though no money is withdrawn

Feedback (shown after answering)

Out-of-network ATMs may charge for balance checks. Checking the balance in your bank's app is usually free.

Why each other choice is wrong (misconception it represents)

A: Assumes balance checks are free at any ATM
B: Confuses an inquiry with a transfer
C: Confuses an inquiry with a deposit

Type: knowledge check

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 1 of 5

Learn: A transaction is "pending" when the bank knows about it but has not finished processing it ("posting" it). Your available balance is the money you can spend now: roughly your posted balance minus pending charges and holds. Spending based on the larger number can cause overdrafts.

Kim's app shows: current balance $250; pending transactions −$80. What is her available balance?

A. $80
B. $170
C. $250
D. $330

CORRECT ANSWER

B. $170

Feedback (shown after answering)

$250 − $80 = $170 available.

Recomputed independently by the build: 170

Why each other choice is wrong (misconception it represents)

A: Gives the pending amount
C: Ignores pending transactions
D: Adds the pending amount

Type: instruction

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 2 of 5

Learn: Bank apps show what the bank knows. A check you wrote that the payee has not cashed yet does not appear at all. Your own record of payments, called a register, catches those.

Which balance should Kim use to decide whether she can afford a $150 purchase today?

A. The highest balance she had this month
B. Her balance from last month's statement
C. Her current balance, without counting pending items
D. Her available balance minus uncleared checks

CORRECT ANSWER

D. Her available balance minus uncleared checks

Feedback (shown after answering)

Her real spending power is the available balance minus payments the bank has not seen yet.

Why each other choice is wrong (misconception it represents)

A: Uses a past balance
B: Uses an old statement
C: Ignores money already committed

Type: instruction

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 3 of 5

Learn: When you deposit a check, the bank may hold part of it until it clears. Federal rules set the longest normal holds: for most checks, the first $275 is available the next business day and the rest by the second business day. Exceptions, such as new accounts or very large deposits, allow longer holds, and the bank must tell you when money will be available.

Ben deposits an ordinary $600 check in person on Monday before the cutoff, into an account he has had for years. The bank follows the standard federal schedule: $275 on Tuesday and the rest on Wednesday. How much can he safely spend from this deposit on Tuesday?

A. $0
B. $275
C. $325
D. $600

CORRECT ANSWER

B. $275

Feedback (shown after answering)

$275 is available Tuesday; the remaining $325 on Wednesday.

Recomputed independently by the build: 275

Why each other choice is wrong (misconception it represents)

A: Thinks none of a check is available early
C: Gives the amount held until Wednesday
D: Assumes the whole deposit is available at once

Type: instruction · rule as of Regulation CC amounts effective July 1, 2025

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 4 of 5

If a deposited check "bounces" (is returned unpaid) after you spent the money, what usually happens?

A. The bank takes the amount back from your account, possibly with a fee
B. The bank keeps the money in your account because it was already available
C. The person who wrote the check pays your fee
D. Nothing, because the deposit was already posted

CORRECT ANSWER

A. The bank takes the amount back from your account, possibly with a fee

Feedback (shown after answering)

A returned check is reversed out of your account. If you already spent the money, your balance can go negative, and fees may apply. This is how fake-check scams harm victims.

Why each other choice is wrong (misconception it represents)

B: Thinks available funds are final
C: Assumes fees are always passed on
D: Thinks a posted deposit cannot be reversed

Type: knowledge check

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 5 of 5

Which habit best prevents spending based on the wrong balance?

A. Recording each purchase as you make it
B. Checking the balance once a month
C. Using only the current balance on the bank app
D. Keeping your PIN on the card

CORRECT ANSWER

A. Recording each purchase as you make it

Feedback (shown after answering)

Recording each transaction as it happens keeps your own balance current, including items the bank has not seen yet.

Why each other choice is wrong (misconception it represents)

B: Checks too rarely
C: Ignores pending items and uncleared checks
D: Unrelated and unsafe

Type: knowledge check · practical how-to

SET 3 · Money, Banking, and Financial Institutions

Opening a checking account

MAIN skill: Compare checking accounts and complete the steps to open one

Outcome FL.BANK.03 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Financial institutions and payment methods: choosing and opening a deposit account

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Account fees and fee waivers (5 questions)
  Why: Choosing and opening an account depends on understanding what a monthly fee and a waiver condition are.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing accounts means multiplying monthly fees by months and comparing dollar totals.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading account disclosures and fee schedules (5 questions)
- Go Deeper 2: Account screening and second-chance accounts (5 questions)

Practical skills beyond the standards: Step-by-step account opening; Direct deposit setup; ChexSystems and second-chance accounts

Content status: time-sensitive

Source: FinCEN / federal banking agencies (Customer Identification Program rule, 31 CFR 1020.220) — Banks must collect at least name, date of birth, address, and an identification number before opening an account.
https://www.ecfr.gov/current/title-31/subtitle-B/chapter-X/part-1020/subpart-B/section-1020.220

Source: CFPB — Checking account screening companies (such as ChexSystems) report past account problems; consumers can get a free copy of their report every 12 months.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-checking-account-screening-company-en-1083/

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 A, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 A, F1-Q5 D, F2-Q1 A, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Compare checking accounts and complete the steps to open one · Question 1 of 5

Learn: Banks and credit unions usually require an adult (18 or older) to open an account alone, because a minor generally cannot be held to a contract. Many offer teen or student checking accounts that a minor opens jointly with a parent or guardian. The adult co-owner can see the account and shares responsibility for it.

Jordan is 17 and wants a first checking account. Which plan matches how most banks handle an applicant under 18?

A. Open an individual account online using only a student ID card
B. Wait until age 21, the legal minimum age for any bank account
C. Deposit paychecks into a friend's account until Jordan turns 18
D. Open a joint teen account with a parent or guardian

CORRECT ANSWER

D. Open a joint teen account with a parent or guardian

Feedback (shown after answering)

Most institutions let a minor open a checking account only as a joint or teen account with an adult co-owner.

Why each other choice is wrong (misconception it represents)

A: Thinks a school ID meets the identity requirements
B: Invents a minimum age for every account
C: Thinks sharing someone else's account is safe or allowed

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 2 of 5

Learn: Federal rules require banks to verify who opens an account. Before opening one, a bank collects at least your name, date of birth, address, and an identification number: a Social Security number for U.S. citizens, or another number, such as an ITIN or passport number, for others. Most banks also ask for a government-issued photo ID.

Which information will a bank most likely require to open a checking account?

A. Your report card, a teacher's reference, and your school's address
B. Your credit card number and its PIN, to link the two accounts
C. Only a signature, because banks do not verify who customers are
D. Name, birth date, address, and an ID number such as an SSN

CORRECT ANSWER

D. Name, birth date, address, and an ID number such as an SSN

Feedback (shown after answering)

The Customer Identification Program rule requires name, date of birth, address, and an ID number; banks usually also check a photo ID.

Why each other choice is wrong (misconception it represents)

A: Thinks banks check school records
B: Thinks sharing a PIN is part of opening an account
C: Thinks identity is not verified

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 3 of 5

Learn: Many checking accounts charge a monthly maintenance fee that is waived if you meet a condition: a minimum balance, a minimum direct deposit, or being a student. Compare accounts by the fees YOU would actually pay, based on how you will use the account.

Tess will receive about $800 a month by direct deposit and usually keeps about $300 in checking.
Account X: $10 monthly fee, waived with a direct deposit of $500 or more each month.
Account Y: $5 monthly fee, waived if the balance stays at $1,000 or more.
What would each account cost Tess in monthly fees over a year?

A. Account X: $0; Account Y: $60
B. Account X: $120; Account Y: $60
C. Account X: $0; Account Y: $0
D. Account X: $120; Account Y: $0

CORRECT ANSWER

A. Account X: $0; Account Y: $60

Feedback (shown after answering)

Tess's $800 direct deposit meets Account X's $500 condition, so X costs $0. Her $300 balance is below Y's $1,000, so Y costs $5 × 12 = $60.

Why each other choice is wrong (misconception it represents)

B: Ignores Account X's direct deposit waiver
C: Assumes Tess meets Account Y's $1,000 balance rule
D: Reverses which waiver Tess meets

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 4 of 5

Learn: Direct deposit sends pay electronically into your account. Your employer needs two numbers: the routing number, a 9-digit number that identifies your bank, and your account number, which identifies your account at that bank. Both appear on checks and in the bank's app. Never share a PIN or password to set up a deposit.

Tess wants her paycheck deposited directly into her new account. What does her employer need from her?

A. Her debit card number and its PIN
B. Her online banking username and password
C. Only the name of her bank and the branch's street address
D. Her bank's routing number and her account number

CORRECT ANSWER

D. Her bank's routing number and her account number

Feedback (shown after answering)

Routing number plus account number tells the payroll system exactly where to send the money. PINs and passwords are never needed.

Why each other choice is wrong (misconception it represents)

A: Confuses a debit card with the account itself; unsafe
B: Thinks an employer needs login credentials; unsafe
C: Thinks a bank name identifies a specific account

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 5 of 5

Ahmed's new account requires a $25 opening deposit and has a $6 monthly fee that is waived only when the balance stays at $300 or more. Ahmed's balance stays below $300 (around $150) every month. Assuming no other fees, how much will the account charge him in fees over 6 months?

A. $0
B. $6
C. $36
D. $61

CORRECT ANSWER

C. $36

Feedback (shown after answering)

The fee applies each of the 6 months because the balance never reaches $300: $6 × 6 = $36. The $25 opening deposit is Ahmed's own money in the account, not a fee.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Assumes the waiver applies
B: Counts one month only
D: Adds the opening deposit as if it were a fee

Type: knowledge check

BACKWARD B1 · concept review — Account fees and fee waivers · Question 1 of 5

Learn: A fee is a charge the bank takes from your account. A "monthly maintenance fee" (also called a service fee) is charged every month just for having the account, unless you meet a waiver condition.

A checking account has a "$12 monthly maintenance fee." What does this mean?

A. The bank takes $12 each month unless a waiver applies
B. The bank pays you $12 each month for keeping the account
C. You must deposit $12 every month to keep the account open
D. You pay $12 one time, when you first open the account

CORRECT ANSWER

A. The bank takes $12 each month unless a waiver applies

Feedback (shown after answering)

A monthly maintenance fee is taken from your account each month unless you qualify for a waiver.

Why each other choice is wrong (misconception it represents)

B: Confuses a fee with interest
C: Confuses a fee with a deposit requirement
D: Thinks a monthly fee is charged once

Type: instruction

BACKWARD B1 · concept review — Account fees and fee waivers · Question 2 of 5

Learn: A waiver condition is a rule that, if you meet it, cancels a fee. A "minimum daily balance" rule means your balance must stay at or above the amount every day of the statement period.

An account waives its $8 monthly fee "with a minimum daily balance of $500." In March, Lena's balance stays above $600 every day. What fee does she pay for March?

A. $0
B. $4
C. $8
D. $500

CORRECT ANSWER

A. $0

Feedback (shown after answering)

Lena's balance never dropped below $500, so the fee is waived: $0.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

B: Halves the fee
C: Ignores the waiver
D: Confuses the balance requirement with a fee

Type: instruction

BACKWARD B1 · concept review — Account fees and fee waivers · Question 3 of 5

Learn: With a minimum daily balance rule, one day below the minimum is enough to lose the waiver for that month, even if the balance is high on other days.

An account waives its $8 monthly fee "with a minimum daily balance of $500." In April, Lena's balance drops to $450 for one day, then goes back above $600. What fee does she pay for April?

A. $0
B. $4
C. $8
D. $50

CORRECT ANSWER

C. $8

Feedback (shown after answering)

One day at $450 is below $500, so the $8 fee applies for April.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Uses the average or ending balance instead of the daily minimum
B: Prorates the fee
D: Charges the shortfall below $500

Type: instruction

BACKWARD B1 · concept review — Account fees and fee waivers · Question 4 of 5

Which statement about a minimum opening deposit is TRUE?

A. It is your own money, deposited into your new account
B. It is a fee the bank keeps to open the account
C. It is a loan the bank gives you to start the account
D. It must be paid again every month you keep the account

CORRECT ANSWER

A. It is your own money, deposited into your new account

Feedback (shown after answering)

An opening deposit is the first money you put into the account. It stays yours.

Why each other choice is wrong (misconception it represents)

B: Confuses a deposit with a fee
C: Confuses a deposit with a loan
D: Confuses an opening deposit with a monthly fee

Type: knowledge check

BACKWARD B1 · concept review — Account fees and fee waivers · Question 5 of 5

Two accounts are identical except for fees. Which would cost a student nothing?

A. One with a $3 fee, because the fee is small
B. One with a $15 fee waived at a $5,000 balance, for a student with $200
C. One with a fee charged only every other month, at $6
D. One whose fee is waived for students, if the student qualifies

CORRECT ANSWER

D. One whose fee is waived for students, if the student qualifies

Feedback (shown after answering)

Only an account whose fee the student can actually avoid costs nothing.

Why each other choice is wrong (misconception it represents)

A: Thinks a small fee is the same as no fee
B: Ignores whether the student can meet the waiver
C: Overlooks that $6 every other month still adds up

Type: knowledge check

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 1 of 5

Learn: When you open an account, the bank gives you disclosures: documents that list the account's interest rate, fees, and rules. Federal law (the Truth in Savings Act) requires banks to disclose this information. Small optional fees, like paper statement fees, are easy to miss.

A disclosure says: "Paper statement fee: $2 per month. Free with e-statements." Rafael wants paper statements. Over two years, how much will this choice cost?

A. $2
B. $4
C. $24
D. $48

CORRECT ANSWER

D. $48

Feedback (shown after answering)

$2 per month × 24 months = $48.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Counts one month only
B: Counts one charge per year
C: Counts one year only

Type: instruction

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 2 of 5

Learn: A fee schedule is a list of every fee the account can charge: monthly fees, overdraft and returned item fees, wire transfer fees, stop payment fees, out-of-network ATM fees, and fees for extras like paper statements or cashier's checks.

Which item would you expect to find in an account's fee schedule?

A. The charge for an incoming or outgoing wire transfer
B. The bank's current interest rate on 30-year home mortgages
C. The FDIC insurance limit for your account
D. The interest rate on your credit card

CORRECT ANSWER

A. The charge for an incoming or outgoing wire transfer

Feedback (shown after answering)

Wire transfer fees are account fees listed in a fee schedule.

Why each other choice is wrong (misconception it represents)

B: Confuses a fee schedule with a loan rate sheet
C: Confuses insurance rules with fees
D: Confuses a deposit fee schedule with a card agreement

Type: instruction

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 3 of 5

An account advertises "No monthly fee!" Its fee schedule lists a $35 overdraft fee, a $3 out-of-network ATM fee, and a $30 wire fee. Which conclusion is correct?

A. The account has no fees of any kind
B. The account will cost exactly $68 every month, since all three fees apply
C. Every one of those fees is illegal for a free account
D. The account can still be costly, depending on how it is used

CORRECT ANSWER

D. The account can still be costly, depending on how it is used

Feedback (shown after answering)

"No monthly fee" covers only the maintenance fee. Other fees apply when you use certain services or overdraw.

Why each other choice is wrong (misconception it represents)

A: Treats the ad as the whole story
B: Adds possible fees as if all are charged monthly
C: Thinks a free account cannot have any fees

Type: knowledge check

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 4 of 5

Learn: Banks can change account terms. They must tell existing customers in advance about changes that could hurt them, such as a higher fee. That notice gives you time to compare and decide.

A bank sends a notice that a fee will change in 30 days. What is a reasonable response?

A. Compare the new terms with other accounts
B. Ignore it, because fees cannot change after an account is opened
C. Close the account the same day without checking alternatives
D. Pay the new fee now to lock in the old rate

CORRECT ANSWER

A. Compare the new terms with other accounts

Feedback (shown after answering)

Advance notice lets you compare and, if needed, move your money before the change takes effect.

Why each other choice is wrong (misconception it represents)

B: Thinks account terms are fixed forever
C: Acts before comparing
D: Invents a way to lock in fees

Type: instruction · practical how-to

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 5 of 5

Which question is MOST useful when comparing two accounts' disclosures?

A. Which bank has the larger headquarters building?
B. Which disclosure document is longer?
C. Which bank's advertising do I see most often on social media?
D. Which fees will I realistically pay, given how I bank?

CORRECT ANSWER

D. Which fees will I realistically pay, given how I bank?

Feedback (shown after answering)

Your real cost depends on your habits: balance, deposits, ATM use, and overdraft risk.

Why each other choice is wrong (misconception it represents)

A: Uses size as a measure of cost
B: Uses document length as a measure of cost
C: Uses advertising as a measure of cost

Type: knowledge check · practical how-to

GO DEEPER 2 — Account screening and second-chance accounts · Question 1 of 5

Learn: Before opening an account, many banks check a consumer report from a checking account screening company, such as ChexSystems or Early Warning Services. These reports list problems with past accounts, such as unpaid overdrafts, accounts closed by a bank, or suspected fraud. Negative information can stay on these reports for years.

Devon's application for a checking account is denied because of a report from a checking account screening company. What kind of history does such a report usually show?

A. Unpaid overdrafts or fraud at past banks
B. Grades and attendance from high school
C. Devon's medical history and doctor visits
D. Every purchase Devon has made with cash

CORRECT ANSWER

A. Unpaid overdrafts or fraud at past banks

Feedback (shown after answering)

Screening reports focus on past deposit-account problems, such as unpaid negative balances or fraud.

Why each other choice is wrong (misconception it represents)

B: Thinks banks screen school records
C: Thinks banks screen medical records
D: Thinks cash purchases are reported

Type: instruction

GO DEEPER 2 — Account screening and second-chance accounts · Question 2 of 5

Learn: Checking account screening companies are consumer reporting agencies. Under federal law you can get a free copy of your report every 12 months and dispute information you believe is wrong; the company must investigate.

Devon was denied a checking account because of a checking account screening report that he believes contains a mistake. What can he do?

A. Nothing, because screening reports cannot be corrected
B. Pay the screening company to delete it
C. Open new accounts under a friend's name instead of his own
D. Request a free copy of the report and dispute the error

CORRECT ANSWER

D. Request a free copy of the report and dispute the error

Feedback (shown after answering)

Like credit reports, screening reports can be requested for free each year and disputed when wrong.

Why each other choice is wrong (misconception it represents)

A: Thinks reports cannot be disputed
B: Thinks deletion can be bought
C: Suggests a fraudulent workaround

Type: instruction · practical how-to

GO DEEPER 2 — Account screening and second-chance accounts · Question 3 of 5

Devon's checking account screening report correctly shows a $90 negative balance he left at an old bank. Which step would most likely help him open an account in the future?

A. Pay off the $90 and ask the old bank to update the report
B. Wait one week, because reports clear automatically
C. Open many applications at once to find one bank that says yes
D. Avoid banks and keep all of his money in cash

CORRECT ANSWER

A. Pay off the $90 and ask the old bank to update the report

Feedback (shown after answering)

Paying what is owed and having the record updated to "paid" improves his chances. Keeping cash at home adds theft and loss risks.

Why each other choice is wrong (misconception it represents)

B: Thinks negative records vanish quickly
C: Thinks more applications improve approval
D: Gives up the protection of an insured account

Type: knowledge check · practical how-to

GO DEEPER 2 — Account screening and second-chance accounts · Question 4 of 5

Learn: Some banks and credit unions offer second-chance accounts to people who were denied regular accounts. They may have a monthly fee, no overdraft feature, or lower limits. After a period of good use, some can be changed to a regular account.

What is a "second-chance" checking account?

A. A second account that the bank opens automatically for every customer
B. A loan that pays off your old bank's balance
C. A savings account that pays double interest
D. An account for people with past account problems, often with limits

CORRECT ANSWER

D. An account for people with past account problems, often with limits

Feedback (shown after answering)

Second-chance accounts help people rebuild banking history, often with limits or fees.

Why each other choice is wrong (misconception it represents)

A: Misreads "second" as a duplicate account
B: Confuses an account with a loan
C: Invents a feature

Type: instruction

GO DEEPER 2 — Account screening and second-chance accounts · Question 5 of 5

Devon cannot open a regular account, but a credit union offers him a second-chance checking account (an account for people with past account problems, often with a small fee). Why might it be better than using check-cashing stores for every paycheck?

A. Check-cashing stores are always free
B. Second-chance accounts pay much higher interest than savings accounts
C. A bank account means Devon can never overdraw again
D. Check-cashing fees on every paycheck can cost far more over a year

CORRECT ANSWER

D. Check-cashing fees on every paycheck can cost far more over a year

Feedback (shown after answering)

For example, 2% of a $900 paycheck every two weeks is $18 per check, about $468 a year, which is usually much more than an account's fees.

Why each other choice is wrong (misconception it represents)

A: Assumes check cashing has no fees
B: Invents a high interest rate
C: Thinks an account prevents all overdrafts

Type: knowledge check

SET 4 · Money, Banking, and Financial Institutions

Account registers and bank statements

MAIN skill: Track a running balance and read a bank statement

Outcome FL.BANK.04 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Managing a checking account: record transactions and reconcile statements

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Money in and money out (5 questions)
  - Why: Running-balance and statement problems require knowing which transactions add and which subtract.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  - Why: Deposits are added in dollars and cents.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Purchases and payments are subtracted in dollars and cents.
- B4 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: An overdrawn account has a negative balance; students must read and compute with negative amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reconciling a statement (5 questions)
- Go Deeper 2: Spotting errors and unauthorized charges (5 questions)

Practical skills beyond the standards: Reconciling a bank statement

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Report unauthorized electronic transfers within 60 days after the statement showing them is sent; after that, liability can be unlimited for later transfers that timely notice would have prevented. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 A, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 C, F1-Q2 D, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Track a running balance and read a bank statement · Question 1 of 5

Learn: An account register (or a budgeting app) records every transaction and keeps a running balance. Add each deposit (money in). Subtract each withdrawal, payment, or purchase (money out). Recording each item as it happens shows what you truly have.

Nina starts with $215.60 in checking. She deposits $84.25, buys shoes for $59.99, and pays a $42.00 bill. What is her balance?

A. $113.61
B. $155.86
C. $197.86
D. $316.84

CORRECT ANSWER

C. $197.86

Feedback (shown after answering)

$215.60 + $84.25 − $59.99 − $42.00 = $197.86.

Recomputed independently by the build: 197.86

Why each other choice is wrong (misconception it represents)

A: Subtracts the deposit instead of adding
B: Leaves out the deposit
D: Adds the purchases instead of subtracting

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 2 of 5

Learn: A bank statement summarizes one period, usually a month: the balance at the start, every deposit and withdrawal, any fees or interest, and the balance at the end. Ending balance = beginning balance + deposits − withdrawals.

A bank statement shows: beginning balance $640.00; total deposits $1,120.00; total withdrawals $1,395.50. What is the ending balance?

A. $275.50
B. $364.50
C. $915.50
D. $1,914.50

CORRECT ANSWER

B. $364.50

Feedback (shown after answering)

$640.00 + $1,120.00 − $1,395.50 = $364.50.

Recomputed independently by the build: 364.5

Why each other choice is wrong (misconception it represents)

A: Subtracts withdrawals from deposits but leaves out the beginning balance
C: Adds the beginning balance to withdrawals and subtracts deposits
D: Adds the withdrawals instead of subtracting

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 3 of 5

Learn: The statement equation (beginning + deposits − withdrawals = ending) can be used to find any missing amount. Substitute what you know and solve for the unknown.

A statement shows a beginning balance of $410.00, withdrawals of $760.00, and an ending balance of $300.00. What were the total deposits?

A. $110.00
B. $350.00
C. $650.00
D. $1,470.00

CORRECT ANSWER

C. $650.00

Feedback (shown after answering)

410 + D − 760 = 300, so D = 300 + 760 − 410 = $650.00.

Recomputed independently by the build: 650

Why each other choice is wrong (misconception it represents)

A: Uses only the two balances
B: Subtracts instead of solving for the missing amount
D: Adds all three amounts

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 4 of 5

Learn: If more money leaves an account than it holds, the balance becomes negative: the account is "overdrawn." A negative balance is money owed to the bank, often with a fee added. It must be repaid by depositing money.

Carlos's balance is $42.10. A $55.00 automatic payment goes through anyway. What does his account show afterward?

A. −$12.90
B. $0.00
C. $12.90
D. $97.10

CORRECT ANSWER

A. −$12.90

Feedback (shown after answering)

$42.10 − $55.00 = −$12.90. Carlos owes the bank $12.90, plus any overdraft fee.

Recomputed independently by the build: -12.9

Why each other choice is wrong (misconception it represents)

B: Thinks a balance cannot go below zero
C: Ignores the sign; thinks the account still has money
D: Adds the payment

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 5 of 5

Learn: A check you write is paid only when the person you paid deposits or cashes it, which can take days or weeks. Until then, the money is still in your account, but it is already promised.

Ivy wrote a $75 check to her landlord on May 30. Her May 31 bank statement does not show it. Why?

A. The landlord had not yet deposited the check when the statement closed
B. The bank forgot to charge the check, so Ivy gets to keep the $75
C. Checks never appear on bank statements
D. The check was paid from Ivy's savings account automatically

CORRECT ANSWER

A. The landlord had not yet deposited the check when the statement closed

Feedback (shown after answering)

An "outstanding" check has been written but not yet cashed. It will appear later, so Ivy's register must still subtract it.

Why each other choice is wrong (misconception it represents)

B: Thinks a missing item means the payment is cancelled
C: Thinks checks are not recorded
D: Invents an automatic transfer

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 1 of 5

Learn: Money coming into an account (deposits, direct deposits, transfers in, interest) is a credit and increases the balance. Money going out (purchases, withdrawals, bill payments, fees) is a debit and decreases it.

Which transaction INCREASES a checking account balance?

A. A paycheck deposited by direct deposit
B. A debit card purchase at a store
C. An ATM cash withdrawal
D. An automatic payment for this month's phone bill

CORRECT ANSWER

A. A paycheck deposited by direct deposit

Feedback (shown after answering)

A deposit is money in; the other three are money out.

Why each other choice is wrong (misconception it represents)

B: Thinks a purchase adds money
C: Thinks taking cash adds money
D: Thinks a payment adds money

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 2 of 5

Learn: On a bank statement, "debit" means money taken out of the account, and "credit" means money added. Fees are debits; interest earned and refunds are credits.

On a bank statement, which item is a debit?

A. $0.42 of interest earned
B. A $200 transfer in from savings
C. A $50 refund from a store
D. A $3.00 ATM fee

CORRECT ANSWER

D. A $3.00 ATM fee

Feedback (shown after answering)

The fee is taken from the account, so it is a debit.

Why each other choice is wrong (misconception it represents)

A: Thinks interest earned is subtracted
B: Thinks a transfer in is money out
C: Thinks a refund is money out

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 3 of 5

Learn: Each purchase with a debit card lowers your balance by the purchase amount.

Zoe's balance is $120. She buys a $30 jacket. What happens to her balance?

A. It goes down to $90
B. It goes up to $150
C. It stays at $120 until the end of the month
D. It goes down to $30

CORRECT ANSWER

A. It goes down to $90

Feedback (shown after answering)

$120 − $30 = $90.

Recomputed independently by the build: 90

Why each other choice is wrong (misconception it represents)

B: Adds a purchase
C: Thinks purchases wait until month end
D: Confuses the price with the new balance

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 4 of 5

Why should you record a purchase in your register right away?

A. Because the bank charges a fee each month if you do not record it
B. Because unrecorded purchases are free
C. Because the store needs a copy of your register
D. So your balance shows what you really have left to spend

CORRECT ANSWER

D. So your balance shows what you really have left to spend

Feedback (shown after answering)

Recording each item immediately keeps your running balance accurate.

Why each other choice is wrong (misconception it represents)

A: Invents a recording fee
B: Thinks unrecorded items are not charged
C: Thinks stores check registers

Type: knowledge check

BACKWARD B1 · concept review — Money in and money out · Question 5 of 5

Which list contains ONLY items that lower a balance?

A. A check you wrote, a bill payment, and a monthly fee
B. A deposit, a check you wrote, and a refund
C. Interest earned, a monthly fee, and a transfer in from savings
D. A paycheck, a gift deposited, and interest

CORRECT ANSWER

A. A check you wrote, a bill payment, and a monthly fee

Feedback (shown after answering)

Checks you write, bill payments, and fees are all money out.

Why each other choice is wrong (misconception it represents)

B: Includes items that add money
C: Includes items that add money
D: Lists only items that add money

Type: knowledge check

GO DEEPER 1 — Reconciling a statement · Question 1 of 5

Learn: Reconciling means checking that your records match the bank's. Start with the statement's ending balance, add deposits the bank has not recorded yet ("deposits in transit"), and subtract checks and payments that have not cleared ("outstanding"). The result should equal your register balance.

Sam's statement ending balance is $520. He has a $150 deposit the bank had not received yet and two outstanding checks of $60 and $45. What is his adjusted (true) balance?

A. $415
B. $520
C. $565
D. $775

CORRECT ANSWER

C. $565

Feedback (shown after answering)

$520 + $150 − $60 − $45 = $565.

Recomputed independently by the build: 565

Why each other choice is wrong (misconception it represents)

A: Subtracts the deposit and the checks
B: Uses the statement balance without adjusting
D: Adds the outstanding checks

Type: instruction

GO DEEPER 1 — Reconciling a statement · Question 2 of 5

Learn: When the adjusted statement balance and the register do not match, look for items on the statement that are missing from the register, such as fees, interest, or automatic payments, and for math mistakes in the register.

Sam reconciles his account. After he adds deposits in transit and subtracts outstanding checks, the statement shows $565, but his register shows $575. Which is the most likely explanation?

A. The bank always makes small $10 errors in its own favor
B. Sam's deposit in transit was $10 smaller than he thought
C. Interest earned is never shown on statements
D. A $10 charge on the statement was never recorded in his register

CORRECT ANSWER

D. A $10 charge on the statement was never recorded in his register

Feedback (shown after answering)

A $10 fee or charge that Sam did not record would make his register $10 too high.

Why each other choice is wrong (misconception it represents)

A: Assumes the bank is wrong
B: Would make the adjusted balance lower, not his register higher
C: Thinks interest is not reported

Type: instruction

GO DEEPER 1 — Reconciling a statement · Question 3 of 5

Sam finds a $4 monthly "service fee" on his statement that he did not record. What should he do in his register?

A. Subtract $4 from his register balance
B. Add $4 to his register balance
C. Ignore it, since the bank already recorded it
D. Subtract $8, once for the bank and once for him

CORRECT ANSWER

A. Subtract $4 from his register balance

Feedback (shown after answering)

A fee is money out, so Sam subtracts $4 to keep his register correct.

Why each other choice is wrong (misconception it represents)

B: Adds a fee
C: Thinks only one record needs updating
D: Double counts

Type: knowledge check

GO DEEPER 1 — Reconciling a statement · Question 4 of 5

Which reason BEST explains why reconciling monthly matters?

A. It raises the interest rate on the account
B. It is legally required for every account holder
C. It removes any fees the bank charged that month
D. It catches errors and unauthorized charges early

CORRECT ANSWER

D. It catches errors and unauthorized charges early

Feedback (shown after answering)

Spotting problems early matters because reporting deadlines apply to unauthorized transfers and errors.

Why each other choice is wrong (misconception it represents)

A: Thinks reconciling changes the rate
B: Invents a legal requirement
C: Thinks reconciling refunds fees

Type: knowledge check

GO DEEPER 1 — Reconciling a statement · Question 5 of 5

Amy's statement ending balance is $310. Outstanding checks: $25 and $40. No deposits in transit. Her register shows $245. Do her records agree?

A. Yes: $310 − $25 − $40 = $245
B. No: her register should show $310
C. No: her register should show $375
D. Yes, because the two numbers are close

CORRECT ANSWER

A. Yes: $310 − $25 − $40 = $245

Feedback (shown after answering)

$310 − $65 = $245, which matches her register.

Why each other choice is wrong (misconception it represents)

B: Ignores the outstanding checks
C: Adds the outstanding checks
D: Accepts an approximate match

Type: knowledge check

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 1 of 5

Learn: An unauthorized transaction is one you did not make or allow. Federal rules (Regulation E) limit your liability for unauthorized electronic transfers, but the protection depends on how fast you report. Contact your bank as soon as you notice one.

Lucas sees a $129 charge from an online store he has never used. What should he do FIRST?

A. Wait until next month to see if it happens again
B. Email the online store his full account number to ask about the charge
C. Ignore it, because small banks cannot reverse charges
D. Contact his bank right away to report the unauthorized charge

CORRECT ANSWER

D. Contact his bank right away to report the unauthorized charge

Feedback (shown after answering)

Reporting quickly keeps his liability limits as low as possible.

Why each other choice is wrong (misconception it represents)

A: Delays reporting
B: Shares sensitive data with an unknown party
C: Thinks charges cannot be disputed

Type: instruction · practical how-to

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 2 of 5

Learn: For unauthorized electronic transfers that appear on a statement, you generally have 60 days after the statement is sent to report them. After that, you may be liable for later transfers the bank could have stopped.

Mia's statement dated March 31 shows an unauthorized online debit charge; her card was never lost or stolen. She reports it on May 20. Is she within the window for full protection?

A. Yes; it is within 60 days of the statement
B. No; the limit is 2 business days
C. No; charges must be reported the same day they post
D. Yes, because there is no time limit at all

CORRECT ANSWER

A. Yes; it is within 60 days of the statement

Feedback (shown after answering)

March 31 to May 20 is 50 days, inside the 60-day window. If a card is lost or stolen, report within 2 business days of learning of it for the lowest limit ($50).

Why each other choice is wrong (misconception it represents)

B: Uses the lost-card deadline
C: Invents a same-day rule
D: Ignores the 60-day window

Type: instruction · rule as of Regulation E (12 CFR 1005.6), as of 2026

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 3 of 5

A store charged Ana twice for one $45 purchase. Which statement is accurate?

A. Duplicate charges are legal if the store says so
B. She must accept it because she used her card
C. She can only fix it by closing her account
D. This is an error she can dispute with the bank or the store

CORRECT ANSWER

D. This is an error she can dispute with the bank or the store

Feedback (shown after answering)

A duplicate charge is an error. She can ask the store for a refund and dispute it with her bank.

Why each other choice is wrong (misconception it represents)

A: Thinks the store decides
B: Thinks using the card waives rights
C: Thinks closing the account is the only fix

Type: knowledge check

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 4 of 5

Which habit catches unauthorized charges the fastest?

A. Transaction alerts and frequent app checks
B. Reading paper statements once a year
C. Checking only the ending balance on each statement
D. Using the card less often

CORRECT ANSWER

A. Transaction alerts and frequent app checks

Feedback (shown after answering)

Alerts and frequent checks spot problems within days.

Why each other choice is wrong (misconception it represents)

B: Reviews too rarely
C: Misses individual charges
D: Does not detect charges

Type: knowledge check · practical how-to

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 5 of 5

Learn: For a lost or stolen debit card, if you report within 2 business days of learning of the loss, your liability for unauthorized transfers is capped at $50. After 2 business days, the cap rises to $500. Many banks voluntarily offer $0 liability, but the law sets these limits.

Ben lost his debit card on Monday, noticed it Tuesday, and reported it Tuesday. A thief spent $300 before he reported it. What is the most Ben can be held responsible for under federal rules?

A. $300
B. $500
C. $0, in every case
D. $50

CORRECT ANSWER

D. $50

Feedback (shown after answering)

He reported within 2 business days of learning of the loss, so the legal cap is $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Thinks he owes everything the thief spent
B: Uses the limit for late reports
C: Assumes there is never any liability

Type: instruction · rule as of Regulation E (12 CFR 1005.6), as of 2026

SET 5 · Money, Banking, and Financial Institutions

Overdrafts and bank fees

MAIN skill: Explain overdrafts and compute the cost of overdraft and related fees

Outcome FL.BANK.05 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods and the costs of financial services: overdraft and account fees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What "overdrawn" means (5 questions)
  - Why: Students must understand a negative balance as money owed before they can reason about overdraft fees.
- B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: Overdraft problems require adding and subtracting with negative balances.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Multi-step fee problems combine several operations with money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: The yearly cost of fee habits (5 questions)
- Go Deeper 2: Linked accounts and overdraft lines of credit (5 questions)

Practical skills beyond the standards: Overdraft opt-in decision; Low-balance alerts and buffers

Content status: time-sensitive

Source: CFPB — Banks must get the customer's opt-in before charging overdraft fees on ATM withdrawals and one-time debit card purchases; checks and recurring payments may be paid into overdraft without that opt-in. https://www.consumerfinance.gov/ask-cfpb/what-is-overdraft-coverage-en-1015/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 D, F1-Q1 D, F1-Q2 D, F1-Q3 D, F1-Q4 A, F1-Q5 A, F2-Q1 B, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 C

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 1 of 5

Learn: An overdraft happens when a payment or purchase is larger than the money in the account and the bank pays it anyway. The account goes negative, and the bank may charge an overdraft fee. If the bank refuses the payment instead, the item is returned unpaid, and a returned-item ("NSF") fee may apply.

What is an overdraft?

A. Taking out a loan with a fixed monthly payment
B. Keeping a balance above the minimum required
C. Transferring money from checking to savings
D. Spending more than the account holds

CORRECT ANSWER

D. Spending more than the account holds

Feedback (shown after answering)

An overdraft means the account was overdrawn: the balance went below zero.

Why each other choice is wrong (misconception it represents)

A: Confuses an overdraft with an installment loan
B: Reverses the meaning
C: Confuses an overdraft with a transfer

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 2 of 5

Learn: Each item paid while the account is overdrawn can trigger its own fee. Track the balance item by item. A small purchase can cost far more than its price once a fee is added.

Mason's balance is $30. His bank charges $35 per overdraft. He makes three debit card purchases: $12, then $25, then $8, and he has opted in to overdraft coverage. If each purchase that makes the balance negative (or more negative) gets a fee, how much will he pay in fees?

A. $15
B. $35
C. $70
D. $105

CORRECT ANSWER

C. $70

Feedback (shown after answering)

$30 − $12 = $18 (no fee). $18 − $25 = −$7 (fee). −$7 − $8 = −$15 (fee). Two fees: 2 × $35 = $70. Counting the fees, his balance ends at −$15 − $70 = −$85.

Recomputed independently by the build: 70

Why each other choice is wrong (misconception it represents)

A: Uses the amount overdrawn as the fee
B: Charges only the first overdraft
D: Charges a fee on every purchase

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 3 of 5

Learn: Federal rules say a bank must get your permission (your "opt-in") before charging overdraft fees on ATM withdrawals and one-time debit card purchases. If you do not opt in, those transactions are usually declined. Checks and automatic bill payments are treated differently and can still be overdrawn.

Without opting in to overdraft coverage, what usually happens when Leah tries a one-time debit card purchase larger than her balance?

A. The purchase is declined, with no overdraft fee
B. The purchase is approved, and she pays a $35 fee
C. The store gives her the item for free
D. Her account is closed immediately

CORRECT ANSWER

A. The purchase is declined, with no overdraft fee

Feedback (shown after answering)

Without opt-in, one-time debit purchases above the balance are usually declined, so no overdraft fee applies.

Why each other choice is wrong (misconception it represents)

B: Assumes coverage applies without opt-in
C: Thinks the store absorbs the shortfall
D: Exaggerates the consequence

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 4 of 5

Learn: Overdraft protection links checking to another account, such as savings or a line of credit. When checking runs short, money is moved automatically to cover the item. Banks often charge a transfer fee, but it is usually smaller than an overdraft fee.

Hana links her savings account to checking for overdraft protection. The bank charges $10 per automatic transfer instead of a $35 overdraft fee. She overdraws twice this month. How much does linking save her this month?

A. $20
B. $25
C. $50
D. $70

CORRECT ANSWER

C. $50

Feedback (shown after answering)

Without linking: 2 × $35 = $70. With linking: 2 × $10 = $20. Savings: $70 − $20 = $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Gives the transfer fees instead of the savings
B: Counts only one overdraft
D: Forgets the transfer fees

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 5 of 5

Ray's $80 electric bill payment is returned unpaid because his account is short. Which result is MOST likely?

A. He may owe a returned-item fee, and the bill is still unpaid
B. The bill is paid, and no one charges any fee
C. The electric company cancels the bill
D. His bank pays the bill from its own funds and never charges him for it

CORRECT ANSWER

A. He may owe a returned-item fee, and the bill is still unpaid

Feedback (shown after answering)

A returned (NSF) payment can cost a bank fee and a late fee from the biller, and the bill remains due.

Why each other choice is wrong (misconception it represents)

B: Thinks a returned payment still counts
C: Thinks a failed payment erases the debt
D: Thinks the bank pays at no cost

Type: knowledge check

BACKWARD B1 · concept review — What "overdrawn" means · Question 1 of 5

Learn: When spending is larger than the balance and the bank pays anyway, the balance becomes negative. A negative balance means you owe the bank that amount.

Rina's balance is $20. She spends $26. If the bank pays it, what is her balance (before any fee)?

A. −$6
B. $0
C. $6
D. $46

CORRECT ANSWER

A. −$6

Feedback (shown after answering)

$20 − $26 = −$6.

Recomputed independently by the build: -6

Why each other choice is wrong (misconception it represents)

B: Thinks the bank stops at zero
C: Drops the negative sign
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — What "overdrawn" means · Question 2 of 5

Learn: A negative account balance is a debt to the bank. You must deposit enough to bring the balance back to zero or above.

What does a balance of −$6 mean?

A. The bank owes Rina $6
B. Rina has $6 left to spend
C. The account has been closed
D. Rina owes the bank $6

CORRECT ANSWER

D. Rina owes the bank $6

Feedback (shown after answering)

A negative balance is money owed to the bank.

Why each other choice is wrong (misconception it represents)

A: Reverses who owes whom
B: Ignores the negative sign
C: Thinks a negative balance closes the account

Type: instruction

BACKWARD B1 · concept review — What "overdrawn" means · Question 3 of 5

Learn: A fee is subtracted from the balance, even when the balance is already negative, which makes it more negative.

Rina's balance is −$6, and the bank adds a $35 overdraft fee. What is her new balance?

A. −$41
B. −$35
C. −$29
D. $29

CORRECT ANSWER

A. −$41

Feedback (shown after answering)

−$6 − $35 = −$41.

Recomputed independently by the build: -41

Why each other choice is wrong (misconception it represents)

B: Ignores the $6 already owed
C: Subtracts 6 from 35 and keeps the sign
D: Adds the fee to a positive 6

Type: instruction

BACKWARD B1 · concept review — What "overdrawn" means · Question 4 of 5

How much must Rina deposit to bring a −$41 balance back to exactly $0?

A. $0
B. $6
C. $35
D. $41

CORRECT ANSWER

D. $41

Feedback (shown after answering)

She must deposit $41 to cover both the shortfall and the fee.

Recomputed independently by the build: 41

Why each other choice is wrong (misconception it represents)

A: Thinks a negative balance resets itself
B: Repays only the purchase shortfall
C: Repays only the fee

Type: knowledge check

BACKWARD B1 · concept review — What "overdrawn" means · Question 5 of 5

Learn: The available balance already subtracts pending transactions. Checking it helps only if you then act on it: wait, spend less, or add cleared money first.

Rina had $20 available in checking and made a $26 debit purchase, overdrawing her account. Which choice would have prevented this?

A. Making the purchase on a different day of the week instead
B. Using the card at a larger store
C. Checking her balance the day after the purchase
D. Checking her available balance and skipping or shrinking the purchase

CORRECT ANSWER

D. Checking her available balance and skipping or shrinking the purchase

Feedback (shown after answering)

Knowing the available balance ($20) and then waiting or buying less (or adding cleared funds first) prevents the overdraft.

Why each other choice is wrong (misconception it represents)

A: Thinks timing alone prevents overdrafts
B: Thinks the store size matters
C: Checks too late to prevent the overdraft

Type: instruction

GO DEEPER 1 — The yearly cost of fee habits · Question 1 of 5

Learn: A habit that causes a fee every month becomes a large yearly cost. Multiply the monthly cost by 12 to see the yearly impact.

Jae overdraws his account exactly once every month for a year and pays a $34 fee each time. How much do the fees cost him in that year?

A. $34
B. $136
C. $340
D. $408

CORRECT ANSWER

D. $408

Feedback (shown after answering)

$34 × 12 = $408.

Recomputed independently by the build: 408

Why each other choice is wrong (misconception it represents)

A: Counts one month only
B: Uses 4 months
C: Uses 10 months

Type: instruction

GO DEEPER 1 — The yearly cost of fee habits · Question 2 of 5

Learn: When a purchase overdraws the account, its true cost is the purchase price plus the overdraft fee.

Jae pays a $34 overdraft fee about once a month, each time on a $9 debit purchase. What does each of those purchases really cost?

A. $9
B. $25
C. $34
D. $43

CORRECT ANSWER

D. $43

Feedback (shown after answering)

$9 + $34 = $43, almost five times the price.

Recomputed independently by the build: 43

Why each other choice is wrong (misconception it represents)

A: Ignores the fee
B: Subtracts the purchase from the fee
C: Counts only the fee

Type: instruction

GO DEEPER 1 — The yearly cost of fee habits · Question 3 of 5

Learn: Low-balance alerts warn you before you overspend. A buffer, a small amount you treat as untouchable, absorbs timing surprises such as a bill that posts a day early.

Jae overdraws about once a month because he buys things without checking his balance. Which step would MOST directly prevent his overdrafts?

A. Use a different debit card from the same account
B. Make purchases late at night
C. Ask the bank for paper statements instead of e-statements
D. Set a low-balance alert and keep a small buffer in checking

CORRECT ANSWER

D. Set a low-balance alert and keep a small buffer in checking

Feedback (shown after answering)

Alerts plus a buffer address the cause: spending without knowing the balance.

Why each other choice is wrong (misconception it represents)

A: The account is still the same
B: Timing does not prevent overdrafts
C: Statements arrive too late to prevent them

Type: instruction · practical how-to

GO DEEPER 1 — The yearly cost of fee habits · Question 4 of 5

Jae pays $408 a year in overdraft fees (12 × $34). Keeping a $100 buffer, money he leaves in checking and never spends, would have prevented all 12 overdrafts. Compare keeping the buffer with paying the fees.

A. The buffer saves $408 and stays his money
B. The buffer costs him $100 per month
C. The buffer and the fees cost the same
D. The buffer saves $100 and costs $408

CORRECT ANSWER

A. The buffer saves $408 and stays his money

Feedback (shown after answering)

The buffer remains in his account, while fees are gone forever.

Why each other choice is wrong (misconception it represents)

B: Thinks a buffer is spent
C: Treats money kept as money lost
D: Reverses the comparison

Type: knowledge check

GO DEEPER 1 — The yearly cost of fee habits · Question 5 of 5

Some banks have reduced or ended overdraft fees, and others still charge them. What is the best way to learn your own bank's current policy?

A. Read the current fee schedule or ask the bank directly
B. Assume every bank charges exactly $35
C. Assume overdraft fees are banned everywhere
D. Rely on what a friend's bank charged for overdrafts five years ago

CORRECT ANSWER

A. Read the current fee schedule or ask the bank directly

Feedback (shown after answering)

Overdraft policies differ by bank and change over time; the current fee schedule is the authority.

Why each other choice is wrong (misconception it represents)

B: Assumes a single amount everywhere
C: Overgeneralizes from some banks
D: Uses outdated and different information

Type: knowledge check · practical how-to

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 1 of 5

Learn: An overdraft line of credit is a small loan account linked to checking. When checking runs short, it lends the difference, and you pay interest (and sometimes a fee) until you repay it. Interest for part of a year ≈ principal × annual rate × fraction of a year.

An overdraft line of credit covers shortfalls with a loan that charges 18% interest (APR 18%; no other finance charges). Kim borrows $200 through it and repays it after one month. About how much interest does she pay (simple interest for 1/12 of a year)?

A. $0.30
B. $3
C. $18
D. $36

CORRECT ANSWER

B. $3

Feedback (shown after answering)

$200 × 0.18 × (1/12) = $3.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the rate as dollars
D: Uses a full year

Type: instruction

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 2 of 5

Kim compares two ways to cover a $200 shortfall for one month: a $35 overdraft fee, or about $3 of interest plus a $5 transfer fee on her line of credit. Which costs less and by how much?

A. The overdraft fee, by $27
B. The line of credit, by $32
C. They cost the same
D. The line of credit, by $27

CORRECT ANSWER

D. The line of credit, by $27

Feedback (shown after answering)

Line of credit: $3 + $5 = $8. Overdraft: $35. Difference: $27.
Recomputed independently by the build: 27

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Forgets the transfer fee
C: Does not compute

Type: knowledge check

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 3 of 5

Which risk applies to an overdraft line of credit but NOT to a savings-linked transfer?

A. Unpaid amounts keep collecting interest
B. It moves your own savings into checking
C. It can never be used more than once
D. It is covered by FDIC insurance if unpaid

CORRECT ANSWER

A. Unpaid amounts keep collecting interest

Feedback (shown after answering)

A line of credit is a loan; a savings link moves your own money.

Why each other choice is wrong (misconception it represents)

B: Describes the savings link
C: Invents a limit
D: Confuses deposit insurance with debt

Type: knowledge check

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 4 of 5

Which account would a bank usually check before approving an overdraft line of credit?

A. Your school transcript
B. Nothing, since it is part of a checking account you already have
C. Your savings account interest rate
D. Your credit history, because it is a loan

CORRECT ANSWER

D. Your credit history, because it is a loan

Feedback (shown after answering)

Because a line of credit is lending, the bank reviews your creditworthiness.

Why each other choice is wrong (misconception it represents)

A: Thinks grades decide loans
B: Thinks no approval is needed
C: Confuses deposit terms with credit approval

Type: knowledge check

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 5 of 5

Kim leaves $200 unpaid on the 18% line of credit for a full year (simple interest). How much interest accrues?

A. $3
B. $18
C. $36
D. $236

CORRECT ANSWER

C. $36

Feedback (shown after answering)

$200 × 0.18 × 1 = $36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Uses one month
B: Treats the rate as dollars
D: Gives the total owed instead of the interest

Type: knowledge check

SET 6 · Money, Banking, and Financial Institutions

Savings accounts and deposit insurance

MAIN skill: Choose a savings account and explain how deposit insurance protects deposits

Outcome FL.BANK.06 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Savings options: interest rates, APY, and deposit insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Saving versus spending money (5 questions)
  Why: The MAIN questions assume students separate money for later from money for now and know what interest on savings is.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for a year is a percent of the balance.
- B3 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Rates written as decimals are multiplied by balances.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Interest rate versus APY (5 questions)
- Go Deeper 2: Deposit insurance limits and ownership categories (5 questions)

Practical skills beyond the standards: Checking whether an institution is insured (FDIC BankFind)

Content status: time-sensitive

Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category; investment products are not deposits and are not FDIC insured.
https://www.fdic.gov/resources/deposit-insurance

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 A, F1-Q2 B, F1-Q3 D, F1-Q4 A, F1-Q5 C, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 D, F2-Q5 A

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 1 of 5

Learn: A savings account is a deposit account for money you are setting aside. It usually pays more interest than checking, and keeping savings separate makes it less likely you will spend it by accident. You can generally withdraw when you need to, though some banks limit how often.

Why do people usually keep money for a goal six months away in a savings account rather than in checking?

A. Savings usually earns more and stays apart from spending money
B. Savings accounts cannot be withdrawn from until the goal date
C. Checking accounts are not insured by the FDIC
D. Savings accounts guarantee the money will double

CORRECT ANSWER

A. Savings usually earns more and stays apart from spending money

Feedback (shown after answering)

Savings earns more and keeps goal money apart from spending money. Both checking and savings are deposits that can be insured.

Why each other choice is wrong (misconception it represents)

B: Confuses savings with a certificate of deposit
C: Thinks checking lacks deposit insurance
D: Confuses saving with a guaranteed high return

Type: instruction

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 2 of 5

Learn: Interest for one year ≈ balance × annual rate (as a decimal). To write a percent as a decimal, divide by 100: 3.5% = 0.035.

A savings account pays 3.5% interest per year. About how much interest will $1,600 earn in one year?

A. $5.60
B. $56
C. $560
D. $1,656

CORRECT ANSWER

B. $56

Feedback (shown after answering)

$1,600 × 0.035 = $56.

Recomputed independently by the build: 56

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 35% instead of 3.5%
D: Gives the new balance instead of the interest

Type: instruction

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 3 of 5

Learn: The FDIC insures deposits at insured banks up to $250,000 per depositor, per insured bank, for each account ownership category (such as individual or joint). Credit union deposits have the same coverage through the NCUA. No depositor has lost insured funds since the FDIC began in 1934.

Grace has $300,000 in one individual savings account at a single FDIC-insured bank. If the bank failed, how much of her deposit would be above the standard insurance limit?

A. $0
B. $50,000
C. $250,000
D. $300,000

CORRECT ANSWER

B. $50,000

Feedback (shown after answering)

$300,000 − $250,000 = $50,000 is above the standard limit for one owner at one bank in one category.

Recomputed independently by the build: 50000

Why each other choice is wrong (misconception it represents)

A: Thinks every dollar is always insured
C: Confuses the insured part with the uninsured part
D: Thinks nothing is insured

Type: instruction · rule as of $250,000 standard maximum, as of 2026

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 4 of 5

Learn: FDIC insurance covers deposits: checking, savings, money market deposit accounts, and certificates of deposit. It does not cover stocks, bonds, mutual funds, crypto assets, annuities, or life insurance, even if a bank sells them. It also does not protect against investment losses.

Leo buys shares of a stock mutual fund through an investment desk inside his bank's branch. The fund loses value. Does FDIC insurance cover the loss?

A. Yes: anything bought at an FDIC-insured bank is insured
B. Yes, up to $250,000 of investment losses
C. Only if Leo paid for the fund with money from his checking account
D. No: investments are not deposits, even when sold at a bank

CORRECT ANSWER

D. No: investments are not deposits, even when sold at a bank

Feedback (shown after answering)

Mutual funds are investments, not deposits, so FDIC insurance does not cover their losses.

Why each other choice is wrong (misconception it represents)

A: Extends deposit insurance to investments
B: Applies the deposit limit to market losses
C: Thinks the source of money changes coverage

Type: instruction

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 5 of 5

Ava needs money she can reach quickly for unexpected costs and does not want it to lose value. Which place fits best?

A. A stock fund that has risen sharply this year
B. A 5-year certificate of deposit with a penalty for early withdrawal
C. Cash hidden in her bedroom
D. An insured savings account

CORRECT ANSWER

D. An insured savings account

Feedback (shown after answering)

An insured savings account keeps money safe, available, and earning some interest.

Why each other choice is wrong (misconception it represents)

A: Chooses past performance over safety and access
B: Ignores access to money
C: Ignores theft, loss, and lost interest

Type: knowledge check

BACKWARD B1 · concept review — Saving versus spending money · Question 1 of 5

Learn: Checking is for money you will spend soon: bills and everyday purchases. Savings is for money you are setting aside for later: goals and emergencies.

Which money belongs in savings rather than checking?

A. Money set aside for a laptop you plan to buy next spring
B. Money for this week's groceries
C. Money to pay this month's phone bill when it arrives next week
D. Cash for lunch tomorrow

CORRECT ANSWER

A. Money set aside for a laptop you plan to buy next spring

Feedback (shown after answering)

Money for a later goal belongs in savings.

Why each other choice is wrong (misconception it represents)

B: Confuses near-term spending with saving
C: Bills are paid from checking
D: Immediate spending

Type: instruction

BACKWARD B1 · concept review — Saving versus spending money · Question 2 of 5

Learn: Interest on savings is money the bank pays you for keeping your money there. It is added to your balance.

Leila earns 2% interest on her $500 savings for a year. What does "earning interest" mean here?

A. The bank adds money to her account
B. The bank charges her 2% to hold her money
C. She owes the bank $10
D. Her $500 is locked until she turns 18

CORRECT ANSWER

A. The bank adds money to her account

Feedback (shown after answering)

2% of $500 is $10, which the bank adds to her account.

Why each other choice is wrong (misconception it represents)

B: Confuses interest earned with a fee
C: Confuses saving with borrowing
D: Invents a restriction

Type: instruction

BACKWARD B1 · concept review — Saving versus spending money · Question 3 of 5

Learn: Percent means "per hundred." To write a percent as a decimal, divide by 100 (move the decimal point two places left).

What is 2% written as a decimal?

A. 0.002
B. 0.02
C. 0.2
D. 2.0

CORRECT ANSWER

B. 0.02

Feedback (shown after answering)

2% = 2 ÷ 100 = 0.02.

Recomputed independently by the build: 0.02

Why each other choice is wrong (misconception it represents)

A: Moves the decimal three places
C: Moves the decimal one place
D: Does not convert

Type: instruction

BACKWARD B1 · concept review — Saving versus spending money · Question 4 of 5

Using 0.02 for 2%, how much interest does $500 earn in one year?

A. $1
B. $10
C. $100
D. $510

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$500 × 0.02 = $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 0.002
C: Uses 0.2
D: Gives the new balance

Type: knowledge check

BACKWARD B1 · concept review — Saving versus spending money · Question 5 of 5

Which statement is TRUE about money in an insured savings account?

A. It always grows faster than prices rise
B. It can be withdrawn with no limits of any kind at every bank in the country
C. It earns the same interest at every bank
D. Its value in dollars does not go down because of market changes

CORRECT ANSWER

D. Its value in dollars does not go down because of market changes

Feedback (shown after answering)

Insured deposits do not lose dollars to market swings, though inflation can still reduce what the money buys.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
B: Overgeneralizes withdrawal rules
C: Ignores rate differences

Type: knowledge check

GO DEEPER 1 — Interest rate versus APY · Question 1 of 5

Learn: The interest rate is the yearly rate before compounding. APY (annual percentage yield) shows what you actually earn in a year once interest is added to your balance and itself earns interest (compounding). Banks must show APY for savings, so use APY to compare accounts.

Two savings accounts show:
Bank A: interest rate 4.00%, compounded monthly; APY 4.07%
Bank B: APY 4.05%
Which number should Mo use to compare them fairly?

A. The APY of each account
B. The interest rate of Bank A and the APY of Bank B
C. The interest rate of each, ignoring APY
D. Whichever number is printed larger in the ad

CORRECT ANSWER

A. The APY of each account

Feedback (shown after answering)

APY includes compounding, so comparing APY to APY is fair. Bank A (4.07%) earns slightly more than Bank B (4.05%).

Why each other choice is wrong (misconception it represents)

B: Compares unlike numbers
C: Ignores compounding
D: Uses ad design

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 2 of 5

Learn: APY is the actual percent your money grows in one year, so one year of earnings ≈ balance × APY.

An account has an APY of 4.07%. About how much will $2,000 earn in one year if the rate stays the same and nothing is withdrawn?

A. $8.14
B. $81.40
C. $814.00
D. $2,081.40

CORRECT ANSWER

B. $81.40

Feedback (shown after answering)

$2,000 × 0.0407 = $81.40.

Recomputed independently by the build: 81.4

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 40.7%
D: Gives the balance, not the interest

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 3 of 5

Learn: APY (annual percentage yield) is the percent your money actually grows in one year. The stated interest rate is the yearly rate before compounding.

Why is APY usually a little higher than the stated interest rate?

A. Banks add a bonus to every account
B. APY includes extra deposits you plan to make later in the year
C. APY is the rate before taxes are added
D. Interest that is added during the year also earns interest

CORRECT ANSWER

D. Interest that is added during the year also earns interest

Feedback (shown after answering)

With compounding, earlier interest earns interest too, so the yearly yield is above the stated rate.

Why each other choice is wrong (misconception it represents)

A: Invents a bonus
B: Thinks APY includes future deposits
C: Confuses APY with taxes

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 4 of 5

Learn: Most savings accounts have variable rates: the bank can raise or lower them, often when market interest rates change. A certificate of deposit usually locks a rate for its term.

A savings rate is "variable." What does that mean?

A. The bank can change the rate over time
B. The rate is fixed until the account is closed
C. The rate depends on how many times you log in
D. The rate is negative in some months

CORRECT ANSWER

A. The bank can change the rate over time

Feedback (shown after answering)

Variable means the bank may change it; past or advertised rates are not promises.

Why each other choice is wrong (misconception it represents)

B: Reverses variable and fixed
C: Invents a rule
D: Overstates the risk

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 5 of 5

An ad shows "5.00% APY*", and the fine print says "*on balances up to $1,000; 0.50% APY on the amount above $1,000." Sara deposits $5,000. About how much interest will she earn in one year?

A. $25
B. $50
C. $70
D. $250

CORRECT ANSWER

C. $70

Feedback (shown after answering)

First $1,000 × 0.05 = $50. Remaining $4,000 × 0.005 = $20. Total ≈ $70.

Recomputed independently by the build: 70

Why each other choice is wrong (misconception it represents)

A: Applies 0.5% to the whole balance
B: Counts only the first $1,000
D: Applies 5% to the whole balance

Type: knowledge check

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 1 of 5

Learn: The $250,000 limit applies per depositor, per insured bank, per ownership category. Money at two different banks is insured separately. (Two "brands" of the same bank are one bank for insurance purposes.)

Marcus has $200,000 in an individual account at Bank A and $200,000 in an individual account at Bank B. Both banks are FDIC insured and separate. How much of his money is insured?

A. $0
B. $200,000
C. $250,000
D. $400,000

CORRECT ANSWER

D. $400,000

Feedback (shown after answering)

Each bank insures his $200,000 individually: $400,000 total.

Recomputed independently by the build: 400000

Why each other choice is wrong (misconception it represents)

A: Thinks large balances are never insured
B: Counts only one bank
C: Applies one limit across different banks

Type: instruction · rule as of $250,000 standard maximum, as of 2026

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 2 of 5

Learn: Joint accounts are a separate ownership category from individual accounts. Each co-owner's share of joint accounts at one bank is insured up to $250,000.

Sam and Pat own a joint account with $500,000 at one insured bank. Joint accounts are insured up to $250,000 per co-owner. How much is insured?

A. $125,000
B. $250,000
C. $500,000
D. $1,000,000

CORRECT ANSWER

C. $500,000

Feedback (shown after answering)

Two co-owners × $250,000 = $500,000 of coverage, which covers the whole balance.

Recomputed independently by the build: 500000

Why each other choice is wrong (misconception it represents)

A: Splits one limit between owners
B: Applies one limit to the whole joint account
D: Doubles the coverage twice

Type: instruction · rule as of $250,000 standard maximum, as of 2026

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 3 of 5

Which product is covered by FDIC insurance when bought at an insured bank?

A. Shares of an index fund
B. A cryptocurrency purchase
C. The contents of a safe deposit box
D. A 12-month certificate of deposit

CORRECT ANSWER

D. A 12-month certificate of deposit

Feedback (shown after answering)

CDs are deposits. Investments, crypto assets, and safe deposit box contents are not insured deposits.

Why each other choice is wrong (misconception it represents)

A: Thinks funds sold at banks are insured
B: Thinks crypto at a bank is insured
C: Thinks box contents are deposits

Type: knowledge check

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 4 of 5

Learn: Only deposits at FDIC-insured banks (or NCUA-insured credit unions) are covered by deposit insurance. The FDIC warns consumers about companies that misrepresent their products as FDIC insured.

A website for a company that sells crypto says, "Your funds are safe — like a bank." What should a careful saver conclude?

A. The funds must be FDIC insured
B. The company is a federally chartered bank
C. The NCUA insures every crypto platform that operates in the United States
D. That claim does not mean the funds are FDIC insured

CORRECT ANSWER

D. That claim does not mean the funds are FDIC insured

Feedback (shown after answering)

Comparisons to banks are not insurance. Check the FDIC's BankFind tool to see if an institution is an insured bank, and remember crypto assets are not deposits.

Why each other choice is wrong (misconception it represents)

A: Treats a comparison as a guarantee
B: Assumes a charter from wording
C: Confuses agencies and products

Type: instruction · practical how-to

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 5 of 5

Ella has $260,000 in one individual account at an insured bank and wants all of it insured. Which change would accomplish that most directly?

A. Move $10,000 or more to an account at a different insured bank
B. Split it into two individual accounts at the same bank
C. Ask the bank to raise her personal limit
D. Withdraw the extra $10,000 and invest it in stocks for added safety

CORRECT ANSWER

A. Move $10,000 or more to an account at a different insured bank

Feedback (shown after answering)

Coverage is per bank per category. Two individual accounts at the same bank share one $250,000 limit; a second bank adds coverage.

Why each other choice is wrong (misconception it represents)

B: Thinks multiple accounts in one category add coverage
C: Thinks the limit is negotiable
D: Thinks stocks are insured

Type: knowledge check · practical how-to

SET 7 · Money, Banking, and Financial Institutions

Checks, transfers, and payment apps

MAIN skill: Choose and use payment methods safely: checks, electronic transfers, and payment apps

Outcome FL.BANK.07 · National topic: Spending · NJSLS 9.1.12: FI

Learning target: Payment methods: checks, electronic payments, and payment apps; consumer protections

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Ways to pay (5 questions)

Why: Choosing a payment method safely requires knowing what each method is and where the money comes from.

B2 · Math link → G5-S12-M (Grade 5 5.NBT.A.3.a): Read and write decimals to thousandths using numerals and words

Why: Writing check amounts requires reading decimals and writing cents as hundredths.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Wires, ACH transfers, and official checks (5 questions)

Go Deeper 2: Payment app safety (5 questions)

Practical skills beyond the standards: Writing and endorsing checks; Mobile check deposit; Verifying wire instructions

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Report unauthorized electronic transfers within 60 days after the statement showing them is sent; after that, liability can be unlimited for later transfers that timely notice would have prevented. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 D, M-Q4 A, M-Q5 A, B1-Q1 D, B1-Q2 D, B1-Q3 B, B1-Q4 A, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 A, F2-Q2 D, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 1 of 5

Learn: A check is a written order telling your bank to pay someone from your account. You write the date, the payee (who gets paid), the amount in numbers, the amount in words with cents as a fraction of 100, and your signature. The words are the legal amount if the two differ.

Nora writes a check for $1,254.07. How should she write the amount in words on the check?

A. One thousand two hundred fifty-four and 07/100 dollars
B. One thousand two hundred fifty-four and 7/10 dollars
C. Twelve hundred fifty-four point zero seven
D. One thousand two hundred forty-five and 07/100 dollars

CORRECT ANSWER

A. One thousand two hundred fifty-four and 07/100 dollars

Feedback (shown after answering)

$1,254.07 is written "One thousand two hundred fifty-four and 07/100 dollars."

Why each other choice is wrong (misconception it represents)

B: Writes 7 cents as 7 tenths
C: Uses "point" instead of the cents fraction
D: Transposes digits

Type: instruction · practical how-to

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 2 of 5

Learn: To deposit or cash a check made out to you, you "endorse" it by signing the back. Adding "For deposit only" (a restrictive endorsement) means the check can only be deposited, which protects it if it is lost. For mobile deposit, banks often require "For mobile deposit only" too.

Ben receives a paycheck made out to him and wants to deposit it at an ATM. What should he write on the back?

A. Nothing; endorsing a check is optional
B. His PIN, so the ATM can verify him
C. His account balance, so the bank can update it
D. His signature and "For deposit only"

CORRECT ANSWER

D. His signature and "For deposit only"

Feedback (shown after answering)

Signing with "For deposit only" endorses the check and limits it to being deposited.

Why each other choice is wrong (misconception it represents)

A: Thinks no endorsement is needed
B: Writes sensitive data on a check
C: Thinks the balance goes on the check

Type: instruction · practical how-to

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 3 of 5

Learn: Peer-to-peer (P2P) payment apps move money quickly between people. Money you send yourself, even when tricked, is usually treated as authorized and is often hard to get back. Federal error protections are strongest for transfers you did not authorize, such as when someone takes over your account. Use P2P apps mainly with people you know and trust.

Mia sends $60 through a payment app to someone selling concert tickets online. The tickets never arrive. Which statement is most accurate about getting the payment back?

A. The app must refund every payment that goes wrong
B. Her bank will reverse the payment automatically within one business day
C. The money is protected exactly like a stolen-card charge
D. Payments she authorized are often hard or impossible to reverse

CORRECT ANSWER

D. Payments she authorized are often hard or impossible to reverse

Feedback (shown after answering)

Because Mia authorized the payment, getting it back depends largely on the app's or bank's policies; she should report it quickly anyway.

Why each other choice is wrong (misconception it represents)

A: Assumes a guaranteed refund
B: Assumes automatic reversal
C: Confuses an authorized payment with an unauthorized transfer

Type: instruction

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 4 of 5

Learn: Mobile check deposit lets you photograph a signed check in your bank's app. The bank may hold part of the money for a few days. Keep the paper check until the deposit is final, then destroy it securely so it cannot be deposited twice or misused.

After depositing a check with his phone, what should Kai do with the paper check?

A. Keep it until the deposit is final, then destroy it
B. Deposit the same check again at the bank to be safe
C. Throw it in the trash right after taking the photo
D. Give it back to the person who wrote it

CORRECT ANSWER

A. Keep it until the deposit is final, then destroy it

Feedback (shown after answering)

Keep it until the funds are final in case the bank needs it, then shred it.

Why each other choice is wrong (misconception it represents)

B: Double deposit; can be fraud
C: Discards it before the deposit is confirmed
D: Unnecessary and exposes account data

Type: instruction · practical how-to

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 5 of 5

Zara's landlord asks for rent in a way that leaves a record of payment. Which method fits BEST?

A. A check or an electronic transfer from her bank account
B. Cash handed over without a receipt
C. A gift card code sent by text
D. A wire transfer to an account number she has never verified

CORRECT ANSWER

A. A check or an electronic transfer from her bank account

Feedback (shown after answering)

Checks and bank transfers leave records Zara can use as proof of payment.

Why each other choice is wrong (misconception it represents)

B: No record of payment
C: Untraceable and common in scams
D: Irreversible and risky if unverified

Type: knowledge check

BACKWARD B1 · concept review — Ways to pay · Question 1 of 5

Learn: Common ways to pay: cash; debit cards and checks (from your account); electronic transfers such as online bill pay and automatic payments (from your account, electronically); credit cards (borrowed money); and prepaid or gift cards (money loaded in advance).

Which payment method moves money directly from your bank account electronically on a date you set?

A. A paper check that the store mails to you each month
B. A credit card
C. A store gift card
D. An online bill payment or automatic transfer

CORRECT ANSWER

D. An online bill payment or automatic transfer

Feedback (shown after answering)

Online bill pay and automatic payments take money from your account electronically.

Why each other choice is wrong (misconception it represents)

A: Confuses who writes the check
B: Confuses borrowing with paying from your account
C: Confuses prepaid value with an account payment

Type: instruction

BACKWARD B1 · concept review — Ways to pay · Question 2 of 5

Learn: A payment record proves you paid. Bank statements, cleared checks, and confirmation numbers are records. Cash leaves no record unless you get a receipt.

Which method gives the LEAST proof that you paid?

A. A check that the bank later shows as cleared
B. A debit card purchase listed on the statement
C. An online bill payment with a confirmation number
D. Cash with no receipt

CORRECT ANSWER

D. Cash with no receipt

Feedback (shown after answering)

Cash without a receipt leaves no proof of payment.

Why each other choice is wrong (misconception it represents)

A: A cleared check is a record
B: Statements are records
C: Confirmations are records

Type: instruction

BACKWARD B1 · concept review — Ways to pay · Question 3 of 5

Learn: A prepaid or gift card holds a set amount of money. Each purchase is subtracted until the card reaches $0.

A gift card loaded with $50 is used to buy a $12 item. What is left on the card?

A. $12
B. $38
C. $50
D. $62

CORRECT ANSWER

B. $38

Feedback (shown after answering)

$50 − $12 = $38.

Recomputed independently by the build: 38

Why each other choice is wrong (misconception it represents)

A: Confuses the price with what is left
C: Thinks the card balance does not change
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Ways to pay · Question 4 of 5

Who is the "payee" on a check?

A. The person or business that receives the money
B. The account holder who signs and writes the check
C. The bank that prints the check
D. The cashier who accepts the check

CORRECT ANSWER

A. The person or business that receives the money

Feedback (shown after answering)

The payee is named on the "Pay to the order of" line.

Why each other choice is wrong (misconception it represents)

B: Confuses payee with the account holder
C: Confuses payee with the bank
D: Confuses payee with an employee

Type: knowledge check

BACKWARD B1 · concept review — Ways to pay · Question 5 of 5

Which situation makes a payment app MOST risky to use?

A. Paying a stranger online before receiving the item
B. Splitting a dinner bill with a close friend
C. Paying a family member back for groceries
D. Sending rent money to a roommate you have lived with for a year

CORRECT ANSWER

A. Paying a stranger online before receiving the item

Feedback (shown after answering)

Paying strangers in advance is how many P2P scams work, because payments are hard to reverse.

Why each other choice is wrong (misconception it represents)

B: Low risk
C: Low risk
D: Low risk

Type: knowledge check

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 1 of 5

Learn: A wire transfer moves money between banks quickly, often the same day, and is generally final once sent. ACH transfers (used for direct deposit and online bill pay) move money between bank accounts more slowly and have some ways to return errors. Scammers often ask for wires because they are fast and hard to reverse.

Which payment is generally the hardest to reverse once sent?

A. A credit card purchase
B. A check that has not been cashed yet
C. A debit card purchase you did not authorize
D. A wire transfer

CORRECT ANSWER

D. A wire transfer

Feedback (shown after answering)

Wires are fast and generally final, which is why scammers prefer them.

Why each other choice is wrong (misconception it represents)

A: Credit card disputes are available
B: A stop payment may be possible
C: Unauthorized transfers are protected

Type: instruction

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 2 of 5

Learn: A cashier's check is drawn on the bank's own funds, so a real one is very reliable. But fake cashier's checks are common. The bank may make the money available before discovering the check is fake; when it bounces, you owe the bank the full amount.

A buyer sends Liam a cashier's check for $1,500 for a $500 phone and asks him to wire back the extra $1,000. What is most likely happening?

A. A fake-check scam
B. A generous buyer making an honest mistake
C. A normal practice for cashier's checks
D. A bank error that the bank will cover

CORRECT ANSWER

A. A fake-check scam

Feedback (shown after answering)

Overpayment with a request to send money back is a classic fake-check scam. Liam would owe the bank when the check bounces.

Why each other choice is wrong (misconception it represents)

B: Ignores the classic overpayment scam pattern
C: Thinks overpay-and-refund is normal
D: Thinks the bank absorbs fraud losses

Type: instruction

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 3 of 5

Learn: The ACH (Automated Clearing House) network moves money electronically between bank accounts in batches. It is cheaper and slower than a wire transfer.

Which is a typical use of an ACH transfer?

A. Buying groceries with cash
B. Paying a bill with a paper money order bought at a store
C. Swiping a credit card at a store
D. An employer's direct deposit of paychecks

CORRECT ANSWER

D. An employer's direct deposit of paychecks

Feedback (shown after answering)

Direct deposit and many automatic bill payments use the ACH network.

Why each other choice is wrong (misconception it represents)

A: Not electronic
B: Paper instrument
C: Card network, not ACH

Type: instruction

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 4 of 5

Learn: Criminals hack or fake emails and send new "updated" wire instructions so money goes to their account. Because wires are hard to reverse, verify instructions through a trusted phone number, not one in the suspicious email.

Before wiring money for a home or apartment deposit, what is the safest step?

A. Use the instructions in the most recent email, even if they changed
B. Wire the money quickly so you do not lose the apartment
C. Ask the sender to text you the account number again
D. Call a phone number you already know is real to confirm the instructions

CORRECT ANSWER

D. Call a phone number you already know is real to confirm the instructions

Feedback (shown after answering)

Independent verification defeats changed-instructions scams.

Why each other choice is wrong (misconception it represents)

A: Common email-hacking scam
B: Pressure tactic
C: Uses the same possibly hacked channel

Type: instruction · practical how-to

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 5 of 5

Learn: Until a check is paid by your bank, you can ask the bank not to pay it. Banks usually charge a fee for this service, and it does not work on a check that has already cleared.

Ruth wrote a check and then learned it was lost in the mail before it was cashed. What service could stop it?

A. A stop payment order through her bank
B. A wire recall, which works on all checks
C. Reporting the check to the IRS
D. Writing a second check for the same amount

CORRECT ANSWER

A. A stop payment order through her bank

Feedback (shown after answering)

A stop payment order tells the bank not to pay that check, if it has not already cleared.

Why each other choice is wrong (misconception it represents)

B: Confuses wires with checks
C: Wrong agency
D: Risks paying twice

Type: instruction · practical how-to

GO DEEPER 2 — Payment app safety · Question 1 of 5

Learn: A common scam claims you received money "by mistake" and asks you to send it back. Sometimes the original payment was made with stolen information and is later reversed, leaving you with the loss. Verify inside your own app or bank, never through a link or message.

Someone texts Ava: "I sent you $200 by mistake — please send it back!" Her app shows no new money in her account. What should she do?

A. Check her own account directly and send nothing
B. Send $200 back right away to be polite
C. Reply with her bank login so they can fix it
D. Send $100 as a compromise

CORRECT ANSWER

A. Check her own account directly and send nothing

Feedback (shown after answering)

Without verified money in her own account, there is nothing to return. Even if money did arrive, contact the app's support rather than sending money.

Why each other choice is wrong (misconception it represents)

B: Falls for the mistaken-payment scam
C: Shares credentials
D: Still sends money to a scammer

Type: instruction · practical how-to

GO DEEPER 2 — Payment app safety · Question 2 of 5

Which setting adds the most protection to a payment app?

A. Sharing your login with a parent and a friend so they can watch for fraud
B. Using the same password as your email
C. Turning off notifications
D. Multi-factor authentication and a passcode on the app

CORRECT ANSWER

D. Multi-factor authentication and a passcode on the app

Feedback (shown after answering)

Multi-factor authentication and an app passcode make unauthorized access much harder.

Why each other choice is wrong (misconception it represents)

A: Increases exposure
B: Password reuse risk
C: Removes warnings

Type: knowledge check · practical how-to

GO DEEPER 2 — Payment app safety · Question 3 of 5

Learn: Real banks and payment apps do not ask you to move money to a "safe account" to protect it. Imposters pretend to be bank staff, tech support, or government officials and create urgency.

A "customer support" caller says your payment app is hacked and asks you to send your balance to a "safe account." What is this?

A. A standard security procedure
B. A government requirement
C. A normal account-security check
D. An imposter scam

CORRECT ANSWER

D. An imposter scam

Feedback (shown after answering)

Any request to move money to protect it is a red flag for an imposter scam. Hang up and call the official number.

Why each other choice is wrong (misconception it represents)

A: Real companies do not ask this
B: Invents a rule
C: Believes real support asks for codes

Type: instruction

GO DEEPER 2 — Payment app safety · Question 4 of 5

Which payment is generally protected under federal error rules (Regulation E)?

A. A transfer someone else made from your account without permission
B. A payment you chose to send to an online seller who never shipped
C. A payment you sent to the wrong person after typing their name
D. Money you lost gambling with an app

CORRECT ANSWER

A. A transfer someone else made from your account without permission

Feedback (shown after answering)

Regulation E protections focus on unauthorized transfers and certain errors; payments you authorize, even to scammers, are often not covered.

Why each other choice is wrong (misconception it represents)

B: Authorized payment
C: Authorized but mistaken
D: Authorized activity

Type: knowledge check

GO DEEPER 2 — Payment app safety · Question 5 of 5

Before sending money with a payment app to someone new, which step lowers the risk the MOST?

A. Sending a small test payment to a stranger
B. Checking that the stranger's profile has a photo and many friends
C. Asking the stranger to promise to deliver
D. Confirming who the recipient is through a source you trust

CORRECT ANSWER

D. Confirming who the recipient is through a source you trust

Feedback (shown after answering)

Verifying who you are paying, through a channel you trust, protects against paying an imposter or scammer, since app payments you send are hard to reverse.

Why each other choice is wrong (misconception it represents)

A: Still pays a stranger
B: Photos are easy to fake
C: Promises are not protection

Type: knowledge check · practical how-to

SET 8 · Earning Income, Employment, and Paychecks

Hourly wages and overtime

MAIN skill: Calculate gross pay for hourly work, including overtime

Outcome FL.INCOME.08 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: Calculate gross pay for hourly work; overtime and tipped wages

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Wages, hours, and gross pay (5 questions)
  Why: Gross pay and overtime problems require knowing that a wage is pay per hour and how hours convert to decimals.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Gross pay multiplies a decimal wage by decimal hours.
- B3 · Math link → G6-S03-M (Grade 6 6.RP.A.2): Find and describe a unit rate
  Why: An hourly wage is a unit rate (dollars per hour).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Overtime rules in detail (5 questions)
- Go Deeper 2: Tips and tipped wages (5 questions)

Practical skills beyond the standards: Reading a timecard

Content status: time-sensitive

Source: U.S. Department of Labor — Under the FLSA, covered nonexempt employees receive overtime pay of at least 1.5 times the regular rate for hours over 40 in a workweek; some states set a higher minimum wage than the federal one. https://www.dol.gov/agencies/whd/overtime

Source: IRS (Publication 531) — Employees who receive $20 or more in cash and charged tips in a month from one employer must report them to that employer; all tips, including noncash tips, are income. https://www.irs.gov/publications/p531

Source: IRS (No tax on tips deduction) — A new deduction for qualified tips (tax years 2025-2028, with limits) lowers income tax only; tips still must be reported, and Social Security and Medicare taxes still apply. https://www.irs.gov/newsroom/what-the-no-tax-on-tips-deduction-means-for-you

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 D, B1-Q2 D, B1-Q3 D, B1-Q4 A, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 B, F1-Q4 A, F1-Q5 B, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 B, F2-Q5 A

MAIN — Calculate gross pay for hourly work, including overtime · Question 1 of 5

Learn: An hourly wage is the amount paid for each hour of work. Gross pay is the total earned before taxes or any other deductions are taken out. For hourly work: gross pay = hourly wage × hours worked.

Jada earns $16.50 per hour and works 24 hours this week. What is her gross pay for the week?

A. $40.50
B. $384.00
C. $396.00
D. $3,960.00

CORRECT ANSWER

C. $396.00

Feedback (shown after answering)

$16.50 × 24 = $396.00.

Recomputed independently by the build: 396

Why each other choice is wrong (misconception it represents)

A: Adds the wage and the hours
B: Rounds the wage down to $16
D: Misplaces the decimal point

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 2 of 5

Learn: Federal law (the Fair Labor Standards Act) requires covered, nonexempt employees to be paid at least 1.5 times their regular rate for hours over 40 in a workweek: "time and a half." Hours up to 40 are paid at the regular rate. Some jobs are exempt from overtime.

Malik is a covered, nonexempt hourly employee who earns $18 per hour. He works 46 hours in one workweek. Under the federal overtime rule, what is his gross pay?

A. $828
B. $855
C. $882
D. $1,242

CORRECT ANSWER

C. $882

Feedback (shown after answering)

Regular: 40 × $18 = $720. Overtime rate: $18 × 1.5 = $27. Overtime: 6 × $27 = $162. Total: $882.

Recomputed independently by the build: 882

Why each other choice is wrong (misconception it represents)

A: Pays every hour at the regular rate
B: Uses 1.25 instead of 1.5 for overtime
D: Pays every hour at the overtime rate

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 3 of 5

Learn: Paychecks show two key amounts. Gross pay is everything earned for the period. Net pay ("take-home pay") is what is left after deductions such as taxes and benefit costs, and it is what is actually deposited.

Malik's pay stub shows "Gross pay: $882." What does gross pay mean?

A. His total earnings before any deductions
B. The amount deposited into his bank account
C. His pay after taxes but before his retirement contribution
D. The overtime portion of his paycheck only

CORRECT ANSWER

A. His total earnings before any deductions

Feedback (shown after answering)

Gross pay is the total earned before deductions; net pay is what he takes home.

Why each other choice is wrong (misconception it represents)

B: Confuses gross pay with net pay
C: Thinks gross pay is partly after deductions
D: Thinks gross means overtime

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 4 of 5

Learn: Timecards often record hours in decimals: 15 minutes is 0.25 hour, 30 minutes is 0.5 hour, and 45 minutes is 0.75 hour. Add the hours first, then multiply by the hourly wage.

Ana's timecard shows Monday 6.5 hours, Wednesday 4.25 hours, and Saturday 8 hours. She earns $15.20 per hour. What is her gross pay?

A. $28.50
B. $273.60
C. $285.00
D. $296.40

CORRECT ANSWER

C. $285.00

Feedback (shown after answering)

6.5 + 4.25 + 8 = 18.75 hours. $15.20 × 18.75 = $285.00.

Recomputed independently by the build: 285

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal point
B: Drops the quarter hour and uses 18 hours
D: Adds the hours incorrectly as 19.5

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 5 of 5

Two summer jobs require 30 hours a week. Job A pays $17.25 per hour. Job B pays a flat $500 per week. Which pays more per week, and by how much?

A. Job A, by $17.50
B. Job B, by $17.50
C. Job A, by $17.25
D. They pay the same amount

CORRECT ANSWER

A. Job A, by $17.50

Feedback (shown after answering)

Job A: 30 × $17.25 = $517.50, which is $17.50 more than $500.
Recomputed independently by the build: 17.5

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Uses one hour's wage as the difference
D: Does not compute the hourly total

Type: knowledge check

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 1 of 5

Learn: A wage is a rate: dollars per hour. The more hours you work, the more you earn.

A job pays $14 per hour. What does that mean?

A. The worker earns $14 for the whole day
B. The worker earns $14 per week no matter the hours
C. The worker pays $14 for each hour of training
D. The worker earns $14 for each hour worked

CORRECT ANSWER

D. The worker earns $14 for each hour worked

Feedback (shown after answering)

$14 per hour means $14 for every hour worked.

Why each other choice is wrong (misconception it represents)

A: Confuses a wage with a daily amount
B: Confuses a wage with a weekly salary
C: Reverses who pays

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 2 of 5

Learn: Earnings for hourly work = wage × hours.

Rina earns $14 per hour and works 10 hours. How much does she earn?

A. $1.40
B. $14
C. $24
D. $140

CORRECT ANSWER

D. $140

Feedback (shown after answering)

$14 × 10 = $140.

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Divides instead of multiplying
B: Uses one hour only
C: Adds instead of multiplying

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 3 of 5

Learn: An hour has 60 minutes. To change minutes to part of an hour, divide by 60: 15 ÷ 60 = 0.25.

How many hours is 7 hours and 15 minutes, written as a decimal?

A. 7.15 hours
B. 7.5 hours
C. 7.75 hours
D. 7.25 hours

CORRECT ANSWER

D. 7.25 hours

Feedback (shown after answering)

15 minutes = 15/60 = 0.25 hour, so 7 h 15 min = 7.25 hours.

Recomputed independently by the build: 7.25

Why each other choice is wrong (misconception it represents)

A: Writes minutes as hundredths of an hour
B: Treats 15 minutes as half an hour
C: Treats 15 minutes as three quarters

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 4 of 5

Learn: "Gross" pay is the full amount earned. "Net" pay, also called take-home pay, is what remains after deductions.

Which number on a paycheck shows earnings BEFORE taxes are taken out?

A. Gross pay
B. Net pay
C. Take-home pay
D. Direct deposit amount

CORRECT ANSWER

A. Gross pay

Feedback (shown after answering)

Gross pay is before deductions.

Why each other choice is wrong (misconception it represents)

B: Confuses net with gross
C: Another name for net pay
D: This is the net amount

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 5 of 5

Learn: A raise in the hourly wage adds that amount for every hour worked.

Leo's wage rises from $15 to $16 per hour. He works 20 hours a week. How much more does he earn each week?

A. $1
B. $16
C. $20
D. $320

CORRECT ANSWER

C. $20

Feedback (shown after answering)

$1 more per hour × 20 hours = $20 more per week.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Gives the raise per hour, not per week
B: Gives the new wage
D: Gives his new weekly pay

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 1 of 5

Learn: Federal overtime is based on hours in a WORKWEEK (any fixed, repeating 7-day period), not hours in a day. A few states also require daily overtime, so state law can add protection.

Jon works 10 hours a day, Monday through Thursday, and no other hours that week. Under the federal rule, how many overtime hours does he earn?

A. 8 hours
B. 2 hours
C. 10 hours
D. 0 hours

CORRECT ANSWER

D. 0 hours

Feedback (shown after answering)

4 × 10 = 40 hours, which is not over 40 in the workweek, so there is no federal overtime. A state with daily overtime rules could require more.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Counts hours over 8 each day
B: Counts one long day
C: Counts one whole day as overtime

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 2 of 5

Learn: Some salaried employees are "exempt" from overtime because they are paid at least a minimum salary and their main duties are executive, administrative, or professional. Being paid a salary alone does not make someone exempt; the duties test also matters.

A salaried store manager meets the legal tests for an "exempt" employee and works 50 hours one week. What overtime pay does federal law require?

A. No overtime pay is required
B. Time and a half for the 10 extra hours
C. Double time for every hour over 40
D. One extra day off for each hour over 40

CORRECT ANSWER

A. No overtime pay is required

Feedback (shown after answering)

Exempt employees are not entitled to overtime pay under federal law, even for long weeks.

Why each other choice is wrong (misconception it represents)

B: Applies the nonexempt rule
C: Invents a double-time rule
D: Invents a time-off rule

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 3 of 5

Pia is a covered, nonexempt employee who earns $20 per hour and works 52 hours in one workweek. Under the federal overtime rule, what is her gross pay?

A. $1,040
B. $1,160
C. $1,280
D. $1,560

CORRECT ANSWER

B. $1,160

Feedback (shown after answering)

40 × $20 = $800; 12 × $30 = $360; total $1,160.

Recomputed independently by the build: 1160

Why each other choice is wrong (misconception it represents)

A: Pays every hour at the regular rate
C: Pays overtime at double time
D: Pays every hour at time and a half

Type: knowledge check

GO DEEPER 1 — Overtime rules in detail · Question 4 of 5

Learn: The federal overtime law does not require extra pay for holidays or weekends. Many employers offer holiday pay as a policy, and union contracts may require it, but that is not the federal rule.

Does federal law require employers to pay time and a half for working on a holiday, when the week totals 32 hours?

A. No; it depends on employer policy
B. Yes, for every federal holiday
C. Yes, but only on weekends
D. Yes, if the employee asks for it in writing

CORRECT ANSWER

A. No; it depends on employer policy

Feedback (shown after answering)

Holiday premium pay comes from employer policy or contracts, not the FLSA; at 32 hours, no overtime applies.

Why each other choice is wrong (misconception it represents)

B: Confuses common policy with law
C: Invents a weekend rule
D: Invents a request rule

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 5 of 5

Job A pays $19 per hour and usually schedules 45 hours a week (overtime applies). How much does Job A pay for a typical week?

A. $855.00
B. $902.50
C. $950.00
D. $1,282.50

CORRECT ANSWER

B. $902.50

Feedback (shown after answering)

40 × $19 = $760; overtime rate $28.50 × 5 = $142.50; total $902.50.
Recomputed independently by the build: 902.5

Why each other choice is wrong (misconception it represents)

A: Pays every hour at the regular rate
C: Pays the overtime hours at double time
D: Pays every hour at time and a half

Type: knowledge check

GO DEEPER 2 — Tips and tipped wages · Question 1 of 5

Learn: In many restaurant jobs, pay has two parts: an hourly cash wage from the employer and tips from customers. Some states allow a lower cash wage for tipped workers (a "tip credit"), and others require the full minimum wage before tips.

Kai, a server, worked 25 hours at a cash wage of $5.00 per hour and earned $410 in tips. What were his total earnings for the week?

A. $125
B. $410
C. $440
D. $535

CORRECT ANSWER

D. $535

Feedback (shown after answering)

25 × $5.00 = $125; $125 + $410 = $535.

Recomputed independently by the build: 535

Why each other choice is wrong (misconception it represents)

A: Leaves out tips
B: Leaves out the cash wage
C: Adds hours instead of wage × hours

Type: instruction

GO DEEPER 2 — Tips and tipped wages · Question 2 of 5

Kai earned $535 in wages and tips for 25 hours of work. What were his average earnings per hour?

A. $5.00
B. $16.40
C. $21.40
D. $22.40

CORRECT ANSWER

C. $21.40

Feedback (shown after answering)

$535 ÷ 25 = $21.40 per hour.

Recomputed independently by the build: 21.4

Why each other choice is wrong (misconception it represents)

A: Uses only the cash wage
B: Uses only tips per hour
D: Divides incorrectly

Type: knowledge check

GO DEEPER 2 — Tips and tipped wages · Question 3 of 5

Learn: Tips are taxable income. An employee who receives $20 or more in cash and charged (card) tips in a month at one job must report them to that employer, who includes them in payroll and withholding. Noncash tips (such as tickets) are not reported to the employer but are still income. A deduction for some qualified tips, available in recent tax years, can lower income tax, but tips must still be reported, and Social Security and Medicare taxes still apply.

Kai, a restaurant employee, received $410 in cash and card tips this month at one job. What does the IRS require?

A. Nothing; tips are gifts and never taxed
B. He reports tips only in months when they exceed $1,000 in total
C. Nothing, because a tip deduction means tips are no longer reported
D. He reports them to his employer; they are taxable income

CORRECT ANSWER

D. He reports them to his employer; they are taxable income

Feedback (shown after answering)

Monthly cash and card tips of $20 or more must be reported to the employer, and tips are taxable.

Why each other choice is wrong (misconception it represents)

A: Thinks tips are tax-free gifts
B: Invents a threshold
C: Confuses a possible income tax deduction with reporting

Type: instruction · rule as of IRS rules as of 2026

GO DEEPER 2 — Tips and tipped wages · Question 4 of 5

Learn: When an employer pays a lower cash wage and counts tips toward the minimum wage, the employer must make up the difference if wages plus tips fall below the applicable minimum wage for the hours worked. Minimum wages and tip-credit rules differ by state; the federal minimum is lower than many state minimums.

Lia works in a state whose applicable minimum wage is $15.00 per hour and that allows a tip credit. She works 20 hours at a $5.00 cash wage and earns $150 in tips. Her wages plus tips must reach at least the minimum wage for those hours. How much must her employer add?

A. $0
B. $50
C. $150
D. $200

CORRECT ANSWER

B. $50

Feedback (shown after answering)

Required: 20 × $15 = $300. She received $100 + $150 = $250. The employer must add $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Ignores the shortfall
C: Gives her tips as the amount owed
D: Ignores the tips she received

Type: instruction

GO DEEPER 2 — Tips and tipped wages · Question 5 of 5

Kai's tips vary from $250 to $500 a week. Which budgeting approach is safest?

A. Plan around a lower weekly amount and save the extra
B. Plan around his best week ever
C. Plan around the average and spend any extra right away
D. Ignore tips completely and skip budgeting

CORRECT ANSWER

A. Plan around a lower weekly amount and save the extra

Feedback (shown after answering)

With uneven income, budgeting on a conservative amount and saving surpluses smooths slow weeks.

Why each other choice is wrong (misconception it represents)

B: Budgets on the highest income
C: Leaves no cushion for slow weeks
D: Avoids planning

Type: knowledge check

SET 9 · Earning Income, Employment, and Paychecks

Salaries, hourly pay, and pay periods

MAIN skill: Convert between annual salary, hourly pay, and pay per paycheck

Outcome FL.INCOME.09 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: Compare compensation: hourly wages, salaries, and pay periods

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Weeks, months, and years in pay (5 questions)
  Why: Converting pay requires knowing how many weeks and months are in a year and that a month is about 4.33 weeks, not 4.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Pay-per-period problems divide yearly pay by the number of paychecks.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Converting between hourly, weekly, monthly, and yearly pay chains several rates.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing job offers by yearly pay (5 questions)
- Go Deeper 2: Raises and percent changes in pay (5 questions)

Practical skills beyond the standards: Comparing job offers by yearly pay

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 D, B1-Q1 C, B1-Q2 A, B1-Q3 C, B1-Q4 D, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 B, F2-Q2 B, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 1 of 5

Learn: A salary is a fixed yearly amount, often paid in equal paychecks. To compare a salary with an hourly wage, use the number of hours worked in a year. A common full-time estimate is 40 hours × 52 weeks = 2,080 hours.

A full-time job pays a salary of $41,600 per year. Full-time is 40 hours a week for 52 weeks (2,080 hours). What is the equivalent hourly rate?

A. $10.00
B. $20.00
C. $800.00
D. $3,466.67

CORRECT ANSWER

B. $20.00

Feedback (shown after answering)

$41,600 ÷ 2,080 = $20.00 per hour.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 4,160 hours
C: Gives the weekly pay
D: Gives the monthly pay

Type: instruction

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 2 of 5

Learn: Pay frequency affects each paycheck's size: weekly = 52 paychecks per year; biweekly (every two weeks) = 26; semimonthly (twice a month, such as the 1st and 15th) = 24; monthly = 12.

Ryan earns $41,600 a year, paid biweekly (every two weeks). What is his gross pay per paycheck?

A. $800.00
B. $1,600.00
C. $1,733.33
D. $3,466.67

CORRECT ANSWER

B. $1,600.00

Feedback (shown after answering)

$41,600 ÷ 26 = $1,600.00 per biweekly paycheck.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Uses 52 paychecks (weekly)
C: Uses 24 paychecks (semimonthly)
D: Uses 12 paychecks (monthly)

Type: instruction

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 3 of 5

Erin earns $41,600 a year, paid semimonthly (twice a month, 24 paychecks a year). What is her gross pay per paycheck (to the nearest cent)?

A. $1,600.00
B. $1,733.33
C. $1,840.00
D. $3,466.67

CORRECT ANSWER

B. $1,733.33

Feedback (shown after answering)

Semimonthly means 24 paychecks: $41,600 ÷ 24 = $1,733.33.
Recomputed independently by the build: 1733.333333

Why each other choice is wrong (misconception it represents)

A: Uses 26 paychecks
C: Uses 22.6 paychecks
D: Uses 12 paychecks

Type: knowledge check

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 4 of 5

Dev earns $22 per hour and works 40 hours a week for 52 weeks. What is his yearly gross pay?

A. $880
B. $3,813.33
C. $42,240
D. $45,760

CORRECT ANSWER

D. $45,760

Feedback (shown after answering)

$22 × 40 × 52 = $45,760.

Recomputed independently by the build: 45760

Why each other choice is wrong (misconception it represents)

A: Gives one week of pay
B: Gives one month of pay
C: Uses 48 weeks

Type: knowledge check

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 5 of 5

Learn: A year has 12 months but 52 weeks. Schedules based on weeks do not line up evenly with months, while schedules based on dates in the month always do.

Which pay schedule gives a worker three paychecks in two months of most years?

A. Semimonthly (twice a month)
B. Monthly
C. Annual
D. Biweekly (every two weeks)

CORRECT ANSWER

D. Biweekly (every two weeks)

Feedback (shown after answering)

Biweekly pay gives 26 paychecks a year, so two months have three paychecks. Semimonthly is always two per month.

Why each other choice is wrong (misconception it represents)

A: Always exactly two per month
B: Always one per month
C: One per year

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 1 of 5

Learn: A year has 52 weeks (and a day or two more). Since 52 ÷ 12 ≈ 4.33, a month is about 4.33 weeks, not exactly 4.

How many weeks are in a year?

A. 12
B. 48
C. 52
D. 365

CORRECT ANSWER

C. 52

Feedback (shown after answering)

A year has 52 weeks.

Recomputed independently by the build: 52

Why each other choice is wrong (misconception it represents)

A: Confuses weeks with months
B: Assumes 4 weeks in every month
D: Confuses weeks with days

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 2 of 5

Learn: To turn weekly pay into monthly pay accurately, find yearly pay first (× 52), then divide by 12.

Tom earns $500 a week. Which is the best estimate of his MONTHLY pay?

A. About $2,167
B. $2,000
C. $6,000
D. $125

CORRECT ANSWER

A. About $2,167

Feedback (shown after answering)

$500 × 52 = $26,000 per year; ÷ 12 ≈ $2,167 per month.

Recomputed independently by the build: 2166.666667

Why each other choice is wrong (misconception it represents)

B: Assumes exactly 4 weeks per month
C: Multiplies by 12
D: Divides by 4

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 3 of 5

Learn: To turn monthly pay into yearly pay, multiply by 12.

A job pays $2,400 per month. What is the yearly pay?

A. $200
B. $9,600
C. $28,800
D. $124,800

CORRECT ANSWER

C. $28,800

Feedback (shown after answering)

$2,400 × 12 = $28,800.

Recomputed independently by the build: 28800

Why each other choice is wrong (misconception it represents)

A: Divides by 12
B: Multiplies by 4
D: Multiplies by 52

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 4 of 5

Learn: Hourly workers are paid for each hour worked. Salaried workers are paid a set amount per year, usually split evenly across paychecks, regardless of small changes in hours.

What is a "salary"?

A. Pay that changes with every hour worked
B. Money earned only from tips
C. A bonus paid at the end of the year
D. A set yearly amount, paid in paychecks

CORRECT ANSWER

D. A set yearly amount, paid in paychecks

Feedback (shown after answering)

A salary is a set annual amount paid in regular paychecks.

Why each other choice is wrong (misconception it represents)

A: Describes hourly pay
B: Describes tips
C: Describes a bonus

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 5 of 5

How many hours does a full-time worker at 40 hours a week work in 52 weeks?

A. 160
B. 480
C. 2,000
D. 2,080

CORRECT ANSWER

D. 2,080

Feedback (shown after answering)

40 × 52 = 2,080 hours.

Recomputed independently by the build: 2080

Why each other choice is wrong (misconception it represents)

A: Uses 4 weeks
B: Uses 12 weeks
C: Rounds to a guess

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 1 of 5

Learn: To compare offers, put them on the same basis, usually yearly gross pay. Count only weeks that are actually paid.

Offer A: $21 per hour, 40 hours a week, 50 paid weeks a year. Offer B: salary of $43,000. Which pays more per year, and by how much?

A. Offer A, by $1,000
B. Offer A, by $680
C. They pay the same
D. Offer B, by $1,000

CORRECT ANSWER

D. Offer B, by $1,000

Feedback (shown after answering)

Offer A: $21 × 40 × 50 = $42,000. Offer B: $43,000, which is $1,000 more.

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Uses 52 weeks for Offer A
C: Does not compute

Type: instruction

GO DEEPER 1 — Comparing job offers by yearly pay · Question 2 of 5

Offer C pays $19 per hour, but expected overtime adds 5 hours at time and a half every week for 50 weeks. What is the yearly pay from the overtime alone?

A. $142.50
B. $4,750
C. $7,125
D. $9,500

CORRECT ANSWER

C. $7,125

Feedback (shown after answering)

Overtime rate $28.50 × 5 hours = $142.50 per week; × 50 weeks = $7,125.

Recomputed independently by the build: 7125

Why each other choice is wrong (misconception it represents)

A: Gives one week of overtime pay
B: Pays overtime at the regular rate
D: Uses double time

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 3 of 5

Why should expected overtime be treated cautiously when comparing offers?

A. Overtime hours may not be guaranteed and can change
B. Overtime is illegal in most jobs
C. Overtime pay is never taxed
D. Overtime always lowers your hourly rate

CORRECT ANSWER

A. Overtime hours may not be guaranteed and can change

Feedback (shown after answering)

Overtime depends on the employer's needs. Base pay is more predictable.

Why each other choice is wrong (misconception it represents)

B: Overstates restrictions
C: Invents a tax rule
D: Reverses the effect

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 4 of 5

Two offers both pay $45,000. Offer D is paid monthly; Offer E is paid biweekly. Which statement is TRUE?

A. Offer E pays more because there are more paychecks
B. Offer D pays more because each paycheck is larger
C. Offer E pays less because of extra processing
D. They pay the same per year

CORRECT ANSWER

D. They pay the same per year

Feedback (shown after answering)

$45,000 is $45,000 either way: 12 checks of $3,750 or 26 checks of about $1,730.77.

Why each other choice is wrong (misconception it represents)

A: Confuses more paychecks with more pay
B: Confuses paycheck size with yearly pay
C: Invents a cost

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 5 of 5

Offer F: $40,000 salary plus an expected $3,000 yearly bonus that is not guaranteed. Offer G: $42,500 salary. If the bonus is paid, which pays more and by how much?

A. Offer F, by $500
B. Offer G, by $500
C. Offer G, by $2,500
D. Offer F, by $3,000

CORRECT ANSWER

A. Offer F, by $500

Feedback (shown after answering)

F: $40,000 + $3,000 = $43,000, which is $500 more than G's $42,500, but only if the bonus is paid.

Why each other choice is wrong (misconception it represents)

B: Ignores the bonus
C: Compares base salaries only
D: Ignores the salary difference

Type: knowledge check

GO DEEPER 2 — Raises and percent changes in pay · Question 1 of 5

Learn: A raise given as a percent is a percent of current pay: raise = pay × rate (as a decimal). New pay = pay × (1 + rate).

Noor earns $45,000 and receives a 3% raise. What is the raise in dollars?

A. $135
B. $1,350
C. $13,500
D. $46,350

CORRECT ANSWER

B. $1,350

Feedback (shown after answering)

$45,000 × 0.03 = $1,350.

Recomputed independently by the build: 1350

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Gives the new salary

Type: instruction

GO DEEPER 2 — Raises and percent changes in pay · Question 2 of 5

Noor earns $45,000 and receives a 3% raise. What is her new salary?

A. $45,135
B. $46,350
C. $48,000
D. $58,500

CORRECT ANSWER

B. $46,350

Feedback (shown after answering)

$45,000 × 1.03 = $46,350.

Recomputed independently by the build: 46350

Why each other choice is wrong (misconception it represents)

A: Adds 0.3%
C: Adds $3,000
D: Uses 30%

Type: knowledge check

GO DEEPER 2 — Raises and percent changes in pay · Question 3 of 5

Learn: Purchasing power is what your money can buy. If prices rise faster than your pay, your pay buys less, even though the number of dollars went up.

Prices rose 4% the same year Noor got a 3% raise. What happened to what her pay can buy?

A. It rose by 3%
B. It rose by 7%
C. It stayed exactly the same
D. It fell slightly

CORRECT ANSWER

D. It fell slightly

Feedback (shown after answering)

A 3% raise with 4% inflation means her pay buys about 1% less than before.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
B: Adds the two percents
C: Assumes changes cancel

Type: instruction

GO DEEPER 2 — Raises and percent changes in pay · Question 4 of 5

Learn: Percent change = (new − old) ÷ old × 100.

Noor's pay rose from $46,350 to $48,204. What percent raise was this?

A. 0.4%
B. 3%
C. 4%
D. 1,854%

CORRECT ANSWER

C. 4%

Feedback (shown after answering)

($48,204 − $46,350) ÷ $46,350 = $1,854 ÷ $46,350 = 0.04 = 4%.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses last year's raise
D: Uses the dollar change as a percent

Type: instruction

GO DEEPER 2 — Raises and percent changes in pay · Question 5 of 5

Which is worth more over the next year: a one-time $1,000 bonus, or a 2% raise on a $40,000 salary?

A. The bonus: $1,000 vs $800
B. The raise: $2,000 vs $1,000
C. The raise: $8,000 vs $1,000
D. Neither; both are worth $1,000

CORRECT ANSWER

A. The bonus: $1,000 vs $800

Feedback (shown after answering)

2% of $40,000 = $800 for the next year, less than the $1,000 bonus. (A raise usually continues in later years, which a bonus does not.)

Recomputed independently by the build: 800

Why each other choice is wrong (misconception it represents)

B: Uses 5% instead of 2%
C: Uses 20% instead of 2%
D: Does not compute the raise

Type: knowledge check

SET 10 · Earning Income, Employment, and Paychecks

Reading a pay stub

MAIN skill: Read a pay stub and calculate deductions and net pay

Outcome FL.INCOME.10 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: 12-6a calculate the taxes likely to be withheld from pay; read a pay statement

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Gross pay versus net pay (5 questions)
  Why: Students who confuse gross and net pay cannot read a pay stub or budget correctly.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: FICA and other deductions are percents of gross pay.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Net pay is gross pay minus deductions in dollars and cents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pre-tax and after-tax deductions (5 questions)
- Go Deeper 2: Year-to-date totals and checking for errors (5 questions)

Practical skills beyond the standards: Checking a pay stub for errors

Content status: time-sensitive

Source: IRS (Topic 751) — Employee Social Security tax is 6.2% (up to the annual wage base) and Medicare tax is 1.45% of wages. https://www.irs.gov/taxtopics/tc751

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 B, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 B, B1-Q3 D, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 A, F1-Q3 B, F1-Q4 A, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Read a pay stub and calculate deductions and net pay · Question 1 of 5

Learn: A pay stub (pay statement) shows: gross pay; deductions, which are amounts taken out for taxes, retirement, insurance, and more; net pay, which is gross pay minus deductions; and year-to-date (YTD) totals. Net pay is your take-home pay.

Which amount on a pay stub is the money actually deposited into the worker's bank account?

A. Net pay
B. Gross pay
C. Year-to-date gross
D. Total deductions

CORRECT ANSWER

A. Net pay

Feedback (shown after answering)

Net pay = gross pay − deductions, and it is the amount deposited.

Why each other choice is wrong (misconception it represents)

B: Confuses gross with net
C: Confuses this period with the year total
D: Confuses money taken out with money received

Type: instruction

MAIN — Read a pay stub and calculate deductions and net pay · Question 2 of 5

Learn: FICA taxes fund Social Security and Medicare. Employees pay 6.2% of wages for Social Security (up to a yearly wage limit) and 1.45% for Medicare. The employer pays a matching amount.

Gabriel's gross pay is $1,200.00. The Social Security tax rate for employees is 6.2%. How much Social Security tax is withheld?

A. $7.44
B. $17.40
C. $74.40
D. $744.00

CORRECT ANSWER

C. $74.40

Feedback (shown after answering)

$1,200.00 × 0.062 = $74.40.

Recomputed independently by the build: 74.4

Why each other choice is wrong (misconception it represents)

A: Uses 0.62%
B: Uses the Medicare rate
D: Uses 62%

Type: instruction · rule as of FICA rates as of 2026

MAIN — Read a pay stub and calculate deductions and net pay · Question 3 of 5

Gabriel's gross pay is $1,200.00. The Medicare tax rate for employees is 1.45%. How much Medicare tax is withheld?

A. $1.74
B. $17.40
C. $74.40
D. $174.00

CORRECT ANSWER

B. $17.40

Feedback (shown after answering)

$1,200.00 × 0.0145 = $17.40.

Recomputed independently by the build: 17.4

Why each other choice is wrong (misconception it represents)

A: Uses 0.145%
C: Uses the Social Security rate
D: Uses 14.5%

Type: knowledge check · rule as of FICA rates as of 2026

MAIN — Read a pay stub and calculate deductions and net pay · Question 4 of 5

Learn: To find net pay, add all the deductions, then subtract the total from gross pay. Retirement contributions are deductions too, even though the money is still yours in a retirement account.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

What is Gabriel's net pay?

A. $262.60
B. $937.40
C. $997.40
D. $1,200.00

CORRECT ANSWER

B. $937.40

Feedback (shown after answering)

Deductions: $60.00 + $88.00 + $74.40 + $17.40 + $22.80 = $262.60. Net: $1,200.00 − $262.60 = $937.40.

Recomputed independently by the build: 937.4

Why each other choice is wrong (misconception it represents)

A: Gives total deductions instead of net pay
C: Leaves out the 401(k) deduction
D: Gives gross pay

Type: instruction · practical how-to

MAIN — Read a pay stub and calculate deductions and net pay · Question 5 of 5

Learn: Deductions go to different places. Income taxes and Social Security and Medicare taxes are sent to the government. Retirement plan contributions are deposited into an account in the worker's name.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

Which deduction is money Gabriel still owns after it leaves his paycheck?

A. The federal income tax
B. The Social Security tax
C. The state income tax
D. The 401(k) contribution

CORRECT ANSWER

D. The 401(k) contribution

Feedback (shown after answering)

A 401(k) contribution goes into his own retirement account. Taxes withheld are paid to the government (any overpaid income tax comes back as a refund).

Why each other choice is wrong (misconception it represents)

A: Thinks withheld tax is still his
B: Thinks FICA is personal savings
C: Thinks withheld tax is still his

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 1 of 5

Learn: Many workers have their paychecks deposited into bank accounts. The amount deposited is net pay: gross pay minus deductions such as taxes and benefit costs. Gross pay is what you earned; net pay is what you receive.

Ivy's job offer says "$18 per hour." Her first paycheck is smaller than 18 × her hours. Why?

A. Deductions were taken from her gross pay
B. Her employer made an error by paying less than promised
C. The bank charged a fee for depositing her paycheck
D. Her hourly wage was lowered in her first week

CORRECT ANSWER

A. Deductions were taken from her gross pay

Feedback (shown after answering)

Deductions explain the difference between gross pay (18 × hours) and net pay.

Why each other choice is wrong (misconception it represents)

B: Expects net pay to equal gross pay
C: Blames the bank for deductions
D: Assumes the wage changed

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 2 of 5

Learn: Net pay = gross pay − total deductions.

Gross pay $500. Deductions $85. What is net pay?

A. $85
B. $415
C. $500
D. $585

CORRECT ANSWER

B. $415

Feedback (shown after answering)

$500 − $85 = $415.

Recomputed independently by the build: 415

Why each other choice is wrong (misconception it represents)

A: Gives deductions
C: Gives gross pay
D: Adds deductions

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 3 of 5

Learn: Gross pay = net pay + deductions.

Net pay is $640 and deductions are $160. What was gross pay?

A. $160
B. $480
C. $640
D. $800

CORRECT ANSWER

D. $800

Feedback (shown after answering)

$640 + $160 = $800.

Recomputed independently by the build: 800

Why each other choice is wrong (misconception it represents)

A: Gives deductions
B: Subtracts deductions from net
C: Gives net pay

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 4 of 5

Ivy earns $18 per hour, but her take-home pay is less after deductions. Which amount should she use to plan her monthly spending?

A. Her gross pay
B. Her hourly wage times 40
C. Her yearly salary divided by 4
D. Her net pay

CORRECT ANSWER

D. Her net pay

Feedback (shown after answering)

Budgets are built on take-home (net) pay, the money she actually has.

Why each other choice is wrong (misconception it represents)

A: Budgets with money she never receives
B: Uses an estimate of gross pay
C: Wrong conversion and gross amount

Type: knowledge check

BACKWARD B1 · concept review — Gross pay versus net pay · Question 5 of 5

Which item is a deduction, NOT part of gross pay?

A. Overtime pay
B. Hourly wages
C. A sales commission
D. Federal income tax withheld

CORRECT ANSWER

D. Federal income tax withheld

Feedback (shown after answering)

Withheld taxes are deductions. Overtime, wages, and commissions are all part of gross pay.

Why each other choice is wrong (misconception it represents)

A: Overtime is earned pay
B: Wages are earned pay
C: Commission is earned pay

Type: knowledge check

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 1 of 5

Learn: A pre-tax deduction is taken out before income tax is figured, which lowers taxable wages. A traditional 401(k) contribution is pre-tax for income tax, but Social Security and Medicare taxes still apply to it.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

The 401(k) contribution is pre-tax for federal income tax. What are Gabriel's federal taxable wages for this paycheck?

A. $937.40
B. $1,140.00
C. $1,200.00
D. $1,260.00

CORRECT ANSWER

B. $1,140.00

Feedback (shown after answering)

$1,200.00 − $60.00 = $1,140.00 of federal taxable wages.

Recomputed independently by the build: 1140

Why each other choice is wrong (misconception it represents)

A: Uses net pay
C: Ignores the pre-tax deduction
D: Adds the contribution

Type: instruction

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 2 of 5

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80
Why are Social Security and Medicare figured on $1,200.00, not on $1,140.00 (gross pay minus the pre-tax 401(k) contribution)?

A. 401(k) deferrals are still subject to FICA
B. The payroll system made an error
C. FICA taxes are figured on net pay
D. Social Security is optional for young workers

CORRECT ANSWER

A. 401(k) deferrals are still subject to FICA

Feedback (shown after answering)

401(k) deferrals reduce income-taxable wages but not the wages used for Social Security and Medicare.

Why each other choice is wrong (misconception it represents)

B: Assumes a mistake
C: Confuses the FICA base with net pay
D: Invents an exemption

Type: knowledge check

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 3 of 5

Learn: Because pre-tax contributions lower taxable income, they also lower income tax. Contributing $60 pre-tax reduces take-home pay by less than $60.

Gabriel's federal tax rate on his last dollars of income is 12%. If he contributes $60 pre-tax, about how much does his take-home pay drop?

A. $7.20
B. $52.80
C. $60.00
D. $67.20

CORRECT ANSWER

B. $52.80

Feedback (shown after answering)

Tax saved: $60 × 0.12 = $7.20. Take-home drops by $60 − $7.20 = $52.80 (before any state tax effect).

Recomputed independently by the build: 52.8

Why each other choice is wrong (misconception it represents)

A: Gives the tax savings
C: Ignores the tax savings
D: Adds the tax savings

Type: instruction

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 4 of 5

Learn: After-tax deductions are taken out after income tax is figured. Roth retirement contributions are after-tax: no tax break now, but qualified withdrawals in retirement are tax-free.

A Roth 401(k) contribution is an after-tax deduction. Compared with a traditional (pre-tax) 401(k) contribution of the same amount today, it...

A. lowers today's take-home pay more, but qualified withdrawals later are tax-free
B. lowers today's take-home pay less and is taxed again later
C. has no effect on take-home pay
D. is not allowed for workers under 25

CORRECT ANSWER

A. lowers today's take-home pay more, but qualified withdrawals later are tax-free

Feedback (shown after answering)

Roth contributions do not reduce taxable income now, so take-home falls by the full amount; qualified withdrawals later are tax-free.

Why each other choice is wrong (misconception it represents)

B: Reverses the tax treatment
C: Ignores the deduction
D: Invents an age rule

Type: instruction

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 5 of 5

Which deduction is usually AFTER-tax?

A. A traditional 401(k) contribution
B. A health insurance premium through a cafeteria plan
C. A health savings account (HSA) payroll contribution
D. Union dues taken from pay

CORRECT ANSWER

D. Union dues taken from pay

Feedback (shown after answering)

Union dues are typically after-tax. Traditional 401(k), cafeteria-plan health premiums, and HSA payroll contributions are typically pre-tax.

Why each other choice is wrong (misconception it represents)

A: Pre-tax for income tax
B: Usually pre-tax
C: Usually pre-tax

Type: knowledge check

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 1 of 5

Learn: Year-to-date (YTD) amounts add up everything since January 1. They help you check totals and match your Form W-2 at year end.

Gabriel has received 10 biweekly paychecks of $1,200.00 gross this year. What should his YTD gross pay show?

A. $1,200.00
B. $9,374.00
C. $12,000.00
D. $31,200.00

CORRECT ANSWER

C. $12,000.00

Feedback (shown after answering)

$1,200.00 × 10 = $12,000.00.

Recomputed independently by the build: 12000

Why each other choice is wrong (misconception it represents)

A: Shows only this period
B: Uses net pay for 10 checks
D: Shows a full year

Type: instruction

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 2 of 5

Gabriel worked 84 hours in a two-week period, including 4 overtime hours in the second week, but his stub shows 84 regular hours and no overtime. What should he do?

A. Ask payroll to correct it, bringing his own record of hours
B. Ignore it; pay stubs cannot contain mistakes
C. Wait for his tax refund to fix it
D. Work fewer hours next week to even it out

CORRECT ANSWER

A. Ask payroll to correct it, bringing his own record of hours

Feedback (shown after answering)

Keeping your own record of hours lets you spot and correct payroll mistakes such as missing overtime.

Why each other choice is wrong (misconception it represents)

B: Assumes payroll is always right
C: Confuses wages with taxes
D: Does not fix the missing pay

Type: knowledge check · practical how-to

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 3 of 5

Gabriel's YTD Social Security is $744.00 on YTD gross of $12,000.00. Is that consistent with a 6.2% rate?

A. No; it should be $7,440
B. No; it should be $174
C. Yes, because any amount under $1,000 is fine
D. Yes; 6.2% of $12,000 is $744

CORRECT ANSWER

D. Yes; 6.2% of $12,000 is $744

Feedback (shown after answering)

$12,000 × 0.062 = $744.

Recomputed independently by the build: 744

Why each other choice is wrong (misconception it represents)

A: Uses 62%
B: Uses the Medicare rate
C: Does not check the rate

Type: knowledge check

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 4 of 5

Learn: Each January, employers send Form W-2, which reports the year's wages and taxes withheld. Its totals should match your last pay stub of the year (for wages subject to each tax).

Gabriel's final pay stub shows year-to-date federal tax withheld of $2,140, but Box 2 of his W-2 shows $2,410. What should he do?

A. Ask payroll which amount is correct
B. Use whichever number gives a bigger refund
C. Ignore it; the two forms never match
D. Add the two amounts together on his return

CORRECT ANSWER

A. Ask payroll which amount is correct

Feedback (shown after answering)

The totals should match; a difference may be a typo, so ask payroll for a corrected W-2 if needed.

Why each other choice is wrong (misconception it represents)

B: Picks a number instead of fixing an error
C: The totals should match
D: Double counts withholding

Type: instruction · practical how-to

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 5 of 5

Why keep pay stubs until you have checked your W-2?

A. Because banks require them to deposit paychecks
B. Because they can be exchanged for cash
C. Because the IRS requires mailing them in each year
D. To confirm the W-2's wages and withholding are correct

CORRECT ANSWER

D. To confirm the W-2's wages and withholding are correct

Feedback (shown after answering)

Pay stubs let you verify the W-2 before filing and catch errors early.

Why each other choice is wrong (misconception it represents)

A: Invents a bank rule
B: Invents a value
C: Invents a filing rule

Type: knowledge check · practical how-to

SET 11 · Earning Income, Employment, and Paychecks

Form W-4, withholding, and Form W-2

MAIN skill: Explain how Form W-4 sets withholding and what Form W-2 reports

Outcome FL.INCOME.11 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: 12-6a calculate taxes likely withheld; tax forms used by employees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why taxes are withheld from pay (5 questions)
  - Why: Understanding withholding as pay-as-you-go tax payment explains what the W-4 and W-2 do.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  - Why: Yearly withholding totals multiply per-paycheck amounts by the number of pay periods.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Getting withholding about right (5 questions)
- Go Deeper 2: Claiming exemption from withholding (5 questions)

Practical skills beyond the standards: Filling out Form W-4; Using the IRS Tax Withholding Estimator

Content status: time-sensitive

Source: IRS (Form W-4) — Employees give Form W-4 to their employer to set federal income tax withholding; claiming exempt requires no tax liability last year and none expected this year. https://www.irs.gov/forms-pubs/about-form-w-4

Source: IRS (Form W-2) — Employers generally furnish Form W-2 (wages and taxes withheld) to employees by January 31, or the next business day if that date falls on a weekend or legal holiday. https://www.irs.gov/forms-pubs/about-form-w-2

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 C, M-Q4 A, M-Q5 D, B1-Q1 D, B1-Q2 A, B1-Q3 D, B1-Q4 A, B1-Q5 A, F1-Q1 D, F1-Q2 B, F1-Q3 A, F1-Q4 D, F1-Q5 C, F2-Q1 A, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 1 of 5

Learn: Form W-4 (Employee's Withholding Certificate) tells your employer how much federal income tax to withhold from each paycheck. You fill it out when you start a job and can update it any time, such as after a second job begins or your situation changes.

Kayla starts her first job. Her employer asks her to fill out Form W-4. What is it used for?

A. To apply for a Social Security number
B. To report her yearly wages to the IRS
C. To sign up for health insurance
D. To set her federal income tax withholding

CORRECT ANSWER

D. To set her federal income tax withholding

Feedback (shown after answering)

The W-4 sets federal income tax withholding.

Why each other choice is wrong (misconception it represents)

A: Confuses the W-4 with an SSN application
B: Confuses the W-4 with the W-2
C: Confuses tax forms with benefit forms

Type: instruction · practical how-to

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 2 of 5

Learn: You give Form W-4 to your employer, not the IRS. The employer's payroll system uses it to calculate withholding.

Where does Kayla send her completed Form W-4?

A. To her employer
B. To the IRS by mail
C. To her bank
D. To her state's motor vehicle agency

CORRECT ANSWER

A. To her employer

Feedback (shown after answering)

The employer keeps the W-4 and uses it for payroll.

Why each other choice is wrong (misconception it represents)

B: Thinks the W-4 goes to the IRS
C: Confuses payroll with banking
D: Unrelated agency

Type: instruction · practical how-to

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 3 of 5

Learn: Step 4(c) of Form W-4 lets you request extra withholding each pay period. Multiply by the number of paychecks in a year to see the yearly effect.

On her W-4, Kayla asks for $20 of extra withholding per paycheck. She is paid biweekly. How much extra will be withheld over a full year?

A. $240
B. $480
C. $520
D. $1,040

CORRECT ANSWER

C. $520

Feedback (shown after answering)

Biweekly = 26 paychecks: $20 × 26 = $520.

Recomputed independently by the build: 520

Why each other choice is wrong (misconception it represents)

A: Uses 12 paychecks
B: Uses 24 paychecks
D: Uses 52 paychecks

Type: instruction

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 4 of 5

Learn: Form W-2 (Wage and Tax Statement) reports a worker's wages for the year and the taxes withheld. Employers generally must send it by January 31 (or the next business day if that falls on a weekend or holiday), and employees use it to file their tax returns.

It is February 15, and Ana still has not received last year's Form W-2 from her employer. What is true?

A. It is late; she should contact the employer
B. It is on time; W-2s are due by April 15
C. It is on time; W-2s are due by June 30
D. She should skip filing this year without it

CORRECT ANSWER

A. It is late; she should contact the employer

Feedback (shown after answering)

W-2s are generally due by January 31, so a missing W-2 in mid-February is late; ask the employer, and the IRS can help if it still does not arrive.

Why each other choice is wrong (misconception it represents)

B: Confuses the W-2 deadline with the tax filing deadline
C: Invents a mid-year date
D: Ignores that she can request it and still file

Type: instruction · practical how-to · rule as of IRS deadline as of 2026

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 5 of 5

Which statement about income tax withholding is TRUE?

A. It is an extra tax on top of what is owed
B. It is money the employer keeps
C. It is optional for every employee
D. It prepays the year's tax

CORRECT ANSWER

D. It prepays the year's tax

Feedback (shown after answering)

Withholding pays your tax in advance. When you file, it is compared with your actual tax: overpaying gives a refund; underpaying means a balance due.

Why each other choice is wrong (misconception it represents)

A: Thinks withholding adds tax
B: Thinks employers keep withheld tax
C: Ignores withholding requirements

Type: knowledge check

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 1 of 5

Learn: Federal income tax is collected throughout the year. For employees, the employer withholds part of each paycheck and sends it to the government on the employee's behalf.

The U.S. income tax is "pay-as-you-go." What does this mean for employees?

A. Tax is paid once, only when you retire
B. Only people who ask to pay tax have to pay it
C. Tax is paid only by employers, never employees
D. Tax is paid gradually through paycheck withholding during the year

CORRECT ANSWER

D. Tax is paid gradually through paycheck withholding during the year

Feedback (shown after answering)

Withholding spreads tax payments over the year.

Why each other choice is wrong (misconception it represents)

A: Thinks tax waits until retirement
B: Thinks tax is voluntary
C: Confuses employer and employee taxes

Type: instruction

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 2 of 5

Learn: Withholding means the tax is taken out of a paycheck before the worker receives it.

Who sends the withheld tax to the government?

A. The employer
B. The employee mails cash each week
C. The employee's bank
D. Nobody until tax filing day

CORRECT ANSWER

A. The employer

Feedback (shown after answering)

Employers deposit withheld taxes with the government.

Why each other choice is wrong (misconception it represents)

B: Thinks employees pay directly
C: Confuses banks with payroll
D: Thinks withholding is held until filing

Type: instruction

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 3 of 5

Learn: When you file a tax return, you calculate your actual tax for the year and compare it with what was withheld.

If too much tax is withheld during the year, what happens after filing a tax return?

A. The extra is lost
B. The extra is added to next year's salary
C. The employer pays the employee a bonus
D. The extra is returned as a refund

CORRECT ANSWER

D. The extra is returned as a refund

Feedback (shown after answering)

Overpaid tax is refunded after you file.

Why each other choice is wrong (misconception it represents)

A: Thinks overpayment is kept by the government
B: Confuses refunds with pay
C: Confuses refunds with bonuses

Type: instruction

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 4 of 5

If too little tax is withheld, what happens?

A. The employee owes the rest when filing
B. The government forgives the difference
C. The employer pays the difference
D. Nothing, because withholding is final

CORRECT ANSWER

A. The employee owes the rest when filing

Feedback (shown after answering)

Underpaid tax is owed with the return, sometimes with a penalty if the shortfall is large.

Why each other choice is wrong (misconception it represents)

B: Thinks underpayment is forgiven
C: Shifts the debt to the employer
D: Thinks withholding settles all tax

Type: knowledge check

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 5 of 5

Which document tells the employer how much to withhold?

A. Form W-4
B. Form W-2
C. A pay stub
D. Form 1040

CORRECT ANSWER

A. Form W-4

Feedback (shown after answering)

The W-4 sets withholding; the W-2 reports it after the year ends.

Why each other choice is wrong (misconception it represents)

B: The W-2 reports what was withheld
C: The stub shows withholding but does not set it
D: Confuses the tax return with the withholding form

Type: knowledge check

GO DEEPER 1 — Getting withholding about right · Question 1 of 5

Learn: A refund is the amount by which your payments and refundable credits are more than your tax. Payments include withholding and estimated tax. When a refund comes only from withholding, it is your own overpaid tax coming back, not extra income, and you could have had more in each paycheck.

Last year Kayla received a $1,300 refund. She had no refundable credits or other tax payments; her refund came only from paycheck withholding. What does that tell her?

A. She earned a $1,300 bonus from the IRS
B. Her employer underpaid her by $1,300
C. She owes $1,300 more next year
D. She had $1,300 more withheld than her tax

CORRECT ANSWER

D. She had $1,300 more withheld than her tax

Feedback (shown after answering)

With no refundable credits or other payments, the refund is overpaid withholding being returned.

Why each other choice is wrong (misconception it represents)

A: Treats a refund as free money
B: Confuses withholding with wages
C: Reverses the meaning

Type: instruction

GO DEEPER 1 — Getting withholding about right · Question 2 of 5

Kayla's $1,300 tax refund came from tax withheld beyond what she owed. If that amount had stayed in her 26 biweekly paychecks instead, about how much more would each paycheck have been?

A. $25
B. $50
C. $108.33
D. $1,300

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$1,300 ÷ 26 = $50 per paycheck.
Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Uses 52 paychecks
C: Uses 12 paychecks
D: Gives the yearly total

Type: knowledge check

GO DEEPER 1 — Getting withholding about right · Question 3 of 5

Learn: The IRS offers a free online Tax Withholding Estimator. Using recent pay stubs, it suggests how to fill out a new W-4 to get closer to the right amount.

Which free tool helps workers check whether their withholding is about right?

A. The IRS Tax Withholding Estimator
B. A credit score app that tracks her accounts
C. Her W-2 from last year, without any changes
D. A social media poll of coworkers

CORRECT ANSWER

A. The IRS Tax Withholding Estimator

Feedback (shown after answering)

The IRS estimator uses your pay information to suggest W-4 changes.

Why each other choice is wrong (misconception it represents)

B: Confuses tax withholding with credit monitoring
C: Assumes last year's withholding still fits this year
D: Unreliable source

Type: instruction · practical how-to

GO DEEPER 1 — Getting withholding about right · Question 4 of 5

Learn: When you have more than one job, each employer's payroll may assume its pay is your only income, so total withholding can fall short. Step 2 of Form W-4 addresses multiple jobs.

Kayla starts a second part-time job. Why might her withholding now be too low?

A. Two jobs always get the correct combined withholding automatically
B. Part-time jobs are not taxed
C. Her first employer stops withholding
D. Each employer withholds as if that job were her only income

CORRECT ANSWER

D. Each employer withholds as if that job were her only income

Feedback (shown after answering)

Each payroll ignores the other job, so combined income can be under-withheld. Updating the W-4 (Step 2) fixes this.

Why each other choice is wrong (misconception it represents)

A: Thinks withholding adds up correctly automatically
B: Invents an exemption
C: Invents a rule

Type: instruction

GO DEEPER 1 — Getting withholding about right · Question 5 of 5

Kayla expects to owe $200 more than will be withheld this year. She has 10 paychecks left. How much extra per paycheck should she request?

A. $2
B. $10
C. $20
D. $200

CORRECT ANSWER

C. $20

Feedback (shown after answering)

$200 ÷ 10 = $20 per paycheck.
Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 100 paychecks
B: Uses 20 paychecks
D: Puts the whole amount on one paycheck

Type: knowledge check

GO DEEPER 2 — Claiming exemption from withholding · Question 1 of 5

Learn: You may claim "exempt" on Form W-4 only if you had no federal income tax liability last year and expect none this year. Exemption affects federal income tax withholding only, not Social Security or Medicare.

Under IRS rules, who may claim exemption from federal income tax withholding on Form W-4?

A. Someone who owed no tax last year and expects none this year
B. Anyone under age 21
C. Anyone who works part time while attending high school
D. Anyone who wants a larger paycheck

CORRECT ANSWER

A. Someone who owed no tax last year and expects none this year

Feedback (shown after answering)

Both conditions must be met: no liability last year and none expected this year.

Why each other choice is wrong (misconception it represents)

B: Invents an age rule
C: Invents a part-time rule
D: Treats exemption as a choice

Type: instruction · rule as of IRS Form W-4 rules as of 2026

GO DEEPER 2 — Claiming exemption from withholding · Question 2 of 5

A student claims exempt on Form W-4, so no federal income tax is withheld, but earns enough to owe tax. What is the likely result?

A. No tax is ever owed
B. The employer pays the tax
C. A larger refund when filing next spring
D. A tax bill when filing, and possibly a penalty

CORRECT ANSWER

D. A tax bill when filing, and possibly a penalty

Feedback (shown after answering)

Exempt status stops withholding, not tax. Tax still owed is due with the return.

Why each other choice is wrong (misconception it represents)

A: Thinks exempt status erases tax
B: Shifts the tax to the employer
C: Reverses the effect

Type: knowledge check

GO DEEPER 2 — Claiming exemption from withholding · Question 3 of 5

If a worker claims exempt from federal income tax withholding on Form W-4, which taxes are still withheld?

A. Social Security and Medicare
B. Federal income tax only
C. No taxes at all
D. Only sales tax

CORRECT ANSWER

A. Social Security and Medicare

Feedback (shown after answering)

Exempt status applies only to federal income tax withholding; FICA still applies.

Why each other choice is wrong (misconception it represents)

B: Reverses the rule
C: Overstates exemption
D: Confuses payroll with sales tax

Type: knowledge check

GO DEEPER 2 — Claiming exemption from withholding · Question 4 of 5

Learn: A claim of exemption from withholding expires and must be renewed with a new Form W-4 each year.

How long does a claim of exemption on Form W-4 last?

A. Forever, once claimed
B. Until the worker turns 18
C. Five years
D. One year; a new W-4 is needed to continue it

CORRECT ANSWER

D. One year; a new W-4 is needed to continue it

Feedback (shown after answering)

Exemption must be renewed each year.

Why each other choice is wrong (misconception it represents)

A: Thinks exemption is permanent
B: Invents an age limit
C: Invents a period

Type: instruction

GO DEEPER 2 — Claiming exemption from withholding · Question 5 of 5

IRS rules allow claiming exempt only with no income tax liability last year and none expected this year. Jamal owed no federal income tax last year. This year, with a full-time job, he expects to have a positive federal income tax liability. Should he claim exempt?

A. Yes, because he owed nothing last year
B. Yes, because he is a new worker
C. Yes, so that he can get a bigger refund next spring
D. No; he expects to owe income tax this year

CORRECT ANSWER

D. No; he expects to owe income tax this year

Feedback (shown after answering)

Both conditions must hold. He expects a tax liability this year, so he cannot claim exempt. (Liability is the tax itself, not the amount due when filing.)

Why each other choice is wrong (misconception it represents)

A: Uses only one of the two conditions
B: Invents a rule
C: Misunderstands the effect

Type: knowledge check

SET 12 · Earning Income, Employment, and Paychecks

Employee benefits and comparing job offers

MAIN skill: Value employee benefits and compare job offers by total compensation

Outcome FL.INCOME.12 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: 12-1a research potential income and employee benefit packages likely to be offered to new employees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Compensation: pay plus benefits (5 questions)
  Why: Comparing offers requires seeing benefits as part of what a job pays.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Employer match and contribution rates are percents of salary.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Comparing offers combines monthly and yearly amounts and percents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Valuing a full benefits package (5 questions)
- Go Deeper 2: The hidden costs of a job (5 questions)

Practical skills beyond the standards: Comparing job offers with benefits; Counting job-related costs

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 A, B1-Q1 D, B1-Q2 A, B1-Q3 D, B1-Q4 D, B1-Q5 D, F1-Q1 A, F1-Q2 A, F1-Q3 B, F1-Q4 D, F1-Q5 A, F2-Q1 B, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Value employee benefits and compare job offers by total compensation · Question 1 of 5

Learn: Total compensation is everything an employer provides for your work: wages or salary plus benefits. Common benefits include health insurance (the employer often pays part of the cost), retirement plans with matching contributions, paid time off, and sometimes tuition help or transit passes.

Which item is an employee BENEFIT rather than wages?

A. Employer-paid health insurance
B. Overtime pay at time and a half
C. A commission on each sale the worker makes
D. Hourly pay for a Saturday shift

CORRECT ANSWER

A. Employer-paid health insurance

Feedback (shown after answering)

Employer-paid health insurance is a benefit; the other three are forms of pay.

Why each other choice is wrong (misconception it represents)

B: Overtime is part of wages
C: Commission is part of wages
D: Hourly pay is wages

Type: instruction

MAIN — Value employee benefits and compare job offers by total compensation · Question 2 of 5

Learn: Many employers match retirement contributions, for example "50% of what you contribute, up to 6% of pay." The match is extra money for your retirement, but you only receive it if you contribute.

Zoe earns $50,000. Her employer matches 50% of her 401(k) contributions, up to 6% of salary. Zoe contributes 6% ($3,000). How much does the employer add?

A. $300
B. $1,500
C. $3,000
D. $4,500

CORRECT ANSWER

B. $1,500

Feedback (shown after answering)

Zoe contributes $3,000; the employer adds 50% of that: $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Matches 100% instead of 50%
D: Gives the total of both contributions

Type: instruction

MAIN — Value employee benefits and compare job offers by total compensation · Question 3 of 5

Zoe's coworker earns $50,000 under the same match (50% of contributions, up to 6% of salary) but contributes only 2% ($1,000). How much potential match does the coworker give up each year?

A. $500
B. $1,000
C. $1,500
D. $2,000

CORRECT ANSWER

B. $1,000

Feedback (shown after answering)

Full match possible: 50% × $3,000 = $1,500. Match received: 50% × $1,000 = $500. Missed: $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Gives the match received instead of the match missed
C: Gives the full possible match
D: Uses the unmatched contribution amount

Type: knowledge check

MAIN — Value employee benefits and compare job offers by total compensation · Question 4 of 5

Learn: To compare offers fairly, subtract the costs you would pay (such as your share of health premiums) and add the value of benefits you would receive (such as a retirement match).

Offer A: $48,000 salary; the employee pays $100 per month for health insurance. Offer B: $50,000; the employee pays $250 per month for the same coverage. After subtracting health premiums, which pays more per year, and by how much?

A. Offer B, by $2,000
B. Offer A, by $1,800
C. Offer A, by $200
D. Offer B, by $200

CORRECT ANSWER

D. Offer B, by $200

Feedback (shown after answering)

A: $48,000 − 12 × $100 = $46,800. B: $50,000 − 12 × $250 = $47,000. B is ahead by $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Compares salaries only
B: Compares premiums only
C: Reverses the comparison

Type: instruction

MAIN — Value employee benefits and compare job offers by total compensation · Question 5 of 5

A job gives 10 paid vacation days. Lin earns $200 per day. What is the dollar value of that paid time off?

A. $2,000
B. $200
C. $20
D. $0, since she is not working

CORRECT ANSWER

A. $2,000

Feedback (shown after answering)

Paid time off is pay for days not worked: 10 × $200 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

B: Counts one day
C: Divides instead of multiplying
D: Thinks paid time off has no value

Type: knowledge check

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 1 of 5

Learn: Compensation is everything you receive for work. Wages are the pay; benefits are the extras, such as health insurance, retirement contributions, and paid time off, which have real dollar value.

What does "total compensation" include?

A. Only the hourly wage or salary
B. Only the take-home pay after taxes
C. Only bonuses earned at year end
D. Pay plus the value of benefits

CORRECT ANSWER

D. Pay plus the value of benefits

Feedback (shown after answering)

Total compensation = pay + benefits.

Why each other choice is wrong (misconception it represents)

A: Ignores benefits
B: Confuses compensation with net pay
C: Ignores base pay

Type: instruction

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 2 of 5

Learn: Paid time off means days you are paid for even though you do not work, such as vacation, sick days, or holidays.

Which choice is paid time off (PTO)?

A. Paid vacation days
B. Unpaid leave
C. Overtime hours
D. A lunch break you are not paid for

CORRECT ANSWER

A. Paid vacation days

Feedback (shown after answering)

Paid vacation days are paid time off.

Why each other choice is wrong (misconception it represents)

B: Not paid
C: Time worked, not time off
D: Not paid

Type: instruction

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 3 of 5

An employer pays $400 per month toward an employee's health insurance. What is that worth per year?

A. $33.33
B. $400
C. $1,600
D. $4,800

CORRECT ANSWER

D. $4,800

Feedback (shown after answering)

$400 × 12 = $4,800 of value per year.

Recomputed independently by the build: 4800

Why each other choice is wrong (misconception it represents)

A: Divides by 12
B: Counts one month
C: Uses 4 months

Type: knowledge check

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 4 of 5

Learn: A 401(k) is a retirement savings plan offered by many private employers. Workers contribute part of each paycheck, often with tax benefits, and some employers add a match. (Public schools and many nonprofits offer a similar 403(b).)

What is a 401(k)?

A. A type of bank checking account for paying monthly bills
B. A government health insurance program
C. A form used to apply for a job
D. A retirement savings plan offered through an employer

CORRECT ANSWER

D. A retirement savings plan offered through an employer

Feedback (shown after answering)

A 401(k) is an employer-sponsored retirement savings plan.

Why each other choice is wrong (misconception it represents)

A: Confuses retirement plans with checking
B: Confuses retirement with health insurance
C: Confuses it with a form

Type: instruction

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 5 of 5

Two jobs pay the same salary. Job X pays the entire premium for health coverage. Job Y offers none, so the worker must buy the same coverage for $300 a month. How much more does Job Y effectively cost the worker per year?

A. $0
B. $25
C. $300
D. $3,600

CORRECT ANSWER

D. $3,600

Feedback (shown after answering)

$300 × 12 = $3,600 a year that Job X's benefit covers.

Recomputed independently by the build: 3600

Why each other choice is wrong (misconception it represents)

A: Ignores the cost of buying coverage
B: Divides by 12
C: Counts one month

Type: knowledge check

GO DEEPER 1 — Valuing a full benefits package · Question 1 of 5

Learn: A fair comparison adds the value of benefits you will actually use and subtracts costs you will actually pay. A match counts only if you contribute enough to earn it.

Offer C: $52,000 salary, no retirement match, employee health premium $150 per month.
Offer D: $50,000 salary, 401(k) match worth $2,000 per year if you contribute, employee health premium $100 per month.
If you contribute enough to get the full match, which offer is worth more per year, and by how much?

A. Offer D, by $600
B. Offer C, by $2,000
C. Offer C, by $1,400
D. Offer D, by $2,600

CORRECT ANSWER

A. Offer D, by $600

Feedback (shown after answering)

C: $52,000 − $1,800 = $50,200. D: $50,000 + $2,000 − $1,200 = $50,800. D is ahead by $600.
Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

B: Compares salaries only
C: Leaves out the premium difference
D: Adds the premium difference the wrong way

Type: instruction

GO DEEPER 1 — Valuing a full benefits package · Question 2 of 5

Learn: Vesting is ownership over time. Your own 401(k) contributions are always yours. An employer's contributions may vest gradually, and if you leave before you are fully vested, you can lose the unvested part.

A 401(k) match "vests" over 3 years. Ali leaves after 1 year. What does vesting mean for him?

A. He may forfeit the unvested part of the employer's match
B. He loses his own contributions as well as the match
C. He keeps everything because matches always vest at once
D. He must repay his salary

CORRECT ANSWER

A. He may forfeit the unvested part of the employer's match

Feedback (shown after answering)

Unvested employer money can be forfeited; employee contributions are always 100% vested.

Why each other choice is wrong (misconception it represents)

B: Thinks his own money can be forfeited
C: Ignores vesting schedules
D: Confuses vesting with salary

Type: instruction

GO DEEPER 1 — Valuing a full benefits package · Question 3 of 5

Under a plan where the match vests 20% per year of service, how much of a $1,500 match has Ali earned after 1 year?

A. $0
B. $300
C. $1,200
D. $1,500

CORRECT ANSWER

B. $300

Feedback (shown after answering)

20% × $1,500 = $300 vested.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Assumes nothing vests in year one
C: Gives the unvested part
D: Assumes full vesting

Type: knowledge check

GO DEEPER 1 — Valuing a full benefits package · Question 4 of 5

Which benefit is easiest to overlook when comparing jobs?

A. The posted salary
B. The job title
C. The company logo
D. A tuition assistance program

CORRECT ANSWER

D. A tuition assistance program

Feedback (shown after answering)

Benefits such as tuition help can be worth thousands of dollars if you will use them.

Why each other choice is wrong (misconception it represents)

A: Salary is rarely overlooked
B: Not a benefit
C: Not a benefit

Type: knowledge check

GO DEEPER 1 — Valuing a full benefits package · Question 5 of 5

Learn: Researching typical income and benefits before choosing a career or job helps you negotiate and plan. The Bureau of Labor Statistics publishes pay data and job outlooks by occupation; job postings show current offers.

Which source is MOST reliable for typical pay and benefits in an occupation?

A. Government labor data and job postings
B. A single viral social media post about a high salary
C. A friend's guess
D. An advertisement for a training course

CORRECT ANSWER

A. Government labor data and job postings

Feedback (shown after answering)

Official labor statistics and actual postings give the most reliable picture.

Why each other choice is wrong (misconception it represents)

B: Unrepresentative source
C: Anecdotal source
D: Biased source

Type: instruction · practical how-to

GO DEEPER 2 — The hidden costs of a job · Question 1 of 5

Learn: A job's real value can depend on costs it creates: commuting (fuel, parking, transit), uniforms, tools, or child care. Subtracting them gives a clearer comparison.

Job E pays $20 per hour, 40 hours a week. The commute costs $12 per day for 5 days. What is the weekly pay after commuting costs?

A. $60
B. $740
C. $788
D. $800

CORRECT ANSWER

B. $740

Feedback (shown after answering)

Pay: $800. Commute: 5 × $12 = $60. After commuting: $740.

Recomputed independently by the build: 740

Why each other choice is wrong (misconception it represents)

A: Gives only the commuting cost
C: Counts one day of commuting
D: Ignores commuting costs

Type: instruction

GO DEEPER 2 — The hidden costs of a job · Question 2 of 5

Job E pays $740 a week after $60 of commuting costs, for 40 hours of work. The commute also takes 1 unpaid hour each day, 5 days a week. Counting commute time, what are the weekly earnings after commuting costs per hour of time spent (work + commute)?

A. $16.44
B. $17.78
C. $18.50
D. $20.00

CORRECT ANSWER

A. $16.44

Feedback (shown after answering)

Time: 40 + 5 = 45 hours. Earnings after costs: $740. $740 ÷ 45 ≈ $16.44 per hour.
Recomputed independently by the build: 16.444444

Why each other choice is wrong (misconception it represents)

B: Ignores commuting cost
C: Ignores commuting time
D: Ignores commuting time and cost

Type: knowledge check

GO DEEPER 2 — The hidden costs of a job · Question 3 of 5

Job E pays $20 per hour, but commuting costs $12 a day for 5 days. Job F pays $19 per hour, fully remote, with no commuting costs. Which earns more per week for 40 hours of work, after commuting costs?

A. Job E, by $40
B. Job E, by $20
C. Neither; they are equal
D. Job F, by $20

CORRECT ANSWER

D. Job F, by $20

Feedback (shown after answering)

Job F: 40 × $19 = $760 with no costs, which beats Job E's $740 after commuting by $20.
Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Ignores Job E's commuting costs
B: Reverses the comparison
C: Does not compute

Type: knowledge check

GO DEEPER 2 — The hidden costs of a job · Question 4 of 5

Which cost should be subtracted when comparing two jobs?

A. Required uniforms the worker must buy
B. Groceries the worker would buy anyway
C. Rent the worker pays either way
D. A phone bill the worker pays either way

CORRECT ANSWER

A. Required uniforms the worker must buy

Feedback (shown after answering)

Subtract costs the job causes, not costs you would have anyway.

Why each other choice is wrong (misconception it represents)

B: Not caused by the job
C: Not caused by the job
D: Not caused by the job

Type: knowledge check

GO DEEPER 2 — The hidden costs of a job · Question 5 of 5

A parent compares a $22 per hour job requiring $160 per week of child care with an $18 per hour job with a work-site child care benefit (no cost). For 40 hours, which leaves more per week after child care, and by how much?

A. The $22 job, by $160
B. The $18 job, by $160
C. The $22 job, by $40
D. Neither; both leave $720

CORRECT ANSWER

D. Neither; both leave $720

Feedback (shown after answering)

$22 × 40 = $880 − $160 = $720. $18 × 40 = $720. They are equal.

Recomputed independently by the build: 720

Why each other choice is wrong (misconception it represents)

A: Ignores child care
B: Ignores the wage difference
C: Mixes up the numbers

Type: knowledge check

SET 13 · Earning Income, Employment, and Paychecks

Gig work and independent contractors

MAIN skill: Compare employee and independent contractor work and estimate gig income after expenses and taxes

Outcome FL.INCOME.13 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: 12-11a benefits and costs of gig employment; 12-8a earned income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Employee or independent contractor? (5 questions)
  - Why: Gig tax and income questions depend on knowing how contractors differ from employees.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Self-employment tax and set-aside amounts are percents of earnings.
- B3 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  - Why: Gig platforms deduct percent-based fees from earnings.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: True hourly earnings after expenses (5 questions)
- Go Deeper 2: Records and taxes for gig workers (5 questions)

Practical skills beyond the standards: Mileage logs; Setting aside tax money

Content status: time-sensitive

Source: IRS (Self-Employment Tax, Topic 554) — Self-employment tax is 15.3% (12.4% Social Security + 2.9% Medicare) on 92.35% of net earnings; a return is required when net self-employment earnings are $400 or more. https://www.irs.gov/businesses/small-businesses-self-employed/self-employment-tax-social-security-and-medicare-taxes

Source: IRS (Gig Economy Tax Center) — Gig income is taxable whether or not the worker receives a Form 1099. https://www.irs.gov/businesses/gig-economy-tax-center

Source: IRS (Am I required to file a Form 1099?) — For payments made after 2025, the general Form 1099-NEC reporting threshold for business payers is $2,000; income is taxable whether or not a form is issued. https://www.irs.gov/businesses/small-businesses-self-employed/am-i-required-to-file-a-form-1099-or-other-information-return

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 A, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 1 of 5

Learn: An independent contractor works for himself or herself, not as an employee. Payers usually do not withhold taxes, overtime laws generally do not apply, and there are usually no employer benefits. Contractors may receive a Form 1099-NEC (or a 1099-K from a payment platform) instead of a W-2.

Ravi drives for a delivery app as an independent contractor. Which statement is TRUE for him but NOT for a typical employee?

A. No taxes are withheld from his pay; he must pay them himself
B. He is guaranteed overtime pay after 40 hours
C. His employer pays half of his Social Security tax
D. He receives a Form W-2 each January

CORRECT ANSWER

A. No taxes are withheld from his pay; he must pay them himself

Feedback (shown after answering)

Contractors receive no withholding; they make their own tax payments, including self-employment tax.

Why each other choice is wrong (misconception it represents)

B: Applies employee overtime rules
C: Applies the employee FICA split
D: Confuses the W-2 with a 1099

Type: instruction

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 2 of 5

Learn: For self-employed work, net earnings (profit) = income − business expenses. Taxes are figured on net earnings, so tracking expenses matters.

Ravi earned $900 in delivery fees this month and spent $180 on gas and other business expenses. What were his net earnings?

A. $180
B. $720
C. $900
D. $1,080

CORRECT ANSWER

B. $720

Feedback (shown after answering)

$900 − $180 = $720.

Recomputed independently by the build: 720

Why each other choice is wrong (misconception it represents)

A: Gives only expenses
C: Ignores expenses
D: Adds expenses

Type: instruction

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 3 of 5

Learn: Self-employment tax is the self-employed person's Social Security and Medicare tax. With no employer to pay half, the rate is 15.3% (12.4% + 2.9%), figured on 92.35% of net profit. It is owed in addition to income tax. (Very high earners and people who also have wages can face other rules.)

Self-employment tax is 15.3% of 92.35% of net earnings. Ravi has $720 of net self-employment profit, no wages anywhere else, and owes no Additional Medicare Tax. Estimate his self-employment tax (to the nearest cent).

A. $50.87
B. $101.73
C. $110.16
D. $137.70

CORRECT ANSWER

B. $101.73

Feedback (shown after answering)

$720 × 0.9235 = $664.92; × 0.153 = $101.73.

Recomputed independently by the build: 101.73

Why each other choice is wrong (misconception it represents)

A: Uses half the rate (7.65%)
C: Applies 15.3% to all of the net profit
D: Applies 15.3% to income before expenses

Type: instruction · rule as of IRS rates as of 2026

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 4 of 5

Learn: Federal income tax applies to income from all sources unless a specific rule excludes it. Forms such as the 1099 report income to the IRS, but they do not decide whether income is taxable.

Ravi receives no Form 1099 from one small client who paid him $350. Is the $350 taxable?

A. No; income without a form is tax-free
B. Only if the client reports it first
C. Only if the total from that client is over $10,000
D. Yes; income is taxable even without a form

CORRECT ANSWER

D. Yes; income is taxable even without a form

Feedback (shown after answering)

All income is reportable whether or not a 1099 is received. Keeping your own records ensures you report it correctly.

Why each other choice is wrong (misconception it represents)

A: Thinks tax depends on a form
B: Thinks the client decides
C: Invents a threshold

Type: instruction

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 5 of 5

Which is a benefit of gig work compared with a typical job, and which is a cost?

A. Benefit: guaranteed minimum hours. Cost: fixed schedule
B. Benefit: employer health insurance. Cost: overtime pay
C. Benefit: no taxes owed. Cost: lower pay
D. Benefit: flexibility. Cost: no benefits or withholding

CORRECT ANSWER

D. Benefit: flexibility. Cost: no benefits or withholding

Feedback (shown after answering)

Gig work offers flexibility but usually no benefits, no withholding, and uneven income (12-11a).

Why each other choice is wrong (misconception it represents)

A: Describes the opposite of gig work
B: Reverses the typical features
C: Thinks gig income is tax-free

Type: knowledge check

BACKWARD B1 · concept review — Employee or independent contractor? · Question 1 of 5

Learn: Employees usually work under an employer's control (schedule, methods) and get a W-2. Independent contractors run their own work, often for several clients, and are paid per job.

Which worker is MOST likely an independent contractor?

A. A freelance designer who bills several clients
B. A cashier scheduled by a store manager each week
C. A teacher paid a salary by a school district
D. A warehouse worker paid hourly with a W-2

CORRECT ANSWER

A. A freelance designer who bills several clients

Feedback (shown after answering)

Setting her own hours and billing multiple clients are signs of contractor work.

Why each other choice is wrong (misconception it represents)

B: Employer controls schedule
C: Salaried employee
D: W-2 employee

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 2 of 5

Learn: Businesses that pay a contractor may report the payments on Form 1099-NEC. Payment apps and platforms may send Form 1099-K.

Which form might a contractor receive instead of a W-2?

A. Form 1099-NEC
B. Form W-4
C. Form I-9
D. Form 1040-ES

CORRECT ANSWER

A. Form 1099-NEC

Feedback (shown after answering)

Contractors may receive Form 1099-NEC (or 1099-K).

Why each other choice is wrong (misconception it represents)

B: Employees use this to set withholding
C: Employment eligibility verification
D: Used to pay estimated taxes, not received from clients

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 3 of 5

Learn: Employers withhold income tax from employees' paychecks. Clients generally pay independent contractors the full amount billed.

Who withholds income tax from an independent contractor's pay?

A. The client, just as an employer would for a worker
B. The bank where the money is deposited
C. The IRS automatically
D. Usually no one; the contractor pays it

CORRECT ANSWER

D. Usually no one; the contractor pays it

Feedback (shown after answering)

Contractors are responsible for paying their own taxes, often through quarterly estimated payments.

Why each other choice is wrong (misconception it represents)

A: Applies employer withholding
B: Invents bank withholding
C: Thinks the IRS deducts it

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 4 of 5

Learn: Profit (net earnings) = income − expenses.

A contractor earns $1,000 and has $250 of business expenses. What is her profit?

A. $250
B. $750
C. $1,000
D. $1,250

CORRECT ANSWER

B. $750

Feedback (shown after answering)

$1,000 − $250 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

A: Gives expenses
C: Ignores expenses
D: Adds expenses

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 5 of 5

Which benefit do contractors usually NOT receive from a client?

A. Employer-paid health insurance
B. Payment for completed work
C. The ability to choose clients
D. Control over how they do the work

CORRECT ANSWER

A. Employer-paid health insurance

Feedback (shown after answering)

Employer benefits usually go to employees, not contractors.

Why each other choice is wrong (misconception it represents)

B: Contractors are paid
C: Contractors usually can
D: Contractors usually have this

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 1 of 5

Learn: Gig apps show gross pay per trip. Your real hourly earnings subtract the costs of doing the work, such as fuel, vehicle wear, phone data, and insurance, then divide by all hours worked, including waiting time.

Mia drove 30 hours and earned $750 in app payments. She drove 400 miles, and her costs (gas, wear, insurance) are about $0.30 per mile. What were her earnings per hour after these costs?

A. $4
B. $18.75
C. $21
D. $25

CORRECT ANSWER

C. $21

Feedback (shown after answering)

Costs: 400 × $0.30 = $120. Net: $750 − $120 = $630. $630 ÷ 30 = $21 per hour.

Recomputed independently by the build: 21

Why each other choice is wrong (misconception it represents)

A: Uses costs instead of earnings
B: Uses 40 hours
D: Ignores driving costs

Type: instruction

GO DEEPER 1 — True hourly earnings after expenses · Question 2 of 5

A platform takes a 25% service fee from each $40 job. How much does the worker receive per job?

A. $10
B. $30
C. $39.75
D. $50

CORRECT ANSWER

B. $30

Feedback (shown after answering)

Fee: $40 × 0.25 = $10. Worker keeps $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Gives the fee
C: Subtracts 25 cents
D: Adds the fee

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 3 of 5

Mia earns $630 a week after driving costs for 30 hours of driving, and she also waits 10 unpaid hours a week for orders. What is her net pay per hour of total time?

A. $15.75
B. $18.75
C. $21.00
D. $63.00

CORRECT ANSWER

A. $15.75

Feedback (shown after answering)

$630 ÷ 40 hours = $15.75 per hour.

Recomputed independently by the build: 15.75

Why each other choice is wrong (misconception it represents)

B: Uses gross pay
C: Ignores waiting time
D: Uses only waiting time

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 4 of 5

Mia earns $630 a week after driving costs and sets aside 25% of it for taxes. How much does she keep for the week?

A. $157.50
B. $472.50
C. $562.50
D. $630.00

CORRECT ANSWER

B. $472.50

Feedback (shown after answering)

$630 × 0.75 = $472.50.

Recomputed independently by the build: 472.5

Why each other choice is wrong (misconception it represents)

A: Gives the set-aside
C: Takes 25% of $750 from $750 and ignores costs
D: Ignores taxes

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 5 of 5

Which comparison is fair when deciding between gig driving and a $17 per hour employee job?

A. Gig gross per trip vs the job's hourly wage
B. The busiest gig hour vs the job's average hour
C. Gig tips only vs the job's full pay
D. Gig net per hour after costs and taxes vs the job's pay after taxes

CORRECT ANSWER

D. Gig net per hour after costs and taxes vs the job's pay after taxes

Feedback (shown after answering)

Compare like with like: net after all costs and taxes, per hour of time actually spent.

Why each other choice is wrong (misconception it represents)

A: Compares gross gig pay with wages
B: Cherry-picks
C: Mismatched pieces

Type: knowledge check

GO DEEPER 2 — Records and taxes for gig workers · Question 1 of 5

Learn: Self-employed workers can deduct ordinary and necessary business expenses, such as business miles driven. The IRS expects records that support each deduction: logs, receipts, and statements.

Which record is MOST useful for a delivery driver at tax time?

A. A mileage log with dates, miles, and business purpose
B. Screenshots of favorite customers' reviews
C. A list of restaurants visited for personal meals
D. The app's advertising emails

CORRECT ANSWER

A. A mileage log with dates, miles, and business purpose

Feedback (shown after answering)

A contemporaneous mileage log supports a vehicle expense deduction.

Why each other choice is wrong (misconception it represents)

B: Not a tax record
C: Personal, not business
D: Not a tax record

Type: instruction · practical how-to

GO DEEPER 2 — Records and taxes for gig workers · Question 2 of 5

Learn: Self-employment tax (Social Security and Medicare for self-employed people) applies once net self-employment earnings reach a small threshold set by law, even if no income tax is owed.

Self-employed people generally must file a federal return if net self-employment earnings reach what amount?

A. $400
B. $4,000
C. $10,000
D. $1,000,000

CORRECT ANSWER

A. $400

Feedback (shown after answering)

Net self-employment earnings of $400 or more require filing, because self-employment tax applies.
Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Adds a zero
C: Invents a threshold
D: Unrealistic threshold

Type: instruction · rule as of IRS rule as of 2026

GO DEEPER 2 — Records and taxes for gig workers · Question 3 of 5

Learn: Taxes are pay-as-you-go. People who expect to owe $1,000 or more after withholding and credits usually make quarterly estimated payments (Form 1040-ES). "Safe harbor" rules can prevent a penalty, for example by paying enough based on this year's or last year's tax.

A gig worker has no withholding and expects to owe $2,000 in tax for the year. She paid no tax last year because she had no income, so no safe harbor protects her. She pays nothing until April. What risk does this create?

A. No risk; all taxes are due in April
B. The IRS cancels taxes under $5,000
C. Her tax refund will be larger than usual
D. An underpayment penalty, plus one large bill

CORRECT ANSWER

D. An underpayment penalty, plus one large bill

Feedback (shown after answering)

Without withholding, estimated payments, or a safe harbor, she may owe an underpayment penalty.

Why each other choice is wrong (misconception it represents)

A: Ignores estimated tax rules
B: Invents forgiveness
C: Reverses the effect

Type: instruction

GO DEEPER 2 — Records and taxes for gig workers · Question 4 of 5

Mia sets aside 25% of each week's $630 net in a separate savings account. How much is set aside over a 13-week quarter?

A. $157.50
B. $630.00
C. $2,047.50
D. $8,190.00

CORRECT ANSWER

C. $2,047.50

Feedback (shown after answering)

$630 × 0.25 = $157.50 per week; × 13 = $2,047.50.
Recomputed independently by the build: 2047.5

Why each other choice is wrong (misconception it represents)

A: Gives one week
B: Gives one week's net
D: Gives total net for the quarter

Type: knowledge check

GO DEEPER 2 — Records and taxes for gig workers · Question 5 of 5

Why keep gig tax money in a separate account?

A. So it is not spent before taxes are due
B. Because the IRS requires a separate account by law
C. Because separate accounts earn no interest
D. Because keeping it separate lowers the tax owed

CORRECT ANSWER

A. So it is not spent before taxes are due

Feedback (shown after answering)

Separating tax money protects it from everyday spending.

Why each other choice is wrong (misconception it represents)

B: Invents a legal rule
C: Unrelated and untrue
D: Thinks storage changes the tax

Type: knowledge check · practical how-to

SET 14 · Earning Income, Employment, and Paychecks

Education, careers, and lifetime income

MAIN skill: Evaluate how education, skills, and the labor market affect lifetime income

Outcome FL.INCOME.14 · National topic: Earning Income · NJSLS 9.1.12: PB, FP

Learning target: 12-5a how labor market conditions affect income; 12-5b how technology affects employment and income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Opportunity cost and trade-offs (5 questions)
  - Why: Comparing career and education choices depends on recognizing what is given up.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Comparing career paths multiplies yearly pay by years and subtracts totals.
- B3 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Multi-year earnings multiply yearly pay by years.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When does more education pay off? (5 questions)
- Go Deeper 2: Paths to a career (5 questions)

Practical skills beyond the standards: Break-even analysis for education; Evaluating training programs

Content status: time-sensitive

Source: U.S. Bureau of Labor Statistics (Employment Projections) — Median weekly earnings rise and unemployment rates fall with higher educational attainment (figures update yearly).
https://www.bls.gov/emp/chart-unemployment-earnings-education.htm

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 D, B1-Q4 D, B1-Q5 D, F1-Q1 A, F1-Q2 A, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 A, F2-Q4 A, F2-Q5 D

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 1 of 5

Learn: Human capital is the knowledge, skills, and experience that make a person productive and able to earn income. Education, training, apprenticeships, and work experience build human capital, often raising future earnings.

Which is an example of investing in your "human capital"?

A. Buying a new phone
B. Opening a savings account
C. Leasing a car
D. Completing an electrician apprenticeship

CORRECT ANSWER

D. Completing an electrician apprenticeship

Feedback (shown after answering)

An apprenticeship builds skills that raise earning power: human capital.

Why each other choice is wrong (misconception it represents)

A: Consumer purchase
B: Financial capital
C: Consumer purchase

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 2 of 5

Learn: Opportunity cost is the value of the next-best choice you give up. The cost of school includes tuition and also the income you could have earned while studying.

Pat can work now at $32,000 per year, or attend a 4-year program first. What is the opportunity cost in earnings of the 4 years in school (ignoring raises)?

A. $0
B. $32,000
C. $96,000
D. $128,000

CORRECT ANSWER

D. $128,000

Feedback (shown after answering)

$32,000 × 4 = $128,000 of earnings given up.

Recomputed independently by the build: 128000

Why each other choice is wrong (misconception it represents)

A: Ignores earnings given up
B: Counts one year
C: Counts three years

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 3 of 5

Learn: Comparing career paths over many years shows the trade-off: a later start can be outweighed by higher yearly earnings, depending on the numbers and costs.

Path A: start work at 18 earning $32,000 a year. Path B: start at 22 earning $52,000 a year. Ignoring raises and costs, which path has earned more by age 40, and by how much?

A. Path B, by $232,000
B. Path A, by $232,000
C. Path B, by $20,000
D. Path B, by $360,000

CORRECT ANSWER

A. Path B, by $232,000

Feedback (shown after answering)

A: 22 years × $32,000 = $704,000. B: 18 years × $52,000 = $936,000. B leads by $232,000.

Recomputed independently by the build: 232000

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Compares one year of pay
D: Uses 18 years for both paths

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 4 of 5

Learn: Wages are influenced by supply and demand in the labor market. When employers need more workers with a skill than are available, wages for that skill tend to rise. When many people have a skill employers need less, wages tend to fall.

Demand for wind turbine technicians rises sharply, but few people have the training. What usually happens to their wages?

A. Wages tend to fall
B. Wages stay fixed by law
C. Wages drop to minimum wage
D. Wages tend to rise

CORRECT ANSWER

D. Wages tend to rise

Feedback (shown after answering)

High demand and limited supply of a skill push wages up (12-5a).

Why each other choice is wrong (misconception it represents)

A: Reverses supply and demand
B: Thinks wages are set by law
C: Reverses the effect

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 5 of 5

Software that automates routine bookkeeping becomes common. Which outcome is MOST likely?

A. All accounting jobs disappear within a single year
B. No effect on jobs, because technology never changes work
C. Higher pay for every routine data-entry job
D. Fewer routine jobs, more need for analysis skills

CORRECT ANSWER

D. Fewer routine jobs, more need for analysis skills

Feedback (shown after answering)

Technology often replaces routine tasks and raises demand for workers who can use the tools and do analysis (12-5b).

Why each other choice is wrong (misconception it represents)

A: Overstates the effect
B: Ignores technological change
C: Reverses the effect

Type: knowledge check

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 1 of 5

Learn: Every choice has an opportunity cost: the value of the next-best option you give up. A "free" activity can still cost the money or time you could have used otherwise.

Lia can work a Saturday shift for $120 or go to a free concert. If she goes to the concert, what is the opportunity cost?

A. The $120 she would have earned
B. $0, because the concert is free
C. The price of a ticket she did not buy
D. The concert itself

CORRECT ANSWER

A. The $120 she would have earned

Feedback (shown after answering)

She gives up $120 of pay, the next-best option.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

B: Ignores what she gives up
C: Invents a cost
D: Confuses the choice with what is given up

Type: instruction

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 2 of 5

Which is the opportunity cost of spending $50 on a video game?

A. What else the $50 could have done
B. The time it takes to drive to the store
C. The sales tax on the game
D. Nothing, because games are fun

CORRECT ANSWER

A. What else the $50 could have done

Feedback (shown after answering)

Money spent one way cannot be used for the next-best alternative.

Why each other choice is wrong (misconception it represents)

B: Part of cost but not the main idea here
C: Confuses opportunity cost with an added cost
D: Ignores trade-offs

Type: knowledge check

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 3 of 5

Learn: Specialized skills take time and money to gain, so fewer people have them. When employers need those skills, they compete for workers by offering higher pay.

Why do many careers that require more training pay more?

A. The law requires higher pay for degrees
B. Training programs set the wages their graduates earn
C. Higher pay is random
D. The skills are scarce and valued

CORRECT ANSWER

D. The skills are scarce and valued

Feedback (shown after answering)

Scarce, valuable skills tend to earn higher wages.

Why each other choice is wrong (misconception it represents)

A: Invents a law
B: Confuses schools with employers
C: Ignores supply and demand

Type: instruction

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 4 of 5

Earning $15 per hour for 2 hours vs studying for 2 hours: what is the cost of studying, in income?

A. $0
B. $15
C. $17
D. $30

CORRECT ANSWER

D. $30

Feedback (shown after answering)

2 × $15 = $30 of income given up.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Ignores forgone income
B: Counts one hour
C: Adds instead of multiplying

Type: knowledge check

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 5 of 5

Which choice is MOST likely to raise long-term earning power?

A. Buying a more expensive car
B. Switching to a new phone plan
C. Taking a weekend trip
D. Earning an industry certification in a growing field

CORRECT ANSWER

D. Earning an industry certification in a growing field

Feedback (shown after answering)

Certifications build human capital in demand.

Why each other choice is wrong (misconception it represents)

A: Consumer spending
B: Consumer choice
C: Consumer choice

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 1 of 5

Learn: A "break-even point" is when two options have produced the same total. Write each option's total as an expression in t (years), set them equal, and solve.

Path A earns $32,000 a year starting now. Path B costs $40,000 for a 4-year program, then earns $52,000 a year. Let t = years from now (t ≥ 4). Which equation finds when their total earnings (B net of the program cost) are equal?

A. $32{,}000t = 52{,}000(t - 4) - 40{,}000
B. $32{,}000t = 52{,}000t - 40{,}000$
C. $32{,}000(t - 4) = 52{,}000t - 40{,}000$
D. $32{,}000t + 40{,}000 = 52{,}000t$

CORRECT ANSWER

A. $32{,}000t = 52{,}000(t - 4) - 40{,}000$

Feedback (shown after answering)

Path A has earned $32{,}000t$. Path B has earned $52{,}000(t - 4)$ after its 4 school years, minus its $40,000 cost.

Why each other choice is wrong (misconception it represents)

B: Forgets that Path B earns nothing for 4 years
C: Puts the delay on the wrong path
D: Adds the cost to Path A and ignores the delay

Type: instruction

GO DEEPER 1 — When does more education pay off? · Question 2 of 5

Solve 32,000t = 52,000(t − 4) − 40,000. After how many years from now do the paths break even?

A. 12.4 years
B. 4 years
C. 2 years
D. 10.4 years

CORRECT ANSWER

A. 12.4 years

Feedback (shown after answering)

32,000t = 52,000t − 208,000 − 40,000 → 20,000t = 248,000 → t = 12.4.

Recomputed independently by the build: 12.4

Why each other choice is wrong (misconception it represents)

B: Gives the program length
C: Uses 40,000 ÷ 20,000 only
D: Forgets the 40,000 cost

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 3 of 5

Path B requires a $40,000 program before its higher pay begins. If the program were paid with student loans that charge interest, how would Path B's break-even point change?

A. It would come sooner
B. It would not change
C. Path B would never cost anything
D. It would come later

CORRECT ANSWER

D. It would come later

Feedback (shown after answering)

Interest adds to the cost of Path B, pushing break-even later.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Ignores interest costs
C: Ignores repayment

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 4 of 5

Path B (a 4-year, $40,000 program, then higher pay) is compared with working now at lower pay (Path A). Which factor would make Path B pay off SOONER?

A. A more expensive program
B. Taking 6 years instead of 4 to finish the program
C. Lower demand for Path B's field
D. Higher starting pay for Path B's career

CORRECT ANSWER

D. Higher starting pay for Path B's career

Feedback (shown after answering)

Higher pay closes the gap faster.

Why each other choice is wrong (misconception it represents)

A: Increases cost
B: Delays earnings
C: Lowers expected pay

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 5 of 5

Earnings estimates are uncertain. What is a sensible way to use them?

A. Compare paths with low, middle, and high estimates
B. Use only the highest salary estimate you can find online
C. Ignore estimates because they are uncertain
D. Assume every graduate earns the same

CORRECT ANSWER

A. Compare paths with low, middle, and high estimates

Feedback (shown after answering)

Testing several estimates shows how sensitive the decision is.

Why each other choice is wrong (misconception it represents)

B: Overconfident
C: Gives up on planning
D: Ignores variation

Type: knowledge check

GO DEEPER 2 — Paths to a career · Question 1 of 5

Learn: Registered apprenticeships combine paid on-the-job training with classroom learning, often leading to a nationally recognized credential. Pay usually rises as skills increase.

Which path lets a person earn wages while training for a skilled trade?

A. A full-time unpaid internship
B. A four-year degree with no job
C. A gap year of travel
D. A registered apprenticeship

CORRECT ANSWER

D. A registered apprenticeship

Feedback (shown after answering)

Apprentices earn while they learn.

Why each other choice is wrong (misconception it represents)

A: Unpaid
B: No wages while studying
C: Not training

Type: instruction

GO DEEPER 2 — Paths to a career · Question 2 of 5

An apprentice starts at 50% of a journeyworker's $36 hourly wage and rises to 80% in the last year. What is the last-year hourly wage?

A. $7.20
B. $18.00
C. $28.80
D. $36.00

CORRECT ANSWER

C. $28.80

Feedback (shown after answering)

$36 × 0.80 = $28.80.

Recomputed independently by the build: 28.8

Why each other choice is wrong (misconception it represents)

A: Gives the 20% difference
B: Uses the starting percent
D: Uses the full wage

Type: knowledge check

GO DEEPER 2 — Paths to a career · Question 3 of 5

Which question is MOST useful before enrolling in a paid career-training program?

A. What share of graduates get jobs in the field, and at what pay?
B. How attractive is the program's website?
C. How modern does the school's building look?
D. Does the program have a catchy slogan?

CORRECT ANSWER

A. What share of graduates get jobs in the field, and at what pay?

Feedback (shown after answering)

Outcomes data (job placement and pay) shows whether the program pays off.

Why each other choice is wrong (misconception it represents)

B: Marketing
C: Judges by appearance, not outcomes
D: Marketing

Type: knowledge check · practical how-to

GO DEEPER 2 — Paths to a career · Question 4 of 5

Military service, community college, and certifications are all ways to build skills. What do they have in common financially?

A. Each trades time (and sometimes money) now for higher future earning power
B. Each is always completely free for every student
C. Each guarantees a high salary right after finishing
D. Each requires a student loan

CORRECT ANSWER

A. Each trades time (and sometimes money) now for higher future earning power

Feedback (shown after answering)

They are investments in human capital with costs now and benefits later.

Why each other choice is wrong (misconception it represents)

B: Overgeneralizes
C: Overpromises
D: Overgeneralizes

Type: knowledge check

GO DEEPER 2 — Paths to a career · Question 5 of 5

Data show workers with more education tend to have lower unemployment rates. How should a student use this fact?

A. As proof that any degree guarantees a job in any field
B. As a reason to ignore program costs
C. As a reason to avoid all training
D. As one input among costs, interests, and demand

CORRECT ANSWER

D. As one input among costs, interests, and demand

Feedback (shown after answering)

Averages describe groups, not guarantees; costs and field demand also matter.

Why each other choice is wrong (misconception it represents)

A: Treats an average as a guarantee
B: Ignores costs
C: Misreads the data

Type: knowledge check

SET 15 · Budgeting and Managing Expenses

Needs, wants, and types of expenses

MAIN skill: Classify expenses as needs or wants and as fixed, variable, or periodic

Outcome FL.BUDGET.15 · National topic: Spending · NJSLS 9.1.12: PB, FP

Learning target: Develop a budget: needs and wants, fixed and variable expenses

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Income and expenses (5 questions)
  - Why: Classifying expenses requires knowing what income and expenses are.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  - Why: Budget totals add many expenses.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Money left subtracts total expenses from income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Tracking spending by category (5 questions)
- Go Deeper 2: Values, goals, and gray areas (5 questions)

Practical skills beyond the standards: Tracking a month of spending

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 A, M-Q4 A, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 B, F1-Q3 A, F1-Q4 D, F1-Q5 D, F2-Q1 D, F2-Q2 A, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 1 of 5

Learn: A need is something required to live and work: basic food, housing, utilities, transportation to work, and necessary medical care. A want is something that makes life more enjoyable but is not essential. Many items have a need part and a want part: you need food, but restaurant meals are mostly a want.

Ella is building her first budget. Which expense is a NEED for most people living on their own?

A. A premium streaming subscription with no ads
B. Concert tickets with friends next month
C. A newer phone model to replace a working one
D. Groceries for basic meals

CORRECT ANSWER

D. Groceries for basic meals

Feedback (shown after answering)

Basic groceries are a need. The others are wants, even if they feel important.

Why each other choice is wrong (misconception it represents)

A: Treats an entertainment upgrade as essential
B: Treats an event as essential
C: Treats an upgrade as essential

Type: instruction

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 2 of 5

Learn: Fixed expenses stay the same each month, such as rent under a lease or a car payment. Variable expenses change from month to month, such as groceries, gas, and utilities. Periodic expenses happen less often than monthly, such as car registration or yearly fees.

Which expense is FIXED (the same amount each month)?

A. Rent of $950 under a one-year lease
B. Groceries, which change with what you buy each week
C. Electricity, which changes with the weather and usage
D. Gasoline, which depends on how much you drive and the price

CORRECT ANSWER

A. Rent of $950 under a one-year lease

Feedback (shown after answering)

Rent set by a lease is fixed; the other three vary.

Why each other choice is wrong (misconception it represents)

B: Variable expense
C: Variable expense
D: Variable expense

Type: instruction

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 3 of 5

Learn: A budget compares income with expenses. Add all expenses, then subtract the total from income. A positive result is a surplus; a negative result is a deficit.

Omar's monthly take-home pay is $2,150. His expenses: rent $875, food $340, transportation $210, phone $55, utilities $120, and entertainment $150. How much is left?

A. $400
B. $550
C. $1,750
D. $3,900

CORRECT ANSWER

A. $400

Feedback (shown after answering)

Expenses: 875 + 340 + 210 + 55 + 120 + 150 = $1,750. $2,150 − $1,750 = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Leaves out the entertainment expense
C: Gives total expenses instead of what is left
D: Adds income and expenses

Type: instruction

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 4 of 5

Omar's phone plan costs $55: $35 is the basic plan and $20 is for unlimited premium data he rarely uses. How should he think about this expense?

A. About $35 is a need and $20 is a want
B. The whole $55 is a need because phones are essential
C. The whole $55 is a want because phones are optional
D. It is neither a need nor a want, because it is a contract

CORRECT ANSWER

A. About $35 is a need and $20 is a want

Feedback (shown after answering)

Splitting a mixed expense shows how much could be cut without losing the essential service.

Why each other choice is wrong (misconception it represents)

B: Treats the whole bill as essential
C: Ignores the essential part
D: Thinks contracts are not expenses

Type: knowledge check

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 5 of 5

Which of these is a PERIODIC expense?

A. A $950 rent payment due on the first of every month
B. A $60 grocery trip each week of the month
C. A $55 phone bill that is the same every month
D. A $180 car registration paid once a year

CORRECT ANSWER

D. A $180 car registration paid once a year

Feedback (shown after answering)

Periodic expenses come less often than monthly, so they are easy to forget when budgeting.

Why each other choice is wrong (misconception it represents)

A: Monthly fixed expense
B: Weekly variable expense
C: Monthly fixed expense

Type: knowledge check

BACKWARD B1 · concept review — Income and expenses · Question 1 of 5

Learn: Income is money you receive, such as pay, tips, or gifts. An expense is money you spend or pay out.

Which is INCOME?

A. Pay from a part-time job
B. A payment for a phone bill
C. Money spent on a movie ticket
D. A bank fee

CORRECT ANSWER

A. Pay from a part-time job

Feedback (shown after answering)

Pay from a job is income.

Why each other choice is wrong (misconception it represents)

B: Expense
C: Expense
D: Expense

Type: instruction

BACKWARD B1 · concept review — Income and expenses · Question 2 of 5

Which is an EXPENSE?

A. A paycheck deposit
B. A birthday gift of cash
C. Interest earned on savings
D. A monthly bus pass

CORRECT ANSWER

D. A monthly bus pass

Feedback (shown after answering)

A bus pass is money spent: an expense.

Why each other choice is wrong (misconception it represents)

A: Income
B: Income
C: Income

Type: knowledge check

BACKWARD B1 · concept review — Income and expenses · Question 3 of 5

Learn: Money left = income − expenses.

Income is $500 and expenses are $420. What is left?

A. $80
B. $420
C. $500
D. $920

CORRECT ANSWER

A. $80

Feedback (shown after answering)

$500 − $420 = $80.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

B: Gives expenses
C: Gives income
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Income and expenses · Question 4 of 5

Learn: When expenses are larger than income, the difference is a shortfall (deficit). It has to be covered by savings, borrowing, or spending less.

Income is $500 and expenses are $560. What is the result?

A. $60 left over to save
B. $1,060 left over
C. Nothing, because they cancel out
D. A $60 shortfall

CORRECT ANSWER

D. A $60 shortfall

Feedback (shown after answering)

$500 − $560 = −$60, a $60 shortfall.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Ignores the sign
B: Adds the amounts
C: Assumes the amounts are equal

Type: instruction

BACKWARD B1 · concept review — Income and expenses · Question 5 of 5

Why track expenses for a month before making a budget?

A. To see where money actually goes
B. Because banks require a month of records first
C. Because tracking lowers prices at stores
D. Because expenses are taxed only when tracked

CORRECT ANSWER

A. To see where money actually goes

Feedback (shown after answering)

Tracking shows real spending patterns to build a realistic budget.

Why each other choice is wrong (misconception it represents)

B: Invents a requirement
C: Thinks tracking changes prices
D: Invents a tax rule

Type: knowledge check

GO DEEPER 1 — Tracking spending by category · Question 1 of 5

Learn: Tracking spending by category shows where money goes. Comparing a part to its category total, as a percent, helps you decide what to change.

Lena tracked one month of spending: food $410, of which $180 was restaurants and delivery. What percent of her food spending was restaurants and delivery (nearest whole percent)?

A. 18%
B. 44%
C. 56%
D. 228%

CORRECT ANSWER

B. 44%

Feedback (shown after answering)

$180 ÷ $410 ≈ 0.439 ≈ 44%.

Recomputed independently by the build: 43.902439

Why each other choice is wrong (misconception it represents)

A: Uses $180 as a percent
C: Gives the grocery share
D: Divides the wrong way

Type: instruction

GO DEEPER 1 — Tracking spending by category · Question 2 of 5

Lena cuts restaurants and delivery from $180 to $100 a month. How much does she free up in a year?

A. $80
B. $960
C. $1,200
D. $2,160

CORRECT ANSWER

B. $960

Feedback (shown after answering)

($180 − $100) × 12 = $80 × 12 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Gives one month
C: Uses $100 per month
D: Uses the old spending

Type: knowledge check

GO DEEPER 1 — Tracking spending by category · Question 3 of 5

Learn: Small purchases are easy to forget. Apps, bank downloads, receipts, or a notebook all work, as long as every purchase, including cash, is recorded.

Which tracking method is MOST likely to give a complete picture?

A. Recording every purchase, including cash, for a month
B. Guessing totals at the end of the month
C. Reviewing only the largest purchases you remember
D. Tracking only debit card purchases, not any cash ones

CORRECT ANSWER

A. Recording every purchase, including cash, for a month

Feedback (shown after answering)

Complete tracking catches small and cash purchases that add up.

Why each other choice is wrong (misconception it represents)

B: Relies on memory
C: Misses small spending
D: Misses cash spending

Type: instruction · practical how-to

GO DEEPER 1 — Tracking spending by category · Question 4 of 5

A $6 coffee five days a week costs how much in a year (52 weeks)?

A. $30
B. $130
C. $312
D. $1,560

CORRECT ANSWER

D. $1,560

Feedback (shown after answering)

$6 × 5 × 52 = $1,560.

Recomputed independently by the build: 1560

Why each other choice is wrong (misconception it represents)

A: Gives one week
B: Uses one month of weekdays
C: Uses one day a week

Type: knowledge check

GO DEEPER 1 — Tracking spending by category · Question 5 of 5

After tracking, Lena finds she spends $90 a month on subscriptions she rarely uses. What is the best next step?

A. Keep them all, since each one costs under $15
B. Add one more so she has more choices
C. Stop tracking, since the amounts are small
D. Cancel or pause the ones she rarely uses

CORRECT ANSWER

D. Cancel or pause the ones she rarely uses

Feedback (shown after answering)

Rarely used subscriptions are easy savings: $90 a month is $1,080 a year.

Why each other choice is wrong (misconception it represents)

A: Ignores the total
B: Increases the problem
C: Abandons tracking

Type: knowledge check · practical how-to

GO DEEPER 2 — Values, goals, and gray areas · Question 1 of 5

Learn: Needs and wants depend partly on a person's situation and values. Labeling honestly helps you decide what to protect and what to cut when money is tight.

Two students each spend $60 a month on the gym. For Kim it supports a doctor-recommended exercise plan; for Lee it is rarely used. Which statement is fair?

A. The gym is always a want for everyone, whatever the reason
B. The gym is always a need for everyone
C. Expenses cannot be classified at all
D. The same expense can be closer to a need for Kim

CORRECT ANSWER

D. The same expense can be closer to a need for Kim

Feedback (shown after answering)

Context matters: the same purchase can serve different purposes for different people.

Why each other choice is wrong (misconception it represents)

A: Ignores personal circumstances
B: Ignores personal circumstances
C: Gives up on classification

Type: instruction

GO DEEPER 2 — Values, goals, and gray areas · Question 2 of 5

Which budget choice best matches the value "being debt-free"?

A. Paying extra on a credit card balance
B. Buying the newest phone on a payment plan
C. Using buy now, pay later for clothes
D. Taking a cash advance for a trip

CORRECT ANSWER

A. Paying extra on a credit card balance

Feedback (shown after answering)

Aligning spending with values means directing money to what matters most to you.

Why each other choice is wrong (misconception it represents)

B: Adds debt
C: Adds debt
D: Adds expensive debt

Type: knowledge check

GO DEEPER 2 — Values, goals, and gray areas · Question 3 of 5

Spending to keep up with friends is called social pressure. Which response protects a budget?

A. Suggesting a lower-cost activity together
B. Using a credit card so no one notices
C. Skipping a bill to afford the outing
D. Spending the same, then cutting groceries

CORRECT ANSWER

A. Suggesting a lower-cost activity together

Feedback (shown after answering)

A cheaper alternative keeps the friendship and the budget.

Why each other choice is wrong (misconception it represents)

B: Hides the problem with debt
C: Creates late fees and harm
D: Shifts the cost to a need

Type: knowledge check

GO DEEPER 2 — Values, goals, and gray areas · Question 4 of 5

A "want" can be planned for. Which approach does that?

A. Buying it now on a store credit card and paying it off slowly
B. Never buying any wants
C. Waiting for a refund to pay for it
D. Saving $25 a month toward a $300 concert trip

CORRECT ANSWER

D. Saving $25 a month toward a $300 concert trip

Feedback (shown after answering)

Saving in advance lets you enjoy wants without debt: $300 ÷ $25 = 12 months.

Why each other choice is wrong (misconception it represents)

A: Borrowing for a want
B: Unrealistic
C: Relies on uncertain money

Type: knowledge check

GO DEEPER 2 — Values, goals, and gray areas · Question 5 of 5

Which statement about wants is MOST accurate?

A. A healthy budget never includes any wants
B. Wants should be paid for with credit
C. Wants matter more than bills
D. Planned wants fit a healthy budget

CORRECT ANSWER

D. Planned wants fit a healthy budget

Feedback (shown after answering)

Budgets that include some planned wants are easier to stick to.

Why each other choice is wrong (misconception it represents)

A: Overly strict
B: Encourages debt
C: Reverses priorities

Type: knowledge check

SET 16 · Budgeting and Managing Expenses

Building a monthly budget

MAIN skill: Build a balanced monthly budget from net income and adjust it

Outcome FL.BUDGET.16 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget to allocate current income to needs, wants, and saving

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Start a budget with net income (5 questions)
  Why: Budgets fail when they start from gross pay; students must use take-home pay.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Budget results subtract planned spending from income.
- B3 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  Why: A deficit is a negative result that must be understood and fixed.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pay yourself first (5 questions)
- Go Deeper 2: Budgeting methods (5 questions)

Practical skills beyond the standards: Zero-based and envelope budgets; Automating savings

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 D, B1-Q1 B, B1-Q2 A, B1-Q3 A, B1-Q4 D, B1-Q5 D, F1-Q1 A, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 A, F2-Q3 A, F2-Q4 D, F2-Q5 B

MAIN — Build a balanced monthly budget from net income and adjust it · Question 1 of 5

Learn: A budget is a plan for your money: it lists expected income and assigns it to expenses, savings, and goals for a period, usually a month. A budget is "balanced" when planned spending and saving equal income.

What is a budget?

A. A plan for how income will be used
B. A list of the bills you already paid last year
C. A type of savings account with a fixed rate
D. A bank's limit on how much you may spend

CORRECT ANSWER

A. A plan for how income will be used

Feedback (shown after answering)

A budget plans how income will be spent and saved.

Why each other choice is wrong (misconception it represents)

B: Confuses a plan with a record of the past
C: Confuses a plan with an account
D: Thinks someone else sets it

Type: instruction

MAIN — Build a balanced monthly budget from net income and adjust it · Question 2 of 5

Learn: Budget result = income − planned expenses. Positive: surplus (money left to save or use). Negative: deficit (planned spending is more than income), which must be fixed by earning more or spending less.

Nia's monthly take-home pay is $1,980. Her planned expenses total $2,115. What does her budget show?

A. A $135 surplus
B. A $4,095 surplus
C. A balanced budget
D. A $135 deficit

CORRECT ANSWER

D. A $135 deficit

Feedback (shown after answering)

$1,980 − $2,115 = −$135: a deficit.

Recomputed independently by the build: 135

Why each other choice is wrong (misconception it represents)

A: Reverses the sign
B: Adds the amounts
C: Ignores the difference

Type: instruction

MAIN — Build a balanced monthly budget from net income and adjust it · Question 3 of 5

Learn: A zero-based budget gives every dollar a job: expenses, savings, debt payments, or goals. Money is not "left over"; any unassigned money gets a purpose.

In a zero-based budget, income minus all planned spending and saving equals zero. Ty earns $2,400. He plans $1,850 for expenses and $300 for savings. How much is left to assign?

A. $0
B. $250
C. $550
D. $2,150

CORRECT ANSWER

B. $250

Feedback (shown after answering)

$2,400 − $1,850 − $300 = $250 to assign, for example to an emergency fund.

Recomputed independently by the build: 250

Why each other choice is wrong (misconception it represents)

A: Assumes it already balances
C: Leaves out savings
D: Gives the total assigned

Type: instruction

MAIN — Build a balanced monthly budget from net income and adjust it · Question 4 of 5

Nia must close a $135 monthly deficit. Which change is MOST realistic and keeps her needs covered?

A. Cut takeout by $80 and pause a $55 subscription
B. Stop paying her electric bill for a month
C. Use a credit card to cover the $135 gap every month
D. Skip her car insurance payment

CORRECT ANSWER

A. Cut takeout by $80 and pause a $55 subscription

Feedback (shown after answering)

$80 + $55 = $135 closes the deficit by cutting wants, not needs.

Why each other choice is wrong (misconception it represents)

B: Cuts a need and creates fees
C: Covers a deficit with debt
D: Cuts a required need

Type: knowledge check · practical how-to

MAIN — Build a balanced monthly budget from net income and adjust it · Question 5 of 5

Abby is paid $1,150 every two weeks (net). What is her average MONTHLY take-home pay?

A. $2,300.00
B. $4,600.00
C. $1,150.00
D. About $2,491.67

CORRECT ANSWER

D. About $2,491.67

Feedback (shown after answering)

26 paychecks × $1,150 = $29,900 per year ÷ 12 ≈ $2,491.67 per month. Budgeting on $2,300 is a safer, conservative choice.

Recomputed independently by the build: 2491.666667

Why each other choice is wrong (misconception it represents)

A: Assumes exactly two paychecks every month
B: Uses four paychecks per month
C: Uses one paycheck

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 1 of 5

Learn: Budgets start with take-home (net) pay, the money you actually receive. Gross pay includes taxes and deductions you never get to spend.

Max's gross pay is $2,600 a month and his take-home pay is $2,080. Which amount should his budget start with?

A. $520
B. $2,080
C. $2,600
D. $4,680

CORRECT ANSWER

B. $2,080

Feedback (shown after answering)

Start with take-home pay: $2,080.

Recomputed independently by the build: 2080

Why each other choice is wrong (misconception it represents)

A: Uses the deductions
C: Uses gross pay
D: Adds both amounts

Type: instruction

BACKWARD B1 · concept review — Start a budget with net income · Question 2 of 5

Max's gross pay is $2,600 a month and his take-home pay is $2,080. If he builds his budget on $2,600, what happens?

A. He plans to spend $520 he never receives
B. He saves an extra $520 by accident
C. Nothing, because the bank adjusts it
D. His income taxes go down by $520 for the year

CORRECT ANSWER

A. He plans to spend $520 he never receives

Feedback (shown after answering)

$2,600 − $2,080 = $520 of planned spending with no money behind it.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Thinks banks fix budgets
D: Confuses budgeting with taxes

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 3 of 5

Which list contains only items Max must plan for each month?

A. Rent, food, transportation, and savings
B. Rent, a vacation, and a new laptop
C. Food, gifts, and concert tickets
D. Only rent, since everything else changes

CORRECT ANSWER

A. Rent, food, transportation, and savings

Feedback (shown after answering)

Regular needs and a savings line belong in every monthly plan.

Why each other choice is wrong (misconception it represents)

B: Mixes in occasional wants
C: Mixes in occasional wants
D: Leaves out variable needs

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 4 of 5

Max's budget: income $2,080; expenses $1,900; savings $180. Is it balanced?

A. No; it has a $180 surplus
B. No; it has a $180 deficit
C. No; savings should not be included in a budget
D. Yes; income equals spending plus saving

CORRECT ANSWER

D. Yes; income equals spending plus saving

Feedback (shown after answering)

$1,900 + $180 = $2,080, equal to income.

Why each other choice is wrong (misconception it represents)

A: Forgets that savings is assigned
B: Subtracts savings twice
C: Excludes saving from the plan

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 5 of 5

Which tool can be used to keep a budget?

A. Only an app from your bank
B. Only a paid financial advisor or planner
C. Only a tax return
D. A spreadsheet, an app, or a notebook

CORRECT ANSWER

D. A spreadsheet, an app, or a notebook

Feedback (shown after answering)

Any tool works if you use it consistently.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Too narrow
C: Wrong tool

Type: knowledge check · practical how-to

GO DEEPER 1 — Pay yourself first · Question 1 of 5

Learn: "Pay yourself first" treats saving like a bill: a set amount goes to savings right when income arrives, often by automatic transfer. Saving "whatever is left" often leaves nothing.

"Pay yourself first" means…

A. saving first, as soon as you are paid
B. buying something fun for yourself on every payday
C. paying your own bills before your roommates pay theirs
D. saving only whatever is left at the end of the month

CORRECT ANSWER

A. saving first, as soon as you are paid

Feedback (shown after answering)

Saving first, automatically, makes saving consistent.

Why each other choice is wrong (misconception it represents)

B: Misreads the phrase
C: Misreads the phrase
D: Describes the opposite approach

Type: instruction

GO DEEPER 1 — Pay yourself first · Question 2 of 5

Abby saves 10% of each $1,150 paycheck automatically. How much does she save in a year (26 paychecks)?

A. $115
B. $1,380
C. $2,990
D. $29,900

CORRECT ANSWER

C. $2,990

Feedback (shown after answering)

$1,150 × 0.10 = $115 per paycheck; × 26 = $2,990.
Recomputed independently by the build: 2990

Why each other choice is wrong (misconception it represents)

A: Gives one paycheck's savings
B: Uses 12 paychecks
D: Gives yearly pay

Type: knowledge check

GO DEEPER 1 — Pay yourself first · Question 3 of 5

Why does automating savings help?

A. It removes the need to decide every payday
B. Automatic transfers earn double the usual interest rate
C. Banks require automatic savings by law
D. It prevents all spending

CORRECT ANSWER

A. It removes the need to decide every payday

Feedback (shown after answering)

Automation turns saving into a habit that does not depend on willpower.

Why each other choice is wrong (misconception it represents)

B: Invents a benefit
C: Invents a rule
D: Overstates the effect

Type: knowledge check

GO DEEPER 1 — Pay yourself first · Question 4 of 5

Abby's savings transfer is set for the day after payday. Why is that timing better than the day before payday?

A. Transfers are free only after payday
B. Interest is paid only after payday
C. It makes no difference at all
D. Money is there to transfer, so it is less likely to cause an overdraft

CORRECT ANSWER

D. Money is there to transfer, so it is less likely to cause an overdraft

Feedback (shown after answering)

Scheduling right after pay arrives avoids overdrafts and protects savings from spending.

Why each other choice is wrong (misconception it represents)

A: Invents a fee rule
B: Invents an interest rule
C: Ignores overdraft risk

Type: knowledge check

GO DEEPER 1 — Pay yourself first · Question 5 of 5

Abby has $2,990 in savings, built by saving part of each paycheck. Her car needs a $400 repair. Which choice is wisest?

A. Use savings, then rebuild them over the next months
B. Put the repair on a credit card and never pay it off
C. Skip the repair and drive an unsafe car
D. Stop saving forever because savings got used

CORRECT ANSWER

A. Use savings, then rebuild them over the next months

Feedback (shown after answering)

Savings exist for needs like this; rebuilding keeps the habit.

Why each other choice is wrong (misconception it represents)

B: Creates debt
C: Ignores safety
D: Abandons the habit

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 1 of 5

Learn: The envelope method sets a fixed amount for each spending category. When a category runs out, spending in it stops. Many apps copy this idea digitally.

In the envelope method, cash for each category goes in its own envelope. What happens when the "eating out" envelope is empty?

A. Money is borrowed from the rent envelope for now
B. A credit card covers the extra
C. The envelope refills automatically
D. Eating out stops until the next budget period

CORRECT ANSWER

D. Eating out stops until the next budget period

Feedback (shown after answering)

The method works by stopping spending when a category's money is used up.

Why each other choice is wrong (misconception it represents)

A: Breaks the system
B: Breaks the system
C: Invents a refill

Type: instruction

GO DEEPER 2 — Budgeting methods · Question 2 of 5

A budgeting app shows Sam spent $260 of a $300 grocery budget with 8 days left in the month. About how much can he spend per day for groceries for the rest of the month?

A. $5
B. $32.50
C. $37.50
D. $40

CORRECT ANSWER

A. $5

Feedback (shown after answering)

$300 − $260 = $40 left; $40 ÷ 8 = $5 per day.
Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

B: Divides $260 by 8
C: Divides $300 by 8
D: Gives the total left

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 3 of 5

Which method plans to spend EVERY dollar of income on a purpose?

A. A zero-based budget
B. Spending freely and checking the balance
C. Saving whatever is left at month end
D. Paying only the minimums on all bills

CORRECT ANSWER

A. A zero-based budget

Feedback (shown after answering)

Zero-based budgets assign every dollar.

Why each other choice is wrong (misconception it represents)

B: No plan
C: Unassigned money
D: Not a budgeting method

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 4 of 5

Which situation shows a budget that needs revising?

A. One unusual month with a holiday gift
B. Spending matches the plan
C. A surplus that is saved
D. Spending is over budget in the same categories every month

CORRECT ANSWER

D. Spending is over budget in the same categories every month

Feedback (shown after answering)

Repeated overspending means the plan is unrealistic and should be changed.

Why each other choice is wrong (misconception it represents)

A: One-off variation
B: Working budget
C: Working budget

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 5 of 5

Sam's grocery budget is $300, but he has spent $360, $350, and $370 in the last three months. What is the most realistic revised budget, based on his average?

A. $300
B. $360
C. $370
D. $1,080

CORRECT ANSWER

B. $360

Feedback (shown after answering)

Average: ($360 + $350 + $370) ÷ 3 = $360. He should budget about $360 or find real ways to spend less.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Ignores actual spending
C: Uses the highest month
D: Gives the three-month total

Type: knowledge check

SET 17 · Budgeting and Managing Expenses

Budget percentages and the 50/30/20 guideline

MAIN skill: Use percentages to plan and evaluate a budget

Outcome FL.BUDGET.17 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget using percentages of income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What "percent of income" means (5 questions)
  Why: Budget percentages require reading a percent as a part of a whole.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Each budget share is a percent of take-home pay.
- B3 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Finding income needed for a target share works backward from a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Working backward with percents (5 questions)
- Go Deeper 2: Budget versus actual (5 questions)

Practical skills beyond the standards: Budget-versus-actual review

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 A, B1-Q1 D, B1-Q2 B, B1-Q3 B, B1-Q4 C, B1-Q5 C, F1-Q1 D, F1-Q2 C, F1-Q3 C, F1-Q4 A, F1-Q5 B, F2-Q1 D, F2-Q2 B, F2-Q3 A, F2-Q4 D, F2-Q5 A

MAIN — Use percentages to plan and evaluate a budget · Question 1 of 5

Learn: The 50/30/20 guideline is one simple starting point for a budget: about 50% of take-home pay for needs, 30% for wants, and 20% for saving and paying down debt. It is a rule of thumb, not a law; costs and goals differ.

Jess takes home $2,800 a month and uses the 50/30/20 guideline. How much does it suggest for needs?

A. $560
B. $840
C. $1,400
D. $5,600

CORRECT ANSWER

C. $1,400

Feedback (shown after answering)

$2,800 × 0.50 = $1,400 for needs.

Recomputed independently by the build: 1400

Why each other choice is wrong (misconception it represents)

A: Uses the savings percent
B: Uses the wants percent
D: Doubles instead of halving

Type: instruction

MAIN — Use percentages to plan and evaluate a budget · Question 2 of 5

Jess takes home $2,800 a month. Using the 50/30/20 guideline (50% needs, 30% wants, 20% saving and debt payoff), how much goes to saving and extra debt payments?

A. $200
B. $560
C. $840
D. $1,400

CORRECT ANSWER

B. $560

Feedback (shown after answering)

$2,800 × 0.20 = $560.

Recomputed independently by the build: 560

Why each other choice is wrong (misconception it represents)

A: Uses 20 dollars per hundred incorrectly
C: Uses 30%
D: Uses 50%

Type: knowledge check

MAIN — Use percentages to plan and evaluate a budget · Question 3 of 5

Learn: To find what percent one amount is of another: part ÷ whole × 100.

Jess pays $900 rent from $2,800 take-home pay. What percent of her take-home pay is rent (nearest tenth of a percent)?

A. 3.1%
B. 31.1%
C. 32.1%
D. 311.1%

CORRECT ANSWER

C. 32.1%

Feedback (shown after answering)

$900 ÷ $2,800 ≈ 0.3214 → 32.1%.

Recomputed independently by the build: 32.142857

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Arithmetic error
D: Divides the wrong way

Type: instruction

MAIN — Use percentages to plan and evaluate a budget · Question 4 of 5

Ian wants his car costs to be no more than 15% of his $2,400 take-home pay. What is the most he should spend per month on his car?

A. $36
B. $160
C. $360
D. $2,040

CORRECT ANSWER

C. $360

Feedback (shown after answering)

$2,400 × 0.15 = $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
B: Divides by 15
D: Gives what remains

Type: knowledge check

MAIN — Use percentages to plan and evaluate a budget · Question 5 of 5

Jess lives in a high-rent city where needs take 62% of her pay. What is the best way to use the 50/30/20 guideline (50% needs, 30% wants, 20% saving)?

A. As a starting point, adjusting the shares to fit her costs
B. As a legal limit she must follow exactly
C. By ignoring it, since budgets do not use percents
D. By moving her rent payment into the "wants" share of her budget

CORRECT ANSWER

A. As a starting point, adjusting the shares to fit her costs

Feedback (shown after answering)

Guidelines are starting points. With 62% for needs, she might plan 62/18/20 and look for ways to lower needs over time.

Why each other choice is wrong (misconception it represents)

B: Treats a guideline as law
C: Rejects a useful tool
D: Mislabels a need

Type: knowledge check

BACKWARD B1 · concept review — What "percent of income" means · Question 1 of 5

Learn: Percent means "per hundred." 20% of income means $20 of every $100 earned.

What does "20% of income goes to savings" mean?

A. 20 dollars of every month go to savings
B. Savings are 20 times income
C. Savings get only the first 20 dollars of each paycheck
D. 20 of every 100 dollars of income go to savings

CORRECT ANSWER

D. 20 of every 100 dollars of income go to savings

Feedback (shown after answering)

20% = 20 per 100.

Why each other choice is wrong (misconception it represents)

A: Reads percent as a dollar amount
B: Reads percent as a multiplier
C: Reads percent as a fixed amount

Type: instruction

BACKWARD B1 · concept review — What "percent of income" means · Question 2 of 5

What is 30% of $1,000?

A. $30
B. $300
C. $970
D. $3,000

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$1,000 × 0.30 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Subtracts 30
D: Multiplies by 3

Type: knowledge check

BACKWARD B1 · concept review — What "percent of income" means · Question 3 of 5

Learn: Percent of the whole = part ÷ whole × 100.

$250 of a $1,000 paycheck goes to rent. What percent is that?

A. 4%
B. 25%
C. 75%
D. 250%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

250 ÷ 1,000 = 0.25 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Gives the remaining percent
D: Uses the dollar amount as a percent

Type: instruction

BACKWARD B1 · concept review — What "percent of income" means · Question 4 of 5

A budget uses 50%, 30%, and 20%. What do the percents add up to?

A. 50%
B. 80%
C. 100%
D. 120%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

50 + 30 + 20 = 100%: the whole income.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Gives the largest share
B: Adds two shares
D: Adds incorrectly

Type: knowledge check

BACKWARD B1 · concept review — What "percent of income" means · Question 5 of 5

If needs are 50% of $2,000, what dollar amount is that?

A. $50
B. $100
C. $1,000
D. $4,000

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

$2,000 × 0.5 = $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the percent as dollars
B: Uses 5%
D: Doubles

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 1 of 5

Learn: When you know the part and the percent, find the whole: whole = part ÷ percent (as a decimal).

Rent for an apartment is $1,050. Ana wants rent to be no more than 30% of her take-home pay. What monthly take-home pay does she need?

A. $315
B. $1,365
C. $3,150
D. $3,500

CORRECT ANSWER

D. $3,500

Feedback (shown after answering)

$1,050 ÷ 0.30 = $3,500.

Recomputed independently by the build: 3500

Why each other choice is wrong (misconception it represents)

A: Takes 30% of rent
B: Adds 30% to rent
C: Multiplies by 3

Type: instruction

GO DEEPER 1 — Working backward with percents · Question 2 of 5

Leo wants to save $300 a month, which he wants to be 15% of take-home pay. What take-home pay does this require?

A. $45
B. $345
C. $2,000
D. $4,500

CORRECT ANSWER

C. $2,000

Feedback (shown after answering)

$300 ÷ 0.15 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Takes 15% of $300
B: Adds 15%
D: Multiplies by 15

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 3 of 5

Leo's take-home pay is $1,800, and he spends $1,170 on needs. What percent is that?

A. 6.5%
B. 35%
C. 65%
D. 154%

CORRECT ANSWER

C. 65%

Feedback (shown after answering)

$1,170 ÷ $1,800 = 0.65 = 65%.

Recomputed independently by the build: 65

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Gives the remaining share
D: Divides the wrong way

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 4 of 5

Leo's needs are 65%. To reach 20% savings, what is the most he can spend on wants?

A. 15%
B. 20%
C. 30%
D. 35%

CORRECT ANSWER

A. 15%

Feedback (shown after answering)

100% − 65% − 20% = 15%.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

B: Confuses wants and savings
C: Uses the standard wants share
D: Uses all the remainder for wants

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 5 of 5

With $1,800 take-home pay and 15% for wants, how many dollars is that?

A. $27
B. $270
C. $540
D. $1,530

CORRECT ANSWER

B. $270

Feedback (shown after answering)

$1,800 × 0.15 = $270.

Recomputed independently by the build: 270

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
C: Uses 30%
D: Gives the rest

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 1 of 5

Learn: A variance is the difference between what you planned and what actually happened. Reviewing variances each month shows which parts of the plan need work.

Planned: groceries $300. Actual: $345. What is the variance, and is it over or under budget?

A. $45 under budget
B. $645 over budget
C. $15 over budget
D. $45 over budget

CORRECT ANSWER

D. $45 over budget

Feedback (shown after answering)

$345 − $300 = $45 more than planned.

Recomputed independently by the build: 45

Why each other choice is wrong (misconception it represents)

A: Reverses the direction
B: Adds the amounts
C: Arithmetic error

Type: instruction

GO DEEPER 2 — Budget versus actual · Question 2 of 5

What percent over budget is $345 compared with a $300 plan?

A. 13%
B. 15%
C. 45%
D. 115%

CORRECT ANSWER

B. 15%

Feedback (shown after answering)

$45 ÷ $300 = 0.15 = 15% over.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Divides by actual instead of planned
C: Uses dollars as a percent
D: Gives actual as a percent of planned

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 3 of 5

Gas was budgeted at $120 and came in at $96. What is the variance?

A. $24 under budget
B. $24 over budget
C. $216 under budget
D. $96 under budget

CORRECT ANSWER

A. $24 under budget

Feedback (shown after answering)

$120 − $96 = $24 less than planned.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

B: Reverses the direction
C: Adds the amounts
D: Gives actual spending

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 4 of 5

Ray budgeted $120 for gas but spent only $96, leaving $24. Which response best supports a savings goal?

A. Spend it on a want right away because it was "free"
B. Leave it unassigned so it is spent on something later
C. Lower next month's gas budget to $0
D. Move the $24 into savings

CORRECT ANSWER

D. Move the $24 into savings

Feedback (shown after answering)

Assigning surpluses to goals keeps the budget working.

Why each other choice is wrong (misconception it represents)

A: Treats leftover money as windfall
B: Lets it drift
C: Unrealistic plan

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 5 of 5

Learn: Look for patterns: an overage every month means either the habit or the budget amount needs to change.

Over 3 months, eating out was $40, $120, and $35 over budget. Which conclusion is BEST?

A. Overspending repeats; review habits and the budget line
B. The budget is perfect and needs no review
C. Only the $120 month matters; the others are noise
D. Budgets do not work for eating out

CORRECT ANSWER

A. Overspending repeats; review habits and the budget line

Feedback (shown after answering)

All three months were over budget, so look at actual habits and whether the planned amount is realistic.

Why each other choice is wrong (misconception it represents)

B: Ignores the overage
C: Ignores a repeating pattern
D: Gives up on budgeting

Type: instruction

SET 18 · Budgeting and Managing Expenses

Irregular expenses and sinking funds

MAIN skill: Plan for periodic and irregular expenses with monthly set-asides

Outcome FL.BUDGET.18 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget that plans for periodic and irregular expenses

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Monthly and yearly amounts (5 questions)
  Why: Sinking-fund planning converts yearly or multi-month costs to monthly amounts.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Set-asides divide totals by months.
- B3 · Math link → G6-S03-M (Grade 6 6.RP.A.2): Find and describe a unit rate
  Why: A monthly set-aside is a rate (dollars per month).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Budgeting with irregular income (5 questions)
- Go Deeper 2: Monthly versus annual pricing (5 questions)

Practical skills beyond the standards: Sinking funds; Budgeting with irregular income

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 A, M-Q3 B, M-Q4 C, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 B, B1-Q4 D, B1-Q5 C, F1-Q1 A, F1-Q2 A, F1-Q3 B, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 1 of 5

Learn: Some expenses come once or twice a year: car registration, insurance premiums, school fees, gifts. A sinking fund saves a little each month for a known future expense, so the full amount is ready when it is due. Monthly amount = total ÷ months until due.

Cara's car registration costs $180 once a year. How much should she set aside each month so the money is ready?

A. $15
B. $18
C. $45
D. $180

CORRECT ANSWER

A. $15

Feedback (shown after answering)

$180 ÷ 12 = $15 per month.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Divides by 4
D: Plans to pay the whole amount in one month

Type: instruction

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 2 of 5

Learn: A sinking fund is for a KNOWN future cost with a known date. An emergency fund is for UNKNOWN surprises, such as a job loss or a sudden repair.

Which is a sinking fund?

A. Saving $50 a month for car insurance due every six months
B. Money spent on groceries each week of the month, as needed
C. An emergency fund for surprises you cannot predict
D. A loan used to pay a bill that is already past due

CORRECT ANSWER

A. Saving $50 a month for car insurance due every six months

Feedback (shown after answering)

Saving monthly for a known, scheduled bill is a sinking fund.

Why each other choice is wrong (misconception it represents)

B: Regular spending, not a set-aside
C: Emergency funds cover unknown costs
D: Borrowing, not saving

Type: instruction

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 3 of 5

Cara's yearly irregular costs: registration $180, car insurance $960, and holiday gifts $300. How much should she set aside each month in total?

A. $95
B. $120
C. $480
D. $1,440

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$180 + $960 + $300 = $1,440 per year; ÷ 12 = $120 per month.
Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Leaves out the gifts
C: Divides by 3 instead of 12
D: Gives the yearly total

Type: knowledge check

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 4 of 5

Learn: When the due date is less than a year away, divide by the months remaining, not by 12.

It is March. Holiday gifts ($600) will be bought in November, 8 months away. How much should Ben save each month?

A. $50
B. $66.67
C. $75
D. $600

CORRECT ANSWER

C. $75

Feedback (shown after answering)

$600 ÷ 8 = $75 per month.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Divides by 12 months
B: Divides by 9 months
D: Saves it all in one month

Type: instruction

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 5 of 5

Why do budgets that ignore irregular expenses often fail?

A. Irregular expenses are illegal to budget for
B. Irregular expenses are always paid by employers
C. Banks automatically pay irregular bills for free when they come
D. Large, predictable bills arrive with no money set aside

CORRECT ANSWER

D. Large, predictable bills arrive with no money set aside

Feedback (shown after answering)

Spreading known costs across months prevents "surprise" bills that were predictable.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Invents a payer
C: Invents a service

Type: knowledge check

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 1 of 5

Learn: To turn a yearly amount into a monthly amount, divide by 12. To turn a monthly amount into a yearly amount, multiply by 12.

A yearly fee is $240. What is the monthly equivalent?

A. $20
B. $24
C. $60
D. $2,880

CORRECT ANSWER

A. $20

Feedback (shown after answering)

$240 ÷ 12 = $20.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Divides by 4
D: Multiplies by 12

Type: instruction

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 2 of 5

A $35 monthly subscription costs how much per year?

A. $2.92
B. $35
C. $140
D. $420

CORRECT ANSWER

D. $420

Feedback (shown after answering)

$35 × 12 = $420.

Recomputed independently by the build: 420

Why each other choice is wrong (misconception it represents)

A: Divides by 12
B: Counts one month
C: Multiplies by 4

Type: knowledge check

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 3 of 5

Learn: For a bill due every few months, divide by the number of months between bills.

A bill of $300 is due every 6 months. How much is that per month?

A. $25
B. $50
C. $300
D. $1,800

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$300 ÷ 6 = $50 per month.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Divides by 12
C: Uses the bill as monthly
D: Multiplies by 6

Type: instruction

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 4 of 5

Which expense is MOST likely to be paid once a year?

A. A weekly grocery trip
B. A monthly phone bill for service
C. A daily bus fare
D. A car registration renewal

CORRECT ANSWER

D. A car registration renewal

Feedback (shown after answering)

Registrations, many insurance policies, and some memberships are yearly.

Why each other choice is wrong (misconception it represents)

A: Weekly
B: Monthly
C: Daily

Type: knowledge check

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 5 of 5

A quarterly bill is due every 3 months. How many times a year is it paid?

A. 2
B. 3
C. 4
D. 12

CORRECT ANSWER

C. 4

Feedback (shown after answering)

12 months ÷ 3 = 4 payments per year.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Confuses with semiannual
B: Confuses months between bills with bills per year
D: Confuses with monthly

Type: knowledge check

GO DEEPER 1 — Budgeting with irregular income · Question 1 of 5

Learn: When income varies (tips, commissions, gig work, seasonal jobs), budgeting on a low but realistic month keeps needs covered. Extra income in good months goes to savings or a "buffer" that carries you through slow months.

Mo's monthly income over the last six months: $1,800, $2,600, $1,500, $2,200, $1,900, $2,400. Which amount is the safest base for his budget?

A. $1,500
B. $2,067
C. $2,600
D. $12,400

CORRECT ANSWER

A. $1,500

Feedback (shown after answering)

Planning on the lowest recent month ($1,500) keeps needs covered in slow months.

Why each other choice is wrong (misconception it represents)

B: Uses the average, which leaves no cushion in low months
C: Uses the best month
D: Uses the six-month total

Type: instruction

GO DEEPER 1 — Budgeting with irregular income · Question 2 of 5

Mo's monthly income over six months: $1,800, $2,600, $1,500, $2,200, $1,900, $2,400. What is his average monthly income?

A. About $2,067
B. $2,050
C. $12,400
D. $1,800

CORRECT ANSWER

A. About $2,067

Feedback (shown after answering)

Total $12,400 ÷ 6 ≈ $2,066.67.
Recomputed independently by the build: 2066.666667

Why each other choice is wrong (misconception it represents)

B: Uses the middle of the range
C: Gives the total
D: Uses the first month

Type: knowledge check

GO DEEPER 1 — Budgeting with irregular income · Question 3 of 5

Mo budgets $1,500 a month and saves any income above that in a buffer account. In a $2,600 month, how much goes to his buffer account?

A. $533
B. $1,100
C. $1,500
D. $2,600

CORRECT ANSWER

B. $1,100

Feedback (shown after answering)

$2,600 − $1,500 = $1,100.
Recomputed independently by the build: 1100

Why each other choice is wrong (misconception it represents)

A: Uses the average
C: Saves the budget amount
D: Saves all income

Type: knowledge check

GO DEEPER 1 — Budgeting with irregular income · Question 4 of 5

Mo budgets $1,500 a month and keeps extra income from good months in a buffer account. In a $1,200 month, what should he do?

A. Put $300 on a credit card
B. Skip rent this month
C. Raise his monthly budget to $2,600
D. Draw $300 from his buffer account

CORRECT ANSWER

D. Draw $300 from his buffer account

Feedback (shown after answering)

The buffer exists to cover low months: $1,500 − $1,200 = $300.
Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Borrows for a predictable shortfall
B: Cuts a need
C: Moves the wrong way

Type: knowledge check · practical how-to

GO DEEPER 1 — Budgeting with irregular income · Question 5 of 5

Learn: Some workers with uneven income deposit all earnings into one account and transfer a fixed amount to their spending account each month, like a salary.

Which practice makes uneven income easier to manage?

A. Paying yourself a steady "salary" from a holding account
B. Spending each paycheck as soon as it arrives
C. Budgeting from your single best month
D. Avoiding keeping any written record of your income at all

CORRECT ANSWER

A. Paying yourself a steady "salary" from a holding account

Feedback (shown after answering)

A steady transfer smooths uneven income into predictable spending money.

Why each other choice is wrong (misconception it represents)

B: Ignores uneven timing
C: Overestimates income
D: Prevents planning

Type: instruction · practical how-to

GO DEEPER 2 — Monthly versus annual pricing · Question 1 of 5

Learn: Many services offer a discount for paying a year at once. Compare by finding the yearly cost of the monthly plan. But a yearly plan only saves money if you would have kept the service all year.

A streaming service costs $15.99 per month or $159.99 per year. How much does the yearly plan save compared with paying monthly for 12 months?

A. $0
B. $1.99
C. $31.89
D. $144.00

CORRECT ANSWER

C. $31.89

Feedback (shown after answering)

Monthly for a year: $15.99 × 12 = $191.88. Savings: $191.88 − $159.99 = $31.89.
Recomputed independently by the build: 31.89

Why each other choice is wrong (misconception it represents)

A: Assumes equal cost
B: Subtracts dollar amounts digit by digit
D: Subtracts the monthly price from the yearly price

Type: instruction

GO DEEPER 2 — Monthly versus annual pricing · Question 2 of 5

Gina usually cancels streaming services after about 6 months. For her, which plan is cheaper: 6 months at $15.99, or the $159.99 yearly plan?

A. Yearly: $159.99
B. They cost the same
C. Monthly: $191.88
D. Monthly: about $95.94

CORRECT ANSWER

D. Monthly: about $95.94

Feedback (shown after answering)

6 × $15.99 = $95.94, less than $159.99.
Recomputed independently by the build: 95.94

Why each other choice is wrong (misconception it represents)

A: Assumes she keeps it all year
B: Does not compute
C: Uses 12 months

Type: knowledge check

GO DEEPER 2 — Monthly versus annual pricing · Question 3 of 5

A gym offers $40 per month with no contract, or $360 for a full year paid up front. After how many months does the yearly plan become the better deal?

A. More than 9 months
B. More than 4 months
C. More than 12 months
D. More than 3 months

CORRECT ANSWER

A. More than 9 months

Feedback (shown after answering)

$360 ÷ $40 = 9. If she uses the gym more than 9 months, the yearly plan saves money.
Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

B: Divides incorrectly
C: Thinks the yearly plan never wins
D: Uses $120 as the break-even

Type: knowledge check

GO DEEPER 2 — Monthly versus annual pricing · Question 4 of 5

Which is a risk of a large annual prepayment?

A. The price can never change after you pay
B. You get a discount
C. Fewer bills to track
D. Paying for months you may not use

CORRECT ANSWER

D. Paying for months you may not use

Feedback (shown after answering)

Prepaying locks money into a service you might stop using; check the refund policy.

Why each other choice is wrong (misconception it represents)

A: Not a risk
B: A benefit, not a risk
C: A benefit, not a risk

Type: knowledge check

GO DEEPER 2 — Monthly versus annual pricing · Question 5 of 5

A $12.99 monthly subscription renews automatically. Over 3 years, how much does it cost if never cancelled?

A. $38.97
B. $155.88
C. $389.70
D. $467.64

CORRECT ANSWER

D. $467.64

Feedback (shown after answering)

$12.99 × 36 = $467.64.

Recomputed independently by the build: 467.64

Why each other choice is wrong (misconception it represents)

A: Gives three months
B: Gives one year
C: Uses 30 months

Type: knowledge check

SET 19 · Budgeting and Managing Expenses

Smart shopping: unit prices, discounts, and sales tax

MAIN skill: Compare prices using unit prices, discounts, and sales tax

Outcome FL.BUDGET.19 · National topic: Spending · NJSLS 9.1.12: PB, EG

Learning target: Comparison shopping: unit prices, discounts, sales tax, and total cost

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Price, discount, tax, and total (5 questions)
  - Why: Shopping math depends on keeping the price, the discount, the tax, and the total straight.
- B2 · Math link → G6-S09-M (Grade 6 6.RP.A.3.b): Compare unit rates to find the better buy or the faster rate
  - Why: Unit price comparisons are unit-rate comparisons.
- B3 · Math link → G7-S63-M (Grade 7 7.RP.A.3): Find sales tax and the final cost with tax
  - Why: Total cost includes tax as a percent of the price.
- B4 · Math link → G7-S66-M (Grade 7 7.RP.A.3): Solve multistep percent problems that combine a discount with tax or a tip
  - Why: Sale-and-tax totals apply two percents in order.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Stacked discounts and coupons (5 questions)
- Go Deeper 2: Total cost beyond the price tag (5 questions)

Practical skills beyond the standards: Spotting fake discounts; New Jersey sales tax exemptions

Content status: time-sensitive

Source: New Jersey Division of Taxation (Sales and Use Tax) — New Jersey sales tax rate is 6.625%; most clothing and footwear and most food for home consumption are exempt.
https://www.nj.gov/treasury/taxation/businesses/salestax/index.shtml

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 B, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 C, B1-Q3 D, B1-Q4 B, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 D, F1-Q4 A, F1-Q5 A, F2-Q1 D, F2-Q2 A, F2-Q3 C, F2-Q4 D, F2-Q5 A

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 1 of 5

Learn: A unit price is the price per unit, such as per ounce or per item: unit price = price ÷ quantity. Comparing unit prices shows which size is the better value. (A lower unit price helps only if you will use the larger amount before it spoils.)

A 12-ounce box of cereal costs $3.60. A 20-ounce box costs $5.40. Which is the better buy per ounce?

A. The 20-ounce box: $0.27 per ounce
B. The 12-ounce box: $0.30 per ounce
C. The 12-ounce box, because it costs less
D. The 20-ounce box: $0.30 per ounce

CORRECT ANSWER

A. The 20-ounce box: $0.27 per ounce

Feedback (shown after answering)

12 oz: $3.60 ÷ 12 = $0.30 per oz. 20 oz: $5.40 ÷ 20 = $0.27 per oz.

Recomputed independently by the build: 0.27

Why each other choice is wrong (misconception it represents)

B: Picks the higher unit price
C: Compares total prices only
D: Computes the wrong unit price

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 2 of 5

Learn: A discount is a percent taken off the price. Discount = price × rate. Sale price = price − discount, or price × (1 − rate).

A $64 backpack is 25% off. What is the sale price?

A. $16
B. $39
C. $48
D. $80

CORRECT ANSWER

C. $48

Feedback (shown after answering)

$64 × 0.25 = $16 off; $64 − $16 = $48. Or $64 × 0.75 = $48.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Gives the discount, not the sale price
B: Subtracts 25 dollars
D: Adds the discount

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 3 of 5

Learn: Sales tax is calculated by multiplying the taxable price by the tax rate. Total cost = price + tax, or price × (1 + rate). Rates differ by state and sometimes by city, and some items are exempt.

A taxable purchase costs $80. The sales tax rate is 6.5%. What is the TOTAL cost?

A. $5.20
B. $85.20
C. $86.50
D. $132.00

CORRECT ANSWER

B. $85.20

Feedback (shown after answering)

Tax: $80 × 0.065 = $5.20. Total: $85.20.

Recomputed independently by the build: 85.2

Why each other choice is wrong (misconception it represents)

A: Gives only the tax
C: Adds 6.5 dollars instead of 6.5%
D: Uses 65%

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 4 of 5

Learn: For a store's own discount, many states figure sales tax on the discounted price: take the discount first, then figure tax on the sale price. Manufacturer coupons and other discounts can be taxed differently depending on the state.

A $120 jacket is 30% off in a store-funded sale, and in this state the 6.5% sales tax is figured on the discounted selling price. What is the total cost?

A. $84.00
B. $87.36
C. $89.46
D. $91.80

CORRECT ANSWER

C. $89.46

Feedback (shown after answering)

Sale price: $120 × 0.70 = $84.00. Tax: $84 × 0.065 = $5.46. Total: $89.46.

Recomputed independently by the build: 89.46

Why each other choice is wrong (misconception it represents)

A: Forgets the tax
B: Subtracts 30% and then adds only 4%
D: Applies tax to the original price and adds it to the sale price

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 5 of 5

A store offers "Buy one, get one 50% off" on $20 shirts. If Tom buys two, what percent does he save on the pair?

A. 10%
B. 25%
C. 50%
D. 75%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

Two shirts: $20 + $10 = $30 instead of $40. Savings $10 ÷ $40 = 25%.
Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Uses the dollar amount as a percent
C: Applies 50% to both shirts
D: Adds percents incorrectly

Type: knowledge check

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 1 of 5

Learn: A discount lowers the price: sale price = original price − discount.

A $50 item has a $10 discount. What is the sale price?

A. $5
B. $10
C. $40
D. $60

CORRECT ANSWER

C. $40

Feedback (shown after answering)

$50 − $10 = $40.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Divides
B: Gives the discount
D: Adds the discount

Type: instruction

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 2 of 5

Learn: Sales tax raises the total: total = price + tax.

The tax on a $40 item is $2.60. What is the total?

A. $2.60
B. $37.40
C. $42.60
D. $66.00

CORRECT ANSWER

C. $42.60

Feedback (shown after answering)

$40 + $2.60 = $42.60.

Recomputed independently by the build: 42.6

Why each other choice is wrong (misconception it represents)

A: Gives only the tax
B: Subtracts the tax
D: Adds 26

Type: instruction

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 3 of 5

Which word describes the percent taken OFF a price?

A. Tax
B. Total
C. Interest
D. Discount

CORRECT ANSWER

D. Discount

Feedback (shown after answering)

A discount reduces the price.

Why each other choice is wrong (misconception it represents)

A: Tax is added
B: The final amount
C: Interest is a borrowing or saving cost

Type: knowledge check

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 4 of 5

Learn: 10% of an amount is the amount divided by 10.

What is 10% of $35?

A. $0.35
B. $3.50
C. $31.50
D. $35.00

CORRECT ANSWER

B. $3.50

Feedback (shown after answering)

$35 × 0.10 = $3.50.

Recomputed independently by the build: 3.5

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives the price after the discount
D: Uses 100%

Type: instruction

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 5 of 5

Which comparison tells you the better buy between two package sizes?

A. Price per ounce of each package
B. Which package is larger
C. Which package is cheaper in total
D. Which package is on the higher shelf

CORRECT ANSWER

A. Price per ounce of each package

Feedback (shown after answering)

Unit price compares value across sizes.

Why each other choice is wrong (misconception it represents)

B: Size alone does not give value
C: Total price ignores quantity
D: Store placement does not show value

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 1 of 5

Learn: When discounts "stack," each is applied to the price left after the previous one. Two discounts of 20% and 10% do not equal 30% off.

A $100 coat is 20% off, with an extra 10% off the sale price at checkout. What is the final price before tax?

A. $70
B. $72
C. $80
D. $90

CORRECT ANSWER

B. $72

Feedback (shown after answering)

$100 × 0.80 = $80; $80 × 0.90 = $72.

Recomputed independently by the build: 72

Why each other choice is wrong (misconception it represents)

A: Adds the discounts to 30%
C: Uses only the first discount
D: Uses only the second discount

Type: instruction

GO DEEPER 1 — Stacked discounts and coupons · Question 2 of 5

What single percent discount is the same as 20% off followed by 10% off?

A. 2%
B. 10%
C. 28%
D. 30%

CORRECT ANSWER

C. 28%

Feedback (shown after answering)

Final price is 0.80 × 0.90 = 0.72 of the original, so the discount is 28%.

Recomputed independently by the build: 28

Why each other choice is wrong (misconception it represents)

A: Multiplies the percents as whole numbers
B: Uses the smaller discount
D: Adds the percents

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 3 of 5

A $5-off coupon and a 15% discount can be used in either order on a $40 purchase. Which order gives the lower price?

A. $5 first, then 15% off: $29.75
B. Both orders give $29.00
C. 15% first, then $5 off: $34.00
D. 15% first, then $5 off: $29.00

CORRECT ANSWER

D. 15% first, then $5 off: $29.00

Feedback (shown after answering)

15% first: $40 × 0.85 = $34; − $5 = $29.00. $5 first: $35 × 0.85 = $29.75.
Recomputed independently by the build: 29

Why each other choice is wrong (misconception it represents)

A: Picks the higher price
B: Assumes order never matters
C: Forgets the coupon

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 4 of 5

An ad says "Up to 70% off!" What does this usually mean?

A. Only some items are 70% off; many are discounted less
B. Every item is 70% off
C. Every item is at least 70% off
D. The store adds 70% to prices

CORRECT ANSWER

A. Only some items are 70% off; many are discounted less

Feedback (shown after answering)

"Up to" sets the maximum discount, not the typical one.

Why each other choice is wrong (misconception it represents)

B: Reads "up to" as "all"
C: Reverses "up to"
D: Misreads the ad

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 5 of 5

An item's price was $80 last week and is now "on sale" for $80 after being raised to $100 and marked 20% off. What happened?

A. The "sale" price is the same as last week's price
B. Tom saves $20 compared with last week
C. Tom saves 20% compared with what he paid last week
D. The price went down by $100

CORRECT ANSWER

A. The "sale" price is the same as last week's price

Feedback (shown after answering)

$100 × 0.80 = $80, the same as before. Compare with past prices, not just the "was" price.

Why each other choice is wrong (misconception it represents)

B: Trusts the reference price
C: Trusts the reference price
D: Arithmetic error

Type: knowledge check

GO DEEPER 2 — Total cost beyond the price tag · Question 1 of 5

Learn: Compare total cost: price + shipping + fees + tax. A lower sticker price can cost more in total.

Store A sells headphones for $59 plus $8 shipping. Store B sells them for $64 with free shipping. Which costs less, and by how much?

A. Store A, by $5
B. Store B, by $5
C. They cost the same
D. Store B, by $3

CORRECT ANSWER

D. Store B, by $3

Feedback (shown after answering)

A: $59 + $8 = $67. B: $64. B is $3 cheaper.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Ignores shipping
B: Arithmetic error
C: Does not compute

Type: instruction

GO DEEPER 2 — Total cost beyond the price tag · Question 2 of 5

A store offers free shipping on orders of $50 or more. Jen's cart totals $42, and shipping is $7. She adds a $10 item she does not need. What did that cost her compared with paying shipping?

A. $3 more
B. $7 less
C. $10 less
D. $17 more

CORRECT ANSWER

A. $3 more

Feedback (shown after answering)

Paying shipping: $49. Adding the item: $52. She spends $3 more, on something she does not need.
Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

B: Counts only shipping saved
C: Thinks the item is free
D: Adds shipping and the item

Type: knowledge check

GO DEEPER 2 — Total cost beyond the price tag · Question 3 of 5

Learn: Sales tax rules are set by each state. Some items, such as groceries, clothing, or medicine, may be exempt. Always check your own state's rules.

In New Jersey, most clothing and most grocery food are exempt from sales tax, and the general rate is 6.625%. What is the tax on a $40 shirt and a $40 desk lamp bought together?

A. $0.00
B. $2.60
C. $2.65
D. $5.30

CORRECT ANSWER

C. $2.65

Feedback (shown after answering)

The shirt is exempt; the lamp is taxable: $40 × 0.06625 = $2.65.

Recomputed independently by the build: 2.65

Why each other choice is wrong (misconception it represents)

A: Thinks both are exempt
B: Uses 6.5%
D: Taxes both items

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 2 — Total cost beyond the price tag · Question 4 of 5

Which purchase decision considers the total cost of owning an item?

A. Choosing the printer with the lowest sticker price only
B. Choosing the printer with the biggest rebate this week
C. Choosing the printer with the lowest monthly payment plan
D. Comparing printers by price plus yearly ink costs

CORRECT ANSWER

D. Comparing printers by price plus yearly ink costs

Feedback (shown after answering)

Ongoing costs (ink, fuel, subscriptions, repairs) can matter more than the purchase price.

Why each other choice is wrong (misconception it represents)

A: Ignores ongoing costs
B: Lets a one-time rebate hide ongoing costs
C: Looks at payment size instead of total cost

Type: knowledge check

GO DEEPER 2 — Total cost beyond the price tag · Question 5 of 5

Printer X costs $60 and $80 a year in ink. Printer Y costs $150 and $35 a year in ink. Over 3 years, which costs less in total?

A. Printer Y: $255 vs $300
B. Printer X: $140 vs $185
C. Printer X: $60 vs $150
D. They cost the same over 3 years

CORRECT ANSWER

A. Printer Y: $255 vs $300

Feedback (shown after answering)

X: $60 + 3 × $80 = $300. Y: $150 + 3 × $35 = $255.
Recomputed independently by the build: 255

Why each other choice is wrong (misconception it represents)

B: Counts only one year
C: Counts only the purchase price
D: Does not compute

Type: knowledge check

SET 20 · Budgeting and Managing Expenses

Spending decisions and behavioral biases

MAIN skill: Use a decision process and recognize biases that lead to poor spending choices

Outcome FL.BUDGET.20 · National topic: Spending · NJSLS 9.1.12: FP, PB

Learning target: Influences on spending decisions: behavioral biases, marketing, and social pressure

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Making a choice: alternatives and criteria (5 questions)
  - Why: Recognizing biases requires first knowing what a reasoned choice looks like.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Marketing tactics and spending traps (5 questions)
- Go Deeper 2: Social influence and financial values (5 questions)

Practical skills beyond the standards: 24-hour rule for unplanned purchases; Recognizing dark patterns

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 C, B1-Q5 D, F1-Q1 A, F1-Q2 D, F1-Q3 D, F1-Q4 C, F1-Q5 A, F2-Q1 A, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 D

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 1 of 5

Learn: Every spending choice has an opportunity cost: the next-best thing you give up. Thinking about what else money could do helps you choose deliberately rather than automatically.

Kai has $200. He can buy a game console accessory or save toward a used bike. If he buys the accessory, what is the opportunity cost?

A. The $200 price of the accessory itself, paid at the register
B. Nothing, because he still has the accessory
C. The sales tax on the accessory
D. The progress toward the bike that he gives up

CORRECT ANSWER

D. The progress toward the bike that he gives up

Feedback (shown after answering)

Choosing the accessory means giving up progress toward the bike, the next-best option.

Why each other choice is wrong (misconception it represents)

A: Confuses price with what is given up
B: Ignores trade-offs
C: Confuses tax with opportunity cost

Type: instruction

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 2 of 5

Learn: Anchoring is relying too much on the first number you see. A high "original" price can make a sale price feel cheap, even when it is not a good deal compared with other options.

A sign says "Was $200, now $120!" Mia feels the $120 price is a great deal, even though similar items cost $100 elsewhere. Which bias is at work?

A. Sunk cost thinking about money already spent
B. Loss aversion about a past investment loss
C. The bandwagon effect from friends' choices
D. Anchoring on the "was" price

CORRECT ANSWER

D. Anchoring on the "was" price

Feedback (shown after answering)

The $200 anchor makes $120 seem cheap; comparing with $100 elsewhere shows it is not.

Why each other choice is wrong (misconception it represents)

A: Different bias
B: Different bias
C: Different bias

Type: instruction

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 3 of 5

Learn: A sunk cost is money already spent that cannot be recovered. The sunk cost fallacy is letting it drive a new decision. Good decisions compare the future benefits and costs of each option.

Leo paid $60 for a concert ticket but feels sick on the day. He goes anyway "so the money isn't wasted." What is this called?

A. The sunk cost fallacy
B. Opportunity cost bias
C. Anchoring
D. Comparison shopping

CORRECT ANSWER

A. The sunk cost fallacy

Feedback (shown after answering)

The $60 is gone either way; the choice should depend on how he feels and what he gains now.

Why each other choice is wrong (misconception it represents)

B: Related idea, not this bias
C: Different bias
D: Not a bias

Type: instruction

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 4 of 5

Learn: Present bias is valuing what we want now much more than what we want later. Impulse buying feeds on it. Adding a delay, such as a 24-hour rule or removing saved cards, gives the planning part of the brain time to weigh in.

Ana often buys things online late at night and regrets them. Which strategy targets this habit directly?

A. Save her card details on every site so checkout is faster
B. Turn on more shopping notifications
C. Shop only during sales events
D. Wait 24 hours before buying anything not planned

CORRECT ANSWER

D. Wait 24 hours before buying anything not planned

Feedback (shown after answering)

A waiting period interrupts impulse buying and lets her compare the purchase with her goals.

Why each other choice is wrong (misconception it represents)

A: Makes impulse buys easier
B: Increases triggers
C: Sales encourage impulse buying

Type: instruction · practical how-to

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 5 of 5

Which ordering follows a sound decision process?

A. Set a goal, list options, compare, choose, review
B. Choose quickly, then find reasons to justify the choice later
C. List options, choose the most popular, skip review
D. Compare costs only after buying

CORRECT ANSWER

A. Set a goal, list options, compare, choose, review

Feedback (shown after answering)

A deliberate process defines the goal and compares options before choosing, then reviews the result.

Why each other choice is wrong (misconception it represents)

B: Skips evaluation
C: Relies on popularity
D: Evaluates too late

Type: knowledge check

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 1 of 5

Learn: Every decision has alternatives (the options) and criteria (what matters to you, such as price, quality, or coverage). Good choices compare alternatives using your criteria.

Sam is choosing a phone plan. What are "alternatives"?

A. The different plans he could choose
B. The reasons he wants a new phone now
C. The phone he already owns
D. The bill he paid last month

CORRECT ANSWER

A. The different plans he could choose

Feedback (shown after answering)

Alternatives are the options he is choosing among.

Why each other choice is wrong (misconception it represents)

B: Confuses alternatives with goals
C: Not a choice
D: Past event

Type: instruction

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 2 of 5

Learn: A criterion (plural: criteria) is a standard you use to judge options. Which criteria matter depends on your goal, such as ongoing cost, data, or coverage.

Sam wants the phone plan with the lowest ongoing cost. Which criterion fits that goal?

A. A free phone case that comes with the plan
B. How many friends use the same carrier
C. Which carrier has the most TV ads
D. Monthly price

CORRECT ANSWER

D. Monthly price

Feedback (shown after answering)

For lowest ongoing cost, the monthly price is the criterion that matters.

Why each other choice is wrong (misconception it represents)

A: A one-time perk, not an ongoing cost
B: Not a cost
C: Not a cost

Type: instruction

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 3 of 5

Plan A: $35, 5 GB. Plan B: $45, unlimited. Sam uses about 3 GB a month. Which plan fits his criteria of low cost and enough data?

A. Plan A
B. Plan B, because unlimited always sounds better
C. Neither, because both cost money
D. Plan B, because it costs more

CORRECT ANSWER

A. Plan A

Feedback (shown after answering)

Plan A covers his 3 GB for $10 less per month.

Why each other choice is wrong (misconception it represents)

B: Ignores his actual use
C: Rejects all options
D: Equates price with value

Type: knowledge check

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 4 of 5

Plan A costs $35 a month and Plan B costs $45 a month. What is the yearly savings from choosing Plan A?

A. $10
B. $80
C. $120
D. $540

CORRECT ANSWER

C. $120

Feedback (shown after answering)

$10 × 12 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Gives one month
B: Uses 8 months
D: Gives Plan B's yearly cost

Type: knowledge check

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 5 of 5

After choosing, why review the decision a month later?

A. Because contracts require monthly reviews
B. To find someone to blame
C. Because reviewing a purchase lowers its price later
D. To check whether the choice worked as expected

CORRECT ANSWER

D. To check whether the choice worked as expected

Feedback (shown after answering)

Reviewing lets you learn and adjust future choices.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Unhelpful
C: Invents an effect

Type: knowledge check

GO DEEPER 1 — Marketing tactics and spending traps · Question 1 of 5

Learn: Scarcity and urgency messages ("only a few left," countdown timers) push quick decisions. Sometimes they are true, sometimes not. Slowing down protects your budget.

A website shows "Only 2 left!" and a countdown timer. What is the intended effect?

A. Rushing the buyer before comparing options
B. Helping the buyer compare options calmly
C. Lowering the price
D. Showing the store's full inventory honestly

CORRECT ANSWER

A. Rushing the buyer before comparing options

Feedback (shown after answering)

Urgency cues are designed to cut comparison short.

Why each other choice is wrong (misconception it represents)

B: Reverses the purpose
C: Not the effect
D: Not the purpose

Type: instruction

GO DEEPER 1 — Marketing tactics and spending traps · Question 2 of 5

A "free trial" requires a card and converts to $14.99 a month unless cancelled. What should Nia do before signing up?

A. Assume it will cancel itself automatically
B. Use a friend's card instead
C. Ignore the terms, since the trial is advertised as free
D. Set a reminder to cancel before the trial ends

CORRECT ANSWER

D. Set a reminder to cancel before the trial ends

Feedback (shown after answering)

Free trials often become paid subscriptions automatically; a reminder prevents unwanted charges.

Why each other choice is wrong (misconception it represents)

A: Ignores auto-renewal
B: Unsafe and unfair
C: Ignores the conversion

Type: knowledge check · practical how-to

GO DEEPER 1 — Marketing tactics and spending traps · Question 3 of 5

A store's loyalty program gives 5% back in points. Raj spends $200 more than he planned to earn points. What did he gain compared with not overspending?

A. He saved $10
B. He broke even
C. He saved $200
D. He spent $190 more, net of $10 in points

CORRECT ANSWER

D. He spent $190 more, net of $10 in points

Feedback (shown after answering)

5% of $200 = $10 in points, but he spent $200 extra: a net cost of $190.
Recomputed independently by the build: 190

Why each other choice is wrong (misconception it represents)

A: Counts only the points
B: Assumes points offset spending
C: Misreads the effect

Type: knowledge check

GO DEEPER 1 — Marketing tactics and spending traps · Question 4 of 5

Learn: "Dark patterns" are design tricks that steer people into choices they did not intend, such as hidden fees, pre-checked add-ons, or hard-to-find cancellation steps.

Which design choice is a "dark pattern" that makes spending easier than intended?

A. Showing the total price before checkout
B. Listing all fees clearly up front
C. Making cancellation much harder than signing up
D. Offering a clear "cancel" button on every account page

CORRECT ANSWER

C. Making cancellation much harder than signing up

Feedback (shown after answering)

Easy sign-up and hard cancellation is a common dark pattern.

Why each other choice is wrong (misconception it represents)

A: Transparent design
B: Transparent design
D: Transparent design

Type: instruction

GO DEEPER 1 — Marketing tactics and spending traps · Question 5 of 5

At checkout, a $4.99 "protection plan" box is already checked on Ben's $25 order. What should he do?

A. Uncheck it unless he decided he wants it
B. Leave it, since stores must check what customers need
C. Pay it, because it is under $5
D. Buy two to be safe

CORRECT ANSWER

A. Uncheck it unless he decided he wants it

Feedback (shown after answering)

Pre-checked add-ons rely on default bias; $4.99 is about 20% of a $25 order.

Why each other choice is wrong (misconception it represents)

B: Trusts defaults
C: Ignores that it is 20% of the order
D: Overreacts

Type: knowledge check · practical how-to

GO DEEPER 2 — Social influence and financial values · Question 1 of 5

Learn: Influencers are often paid to promote products and may earn money from each sale. Federal rules require disclosure of these relationships, but the incentive still shapes the message.

An influencer promotes a product with a discount code. Which fact matters MOST?

A. The influencer may be paid for each sale
B. The influencer has many followers
C. The video looks professional and well produced
D. The product is popular this week

CORRECT ANSWER

A. The influencer may be paid for each sale

Feedback (shown after answering)

A paid relationship is a reason to compare reviews and prices independently.

Why each other choice is wrong (misconception it represents)

B: Popularity is not evidence
C: Production quality is not evidence
D: Popularity is not evidence

Type: instruction

GO DEEPER 2 — Social influence and financial values · Question 2 of 5

Friends spend $80 on a dinner out each weekend. Tara's budget allows $30. Which choice best balances friendship and her budget?

A. Join every time and put the extra on a credit card
B. Skip all social events forever
C. Join for a lower-cost part or suggest a cheaper place
D. Cut her rent payment to afford it

CORRECT ANSWER

C. Join for a lower-cost part or suggest a cheaper place

Feedback (shown after answering)

Adapting the plan keeps both the friendships and the budget.

Why each other choice is wrong (misconception it represents)

A: Adds debt
B: Unrealistic
D: Cuts a need

Type: knowledge check

GO DEEPER 2 — Social influence and financial values · Question 3 of 5

Seeing friends' purchases online makes Eli feel he must buy similar things. What is this effect sometimes called?

A. Compound interest
B. Diversification
C. Amortization
D. Social comparison, or "keeping up with the Joneses"

CORRECT ANSWER

D. Social comparison, or "keeping up with the Joneses"

Feedback (shown after answering)

Comparing ourselves with others can push spending beyond our plans.

Why each other choice is wrong (misconception it represents)

A: Unrelated finance term
B: Unrelated investing term
C: Unrelated loan term

Type: knowledge check

GO DEEPER 2 — Social influence and financial values · Question 4 of 5

Which statement about money and values is MOST accurate?

A. More spending always leads to more happiness over time
B. Values have no effect on financial choices
C. Spending that matches your priorities satisfies more
D. Everyone should have the same priorities

CORRECT ANSWER

C. Spending that matches your priorities satisfies more

Feedback (shown after answering)

Aligning spending with personal priorities, not others' expectations, improves satisfaction.

Why each other choice is wrong (misconception it represents)

A: Overstates the link
B: Ignores values
D: Ignores differences

Type: knowledge check

GO DEEPER 2 — Social influence and financial values · Question 5 of 5

Tara writes her top three money priorities and checks big purchases against them. What does this help with?

A. Raising her credit limit so priorities are easier to afford
B. Avoiding all spending
C. Spending first and checking priorities later
D. Making choices that match her goals

CORRECT ANSWER

D. Making choices that match her goals

Feedback (shown after answering)

Written priorities act as criteria for decisions.

Why each other choice is wrong (misconception it represents)

A: Thinks more credit makes goals easier
B: Overstates
C: Reverses the order of planning

Type: knowledge check

SET 21 · Saving, Emergency Funds, and Interest

Setting savings goals

MAIN skill: Set specific savings goals and calculate the time or monthly amount needed to reach them

Outcome FL.SAVE.21 · National topic: Saving · NJSLS 9.1.12: PB

Learning target: Develop savings goals and plans to achieve them

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why and how people save (5 questions)
  - Why: Goal math depends on understanding saving as setting money aside on purpose for later.
- B2 · Math link → G6-S52-M (Grade 6 6.EE.B.7): Solve one-step equations of the form $px = q$
  - Why: Monthly saving × months = goal is a one-step equation.
- B3 · Math link → G7-S31-M (Grade 7 7.EE.B.4.a): Solve word problems that lead to equations of the form $px + q = r$
  - Why: Goals with a starting balance lead to $px + q = r$.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Goals with a starting balance and a deadline (5 questions)
- Go Deeper 2: Balancing several goals (5 questions)

Practical skills beyond the standards: Writing SMART goals

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 A, M-Q3 A, M-Q4 B, M-Q5 D, B1-Q1 C, B1-Q2 D, B1-Q3 D, B1-Q4 C, B1-Q5 A, F1-Q1 A, F1-Q2 D, F1-Q3 C, F1-Q4 C, F1-Q5 B, F2-Q1 C, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 1 of 5

Learn: Effective goals are often written as SMART: Specific, Measurable, Achievable, Relevant, and Time-bound. "Save $1,200 for a laptop by June" names the amount, the purpose, and the deadline, so progress can be tracked.

Which savings goal is the most SPECIFIC and measurable?

A. Save $1,200 for a used laptop by next June
B. Save more money this year than I did last year
C. Become better at saving at some point soon
D. Try to stop spending so much on everything

CORRECT ANSWER

A. Save $1,200 for a used laptop by next June

Feedback (shown after answering)

It states an amount, a purpose, and a date.

Why each other choice is wrong (misconception it represents)

B: Not specific or measurable
C: No amount or date
D: Not a savings goal with an amount

Type: instruction

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 2 of 5

Learn: Ignoring interest: months needed = goal ÷ monthly saving. Monthly saving needed = goal ÷ months available.

Dina saves $150 a month toward an $1,800 goal, starting from $0. How many months will it take (ignoring interest)?

A. 12 months
B. 120 months
C. 1,650 months
D. 10 months

CORRECT ANSWER

A. 12 months

Feedback (shown after answering)

$1,800 ÷ $150 = 12 months.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

B: Misplaces a decimal
C: Subtracts instead of dividing
D: Divides by 180

Type: instruction

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 3 of 5

Raul wants $2,400 for a car down payment in 16 months. How much must he save each month (ignoring interest)?

A. $150
B. $200
C. $240
D. $38,400

CORRECT ANSWER

A. $150

Feedback (shown after answering)

$2,400 ÷ 16 = $150 per month.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

B: Divides by 12
C: Divides by 10
D: Multiplies

Type: knowledge check

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 4 of 5

Learn: If you have a starting amount, subtract it first: monthly saving = (goal − amount saved) ÷ months. This is the equation p·m + start = goal solved for p.

Raul wants $2,400 for a car down payment in 16 months and already has $600 saved. How much must he save each month?

A. $37.50
B. $112.50
C. $150.00
D. $187.50

CORRECT ANSWER

B. $112.50

Feedback (shown after answering)

($2,400 − $600) ÷ 16 = $1,800 ÷ 16 = $112.50.

Recomputed independently by the build: 112.5

Why each other choice is wrong (misconception it represents)

A: Divides only the $600
C: Ignores the $600 already saved
D: Adds the $600 to the goal

Type: instruction

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 5 of 5

Which goal is LONG-TERM?

A. Saving for a concert ticket next month
B. Saving for a phone in six months
C. Saving for a prom outfit this spring
D. Saving for retirement in 40 years

CORRECT ANSWER

D. Saving for retirement in 40 years

Feedback (shown after answering)

Long-term goals are many years away; short-term goals are within about a year.

Why each other choice is wrong (misconception it represents)

A: Short-term
B: Short-term
C: Short-term

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 1 of 5

Learn: Saving means not spending part of your income now so you can use it later, for a goal, an emergency, or the future.

What is saving?

A. Spending money as soon as it is earned
B. Borrowing money to buy something now
C. Setting aside income now to use later
D. Paying a bill on time

CORRECT ANSWER

C. Setting aside income now to use later

Feedback (shown after answering)

Saving keeps part of today's income for later.

Why each other choice is wrong (misconception it represents)

A: Opposite of saving
B: Confuses saving with borrowing
D: Paying bills is spending

Type: instruction

BACKWARD B1 · concept review — Why and how people save · Question 2 of 5

Which is a GOOD reason to save?

A. To make your current paycheck larger
B. To avoid ever needing a budget
C. To lower your tax rate this year
D. To pay for a known future expense without borrowing

CORRECT ANSWER

D. To pay for a known future expense without borrowing

Feedback (shown after answering)

Saving lets you pay for goals without debt.

Why each other choice is wrong (misconception it represents)

A: Saving does not raise pay
B: Saving needs a plan
C: Not how ordinary saving works

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 3 of 5

Kim saves $20 a week for 10 weeks. How much has she saved?

A. $2
B. $20
C. $30
D. $200

CORRECT ANSWER

D. $200

Feedback (shown after answering)

$20 × 10 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Divides
B: Counts one week
C: Adds instead of multiplying

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 4 of 5

Kim wants $300 and saves $20 a week. How many weeks will it take?

A. 6,000 weeks
B. 280 weeks
C. 15 weeks
D. 10 weeks

CORRECT ANSWER

C. 15 weeks

Feedback (shown after answering)

$300 ÷ $20 = 15 weeks.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Multiplies
B: Subtracts
D: Divides by 30

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 5 of 5

Which habit makes saving most consistent?

A. Saving a set amount each payday
B. Saving only when there is money left over at month end
C. Saving only in months with birthdays
D. Waiting until earning a higher salary

CORRECT ANSWER

A. Saving a set amount each payday

Feedback (shown after answering)

A set amount each payday turns saving into a routine.

Why each other choice is wrong (misconception it represents)

B: Often leaves nothing
C: Irregular
D: Delays saving

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 1 of 5

Learn: A savings plan with a starting amount is linear: total = start + (monthly amount × months). Set the total equal to the goal and solve.

Lia has $350 and saves $65 a month. Which equation finds the months m until she has $1,000?

A. 350 + 65m = 1,000
B. 65 + 350m = 1,000
C. 350m + 65m = 1,000
D. 65m = 1,000 + 350

CORRECT ANSWER

A. 350 + 65m = 1,000

Feedback (shown after answering)

Start $350 + $65 per month × m = $1,000.

Why each other choice is wrong (misconception it represents)

B: Swaps the rate and the start
C: Multiplies the start by m
D: Adds the start to the goal

Type: instruction

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 2 of 5

Solve 350 + 65m = 1,000. After how many whole months will Lia reach at least $1,000?

A. 15 months
B. 9 months
C. 20 months
D. 10 months

CORRECT ANSWER

D. 10 months

Feedback (shown after answering)

65m = 650, so m = 10 months.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Ignores the $350 start
B: Rounds down; she is still short
C: Arithmetic error

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 3 of 5

Lia has $350 and wants $1,000 in 8 months. How much must she save per month (nearest dollar, rounding up)?

A. $65
B. $81
C. $82
D. $125

CORRECT ANSWER

C. $82

Feedback (shown after answering)

($1,000 − $350) ÷ 8 = $81.25, so about $82 a month to be sure.
Recomputed independently by the build: 82

Why each other choice is wrong (misconception it represents)

A: Keeps her current amount
B: Rounds down and falls short
D: Ignores the starting balance

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 4 of 5

Sam's goal: $3,000 in 2 years. He has $600 and can save $90 a month. Will he make it?

A. Yes; he will have $3,000 exactly
B. Yes; he will have $2,760
C. No; he will have $2,760, which is $240 short
D. No; he will have only $2,160

CORRECT ANSWER

C. No; he will have $2,760, which is $240 short

Feedback (shown after answering)

$600 + $90 × 24 = $600 + $2,160 = $2,760, short by $240.

Recomputed independently by the build: 2760

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Says yes despite the shortfall
D: Forgets the starting balance

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 5 of 5

How much more per month would Sam need to close a $240 gap over 24 months?

A. $5
B. $10
C. $20
D. $240

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$240 ÷ 24 = $10 more per month ($100 total).

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 48 months
C: Uses 12 months
D: Puts it all in one month

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 1 of 5

Learn: When there are several goals, rank them by importance and timing, then divide monthly savings among them. Emergency savings usually come first because they protect every other goal.

Ray can save $200 a month. Goals: emergency fund (most important), a $600 trip in 6 months, and a car in 3 years. Which plan best reflects his priorities?

A. $200 to the trip only, then everything else
B. $200 to the car only for 3 years
C. $100 emergency fund, $100 trip, car later
D. Nothing until he earns more

CORRECT ANSWER

C. $100 emergency fund, $100 trip, car later

Feedback (shown after answering)

$100 × 6 = $600 covers the trip on time while still building the emergency fund.

Why each other choice is wrong (misconception it represents)

A: Ignores his top priority
B: Ignores near-term goals
D: Delays all goals

Type: instruction

GO DEEPER 2 — Balancing several goals · Question 2 of 5

After the trip, Ray sends $150 a month to his car fund. How much will he have after 30 months?

A. $180
B. $1,800
C. $4,500
D. $6,000

CORRECT ANSWER

C. $4,500

Feedback (shown after answering)

$150 × 30 = $4,500.

Recomputed independently by the build: 4500

Why each other choice is wrong (misconception it represents)

A: Adds
B: Uses 12 months
D: Uses 40 months

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 3 of 5

Why keep separate "buckets" or accounts for different goals?

A. Separate accounts always earn more interest
B. Banks require one account per goal
C. It lowers taxes on savings
D. It shows progress on each goal and avoids spending one goal's money on another

CORRECT ANSWER

D. It shows progress on each goal and avoids spending one goal's money on another

Feedback (shown after answering)

Labeling money by goal keeps plans clear.

Why each other choice is wrong (misconception it represents)

A: Invents a benefit
B: Invents a rule
C: Invents a tax effect

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 4 of 5

Ray's goals, in priority order, are an emergency fund, a trip, and a car. He gets a $300 birthday gift. Which use matches his priorities?

A. Add it to the emergency fund first
B. Spend it all on wants right away
C. Add it to the car goal only
D. Leave it in his wallet for months

CORRECT ANSWER

A. Add it to the emergency fund first

Feedback (shown after answering)

Unexpected money can speed up the highest-priority goal.

Why each other choice is wrong (misconception it represents)

B: Ignores priorities
C: Skips the top priority
D: Unplanned

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 5 of 5

Ray saves for several goals ranked by importance. If his income drops, which goal should he pause first?

A. The emergency fund
B. All goals equally
C. Rent
D. The least important, least urgent goal

CORRECT ANSWER

D. The least important, least urgent goal

Feedback (shown after answering)

Pausing lower-priority goals protects the most important ones.

Why each other choice is wrong (misconception it represents)

A: Pauses his safety net
B: Ignores priorities
C: Rent is a need, not a goal

Type: knowledge check

SET 22 · Saving, Emergency Funds, and Interest

Emergency funds

MAIN skill: Size, build, and use an emergency fund

Outcome FL.SAVE.22 · National topic: Saving · NJSLS 9.1.12: PB, RM

Learning target: Emergency savings: purpose, size, and where to keep them

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Expected and unexpected expenses (5 questions)
  Why: Knowing which costs are surprises explains why an emergency fund is separate from goal savings.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Fund targets multiply monthly expenses by months.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Months covered divides the fund by monthly expenses.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Building the fund over time (5 questions)
- Go Deeper 2: Emergency fund or debt payoff? (5 questions)

Practical skills beyond the standards: Starter emergency fund; Choosing between saving and debt payoff

Content status: stable

Source: CFPB — An emergency fund is money set aside for unplanned expenses or financial emergencies; start small and build it over time. https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 A, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 D, F1-Q1 C, F1-Q2 D, F1-Q3 A, F1-Q4 C, F1-Q5 B, F2-Q1 A, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 C

MAIN — Size, build, and use an emergency fund · Question 1 of 5

Learn: An emergency fund is money saved for unexpected events: a lost job, a medical bill, a car repair. It helps you avoid high-cost borrowing when surprises happen. A common guideline is 3 to 6 months of essential expenses, built up gradually. Even a small fund helps.

What is an emergency fund for?

A. Planned purchases such as a vacation next summer
B. Investing in stocks for the highest return
C. Unexpected costs such as a car repair or a job loss
D. Paying for holiday gifts each December

CORRECT ANSWER

C. Unexpected costs such as a car repair or a job loss

Feedback (shown after answering)

Emergency funds cover unplanned needs; planned goals and investing belong elsewhere.

Why each other choice is wrong (misconception it represents)

A: Confuses emergencies with planned goals
B: Confuses emergency savings with investing
D: Predictable expense; belongs in a sinking fund

Type: instruction

MAIN — Size, build, and use an emergency fund · Question 2 of 5

Jo's essential expenses are $1,650 a month. What is a 3-month emergency fund target?

A. $550
B. $1,650
C. $4,950
D. $9,900

CORRECT ANSWER

C. $4,950

Feedback (shown after answering)

$1,650 × 3 = $4,950.

Recomputed independently by the build: 4950

Why each other choice is wrong (misconception it represents)

A: Divides by 3
B: Uses one month
D: Uses six months

Type: knowledge check

MAIN — Size, build, and use an emergency fund · Question 3 of 5

Learn: Emergency money must be safe and available quickly. Insured savings accounts keep the money stable and accessible. Investments can lose value right when you need them, and long-term CDs charge penalties for early withdrawal.

Where is the best place to keep an emergency fund?

A. An insured savings account she can reach quickly
B. A stock fund, because it grows faster on average
C. A 5-year CD with a large early-withdrawal penalty
D. Cash in a drawer at home

CORRECT ANSWER

A. An insured savings account she can reach quickly

Feedback (shown after answering)

Safety and quick access matter most for emergency money.

Why each other choice is wrong (misconception it represents)

B: Value can fall when needed
C: Hard to access without cost
D: Risk of theft or loss; no interest

Type: instruction

MAIN — Size, build, and use an emergency fund · Question 4 of 5

Which situation is an appropriate use of an emergency fund?

A. A sale on concert tickets that ends tonight
B. A planned spring break trip
C. A new phone because a friend got one
D. Replacing a broken refrigerator needed for food

CORRECT ANSWER

D. Replacing a broken refrigerator needed for food

Feedback (shown after answering)

An essential, unexpected need is a true emergency.

Why each other choice is wrong (misconception it represents)

A: A want, not an emergency
B: A planned goal
C: A want driven by comparison

Type: knowledge check

MAIN — Size, build, and use an emergency fund · Question 5 of 5

Jo has $3,000 saved and essential expenses of $1,200 a month. How many months could the fund cover?

A. 25 months
B. 0.4 months
C. 2.5 months
D. 4.2 months

CORRECT ANSWER

C. 2.5 months

Feedback (shown after answering)

$3,000 ÷ $1,200 = 2.5 months.

Recomputed independently by the build: 2.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides the wrong way
D: Adds instead of dividing

Type: knowledge check

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 1 of 5

Learn: Expected expenses are known in advance (rent, bills, registration). Unexpected expenses are surprises (repairs, medical costs, job loss).

Which expense is UNEXPECTED?

A. A dentist visit for a cracked tooth
B. Monthly rent
C. A yearly car registration
D. A phone bill

CORRECT ANSWER

A. A dentist visit for a cracked tooth

Feedback (shown after answering)

A cracked tooth is a surprise expense.

Why each other choice is wrong (misconception it represents)

B: Expected
C: Expected
D: Expected

Type: instruction

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 2 of 5

How is an emergency fund different from a sinking fund?

A. It is for vacations instead of bills
B. It earns no interest
C. It is for unknown surprises, not a known future bill
D. It is borrowed money

CORRECT ANSWER

C. It is for unknown surprises, not a known future bill

Feedback (shown after answering)

Emergency funds handle surprises; sinking funds handle known costs.

Why each other choice is wrong (misconception it represents)

A: Confuses purposes
B: Not the difference
D: Confuses saving with borrowing

Type: knowledge check

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 3 of 5

Without savings, how do many people pay for a surprise $500 bill?

A. By borrowing, often at high cost
B. By getting a free refund from the government
C. By skipping it with no consequence
D. With money that appears in their account

CORRECT ANSWER

A. By borrowing, often at high cost

Feedback (shown after answering)

No savings often means credit cards, payday loans, or late fees.

Why each other choice is wrong (misconception it represents)

B: Invents a source
C: Ignores consequences
D: Unrealistic

Type: knowledge check

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 4 of 5

Learn: An emergency fund is cash set aside for surprises, so you do not have to borrow when one happens.

Mo has a $500 car repair and a $1,000 emergency fund. Which choice avoids paying interest on the repair?

A. Charging it to a credit card he cannot pay off for a year
B. Taking a payday loan
C. Paying the repair from his emergency fund
D. Skipping the repair and borrowing a car

CORRECT ANSWER

C. Paying the repair from his emergency fund

Feedback (shown after answering)

Using savings for the repair avoids interest; then he rebuilds the fund.

Why each other choice is wrong (misconception it represents)

A: Adds interest
B: Very high cost
D: Avoids the problem, not the cost

Type: instruction

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 5 of 5

Which is a reasonable FIRST emergency-fund target for a teen with a part-time job?

A. Six months of a full adult household's expenses
B. Nothing until age 30
C. Exactly $1 million
D. A starter amount such as $500

CORRECT ANSWER

D. A starter amount such as $500

Feedback (shown after answering)

Starting small builds the habit; the target grows with responsibilities.

Why each other choice is wrong (misconception it represents)

A: Unrealistic first step
B: Delays protection
C: Unrealistic

Type: knowledge check

GO DEEPER 1 — Building the fund over time · Question 1 of 5

Jo saves $275 a month toward a $4,950 target, starting from $0. How many months will it take?

A. 12 months
B. 16 months
C. 18 months
D. 20 months

CORRECT ANSWER

C. 18 months

Feedback (shown after answering)

$4,950 ÷ $275 = 18 months.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Assumes one year
B: Arithmetic error
D: Arithmetic error

Type: knowledge check

GO DEEPER 1 — Building the fund over time · Question 2 of 5

Jo's emergency fund target is $4,950. She starts with a $1,500 tax refund and saves $275 a month. How many months of saving does she need (rounded up)?

A. 18 months
B. 12 months
C. 5 months
D. 13 months

CORRECT ANSWER

D. 13 months

Feedback (shown after answering)

($4,950 − $1,500) ÷ $275 ≈ 12.5, so 13 months.
Recomputed independently by the build: 13

Why each other choice is wrong (misconception it represents)

A: Ignores the refund
B: Rounds down and falls short
C: Divides only the refund

Type: knowledge check

GO DEEPER 1 — Building the fund over time · Question 3 of 5

Jo used $800 from her emergency fund for a car repair. What should she do next?

A. Rebuild the fund with regular deposits
B. Leave it lower permanently
C. Borrow $800 to refill it at once
D. Stop paying her other bills

CORRECT ANSWER

A. Rebuild the fund with regular deposits

Feedback (shown after answering)

Rebuilding restores protection for the next surprise.

Why each other choice is wrong (misconception it represents)

B: Leaves her exposed
C: Uses debt to fill savings
D: Cuts needs

Type: knowledge check · practical how-to

GO DEEPER 1 — Building the fund over time · Question 4 of 5

Which automatic setup best builds an emergency fund?

A. Keeping the fund in checking with everyday money
B. Moving money only when she remembers
C. A recurring transfer on payday to a separate savings account
D. Linking the fund to a debit card for shopping

CORRECT ANSWER

C. A recurring transfer on payday to a separate savings account

Feedback (shown after answering)

Automatic transfers to a separate account build the fund consistently.

Why each other choice is wrong (misconception it represents)

A: Easy to spend
B: Inconsistent
D: Encourages spending it

Type: knowledge check · practical how-to

GO DEEPER 1 — Building the fund over time · Question 5 of 5

Jo's fund earns 4% a year. If it stays near $4,950 for a year, about how much interest does it earn?

A. $19.80
B. $198
C. $1,980
D. $5,148

CORRECT ANSWER

B. $198

Feedback (shown after answering)

$4,950 × 0.04 = $198. Safety, not return, is the main job, but interest still helps.

Recomputed independently by the build: 198

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 40%
D: Gives the balance

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 1 of 5

Learn: High-interest debt grows quickly, but with no savings at all, the next surprise goes back on the card. A common approach: keep a small starter emergency fund, then put extra money toward high-interest debt, then build the full fund.

Kyle has $1,000 saved and a $2,000 credit card balance at 24% APR. Many planners suggest which approach?

A. Keep a small starter fund while paying down the card aggressively
B. Spend the $1,000 on wants, then pay minimums
C. Never pay the card until the fund reaches six months
D. Close the savings account and stop saving

CORRECT ANSWER

A. Keep a small starter fund while paying down the card aggressively

Feedback (shown after answering)

A starter fund prevents new debt while extra payments shrink costly debt.

Why each other choice is wrong (misconception it represents)

B: Ignores both goals
C: Lets expensive debt grow
D: Removes protection

Type: instruction

GO DEEPER 2 — Emergency fund or debt payoff? · Question 2 of 5

Interest on $2,000 at 24% for one year (simple estimate) is how much?

A. $48
B. $240
C. $480
D. $2,480

CORRECT ANSWER

C. $480

Feedback (shown after answering)

$2,000 × 0.24 = $480.

Recomputed independently by the build: 480

Why each other choice is wrong (misconception it represents)

A: Uses 2.4%
B: Uses 12%
D: Gives the balance

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 3 of 5

Savings earn 4% while the card charges 24%. Moving $500 from savings to the card saves about how much per year in net interest?

A. $20
B. $100
C. $120
D. $140

CORRECT ANSWER

B. $100

Feedback (shown after answering)

Card interest avoided: $500 × 0.24 = $120. Savings interest lost: $500 × 0.04 = $20. Net: $100.
Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Gives only the savings interest
C: Ignores interest lost on savings
D: Adds the two amounts

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 4 of 5

Why might someone still keep a few hundred dollars in savings while paying debt?

A. Because savings accounts require it by law
B. Because card interest stops when you have savings
C. Because debt does not cost anything
D. So a small surprise does not go back on the card

CORRECT ANSWER

D. So a small surprise does not go back on the card

Feedback (shown after answering)

A small cushion breaks the cycle of new debt.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Invents an effect
C: Ignores interest

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 5 of 5

Kyle has paid off his credit card, which had taken $150 a month in payments. His emergency fund is still small. What is a sensible next step?

A. Increase spending by the payment amount
B. Open three new cards
C. Send the former card payments to build the full emergency fund
D. Stop budgeting

CORRECT ANSWER

C. Send the former card payments to build the full emergency fund

Feedback (shown after answering)

Redirecting the payment amount builds savings quickly.

Why each other choice is wrong (misconception it represents)

A: Loses momentum
B: Adds risk
D: Abandons the plan

Type: knowledge check

SET 23 · Saving, Emergency Funds, and Interest

Simple interest

MAIN skill: Calculate simple interest and the resulting balance

Outcome FL.SAVE.23 · National topic: Saving · NJSLS 9.1.12: PB, CDM

Learning target: Calculate interest earned on savings (simple interest)

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal, interest, and balance (5 questions)
  Why: Interest problems fail when students confuse principal, interest, and balance.
- B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest
  Why: This set applies the Grade 7 simple interest skill.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for one year is a percent of the principal.
- B4 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: I = Prt multiplies three factors, including a decimal rate.
- B5 · Math link → G6-S44-M (Grade 6 6.EE.A.2.c): Evaluate expressions and formulas for given values
  Why: Simple interest substitutes values into a formula.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Solving the interest formula for any variable (5 questions)
- Go Deeper 2: Simple interest in borrowing (5 questions)

Practical skills beyond the standards: Solving I = Prt for any variable

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 B, M-Q5 C, B1-Q1 C, B1-Q2 A, B1-Q3 B, B1-Q4 A, B1-Q5 D, F1-Q1 C, F1-Q2 C, F1-Q3 A, F1-Q4 B, F1-Q5 B, F2-Q1 C, F2-Q2 C, F2-Q3 D, F2-Q4 D, F2-Q5 C

MAIN — Calculate simple interest and the resulting balance · Question 1 of 5

Learn: Simple interest is calculated using I = Prt, where P is the principal (the starting amount), r is the annual interest rate written as a decimal, and t is the time in years.

A savings account contains $2,400 and earns 5% simple annual interest. How much INTEREST will the account earn over three years?

A. $120
B. $360
C. $2,520
D. $3,600

CORRECT ANSWER

B. $360

Feedback (shown after answering)

I = 2,400 × 0.05 × 3 = $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Calculates one year of interest only
C: Adds one year of interest to the principal
D: Uses an incorrect rate or multiplication

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 2 of 5

Learn: Interest is only the amount earned. The balance is the principal plus the interest: A = P + I.

A savings account starts with $2,400 and earns 5% simple annual interest for 3 years. What is the BALANCE at the end?

A. $360
B. $2,405
C. $2,520
D. $2,760

CORRECT ANSWER

D. $2,760

Feedback (shown after answering)

$2,400 + $360 = $2,760.

Recomputed independently by the build: 2760

Why each other choice is wrong (misconception it represents)

A: Gives the interest, not the balance
B: Adds the rate as dollars
C: Adds only one year of interest

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 3 of 5

Learn: Time in I = Prt must be in years. Convert months to years by dividing by 12: 6 months = 0.5 year.

$1,800 earns 4% simple interest for 6 months. How much interest is earned?

A. $7.20
B. $36
C. $72
D. $432

CORRECT ANSWER

B. $36

Feedback (shown after answering)

I = 1,800 × 0.04 × 0.5 = $36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
C: Uses a full year
D: Uses 6 years

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 4 of 5

Learn: Solve I = Prt for the rate: r = I ÷ (P × t). Then write the decimal as a percent.

$5,000 earned $600 of simple interest in 3 years. What was the annual rate?

A. 0.4%
B. 4%
C. 12%
D. 25%

CORRECT ANSWER

B. 4%

Feedback (shown after answering)

r = 600 ÷ (5,000 × 3) = 0.04 = 4%.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Forgets to divide by the years
D: Divides the wrong way

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 5 of 5

In I = Prt, which quantity is the principal for a $1,500 deposit that earns $90 of interest?

A. $90
B. $1,410
C. $1,500
D. $1,590

CORRECT ANSWER

C. $1,500

Feedback (shown after answering)

The principal is the starting amount, $1,500. The interest is $90, and the balance is $1,590.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Confuses interest with principal
B: Subtracts the interest
D: Confuses balance with principal

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 1 of 5

Learn: The principal is the original amount deposited or borrowed. Interest is the extra money earned (or charged). The balance is principal plus interest.

Ana deposits $300. A year later she has $309. Which amount is the PRINCIPAL?

A. $3
B. $9
C. $300
D. $309

CORRECT ANSWER

C. $300

Feedback (shown after answering)

The principal is the original $300.

Why each other choice is wrong (misconception it represents)

A: Confuses the rate with principal
B: Confuses interest with principal
D: Confuses balance with principal

Type: instruction

BACKWARD B1 · concept review — Principal, interest, and balance · Question 2 of 5

Ana deposits $300, and a year later she has $309. How much INTEREST did she earn?

A. $9
B. $300
C. $309
D. $609

CORRECT ANSWER

A. $9

Feedback (shown after answering)

$309 − $300 = $9 of interest.

Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

B: Gives the principal
C: Gives the balance
D: Adds the amounts

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 3 of 5

Ana earned $9 of interest on a $300 deposit in one year. What percent of the principal was the interest?

A. 0.03%
B. 3%
C. 9%
D. 97%

CORRECT ANSWER

B. 3%

Feedback (shown after answering)

$9 ÷ $300 = 0.03 = 3%.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses dollars as a percent
D: Gives the remaining part

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 4 of 5

Which word describes the amount owed or saved after interest is added?

A. Balance
B. Principal
C. Rate
D. Term

CORRECT ANSWER

A. Balance

Feedback (shown after answering)

The balance is the total after interest.

Why each other choice is wrong (misconception it represents)

B: The starting amount
C: The percent
D: The length of time

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 5 of 5

Learn: For a borrower, interest is the cost of using the lender's money. Total repaid = principal + interest.

Leo borrows $1,000 and repays $1,080. What was the cost of borrowing?

A. $1,080 of interest
B. $1,000 of interest
C. $0, because he repaid it
D. $80 of interest

CORRECT ANSWER

D. $80 of interest

Feedback (shown after answering)

$1,080 − $1,000 = $80 of interest.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Treats the repayment as interest
B: Treats principal as interest
C: Ignores interest

Type: instruction

GO DEEPER 1 — Solving the interest formula for any variable · Question 1 of 5

Learn: The formula I = Prt can be solved for any variable: P = I ÷ (rt), r = I ÷ (Pt), t = I ÷ (Pr).

How much must be deposited at 5% simple interest to earn $200 in 2 years?

A. $20
B. $400
C. $2,000
D. $4,000

CORRECT ANSWER

C. $2,000

Feedback (shown after answering)

P = 200 ÷ (0.05 × 2) = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Multiplies instead of dividing
B: Divides by 0.5
D: Uses 1 year

Type: instruction

GO DEEPER 1 — Solving the interest formula for any variable · Question 2 of 5

How long will it take $3,000 at 6% simple interest to earn $450?

A. 25 years
B. 0.4 years
C. 2.5 years
D. 1.5 years

CORRECT ANSWER

C. 2.5 years

Feedback (shown after answering)

t = 450 ÷ (3,000 × 0.06) = 450 ÷ 180 = 2.5 years.

Recomputed independently by the build: 2.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides the wrong way
D: Arithmetic error

Type: knowledge check

GO DEEPER 1 — Solving the interest formula for any variable · Question 3 of 5

Which rearrangement of I = Prt correctly gives t?

A. t = I / (Pr)
B. t = IPr
C. t = Pr / I
D. t = I − Pr

CORRECT ANSWER

A. t = I / (Pr)

Feedback (shown after answering)

Divide both sides by Pr: t = I / (Pr).

Why each other choice is wrong (misconception it represents)

B: Multiplies instead of dividing
C: Inverts the expression
D: Subtracts instead of dividing

Type: knowledge check

GO DEEPER 1 — Solving the interest formula for any variable · Question 4 of 5

$4,000 at 3.5% simple interest earns how much in 18 months?

A. $140
B. $210
C. $252
D. $2,520

CORRECT ANSWER

B. $210

Feedback (shown after answering)

t = 18/12 = 1.5. I = 4,000 × 0.035 × 1.5 = $210.

Recomputed independently by the build: 210

Why each other choice is wrong (misconception it represents)

A: Uses 1 year
C: Uses 1.8 years
D: Uses 18 years

Type: knowledge check

GO DEEPER 1 — Solving the interest formula for any variable · Question 5 of 5

A loan of $800 at 9% simple interest is repaid after 8 months. What is the total repaid?

A. $48
B. $848
C. $857.60
D. $872

CORRECT ANSWER

B. $848

Feedback (shown after answering)

I = 800 × 0.09 × (8/12) = $48. Total: $848.

Recomputed independently by the build: 848

Why each other choice is wrong (misconception it represents)

A: Gives only the interest
C: Uses 0.8 year
D: Uses 1 year

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 1 of 5

Learn: Some loans charge simple interest on the original principal. For borrowers, I = Prt is the cost of the loan.

A friend's family business offers Tim a $1,200 loan at 6% simple interest for 2 years. How much interest will Tim pay?

A. $14.40
B. $72
C. $144
D. $1,344

CORRECT ANSWER

C. $144

Feedback (shown after answering)

1,200 × 0.06 × 2 = $144.

Recomputed independently by the build: 144

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses one year
D: Gives total repaid

Type: instruction

GO DEEPER 2 — Simple interest in borrowing · Question 2 of 5

Tim owes $1,344 in total ($1,200 borrowed plus $144 interest). If he repays it in 24 equal monthly payments, what is each payment?

A. $6
B. $50
C. $56
D. $112

CORRECT ANSWER

C. $56

Feedback (shown after answering)

$1,344 ÷ 24 = $56.

Recomputed independently by the build: 56

Why each other choice is wrong (misconception it represents)

A: Divides only the interest
B: Ignores interest
D: Uses 12 payments

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 3 of 5

Two loans of $1,000 for 1 year: Loan A charges 8% simple interest; Loan B charges a flat $95 fee. Which costs less, and by how much?

A. Loan B, by $15
B. Loan A, by $95
C. They cost the same
D. Loan A, by $15

CORRECT ANSWER

D. Loan A, by $15

Feedback (shown after answering)

Loan A: $1,000 × 0.08 = $80. Loan B: $95. A is cheaper by $15.
Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Ignores Loan A's interest
C: Does not compute

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 4 of 5

Why do lenders charge interest?

A. Because the law requires every loan to charge 10%
B. To cover the borrower's taxes
C. Because money loses value only for lenders
D. To be paid for lending money and taking the risk of not being repaid

CORRECT ANSWER

D. To be paid for lending money and taking the risk of not being repaid

Feedback (shown after answering)

Interest compensates lenders for the use of their money, for inflation, and for default risk.

Why each other choice is wrong (misconception it represents)

A: Invents a law
B: Invents a purpose
C: Misstates the idea

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 5 of 5

Which borrower is likely to be offered a LOWER interest rate?

A. One who has missed several payments
B. One who applies for many loans at once
C. One with a strong record of repaying debts on time
D. One with no income to repay

CORRECT ANSWER

C. One with a strong record of repaying debts on time

Feedback (shown after answering)

Lower risk to the lender usually means a lower rate.

Why each other choice is wrong (misconception it represents)

A: Higher risk
B: Signals risk
D: Higher risk

Type: knowledge check

SET 24 · Saving, Emergency Funds, and Interest

Compound interest

MAIN skill: Calculate compound interest and compare it with simple interest

Outcome FL.SAVE.24 · National topic: Saving · NJSLS 9.1.12: PB, FI

Learning target: Compound interest: calculate and explain how interest compounds

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest on interest (5 questions)
  Why: Compound interest makes sense only after students see that added interest becomes part of the balance.
- B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  Why: A = P(1 + r)^t requires evaluating a power.
- B3 · Math link → G5-S01-M (Grade 5 5.OA.A.1): Evaluate expressions that use parentheses
  Why: The order of operations matters: compute 1 + r first, then the power, then multiply.
- B4 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Compound interest is growth by a constant percent per year.
- B5 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Each year's interest is a percent of the balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading an exponential growth model (5 questions)
- Go Deeper 2: Working backward: present value (5 questions)

Practical skills beyond the standards: Present value of a savings goal

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 A, F1-Q1 D, F1-Q2 D, F1-Q3 D, F1-Q4 A, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Calculate compound interest and compare it with simple interest · Question 1 of 5

Learn: When interest is compounded annually, interest is calculated on the current balance, including previously earned interest. For a constant annual rate, A = P(1 + r)^t.

$1,000 earns 10% annually, compounded once per year. Assuming the rate stays constant and there are no deposits or withdrawals, what is the balance after two years?

A. $1,100
B. $1,200
C. $1,210
D. $1,220

CORRECT ANSWER

C. $1,210

Feedback (shown after answering)

A = 1,000(1.10)^2 = 1,000 × 1.21 = $1,210. Year 1 adds $100; year 2 adds 10% of $1,100 = $110.

Recomputed independently by the build: 1210

Why each other choice is wrong (misconception it represents)

A: Applies one year of interest only
B: Uses simple interest
D: Adds 10% of $1,200 in year two

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 2 of 5

Learn: With compounding, each year's interest is figured on the balance at the start of that year. Year 1 interest is added to the principal, so year 2 interest is larger.

$500 is deposited at 4% interest compounded annually. How much interest is earned in the SECOND year?

A. $20.00
B. $20.80
C. $40.80
D. $540.80

CORRECT ANSWER

B. $20.80

Feedback (shown after answering)

Year 1: $500 × 0.04 = $20, balance $520. Year 2: $520 × 0.04 = $20.80.

Recomputed independently by the build: 20.8

Why each other choice is wrong (misconception it represents)

A: Uses simple interest on the original $500
C: Gives total interest for two years
D: Gives the balance after two years

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 3 of 5

Learn: Simple interest is figured only on the principal: I = Prt. Compound interest is figured on the growing balance: A = P(1 + r)^t, and interest = A − P. The gap between them grows over time.

$5,000 earns 4% per year for 3 years. How much MORE interest does annual compounding earn than simple interest?

A. $24.32
B. $200.00
C. $600.00
D. $624.32

CORRECT ANSWER

A. $24.32

Feedback (shown after answering)

Simple: 5,000 × 0.04 × 3 = $600. Compound: 5,000(1.04)^3 = $5,624.32, so $624.32 of interest. Difference: $24.32.

Recomputed independently by the build: 24.32

Why each other choice is wrong (misconception it represents)

B: Gives one year of simple interest
C: Gives the simple interest
D: Gives the compound interest, not the difference

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 4 of 5

Learn: To use A = P(1 + r)^t: write the rate as a decimal, add 1, raise to the number of years first (exponents before multiplication), then multiply by P.

$2,000 is invested at 6% compounded annually for 10 years. What is the balance (nearest cent)?

A. $2,120.00
B. $3,200.00
C. $3,378.96
D. $3,581.70

CORRECT ANSWER

D. $3,581.70

Feedback (shown after answering)

A = 2,000(1.06)^10 ≈ 2,000 × 1.790848 = $3,581.70.

Recomputed independently by the build: 3581.695393

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses simple interest
C: Uses 9 years

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 5 of 5

Two accounts both start with $1,000 at 5% for 20 years. One pays simple interest; one compounds annually. Why does the compound account end higher?

A. It earns interest on earlier interest as well as on the principal
B. Its stated rate is really higher than 5%, which the bank does not show
C. Simple interest accounts charge fees that reduce the balance
D. Compounding adds a bonus deposit each year

CORRECT ANSWER

A. It earns interest on earlier interest as well as on the principal

Feedback (shown after answering)

Same rate, same time: compounding wins because interest itself earns interest.

Why each other choice is wrong (misconception it represents)

B: Thinks the rate differs
C: Invents fees
D: Invents a deposit

Type: knowledge check

BACKWARD B1 · concept review — Interest on interest · Question 1 of 5

Learn: After interest is added, the balance = old balance + interest. That new balance is what earns interest next year when interest compounds.

$100 earns 10% interest for one year. What is the balance after one year?

A. $10
B. $100
C. $110
D. $1,000

CORRECT ANSWER

C. $110

Feedback (shown after answering)

$100 + $10 = $110.

Recomputed independently by the build: 110

Why each other choice is wrong (misconception it represents)

A: Gives the interest only
B: Ignores the interest
D: Multiplies by 10

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 2 of 5

Learn: With compound interest, the rate applies to the whole current balance, including interest already earned.

$100 earns 10% interest and grows to $110 after year one. In year two, the $110 earns 10% again. How much interest is earned in year two?

A. $10
B. $11
C. $21
D. $121

CORRECT ANSWER

B. $11

Feedback (shown after answering)

$110 × 0.10 = $11.

Recomputed independently by the build: 11

Why each other choice is wrong (misconception it represents)

A: Uses the original $100
C: Adds both years' interest
D: Gives the new balance

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 3 of 5

Learn: Simple interest: interest on the principal only, the same dollar amount each year. Compound interest: interest on the principal plus accumulated interest, growing each year.

Which statement describes COMPOUND interest?

A. Interest is earned only on the original deposit
B. Interest is paid only when the account is closed
C. Interest is earned on the principal and on interest already added
D. Interest is the same dollar amount every year, figured on the deposit

CORRECT ANSWER

C. Interest is earned on the principal and on interest already added

Feedback (shown after answering)

Compound interest earns "interest on interest."

Why each other choice is wrong (misconception it represents)

A: Describes simple interest
B: Confuses compounding with payout timing
D: Describes simple interest

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 4 of 5

Learn: Increasing an amount by r% is the same as multiplying it by (1 + r), with r as a decimal. Adding 5% means multiplying by 1.05.

Multiplying by 1.05 is the same as adding what percent?

A. 0.05%
B. 5%
C. 50%
D. 105%

CORRECT ANSWER

B. 5%

Feedback (shown after answering)

× 1.05 = original + 5% of the original.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Misreads the decimal
C: Misreads the decimal
D: Treats the multiplier as the percent

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 5 of 5

Which expression gives $800 after 3 years at 5% compounded annually?

A. 800(1.05)^3
B. 800 × 0.05 × 3
C. 800 + 1.05 × 3
D. 800(0.05)^3

CORRECT ANSWER

A. 800(1.05)^3

Feedback (shown after answering)

Multiply by the growth factor 1.05 once per year: 800(1.05)^3.

Why each other choice is wrong (misconception it represents)

B: Gives simple interest only
C: Adds instead of multiplying
D: Uses the rate instead of 1 + rate

Type: knowledge check

GO DEEPER 1 — Reading an exponential growth model · Question 1 of 5

Learn: In A = P(1 + r)^t, P is the starting amount and (1 + r) is the growth factor per period. A factor of 1.05 means each year's balance is 105% of the year before, a 5% increase.

An account balance is modeled by A = 1,500(1.05)^t, where t is years. What does 1.05 tell you?

A. The balance grows $1.05 each year
B. The balance grows 105% each year
C. The account pays a $1,500 bonus every 5 years
D. The balance grows 5% each year

CORRECT ANSWER

D. The balance grows 5% each year

Feedback (shown after answering)

1.05 = 1 + 0.05, so the balance grows 5% per year.

Why each other choice is wrong (misconception it represents)

A: Reads the factor as dollars
B: Reads the factor as the rate
C: Misreads the parameters

Type: instruction

GO DEEPER 1 — Reading an exponential growth model · Question 2 of 5

Learn: In an exponential model A = P(1 + r)^t, the value when t = 0 is P, because any number raised to the power 0 equals 1.

In A = 1,500(1.05)^t, what does 1,500 represent?

A. The interest earned each year
B. The balance after 5 years
C. The maximum balance allowed
D. The starting balance

CORRECT ANSWER

D. The starting balance

Feedback (shown after answering)

At t = 0, A = 1,500(1) = 1,500, the starting balance.

Why each other choice is wrong (misconception it represents)

A: Confuses the start with interest
B: Confuses the start with a later value
C: Invents a limit

Type: instruction

GO DEEPER 1 — Reading an exponential growth model · Question 3 of 5

Using A = 1,500(1.05)^t, what is the balance after 4 years (nearest cent)?

A. $1,575.00
B. $1,736.44
C. $1,800.00
D. $1,823.26

CORRECT ANSWER

D. $1,823.26

Feedback (shown after answering)

1,500 × 1.05^4 = 1,500 × 1.21550625 = $1,823.26.

Recomputed independently by the build: 1823.259375

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses three years
C: Uses simple interest

Type: knowledge check

GO DEEPER 1 — Reading an exponential growth model · Question 4 of 5

Which model shows a balance that starts at $600 and grows 3% per year?

A. A = 600(1.03)^t
B. A = 600(0.03)^t
C. A = 600 + 1.03t
D. A = 3(600)^t

CORRECT ANSWER

A. A = 600(1.03)^t

Feedback (shown after answering)

Start 600, growth factor 1 + 0.03 = 1.03.

Why each other choice is wrong (misconception it represents)

B: Uses the rate as the factor
C: Uses a linear model
D: Swaps the roles

Type: knowledge check

GO DEEPER 1 — Reading an exponential growth model · Question 5 of 5

A savings balance doubled from $800 to $1,600 over some years. Which type of growth model fits a fixed annual compound rate?

A. Linear: the balance adds the same number of dollars every single year
B. Quadratic: the balance follows a parabola
C. Exponential: the balance multiplies by the same factor each year
D. Constant: the balance never changes

CORRECT ANSWER

C. Exponential: the balance multiplies by the same factor each year

Feedback (shown after answering)

Compound interest multiplies by a constant factor each period: exponential growth.

Why each other choice is wrong (misconception it represents)

A: Describes simple interest
B: Wrong model family
D: Ignores growth

Type: knowledge check

GO DEEPER 2 — Working backward: present value · Question 1 of 5

Learn: Present value is how much money today grows to a target amount later. Solve A = P(1 + r)^t for P: P = A ÷ (1 + r)^t.

Kim wants $10,000 in 5 years. Her account earns 5% compounded annually. How much must she deposit today (nearest cent)?

A. $7,500.00
B. $7,835.26
C. $9,500.00
D. $12,762.82

CORRECT ANSWER

B. $7,835.26

Feedback (shown after answering)

P = 10,000 ÷ 1.05^5 = 10,000 ÷ 1.2762816 ≈ $7,835.26.

Recomputed independently by the build: 7835.261665

Why each other choice is wrong (misconception it represents)

A: Uses simple interest
C: Subtracts one year of interest
D: Grows $10,000 forward instead of discounting

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 2 of 5

Learn: To find the deposit needed today, divide the future amount by the growth factor raised to the number of years: P = A ÷ (1 + r)^t.

Which expression gives the deposit needed today to have $5,000 in 3 years at 4% compounded annually?

A. 5,000 × (1.04)^3
B. 5,000 − 0.04 × 3
C. 5,000 ÷ (1.04)^3
D. 5,000 ÷ (0.04)^3

CORRECT ANSWER

C. 5,000 ÷ (1.04)^3

Feedback (shown after answering)

Dividing by (1.04)^3 undoes three years of 4% growth.

Why each other choice is wrong (misconception it represents)

A: Grows forward instead of discounting
B: Subtracts a percent
D: Uses the rate instead of 1 + rate

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 3 of 5

Learn: Money deposited today earns interest, and the interest compounds, so a smaller amount today can grow into a larger amount later.

Why is the deposit needed today SMALLER than the future goal?

A. Banks add a bonus to every goal
B. Inflation automatically adds extra money to savings accounts each year
C. The goal amount shrinks every year
D. Interest will make up the difference over time

CORRECT ANSWER

D. Interest will make up the difference over time

Feedback (shown after answering)

Compound growth turns a smaller deposit into the larger future amount.

Why each other choice is wrong (misconception it represents)

A: Invents a bonus
B: Misunderstands inflation
C: Reverses the idea

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 4 of 5

Learn: In P = A ÷ (1 + r)^t, a higher rate makes the denominator larger.

If the rate were higher than 5%, how would the deposit needed today for a $10,000 goal in 5 years change?

A. It would be smaller
B. It would be larger
C. It would stay the same
D. It would equal $10,000

CORRECT ANSWER

A. It would be smaller

Feedback (shown after answering)

Faster growth means less money is needed today.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Ignores the rate
D: Ignores interest

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 5 of 5

Jay can deposit $4,000 today at 6% compounded annually. Will he reach $5,000 within 4 years?

A. Yes; 4,000(1.06)^4 ≈ $5,049.91
B. No; 4,000(1.06)^4 ≈ $4,960
C. No; he will have exactly $4,960
D. Yes; he will have $5,600

CORRECT ANSWER

A. Yes; 4,000(1.06)^4 ≈ $5,049.91

Feedback (shown after answering)

1.06^4 ≈ 1.262477, so 4,000 × 1.262477 ≈ $5,049.91, just over $5,000.

Recomputed independently by the build: 5049.90784

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Uses simple interest
D: Uses 10% per year

Type: knowledge check

SET 25 · Saving, Emergency Funds, and Interest

Compounding frequency and APY

MAIN skill: Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Outcome FL.SAVE.25 · National topic: Saving · NJSLS 9.1.12: FI, PB

Learning target: Compare savings options using APY and compounding

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Rates per year and per period (5 questions)
  - Why: Compounding-frequency problems require splitting an annual rate into a per-period rate.
- B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  - Why: Compound interest formulas raise a growth factor to a power.
- B3 · Math link → ALG1-S46-M (Algebra 1 HSF-IF.C.8.b): Use the properties of exponents to interpret growth and decay rates
  - Why: APY compares yearly growth factors from different compounding periods.
- B4 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: Periodic rates divide the annual rate by the number of periods.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How much does compounding frequency matter? (5 questions)
- Go Deeper 2: Promotional and variable rates (5 questions)

Practical skills beyond the standards: Evaluating promotional savings rates

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 D, F1-Q1 C, F1-Q2 A, F1-Q3 C, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 B, F2-Q4 A, F2-Q5 D

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 1 of 5

Learn: When interest compounds n times per year, each period uses the rate r/n, and there are n·t periods: A = P(1 + r/n)^(nt). Monthly: n = 12. Quarterly: n = 4. Daily: n = 365.

$1,000 is deposited at 6% annual interest compounded monthly. What is the balance after 1 year (nearest cent)?

A. $1,005.00
B. $1,060.00
C. $1,061.68
D. $2,012.20

CORRECT ANSWER

C. $1,061.68

Feedback (shown after answering)

Monthly rate: 0.06 ÷ 12 = 0.005. A = 1,000(1.005)^12 ≈ $1,061.68.

Recomputed independently by the build: 1061.677812

Why each other choice is wrong (misconception it represents)

A: Applies one month only
B: Uses annual compounding
D: Uses 6% per month

Type: instruction

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 2 of 5

Learn: APY (annual percentage yield) is the actual percent growth in one year including compounding: APY = (1 + r/n)^n − 1. Banks must show APY so savers can compare accounts with different compounding.

An account pays 6% compounded monthly. What is its APY (nearest hundredth of a percent)?

A. 0.50%
B. 6.00%
C. 6.17%
D. 72.00%

CORRECT ANSWER

C. 6.17%

Feedback (shown after answering)

(1.005)^12 − 1 ≈ 0.061678 = 6.17%.

Recomputed independently by the build: 6.167781

Why each other choice is wrong (misconception it represents)

A: Gives the monthly rate
B: Ignores compounding
D: Multiplies the rate by 12

Type: instruction

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 3 of 5

Learn: A slightly lower rate compounded more often can produce a higher yield. Compare accounts by APY, not by the stated rate.

Account A pays 4.9% compounded daily. Account B pays 5.0% compounded once a year. Which earns more in a year?

A. Account B, because 5.0% is higher than 4.9%
B. They earn exactly the same
C. Account A: its APY is about 5.02%
D. Account B, because daily compounding lowers the yield

CORRECT ANSWER

C. Account A: its APY is about 5.02%

Feedback (shown after answering)

A: (1 + 0.049/365)^365 − 1 ≈ 5.02%. B: 5.00%. Account A earns slightly more.

Why each other choice is wrong (misconception it represents)

A: Compares rates without compounding
B: Assumes compounding cancels the difference
D: Misunderstands compounding

Type: instruction

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 4 of 5

$2,000 earns 4% annual interest compounded quarterly for 2 years. What is the balance (nearest cent)?

A. $2,020.00
B. $2,160.00
C. $2,163.20
D. $2,165.71

CORRECT ANSWER

D. $2,165.71

Feedback (shown after answering)

Quarterly rate 0.04 ÷ 4 = 0.01; periods 4 × 2 = 8. A = 2,000(1.01)^8 ≈ $2,165.71.
Recomputed independently by the build: 2165.713411

Why each other choice is wrong (misconception it represents)

A: Applies one quarter only
B: Uses simple interest
C: Uses annual compounding

Type: knowledge check

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 5 of 5

In A = P(1 + r/n)^(nt), what is n for interest compounded quarterly?

A. 0.25
B. 3
C. 4
D. 12

CORRECT ANSWER

C. 4

Feedback (shown after answering)

Quarterly means 4 times a year, so n = 4.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Uses the fraction of a year
B: Uses months in a quarter
D: Uses monthly compounding

Type: knowledge check

BACKWARD B1 · concept review — Rates per year and per period · Question 1 of 5

Learn: A stated annual rate is split evenly across compounding periods: periodic rate = annual rate ÷ number of periods per year.

An annual rate of 6% is compounded monthly. What rate applies each month?

A. 0.5%
B. 2%
C. 6%
D. 72%

CORRECT ANSWER

A. 0.5%

Feedback (shown after answering)

6% ÷ 12 = 0.5% per month.

Recomputed independently by the build: 0.5

Why each other choice is wrong (misconception it represents)

B: Divides by 3
C: Uses the annual rate
D: Multiplies by 12

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 2 of 5

Learn: Quarterly means four periods per year: periodic rate = annual rate ÷ 4.

An annual rate of 8% is compounded quarterly. What is the quarterly rate?

A. 0.67%
B. 2%
C. 8%
D. 32%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

8% ÷ 4 = 2% per quarter.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Divides by 12
C: Uses the annual rate
D: Multiplies by 4

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 3 of 5

Learn: Total periods = periods per year × years.

How many compounding periods are in 3 years of monthly compounding?

A. 3
B. 12
C. 15
D. 36

CORRECT ANSWER

D. 36

Feedback (shown after answering)

12 × 3 = 36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Counts one year
C: Adds 12 + 3

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 4 of 5

Learn: To write a percent as a decimal, divide by 100.

Write 0.5% as a decimal.

A. 0.005
B. 0.05
C. 0.5
D. 5

CORRECT ANSWER

A. 0.005

Feedback (shown after answering)

0.5 ÷ 100 = 0.005.

Recomputed independently by the build: 0.005

Why each other choice is wrong (misconception it represents)

B: Moves the decimal one place too few
C: Does not convert
D: Moves the wrong way

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 5 of 5

Which compounds MORE often: daily or monthly?

A. Monthly
B. They are the same
C. Neither compounds
D. Daily

CORRECT ANSWER

D. Daily

Feedback (shown after answering)

Daily = 365 times per year; monthly = 12.

Why each other choice is wrong (misconception it represents)

A: Reverses frequency
B: Ignores frequency
C: Misunderstands compounding

Type: knowledge check

GO DEEPER 1 — How much does compounding frequency matter? · Question 1 of 5

Learn: Compounding more often adds a little more interest, because interest starts earning interest sooner. The gain from annual to monthly is noticeable; from monthly to daily it is tiny.

$10,000 earns 5% for one year. Compounded annually, the balance is $10,500. Compounded monthly, it is about $10,511.62. Compounded daily, it is about $10,512.67. What pattern do these show?

A. Daily compounding doubles the interest
B. Compounding frequency makes no difference at all to the year-end balance
C. More frequent compounding helps, but by smaller amounts each step
D. Monthly compounding earns less than annual

CORRECT ANSWER

C. More frequent compounding helps, but by smaller amounts each step

Feedback (shown after answering)

Annual → monthly adds $11.62; monthly → daily adds only $1.05.

Why each other choice is wrong (misconception it represents)

A: Overstates the effect
B: Ignores the small gains
D: Misreads the numbers

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 2 of 5

Learn: A 1-percentage-point difference in rate changes yearly interest far more than switching between monthly and daily compounding.

Comparing savings accounts, which factor usually matters MORE than compounding frequency?

A. The interest rate itself
B. Whether interest compounds daily or monthly
C. The number of branches in other states
D. The day of the month interest posts

CORRECT ANSWER

A. The interest rate itself

Feedback (shown after answering)

At 5% vs 4%, the rate difference is about $100 a year on $10,000; frequency differences are often a few dollars.

Why each other choice is wrong (misconception it represents)

B: Overweights a small effect
C: Rarely affects earnings
D: Minor effect

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 3 of 5

Learn: At annual compounding, one year of interest is principal × rate.

How much more does $10,000 earn in one year at 5% compounded annually than at 4% compounded annually?

A. $1
B. $10
C. $100
D. $1,000

CORRECT ANSWER

C. $100

Feedback (shown after answering)

$500 − $400 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.01%
B: Uses 0.1%
D: Uses 10%

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 4 of 5

Learn: APY already includes the effect of compounding, so the higher APY earns more, whatever the compounding frequency.

A bank advertises 4.88% APY compounded daily. Another advertises 4.90% APY compounded monthly. Which pays more?

A. The 4.88% APY account, because daily compounding is better
B. They pay exactly the same
C. It cannot be determined from APY
D. The 4.90% APY account

CORRECT ANSWER

D. The 4.90% APY account

Feedback (shown after answering)

APY already includes compounding; 4.90% > 4.88%.

Why each other choice is wrong (misconception it represents)

A: Double-counts compounding
B: Ignores the APY difference
C: Misunderstands APY

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 5 of 5

Learn: Fees subtract from what an account earns. On small balances, a monthly fee can wipe out most of the interest.

An account with a $5 monthly fee pays 4.50% APY. About how much does $2,000 earn in a year after fees?

A. $30
B. $60
C. $90
D. $150

CORRECT ANSWER

A. $30

Feedback (shown after answering)

Interest: $2,000 × 0.045 = $90. Fees: $5 × 12 = $60. Net: $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Gives only the fees
C: Ignores fees
D: Adds fees

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 1 of 5

Learn: A promotional ("teaser") rate applies only for a limited time, then drops to the regular rate. Estimate interest for each period separately.

A bank offers 5.25% APY for the first 3 months, then the regular 1.00% APY. On $4,000, about how much interest is earned in the first year (simple estimate by period)?

A. $40.00
B. $52.50
C. $82.50
D. $210.00

CORRECT ANSWER

C. $82.50

Feedback (shown after answering)

First 3 months: 4,000 × 0.0525 × 0.25 = $52.50. Next 9 months: 4,000 × 0.01 × 0.75 = $30. Total ≈ $82.50.

Recomputed independently by the build: 82.5

Why each other choice is wrong (misconception it represents)

A: Uses 1% for the whole year
B: Counts only the promotional months
D: Uses 5.25% for the whole year

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 2 of 5

Learn: Promotional rates are advertised prominently, but the rate after the promotion decides what you earn over a longer time.

Which question should Ana ask about a "limited-time" savings rate?

A. Is the rate higher than my checking account's?
B. Can I open the account online?
C. What rate applies after the promotion ends?
D. Is this rate guaranteed for as long as I keep the account?

CORRECT ANSWER

C. What rate applies after the promotion ends?

Feedback (shown after answering)

The post-promotion rate determines long-term earnings.

Why each other choice is wrong (misconception it represents)

A: Compares with the wrong account
B: Focuses on convenience, not the rate
D: Assumes promotional rates last forever

Type: instruction · practical how-to

GO DEEPER 2 — Promotional and variable rates · Question 3 of 5

Learn: When a rate changes partway through the year, figure the interest for each part of the year separately.

A savings account's variable rate drops from 4% to 3% after six months. On $6,000, about how much interest is earned that year?

A. $180
B. $210
C. $240
D. $420

CORRECT ANSWER

B. $210

Feedback (shown after answering)

6,000 × 0.04 × 0.5 = $120; 6,000 × 0.03 × 0.5 = $90; total ≈ $210.

Recomputed independently by the build: 210

Why each other choice is wrong (misconception it represents)

A: Uses 3% for the whole year
C: Uses 4% for the whole year
D: Adds both full-year amounts

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 4 of 5

Learn: Savings rates tend to follow market interest rates, which change with economic conditions and Federal Reserve policy.

Why might a bank lower its savings rate?

A. Market interest rates fell
B. A customer deposited too much
C. The account was opened online
D. Federal law requires yearly cuts

CORRECT ANSWER

A. Market interest rates fell

Feedback (shown after answering)

Banks adjust variable rates as market rates change.

Why each other choice is wrong (misconception it represents)

B: Not how rates are set
C: Not a reason for changes
D: Invents a law

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 5 of 5

Learn: Savings products differ: regular savings and money market accounts usually have variable rates that can change at any time; a certificate of deposit (CD) usually keeps a fixed rate until it matures, in exchange for leaving the money in place.

Which product LOCKS a savings rate for a set term?

A. A regular savings account
B. A money market account
C. A checking account
D. A certificate of deposit

CORRECT ANSWER

D. A certificate of deposit

Feedback (shown after answering)

CDs usually have a fixed rate for their term.

Why each other choice is wrong (misconception it represents)

A: Usually variable
B: Usually variable
C: Usually little or no interest

Type: instruction

SET 26 · Saving, Emergency Funds, and Interest

Time, doubling, and the Rule of 72

MAIN skill: Estimate doubling time with the Rule of 72 and explain why starting early matters

Outcome FL.SAVE.26 · National topic: Saving · NJSLS 9.1.12: PB, FP

Learning target: Explain how time and compounding affect savings growth

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Doubling and repeated doubling (5 questions)
  Why: Doubling-time reasoning depends on understanding repeated multiplication by 2.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: The Rule of 72 divides 72 by the rate (or by the years).
- B3 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  Why: Repeated doubling is a power of 2.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Starting early (5 questions)
- Go Deeper 2: The cost of waiting (5 questions)

Practical skills beyond the standards: Rule of 72 estimates

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 C, B1-Q1 C, B1-Q2 D, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 C, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 1 of 5

Learn: The Rule of 72 is a quick estimate: years to double ≈ 72 ÷ (annual interest rate as a percent). It works best for rates between about 4% and 12% and gives an approximation, not an exact answer.

Using the Rule of 72, about how long does it take money to double at 6% compounded annually?

A. 12 years
B. 6 years
C. 16.7 years
D. 4.3 years

CORRECT ANSWER

A. 12 years

Feedback (shown after answering)

72 ÷ 6 = 12 years.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

B: Uses the rate as the years
C: Uses 100 ÷ 6
D: Divides 72 by 6 then by 2.8

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 2 of 5

Learn: The Rule of 72 also works backward: rate ≈ 72 ÷ years to double.

About what annual rate would double money in 9 years, by the Rule of 72?

A. 0.125%
B. 8%
C. 9%
D. 81%

CORRECT ANSWER

B. 8%

Feedback (shown after answering)

72 ÷ 9 = 8%.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Divides 9 by 72
C: Uses the years as the rate
D: Multiplies 9 by 9

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 3 of 5

Learn: Compound growth speeds up over time because each year's growth is a percent of a larger balance. The last decade can add more than all the earlier decades combined.

$5,000 grows at 7% compounded annually. How much MORE does it grow to after 40 years than after 30 years (nearest dollar)?

A. $3,500
B. $36,811
C. $38,061
D. $74,872

CORRECT ANSWER

B. $36,811

Feedback (shown after answering)

40 years: 5,000(1.07)^40 ≈ $74,872. 30 years: 5,000(1.07)^30 ≈ $38,061. Difference ≈ $36,811.

Recomputed independently by the build: 36811.013983

Why each other choice is wrong (misconception it represents)

A: Uses 10 years of simple interest
C: Gives the 30-year balance
D: Gives the 40-year balance

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 4 of 5

Learn: Each "doubling period" multiplies the balance by 2. Count the doubling periods in the time span, then double that many times.

Use the Rule of 72 to estimate what $1,000 grows to in 36 years at 8% compounded annually.

A. About $8,000
B. About $3,880
C. About $4,000
D. About $16,000

CORRECT ANSWER

D. About $16,000

Feedback (shown after answering)

72 ÷ 8 = 9 years per doubling; 36 ÷ 9 = 4 doublings: $1,000 → $2,000 → $4,000 → $8,000 → $16,000. (Exact: about $15,968.)

Why each other choice is wrong (misconception it represents)

A: Counts three doublings
B: Uses simple interest
C: Counts doublings as additions

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 5 of 5

Why is the Rule of 72 called an estimate?

A. It only works for simple interest
B. It gives the exact answer for every interest rate and every time period
C. It approximates the exact compound-interest result
D. It is a legal limit on interest rates

CORRECT ANSWER

C. It approximates the exact compound-interest result

Feedback (shown after answering)

It is a shortcut; the exact answer comes from A = P(1 + r)^t.

Why each other choice is wrong (misconception it represents)

A: Misunderstands the rule
B: Overstates its accuracy
D: Confuses it with a law

Type: knowledge check

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 1 of 5

Learn: To double means to multiply by 2.

$500 doubles once. What is the new amount?

A. $250
B. $502
C. $1,000
D. $2,500

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

$500 × 2 = $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Halves
B: Adds 2
D: Multiplies by 5

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 2 of 5

Learn: Doubling three times multiplies by 2 × 2 × 2 = 2^3 = 8.

$500 doubles three times. What is the final amount?

A. $1,500
B. $2,000
C. $3,000
D. $4,000

CORRECT ANSWER

D. $4,000

Feedback (shown after answering)

$500 × 8 = $4,000.

Recomputed independently by the build: 4000

Why each other choice is wrong (misconception it represents)

A: Adds 500 three times
B: Doubles twice
C: Multiplies by 6

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 3 of 5

Learn: Number of doublings = total years ÷ years per doubling.

If money doubles every 10 years, how many times does it double in 30 years?

A. 30 times
B. 10 times
C. 3 times
D. 2 times

CORRECT ANSWER

C. 3 times

Feedback (shown after answering)

30 ÷ 10 = 3 doublings.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Counts years per doubling
D: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 4 of 5

Learn: Steady additions grow by the same dollar amount each year (linear growth). Doubling multiplies the amount (exponential growth). Exponential growth starts slowly but eventually passes linear growth.

Starting with $100, which is larger after 30 years: adding $100 each year, or doubling every 10 years?

A. Adding $100 a year: $3,100 vs $800
B. Doubling every 10 years: $800 vs $3,100
C. They are equal at $3,100
D. Doubling every 10 years: $3,200 vs $3,100

CORRECT ANSWER

A. Adding $100 a year: $3,100 vs $800

Feedback (shown after answering)

Adding: $100 + 30 × $100 = $3,100. Doubling: $100 × 2^3 = $800. Over a longer time doubling wins: after 60 years, $6,400 vs $6,100.

Why each other choice is wrong (misconception it represents)

B: Assumes doubling always wins
C: Arithmetic error
D: Counts five doublings instead of three

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 5 of 5

Which statement about compound growth is TRUE?

A. Growth is fastest in the first year
B. Growth is the same number of dollars every year
C. Growth stops after 10 years
D. Growth is faster in later years because the balance is larger

CORRECT ANSWER

D. Growth is faster in later years because the balance is larger

Feedback (shown after answering)

Each year adds a percent of a larger balance, so dollar growth speeds up.

Why each other choice is wrong (misconception it represents)

A: Reverses the pattern
B: Describes simple interest
C: Invents a limit

Type: knowledge check

GO DEEPER 1 — Starting early · Question 1 of 5

Learn: Starting early gives money more years to compound. Someone who saves for a few early years can end up with more than someone who saves much longer but starts later. (These examples assume a steady 7% return; real investment returns vary and are not guaranteed.)

Saver A invests $2,000 a year from age 25 to 34 (10 years), then stops. Saver B invests $2,000 a year from 35 to 64 (30 years). Both earn 7% a year. By 65, A has about $210,000 and B about $189,000. How much did each CONTRIBUTE?

A. A: $210,000; B: $189,000
B. A: $60,000; B: $20,000
C. Both: $40,000
D. A: $20,000; B: $60,000

CORRECT ANSWER

D. A: $20,000; B: $60,000

Feedback (shown after answering)

A: 10 × $2,000 = $20,000. B: 30 × $2,000 = $60,000.

Why each other choice is wrong (misconception it represents)

A: Confuses balances with contributions
B: Swaps the savers
C: Averages the contributions

Type: instruction

GO DEEPER 1 — Starting early · Question 2 of 5

Learn: Compounding rewards time. Money invested earlier has more years for its earnings to earn more.

Saver A contributed $20,000 and ended with about $210,000. Saver B contributed $60,000 and ended with about $189,000. Why did A end with more?

A. A earned a higher rate
B. B paid higher taxes
C. A's money had more years to compound
D. A contributed more money in total than B did

CORRECT ANSWER

C. A's money had more years to compound

Feedback (shown after answering)

Same rate, but A's dollars compounded for 30–40 years.

Why each other choice is wrong (misconception it represents)

A: Both earned the same assumed rate
B: Not in the example
D: A contributed less

Type: instruction

GO DEEPER 1 — Starting early · Question 3 of 5

Saver A contributed $20,000 and ended with about $210,000. About how much of A's $210,000 came from growth rather than contributions?

A. About $190,000
B. About $20,000
C. About $210,000
D. About $230,000

CORRECT ANSWER

A. About $190,000

Feedback (shown after answering)

$210,000 − $20,000 ≈ $190,000 of growth.
Recomputed independently by the build: 190000

Why each other choice is wrong (misconception it represents)

B: Gives contributions
C: Gives the total
D: Adds instead of subtracting

Type: knowledge check

GO DEEPER 1 — Starting early · Question 4 of 5

Learn: At about 7%, money doubles roughly every 72 ÷ 7 ≈ 10.3 years. Number of doublings = years ÷ doubling time; growth factor = 2^(doublings). Keep the doublings unrounded until the end.

A 17-year-old with a summer job wonders whether saving $500 now matters. Using the Rule of 72 at 7% a year, about what does $500 grow to in 48 years (nearest hundred)?

A. $500
B. $2,200
C. $12,700
D. $16,000

CORRECT ANSWER

C. $12,700

Feedback (shown after answering)

48 × 7 ÷ 72 ≈ 4.667 doublings; 2^4.667 ≈ 25.40; $500 × 25.40 ≈ $12,699, about $12,700. (Exact annual compounding: $500 × 1.07^48 ≈ $12,864.45, about $12,900.)

Recomputed independently by the build: 12700

Why each other choice is wrong (misconception it represents)

A: Ignores growth
B: Uses simple interest: $500 + $500 × 0.07 × 48 = $2,180
D: Rounds up to 5 whole doublings before multiplying

Type: instruction

GO DEEPER 1 — Starting early · Question 5 of 5

Which assumption in "start early" examples should a careful reader remember?

A. Returns are guaranteed by the government
B. Every year earns exactly 7%, so results are certain
C. Starting early never matters
D. Real investment returns vary and are not guaranteed

CORRECT ANSWER

D. Real investment returns vary and are not guaranteed

Feedback (shown after answering)

The lesson about time holds, but actual yearly returns can be higher, lower, or negative.

Why each other choice is wrong (misconception it represents)

A: Overstates protection
B: Treats an average as certain
C: Rejects the main lesson

Type: knowledge check

GO DEEPER 2 — The cost of waiting · Question 1 of 5

Learn: Years to double ≈ 72 ÷ rate. Number of doublings = years invested ÷ years per doubling.

$1,000 invested at 6% for 36 years doubles about how many times (Rule of 72)?

A. 6 times
B. 2 times
C. 3 times
D. 12 times

CORRECT ANSWER

C. 3 times

Feedback (shown after answering)

72 ÷ 6 = 12 years per doubling; 36 ÷ 12 = 3 doublings.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Uses 36 ÷ 6
B: Arithmetic error
D: Gives years per doubling

Type: instruction

GO DEEPER 2 — The cost of waiting · Question 2 of 5

Learn: At a given rate, one fewer doubling period at the end means one fewer doubling: the final balance is about half as large.

$1,000 invested at 6% doubles about every 12 years. Waiting 12 years to invest it, with a fixed retirement date, means ending with about…

A. the same amount
B. twice as much
C. half as much
D. 12% less

CORRECT ANSWER

C. half as much

Feedback (shown after answering)

Losing one doubling period cuts the result by about half.

Why each other choice is wrong (misconception it represents)

A: Ignores lost compounding
B: Reverses the effect
D: Uses the years as a percent

Type: instruction

GO DEEPER 2 — The cost of waiting · Question 3 of 5

$1,000 grows at 6% for 36 years to about $8,000. If Jen invests the $1,000 at 6% but waits 12 years, so it grows for 24 years, about how much will she have?

A. About $8,000
B. About $2,000
C. About $7,000
D. About $4,000

CORRECT ANSWER

D. About $4,000

Feedback (shown after answering)

24 years ÷ 12 = 2 doublings: $1,000 → $2,000 → $4,000.

Why each other choice is wrong (misconception it represents)

A: Ignores the delay
B: Removes two doublings
C: Subtracts 12% of the total

Type: knowledge check

GO DEEPER 2 — The cost of waiting · Question 4 of 5

Learn: Savers cannot control market returns, inflation, or interest rates. They can control when they start, how much they save, and how consistently they save.

Which factor does a young saver control MOST?

A. How early and how consistently they save
B. The stock market's yearly return
C. The inflation rate
D. Interest rates set by the Federal Reserve

CORRECT ANSWER

A. How early and how consistently they save

Feedback (shown after answering)

Time and consistency are within the saver's control.

Why each other choice is wrong (misconception it represents)

B: Not controllable
C: Not controllable
D: Not controllable

Type: instruction

GO DEEPER 2 — The cost of waiting · Question 5 of 5

Two friends each save $100 a month. One starts at 22, the other at 32. Both stop at 65 and earn the same rate. Which statement is TRUE?

A. The earlier saver will very likely end with much more
B. They will end with the same amount
C. The later saver will end with more
D. Saving monthly removes the effect of starting time completely

CORRECT ANSWER

A. The earlier saver will very likely end with much more

Feedback (shown after answering)

Ten extra years of contributions and compounding produce a much larger balance.

Why each other choice is wrong (misconception it represents)

B: Ignores time
C: Reverses the effect
D: Misunderstands compounding

Type: knowledge check

SET 27 · Saving, Emergency Funds, and Interest

Savings options: high-yield savings, CDs, and money market accounts

MAIN skill: Choose a savings product by safety, liquidity, and return

Outcome FL.SAVE.27 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Compare savings products: CDs, money market accounts, and Treasury securities

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Liquidity: how quickly money can be used (5 questions)
  - Why: Choosing a savings product depends on trading access (liquidity) against return.
- B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest
  - Why: CD interest and penalties use simple interest over part of a year.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: CD ladders (5 questions)
- Go Deeper 2: U.S. Treasury savings options (5 questions)

Practical skills beyond the standards: Building a CD ladder; Buying Treasuries on TreasuryDirect

Content status: time-sensitive

Source: FDIC — Deposit insurance covers deposit products such as CDs and money market deposit accounts; it does not cover money market mutual funds or other investments. https://www.fdic.gov/resources/deposit-insurance/understanding-deposit-insurance

Source: TreasuryDirect (I bonds) — I bonds must be held at least 12 months; if cashed before 5 years, the last 3 months of interest are lost. (This page does not cover Treasury bill rules.) https://www.treasurydirect.gov/savings-bonds/i-bonds/

Source: TreasuryDirect (Buying savings bonds) — New electronic savings bonds (Series EE and I) are bought through TreasuryDirect; marketable Treasury bills, notes, and bonds can also be bought through banks and brokers. https://www.treasurydirect.gov/savings-bonds/buy-a-bond/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 D, B1-Q4 A, B1-Q5 B, F1-Q1 A, F1-Q2 C, F1-Q3 C, F1-Q4 C, F1-Q5 D, F2-Q1 B, F2-Q2 B, F2-Q3 A, F2-Q4 C, F2-Q5 D

MAIN — Choose a savings product by safety, liquidity, and return · Question 1 of 5

Learn: A certificate of deposit (CD) is a bank or credit union deposit that you agree to leave for a set term, such as 6 months or 5 years. In return, it usually pays a fixed rate. Taking money out before the term ends usually costs an early-withdrawal penalty. CDs are insured deposits up to the legal limit.

What is a certificate of deposit (CD)?

A. A stock that pays the same fixed dividend to owners every month
B. A checking account with free checks
C. A loan that a bank gives to students
D. A deposit left for a set term at a usually fixed rate

CORRECT ANSWER

D. A deposit left for a set term at a usually fixed rate

Feedback (shown after answering)

A CD is a time deposit with a set term and usually a fixed rate.

Why each other choice is wrong (misconception it represents)

A: Confuses a CD with a stock
B: Confuses a CD with checking
C: Confuses a CD with a loan

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 2 of 5

Learn: Early-withdrawal penalties are often stated as a number of days or months of interest. Penalty ≈ principal × rate × (days ÷ 365).

Max's $5,000 CD pays 4.5% simple interest. The penalty for early withdrawal is 90 days of interest. About how much is the penalty (use 365 days in a year)?

A. $4.50
B. $18.49
C. $55.48
D. $225.00

CORRECT ANSWER

C. $55.48

Feedback (shown after answering)

5,000 × 0.045 × 90/365 ≈ $55.48.

Recomputed independently by the build: 55.479452

Why each other choice is wrong (misconception it represents)

A: Misreads the rate
B: Uses 30 days
D: Uses a full year of interest

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 3 of 5

Learn: A money market deposit account is a bank deposit, insured up to the legal limit. A money market fund is a mutual fund that invests in short-term debt. It aims to keep a stable value but is not FDIC insured and can, rarely, lose value.

Which statement about a money market DEPOSIT account (at a bank) and a money market FUND (at a brokerage) is TRUE?

A. Both are FDIC insured
B. Only the fund is FDIC insured
C. Only the deposit account is FDIC insured
D. Neither can ever lose value, because both are offered by banks

CORRECT ANSWER

C. Only the deposit account is FDIC insured

Feedback (shown after answering)

The bank account is a deposit (insured); the fund is an investment (not FDIC insured).

Why each other choice is wrong (misconception it represents)

A: Thinks the similar names mean the same protection
B: Reverses the facts
D: Overstates the safety of the fund

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 4 of 5

Learn: Match the product to when you need the money. Money needed on a known date can go in a CD whose term ends by that date. Money you may need any time belongs in a savings account.

Lily will need $3,000 for college fees in exactly 12 months, and she will not touch it before then. Which choice fits best?

A. A 5-year CD with a large early-withdrawal penalty
B. A stock fund, for the highest possible return
C. Her checking account, which pays no interest
D. A 12-month CD at an insured bank

CORRECT ANSWER

D. A 12-month CD at an insured bank

Feedback (shown after answering)

A 12-month CD matches the timeline and keeps the money safe.

Why each other choice is wrong (misconception it represents)

A: Term too long
B: Value can fall right before she needs it
C: Earns nothing

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 5 of 5

Which choice keeps emergency money BOTH safe and quickly available?

A. A 3-year CD that charges an early-withdrawal penalty
B. A collectible card collection
C. A high-yield savings account at an insured bank
D. A stock index fund

CORRECT ANSWER

C. A high-yield savings account at an insured bank

Feedback (shown after answering)

Insured savings combine safety with quick access (liquidity).

Why each other choice is wrong (misconception it represents)

A: Penalty to access
B: Hard to sell at a known price
D: Value can drop when needed

Type: knowledge check

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 1 of 5

Learn: Liquidity describes how easily and quickly something can be turned into cash you can spend, without losing value. Cash and checking are very liquid; a house is not.

What does "liquidity" mean in personal finance?

A. How quickly money can be used without losing value
B. How much interest an account pays each year, as a percent
C. How much water a bank uses
D. How large an account balance is

CORRECT ANSWER

A. How quickly money can be used without losing value

Feedback (shown after answering)

Liquidity = quick access without loss of value.

Why each other choice is wrong (misconception it represents)

B: Confuses liquidity with return
C: Literal misreading
D: Confuses liquidity with size

Type: instruction

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 2 of 5

Learn: Checking account money can be spent today. Selling a house or car, or ending a CD early, takes time or costs money.

Which is MOST liquid?

A. A house
B. A 5-year certificate of deposit
C. Money in a checking account
D. A car

CORRECT ANSWER

C. Money in a checking account

Feedback (shown after answering)

Checking money is available immediately.

Why each other choice is wrong (misconception it represents)

A: Takes time to sell
B: Penalty to withdraw early
D: Takes time to sell; value uncertain

Type: instruction

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 3 of 5

Learn: Savers usually earn more for accepting less liquidity, such as locking money in a CD for a longer term.

Why do longer-term CDs often pay higher rates than savings accounts?

A. They are not insured
B. Banks are required to pay more on CDs by law
C. CD rates change every day
D. You give up access to the money for longer

CORRECT ANSWER

D. You give up access to the money for longer

Feedback (shown after answering)

Less liquidity is usually rewarded with a higher rate.

Why each other choice is wrong (misconception it represents)

A: CDs are insured deposits
B: Invents a law
C: Most CD rates are fixed

Type: instruction

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 4 of 5

Which money should be kept the MOST liquid?

A. An emergency fund
B. Savings for retirement in 40 years
C. A college fund for a newborn
D. Money for a house in 10 years

CORRECT ANSWER

A. An emergency fund

Feedback (shown after answering)

Emergency money must be available on short notice.

Why each other choice is wrong (misconception it represents)

B: Long horizon
C: Long horizon
D: Long horizon

Type: knowledge check

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 5 of 5

A 2-year CD pays 4%; a savings account pays 3.5%. On $1,000 for one year, about how much more does the CD earn?

A. $0.50
B. $5
C. $40
D. $75

CORRECT ANSWER

B. $5

Feedback (shown after answering)

$40 − $35 = $5 more, in exchange for less access.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the CD's interest
D: Adds both

Type: knowledge check

GO DEEPER 1 — CD ladders · Question 1 of 5

Learn: A CD ladder spreads money across CDs with different maturity dates. One CD matures each year, giving regular access to part of the money, and maturing CDs can be reinvested at current rates.

Rosa splits $4,000 into four CDs of $1,000 each, maturing in 1, 2, 3, and 4 years. What is this strategy called?

A. A CD ladder
B. A CD pyramid scheme
C. A savings sweep
D. A money market account

CORRECT ANSWER

A. A CD ladder

Feedback (shown after answering)

Staggered maturities form a "ladder."

Why each other choice is wrong (misconception it represents)

B: Confuses with fraud
C: Different product feature
D: Confuses CD ladders with a variable-rate account

Type: instruction

GO DEEPER 1 — CD ladders · Question 2 of 5

Learn: In a CD ladder, one CD (one "rung") matures each year.

In a 4-rung ladder of $1,000 CDs maturing in years 1–4, how much becomes available each year?

A. $0
B. $250
C. $1,000
D. $4,000

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

One $1,000 CD matures each year (plus its interest).

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Assumes nothing matures until year 4
B: Divides the rung again
D: Assumes all mature together

Type: instruction

GO DEEPER 1 — CD ladders · Question 3 of 5

Rosa's ladder pays 3.8%, 4.0%, 4.1%, and 4.2% on $1,000 each. What is the total interest in the first year (simple interest)?

A. $40.25
B. $152
C. $161
D. $168

CORRECT ANSWER

C. $161

Feedback (shown after answering)

$38 + $40 + $41 + $42 = $161.

Recomputed independently by the build: 161

Why each other choice is wrong (misconception it represents)

A: Averages the rates as dollars
B: Uses 3.8% for all
D: Uses 4.2% for all

Type: knowledge check

GO DEEPER 1 — CD ladders · Question 4 of 5

Why might a ladder be better than putting all $4,000 in one 4-year CD?

A. A ladder always pays the highest possible rate on every single dollar
B. A ladder has no insurance
C. Part of the money becomes available every year without penalty
D. A ladder avoids all taxes

CORRECT ANSWER

C. Part of the money becomes available every year without penalty

Feedback (shown after answering)

Ladders balance higher long-term rates with yearly access.

Why each other choice is wrong (misconception it represents)

A: Overpromises
B: False
D: False

Type: knowledge check

GO DEEPER 1 — CD ladders · Question 5 of 5

When the 1-year CD matures, rates have risen. What does a typical ladder strategy do?

A. Withdraw it and close the ladder
B. Reinvest it for 1 year only, forever
C. Break the other CDs early so all the money can be reinvested
D. Reinvest it in a new 4-year CD at the higher rate

CORRECT ANSWER

D. Reinvest it in a new 4-year CD at the higher rate

Feedback (shown after answering)

Rolling each maturing CD into the longest rung keeps the ladder going and captures new rates.

Why each other choice is wrong (misconception it represents)

A: Abandons the plan
B: Ladder stays short
C: Pays penalties

Type: knowledge check

GO DEEPER 2 — U.S. Treasury savings options · Question 1 of 5

Learn: Treasury bills are short-term loans to the U.S. government. They are sold at a discount, a price below face value, and pay the full face value at maturity. The difference is the earnings. Treasury securities are backed by the U.S. government.

A $1,000 Treasury bill (T-bill) is bought for $975 and pays $1,000 when it matures. How much does the buyer earn?

A. $2.50
B. $25
C. $975
D. $1,000

CORRECT ANSWER

B. $25

Feedback (shown after answering)

$1,000 − $975 = $25.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the price
D: Gives the face value

Type: instruction

GO DEEPER 2 — U.S. Treasury savings options · Question 2 of 5

Learn: The return as a percent of what you paid = earnings ÷ price × 100.

A T-bill bought for $975 pays $1,000 at maturity, earning $25. What percent of the purchase price is that (nearest hundredth)?

A. 2.50%
B. 2.56%
C. 25.00%
D. 97.50%

CORRECT ANSWER

B. 2.56%

Feedback (shown after answering)

$25 ÷ $975 ≈ 0.02564 = 2.56%.

Recomputed independently by the build: 2.564103

Why each other choice is wrong (misconception it represents)

A: Divides by face value
C: Misplaces the decimal
D: Gives price as a percent of face

Type: instruction

GO DEEPER 2 — U.S. Treasury savings options · Question 3 of 5

Learn: I bonds are U.S. savings bonds whose rate includes an inflation adjustment that changes every six months. They must be held at least 12 months, and cashing them in before 5 years costs the last 3 months of interest.

Series I savings bonds have a rate that adjusts with inflation. What is the main purpose of that feature?

A. To help savings keep up with rising prices
B. To guarantee the bond doubles in value every single year
C. To make the bond a stock investment
D. To avoid any holding period

CORRECT ANSWER

A. To help savings keep up with rising prices

Feedback (shown after answering)

The inflation-adjusted rate helps protect purchasing power.

Why each other choice is wrong (misconception it represents)

B: Overpromises
C: Misclassifies
D: Ignores holding rules

Type: instruction · rule as of TreasuryDirect rules as of 2026

GO DEEPER 2 — U.S. Treasury savings options · Question 4 of 5

Learn: I bond rules: they cannot be cashed during the first 12 months, and cashing them in before 5 years forfeits the last 3 months of interest.

Under the rules described for I bonds, what happens if one is cashed after 2 years?

A. All interest is lost
B. Nothing; there is never a penalty
C. The last 3 months of interest are lost
D. It cannot be cashed until it reaches its 30-year final maturity

CORRECT ANSWER

C. The last 3 months of interest are lost

Feedback (shown after answering)

Before 5 years, the last 3 months of interest are forfeited.

Why each other choice is wrong (misconception it represents)

A: Overstates the penalty
B: Ignores the rule
D: Confuses with final maturity

Type: instruction · rule as of TreasuryDirect rules as of 2026

GO DEEPER 2 — U.S. Treasury savings options · Question 5 of 5

Learn: Individuals can buy marketable Treasury bills, notes, and bonds directly from the U.S. Treasury on its TreasuryDirect website or through a bank or broker. New electronic savings bonds (Series I and EE) are sold through TreasuryDirect.

Where can individuals buy Treasury securities directly from the government?

A. Any social media marketplace
B. A bank's certificate of deposit counter only
C. The FDIC's website
D. TreasuryDirect.gov

CORRECT ANSWER

D. TreasuryDirect.gov

Feedback (shown after answering)

TreasuryDirect is the Treasury's official site for buying securities directly.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Confuses Treasuries with bank CDs
C: Confuses deposit insurance with Treasury sales

Type: instruction · practical how-to

SET 28 · Interest, Borrowing, and Debt

Borrowing basics: principal, interest, term, and collateral

MAIN skill: Explain the parts of a loan and compare secured and unsecured borrowing

Outcome FL.DEBT.28 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain the costs and benefits of borrowing and the parts of a loan

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal versus interest (5 questions)
  - Why: Every loan question depends on separating the amount borrowed from the cost of borrowing.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Interest is the difference between the total repaid and the principal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Cosigning and shared responsibility (5 questions)
- Go Deeper 2: Is this loan worth it? (5 questions)

Practical skills beyond the standards: Cosigning risks

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 D, M-Q4 A, M-Q5 C, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 C, F1-Q1 C, F1-Q2 A, F1-Q3 D, F1-Q4 C, F1-Q5 D, F2-Q1 D, F2-Q2 D, F2-Q3 C, F2-Q4 D, F2-Q5 A

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 1 of 5

Learn: Every loan has a principal (the amount borrowed), interest (the cost of borrowing), and a term (how long you have to repay). Total repaid = principal + interest (+ any fees).

Lena borrows $6,000 for 3 years and will repay $6,840 in total. Which amount is the PRINCIPAL?

A. $840
B. $2,280
C. $6,000
D. $6,840

CORRECT ANSWER

C. $6,000

Feedback (shown after answering)

The principal is the amount borrowed: $6,000. Interest is $840.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Confuses interest with principal
B: Divides the total by 3
D: Confuses the total repaid with principal

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 2 of 5

Learn: The cost of borrowing is everything you repay beyond the amount you borrowed.

For the same kind of loan, Lena borrows $6,000 and repays $6,840 in total over 3 years. What did borrowing cost her?

A. $280
B. $840
C. $6,000
D. $6,840

CORRECT ANSWER

B. $840

Feedback (shown after answering)

$6,840 − $6,000 = $840 of interest.

Recomputed independently by the build: 840

Why each other choice is wrong (misconception it represents)

A: Gives one year of interest
C: Treats the principal as cost
D: Treats the whole repayment as cost

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 3 of 5

Learn: Collateral is property a borrower pledges to a lender. A secured loan is backed by collateral (a car for an auto loan, a home for a mortgage); if the borrower does not repay, the lender can take it. An unsecured loan has no collateral, so lenders usually charge more.

Which loan is SECURED?

A. A credit card with no collateral
B. A personal loan approved based only on the borrower's income
C. A student loan with no collateral
D. An auto loan where the lender can repossess the car

CORRECT ANSWER

D. An auto loan where the lender can repossess the car

Feedback (shown after answering)

The car is collateral for an auto loan, so it is secured.

Why each other choice is wrong (misconception it represents)

A: Unsecured
B: Unsecured
C: Unsecured

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 4 of 5

Learn: Interest rates reflect risk. When a lender cannot take property to recover a loan, it faces more risk of loss and usually charges a higher rate.

Why do unsecured loans usually have HIGHER interest rates than secured loans?

A. The lender has no collateral to take if unpaid
B. Unsecured loans are always for larger amounts
C. Secured loans are interest-free by law
D. Unsecured lenders must pay extra taxes

CORRECT ANSWER

A. The lender has no collateral to take if unpaid

Feedback (shown after answering)

More risk for the lender means a higher rate.

Why each other choice is wrong (misconception it represents)

B: Confuses size with risk
C: Invents a rule
D: Invents a tax

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 5 of 5

Which choice is generally a BETTER use of borrowing?

A. A loan for a vacation that will be paid off over five years
B. A cash advance to buy concert tickets
C. A modest loan for training that raises future earnings
D. A loan to cover gambling losses

CORRECT ANSWER

C. A modest loan for training that raises future earnings

Feedback (shown after answering)

Borrowing that builds income or lasting value can be worthwhile; borrowing for short-lived wants usually costs more than it is worth.

Why each other choice is wrong (misconception it represents)

A: Long-term debt for a short-term want
B: Expensive debt for a want
D: Debt that does not create value

Type: knowledge check

BACKWARD B1 · concept review — Principal versus interest · Question 1 of 5

Learn: Principal is the amount borrowed. Interest is the extra amount paid for borrowing. Total repaid = principal + interest.

Jay borrows $500 from a credit union and repays $530. Which is the INTEREST?

A. $30
B. $500
C. $530
D. $1,030

CORRECT ANSWER

A. $30

Feedback (shown after answering)

$530 − $500 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Gives the principal
C: Gives the total repaid
D: Adds the amounts

Type: instruction

BACKWARD B1 · concept review — Principal versus interest · Question 2 of 5

Learn: Total repaid = principal + interest.

A loan has a principal of $2,000 and total interest of $240. What is the total repaid?

A. $240
B. $1,760
C. $2,000
D. $2,240

CORRECT ANSWER

D. $2,240

Feedback (shown after answering)

$2,000 + $240 = $2,240.

Recomputed independently by the build: 2240

Why each other choice is wrong (misconception it represents)

A: Gives the interest
B: Subtracts interest
C: Gives the principal

Type: instruction

BACKWARD B1 · concept review — Principal versus interest · Question 3 of 5

Learn: The term of a loan is how long the borrower has to repay it, such as 36 months.

Which word means "the length of time to repay a loan"?

A. Term
B. Principal
C. Collateral
D. Interest

CORRECT ANSWER

A. Term

Feedback (shown after answering)

The term is the repayment period.

Why each other choice is wrong (misconception it represents)

B: Amount borrowed
C: Property pledged
D: Cost of borrowing

Type: instruction

BACKWARD B1 · concept review — Principal versus interest · Question 4 of 5

From a BORROWER'S point of view, what is interest?

A. Money the bank pays the borrower each month on the loan
B. Part of the amount borrowed
C. A government tax on loans
D. The price paid for using someone else's money

CORRECT ANSWER

D. The price paid for using someone else's money

Feedback (shown after answering)

Borrowers pay interest to lenders.

Why each other choice is wrong (misconception it represents)

A: Saver's view reversed
B: Confuses with principal
C: Confuses with tax

Type: knowledge check

BACKWARD B1 · concept review — Principal versus interest · Question 5 of 5

Two loans of $1,000 have the same term. Loan A costs $90 in interest; Loan B costs $150. Which is cheaper?

A. Loan B, because it charges more interest
B. They are equal because the principal is the same
C. Loan A
D. It cannot be told without knowing the lenders' names

CORRECT ANSWER

C. Loan A

Feedback (shown after answering)

Same principal and term: lower interest means a cheaper loan.

Why each other choice is wrong (misconception it represents)

A: Reverses cheaper and more expensive
B: Ignores interest
D: Irrelevant information

Type: knowledge check

GO DEEPER 1 — Cosigning and shared responsibility · Question 1 of 5

Learn: A cosigner signs a loan along with the borrower and promises to repay it if the borrower does not. The debt can appear on the cosigner's credit report, and late payments can hurt the cosigner's credit.

Maya's older brother asks her to cosign his car loan. What does cosigning mean?

A. Maya is only a reference with no responsibility
B. Maya becomes the owner of the car
C. Maya is legally responsible for the debt if he does not pay
D. Maya pays only if she later signs a second agreement to do so

CORRECT ANSWER

C. Maya is legally responsible for the debt if he does not pay

Feedback (shown after answering)

A cosigner is fully responsible for the debt if the borrower does not pay.

Why each other choice is wrong (misconception it represents)

A: Underestimates the commitment
B: Confuses cosigning with ownership
D: Thinks the obligation is optional

Type: instruction

GO DEEPER 1 — Cosigning and shared responsibility · Question 2 of 5

Learn: When a cosigned loan goes unpaid, the lender can collect from the cosigner, and the missed payments can be reported on the cosigner's credit report too.

Maya cosigned her brother's car loan. He misses three payments. What can happen to Maya?

A. Her credit can be harmed and the lender can ask her to pay
B. Nothing happens to her, because the car is in her brother's name
C. She automatically owns the car
D. Only her brother's credit is affected

CORRECT ANSWER

A. Her credit can be harmed and the lender can ask her to pay

Feedback (shown after answering)

The cosigner is responsible for payments, and late payments can show up on her credit report.

Why each other choice is wrong (misconception it represents)

B: Ignores cosigner liability
C: Confuses liability with ownership
D: Ignores reporting to the cosigner

Type: instruction

GO DEEPER 1 — Cosigning and shared responsibility · Question 3 of 5

Learn: Financial counselors suggest cosigning only if you could and would repay the whole loan yourself.

Before cosigning, which question is MOST important for Maya to ask herself?

A. Will my brother be grateful to me for helping him out?
B. Will the loan show up only on my brother's credit report?
C. Can I remove my name later whenever I want?
D. Could I afford to make every payment myself?

CORRECT ANSWER

D. Could I afford to make every payment myself?

Feedback (shown after answering)

Only cosign a debt you could repay yourself.

Why each other choice is wrong (misconception it represents)

A: Emotional reason
B: Believes cosigning does not affect the cosigner's credit
C: Assumes a cosigner can leave the loan at will

Type: instruction · practical how-to

GO DEEPER 1 — Cosigning and shared responsibility · Question 4 of 5

Learn: If the borrower stops paying, the lender can collect each scheduled payment from the cosigner.

A cosigned $15,000 loan has payments of $300 a month. If the borrower stops paying, how much would the cosigner owe over the next year?

A. $300
B. $1,500
C. $3,600
D. $15,000

CORRECT ANSWER

C. $3,600

Feedback (shown after answering)

$300 × 12 = $3,600 in payments for the year.

Recomputed independently by the build: 3600

Why each other choice is wrong (misconception it represents)

A: Counts one month
B: Uses 5 months
D: Assumes the full balance is due at once

Type: instruction

GO DEEPER 1 — Cosigning and shared responsibility · Question 5 of 5

What is a safer way for Maya to help her brother than cosigning?

A. Lend him her debit card PIN
B. Cosign two smaller loans for him instead of one large loan
C. Take out a cash advance for him
D. Help him build credit or save for a larger down payment

CORRECT ANSWER

D. Help him build credit or save for a larger down payment

Feedback (shown after answering)

Helping him qualify on his own avoids putting her credit at risk.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Doubles the risk
C: Expensive debt

Type: knowledge check

GO DEEPER 2 — Is this loan worth it? · Question 1 of 5

Learn: One way to judge a loan is to compare its total cost with the benefit it creates, such as higher income.

A $3,000 loan for a welding certificate costs $360 in interest. The certificate raises Dan's pay by $4 an hour for 2,000 hours a year. What is the extra pay in the first year?

A. $360
B. $3,000
C. $4,000
D. $8,000

CORRECT ANSWER

D. $8,000

Feedback (shown after answering)

$4 × 2,000 = $8,000, far more than the $360 of interest.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

A: Gives the interest
B: Gives the loan
C: Uses 1,000 hours

Type: instruction

GO DEEPER 2 — Is this loan worth it? · Question 2 of 5

Learn: When you borrow to pay for something, its true cost is the price plus the interest and fees.

A $2,000 vacation is paid with a 24% loan over 2 years, costing about $540 in interest. What is the trip's total cost?

A. $540
B. $2,000
C. $2,480
D. $2,540

CORRECT ANSWER

D. $2,540

Feedback (shown after answering)

$2,000 + $540 = $2,540.

Recomputed independently by the build: 2540

Why each other choice is wrong (misconception it represents)

A: Gives only interest
B: Ignores interest
C: Uses 24% of $2,000

Type: instruction

GO DEEPER 2 — Is this loan worth it? · Question 3 of 5

Which question best tests whether a purchase should be financed?

A. Is the monthly payment smaller than my current phone bill?
B. Does the store offer instant approval?
C. Will it be worth more than its total cost by payoff?
D. Will my friends think it is cool?

CORRECT ANSWER

C. Will it be worth more than its total cost by payoff?

Feedback (shown after answering)

Comparing lasting value with total cost avoids paying long after the benefit is gone.

Why each other choice is wrong (misconception it represents)

A: Focuses only on payment size
B: Speed is not value
D: Social pressure

Type: knowledge check

GO DEEPER 2 — Is this loan worth it? · Question 4 of 5

Learn: Advertisements often emphasize a low monthly payment. Multiply the payment by the number of payments to find the total.

A store says, "Only $49 a month!" for a $1,200 laptop over 36 months. What is the total paid?

A. $49
B. $1,200
C. $1,470
D. $1,764

CORRECT ANSWER

D. $1,764

Feedback (shown after answering)

$49 × 36 = $1,764, which is $564 more than the price.

Recomputed independently by the build: 1764

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Ignores financing costs
C: Uses 30 months

Type: instruction

GO DEEPER 2 — Is this loan worth it? · Question 5 of 5

Which is generally the cheapest way to buy a $300 bike you need for work?

A. Saving for it over a few months and paying cash
B. Rent-to-own at $15 a week for a year
C. A payday loan
D. A credit card that is paid off slowly over three years

CORRECT ANSWER

A. Saving for it over a few months and paying cash

Feedback (shown after answering)

Paying cash from savings avoids interest and fees entirely.

Why each other choice is wrong (misconception it represents)

B: Very expensive
C: Very expensive
D: Adds interest

Type: knowledge check

SET 29 · Interest, Borrowing, and Debt

APR and periodic interest rates

MAIN skill: Interpret APR and convert it to monthly and daily periodic rates

Outcome FL.DEBT.29 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain APR and how interest rates and fees affect the cost of credit

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Rates over different time periods (5 questions)
  Why: Students who confuse yearly and monthly rates overstate or understate interest by a factor of 12.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Periodic rates divide the APR by 12 or 365.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for a period is a percent of the balance.
- B4 · Math link → G7-S01-M (Grade 7 7.RP.A.1): Compute unit rates associated with ratios of fractions
  Why: A periodic rate is a rate per unit of time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: APR versus APY and effective cost (5 questions)
- Go Deeper 2: Reading a loan disclosure (5 questions)

Practical skills beyond the standards: Reading a Truth in Lending disclosure

Content status: time-sensitive

Source: CFPB (Truth in Lending, Regulation Z) — Lenders must disclose the APR and finance charge; APR expresses the yearly cost of credit, including certain fees. https://www.consumerfinance.gov/rules-policy/regulations/1026/

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 D, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 C, F2-Q1 C, F2-Q2 C, F2-Q3 C, F2-Q4 A, F2-Q5 C

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 1 of 5

Learn: APR (annual percentage rate) is the yearly cost of credit as a percent. For a loan, it includes the interest rate plus certain fees, so it can be higher than the loan's interest rate. For a credit card, the APR is the yearly interest rate, and the card charges a periodic rate: monthly periodic rate = APR ÷ 12.

A credit card has an 18% APR. If interest is charged monthly, what is the monthly periodic rate?

A. 0.049%
B. 1.5%
C. 18%
D. 216%

CORRECT ANSWER

B. 1.5%

Feedback (shown after answering)

18% ÷ 12 = 1.5% per month.

Recomputed independently by the build: 1.5

Why each other choice is wrong (misconception it represents)

A: Uses a daily rate
C: Confuses APR with a monthly rate
D: Multiplies by 12

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 2 of 5

Learn: Many credit cards use a daily periodic rate = APR ÷ 365 (some use 360). Interest is figured each day on the balance.

A credit card has a 21.9% APR and charges interest daily. What is the daily periodic rate (use 365 days; nearest thousandth of a percent)?

A. 0.060%
B. 0.600%
C. 1.825%
D. 21.900%

CORRECT ANSWER

A. 0.060%

Feedback (shown after answering)

21.9% ÷ 365 = 0.060% per day.

Recomputed independently by the build: 0.06

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses a monthly rate
D: Confuses APR with a daily rate

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 3 of 5

Learn: Comparing loans by interest rate alone can mislead, because fees add to the cost. APR includes the interest rate and certain fees, which makes it the better number for comparing loans of the same term.

Two $5,000 loans for one year. Each borrower gets the full $5,000 at the start and repays everything at the end of the year. Loan A: 9% interest plus a $150 fee paid at the end. Loan B: 10% interest and no fee. Which has the lower total cost?

A. Loan B: $500 vs $600
B. Loan A: $450 vs $500
C. They cost the same
D. Loan A, because 9% is lower

CORRECT ANSWER

A. Loan B: $500 vs $600

Feedback (shown after answering)

A: $5,000 × 0.09 + $150 = $600. B: $5,000 × 0.10 = $500. B costs less.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

B: Ignores Loan A's fee
C: Does not compute
D: Compares rates only

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 4 of 5

Learn: Interest for one period = balance × periodic rate.

A $1,200 balance has a monthly periodic rate of 2%. How much interest is charged for one month?

A. $2.40
B. $24
C. $240
D. $288

CORRECT ANSWER

B. $24

Feedback (shown after answering)

$1,200 × 0.02 = $24.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 20%
D: Uses 24% for a year

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 5 of 5

Which statement about APR is TRUE?

A. It is the monthly payment amount
B. It is set by law, so it is the same at every lender
C. It states the yearly cost of credit as a percent
D. It is the amount still owed on the loan

CORRECT ANSWER

C. It states the yearly cost of credit as a percent

Feedback (shown after answering)

APR expresses the yearly cost of credit, so it helps compare offers.

Why each other choice is wrong (misconception it represents)

A: Confuses a rate with a payment
B: Invents a rule
D: Confuses a rate with a balance

Type: knowledge check

BACKWARD B1 · concept review — Rates over different time periods · Question 1 of 5

Learn: A year has 12 months. A yearly rate spread evenly across months is the yearly rate ÷ 12.

A rate is "per year." How is it changed to a rate "per month"?

A. Multiply by 12
B. Divide by 52
C. Leave it the same
D. Divide by 12

CORRECT ANSWER

D. Divide by 12

Feedback (shown after answering)

Yearly ÷ 12 = monthly.

Why each other choice is wrong (misconception it represents)

A: Reverses the conversion
B: Uses weeks
C: Ignores the conversion

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 2 of 5

Learn: Monthly rate = yearly rate ÷ 12.

A rate of 12% per year equals what rate per month?

A. 0.12%
B. 1%
C. 12%
D. 144%

CORRECT ANSWER

B. 1%

Feedback (shown after answering)

12% ÷ 12 = 1%.

Recomputed independently by the build: 1

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Does not convert
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 3 of 5

Learn: Simple yearly rate = monthly rate × 12.

A monthly rate is 1.5%. What is the equivalent simple yearly rate?

A. 0.125%
B. 1.5%
C. 15%
D. 18%

CORRECT ANSWER

D. 18%

Feedback (shown after answering)

1.5% × 12 = 18%.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Divides instead of multiplying
B: Does not convert
C: Multiplies by 10

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 4 of 5

Learn: To compare rates, put them in the same time unit first.

Which is LARGER: 2% per month or 20% per year?

A. 2% per month (24% per year)
B. 20% per year
C. They are equal
D. It cannot be compared

CORRECT ANSWER

A. 2% per month (24% per year)

Feedback (shown after answering)

2% × 12 = 24% per year, more than 20%.

Why each other choice is wrong (misconception it represents)

B: Compares unlike units
C: Does not convert
D: Gives up

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 5 of 5

Learn: APR expresses the cost of credit for one full year as a percent, so loans can be compared on the same yearly basis.

What does the "A" in APR stand for?

A. Average
B. Adjusted
C. Approved
D. Annual

CORRECT ANSWER

D. Annual

Feedback (shown after answering)

APR = annual percentage rate.

Why each other choice is wrong (misconception it represents)

A: Confuses the time period with an average
B: Confuses APR with an adjustable rate
C: Confuses the rate with loan approval

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 1 of 5

Learn: A stated annual rate is a simple yearly figure: monthly rate × 12. If interest is added each month and then charged interest, the effective annual rate (like APY for savings) is higher: (1 + monthly rate)^12 − 1.

A loan charges 1.5% per month, compounded monthly. What is the effective annual rate (nearest tenth of a percent)?

A. 1.5%
B. 16.5%
C. 18.0%
D. 19.6%

CORRECT ANSWER

D. 19.6%

Feedback (shown after answering)

(1.015)^12 − 1 ≈ 0.1956 → 19.6%.

Recomputed independently by the build: 19.561817

Why each other choice is wrong (misconception it represents)

A: Uses the monthly rate
B: Subtracts instead of compounding
C: Uses the simple annual rate

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 2 of 5

Learn: APR is a yearly rate that includes certain fees but leaves out the effect of compounding. APY (or the effective annual rate) includes compounding, so it is higher than the stated rate whenever interest compounds more than once a year. Federal rules require savings to show APY and loans to show APR.

Savings accounts advertise APY, while loans advertise APR. Why might a lender prefer to advertise APR?

A. APR is always higher than APY
B. APR includes all possible fees, making it look higher
C. APR leaves out compounding, so it looks lower
D. APR is used only for savings

CORRECT ANSWER

C. APR leaves out compounding, so it looks lower

Feedback (shown after answering)

The effective cost with compounding is higher than the stated APR.

Why each other choice is wrong (misconception it represents)

A: Reverses the relationship
B: Misreads the incentive
D: Reverses usage

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 3 of 5

Learn: With compounding, interest is charged on interest already added. The effective annual rate = (1 + APR ÷ n)^n − 1, where n is the number of compounding periods in a year.

A credit card has a 24% APR (its daily periodic rate × 365; the card charges no other finance charges) with daily compounding. Is the effective annual rate higher or lower than 24%?

A. Higher
B. Lower
C. Exactly 24%
D. It depends on the credit limit

CORRECT ANSWER

A. Higher

Feedback (shown after answering)

Compounding makes the effective rate a bit above 24% (about 27%).

Why each other choice is wrong (misconception it represents)

B: Reverses the effect of compounding
C: Ignores compounding
D: Confuses limit with rate

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 4 of 5

Learn: The APR of a loan includes the interest rate and certain fees, so loans with the same term can be compared by APR.

Which number should Ali use to compare two personal loans with the same term but different fees?

A. Only the advertised interest rate
B. Only the monthly payment, ignoring the term
C. The lender's customer rating
D. The APR of each loan

CORRECT ANSWER

D. The APR of each loan

Feedback (shown after answering)

For loans of the same term, APR captures both rate and certain fees.

Why each other choice is wrong (misconception it represents)

A: Misses fees
B: Incomplete
C: Not a cost measure

Type: instruction · practical how-to

GO DEEPER 1 — APR versus APY and effective cost · Question 5 of 5

Learn: For a simple one-year loan where all of the money is received at the start and everything is repaid at the end, APR = (interest + fees) ÷ amount borrowed × 100. For loans repaid monthly, or with fees taken out of the loan up front, APR needs a fuller calculation.

A $1,000 loan for one year: the borrower receives the full $1,000 at the start and repays it at the end of the year, with 5% interest and a $50 fee also paid at the end. What is its APR?

A. 1.05%
B. 5%
C. 10%
D. 50%

CORRECT ANSWER

C. 10%

Feedback (shown after answering)

($50 interest + $50 fee) ÷ $1,000 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misreads the rate
B: Ignores the fee
D: Uses the fee as a percent

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 1 of 5

Learn: The Truth in Lending Act requires lenders to show key terms before you sign: the APR, the finance charge (the dollar cost of credit), the amount financed, and the total of payments.

A Truth in Lending disclosure shows: Amount financed $8,000; Finance charge $1,620; Total of payments $9,620. What is the finance charge?

A. The full amount of money borrowed: $8,000
B. The total paid: $9,620
C. The dollar cost of the credit: $1,620
D. The monthly payment

CORRECT ANSWER

C. The dollar cost of the credit: $1,620

Feedback (shown after answering)

The finance charge is the total dollar cost of credit.

Recomputed independently by the build: 1620

Why each other choice is wrong (misconception it represents)

A: Confuses with the amount financed
B: Confuses with total of payments
D: Not shown here

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 2 of 5

Learn: When payments are equal, each payment = total of payments ÷ number of payments.

A loan disclosure shows: Amount financed $8,000; Total of payments $9,620; 48 monthly payments. What is each payment (nearest cent)?

A. $33.75
B. $166.67
C. $200.42
D. $240.50

CORRECT ANSWER

C. $200.42

Feedback (shown after answering)

$9,620 ÷ 48 ≈ $200.42.

Recomputed independently by the build: 200.416667

Why each other choice is wrong (misconception it represents)

A: Divides the finance charge
B: Divides the amount financed
D: Uses 40 payments

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 3 of 5

Learn: Comparing the finance charge with the amount financed shows how much the credit costs relative to the amount borrowed.

Amount financed $8,000; finance charge $1,620. The finance charge is what percent of the amount financed (nearest tenth)?

A. 2.0%
B. 16.8%
C. 20.3%
D. 120.3%

CORRECT ANSWER

C. 20.3%

Feedback (shown after answering)

$1,620 ÷ $8,000 = 0.2025 → 20.3% of the amount borrowed, spread over 4 years.

Recomputed independently by the build: 20.25

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides by the total of payments
D: Adds 100%

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 4 of 5

Learn: Federal law (the Truth in Lending Act) requires the disclosure so borrowers see the cost of credit in a standard form.

Why must lenders give this disclosure BEFORE you sign?

A. So you can compare offers and understand the cost
B. So the lender can raise the rate later without telling you
C. Because the IRS requires it for taxes
D. So you can skip reading the contract

CORRECT ANSWER

A. So you can compare offers and understand the cost

Feedback (shown after answering)

Standard disclosures make costs comparable across lenders.

Why each other choice is wrong (misconception it represents)

B: Misreads the purpose
C: Wrong agency
D: Misreads the purpose

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 5 of 5

Learn: A Truth in Lending disclosure lists the APR, finance charge, amount financed, total of payments, and payment schedule.

Which disclosure item is the best single number for comparing loans with the same term?

A. Monthly payment
B. Amount financed
C. APR
D. Total of payments

CORRECT ANSWER

C. APR

Feedback (shown after answering)

APR summarizes the yearly cost of credit.

Why each other choice is wrong (misconception it represents)

A: Payment depends on amount and term, not just the cost of credit
B: Not the cost of credit
D: Depends on the amount borrowed, so it misleads across loan sizes

Type: instruction

SET 30 · Interest, Borrowing, and Debt

Installment loans: payments and total cost

MAIN skill: Use loan payments to find total cost, and compare loan terms

Outcome FL.DEBT.30 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Calculate the total cost of an installment loan and compare loan terms

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments add up to the total cost (5 questions)
  Why: Total-cost problems require multiplying payments by the number of payments and separating principal from interest.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Total cost multiplies a decimal payment by many months.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  Why: Comparing loans subtracts and multiplies money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: The loan payment formula (5 questions)
- Go Deeper 2: Shopping for an installment loan (5 questions)

Practical skills beyond the standards: Comparing dealer and credit union financing

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 D, B1-Q1 D, B1-Q2 A, B1-Q3 C, B1-Q4 C, B1-Q5 B, F1-Q1 B, F1-Q2 C, F1-Q3 C, F1-Q4 A, F1-Q5 A, F2-Q1 A, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Use loan payments to find total cost, and compare loan terms · Question 1 of 5

Learn: An installment loan is repaid in equal scheduled payments, such as monthly car or personal loan payments. Total paid = payment × number of payments. Total interest = total paid − amount borrowed.

A $12,000 car loan at 6% interest (APR 6%; no other finance charges) for 5 years has a monthly payment of $231.99. What is the total of all payments?

A. $2,783.88
B. $12,000.00
C. $12,720.00
D. $13,919.40

CORRECT ANSWER

D. $13,919.40

Feedback (shown after answering)

$231.99 × 60 = $13,919.40.

Recomputed independently by the build: 13919.4

Why each other choice is wrong (misconception it represents)

A: Multiplies by 12 only
B: Ignores interest
C: Adds one year of 6% interest

Type: instruction

MAIN — Use loan payments to find total cost, and compare loan terms · Question 2 of 5

A $12,000 loan is repaid with 60 payments of $231.99. How much interest is paid in total?

A. $231.99
B. $720.00
C. $1,919.40
D. $13,919.40

CORRECT ANSWER

C. $1,919.40

Feedback (shown after answering)

$13,919.40 − $12,000 = $1,919.40.

Recomputed independently by the build: 1919.4

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Uses one year of 6% interest
D: Gives total paid

Type: knowledge check

MAIN — Use loan payments to find total cost, and compare loan terms · Question 3 of 5

Learn: A longer term lowers the monthly payment but usually raises the total interest, because the balance is outstanding longer.

$15,000 at 7% interest (APR 7%; no other finance charges): a 36-month loan has payments of $463.16; a 72-month loan has payments of $255.74. How much MORE interest does the 72-month loan cost?

A. $207.42
B. $1,673.76
C. $1,739.52
D. $3,413.28

CORRECT ANSWER

C. $1,739.52

Feedback (shown after answering)

36 months: $463.16 × 36 = $16,673.76 → $1,673.76 interest. 72 months: $255.74 × 72 = $18,413.28 → $3,413.28 interest. Difference: $1,739.52.

Recomputed independently by the build: 1739.52

Why each other choice is wrong (misconception it represents)

A: Compares monthly payments
B: Gives the 36-month interest
D: Gives the 72-month interest

Type: instruction

MAIN — Use loan payments to find total cost, and compare loan terms · Question 4 of 5

A 72-month car loan costs more total interest than a 36-month loan for the same amount. Why might someone choose the 72-month loan anyway?

A. It always has a lower total cost because payments are smaller
B. It pays off the car sooner
C. It has no interest
D. Its lower monthly payment fits a tight budget

CORRECT ANSWER

D. Its lower monthly payment fits a tight budget

Feedback (shown after answering)

The trade-off: lower payments now, more total interest.

Why each other choice is wrong (misconception it represents)

A: Contradicts the numbers
B: Reverses the term
C: False

Type: knowledge check

MAIN — Use loan payments to find total cost, and compare loan terms · Question 5 of 5

Two loans have the same amount and term. Loan X has a 5% APR; Loan Y has an 8% APR. Which has the lower monthly payment?

A. Loan Y
B. They have equal payments
C. It depends on the down payment only
D. Loan X

CORRECT ANSWER

D. Loan X

Feedback (shown after answering)

With the same amount and term, a lower APR means lower payments and lower total interest.

Why each other choice is wrong (misconception it represents)

A: Reverses rate and payment
B: Ignores the rate
C: Ignores the rate

Type: knowledge check

BACKWARD B1 · concept review — Payments add up to the total cost · Question 1 of 5

Learn: Equal payments: total paid = payment × number of payments.

A loan has 24 payments of $100. What is the total of payments?

A. $100
B. $124
C. $240
D. $2,400

CORRECT ANSWER

D. $2,400

Feedback (shown after answering)

$100 × 24 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: One payment
B: Adds
C: Uses 2.4

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 2 of 5

Learn: Interest = total paid − amount borrowed.

If a borrower took $2,000 and pays $2,400 in total, what was the interest?

A. $400
B. $2,000
C. $2,400
D. $4,400

CORRECT ANSWER

A. $400

Feedback (shown after answering)

$2,400 − $2,000 = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Principal
C: Total paid
D: Adds

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 3 of 5

Learn: Monthly payments over t years: 12 × t payments.

How many monthly payments are in a 5-year loan?

A. 5
B. 52
C. 60
D. 120

CORRECT ANSWER

C. 60

Feedback (shown after answering)

12 × 5 = 60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Uses weeks
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 4 of 5

Learn: Spreading the same loan over more months makes each payment smaller.

Which term gives LOWER monthly payments for the same loan amount and rate?

A. A shorter term
B. Neither; terms do not affect payments
C. A longer term
D. A term with a higher APR

CORRECT ANSWER

C. A longer term

Feedback (shown after answering)

More months → smaller payments (but more interest).

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Ignores the effect
D: Raises payments

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 5 of 5

A $600 phone is paid in 12 payments of $55. How much more than the price is paid?

A. $55
B. $60
C. $600
D. $660

CORRECT ANSWER

B. $60

Feedback (shown after answering)

12 × $55 = $660; $660 − $600 = $60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: One payment
C: Price
D: Total paid

Type: knowledge check

GO DEEPER 1 — The loan payment formula · Question 1 of 5

Learn: The standard loan payment formula uses the monthly interest rate r = annual interest rate ÷ 12 (as a decimal) and the number of monthly payments n. Use the loan's interest rate, not an APR that includes fees.

The monthly payment on a loan is M = P · r ÷ (1 − (1 + r)^(−n)), where r is the monthly rate and n is the number of payments. For $10,000 at 6% interest (APR 6%; no other finance charges) for 60 months, what is r?

A. 0.0001
B. 0.005
C. 0.06
D. 0.5

CORRECT ANSWER

B. 0.005

Feedback (shown after answering)

6% ÷ 12 = 0.5% = 0.005.

Recomputed independently by the build: 0.005

Why each other choice is wrong (misconception it represents)

A: Divides by 60
C: Uses the annual rate
D: Uses the percent as a decimal

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 2 of 5

Learn: Evaluate the formula with a calculator: compute (1 + r)^(−n) first, then the denominator, then multiply P by r and divide.

Using M = P · r ÷ (1 − (1 + r)^(−n)) with P = $10,000, r = 0.005, and n = 60, what is the monthly payment (nearest cent)?

A. $50.00
B. $166.67
C. $193.33
D. $216.67

CORRECT ANSWER

C. $193.33

Feedback (shown after answering)

(1.005)^(−60) ≈ 0.741372; 1 − 0.741372 = 0.258628; 10,000 × 0.005 ÷ 0.258628 ≈ $193.33.

Recomputed independently by the build: 193.328015

Why each other choice is wrong (misconception it represents)

A: Gives the first month's interest
B: Ignores interest
D: Adds simple interest for one year to each payment

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 3 of 5

Learn: Total interest = payment × number of payments − amount borrowed.

An $8,000 loan at 5% interest (APR 5%; no other finance charges) for 48 months has a payment of $184.23. What is the total interest?

A. $184.23
B. $400.00
C. $843.04
D. $1,600.00

CORRECT ANSWER

C. $843.04

Feedback (shown after answering)

$184.23 × 48 = $8,843.04; − $8,000 = $843.04.

Recomputed independently by the build: 843.04

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Uses one year of 5% interest
D: Uses 4 years of simple interest

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 4 of 5

Learn: With no interest, payments simply divide the principal evenly: P ÷ n.

$5,000 at 10% interest (APR 10%; no other finance charges) for 24 months: the payment is $230.72. If the APR were 0%, what would the payment be (nearest cent)?

A. $208.33
B. $230.72
C. $250.00
D. $5,000.00

CORRECT ANSWER

A. $208.33

Feedback (shown after answering)

$5,000 ÷ 24 ≈ $208.33.

Recomputed independently by the build: 208.333333

Why each other choice is wrong (misconception it represents)

B: Ignores the change
C: Divides by 20
D: Gives the principal

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 5 of 5

Learn: A quick check: a loan payment must be more than the principal divided by the number of payments, because interest is added.

A loan payment calculator shows $405.53 for $20,000 at 8% interest (APR 8%; no other finance charges) over 60 months. Which check shows the result is reasonable?

A. It is a bit more than $20,000 ÷ 60 = $333.33
B. It is less than $20,000 ÷ 60
C. It equals 8% of $20,000
D. It is exactly double $20,000 ÷ 60

CORRECT ANSWER

A. It is a bit more than $20,000 ÷ 60 = $333.33

Feedback (shown after answering)

$405.53 > $333.33, as expected when interest is charged.

Why each other choice is wrong (misconception it represents)

B: Payments cannot be below principal ÷ months
C: Confuses with one year of interest
D: No reason to double

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 1 of 5

Learn: Getting a loan offer from a bank or credit union before shopping gives you a benchmark. If the dealer offers a better rate, you can take it; if not, you have an alternative.

Before visiting a car dealer, Rosa gets a preapproved loan offer from her credit union. Why is this useful?

A. She can compare it with the dealer's financing offer
B. It locks the car's price
C. It guarantees the lowest possible rate at every dealer anywhere
D. It removes the need to read the contract

CORRECT ANSWER

A. She can compare it with the dealer's financing offer

Feedback (shown after answering)

A preapproval gives her a rate to compare against the dealer's offer.

Why each other choice is wrong (misconception it represents)

B: Preapproval does not set the price
C: Overstates
D: Unsafe

Type: instruction · practical how-to

GO DEEPER 2 — Shopping for an installment loan · Question 2 of 5

Learn: Any monthly payment can be reached by stretching the term, which hides the extra interest. Negotiate the price first, then compare financing by APR and total cost.

A dealer says, "What monthly payment do you want?" What risk does focusing on the payment create?

A. The car gets cheaper
B. The APR must drop by law when the loan term gets longer
C. The term can be stretched, raising total interest
D. There is no risk

CORRECT ANSWER

C. The term can be stretched, raising total interest

Feedback (shown after answering)

Lower payments from a longer term can cost much more in total.

Why each other choice is wrong (misconception it represents)

A: Misreads the risk
B: Invents a law
D: Ignores the trade-off

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 3 of 5

Learn: To compare offers with different terms, compute each total of payments: payment × number of payments.

Offer 1: 4.9% interest for 48 months, payment $230. Offer 2: 6.9% interest for 60 months, payment $198. Neither has other finance charges, so each APR equals its rate. Which costs less in total?

A. Offer 2: $11,880 vs $11,040
B. Offer 2, because its payment is lower
C. They cost exactly the same
D. Offer 1: $11,040 vs $11,880

CORRECT ANSWER

D. Offer 1: $11,040 vs $11,880

Feedback (shown after answering)

Offer 1: $230 × 48 = $11,040. Offer 2: $198 × 60 = $11,880.

Recomputed independently by the build: 11040

Why each other choice is wrong (misconception it represents)

A: Swaps the totals
B: Compares payments only
C: Does not compute

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 4 of 5

Learn: Some loans charge a fee for paying them off early (a prepayment penalty). Choosing a loan without one lets you save interest by paying it down faster.

Which loan feature lets a borrower pay off early without a penalty?

A. A balloon payment
B. A variable rate
C. No prepayment penalty
D. An extended warranty on the car

CORRECT ANSWER

C. No prepayment penalty

Feedback (shown after answering)

Without a prepayment penalty, extra payments save interest at no cost.

Why each other choice is wrong (misconception it represents)

A: Large final payment
B: Rate can change
D: Not a loan feature

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 5 of 5

Learn: A balloon loan has small regular payments followed by a very large final payment. Borrowers who cannot pay the balloon may need to refinance or sell.

A loan has a "balloon payment." What does that mean?

A. A large lump sum is due at the end
B. Payments get smaller and smaller each month
C. The loan has no interest
D. The lender sends a gift

CORRECT ANSWER

A. A large lump sum is due at the end

Feedback (shown after answering)

A balloon is a big final payment that must be planned for.

Why each other choice is wrong (misconception it represents)

B: Misreads the term
C: Misreads the term
D: Literal misreading

Type: instruction

SET 31 · Interest, Borrowing, and Debt

How loan payments pay down a balance: amortization

MAIN skill: Split a loan payment into interest and principal and follow the balance

Outcome FL.DEBT.31 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain how loan payments are applied to interest and principal (amortization)

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest is charged on the balance still owed (5 questions)
  - Why: Amortization depends on recalculating interest on the remaining balance each month.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Each month's interest is a percent of the remaining balance.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Amortization repeats multiply, subtract, and update steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Extra payments (5 questions)
- Go Deeper 2: Reading an amortization schedule (5 questions)

Practical skills beyond the standards: Directing extra payments to principal

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 B, B1-Q3 B, B1-Q4 D, B1-Q5 B, F1-Q1 B, F1-Q2 A, F1-Q3 D, F1-Q4 B, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 B, F2-Q4 C, F2-Q5 C

MAIN — Split a loan payment into interest and principal and follow the balance · Question 1 of 5

Learn: Amortization is paying off a loan with regular payments. Each payment first covers that month's interest (balance × monthly rate); the rest reduces the principal. The interest share is largest at the start and shrinks as the balance falls, so more of each later payment goes to principal. (On a long loan, such as a 30-year mortgage, early payments are mostly interest.)

Dev has a $10,000 loan at 6% interest (APR 6%; no other finance charges) with a $193.33 monthly payment. How much of the FIRST payment is interest?

A. $50.00
B. $143.33
C. $193.33
D. $600.00

CORRECT ANSWER

A. $50.00

Feedback (shown after answering)

Monthly rate 0.06 ÷ 12 = 0.005. Interest: $10,000 × 0.005 = $50.00.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Gives the principal part
C: Treats the whole payment as interest
D: Uses a full year

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 2 of 5

Learn: Principal paid = payment − interest. New balance = old balance − principal paid.

Dev's loan balance is $10,000. His first payment of $193.33 includes $50.00 of interest. How much reduces the principal, and what is the new balance?

A. $193.33; $9,806.67
B. $50.00; $9,950.00
C. $143.33; $10,143.33
D. $143.33; $9,856.67

CORRECT ANSWER

D. $143.33; $9,856.67

Feedback (shown after answering)

$193.33 − $50.00 = $143.33. $10,000 − $143.33 = $9,856.67.

Recomputed independently by the build: 143.33

Why each other choice is wrong (misconception it represents)

A: Treats the whole payment as principal
B: Treats the interest as principal
C: Adds instead of subtracting

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 3 of 5

Learn: Each month, interest is charged on the balance that remains after the previous payment.

Dev's balance after one payment is $9,856.67 at 6% interest (0.5% per month; no other finance charges). How much interest is in the SECOND payment (nearest cent)?

A. $48.57
B. $49.28
C. $50.00
D. $143.33

CORRECT ANSWER

B. $49.28

Feedback (shown after answering)

$9,856.67 × 0.005 ≈ $49.28. As the balance falls, interest falls and more of each payment goes to principal.

Recomputed independently by the build: 49.28335

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
C: Uses the original balance
D: Gives the first principal part

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 4 of 5

Learn: In an amortizing loan, each payment's interest is figured on a balance that keeps shrinking.

Over the life of an amortizing loan with equal payments, how does the INTEREST part of each payment change?

A. It gets larger over time
B. It stays the same every month
C. It gets smaller over time
D. It is zero until the last year

CORRECT ANSWER

C. It gets smaller over time

Feedback (shown after answering)

Interest is figured on a shrinking balance, so the interest part falls and the principal part rises.

Why each other choice is wrong (misconception it represents)

A: Reverses the pattern
B: Confuses with the payment amount
D: Misunderstands amortization

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 5 of 5

Learn: An amortization schedule lists each payment's interest part, principal part, and remaining balance. Interest is always figured on the balance still owed.

An amortization schedule shows payment 1: interest $50.00, principal $143.33. What will the LAST payment of the loan be mostly?

A. Principal
B. Interest
C. Fees
D. Taxes

CORRECT ANSWER

A. Principal

Feedback (shown after answering)

By the end, the balance is small, so almost all of the payment is principal.

Why each other choice is wrong (misconception it represents)

B: Reverses the pattern
C: Not part of the schedule
D: Not part of a loan payment

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 1 of 5

Learn: One month's interest = balance × monthly rate.

A $2,000 balance has a monthly rate of 1%. What is one month's interest?

A. $2
B. $20
C. $200
D. $2,020

CORRECT ANSWER

B. $20

Feedback (shown after answering)

$2,000 × 0.01 = $20.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses 10%
D: Gives the new balance

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 2 of 5

Learn: Interest is charged only on what you still owe.

After paying down the balance to $1,500, what is one month's interest at 1%?

A. $1.50
B. $15
C. $20
D. $150

CORRECT ANSWER

B. $15

Feedback (shown after answering)

$1,500 × 0.01 = $15.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses the old balance
D: Uses 10%

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 3 of 5

Learn: Payment = interest part + principal part.

A $100 payment includes $20 of interest. How much reduces the balance?

A. $20
B. $80
C. $100
D. $120

CORRECT ANSWER

B. $80

Feedback (shown after answering)

$100 − $20 = $80.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Gives the interest
C: Ignores interest
D: Adds

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 4 of 5

Which payment pays off a loan faster?

A. A smaller payment
B. Paying the same amount later in the month
C. Skipping a payment
D. A larger payment

CORRECT ANSWER

D. A larger payment

Feedback (shown after answering)

Extra principal lowers the balance and future interest.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Timing alone does not change much
C: Adds interest and fees

Type: knowledge check

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 5 of 5

Learn: New balance = old balance + interest − payment.

What is the balance after a $500 balance gets $5 of interest and a $105 payment?

A. $390
B. $400
C. $500
D. $610

CORRECT ANSWER

B. $400

Feedback (shown after answering)

$500 + $5 − $105 = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

A: Subtracts the interest twice
C: Ignores the payment
D: Adds the payment

Type: instruction

GO DEEPER 1 — Extra payments · Question 1 of 5

Learn: An extra payment goes straight to principal. That lowers the balance, so every later month's interest is a little smaller, and the loan ends sooner.

Dev adds $50 extra to principal in month 1 of his $10,000 loan at 0.5% per month. How much interest does this save in month 2?

A. $0.00
B. $0.25
C. $2.50
D. $50.00

CORRECT ANSWER

B. $0.25

Feedback (shown after answering)

$50 × 0.005 = $0.25 less interest in month 2, and similar savings every month after.

Recomputed independently by the build: 0.25

Why each other choice is wrong (misconception it represents)

A: Thinks extra payments save nothing
C: Uses 5%
D: Treats the extra payment as interest saved

Type: instruction

GO DEEPER 1 — Extra payments · Question 2 of 5

Learn: Extra payments on principal reduce the balance faster than the schedule, so later payments carry less interest.

On an amortizing loan with no prepayment penalty, what happens to the loan when extra principal is paid each month?

A. It is paid off sooner, and total interest falls
B. The required monthly payment goes up automatically
C. The interest rate rises
D. Nothing changes

CORRECT ANSWER

A. It is paid off sooner, and total interest falls

Feedback (shown after answering)

Lower balance → less interest → earlier payoff.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Misunderstands
D: Ignores principal reduction

Type: instruction

GO DEEPER 1 — Extra payments · Question 3 of 5

Learn: Some lenders apply extra money to future payments unless told otherwise. Telling them to apply it to principal reduces the balance right away.

When making an extra payment, what instruction should a borrower give the lender?

A. Apply it to next month's interest only
B. Hold it as a credit for fees
C. Refund it at the end of the year
D. Apply the extra amount to principal

CORRECT ANSWER

D. Apply the extra amount to principal

Feedback (shown after answering)

Directing it to principal ensures the balance and future interest fall.

Why each other choice is wrong (misconception it represents)

A: May not reduce principal
B: Does not reduce the balance
C: Defeats the purpose

Type: instruction · practical how-to

GO DEEPER 1 — Extra payments · Question 4 of 5

Dev rounds his $193.33 payment up to $200 each month. How much extra principal does he pay in a year?

A. $6.67
B. $80.04
C. $120.00
D. $2,400.00

CORRECT ANSWER

B. $80.04

Feedback (shown after answering)

$200 − $193.33 = $6.67 extra per month × 12 = $80.04.
Recomputed independently by the build: 80.04

Why each other choice is wrong (misconception it represents)

A: Counts one month
C: Uses $10 extra
D: Gives total yearly payments

Type: knowledge check

GO DEEPER 1 — Extra payments · Question 5 of 5

Learn: The earlier principal is reduced, the more months of interest are avoided.

Which statement about extra payments is TRUE for most amortizing loans with no prepayment penalty?

A. Extra payments only help in the final year
B. Extra payments increase the total interest paid on the loan
C. Extra dollars paid early save more than late ones
D. Extra payments are not allowed

CORRECT ANSWER

C. Extra dollars paid early save more than late ones

Feedback (shown after answering)

Early extra principal avoids interest for many more months.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Reverses the effect
D: Overgeneralizes

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 1 of 5

Learn: Each row of an amortization schedule shows the payment, its interest part, its principal part, and the balance after the payment.

Row 12 of a schedule shows: payment $193.33, interest $44.22, principal $149.11, balance $8,694.98. How much of payment 12 reduced the debt?

A. $44.22
B. $149.11
C. $193.33
D. $8,694.98

CORRECT ANSWER

B. $149.11

Feedback (shown after answering)

The principal part, $149.11, reduced the debt.

Recomputed independently by the build: 149.11

Why each other choice is wrong (misconception it represents)

A: Gives the interest
C: Gives the whole payment
D: Gives the balance

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 2 of 5

Learn: Balance before payment = balance after payment + principal part.

A schedule row shows: interest $44.22, principal $149.11, balance $8,694.98 after the payment. What was the balance before that payment?

A. $8,545.87
B. $8,738.20
C. $8,844.09
D. $8,888.31

CORRECT ANSWER

C. $8,844.09

Feedback (shown after answering)

$8,694.98 + $149.11 = $8,844.09.

Recomputed independently by the build: 8844.09

Why each other choice is wrong (misconception it represents)

A: Subtracts instead of adding
B: Adds the interest instead
D: Adds the whole payment

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 3 of 5

Learn: Monthly rate = interest for the month ÷ balance.

A schedule shows interest of $44.22 on a balance of $8,844.09 for one month. What monthly rate is that (nearest tenth of a percent)?

A. 0.05%
B. 0.5%
C. 5%
D. 6%

CORRECT ANSWER

B. 0.5%

Feedback (shown after answering)

$44.22 ÷ $8,844.09 ≈ 0.005 = 0.5% (a 6% annual interest rate ÷ 12).

Recomputed independently by the build: 0.499995

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Misplaces the decimal
D: Gives the APR

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 4 of 5

Learn: Over the full life of a loan, the principal parts of all payments add up to the amount borrowed.

In a 60-payment schedule for $10,000 at 6% interest (APR 6%; no other finance charges), the total of the interest column is about $1,599.80. What is the total of the principal column?

A. $1,599.80
B. $8,400.20
C. $10,000.00
D. $11,599.80

CORRECT ANSWER

C. $10,000.00

Feedback (shown after answering)

The principal parts repay exactly the amount borrowed.

Recomputed independently by the build: 10000

Why each other choice is wrong (misconception it represents)

A: Gives interest
B: Subtracts interest from principal
D: Gives total payments

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 5 of 5

Learn: "Front-loaded" means more of something comes at the beginning.

Which schedule feature shows that a loan is "front-loaded" with interest?

A. The balance rises each month
B. Every payment has an equal amount of interest in it
C. Interest parts are largest in the first payments
D. The last payment is all interest

CORRECT ANSWER

C. Interest parts are largest in the first payments

Feedback (shown after answering)

Early balances are largest, so early payments contain the most interest.

Why each other choice is wrong (misconception it represents)

A: Not true for amortizing loans
B: Not true
D: Reverses the pattern

Type: instruction

SET 32 · Interest, Borrowing, and Debt

High-cost credit: payday loans, title loans, rent-to-own, and buy now, pay later

MAIN skill: Calculate and compare the true cost of high-cost credit and identify safer alternatives

Outcome FL.DEBT.32 · National topic: Managing Credit · NJSLS 9.1.12: CDM, FI
Learning target: Compare the costs of high-cost and alternative financial services

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as a cost of borrowing (5 questions)
  Why: High-cost credit hides its price in fees; students must see a fee as part of the cost of borrowing.
- B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: High-cost credit charges fees that are percents of the amount borrowed.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Converting a two-week fee into a yearly rate scales a ratio.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing high-cost options with safer ones (5 questions)
- Go Deeper 2: Why people use high-cost credit, and how to respond (5 questions)

Practical skills beyond the standards: Converting fees to APR; Asking creditors for payment plans

Content status: time-sensitive

Source: CFPB — A typical two-week payday loan with a $15 per $100 fee equals an APR of almost 400%.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-payday-loan-en-1567/
Source: CFPB — Car title loans use the vehicle as collateral; borrowers who cannot repay can lose the car.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-car-title-loan-en-831/

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 C, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 B, B1-Q3 D, B1-Q4 D, B1-Q5 C, F1-Q1 A, F1-Q2 B, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 A, F2-Q2 D, F2-Q3 B, F2-Q4 C, F2-Q5 A

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 1 of 5

Learn: Payday loans are small, short-term loans, often due on your next payday, with a flat fee. Converting the fee to an APR shows the true yearly cost: APR = (fee ÷ amount borrowed) × (365 ÷ days) × 100.

A payday lender charges a $45 fee to borrow $300 for 14 days. What is the APR (nearest whole percent)?

A. 15%
B. 26%
C. 45%
D. 391%

CORRECT ANSWER

D. 391%

Feedback (shown after answering)

(45 ÷ 300) × (365 ÷ 14) × 100 = 0.15 × 26.07 × 100 ≈ 391%.

Recomputed independently by the build: 391.071429

Why each other choice is wrong (misconception it represents)

A: Gives the fee as a percent of the loan for two weeks
B: Counts the number of two-week periods
C: Uses the fee as a percent

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 2 of 5

Learn: A rollover (or renewal) pays only the fee and extends the loan, so the original amount is still owed. Repeated rollovers can cost more than the original loan.

Instead of repaying, Kim "rolls over" a $300 payday loan four times, paying a $45 fee each time. How much has she paid in fees, and how much does she still owe?

A. $180 in fees; still owes $300
B. $45 in fees; owes nothing
C. $180 in fees; owes nothing
D. $300 in fees; owes $45

CORRECT ANSWER

A. $180 in fees; still owes $300

Feedback (shown after answering)

4 × $45 = $180 in fees, and the $300 principal is still due.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

B: Thinks one fee repays the loan
C: Thinks fees reduce the principal
D: Swaps fees and principal

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 3 of 5

Learn: Rent-to-own lets you use an item while making weekly or monthly payments; you own it only after all payments. The total paid is often far more than the store price.

A rent-to-own store offers a TV for $25 a week for 78 weeks. The same TV sells for $600. How much more does rent-to-own cost?

A. $25
B. $600
C. $1,350
D. $1,950

CORRECT ANSWER

C. $1,350

Feedback (shown after answering)

$25 × 78 = $1,950; $1,950 − $600 = $1,350 more.

Recomputed independently by the build: 1350

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Gives the retail price
D: Gives the total paid

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 4 of 5

Learn: A car title loan is a short-term loan that uses your vehicle as collateral. Fees are high, and if you cannot repay, the lender can repossess the car you may need to get to work.

A car title loan lends Ray $1,000 using his car as collateral, with a 25% monthly fee. What is the biggest risk?

A. The lender pays his insurance while he owes money
B. His credit score will automatically rise
C. The lender will pay off his car loan
D. He could lose the car if he cannot repay

CORRECT ANSWER

D. He could lose the car if he cannot repay

Feedback (shown after answering)

The car is collateral; losing it can also cost him his job transportation.

Why each other choice is wrong (misconception it represents)

A: Invents a benefit
B: Misreads the product
C: Misreads the product

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 5 of 5

Learn: Buy now, pay later plans let you split a purchase into a few installments, often with no interest if paid on time. Late fees can apply, several plans at once can be hard to track, and spending can creep up.

Buy now, pay later (BNPL) splits a $200 purchase into 4 payments of $50 every two weeks with no interest. Jo misses two payments and is charged a $7 late fee each time. What does the purchase cost her?

A. $200
B. $207
C. $214
D. $228

CORRECT ANSWER

C. $214

Feedback (shown after answering)

$200 + 2 × $7 = $214.

Recomputed independently by the build: 214

Why each other choice is wrong (misconception it represents)

A: Ignores late fees
B: Counts one late fee
D: Charges four late fees

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 1 of 5

Learn: Fees are part of the cost of borrowing, just like interest. Total repaid = amount borrowed + interest + fees.

A lender charges a $20 fee to borrow $100 for one month. What is the cost of borrowing?

A. $20
B. $100
C. $120
D. $0, because it is a fee not interest

CORRECT ANSWER

A. $20

Feedback (shown after answering)

The $20 fee is the cost of borrowing.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Gives the principal
C: Gives the total repaid
D: Thinks fees are not a cost

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 2 of 5

Learn: Fee as a percent = fee ÷ amount borrowed × 100.

The $20 fee on a $100 one-month loan is what percent of the amount borrowed?

A. 2%
B. 20%
C. 80%
D. 120%

CORRECT ANSWER

B. 20%

Feedback (shown after answering)

$20 ÷ $100 = 20% for one month.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Subtracts
D: Uses the total repaid

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 3 of 5

Learn: A simple yearly rate is the monthly rate × 12.

A short-term loan costs 20% of the amount borrowed per month. If that monthly cost continued all year, about what yearly rate would it be (simple, not compounded)?

A. 12%
B. 20%
C. 32%
D. 240%

CORRECT ANSWER

D. 240%

Feedback (shown after answering)

20% × 12 = 240% per year.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Uses months as percent
B: Does not annualize
C: Adds 12

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 4 of 5

Learn: Credit unions, some banks, and employers offer small-dollar loans or paycheck advances at much lower cost than payday lenders. Asking a creditor for more time or using savings also avoids high fees.

Which is a lower-cost alternative to a payday loan for a $200 emergency?

A. A second payday loan to pay the first
B. A car title loan
C. A rent-to-own purchase
D. A small loan from a credit union

CORRECT ANSWER

D. A small loan from a credit union

Feedback (shown after answering)

Small credit union loans usually cost far less than payday loans.

Why each other choice is wrong (misconception it represents)

A: Adds cost
B: High cost and risk to the car
C: High cost

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 5 of 5

Why are payday loans easy to get but costly?

A. They are free for all first-time borrowers in every state
B. The government pays the fees
C. They require little checking but charge very high fees
D. They lower your other bills

CORRECT ANSWER

C. They require little checking but charge very high fees

Feedback (shown after answering)

Easy approval comes with very high fees that can trap borrowers in repeat loans.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
B: Invents a payer
D: Misreads the product

Type: knowledge check

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 1 of 5

Learn: Comparing the dollar cost of each option over the same time shows how much a lower APR saves.

Option 1: payday loan, $45 fee for $300 for 2 weeks. Option 2: credit union small loan, $300 at 28% APR for 2 weeks (simple interest). About how much does Option 2 cost?

A. $3.22
B. $32.20
C. $45.00
D. $84.00

CORRECT ANSWER

A. $3.22

Feedback (shown after answering)

$300 × 0.28 × (14 ÷ 365) ≈ $3.22, compared with a $45 payday fee.

Recomputed independently by the build: 3.221918

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses the payday fee
D: Uses a full year at 28%

Type: instruction

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 2 of 5

Learn: A pawn loan uses an item, such as jewelry, as collateral. If the loan is not repaid, the shop keeps and sells the item. Monthly fees add up quickly.

A borrower takes a $500 pawn loan with a $60 monthly fee and repays after 3 months. What is the total cost of the loan?

A. $60
B. $180
C. $560
D. $680

CORRECT ANSWER

B. $180

Feedback (shown after answering)

3 × $60 = $180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Counts one month
C: Gives one month's total
D: Gives total repaid

Type: instruction

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 3 of 5

Learn: Most payday loans cover regular expenses or small emergencies. Building even a small savings cushion breaks the cycle.

Which question helps someone avoid needing a payday loan next time?

A. How can I build a small emergency fund?
B. Which payday lender has the nicest store?
C. How can I find a lender that checks nothing?
D. How many payday loans can I have at once?

CORRECT ANSWER

A. How can I build a small emergency fund?

Feedback (shown after answering)

Even a small fund replaces the need for high-cost credit.

Why each other choice is wrong (misconception it represents)

B: Does not reduce need
C: Seeks riskier credit
D: Increases risk

Type: instruction · practical how-to

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 4 of 5

Learn: "Loan stacking" means having several buy now, pay later plans at once. Payments on different schedules are easy to forget.

Jo has four BNPL plans with payments due on different dates. What is the main risk?

A. BNPL plans always charge 30% interest on every purchase
B. BNPL plans raise her credit score with each purchase
C. Losing track and missing payments, adding fees
D. BNPL purchases cannot be returned

CORRECT ANSWER

C. Losing track and missing payments, adding fees

Feedback (shown after answering)

Several plans at once make it easy to overspend and miss payments.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
B: Assumes BNPL always builds credit
D: Confuses payment plans with store return rules

Type: instruction

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 5 of 5

Learn: With an installment loan, you own the item when you buy it and repay the lender. With rent-to-own, the store keeps ownership while you make rental payments.

Which feature makes rent-to-own different from a regular purchase on an installment loan?

A. You own the item immediately
B. There is no cost beyond the store's regular price
C. The item is always new
D. You do not own the item until the final payment

CORRECT ANSWER

D. You do not own the item until the final payment

Feedback (shown after answering)

Miss a payment and the store can take the item back, even after many payments.

Why each other choice is wrong (misconception it represents)

A: Describes a purchase
B: Ignores fees
C: Not guaranteed

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 1 of 5

Learn: Lack of savings, poor access to bank credit, and urgent bills push people toward high-cost credit. Understanding the reasons helps identify better alternatives.

Why do many people turn to payday loans?

A. They need cash quickly and lack savings or other credit
B. Payday loans are usually cheaper than small credit union loans
C. Payday loans improve credit scores with each loan
D. Payday loans have low fees when paid on time

CORRECT ANSWER

A. They need cash quickly and lack savings or other credit

Feedback (shown after answering)

Urgency and lack of alternatives drive payday borrowing.

Why each other choice is wrong (misconception it represents)

B: Assumes fast cash is low cost
C: Assumes payday lenders report to credit bureaus
D: Misses that the fee itself is a very high APR

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 2 of 5

Learn: Many creditors, including utilities, offer payment plans or hardship programs. Asking costs nothing and can avoid fees.

Ella cannot pay a $150 electric bill on time. Which step should she try BEFORE high-cost credit?

A. Take a title loan on her car
B. Ignore the bill until it goes to collections
C. Take three BNPL plans for groceries
D. Call the utility to ask for a payment plan

CORRECT ANSWER

D. Call the utility to ask for a payment plan

Feedback (shown after answering)

Creditors often have payment plans that cost far less than high-cost loans.

Why each other choice is wrong (misconception it represents)

A: High cost and risk
B: Damages credit
C: Shifts debt

Type: instruction · practical how-to

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 3 of 5

Learn: Some employers and apps offer earned-wage access or paycheck advances for a small fee. Compare the dollar cost with other options.

An employer offers a paycheck advance of $200 with a $5 fee, repaid from the next paycheck. Compared with a $30 payday fee, how much does it save?

A. $5
B. $25
C. $30
D. $200

CORRECT ANSWER

B. $25

Feedback (shown after answering)

$30 − $5 = $25 saved.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Gives the advance fee
C: Gives the payday fee
D: Gives the advance amount

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 4 of 5

Learn: States set many of the rules for payday and other small-dollar loans, including rate caps and outright bans.

Which statement about state rules on payday loans is MOST accurate?

A. Every state allows unlimited payday fees
B. Payday loans are illegal everywhere
C. Rules differ by state, and some ban them
D. Only the federal government sets payday rules

CORRECT ANSWER

C. Rules differ by state, and some ban them

Feedback (shown after answering)

Some states cap rates or prohibit payday loans; rules vary, so check your state's regulator.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
B: Overgeneralizes
D: Ignores states

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 5 of 5

Learn: Unlicensed online lenders and scammers may ask for bank logins to drain accounts. Check that a lender is licensed in your state.

Online "instant cash" sites ask for your bank login to approve a loan. What is the safest response?

A. Never share bank logins with a lender
B. Share it, since approval apps are encrypted
C. Share it, then change the password after the loan arrives
D. Share your PIN instead of the password

CORRECT ANSWER

A. Never share bank logins with a lender

Feedback (shown after answering)

Bank logins give full account access; never share them with a lender.

Why each other choice is wrong (misconception it represents)

B: Trusts encryption claims; a login gives full account access
C: Damage can happen before the password is changed
D: A PIN is just as sensitive as a password

Type: instruction · practical how-to

SET 33 · Interest, Borrowing, and Debt

Debt-to-income and repayment strategies

MAIN skill: Calculate debt-to-income ratio and choose a debt repayment strategy

Outcome FL.DEBT.33 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Evaluate debt load with DTI and choose debt repayment strategies

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Ratios and percents of income (5 questions)
  Why: DTI is a ratio of payments to income expressed as a percent.
- B2 · Math link → G6-S01-M (Grade 6 6.RP.A.1): Write a ratio that describes the relationship between two quantities
  Why: DTI is a ratio of debt payments to income.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: DTI limits are percents of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Avalanche or snowball in practice (5 questions)
- Go Deeper 2: Consolidation and refinancing debt (5 questions)

Practical skills beyond the standards: Debt inventory and payoff plans

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 D, B1-Q2 D, B1-Q3 A, B1-Q4 C, B1-Q5 A, F1-Q1 C, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 A, F2-Q1 B, F2-Q2 D, F2-Q3 B, F2-Q4 C, F2-Q5 D

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 1 of 5

Learn: Debt-to-income ratio (DTI) compares monthly debt payments with gross monthly income: DTI = total monthly debt payments ÷ gross monthly income × 100. Lenders use DTI to judge whether a borrower can handle more debt.

Amir's gross monthly income is $4,000. His monthly debt payments are a $350 car loan, a $250 student loan, and a $100 credit card minimum. What is his debt-to-income ratio?

A. 5.7%
B. 10.0%
C. 17.5%
D. 7,000%

CORRECT ANSWER

C. 17.5%

Feedback (shown after answering)

$350 + $250 + $100 = $700. $700 ÷ $4,000 = 0.175 = 17.5%.

Recomputed independently by the build: 17.5

Why each other choice is wrong (misconception it represents)

A: Divides income by debt
B: Leaves out the car loan
D: Multiplies instead of dividing

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 2 of 5

Learn: Two common payoff strategies: the avalanche method pays minimums on all debts and puts extra money toward the highest interest rate first (saving the most interest); the snowball method puts extra toward the smallest balance first (quick wins that build motivation).

Debts: Card A $1,200 at 24% APR; Card B $400 at 18% APR; Loan C $3,000 at 7% APR. Under the AVALANCHE method, which debt gets extra payments first?

A. Card B (smallest balance)
B. Loan C (largest balance)
C. Card A (highest APR)
D. All three equally

CORRECT ANSWER

C. Card A (highest APR)

Feedback (shown after answering)

Avalanche targets the highest APR: Card A at 24%.

Why each other choice is wrong (misconception it represents)

A: Describes the snowball method
B: Targets the largest balance
D: No strategy

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 3 of 5

Learn: The snowball method pays minimums on all debts and puts every extra dollar toward the smallest balance first.

Three debts: (Card A $1,200 at 24%; Card B $400 at 18%; Loan C $3,000 at 7%), which debt does the SNOWBALL method pay off first?

A. Card A (highest APR)
B. Loan C (lowest APR)
C. Loan C (largest balance)
D. Card B (smallest balance)

CORRECT ANSWER

D. Card B (smallest balance)

Feedback (shown after answering)

The snowball method pays the smallest balance first: Card B ($400).

Why each other choice is wrong (misconception it represents)

A: Describes the avalanche method
B: Targets the lowest rate
C: Targets the largest balance

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 4 of 5

Learn: Paying down a higher-rate debt removes more interest each month: interest avoided ≈ amount × (APR ÷ 12).

In one month, how much more interest does $200 of extra payment save on a 24% APR card than on a 7% APR loan (monthly rate = APR ÷ 12)?

A. $1.17
B. $2.83
C. $4.00
D. $34.00

CORRECT ANSWER

B. $2.83

Feedback (shown after answering)

Card: $200 × 0.02 = $4.00. Loan: $200 × 0.07 ÷ 12 ≈ $1.17. Difference ≈ $2.83 per month, and it continues every month.

Recomputed independently by the build: 2.833333

Why each other choice is wrong (misconception it represents)

A: Gives only the loan savings
C: Gives only the card savings
D: Uses yearly amounts

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 5 of 5

A lender prefers DTI below 36%. Amir earns $4,000 gross monthly and already pays $700 in debts. What is the most in additional monthly debt payments he could take on and stay at or below 36%?

A. $700
B. $740
C. $1,440
D. $2,560

CORRECT ANSWER

B. $740

Feedback (shown after answering)

36% of $4,000 = $1,440. $1,440 − $700 = $740.
Recomputed independently by the build: 740

Why each other choice is wrong (misconception it represents)

A: Gives existing debt
C: Ignores existing debt
D: Gives income minus 36%

Type: knowledge check

BACKWARD B1 · concept review — Ratios and percents of income · Question 1 of 5

Learn: A ratio compares two quantities. Payments to income = payments ÷ income.

Monthly debt payments are $500 and income is $2,500. What is the ratio of payments to income, as a fraction in simplest form?

A. 5/1
B. 1/25
C. 2/5
D. 1/5

CORRECT ANSWER

D. 1/5

Feedback (shown after answering)

500/2,500 = 1/5.

Why each other choice is wrong (misconception it represents)

A: Inverts the ratio
B: Divides by 12500
C: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 2 of 5

Learn: To write a fraction as a percent, divide, then multiply by 100.

Write 1/5 as a percent.

A. 0.2%
B. 5%
C. 15%
D. 20%

CORRECT ANSWER

D. 20%

Feedback (shown after answering)

1 ÷ 5 = 0.2 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses the denominator
C: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 3 of 5

Learn: Lenders usually calculate DTI with gross (before-tax) monthly income.

Which income should be used for DTI as lenders usually figure it?

A. Gross monthly income
B. Net income after a vacation
C. Yearly income divided by 52
D. Only bonus income

CORRECT ANSWER

A. Gross monthly income

Feedback (shown after answering)

DTI uses gross monthly income.

Why each other choice is wrong (misconception it represents)

B: Not a standard
C: Weekly, not monthly
D: Incomplete

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 4 of 5

Learn: DTI counts payments on debts (loans, credit cards, mortgages or rent in some calculations), not everyday expenses like food.

Which counts as a monthly DEBT payment for DTI?

A. A grocery bill
B. A monthly cell phone bill
C. A student loan payment
D. A movie ticket

CORRECT ANSWER

C. A student loan payment

Feedback (shown after answering)

Loan payments count; everyday expenses usually do not.

Why each other choice is wrong (misconception it represents)

A: Living expense, not debt
B: Usually not counted as debt
D: Spending

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 5 of 5

If DTI goes from 15% to 40%, what has happened?

A. A larger share of income now goes to debt payments
B. Income has doubled
C. Debt has been paid off, freeing up more of the income
D. Nothing important

CORRECT ANSWER

A. A larger share of income now goes to debt payments

Feedback (shown after answering)

A higher DTI means more of each dollar is committed to debt.

Why each other choice is wrong (misconception it represents)

B: Misreads the change
C: Reverses the change
D: Ignores the risk

Type: knowledge check

GO DEEPER 1 — Avalanche or snowball in practice · Question 1 of 5

Learn: Avalanche targets the highest rate first; snowball targets the smallest balance first. Sometimes the highest-rate debt is also the smallest, so both choose the same first target.

Lee has $300 a month for debts beyond minimums. Debts: $500 at 22%, $2,000 at 22%, $800 at 10%. His avalanche method breaks ties in rate by choosing the smaller balance. Which first target is the same under both avalanche and snowball?

A. Both pay the $2,000 debt at 22% first
B. Both pay the $800 debt first
C. Both pay the $500 debt at 22% first
D. They disagree on every debt

CORRECT ANSWER

C. Both pay the $500 debt at 22% first

Feedback (shown after answering)

The $500 debt is the smallest AND tied for the highest rate; with ties broken by smaller balance, both methods start there.

Why each other choice is wrong (misconception it represents)

A: Not smallest, ties on APR
B: Not highest APR
D: Misses the overlap

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 2 of 5

Learn: Research on behavior suggests quick wins can help people stick with a plan. The best method is one you will actually follow.

Which reason might lead someone to choose the snowball method even though it can cost more interest?

A. It always saves the most interest
B. Lenders charge lower rates to people who use it
C. It lowers the interest rates on the other debts automatically
D. Paying off small debts quickly keeps them motivated

CORRECT ANSWER

D. Paying off small debts quickly keeps them motivated

Feedback (shown after answering)

Motivation from early payoffs can matter as much as the math.

Why each other choice is wrong (misconception it represents)

A: Confuses snowball with avalanche
B: Believes payoff order changes lender rates
C: Believes paying one debt changes others' rates

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 3 of 5

Learn: The "rollover" step: when one debt is paid off, its payment is added to the next target, so payments grow like a snowball.

After Card B ($400) is paid off, Lee rolls its $40 minimum plus his $200 extra into the next debt. How much now goes to the next debt each month beyond its own minimum?

A. $40
B. $200
C. $240
D. $440

CORRECT ANSWER

C. $240

Feedback (shown after answering)

$200 + $40 = $240 extra.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Ignores the extra
B: Ignores the freed minimum
D: Adds the old balance

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 4 of 5

Learn: The interest saved by paying one debt instead of another is about the amount × the difference in rates.

Two $1,000 debts: one at 25% APR, one at 5% APR. Paying the 25% debt first instead of the 5% debt avoids roughly how much interest per year on that $1,000?

A. $50
B. $200
C. $250
D. $300

CORRECT ANSWER

B. $200

Feedback (shown after answering)

$1,000 × (0.25 − 0.05) = $200 per year.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Gives the low-rate interest only
C: Gives the high-rate interest only
D: Adds the two

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 5 of 5

Learn: A debt inventory, a list of every debt with its balance, rate, and minimum payment, is the starting point for any payoff plan.

Which step should come BEFORE choosing a payoff method?

A. Listing each debt's balance, rate, and minimum
B. Opening a new credit card
C. Skipping minimum payments on the smallest debts for a while
D. Closing all savings accounts

CORRECT ANSWER

A. Listing each debt's balance, rate, and minimum

Feedback (shown after answering)

You cannot choose a target without knowing balances, rates, and minimums.

Why each other choice is wrong (misconception it represents)

B: Adds debt
C: Causes fees and damage
D: Removes cushion

Type: instruction · practical how-to

GO DEEPER 2 — Consolidation and refinancing debt · Question 1 of 5

Learn: Debt consolidation combines several debts into one new loan, ideally at a lower rate. It can lower interest and simplify payments, but only if the new rate is lower and new debt is not added.

Pia combines $6,000 of credit card debt at 23% APR into a personal loan at 11% interest with no other finance charges. About how much interest does this save in the first year (simple estimate on the full balance)?

A. $660
B. $720
C. $1,380
D. $2,040

CORRECT ANSWER

B. $720

Feedback (shown after answering)

$6,000 × (0.23 − 0.11) = $720.

Recomputed independently by the build: 720

Why each other choice is wrong (misconception it represents)

A: Gives the loan interest
C: Gives the card interest
D: Adds both

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 2 of 5

Learn: Consolidation moves debt; it does not change spending habits.

After consolidating, Pia keeps using her credit cards and builds new balances. What happens?

A. The loan pays the new card debt automatically
B. Her rate on the cards drops to 11%
C. Her total debt goes down
D. She ends up with the loan AND new card debt

CORRECT ANSWER

D. She ends up with the loan AND new card debt

Feedback (shown after answering)

Without changing spending, consolidation can lead to more total debt.

Why each other choice is wrong (misconception it represents)

A: Misunderstands consolidation
B: Rates do not transfer
C: Debt rises

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 3 of 5

Learn: An origination fee is a one-time charge for making a loan, often a percent of the loan amount. It adds to the cost and should be included in comparisons.

A consolidation loan has a 5% origination fee on $6,000. How much is the fee?

A. $30
B. $300
C. $3,000
D. $6,300

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$6,000 × 0.05 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
C: Uses 50%
D: Gives the total

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 4 of 5

Learn: Debt relief companies that sell services by phone generally cannot charge fees until they actually settle or reduce a debt. Up-front fee demands are a warning sign.

Which consolidation offer should raise suspicion?

A. A credit union loan with a stated APR and no prepayment penalty
B. A bank personal loan with a clear fee schedule
C. A company that wants large fees up front to "settle" debts
D. A nonprofit credit counselor offering a free budget review

CORRECT ANSWER

C. A company that wants large fees up front to "settle" debts

Feedback (shown after answering)

Up-front fees for debt settlement are a red flag.

Why each other choice is wrong (misconception it represents)

A: Legitimate
B: Legitimate
D: Legitimate

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 5 of 5

Learn: Nonprofit credit counseling agencies can review your budget and debts and may offer debt management plans.

Where can someone get free or low-cost help making a debt plan?

A. A payday lender
B. An anonymous social media account offering tips
C. A rent-to-own store
D. A nonprofit credit counseling agency

CORRECT ANSWER

D. A nonprofit credit counseling agency

Feedback (shown after answering)

Reputable nonprofit credit counselors help with budgets and debt plans.

Why each other choice is wrong (misconception it represents)

A: Conflict of interest
B: Unreliable
C: Conflict of interest

Type: instruction · practical how-to

SET 34 · Interest, Borrowing, and Debt

When debt goes wrong: late payments, collections, and bankruptcy

MAIN skill: Explain the consequences of missed payments and the rights of consumers with debt in collection

Outcome FL.DEBT.34 · National topic: Managing Credit · NJSLS 9.1.12: CDM, CP
Learning target: Consequences of not repaying debt; consumer protections in debt collection

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Due dates, late fees, and minimum payments (5 questions)
  Why: Students must know what a due date and late fee are before reasoning about collections and credit damage.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Comparing fees and payments uses percents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Dealing with debt collectors (5 questions)
- Go Deeper 2: Long-term consequences and recovery (5 questions)

Practical skills beyond the standards: Responding to a debt collector; Recognizing credit repair scams

Content status: time-sensitive

Source: CFPB (Regulation F, 12 CFR 1006.34) — Debt collectors must provide validation information; a consumer who disputes the debt in writing within the 30-day validation period (which starts on receipt of the validation information) can make the collector pause collection until it sends verification. https://www.consumerfinance.gov/rules-policy/regulations/1006/34/

Source: CFPB — Most negative information stays on credit reports for 7 years; some bankruptcies for up to 10 years. https://www.consumerfinance.gov/ask-cfpb/how-long-does-negative-information-remain-on-my-credit-report-en-323/

Source: CFPB (Regulation Z, 12 CFR 1026.52(b)) — A credit card late fee cannot exceed the minimum payment that was due. https://www.consumerfinance.gov/rules-policy/regulations/1026/52/

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 D, M-Q4 A, M-Q5 C, B1-Q1 A, B1-Q2 D, B1-Q3 C, B1-Q4 C, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 A, F2-Q2 D, F2-Q3 C, F2-Q4 D, F2-Q5 C

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 1 of 5

Learn: Consequences of a missed payment build over time. Right after the due date, the issuer can charge a late fee. Once a payment is 30 or more days past due, it can be reported to credit bureaus. Debts left unpaid for months can go to collectors or court.

Ana misses a credit card payment by 10 days. Which consequence is MOST likely first?

A. A fee for paying late
B. Immediate arrest
C. Her wages are garnished the next day
D. A 30-day late mark on her credit report

CORRECT ANSWER

A. A fee for paying late

Feedback (shown after answering)

At 10 days late, a late fee is the likely consequence; credit reporting generally starts at 30+ days late.

Why each other choice is wrong (misconception it represents)

B: Debt is not a crime
C: Garnishment requires a court judgment
D: A payment is not reported late until it is 30 or more days past due

Type: instruction

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 2 of 5

Learn: Under federal law, most negative items stay on credit reports for 7 years. Some bankruptcies can stay for up to 10 years. Positive information can stay longer.

A 30-day late payment was reported in March 2020. Under the usual rule for negative items, about when should it drop off Ana's credit report?

A. Around March 2021
B. Around March 2030
C. Around March 2027
D. Never; late payments stay forever

CORRECT ANSWER

C. Around March 2027

Feedback (shown after answering)

2020 + 7 = 2027.

Recomputed independently by the build: 2027

Why each other choice is wrong (misconception it represents)

A: Uses 1 year
B: Uses the 10-year bankruptcy period for every item
D: Overstates

Type: instruction · rule as of FCRA reporting periods as of 2026

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 3 of 5

Learn: The Fair Debt Collection Practices Act gives consumers rights: collectors must provide validation information about the debt, consumers can dispute it, and collectors may not harass, threaten, or lie.

A debt collector calls about an old debt Sam does not recognize. What right does he have?

A. To have the whole debt erased simply by asking for that
B. To make the collector pay him for the call
C. None; collectors can say anything
D. To dispute the debt and receive validation information

CORRECT ANSWER

D. To dispute the debt and receive validation information

Feedback (shown after answering)

He can dispute the debt; the collector must provide information validating it.

Why each other choice is wrong (misconception it represents)

A: Overstates the right
B: Invents a right
C: Ignores the law

Type: instruction

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 4 of 5

Learn: Collectors may not threaten arrest or legal action they cannot or do not intend to take.

A collector threatens to have Rina arrested over a $400 credit card debt. What is true?

A. This threat is illegal; debt is not a crime
B. She must pay immediately or go to jail
C. Collectors may say anything to get paid
D. Arrest is a normal step for unpaid debts over $300

CORRECT ANSWER

A. This threat is illegal; debt is not a crime

Feedback (shown after answering)

Threatening arrest for ordinary debt is a prohibited practice. She can report it to the CFPB.

Why each other choice is wrong (misconception it represents)

B: False threat
C: Ignores FDCPA
D: Invents a rule

Type: instruction

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 5 of 5

Learn: Bankruptcy is a federal court process. Chapter 7 can discharge many debts, sometimes after selling some assets; Chapter 13 sets a repayment plan, usually over 3–5 years. Some debts, such as most student loans and child support, are hard or impossible to discharge.

What is bankruptcy?

A. A free way to cancel all debts with no consequences
B. A payment plan arranged by a debt collector
C. A court process to erase or reorganize debts
D. A credit score below 500

CORRECT ANSWER

C. A court process to erase or reorganize debts

Feedback (shown after answering)

Bankruptcy is a serious legal option of last resort with lasting credit effects.

Why each other choice is wrong (misconception it represents)

A: Ignores consequences
B: Confuses bankruptcy with a repayment plan
D: Confuses a legal process with a credit rating

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 1 of 5

Learn: A due date is the deadline for a payment. Paying after it can bring a late fee and, if very late, other consequences.

A bill says "Due June 15." Ali pays on June 18. What usually happens?

A. He may be charged a late fee
B. Nothing, because three days is close enough
C. The bill is cancelled
D. He earns interest

CORRECT ANSWER

A. He may be charged a late fee

Feedback (shown after answering)

Paying after the due date can trigger a late fee.

Why each other choice is wrong (misconception it represents)

B: Ignores late fees
C: Unrealistic
D: Reverses the effect

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 2 of 5

Learn: The minimum payment is the smallest amount that keeps an account in good standing that month. It does not pay off the balance.

A card's minimum payment is $35 on a $900 balance. If Ali pays $35, what happens to the rest?

A. It is forgiven
B. It is paid by the card company
C. It must be paid separately in cash at a bank branch
D. It carries over and can be charged interest

CORRECT ANSWER

D. It carries over and can be charged interest

Feedback (shown after answering)

The remaining $865 carries over, often with interest.

Why each other choice is wrong (misconception it represents)

A: Misunderstands minimums
B: Misunderstands minimums
C: Invents a rule

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 3 of 5

Which habit best prevents missed payments?

A. Paying only when reminded by a collector
B. Waiting for paper bills only
C. Autopay for at least the minimum
D. Paying whatever is left at month end

CORRECT ANSWER

C. Autopay for at least the minimum

Feedback (shown after answering)

Autopay for at least the minimum, plus extra when possible, prevents late payments.

Why each other choice is wrong (misconception it represents)

A: Too late
B: Bills can be lost
D: May miss the due date

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 4 of 5

Learn: Compare a fee with the payment: fee ÷ payment × 100. Federal rules cap a credit card late fee at the amount of the minimum payment that was missed.

A card charges a $20 late fee when a $25 minimum payment is missed. The fee equals what percent of the minimum payment?

A. 20%
B. 45%
C. 80%
D. 125%

CORRECT ANSWER

C. 80%

Feedback (shown after answering)

$20 ÷ $25 = 0.8 = 80%.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Uses the fee as a percent
B: Adds the amounts
D: Divides the wrong way

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 5 of 5

If you know you will miss a payment, what should you do first?

A. Ignore all calls and letters until the problem passes
B. Open a new card to pay it
C. Contact the lender to ask about options
D. Change your phone number

CORRECT ANSWER

C. Contact the lender to ask about options

Feedback (shown after answering)

Lenders may offer hardship plans or new due dates if contacted early.

Why each other choice is wrong (misconception it represents)

A: Makes things worse
B: Adds debt
D: Avoidance

Type: knowledge check · practical how-to

GO DEEPER 1 — Dealing with debt collectors · Question 1 of 5

Learn: Consumers can tell a debt collector in writing to stop contacting them. The collector may then contact them only to confirm or to say it will take a specific action, such as filing a lawsuit. The debt itself still exists.

Sam wants a collector to stop calling. Under federal rules, what can he do?

A. Nothing; calls cannot be stopped
B. Pay a fee to stop the calls
C. Ask his bank to block the debt from being collected
D. Ask in writing that it stop contacting him

CORRECT ANSWER

D. Ask in writing that it stop contacting him

Feedback (shown after answering)

A written request stops most contact, though the debt remains and the collector may still sue.

Why each other choice is wrong (misconception it represents)

A: Ignores the right
B: Invents a fee
C: Banks cannot erase debts

Type: instruction · practical how-to

GO DEEPER 1 — Dealing with debt collectors · Question 2 of 5

Learn: After a collector first contacts you, it must send validation information. If you dispute the debt in writing within the validation period (generally 30 days), the collector must pause collection until it verifies the debt.

Sam receives a debt validation notice on May 1 and believes the amount is wrong. By about when should he send a written dispute so the collector must verify the debt before continuing?

A. By about May 31
B. By May 4
C. By about November 1
D. Any time, since there is no deadline

CORRECT ANSWER

A. By about May 31

Feedback (shown after answering)

About 30 days from May 1 is May 31.

Why each other choice is wrong (misconception it represents)

B: Uses 3 days
C: Uses 6 months
D: Ignores the window

Type: instruction · practical how-to · rule as of Regulation F as of 2026

GO DEEPER 1 — Dealing with debt collectors · Question 3 of 5

Learn: Collectors may contact you to collect, but federal law bans harassment, threats, false statements, and unfair practices.

Which collector behavior is prohibited?

A. Calling repeatedly to harass
B. Sending a letter with the amount owed
C. Calling during normal hours to ask for payment
D. Offering a payment plan

CORRECT ANSWER

A. Calling repeatedly to harass

Feedback (shown after answering)

Harassment, such as repeated calls meant to annoy, is prohibited.

Why each other choice is wrong (misconception it represents)

B: Allowed
C: Allowed
D: Allowed

Type: instruction

GO DEEPER 1 — Dealing with debt collectors · Question 4 of 5

Learn: The CFPB and state attorneys general accept complaints about debt collection.

Where can someone report a collector who breaks the rules?

A. The collector's own sales and marketing team
B. A social media influencer
C. The CFPB or the state attorney general
D. The IRS

CORRECT ANSWER

C. The CFPB or the state attorney general

Feedback (shown after answering)

The CFPB and state attorneys general handle these complaints.

Why each other choice is wrong (misconception it represents)

A: Conflict of interest
B: Not an authority
D: Wrong agency

Type: instruction · practical how-to

GO DEEPER 1 — Dealing with debt collectors · Question 5 of 5

Learn: A settlement is an agreement to pay less than the full balance. Get the terms in writing before paying, and keep proof of payment.

A collector offers to settle a $2,000 debt for $1,200. What should Sam get before paying?

A. Nothing; a phone promise is enough
B. A promise over the phone only
C. A new credit card from the collector
D. The settlement agreement in writing

CORRECT ANSWER

D. The settlement agreement in writing

Feedback (shown after answering)

A written agreement protects against later claims for the rest.

Why each other choice is wrong (misconception it represents)

A: Unprotected
B: Spoken promises are hard to prove
C: Adds debt

Type: instruction · practical how-to

GO DEEPER 2 — Long-term consequences and recovery · Question 1 of 5

Learn: Most negative items can stay on a credit report for about 7 years. For a collection account, the period is measured from the original delinquency that led to it; selling the debt to a collector does not restart the clock.

Sam's account first became delinquent 3 years ago and later went to collections. Under the usual 7-year rule, measured from that original delinquency, about how many more years will it typically stay on his credit report?

A. About 4 years
B. 7 years
C. 10 years
D. 0 years

CORRECT ANSWER

A. About 4 years

Feedback (shown after answering)

About 7 − 3 = 4 more years (an approximation under the 7-year rule).

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

B: Restarts the clock when the debt goes to a collector
C: Uses the bankruptcy period
D: Thinks it is already gone

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 2 of 5

Learn: The impact of old negative items fades over time, especially when new on-time payments build a better record.

Which action usually helps a credit report recover over time?

A. Opening many new cards at once
B. Ignoring all mail from creditors
C. Paying a company to erase accurate negatives
D. Making every new payment on time

CORRECT ANSWER

D. Making every new payment on time

Feedback (shown after answering)

Recent on-time payments gradually outweigh older problems.

Why each other choice is wrong (misconception it represents)

A: Can hurt
B: Makes it worse
C: Accurate information cannot be removed for a fee

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 3 of 5

Learn: You can dispute inaccurate information for free. Accurate negative information generally can stay for the time the law allows. You have no right to demand its removal, and no paid service can guarantee it, although a creditor may sometimes choose to update or remove an item.

A company promises to remove ACCURATE, current negative information from a credit report for $500. What should a consumer know?

A. Paying more guarantees removal
B. It is the only way to fix credit
C. No one can legally force removal of accurate information
D. The credit bureaus require consumers to buy this service

CORRECT ANSWER

C. No one can legally force removal of accurate information

Feedback (shown after answering)

Credit repair companies cannot legally force accurate items off a report; disputing errors is free.

Why each other choice is wrong (misconception it represents)

A: Believes payment buys deletion
B: Ignores free disputes and time
D: Invents a requirement

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 4 of 5

Learn: A statute of limitations limits how long a creditor can sue over a debt. It varies by state, and in some states a payment can restart the clock.

In some states, making a small payment on a very old debt can do what?

A. Erase the debt entirely
B. Guarantee a perfect credit score
C. Make the debt illegal to collect from that point on
D. Restart the time limit for a lawsuit on that debt

CORRECT ANSWER

D. Restart the time limit for a lawsuit on that debt

Feedback (shown after answering)

Before paying an old debt, learn your state's rules on the statute of limitations.

Why each other choice is wrong (misconception it represents)

A: False
B: False
C: False

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 5 of 5

Learn: Chapter 13 bankruptcy reorganizes debts: a person with regular income repays creditors through a court-approved plan.

Which statement about Chapter 13 bankruptcy is TRUE?

A. It erases every debt instantly
B. It is the same as a debt management plan from a counselor
C. It sets a court-approved repayment plan, often 3–5 years
D. It has no effect on credit

CORRECT ANSWER

C. It sets a court-approved repayment plan, often 3–5 years

Feedback (shown after answering)

Chapter 13 reorganizes debts into a repayment plan, usually 3–5 years.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Different process
D: False

Type: instruction

SET 35 · Credit Cards and Credit Scores

What a credit card is

MAIN skill: Explain how a credit card works: credit limit, revolving balance, and grace period

Outcome FL.CREDIT.35 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain how credit cards work: credit limits, revolving balances, grace periods, and APR

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Credit versus debit (5 questions)
  - Why: The most common credit card misconception is treating credit as one's own money.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Available credit subtracts the balance from the limit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: What is APR on a credit card? (5 questions)
- Go Deeper 2: Cash advances (5 questions)

Practical skills beyond the standards: Choosing a card by how you will use it

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Regulation Z, 12 CFR 1026.51) — A card applicant under 21 must show independent income or assets enough to make the required payments, or have a cosigner or joint applicant who is 21 or older and able to pay (if the issuer allows it). https://www.consumerfinance.gov/rules-policy/regulations/1026/51/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 C, B1-Q4 C, B1-Q5 D, F1-Q1 B, F1-Q2 A, F1-Q3 D, F1-Q4 C, F1-Q5 B, F2-Q1 A, F2-Q2 B, F2-Q3 B, F2-Q4 C, F2-Q5 D

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 1 of 5

Learn: A credit card lets you borrow up to a credit limit to make purchases. The card issuer pays the store, and you owe the issuer. Each month you get a statement and can pay the full balance or a smaller amount (at least the minimum). Any unpaid balance "revolves" to the next month, usually with interest.

Leo uses a credit card to buy a $90 jacket. What happens to his money right away?

A. Nothing yet; he now owes the card issuer $90
B. $90 leaves his checking account immediately, as with a debit card
C. The store waits to be paid until Leo pays his bill
D. The jacket is free if he pays the minimum each month

CORRECT ANSWER

A. Nothing yet; he now owes the card issuer $90

Feedback (shown after answering)

The issuer paid the store; Leo now owes the issuer $90.

Why each other choice is wrong (misconception it represents)

B: Confuses credit with debit
C: Misunderstands who pays the store
D: Misunderstands repayment

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 2 of 5

Learn: The credit limit is the most you can owe on the card at one time. Available credit = credit limit − current balance.

Mia's card has a $1,500 credit limit and a $620 balance. How much more can she charge?

A. $620
B. $880
C. $1,500
D. $2,120

CORRECT ANSWER

B. $880

Feedback (shown after answering)

$1,500 − $620 = $880 of available credit.

Recomputed independently by the build: 880

Why each other choice is wrong (misconception it represents)

A: Gives the balance
C: Ignores the current balance
D: Adds the balance to the limit

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 3 of 5

Learn: Most cards offer a grace period on purchases: if you pay the full statement balance by the due date, you are not charged interest on those purchases. Grace periods usually do not apply to cash advances. The law requires statements to be sent at least 21 days before the due date. Carrying a balance usually ends the grace period until the card is paid in full again.

Ben's card offers a grace period on purchases. He makes only purchases (no cash advances or balance transfers) and pays the full statement balance by the due date every month. How much interest does he pay on purchases?

A. The full APR on every purchase
B. Half the APR, because he pays on time
C. $0
D. $25 a month, the minimum payment

CORRECT ANSWER

C. $0

Feedback (shown after answering)

With a purchase grace period and full, on-time payment, no purchase interest is charged.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Ignores the grace period
B: Invents a rule
D: Confuses the minimum payment with interest

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 4 of 5

Learn: Credit comes in two main forms. Installment credit (car loans, student loans) is one amount repaid in fixed payments. Revolving credit (credit cards, lines of credit) can be used again and again up to a limit, with payments that change with the balance.

Which statement describes "revolving" credit?

A. You borrow one fixed amount and repay it on a schedule
B. You can only use it once, then the account closes
C. The balance is paid automatically by the bank
D. You can borrow, repay, and borrow again up to a limit

CORRECT ANSWER

D. You can borrow, repay, and borrow again up to a limit

Feedback (shown after answering)

Credit cards are revolving: available credit returns as you repay.

Why each other choice is wrong (misconception it represents)

A: Describes an installment loan
B: Misunderstands
C: Misunderstands

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 5 of 5

Learn: The Credit CARD Act says applicants under 21 must show independent income or assets enough to make the minimum payments, or have a cosigner or joint applicant who is at least 21 and able to pay, if the issuer allows that.

Jada is 19, has no income, and has no savings or other assets of her own. She applies for a credit card. Under federal law, what does she need?

A. A cosigner or joint applicant 21 or older
B. Only a school ID, because students get automatic approval
C. Nothing; anyone over 18 must be approved
D. A parent's permission slip signed at school

CORRECT ANSWER

A. A cosigner or joint applicant 21 or older

Feedback (shown after answering)

With no independent income or assets, she needs a qualified cosigner or joint applicant 21 or older (where the issuer allows one).

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Ignores the rule
D: Invents a process

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 1 of 5

Learn: A debit card takes money from your own account. A credit card borrows money you must repay.

With a DEBIT card, where does the money come from?

A. The cardholder's own bank account
B. A loan from the card issuer, repaid next month
C. The store's savings account
D. The government

CORRECT ANSWER

A. The cardholder's own bank account

Feedback (shown after answering)

Debit spends money already in your account.

Why each other choice is wrong (misconception it represents)

B: Describes credit
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 2 of 5

Learn: Every credit card purchase is borrowing. The amount is added to your card balance, which you owe the card issuer.

With a CREDIT card, what does the cardholder create with each purchase?

A. A deposit into savings
B. A gift from the store
C. A reduction in their bank balance right away
D. A debt owed to the card issuer

CORRECT ANSWER

D. A debt owed to the card issuer

Feedback (shown after answering)

Each credit purchase adds to what you owe.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Misunderstands
C: Describes debit

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 3 of 5

Learn: A credit limit is a borrowing maximum, not money you own.

Sam's credit limit is $2,000. Does that mean he has $2,000 of his own money?

A. Yes; the limit is deposited into his account
B. Yes, but only on weekends
C. No; it is the most he can borrow
D. No; it is the minimum he must spend

CORRECT ANSWER

C. No; it is the most he can borrow

Feedback (shown after answering)

The limit is borrowing capacity that must be repaid.

Why each other choice is wrong (misconception it represents)

A: Confuses credit with cash
B: Invents a rule
D: Misreads "limit"

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 4 of 5

Learn: Interest is charged on borrowed money that is not repaid on time.

Which payment method can lead to paying INTEREST if the bill is not paid in full?

A. A debit card
B. Cash
C. A credit card
D. A prepaid gift card

CORRECT ANSWER

C. A credit card

Feedback (shown after answering)

Unpaid credit card balances can be charged interest.

Why each other choice is wrong (misconception it represents)

A: No interest; it spends your own money
B: No interest
D: No interest

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 5 of 5

Learn: Federal law caps your liability for unauthorized credit card charges at $50. Debit card limits depend on how fast you report a problem.

Which card typically has STRONGER federal protection against unauthorized charges?

A. A debit card
B. A store gift card
C. A library card
D. A credit card

CORRECT ANSWER

D. A credit card

Feedback (shown after answering)

Credit cards have a $50 cap; debit card protection depends on how quickly you report.

Why each other choice is wrong (misconception it represents)

A: Weaker, timing-dependent limits
B: Often little protection
C: Not a payment card

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 1 of 5

Learn: A credit card's APR is its yearly interest rate. Interest for about a month ≈ balance × (APR ÷ 12). (Many cards actually figure interest daily.)

A card has a 24% purchase APR. If Kai carries a $500 balance for a whole month, about how much interest is charged (monthly rate = APR ÷ 12)?

A. $1
B. $10
C. $24
D. $120

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$500 × 0.24 ÷ 12 = $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
C: Uses the APR as dollars
D: Uses the full year

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 2 of 5

Learn: Cards can have different APRs for purchases, cash advances, and balance transfers, plus a penalty APR that can apply after a late payment, often 60 days late for existing balances.

A card lists several APRs: purchase APR 21.99%, cash advance APR 29.99%, penalty APR 29.99%. When does the PENALTY APR usually apply?

A. After a serious late payment
B. On every purchase made on weekends
C. Only on balance transfers made in the first month
D. Never; it is only shown for decoration

CORRECT ANSWER

A. After a serious late payment

Feedback (shown after answering)

The penalty APR applies after late payments, as described in the agreement.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses with other APRs
D: Ignores it

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 3 of 5

Learn: The best card depends on how you use it. If you keep a purchase grace period by always paying in full on time, the APR rarely matters, but fees do.

Two cards, both with a grace period on purchases: Card A 18% APR, $0 annual fee; Card B 15% APR, $95 annual fee. Ana uses the card only for purchases and pays the full statement balance on time every month. Which costs her less?

A. Card B, because 15% is lower than 18%
B. They cost the same
C. Card B, because annual fees are refunded
D. Card A, because she pays no interest

CORRECT ANSWER

D. Card A, because she pays no interest

Feedback (shown after answering)

Paying in full on time means no purchase interest, so the $95 fee is the only cost difference.

Why each other choice is wrong (misconception it represents)

A: Ignores that she pays no interest
B: Ignores the fee
C: Invents refunds

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 4 of 5

Learn: Under the Credit CARD Act, issuers generally must give 45 days' notice before a significant change such as a higher APR on new purchases.

Maya's card issuer plans to raise the APR on new purchases starting July 1. Under the CARD Act, by about when must she receive notice?

A. By June 24
B. By June 30
C. By about May 17
D. Notice is not required before the change

CORRECT ANSWER

C. By about May 17

Feedback (shown after answering)

45 days before July 1 is May 17.

Why each other choice is wrong (misconception it represents)

A: Uses 7 days
B: Uses 1 day
D: Ignores the CARD Act

Type: instruction · rule as of CARD Act rules as of 2026

GO DEEPER 1 — What is APR on a credit card? · Question 5 of 5

Learn: Daily interest = balance × (APR ÷ 365).

A 24% APR card charges interest daily on a $500 balance. About what is the daily interest (APR ÷ 365)?

A. $0.03
B. $0.33
C. $3.29
D. $10.00

CORRECT ANSWER

B. $0.33

Feedback (shown after answering)

$500 × 0.24 ÷ 365 ≈ $0.33 per day.

Recomputed independently by the build: 0.328767

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Misplaces the decimal
D: Gives monthly interest

Type: instruction

GO DEEPER 2 — Cash advances · Question 1 of 5

Learn: A cash advance means using your credit card to get cash (at an ATM or bank). It is borrowing. Cash advances usually have a fee, a higher APR, and no grace period: interest starts right away.

A cash advance is...

A. borrowing cash against your credit card
B. withdrawing your own savings with a debit card
C. a free bonus paid by the card issuer
D. a refund of a returned purchase

CORRECT ANSWER

A. borrowing cash against your credit card

Feedback (shown after answering)

A cash advance is a loan of cash from your card issuer.

Why each other choice is wrong (misconception it represents)

B: Confuses credit with debit
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Cash advances · Question 2 of 5

Learn: Cash advance fees are often the larger of a percent of the amount or a minimum dollar amount.

Tom takes a $200 cash advance. The fee is 5% (minimum $10). What is the fee?

A. $5
B. $10
C. $20
D. $200

CORRECT ANSWER

B. $10

Feedback (shown after answering)

5% of $200 = $10, which equals the $10 minimum, so the fee is $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 5 dollars
C: Uses 10%
D: Gives the advance

Type: instruction

GO DEEPER 2 — Cash advances · Question 3 of 5

Learn: Interest on a cash advance starts the day it is taken. Interest ≈ amount × (APR ÷ 365) × days.

A $400 cash advance has a 5% fee and a 29.99% APR with no grace period. About how much interest accrues in 30 days (daily rate = APR ÷ 365)?

A. $0
B. $9.86
C. $20.00
D. $119.96

CORRECT ANSWER

B. $9.86

Feedback (shown after answering)

$400 × 0.2999 ÷ 365 × 30 ≈ $9.86, plus the $20 fee.

Recomputed independently by the build: 9.859726

Why each other choice is wrong (misconception it represents)

A: Assumes a grace period
C: Gives the fee
D: Uses a full year

Type: instruction

GO DEEPER 2 — Cash advances · Question 4 of 5

Learn: The total cost of a cash advance includes both the fee and the interest.

Tom's $400 cash advance cost a $20 fee plus about $9.86 of interest after 30 days. What was the total cost?

A. $9.86
B. $20.00
C. $29.86
D. $429.86

CORRECT ANSWER

C. $29.86

Feedback (shown after answering)

$20 + $9.86 = $29.86.

Recomputed independently by the build: 29.86

Why each other choice is wrong (misconception it represents)

A: Leaves out the fee
B: Leaves out interest
D: Gives the total owed

Type: instruction

GO DEEPER 2 — Cash advances · Question 5 of 5

Which is usually a cheaper way to get $100 cash quickly than a credit card cash advance?

A. Taking a cash advance on two cards instead of one
B. A payday loan
C. A title loan
D. Withdrawing from your own savings or checking

CORRECT ANSWER

D. Withdrawing from your own savings or checking

Feedback (shown after answering)

Using your own money avoids fees and interest.

Why each other choice is wrong (misconception it represents)

A: Doubles fees
B: Usually far more expensive
C: Usually far more expensive

Type: knowledge check

SET 36 · Credit Cards and Credit Scores

Reading a credit card statement

MAIN skill: Read a credit card statement and decide how much to pay and when

Outcome FL.CREDIT.36 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Read a credit card statement and explain the cost of making only minimum payments

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Due dates, balances, and payments on a bill (5 questions)
  Why: Reading a statement requires telling apart the balance, the minimum, and the due date.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Carried balances subtract payments from the statement balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Disputing a credit card billing error (5 questions)
- Go Deeper 2: Statement dates and payment timing (5 questions)

Practical skills beyond the standards: Reading a card statement line by line; Disputing a billing error

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 A, M-Q4 A, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 C, B1-Q4 B, B1-Q5 D, F1-Q1 A, F1-Q2 D, F1-Q3 C, F1-Q4 C, F1-Q5 D, F2-Q1 A, F2-Q2 A, F2-Q3 D, F2-Q4 C, F2-Q5 D

MAIN — Read a credit card statement and decide how much to pay and when · Question 1 of 5

Learn: A credit card statement lists the previous balance, payments, new purchases, fees, interest, the new (statement) balance, the minimum payment, and the due date. Paying the full statement balance by the due date avoids interest on purchases (the grace period).

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

How much must Rosa pay by June 15 to avoid ANY interest on these purchases?

A. $25.00
B. $387.75
C. $412.75
D. $640.00

CORRECT ANSWER

C. $412.75

Feedback (shown after answering)

Paying the full new balance, $412.75, by June 15 keeps the grace period.

Recomputed independently by the build: 412.75

Why each other choice is wrong (misconception it represents)

A: Pays only the minimum
B: Subtracts the minimum
D: Uses the previous balance

Type: instruction · practical how-to

MAIN — Read a credit card statement and decide how much to pay and when · Question 2 of 5

Learn: The minimum payment due is the smallest amount that avoids a late fee that month. Paying only the minimum leaves the rest of the balance owed, and interest is charged on it.

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

What is the LEAST Rosa can pay by June 15 and keep her account in good standing?

A. $0.00
B. $25.00
C. $412.75
D. $640.00

CORRECT ANSWER

B. $25.00

Feedback (shown after answering)

The minimum payment due is $25.00; paying only that leaves $387.75 to carry over with interest.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Thinks no payment is needed
C: Gives the full balance
D: Uses the previous balance

Type: instruction

MAIN — Read a credit card statement and decide how much to pay and when · Question 3 of 5

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

If Rosa pays only the $25 minimum, what balance carries into next month before interest?

A. $387.75
B. $412.75
C. $437.75
D. $615.00

CORRECT ANSWER

A. $387.75

Feedback (shown after answering)

$412.75 − $25.00 = $387.75, which will then be charged interest.

Recomputed independently by the build: 387.75

Why each other choice is wrong (misconception it represents)

B: Ignores the payment
C: Adds the payment
D: Subtracts from the previous balance

Type: knowledge check

MAIN — Read a credit card statement and decide how much to pay and when · Question 4 of 5

Learn: When the previous statement balance was paid in full by its due date, new purchases usually get a grace period, so no purchase interest appears on the next statement.

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

The statement shows "Interest charged $0.00." Why?

A. Paying the last balance in full kept the grace period
B. Her card has no interest rate at all
C. Interest is only charged in June
D. The card issuer forgot to add this month's interest charge

CORRECT ANSWER

A. Paying the last balance in full kept the grace period

Feedback (shown after answering)

Paying the full $640 previous balance kept the grace period.

Why each other choice is wrong (misconception it represents)

B: Contradicts the 22.99% APR
C: Invents a rule
D: Assumes an error

Type: instruction

MAIN — Read a credit card statement and decide how much to pay and when · Question 5 of 5

Learn: Federal law requires statements to show how long it would take to pay off the balance making only minimum payments, and the total cost, compared with a payment that pays it off in 3 years.

A statement's "minimum payment warning" says paying only the minimum will take 9 years and cost $2,100 in total on a $1,000 balance. What does this tell the cardholder?

A. The minimum payment is always the best choice
B. The remaining balance will be forgiven after 9 years
C. The minimum route costs far more and takes longer
D. The interest rate will drop to 0%

CORRECT ANSWER

C. The minimum route costs far more and takes longer

Feedback (shown after answering)

$2,100 total for a $1,000 balance means $1,100 in interest.

Why each other choice is wrong (misconception it represents)

A: Misreads the warning
B: Misreads the warning
D: Misreads the warning

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 1 of 5

Learn: The due date is the deadline for the payment. Paying after it can bring late fees and other consequences.

On a bill, what is the "due date"?

A. The deadline to make a payment
B. The date the purchase was made
C. The date the card expires
D. The day interest is waived forever

CORRECT ANSWER

A. The deadline to make a payment

Feedback (shown after answering)

The due date is the payment deadline.

Why each other choice is wrong (misconception it represents)

B: Confuses with transaction date
C: Confuses with expiration
D: Invents a meaning

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 2 of 5

Learn: The balance is the total owed. Paying the full balance clears the debt.

A bill shows a balance of $300 and a minimum payment of $25. Which payment pays it off?

A. $25
B. $275
C. $300
D. $325

CORRECT ANSWER

C. $300

Feedback (shown after answering)

Paying $300 clears the balance.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Pays only the minimum
B: Subtracts the minimum
D: Adds the minimum

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 3 of 5

Learn: The new balance (statement balance) is everything owed as of the closing date.

Which number on a statement is the total amount owed at closing?

A. The minimum payment due this month
B. The credit limit
C. The new (statement) balance
D. The APR

CORRECT ANSWER

C. The new (statement) balance

Feedback (shown after answering)

The statement balance is the total owed.

Why each other choice is wrong (misconception it represents)

A: Smallest required payment
B: Borrowing maximum
D: Interest rate

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 4 of 5

A $412.75 balance is paid with $100. What remains?

A. $100.00
B. $312.75
C. $412.75
D. $512.75

CORRECT ANSWER

B. $312.75

Feedback (shown after answering)

$412.75 − $100 = $312.75.

Recomputed independently by the build: 312.75

Why each other choice is wrong (misconception it represents)

A: Gives the payment
C: Ignores the payment
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 5 of 5

Why read every line of a card statement?

A. Because statements are entertainment
B. Because reading lowers the APR
C. Because the minimum payment changes once you read it
D. To catch errors, unauthorized charges, and fees

CORRECT ANSWER

D. To catch errors, unauthorized charges, and fees

Feedback (shown after answering)

Checking each charge catches mistakes and fraud early.

Why each other choice is wrong (misconception it represents)

A: Misreads the purpose
B: Invents an effect
C: Invents an effect

Type: knowledge check · practical how-to

GO DEEPER 1 — Disputing a credit card billing error · Question 1 of 5

Learn: The Fair Credit Billing Act lets you dispute billing errors on credit card statements, such as charges for goods not received, returned items not credited, or wrong amounts. Send a written dispute within 60 days after the statement with the error was sent.

Ana sees a $59 charge on her card statement for an item she returned. Under the Fair Credit Billing Act, how long does she generally have to dispute it in writing?

A. 60 days after the statement was sent
B. Within 2 business days after the purchase
C. 1 year after the purchase
D. There is no time limit

CORRECT ANSWER

A. 60 days after the statement was sent

Feedback (shown after answering)

Write to the issuer within 60 days after the statement with the error was sent.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

B: Uses a debit-card lost-card rule
C: Too long
D: Ignores the deadline

Type: instruction · rule as of FCBA as of 2026

GO DEEPER 1 — Disputing a credit card billing error · Question 2 of 5

Learn: During a billing dispute, you can withhold payment of the disputed amount (and related charges) but must pay the undisputed part of the bill.

While Ana's $59 billing dispute is investigated, what must she pay?

A. Nothing at all on the whole account until it is settled
B. The disputed $59 first
C. A $59 dispute fee
D. The rest of the bill, but not the disputed $59

CORRECT ANSWER

D. The rest of the bill, but not the disputed $59

Feedback (shown after answering)

She pays undisputed amounts; the disputed charge is on hold during the investigation.

Why each other choice is wrong (misconception it represents)

A: Overstates the protection
B: Reverses the rule
C: Invents a fee

Type: instruction

GO DEEPER 1 — Disputing a credit card billing error · Question 3 of 5

Learn: Your statement lists where to send billing questions. A written dispute to that address protects your rights under the Fair Credit Billing Act.

Where should Ana send a billing-error dispute?

A. To the store's social media page
B. To the IRS
C. The issuer's billing-inquiries address
D. To the three credit bureaus, but not the issuer

CORRECT ANSWER

C. The issuer's billing-inquiries address

Feedback (shown after answering)

Written disputes go to the issuer's billing-inquiries address.

Why each other choice is wrong (misconception it represents)

A: Not a formal dispute
B: Wrong agency
D: Disputes billing with the issuer

Type: instruction · practical how-to

GO DEEPER 1 — Disputing a credit card billing error · Question 4 of 5

Which situation is a billing error Ana can dispute?

A. She regrets buying a jacket she wore
B. She forgot she made a purchase but did make it
C. She was charged twice for one purchase
D. She wishes the APR were lower

CORRECT ANSWER

C. She was charged twice for one purchase

Feedback (shown after answering)

Duplicate charges, wrong amounts, and items not delivered are billing errors.

Why each other choice is wrong (misconception it represents)

A: Buyer's remorse is not an error
B: Not an error
D: Not a billing error

Type: knowledge check

GO DEEPER 1 — Disputing a credit card billing error · Question 5 of 5

Learn: For unauthorized credit card charges, federal law caps your liability at $50. Many issuers offer $0 liability as a policy.

A fraudulent $300 charge appears on Ana's credit card. Under federal law, what is the most she can be held responsible for?

A. $300
B. $500
C. $0 in every case by law
D. $50

CORRECT ANSWER

D. $50

Feedback (shown after answering)

Federal law caps credit card liability for unauthorized charges at $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Ignores the cap
B: Uses a debit card limit
C: Confuses voluntary policies with law

Type: instruction

GO DEEPER 2 — Statement dates and payment timing · Question 1 of 5

Learn: The closing date ends a billing cycle. Purchases after the closing date appear on the next statement.

A statement closes May 20, and payment is due June 15. Rosa makes a $200 purchase on May 22. On which statement will it first appear?

A. The statement that closes June 20
B. The statement that closed May 20
C. It will never appear
D. A separate bill mailed the next day

CORRECT ANSWER

A. The statement that closes June 20

Feedback (shown after answering)

Purchases after May 20 go on the next cycle's statement.

Why each other choice is wrong (misconception it represents)

B: Purchase came after closing
C: Misunderstands
D: Invents a process

Type: instruction

GO DEEPER 2 — Statement dates and payment timing · Question 2 of 5

Learn: The legal minimum time between mailing a statement and its due date is 21 days.

How many days are there from a May 20 closing date to a June 15 due date?

A. 26 days
B. 21 days
C. 15 days
D. 31 days

CORRECT ANSWER

A. 26 days

Feedback (shown after answering)

11 days left in May (21–31) + 15 days in June = 26 days.

Recomputed independently by the build: 26

Why each other choice is wrong (misconception it represents)

B: Uses the legal minimum
C: Subtracts the dates incorrectly
D: Counts a whole month

Type: instruction

GO DEEPER 2 — Statement dates and payment timing · Question 3 of 5

Learn: A payment counts when the issuer receives it. Paying a few days early avoids late fees from processing delays.

Rosa's payment is due June 15. Her bank says online payments take 1–2 business days to arrive. When should she pay to be safe?

A. On June 16
B. Exactly at 11:59 p.m. on June 15, the last minute
C. Any time in June
D. A few business days before June 15

CORRECT ANSWER

D. A few business days before June 15

Feedback (shown after answering)

Paying a few business days early makes sure it arrives on time.

Why each other choice is wrong (misconception it represents)

A: Late
B: Risky
C: May be late

Type: instruction · practical how-to

GO DEEPER 2 — Statement dates and payment timing · Question 4 of 5

Learn: Most card issuers let you set autopay for the minimum, a fixed amount, or the full statement balance. Autopay lowers the risk of a late payment, but it still depends on enough money in the account and the payment going through, so check statements each month.

Leo has enough money in checking each month and wants the best chance of never paying a late fee or purchase interest. Which autopay setting fits best?

A. Autopay for the minimum payment only, every month
B. Autopay for $10 a month
C. Autopay for the full statement balance
D. No autopay, paying when remembered

CORRECT ANSWER

C. Autopay for the full statement balance

Feedback (shown after answering)

Autopaying the full statement balance, with enough money in the account, avoids late fees and keeps the purchase grace period. Still watch for a failed payment.

Why each other choice is wrong (misconception it represents)

A: Avoids late fees but not interest
B: May be below the minimum
D: Risks late payments

Type: instruction · practical how-to

GO DEEPER 2 — Statement dates and payment timing · Question 5 of 5

Learn: The grace period on new purchases usually applies only when the previous statement balance was paid in full.

If Rosa pays $300 toward a $412.75 statement balance, what happens to the grace period on new purchases?

A. It stays the same, since she paid more than the minimum
B. It doubles
C. It applies only to purchases over $100
D. It is usually lost until she pays a full balance again

CORRECT ANSWER

D. It is usually lost until she pays a full balance again

Feedback (shown after answering)

Carrying any balance usually ends the grace period, so new purchases can start accruing interest.

Why each other choice is wrong (misconception it represents)

A: Misunderstands the grace period
B: Invents a rule
C: Invents a rule

Type: instruction

SET 37 · Credit Cards and Credit Scores

How credit card interest is calculated

MAIN skill: Calculate credit card interest using the daily periodic rate and the average daily balance

Outcome FL.CREDIT.37 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Calculate credit card interest and explain how payment timing affects it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Weighted averages and daily rates (5 questions)
  Why: Average daily balance is a weighted average; students who average only the listed balances get it wrong.
- B2 · Math link → G6-S77-M (Grade 6 6.SP.B.5.c): Find the mean of a data set
  Why: Average daily balance is a (weighted) mean of daily balances.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: The daily periodic rate divides the APR by 365.
- B4 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Interest multiplies the ADB, the daily rate, and the days.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Interest on a carried balance, month after month (5 questions)
- Go Deeper 2: How payments are applied to different APRs (5 questions)

Practical skills beyond the standards: Average daily balance calculation

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 D, F1-Q4 C, F1-Q5 C, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 B, F2-Q5 C

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 1 of 5

Learn: Most credit cards charge interest using a daily periodic rate (DPR): DPR = APR ÷ 365. Interest for a billing cycle ≈ average daily balance × DPR × number of days in the cycle.

A card has a 21.9% APR. What is the daily periodic rate (APR ÷ 365) as a percent?

A. 0.06%
B. 0.6%
C. 1.825%
D. 21.9%

CORRECT ANSWER

A. 0.06%

Feedback (shown after answering)

21.9% ÷ 365 = 0.06% per day.

Recomputed independently by the build: 0.06

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses the monthly rate
D: Uses the APR

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 2 of 5

Learn: The average daily balance (ADB) is the sum of each day's balance divided by the number of days in the cycle. When balances last different numbers of days, weight each balance by its days.

In a 30-day cycle, a card balance is $500 for 10 days, $800 for 10 days (after a $300 purchase), and $600 for 10 days (after a $200 payment). What is the average daily balance?

A. $600.00
B. $633.33
C. $650.00
D. $1,900.00

CORRECT ANSWER

B. $633.33

Feedback (shown after answering)

(500 × 10 + 800 × 10 + 600 × 10) ÷ 30 = 19,000 ÷ 30 ≈ $633.33.

Recomputed independently by the build: 633.333333

Why each other choice is wrong (misconception it represents)

A: Uses the ending balance
C: Averages the three balances as if weighted equally by events
D: Adds the balances

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 3 of 5

Learn: Interest for a billing cycle = average daily balance × (APR ÷ 365) × days in the cycle.

Using an average daily balance of $633.33, a 21.9% APR, and a 30-day cycle, what is the interest charge (nearest cent)?

A. $0.38
B. $11.40
C. $11.56
D. $138.70

CORRECT ANSWER

B. $11.40

Feedback (shown after answering)

633.33 × (0.219 ÷ 365) × 30 ≈ $11.40.

Recomputed independently by the build: 11.399994

Why each other choice is wrong (misconception it represents)

A: Uses one day
C: Uses 360 days instead of 365
D: Uses the full APR for a month

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 4 of 5

Learn: With the average daily balance method, the balance on every day of the cycle counts, so the timing of payments and purchases matters.

A card figures interest on the average daily balance. In a 30-day cycle, Ivy carries a balance and makes a $200 payment. How would paying on day 11 instead of day 21 change that cycle's interest?

A. Lower it, because the balance is lower for more days
B. Raise it, because payments add interest
C. No change at all, because only the ending balance matters
D. Double it

CORRECT ANSWER

A. Lower it, because the balance is lower for more days

Feedback (shown after answering)

An earlier payment lowers the balance for 10 more days, lowering the average daily balance and the interest.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Ignores the average daily balance
D: Invents an effect

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 5 of 5

Which choice is the daily periodic rate for a 18.25% APR card?

A. 0.05%
B. 0.5%
C. 1.52%
D. 18.25%

CORRECT ANSWER

A. 0.05%

Feedback (shown after answering)

18.25% ÷ 365 = 0.05% per day.
Recomputed independently by the build: 0.05

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses the monthly rate
D: Uses the APR

Type: knowledge check

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 1 of 5

Learn: A weighted average multiplies each value by how long it lasts, adds, then divides by the total time.

A balance is $100 for 20 days and $400 for 10 days. Which calculation gives the average daily balance over 30 days?

A. (100 + 400) ÷ 2
B. (100 + 400) ÷ 30
C. (100 × 20 + 400 × 10) ÷ 30
D. 100 × 20 + 400 × 10

CORRECT ANSWER

C. (100 × 20 + 400 × 10) ÷ 30

Feedback (shown after answering)

Weight by days: (2,000 + 4,000) ÷ 30 = $200.

Why each other choice is wrong (misconception it represents)

A: Ignores days
B: Ignores days
D: Forgets to divide

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 2 of 5

Learn: Average daily balance = (balance × days, added for each period) ÷ total days.

What is the average daily balance in that example (a balance of $100 for 20 days and $400 for 10 days)?

A. $16.67
B. $200
C. $250
D. $6,000

CORRECT ANSWER

B. $200

Feedback (shown after answering)

6,000 ÷ 30 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Divides by 360
C: Simple average
D: Forgets to divide

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 3 of 5

Learn: Daily rate = APR ÷ 365.

An APR of 36.5% is how much per day (APR ÷ 365)?

A. 0.1%
B. 1%
C. 3.04%
D. 36.5%

CORRECT ANSWER

A. 0.1%

Feedback (shown after answering)

36.5% ÷ 365 = 0.1%.

Recomputed independently by the build: 0.1

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses monthly
D: Uses the APR

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 4 of 5

Learn: Interest = balance × daily rate × days.

A balance of $1,000 at 0.1% per day for 30 days earns about how much interest (simple)?

A. $1
B. $3
C. $30
D. $300

CORRECT ANSWER

C. $30

Feedback (shown after answering)

$1,000 × 0.001 × 30 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Uses one day
B: Misplaces the decimal
D: Uses 1%

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 5 of 5

Which lowers a cycle's interest the MOST, if the amount is the same?

A. Paying early in the cycle
B. Paying on the last day of the cycle
C. Making purchases early in the cycle
D. Paying after the due date

CORRECT ANSWER

A. Paying early in the cycle

Feedback (shown after answering)

Earlier payments reduce the balance for more days.

Why each other choice is wrong (misconception it represents)

B: Less effect
C: Raises ADB
D: Adds fees

Type: knowledge check

GO DEEPER 1 — Interest on a carried balance, month after month · Question 1 of 5

Learn: When a balance is carried and not paid, interest is added to the balance, and next month interest is charged on the larger balance (compounding).

Ivy carries $1,000 at 24% APR and makes no payments or purchases. About how much interest is added after one month (APR ÷ 12)?

A. $2
B. $20
C. $24
D. $240

CORRECT ANSWER

B. $20

Feedback (shown after answering)

$1,000 × 0.02 = $20, making the balance $1,020.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the APR as dollars
D: Uses a full year

Type: instruction

GO DEEPER 1 — Interest on a carried balance, month after month · Question 2 of 5

Learn: With monthly compounding, each month's interest is figured on the balance including earlier interest.

Ivy carries $1,000 at 2% per month with no payments or purchases. What is the balance after two months of compounding?

A. $1,020.00
B. $1,040.00
C. $1,040.40
D. $1,480.00

CORRECT ANSWER

C. $1,040.40

Feedback (shown after answering)

$1,000 × 1.02^2 = $1,040.40.

Recomputed independently by the build: 1040.4

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses simple interest
D: Uses 24% per month

Type: instruction

GO DEEPER 1 — Interest on a carried balance, month after month · Question 3 of 5

After 12 months at 2% per month with no payments, what is a $1,000 balance (nearest cent)?

A. $1,024.00
B. $1,200.00
C. $1,240.00
D. $1,268.24

CORRECT ANSWER

D. $1,268.24

Feedback (shown after answering)

$1,000 × 1.02^12 ≈ $1,268.24.

Recomputed independently by the build: 1268.241795

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
B: Uses 20%
C: Uses simple interest

Type: knowledge check

GO DEEPER 1 — Interest on a carried balance, month after month · Question 4 of 5

Learn: Effective annual rate = (1 + monthly rate)^12 − 1.

What effective annual rate does 2% per month compounded produce (nearest tenth of a percent)?

A. 2.0%
B. 24.0%
C. 26.8%
D. 28.0%

CORRECT ANSWER

C. 26.8%

Feedback (shown after answering)

1.02^12 − 1 ≈ 0.2682 → 26.8%.

Recomputed independently by the build: 26.824179

Why each other choice is wrong (misconception it represents)

A: Uses the monthly rate
B: Uses the APR
D: Arithmetic error

Type: instruction

GO DEEPER 1 — Interest on a carried balance, month after month · Question 5 of 5

Why does a carried credit card balance grow even without new purchases?

A. Card issuers add a monthly bonus
B. The credit limit grows
C. Interest is added and then charged interest itself
D. The APR rises a little every month under federal law

CORRECT ANSWER

C. Interest is added and then charged interest itself

Feedback (shown after answering)

Unpaid interest becomes part of the balance and earns more interest.

Why each other choice is wrong (misconception it represents)

A: Reverses who benefits
B: Confuses limit with balance
D: Invents a rule

Type: knowledge check

GO DEEPER 2 — How payments are applied to different APRs · Question 1 of 5

Learn: When a card has balances with different APRs, the Credit CARD Act requires issuers to apply payments above the minimum to the balance with the highest APR first. The minimum itself can be applied however the issuer chooses.

A card has $1,000 at a 0% promotional APR and $500 at a 22% purchase APR. Ella pays $300, of which $40 is the minimum. Under federal rules, where must the amount ABOVE the minimum go?

A. To the 0% balance first
B. Split evenly between both
C. To fees only
D. To the 22% balance first

CORRECT ANSWER

D. To the 22% balance first

Feedback (shown after answering)

The $260 above the minimum goes to the higher-APR balance first.

Why each other choice is wrong (misconception it represents)

A: Reverses the rule
B: Invents a rule
C: Misunderstands

Type: instruction

GO DEEPER 2 — How payments are applied to different APRs · Question 2 of 5

Learn: The issuer may apply the minimum payment as it chooses, but payments above the minimum must be applied to the highest-APR balance first (with some exceptions for deferred-interest balances near their end date).

Ella's card has $1,000 at a 0% promotional APR and $500 at a 22% purchase APR. She pays $300; her minimum payment is $40. Federal rules say any amount above the minimum must go to the highest-APR balance first. At least how much of her payment goes toward the 22% balance?

A. $40
B. $150
C. $260
D. $300

CORRECT ANSWER

C. $260

Feedback (shown after answering)

$300 − $40 = $260 must go to the highest-APR balance.

Recomputed independently by the build: 260

Why each other choice is wrong (misconception it represents)

A: Gives the minimum
B: Splits evenly
D: Ignores the minimum

Type: instruction

GO DEEPER 2 — How payments are applied to different APRs · Question 3 of 5

Why does this payment rule help cardholders?

A. It raises the promotional rate
B. It removes the minimum payment
C. It lets card issuers charge more interest on old balances
D. It reduces the most expensive balance first

CORRECT ANSWER

D. It reduces the most expensive balance first

Feedback (shown after answering)

Paying the highest-rate balance first lowers total interest.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
C: Reverses the effect

Type: knowledge check

GO DEEPER 2 — How payments are applied to different APRs · Question 4 of 5

Learn: Monthly interest on a carried balance ≈ balance × (APR ÷ 12).

Ella's $500 at 22% APR is paid off. About how much interest per month does that save compared with carrying it (APR ÷ 12)?

A. $0.92
B. $9.17
C. $22.00
D. $110.00

CORRECT ANSWER

B. $9.17

Feedback (shown after answering)

$500 × 0.22 ÷ 12 ≈ $9.17 per month.

Recomputed independently by the build: 9.166667

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the APR as dollars
D: Uses a full year

Type: instruction

GO DEEPER 2 — How payments are applied to different APRs · Question 5 of 5

Which balance should a cardholder target first with extra payments, if allowed to choose?

A. The newest balance
B. The balance that is oldest, regardless of rate
C. The highest-APR balance
D. The 0% balance

CORRECT ANSWER

C. The highest-APR balance

Feedback (shown after answering)

Highest APR first minimizes interest (the avalanche idea).

Why each other choice is wrong (misconception it represents)

A: Not necessarily costly
B: Ignores the cost of each balance
D: Costs nothing now

Type: knowledge check

SET 38 · Credit Cards and Credit Scores

The minimum payment trap

MAIN skill: Compare the cost of paying the minimum with paying more each month

Outcome FL.CREDIT.38 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain the cost of paying only the minimum and plan to repay credit card debt

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: A payment is split between interest and balance (5 questions)
  Why: The trap makes sense only when students see how little of a minimum payment reduces the balance.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  Why: Minimum payments combine percent, interest, and subtraction steps.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Minimums and interest are percents of the balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Building a payoff plan (5 questions)
- Go Deeper 2: Credit card statement detective (5 questions)

Practical skills beyond the standards: Building a fixed-payment payoff plan

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 A, B1-Q2 C, B1-Q3 C, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 C, F1-Q4 B, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 C

MAIN — Compare the cost of paying the minimum with paying more each month · Question 1 of 5

Learn: Many cards set the minimum payment as a small percent of the balance plus the month's interest, with a dollar floor such as $25. A small minimum keeps the account current but pays off the balance very slowly.

Kai owes $3,000 at 20% APR. His card's minimum payment is the greater of $25 or 1% of the balance plus that month's interest. What is his first minimum payment?

A. $25
B. $30
C. $50
D. $80

CORRECT ANSWER

D. $80

Feedback (shown after answering)

1% of $3,000 = $30; interest = $3,000 × 0.20 ÷ 12 = $50; $80 is more than $25, so the minimum is $80.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Uses only the dollar floor
B: Leaves out interest
C: Leaves out the 1%

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 2 of 5

Learn: Each payment first covers that month's interest; only the rest reduces the balance.

Of Kai's first $80 minimum payment on a $3,000 balance at 20% APR, how much actually reduces the balance?

A. $0
B. $30
C. $50
D. $80

CORRECT ANSWER

B. $30

Feedback (shown after answering)

$80 − $50 interest = $30 toward the balance.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Thinks minimums never reduce the balance
C: Gives the interest
D: Treats the whole payment as principal

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 3 of 5

Learn: Because minimum payments shrink as the balance shrinks (until they reach the dollar floor), paying only the minimum can take many years.

Kai owes $3,000 at 20% APR (interest figured monthly). His minimum is the greater of $25 or 1% of the balance plus that month's interest, and the last payment just clears the balance. Paying only the minimum, a computer model shows payoff takes 176 months and costs $6,983.44 in total. About how many years is that?

A. About 14.7 years
B. About 1.8 years
C. About 176 years
D. About 3 years

CORRECT ANSWER

A. About 14.7 years

Feedback (shown after answering)

176 ÷ 12 ≈ 14.7 years.

Recomputed independently by the build: 14.7

Why each other choice is wrong (misconception it represents)

B: Divides by 100
C: Uses months as years
D: Underestimates

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 4 of 5

Learn: Paying a fixed amount above the minimum shortens payoff time and cuts total interest dramatically.

Kai owes $3,000 at 20% APR (interest figured monthly). Paying only the minimum (the greater of $25 or 1% of the balance plus interest), he pays $6,983.44 in total. Paying a fixed $150 a month instead, he pays $3,679.82. How much interest does the $150 plan save?

A. $679.82
B. $3,000.00
C. $3,303.62
D. $3,983.44

CORRECT ANSWER

C. $3,303.62

Feedback (shown after answering)

$6,983.44 − $3,679.82 = $3,303.62 of interest saved (payoff in 25 months instead of 176).

Recomputed independently by the build: 3303.62

Why each other choice is wrong (misconception it represents)

A: Gives the $150-plan interest
B: Gives the balance
D: Gives the minimum-plan interest

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 5 of 5

Which statement about minimum payments is TRUE?

A. They avoid late fees but repay very slowly
B. They pay off the whole balance in about a year
C. They are the cheapest way to repay
D. They stop interest from being charged

CORRECT ANSWER

A. They avoid late fees but repay very slowly

Feedback (shown after answering)

Minimums keep the account current but stretch repayment out, which raises total interest.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Reverses
D: Misunderstands

Type: knowledge check

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 1 of 5

Learn: Each payment first covers the month's interest. The remainder reduces what you owe.

A $40 payment includes $25 of interest. How much goes to the balance?

A. $15
B. $25
C. $40
D. $65

CORRECT ANSWER

A. $15

Feedback (shown after answering)

$40 − $25 = $15.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

B: Gives interest
C: Ignores interest
D: Adds

Type: instruction

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 2 of 5

Learn: Monthly interest ≈ balance × APR ÷ 12.

A $2,000 balance at 18% APR. What is one month's interest (APR ÷ 12)?

A. $3
B. $18
C. $30
D. $360

CORRECT ANSWER

C. $30

Feedback (shown after answering)

$2,000 × 0.015 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses APR as dollars
D: Uses a full year

Type: instruction

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 3 of 5

Learn: Paying only the interest leaves the principal unchanged.

If the payment equals the month's interest exactly, what happens to the balance?

A. It goes to zero
B. It is cut in half
C. It stays the same
D. It doubles

CORRECT ANSWER

C. It stays the same

Feedback (shown after answering)

All of the payment goes to interest, so the balance does not fall.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 4 of 5

Which payment reduces a $1,000 balance the most if interest is $15 this month?

A. $15
B. $25
C. $50
D. $200

CORRECT ANSWER

D. $200

Feedback (shown after answering)

$200 − $15 = $185 toward principal, far more than the others.

Why each other choice is wrong (misconception it represents)

A: Interest only
B: Small
C: Smaller

Type: knowledge check

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 5 of 5

Why do small minimum payments make repayment slow?

A. The card issuer ignores payments below a set amount
B. Balances are not reduced by law
C. Minimums are paid to the store
D. Most of each payment goes to interest

CORRECT ANSWER

D. Most of each payment goes to interest

Feedback (shown after answering)

When interest takes most of the payment, little is left to reduce the balance.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Invents a rule
C: Misunderstands

Type: knowledge check

GO DEEPER 1 — Building a payoff plan · Question 1 of 5

Learn: A fixed payment that is higher than the minimum sets a clear payoff date. Small increases in the payment can save a lot of interest.

A computer model shows $3,000 at 20% APR is paid off in 42 months at $100 a month (total paid $4,193.50) or 25 months at $150 a month (total paid $3,679.82). How much more interest does the $100 plan cost than the $150 plan?

A. $50.00
B. $513.68
C. $679.82
D. $1,193.50

CORRECT ANSWER

B. $513.68

Feedback (shown after answering)

$4,193.50 − $3,679.82 = $513.68.

Recomputed independently by the build: 513.68

Why each other choice is wrong (misconception it represents)

A: Compares payments
C: Gives the $150-plan interest
D: Gives the $100-plan interest

Type: instruction

GO DEEPER 1 — Building a payoff plan · Question 2 of 5

Learn: At 0% interest, payment = balance ÷ months.

Kai wants to pay off $1,200 at 0% APR in 8 months. What fixed monthly payment does he need?

A. $100
B. $120
C. $150
D. $9,600

CORRECT ANSWER

C. $150

Feedback (shown after answering)

$1,200 ÷ 8 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

A: Uses 12 months
B: Uses 10 months
D: Multiplies

Type: instruction

GO DEEPER 1 — Building a payoff plan · Question 3 of 5

Which step should come with a payoff plan to keep the balance from growing again?

A. Raise the credit limit
B. Open another card
C. Stop adding new charges to the card
D. Pay late some months to keep more cash on hand

CORRECT ANSWER

C. Stop adding new charges to the card

Feedback (shown after answering)

A plan works only if new charges stop.

Why each other choice is wrong (misconception it represents)

A: Encourages more charges
B: Adds risk
D: Adds fees

Type: knowledge check · practical how-to

GO DEEPER 1 — Building a payoff plan · Question 4 of 5

Learn: Statements show the total cost of a 3-year payoff plan alongside the cost of paying only the minimum.

A card's statement shows: "If you pay $106 each month, you will pay off the balance in 3 years and pay $3,816." The balance is $3,000. What is the interest under the 3-year plan?

A. $106
B. $816
C. $3,000
D. $3,816

CORRECT ANSWER

B. $816

Feedback (shown after answering)

$3,816 − $3,000 = $816.

Recomputed independently by the build: 816

Why each other choice is wrong (misconception it represents)

A: Gives one payment
C: Gives the balance
D: Gives the total

Type: instruction

GO DEEPER 1 — Building a payoff plan · Question 5 of 5

What is a sensible first move for someone with a large card balance and a small emergency fund?

A. Keep a small cushion and pay well above the minimum
B. Pay only the minimum forever
C. Spend the cushion on wants
D. Skip card payments for a few months to build savings

CORRECT ANSWER

A. Keep a small cushion and pay well above the minimum

Feedback (shown after answering)

A small cushion prevents new debt while larger payments shrink the balance.

Why each other choice is wrong (misconception it represents)

B: Maximizes interest
C: Removes protection
D: Fees and damage

Type: knowledge check

GO DEEPER 2 — Credit card statement detective · Question 1 of 5

Learn: On a statement, the interest charge is the cost of carrying a balance from the last cycle.

A statement shows: Previous balance $1,000; Payment −$50; Purchases +$120; Interest +$19; New balance $1,089. Which line shows the cost of carrying a balance?

A. Purchases +$120
B. Payment −$50
C. Previous balance $1,000
D. Interest +$19

CORRECT ANSWER

D. Interest +$19

Feedback (shown after answering)

The $19 interest charge is the cost of carrying the balance.

Recomputed independently by the build: 19

Why each other choice is wrong (misconception it represents)

A: New spending
B: Payment
C: Old debt

Type: instruction

GO DEEPER 2 — Credit card statement detective · Question 2 of 5

Learn: New balance = previous balance − payments + purchases + fees + interest.

Check the statement: $1,000 − $50 + $120 + $19 = ?

A. $931
B. $1,069
C. $1,089
D. $1,189

CORRECT ANSWER

C. $1,089

Feedback (shown after answering)

$1,000 − $50 + $120 + $19 = $1,089.

Recomputed independently by the build: 1089

Why each other choice is wrong (misconception it represents)

A: Subtracts purchases
B: Leaves out interest
D: Adds the payment

Type: instruction

GO DEEPER 2 — Credit card statement detective · Question 3 of 5

Learn: A balance grows whenever new charges plus interest are larger than payments.

On a statement with a previous balance of $1,000, a $50 payment, and $120 of new purchases, the balance rose to $1,089. What does this show?

A. The card issuer made an error in adding up the balance
B. Payments increase balances
C. The APR must be 0%
D. Payments are smaller than new charges plus interest

CORRECT ANSWER

D. Payments are smaller than new charges plus interest

Feedback (shown after answering)

New charges ($120) plus interest ($19) exceeded the $50 payment.

Why each other choice is wrong (misconception it represents)

A: Assumes error
B: Reverses
C: Contradicts the interest line

Type: instruction

GO DEEPER 2 — Credit card statement detective · Question 4 of 5

Learn: Fees charged in error are billing errors that can be disputed with the card issuer.

A statement line reads "Late fee $30" though the payment was on time according to the bank's records. What should the cardholder do?

A. Call the issuer and, if needed, dispute it in writing
B. Pay it and ignore it
C. Stop paying the card entirely until the fee is removed
D. Report it to the IRS

CORRECT ANSWER

A. Call the issuer and, if needed, dispute it in writing

Feedback (shown after answering)

Fees charged in error can be disputed as billing errors.

Why each other choice is wrong (misconception it represents)

B: Accepts an error
C: Makes it worse
D: Wrong agency

Type: instruction · practical how-to

GO DEEPER 2 — Credit card statement detective · Question 5 of 5

Learn: Refunds appear as credits that lower the balance.

Which statement line would show money returned for an item Ana sent back?

A. A new purchase
B. Interest charged on the remaining balance
C. A credit, shown with a minus sign
D. A fee

CORRECT ANSWER

C. A credit, shown with a minus sign

Feedback (shown after answering)

Returns appear as credits (negative amounts) that reduce the balance.

Why each other choice is wrong (misconception it represents)

A: Adds to balance
B: Adds to balance
D: Adds to balance

Type: instruction

SET 39 · Credit Cards and Credit Scores

Card fees, balance transfers, and promotional offers

MAIN skill: Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Outcome FL.CREDIT.39 · National topic: Managing Credit · NJSLS 9.1.12: CDM
Learning target: Compare credit card fees and promotional offers

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent fees on balances (5 questions)
  Why: Card fees are mostly percents of an amount; computing them is the core skill.
- B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: Transfer, cash advance, and foreign transaction fees are percent fees.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Comparing a transfer requires interest over months and a fee.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Deferred interest versus a true 0% intro APR (5 questions)
- Go Deeper 2: Using a balance transfer wisely (5 questions)

Practical skills beyond the standards: Balance transfer decision; Recognizing deferred interest

Content status: time-sensitive
Source: CFPB (Understanding special promotional financing offers) — With deferred interest, if the promotional balance is not paid in full by the end of the period, interest is charged back to the purchase date.
https://www.consumerfinance.gov/archive/blog/how-understand-special-promotional-financing-offers-credit-cards/

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 D, M-Q4 A, M-Q5 B, B1-Q1 B, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 D, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 A, F1-Q5 D, F2-Q1 B, F2-Q2 B, F2-Q3 C, F2-Q4 D, F2-Q5 C

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 1 of 5

Learn: A balance transfer moves debt from one card to another, often to get a low promotional APR. Most transfers charge a fee, commonly 3% to 5% of the amount moved. The low rate lasts only for the promotional period.

Nia moves a $4,000 balance at 22% APR to a new card with 0% APR for 15 months and a 3% balance transfer fee. What is the fee?

A. $12
B. $120
C. $880
D. $1,200

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$4,000 × 0.03 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 22%
D: Uses 30%

Type: instruction

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 2 of 5

Learn: Compare the cost of staying with the cost of transferring: interest avoided minus the transfer fee. Holding the balance constant gives only a rough estimate; if she pays it down, the interest avoided is smaller.

Rough estimate: leaving $4,000 at 22% APR for 15 months, assuming the balance stayed at $4,000, would cost about $1,100 in interest. A transfer costs a $120 fee at 0% APR. About how much does the transfer save if Nia pays it off within 15 months?

A. $120
B. $980
C. $1,100
D. $1,220

CORRECT ANSWER

B. $980

Feedback (shown after answering)

$1,100 − $120 = $980 saved (rough), if the balance is paid off during the 0% period.

Recomputed independently by the build: 980

Why each other choice is wrong (misconception it represents)

A: Gives the fee
C: Ignores the fee
D: Adds the fee

Type: instruction

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 3 of 5

Learn: A genuine introductory 0% APR charges no interest during the promotion. After it ends, the remaining balance is charged the regular APR going forward.

Nia's 0% transfer period ends in 15 months. What happens to any balance left after that?

A. It is forgiven by the card issuer
B. It stays at 0% forever
C. It moves back to the old card automatically at its old rate
D. It starts being charged the card's regular APR

CORRECT ANSWER

D. It starts being charged the card's regular APR

Feedback (shown after answering)

Remaining balances start accruing interest at the regular rate after the promotion.

Why each other choice is wrong (misconception it represents)

A: Invents forgiveness
B: Ignores the end of the promotion
C: Invents a process

Type: instruction

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 4 of 5

Learn: Deferred interest is different from a true 0% APR. Interest builds up in the background from the purchase date. If the full promotional balance is not paid by the deadline, all of that interest can be charged at once.

A store card says "No interest if paid in full within 12 months" on a $1,200 TV. This is deferred interest. Ana pays $1,190 by the deadline. What happens?

A. She can owe all interest since the purchase date
B. She pays interest only on the remaining $10
C. Nothing is charged, since she paid almost all of it
D. The store refunds her payments

CORRECT ANSWER

A. She can owe all interest since the purchase date

Feedback (shown after answering)

Missing full payoff by even $10 can trigger interest back to the purchase date.

Why each other choice is wrong (misconception it represents)

B: Treats it like a true 0% APR
C: Ignores the all-or-nothing rule
D: Invents a refund

Type: instruction

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 5 of 5

Learn: Some cards charge a foreign transaction fee, often about 3%, on purchases made in another currency or processed abroad. Other cards charge none.

Lin uses her card abroad and spends $2,500. Her card charges a 3% foreign transaction fee. How much is the fee?

A. $7.50
B. $75
C. $750
D. $2,575

CORRECT ANSWER

B. $75

Feedback (shown after answering)

$2,500 × 0.03 = $75.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 1 of 5

Learn: A percent fee = amount × rate (as a decimal).

A fee is 4% of $500. What is the fee?

A. $2
B. $20
C. $200
D. $520

CORRECT ANSWER

B. $20

Feedback (shown after answering)

$500 × 0.04 = $20.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
C: Uses 40%
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 2 of 5

Learn: Common card fees: annual fee (yearly), late fee (late payment), cash advance fee, balance transfer fee, and foreign transaction fee.

Which is a one-time fee charged when moving a balance from one card to another?

A. An annual membership fee
B. A late fee
C. A balance transfer fee
D. Interest

CORRECT ANSWER

C. A balance transfer fee

Feedback (shown after answering)

A balance transfer fee is charged when a balance is moved.

Why each other choice is wrong (misconception it represents)

A: Charged yearly
B: Charged for late payment
D: Charged over time

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 3 of 5

Learn: To compare a yearly fee with monthly costs, divide by 12.

A card has a $95 annual fee. About how much is that per month?

A. $7.92
B. $9.50
C. $95.00
D. $1,140.00

CORRECT ANSWER

A. $7.92

Feedback (shown after answering)

$95 ÷ 12 ≈ $7.92.

Recomputed independently by the build: 7.916667

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Treats it as monthly
D: Multiplies by 12

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 4 of 5

Learn: A 0% introductory APR means no interest during the promotion. Minimum payments are still required each month.

What does "0% APR for 12 months" mean on a new card?

A. No payments of any kind are required for 12 months
B. The card has no fees ever
C. No interest on qualifying balances for 12 months
D. Interest is charged only after 12 years

CORRECT ANSWER

C. No interest on qualifying balances for 12 months

Feedback (shown after answering)

Minimum payments are still required; only the interest is 0%.

Why each other choice is wrong (misconception it represents)

A: Confuses 0% interest with no payments
B: Overgeneralizes
D: Misreads months

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 5 of 5

Learn: Foreign transaction fees can apply without leaving the country: an online purchase from a foreign merchant or in a foreign currency can trigger one.

Which fees would a cardholder most likely avoid if she always pays on time and makes no purchases in foreign currency or processed by foreign merchants (in person or online)?

A. Every fee, including the annual fee
B. Interest on balances carried over
C. Balance transfer fees when transferring
D. Late fees and foreign transaction fees

CORRECT ANSWER

D. Late fees and foreign transaction fees

Feedback (shown after answering)

Paying on time avoids late fees; avoiding foreign-currency or foreign-processed purchases avoids foreign transaction fees.

Why each other choice is wrong (misconception it represents)

A: Annual fees still apply
B: Depends on paying in full
C: Applies when transferring

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 1 of 5

Learn: True 0% APR: interest starts only on what remains after the promotion ends. Deferred interest: interest builds from the purchase date and is charged in full if any promotional balance remains at the deadline.

Card X offers a true 0% intro APR for 12 months. Card Y offers deferred interest for 12 months at 26.99%. Both have $1,200 purchases and $100 left at month 12. Which statement is TRUE?

A. Only Card Y can charge a year of back interest
B. Both charge the same interest
C. Card Y charges less because its rate is deferred
D. Neither charges any interest ever

CORRECT ANSWER

A. Only Card Y can charge a year of back interest

Feedback (shown after answering)

True 0% never charges back interest; deferred interest does.

Why each other choice is wrong (misconception it represents)

B: Ignores the difference
C: Reverses
D: Ignores both rules

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 2 of 5

Learn: Deferred interest is all-or-nothing: if any promotional balance remains at the deadline, all the accrued interest can be added.

Ana's deferred-interest statements show $230 of "accrued interest" building over 12 months. She leaves $10 unpaid at the deadline. How much interest is likely added?

A. $0
B. $2.70
C. $10
D. $230

CORRECT ANSWER

D. $230

Feedback (shown after answering)

All of the deferred interest can be charged when any promotional balance remains.

Recomputed independently by the build: 230

Why each other choice is wrong (misconception it represents)

A: Ignores the all-or-nothing rule
B: Charges interest only on $10
C: Confuses balance with interest

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 3 of 5

Learn: With deferred interest, minimum payments are often too small to pay the promotional balance in time. Divide the balance by the months available.

To avoid deferred interest on a $1,200 purchase over 12 months, what monthly amount pays it off in time?

A. $25
B. $100
C. $120
D. $1,200

CORRECT ANSWER

B. $100

Feedback (shown after answering)

$1,200 ÷ 12 = $100 a month.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses a typical minimum
C: Uses 10 months
D: Pays all at once

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 4 of 5

Learn: "If paid in full" wording usually means deferred interest. "0% intro APR" usually means interest-free during the period.

Which phrase in an ad signals DEFERRED interest rather than a true 0% APR?

A. "No interest if paid in full within 12 months"
B. "0% intro APR on purchases for 12 months"
C. "Regular APR 21.99%"
D. "No annual fee"

CORRECT ANSWER

A. "No interest if paid in full within 12 months"

Feedback (shown after answering)

"If paid in full" is the hallmark of deferred interest.

Why each other choice is wrong (misconception it represents)

B: True 0% language
C: Describes the standard rate
D: About fees

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 5 of 5

Learn: Minimum payments are set as a small share of the balance, not as the amount needed to pay off a promotional balance by its deadline.

Why are minimum payments on deferred-interest plans risky?

A. They pay off the promo balance before the end date
B. They cancel the promotion as soon as one is made
C. They stop interest from ever being charged
D. They may not clear the promo balance in time

CORRECT ANSWER

D. They may not clear the promo balance in time

Feedback (shown after answering)

A small minimum can leave a balance at the deadline, triggering all the back interest.

Why each other choice is wrong (misconception it represents)

A: Assumes minimum payments are timed to the promotion
B: Misreads promotional terms
C: Believes paying something prevents deferred interest

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 1 of 5

Learn: To finish during the promotion: monthly payment = total to repay ÷ months in the promotion.

Nia must pay off $4,120 (balance plus fee) during a 15-month 0% period. What monthly payment does that require (nearest cent)?

A. $266.67
B. $274.67
C. $343.33
D. $412.00

CORRECT ANSWER

B. $274.67

Feedback (shown after answering)

$4,120 ÷ 15 ≈ $274.67.

Recomputed independently by the build: 274.666667

Why each other choice is wrong (misconception it represents)

A: Leaves out the fee
C: Uses 12 months
D: Uses 10 months

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 2 of 5

Learn: At 0% APR, the balance falls by exactly the amount paid.

If Nia pays only $150 a month on the $4,120 during the 15-month 0% period, how much remains when the promotion ends?

A. $0
B. $1,870
C. $2,250
D. $3,970

CORRECT ANSWER

B. $1,870

Feedback (shown after answering)

$4,120 − 15 × $150 = $4,120 − $2,250 = $1,870.

Recomputed independently by the build: 1870

Why each other choice is wrong (misconception it represents)

A: Assumes payoff
C: Gives total paid
D: Counts one payment

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 3 of 5

Learn: A balance transfer only helps if the debt shrinks. New spending can rebuild the old balance while the transferred one is being paid.

Which habit can undo the benefit of a balance transfer?

A. Paying more than the minimum
B. Setting up autopay
C. Running up new charges on the old card
D. Tracking the date the promotion ends each month

CORRECT ANSWER

C. Running up new charges on the old card

Feedback (shown after answering)

New charges can leave two balances instead of one.

Why each other choice is wrong (misconception it represents)

A: Helps
B: Helps
D: Helps

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 4 of 5

Learn: Compare the interest avoided during the promotion with the transfer fee. A constant balance gives only a rough comparison.

A transfer offer: 0% for 6 months, 5% fee. Debt: $2,000 at 18% APR. Rough estimate, assuming the balance stays at $2,000: about how much would 6 months at 18% cost (simple), and is the transfer worth it?

A. About $360 vs $100; never worth it
B. About $18 vs $100; always worth it
C. About $180 vs $10; worth it
D. About $180 in interest vs a $100 fee; worth it if paid off in 6 months

CORRECT ANSWER

D. About $180 in interest vs a $100 fee; worth it if paid off in 6 months

Feedback (shown after answering)

$2,000 × 0.18 × 0.5 = $180 vs 5% × $2,000 = $100: saves about $80, if paid off in time.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Uses a year; wrong conclusion
B: Misplaces the decimal
C: Miscomputes the fee

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 5 of 5

Learn: Three numbers decide whether a transfer saves money: the transfer fee, how long the promotional rate lasts, and the rate afterward.

Which fact should Nia check BEFORE transferring?

A. Only the new card's credit limit
B. Only the rewards points
C. The fee, promo length, and later APR
D. Only whether the new card has an annual fee

CORRECT ANSWER

C. The fee, promo length, and later APR

Feedback (shown after answering)

Those three numbers decide whether a transfer saves money.

Why each other choice is wrong (misconception it represents)

A: Ignores fees and later APR
B: Misses costs
D: Misses the transfer fee and promo length

Type: instruction · practical how-to

SET 40 · Credit Cards and Credit Scores

Credit reports

MAIN skill: Explain what credit reports contain, get free reports, and dispute errors

Outcome FL.CREDIT.40 · National topic: Managing Credit · NJSLS 9.1.12: CP, FI

Learning target: Explain credit reports, consumers' rights to access and correct them, and identity protection

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: What "credit history" means (5 questions)

Why: Credit reports make sense once students see them as a record of borrowing behavior.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Reading a credit report line by line (5 questions)

Go Deeper 2: Freezes, fraud alerts, and identity protection (5 questions)

Practical skills beyond the standards: Getting free credit reports; Placing and lifting a credit freeze

Content status: time-sensitive

Source: AnnualCreditReport.com (authorized by federal law) / FTC — Consumers can get free credit reports from Equifax, Experian, and TransUnion; free weekly reports have been made permanent. https://www.annualcreditreport.com

Source: FTC — Credit freezes are free at each of the three nationwide credit bureaus. https://consumer.ftc.gov/articles/what-know-about-credit-freezes-fraud-alerts

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 C, B1-Q2 D, B1-Q3 D, B1-Q4 A, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 C, F1-Q4 A, F1-Q5 D, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 D

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 1 of 5

Learn: A credit report is a record of how you have used credit: accounts, balances, payment history, and some collections. Three nationwide credit bureaus (consumer reporting agencies) keep reports: Equifax, Experian, and TransUnion.

Which company is one of the three nationwide credit bureaus?

A. Experian
B. The Federal Reserve
C. The IRS
D. Visa

CORRECT ANSWER

A. Experian

Feedback (shown after answering)

Equifax, Experian, and TransUnion are the three nationwide credit bureaus.

Why each other choice is wrong (misconception it represents)

B: Central bank, not a bureau
C: Tax agency
D: Payment network

Type: instruction

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 2 of 5

Learn: Federal law gives you free credit reports. The official site is AnnualCreditReport.com, where free reports from all three bureaus are available (weekly, under a permanent program).

Where can Jordan get free credit reports from all three bureaus?

A. Any website that advertises "free credit score"
B. The bank where Jordan opened checking
C. The IRS website
D. AnnualCreditReport.com

CORRECT ANSWER

D. AnnualCreditReport.com

Feedback (shown after answering)

AnnualCreditReport.com is the official free source.

Why each other choice is wrong (misconception it represents)

A: May sell products
B: Not the official source
C: Wrong agency

Type: instruction · practical how-to

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 3 of 5

Learn: Credit reports show identifying information, credit accounts (cards, loans), balances, credit limits, payment history, inquiries, and certain collections. They do not include income, bank balances, race, religion, or medical details.

Which item is generally on a credit report?

A. Whether card payments were on time
B. Your income and salary
C. Your race or religion
D. Your bank account balances

CORRECT ANSWER

A. Whether card payments were on time

Feedback (shown after answering)

Payment history on credit accounts is a core part of credit reports.

Why each other choice is wrong (misconception it represents)

B: Not usually reported
C: Not allowed
D: Not on credit reports

Type: instruction

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 4 of 5

Learn: If a report has an error, you can dispute it with the credit bureau (and the company that reported it). The bureau generally must investigate, usually within 30 days. An account you never opened can be a sign of identity theft.

Jordan's report lists a credit card she never opened. What should she do?

A. Ignore it, since reports are always correct
B. Pay off the card to make it go away
C. Dispute it and check for identity theft
D. Ignore it if her score still looks fine

CORRECT ANSWER

C. Dispute it and check for identity theft

Feedback (shown after answering)

Disputing errors is free; an unknown account may mean identity theft.

Why each other choice is wrong (misconception it represents)

A: Assumes accuracy
B: Pays a debt that is not hers
D: Lets fraud continue

Type: instruction · practical how-to

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 5 of 5

Learn: Under the Fair Credit Reporting Act, only those with a "permissible purpose" can see your report: lenders, insurers, landlords, and employers (with your written permission), among others.

Who may legally see Jordan's credit report?

A. A lender reviewing her application
B. Any curious neighbor who wants to know
C. A classmate who asks
D. A social media follower

CORRECT ANSWER

A. A lender reviewing her application

Feedback (shown after answering)

Lenders evaluating applications have a permissible purpose.

Why each other choice is wrong (misconception it represents)

B: No permissible purpose
C: No permissible purpose
D: No permissible purpose

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 1 of 5

Learn: Your credit history shows how you have handled borrowing: which accounts you have, how much you owe, and whether you paid on time.

What is a credit history?

A. A list of every purchase a person has made with cash
B. A list of a person's bank account balances
C. A record of how a person has borrowed and repaid
D. A record of a person's income each year

CORRECT ANSWER

C. A record of how a person has borrowed and repaid

Feedback (shown after answering)

Credit history tracks borrowing and repayment.

Why each other choice is wrong (misconception it represents)

A: Not tracked
B: Confuses credit history with bank balances
D: Credit reports do not list income

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 2 of 5

Learn: Credit accounts such as loans and credit cards are reported to credit bureaus. Cash and debit purchases usually are not.

Which activity adds to a person's credit history?

A. Paying cash for groceries
B. Using a debit card
C. Saving money in a piggy bank
D. Repaying a car loan on time

CORRECT ANSWER

D. Repaying a car loan on time

Feedback (shown after answering)

Loans and credit cards build credit history.

Why each other choice is wrong (misconception it represents)

A: Not reported
B: Usually not reported
C: Not reported

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 3 of 5

Learn: Past repayment behavior helps lenders estimate the risk that a borrower will not repay.

Why do lenders look at credit history?

A. To learn which stores a borrower likes best
B. To set the borrower's salary
C. To decide the borrower's taxes
D. To predict whether a borrower will repay

CORRECT ANSWER

D. To predict whether a borrower will repay

Feedback (shown after answering)

Past repayment helps predict future repayment.

Why each other choice is wrong (misconception it represents)

A: Not the purpose
B: Not the purpose
C: Not the purpose

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 4 of 5

Learn: People with few or no credit accounts have "thin" files, which makes it harder for lenders to judge them.

A student with no loans or cards applies for credit. What problem might she face?

A. A "thin" credit file with little history to judge
B. Her report will show many late payments from the past
C. She will be approved for any amount
D. She has a perfect score by default

CORRECT ANSWER

A. A "thin" credit file with little history to judge

Feedback (shown after answering)

No history makes approval harder, not easier.

Why each other choice is wrong (misconception it represents)

B: No accounts, no late payments
C: Overstates
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 5 of 5

Learn: Credit history can affect renting an apartment, insurance prices in many states, and some job applications (with written permission).

Besides lenders, who else may check credit history (with permission when required)?

A. Movie theaters
B. Grocery store cashiers at checkout
C. Landlords and insurers
D. Classmates

CORRECT ANSWER

C. Landlords and insurers

Feedback (shown after answering)

Landlords and insurers may review credit information for permissible purposes.

Why each other choice is wrong (misconception it represents)

A: No purpose
B: No purpose
D: No purpose

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 1 of 5

Learn: Credit report account lines show the creditor, limit or loan amount, balance, and payment status by month. Late payments are usually reported once they are 30 or more days past due.

A report line shows: "Card A — limit $2,000 — balance $600 — status: 30 days late (March)". What does "30 days late" mean?

A. The card was opened 30 days ago
B. The card has 30 days of interest-free time each month
C. The balance is $30
D. A payment was at least 30 days past due in March

CORRECT ANSWER

D. A payment was at least 30 days past due in March

Feedback (shown after answering)

A 30-day late payment was reported for March.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Misreads

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 2 of 5

Learn: A hard inquiry happens when a lender checks your credit because you applied for credit; it can lower scores slightly for a short time. Soft inquiries, such as checking your own report or prescreened offers, do not affect scores.

A report shows two "hard inquiries" from lenders this month. What caused them?

A. Applications for new credit
B. Checking your own report
C. Receiving a preapproved offer in the mail
D. Paying a bill on time

CORRECT ANSWER

A. Applications for new credit

Feedback (shown after answering)

Hard inquiries come from credit applications.

Why each other choice is wrong (misconception it represents)

B: Soft inquiry
C: Soft inquiry
D: Not an inquiry

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 3 of 5

Learn: Soft inquiries, including checking your own credit, do not affect credit scores.

Which inquiry does NOT affect a credit score?

A. Applying for a car loan
B. Applying for a credit card
C. Checking your own credit report
D. Applying for a private student loan

CORRECT ANSWER

C. Checking your own credit report

Feedback (shown after answering)

Checking your own credit is a soft inquiry with no score impact.

Why each other choice is wrong (misconception it represents)

A: Hard inquiry
B: Hard inquiry
D: Hard inquiry

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 4 of 5

Learn: Paying a collection usually updates its status to "paid," but the record can remain for the reporting period allowed by law.

A report shows a collection account that Ana paid in full 2 years ago. What should it show now?

A. The collection, updated to show it was paid
B. Nothing; paid collections vanish immediately
C. A new unpaid collection
D. A higher balance

CORRECT ANSWER

A. The collection, updated to show it was paid

Feedback (shown after answering)

It should be updated as paid; it may remain on the report for the allowed time.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Misreads
D: Misreads

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 5 of 5

Learn: Lenders choose which bureaus to report to, and reporting dates differ, so the three reports may not match exactly.

Ana reviews her reports from all three bureaus. Why might they differ?

A. One of them must be fake
B. Bureaus copy each other's reports exactly every day
C. Each bureau uses a different person's data
D. Not every lender reports to every bureau

CORRECT ANSWER

D. Not every lender reports to every bureau

Feedback (shown after answering)

Different reporting leads to differences; check all three.

Why each other choice is wrong (misconception it represents)

A: Overreacts
B: Assumes the three bureaus share one file
C: Confuses reporting gaps with mixed files

Type: instruction

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 1 of 5

Learn: A credit freeze (security freeze) restricts access to your credit report, so identity thieves cannot easily open new accounts in your name. Freezes are free at each bureau, and you can lift them temporarily when you apply for credit.

What does a credit freeze do?

A. It lowers your credit score
B. It closes your existing cards
C. It blocks most new lenders from seeing your report
D. It stops you from using your own debit card or checks

CORRECT ANSWER

C. It blocks most new lenders from seeing your report

Feedback (shown after answering)

A freeze blocks most new-credit checks without affecting your score or existing accounts.

Why each other choice is wrong (misconception it represents)

A: Believes a freeze hurts scores
B: Confuses freezing a report with closing accounts
D: Confuses a credit freeze with freezing a bank account

Type: instruction

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 2 of 5

Learn: Since 2018, federal law has required the nationwide credit bureaus to place and lift credit freezes for free.

How much does it cost to place a credit freeze at a nationwide bureau?

A. $10 per bureau each year
B. $100 one time
C. A fee of 1% of your total credit limit
D. Nothing; freezes are free by law

CORRECT ANSWER

D. Nothing; freezes are free by law

Feedback (shown after answering)

Freezes are free at Equifax, Experian, and TransUnion.

Why each other choice is wrong (misconception it represents)

A: Outdated assumption
B: Invents a fee
C: Invents a fee

Type: instruction · rule as of Federal law as of 2026

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 3 of 5

Learn: You can lift a freeze temporarily for a specific time or lender, then it returns.

Ana froze her credit and now wants to apply for a car loan. What should she do?

A. Lift the freeze for a short time
B. Delete her credit history
C. Apply under a friend's name
D. Nothing; lenders can see frozen reports

CORRECT ANSWER

A. Lift the freeze for a short time

Feedback (shown after answering)

A temporary lift lets the lender check her credit.

Why each other choice is wrong (misconception it represents)

B: Impossible
C: Fraud
D: Misunderstands

Type: instruction · practical how-to

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 4 of 5

Learn: A fraud alert asks lenders to take extra steps to verify your identity before opening credit. A credit freeze blocks most access to your report.

How is a fraud alert different from a credit freeze?

A. An alert closes your existing accounts
B. A freeze costs money; an alert is free
C. An alert asks for ID checks; a freeze blocks access
D. They are identical; both close your current accounts

CORRECT ANSWER

C. An alert asks for ID checks; a freeze blocks access

Feedback (shown after answering)

Alerts add verification; freezes restrict access.

Why each other choice is wrong (misconception it represents)

A: Confuses alerts with account closure
B: Freezes are free
D: Ignores the difference

Type: instruction

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 5 of 5

Which teen habit best protects future credit?

A. Posting a full birth date and address online
B. Sharing passwords with friends
C. Using the same password everywhere
D. Keeping a Social Security number private

CORRECT ANSWER

D. Keeping a Social Security number private

Feedback (shown after answering)

Protecting your SSN and personal data prevents thieves from opening accounts in your name.

Why each other choice is wrong (misconception it represents)

A: Exposes identity data
B: Unsafe
C: Unsafe

Type: knowledge check · practical how-to

SET 41 · Credit Cards and Credit Scores

Credit scores

MAIN skill: Explain the factors that affect credit scores and how scores affect borrowing costs

Outcome FL.CREDIT.41 · National topic: Managing Credit · NJSLS 9.1.12: CP
Learning target: Explain factors that affect credit scores and how scores affect the cost of credit

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent weights and parts of a whole (5 questions)
  Why: Score factors are percents of a whole; students compare their weights.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Score factors and rates are percents.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  Why: Comparing loan offers multiplies payment differences by months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Scores, insurance, renting, and jobs (5 questions)
- Go Deeper 2: Myths about credit scores (5 questions)

Practical skills beyond the standards: Busting common credit score myths

Content status: time-sensitive
Source: myFICO (Fair Isaac Corporation) — FICO score factor weights: payment history 35%, amounts owed 30%, length of credit history 15%, new credit 10%, credit mix 10%; scores range 300-850.
https://www.myfico.com/credit-education/whats-in-your-credit-score

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 C, M-Q4 C, M-Q5 D, B1-Q1 C, B1-Q2 A, B1-Q3 C, B1-Q4 C, B1-Q5 D, F1-Q1 A, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 B, F2-Q3 C, F2-Q4 D, F2-Q5 B

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 1 of 5

Learn: A credit score is a number (often 300–850) that summarizes credit risk based on a credit report. FICO's general weights: payment history about 35%, amounts owed about 30%, length of credit history about 15%, new credit about 10%, and credit mix about 10%. Other scoring models exist.

In the widely used FICO model, which factor has the LARGEST weight?

A. Payment history (about 35%)
B. Credit mix (about 10%)
C. New credit (about 10%)
D. Length of credit history (about 15%)

CORRECT ANSWER

A. Payment history (about 35%)

Feedback (shown after answering)

Paying on time matters most.

Why each other choice is wrong (misconception it represents)

B: Smaller factor
C: Smaller factor
D: Smaller factor

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 2 of 5

Learn: Credit scores affect the interest rates lenders offer. A higher score usually means a lower rate, which lowers monthly payments and total cost.

Two applicants want a $20,000, 5-year car loan. Applicant A (strong credit) is offered 6% APR, with a $386.66 payment; Applicant B is offered 12% APR, with a $444.89 payment. How much more does B pay over 5 years?

A. $58.23
B. $1,200.00
C. $3,493.80
D. $26,693.40

CORRECT ANSWER

C. $3,493.80

Feedback (shown after answering)

Difference per month: $444.89 − $386.66 = $58.23; × 60 = $3,493.80.

Recomputed independently by the build: 3493.8

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Uses 6% of $20,000
D: Gives B's total

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 3 of 5

Learn: Scores reward on-time payments and low balances compared with limits, and can drop with late payments, high balances, and many new applications.

Which action is MOST likely to raise a credit score over time?

A. Opening several new cards in one month
B. Maxing out a credit card
C. Paying every bill on time
D. Closing your oldest account

CORRECT ANSWER

C. Paying every bill on time

Feedback (shown after answering)

Consistent on-time payments are the strongest positive factor.

Why each other choice is wrong (misconception it represents)

A: Adds inquiries and new accounts
B: Raises utilization
D: Can shorten history

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 4 of 5

Learn: Credit scores use only information in credit reports. Income, employment, savings, age, race, and where you live are not part of the score.

Ana and Ben have identical credit reports, but Ben earns twice as much. How do their FICO scores likely compare?

A. Ben's is much higher
B. Ana's is higher because she borrows more of her income
C. They are about the same
D. Ben's is lower because higher earners spend more

CORRECT ANSWER

C. They are about the same

Feedback (shown after answering)

Income is not in credit reports, so identical reports give about the same score (lenders may still ask about income).

Why each other choice is wrong (misconception it represents)

A: Believes income is part of the score
B: Confuses the score with debt-to-income
D: Invents a rule

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 5 of 5

Ivy's FICO score is 780; Max's is 580. Which statement is MOST accurate?

A. Max will pay lower rates, since lower is better
B. Both will get identical offers
C. Scores do not affect borrowing
D. Max will likely face higher rates or denials

CORRECT ANSWER

D. Max will likely face higher rates or denials

Feedback (shown after answering)

On the 300–850 scale, higher scores indicate lower risk and usually get better terms.

Why each other choice is wrong (misconception it represents)

A: Reverses the scale
B: Ignores score
C: Ignores score

Type: knowledge check

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 1 of 5

Learn: Parts of a whole are added to find a combined share.

If payment history is 35% of a score and amounts owed is 30%, together they make up what percent?

A. 5%
B. 35%
C. 65%
D. 1,050%

CORRECT ANSWER

C. 65%

Feedback (shown after answering)

35% + 30% = 65%.

Recomputed independently by the build: 65

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Gives one factor
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 2 of 5

Learn: Percents of the same whole can be compared directly.

Which is larger: 15% or 10%?

A. 15%
B. 10%
C. They are equal
D. It cannot be compared

CORRECT ANSWER

A. 15%

Feedback (shown after answering)

15% > 10%.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Misreads
D: Gives up

Type: instruction

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 3 of 5

Five factors weigh 35%, 30%, 15%, 10%, and 10%. What is their total?

A. 75%
B. 90%
C. 100%
D. 110%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

They add to 100%: the whole score model.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Misses one
D: Adds an extra 10

Type: knowledge check

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 4 of 5

A score went from 650 to 700. By how many points did it rise?

A. 0
B. 7
C. 50
D. 1,350

CORRECT ANSWER

C. 50

Feedback (shown after answering)

700 − 650 = 50 points.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Uses the percent change
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 5 of 5

Learn: FICO's five factors: payment history (paying on time), amounts owed (balances and utilization), length of credit history (age of accounts), new credit (recent applications), and credit mix (types of accounts).

Maya's oldest card is 2 years old; her friend's is 15 years old. Both pay on time and owe little. Which score factor most likely favors her friend?

A. Payment history
B. Amounts owed
C. Credit mix
D. Length of credit history

CORRECT ANSWER

D. Length of credit history

Feedback (shown after answering)

Older accounts help the length-of-history factor.

Why each other choice is wrong (misconception it represents)

A: Both pay on time, so this does not separate them
B: Both owe little
C: Nothing says their account types differ

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 1 of 5

Learn: Landlords often review credit reports or scores because past bill-paying predicts rent payment.

A landlord checks Tia's credit before approving an apartment. Why?

A. To predict whether she will pay rent on time
B. To see her school grades
C. To check her medical history and recent doctor visits
D. To learn her income

CORRECT ANSWER

A. To predict whether she will pay rent on time

Feedback (shown after answering)

Credit history helps landlords predict on-time rent.

Why each other choice is wrong (misconception it represents)

B: Not on reports
C: Not on reports
D: Not on reports

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 2 of 5

Learn: Many insurers use credit-based insurance scores to help set prices, where state law allows.

In many states, auto insurers use credit-based insurance scores. What does this mean for drivers with weaker credit?

A. They pay lower premiums
B. They cannot buy insurance
C. They may pay higher premiums
D. Their driving record is ignored

CORRECT ANSWER

C. They may pay higher premiums

Feedback (shown after answering)

Weaker credit can raise premiums in states that allow this.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Overstates
D: Overstates

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 3 of 5

Learn: Employers may review credit reports (not scores) for some jobs, but federal law requires your written permission. Some states limit this further.

An employer wants to check Tia's credit report for a job. What must happen first?

A. Nothing; employers can check anyone
B. Tia must pay a fee
C. The employer must pay Tia's credit card bill
D. Tia must give written permission

CORRECT ANSWER

D. Tia must give written permission

Feedback (shown after answering)

Written permission is required for employment checks.

Why each other choice is wrong (misconception it represents)

A: Ignores FCRA
B: Invents a fee
C: Invents a requirement

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 4 of 5

Learn: Over long loans, a small rate difference adds up: extra cost = monthly difference × number of payments.

A 100-point lower score raises a $250,000 mortgage rate from 6.5% to 7.5%. Payments rise from $1,580 to $1,748 a month. How much more is paid over 30 years?

A. $168
B. $2,016
C. $2,500
D. $60,480

CORRECT ANSWER

D. $60,480

Feedback (shown after answering)

($1,748 − $1,580) × 360 = $168 × 360 = $60,480.

Recomputed independently by the build: 60480

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Gives one year
C: Uses 1% of $250,000

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 5 of 5

Learn: FICO and VantageScore both make several versions, and each bureau's data differs, so scores vary.

Which statement about "credit scores" is MOST accurate?

A. Different models give a person many scores
B. Everyone has one official score set by the government
C. Scores are updated only once a year
D. Scores are the same at every bureau

CORRECT ANSWER

A. Different models give a person many scores

Feedback (shown after answering)

Different models and bureaus produce different scores.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Misses that scores change as reports change
D: Assumes identical reports and models

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 1 of 5

Learn: Checking your own report or score is a soft inquiry and never affects scores.

Myth or fact: "Checking my own credit report lowers my score."

A. Fact: every check lowers your score
B. Fact: only on weekends
C. Myth: your own check is a soft inquiry
D. Fact: each check lowers your score by about 50 points

CORRECT ANSWER

C. Myth: your own check is a soft inquiry

Feedback (shown after answering)

Self-checks are soft inquiries; check as often as you like.

Why each other choice is wrong (misconception it represents)

A: Misunderstands inquiries
B: Invents a rule
D: Invents a penalty

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 2 of 5

Learn: Card use is reported each month. Paying the full statement balance shows responsible use without paying interest.

Myth or fact: "Carrying a small balance and paying interest helps your score."

A. Fact: interest payments raise scores
B. Myth: paying in full still shows on-time use
C. Fact: only balances over $1,000 count toward building credit
D. Fact: scores need debt to exist

CORRECT ANSWER

B. Myth: paying in full still shows on-time use

Feedback (shown after answering)

You do not need to pay interest to build credit.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Invents a rule
D: Misunderstands

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 3 of 5

Learn: Credit scores use only information in credit reports.

Myth or fact: "My income determines my credit score."

A. Fact: higher income always means a higher score
B. Fact: scores are a percent of income
C. Myth: income is not in credit reports
D. Fact: only salaried workers have scores

CORRECT ANSWER

C. Myth: income is not in credit reports

Feedback (shown after answering)

Income is not part of the score, though lenders consider it separately.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 4 of 5

Learn: Closing a card removes its credit limit from your total available credit and may eventually shorten your credit history.

Myth or fact: "Closing an old, unused card always raises my score."

A. Fact: fewer cards always means higher scores
B. Fact: closed cards are deleted immediately
C. Fact: closing a card erases its late payments from your report
D. Myth: it can raise utilization and shorten history

CORRECT ANSWER

D. Myth: it can raise utilization and shorten history

Feedback (shown after answering)

Closing a card can raise your utilization ratio and, over time, shorten your history.

Why each other choice is wrong (misconception it represents)

A: Oversimplifies
B: Believes closed accounts vanish from reports
C: Believes closing an account removes its history

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 5 of 5

Learn: Scoring models usually treat multiple inquiries for the same kind of loan (car, mortgage, student) within a short window as one, so you can shop for the best rate.

Myth or fact: "Shopping for a car loan at several lenders within a short period ruins my score."

A. Fact: each inquiry costs about 50 points every time
B. Myth: they usually count as one inquiry
C. Fact: you must never compare lenders
D. Fact: only the first lender counts

CORRECT ANSWER

B. Myth: they usually count as one inquiry

Feedback (shown after answering)

Rate shopping within a short window is generally treated as a single inquiry.

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Bad advice
D: Misunderstands

Type: instruction

SET 42 · Credit Cards and Credit Scores

Building credit responsibly

MAIN skill: Build a credit history with low utilization, on-time payments, and starter credit products

Outcome FL.CREDIT.42 · National topic: Managing Credit · NJSLS 9.1.12: CP, CDM
Learning target: Build and maintain a positive credit history

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Part-to-whole percents (5 questions)
  Why: Utilization is a part-to-whole percent.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Utilization targets are percents of a limit.
- B3 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Finding the limit or balance for a target utilization works backward from a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Credit-builder loans and secured cards in detail (5 questions)
- Go Deeper 2: A first-year credit-building plan (5 questions)

Practical skills beyond the standards: Secured cards and credit-builder loans; Paying before the statement closes

Content status: time-sensitive

Source: myFICO (Fair Isaac Corporation) — FICO score factor weights: payment history 35%, amounts owed 30%, length of credit history 15%, new credit 10%, credit mix 10%; scores range 300-850. https://www.myfico.com/credit-education/whats-in-your-credit-score
Source: AnnualCreditReport.com (authorized by federal law) / FTC — Consumers can get free credit reports from Equifax, Experian, and TransUnion; free weekly reports have been made permanent. https://www.annualcreditreport.com
Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 B, B1-Q3 A, B1-Q4 B, B1-Q5 C, F1-Q1 D, F1-Q2 B, F1-Q3 B, F1-Q4 A, F1-Q5 C, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 B, F2-Q5 A

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 1 of 5

Learn: Credit utilization = card balances ÷ credit limits × 100. It is a major part of the "amounts owed" score factor. Lower utilization generally helps scores; a common guideline is to stay below about 30%, and lower is better.

Tia's card has a $1,500 limit, and her statement balance is $450. What is her credit utilization?

A. 3%
B. 30%
C. 70%
D. 333%

CORRECT ANSWER

B. 30%

Feedback (shown after answering)

$450 ÷ $1,500 = 0.30 = 30%.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives available credit percent
D: Divides the wrong way

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 2 of 5

Learn: Overall utilization adds all balances and divides by all limits.

Max has two cards: $300 balance on a $1,000 limit and $700 on a $2,500 limit. What is his overall utilization (nearest tenth)?

A. 28.6%
B. 30.0%
C. 35.0%
D. 40.0%

CORRECT ANSWER

A. 28.6%

Feedback (shown after answering)

($300 + $700) ÷ ($1,000 + $2,500) = 1,000 ÷ 3,500 ≈ 28.6%.

Recomputed independently by the build: 28.571429

Why each other choice is wrong (misconception it represents)

B: Averages the two card percents
C: Divides by the larger limit only
D: Uses the smaller limit only

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 3 of 5

Learn: Starter options include a secured credit card (you put down a deposit that usually becomes your limit), a credit-builder loan (payments are saved for you and released at the end), and being added as an authorized user on a parent's card. Paying on time builds history.

Leo has no credit history. Which product is designed to help someone start building credit?

A. A secured credit card backed by a cash deposit
B. A payday loan
C. A prepaid debit card
D. A savings account that comes with no card attached

CORRECT ANSWER

A. A secured credit card backed by a cash deposit

Feedback (shown after answering)

A secured card reports like a regular card but is backed by a deposit.

Why each other choice is wrong (misconception it represents)

B: Usually not reported and very costly
C: Not credit
D: Not credit

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 4 of 5

Learn: An authorized user can use someone else's card. Many issuers report the account to the authorized user's credit file too, which can help, or hurt if the account is misused.

Leo is added as an authorized user on his mother's card. Her account has a long on-time history and low utilization. What can this do?

A. Make Leo responsible for her past debts
B. Give Leo his own separate credit limit and account
C. Help Leo's credit file show positive history
D. Erase his mother's late payments

CORRECT ANSWER

C. Help Leo's credit file show positive history

Feedback (shown after answering)

The account's positive history may appear on Leo's report.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 5 of 5

Which plan builds credit with the LEAST cost?

A. Carry a balance each month to show activity
B. Max out the card, then pay the minimum
C. Never use the card at all
D. Charge a small bill and pay it in full

CORRECT ANSWER

D. Charge a small bill and pay it in full

Feedback (shown after answering)

Small, regular purchases paid in full on time build history without purchase interest on a card with a grace period.

Why each other choice is wrong (misconception it represents)

A: Adds interest without helping
B: High utilization and interest
C: May not generate history

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Part-to-whole percents · Question 1 of 5

Learn: Percent = part ÷ whole × 100.

$200 is what percent of $1,000?

A. 2%
B. 20%
C. 80%
D. 500%

CORRECT ANSWER

B. 20%

Feedback (shown after answering)

200 ÷ 1,000 = 0.2 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the remaining part
D: Divides the wrong way

Type: instruction

BACKWARD B1 · concept review — Part-to-whole percents · Question 2 of 5

Learn: Part = percent × whole.

A card has a $2,000 limit. What balance equals 10% utilization?

A. $20
B. $200
C. $1,800
D. $2,000

CORRECT ANSWER

B. $200

Feedback (shown after answering)

$2,000 × 0.10 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives available credit
D: Uses 100%

Type: instruction

BACKWARD B1 · concept review — Part-to-whole percents · Question 3 of 5

Which utilization is LOWEST?

A. $100 of a $2,000 limit
B. $100 of a $500 limit
C. $400 of a $1,000 limit
D. $900 of a $3,000 limit

CORRECT ANSWER

A. $100 of a $2,000 limit

Feedback (shown after answering)

$100 ÷ $2,000 = 5%, the lowest.

Why each other choice is wrong (misconception it represents)

B: 20%
C: 40%
D: 30%

Type: knowledge check

BACKWARD B1 · concept review — Part-to-whole percents · Question 4 of 5

Learn: Utilization is balance ÷ limit. A larger limit with the same balance makes the fraction smaller.

If balances stay the same and a credit limit increases, what happens to utilization?

A. It goes up
B. It goes down
C. It stays the same
D. It becomes 100%

CORRECT ANSWER

B. It goes down

Feedback (shown after answering)

A larger denominator lowers the percent.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores the denominator
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Part-to-whole percents · Question 5 of 5

A card with a $500 limit has a $500 balance. What is utilization?

A. 0%
B. 50%
C. 100%
D. 500%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

$500 ÷ $500 = 100% ("maxed out").

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Arithmetic error
D: Uses dollars

Type: knowledge check

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 1 of 5

Learn: With a credit-builder loan, the lender holds the loan amount in an account while you make payments. Payments are reported to bureaus, and you receive the money at the end. The cost is the interest and fees.

A credit-builder loan of $600 is held in a savings account while Ana makes 12 payments of $52. What does she receive at the end, and what did it cost?

A. $624; cost $0
B. $52; cost $548
C. $600; cost $52
D. $600; cost $24

CORRECT ANSWER

D. $600; cost $24

Feedback (shown after answering)

12 × $52 = $624 paid; she receives $600; cost $24.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

A: Swaps cost and payout
B: Confuses payments with payout
C: Counts one payment as cost

Type: instruction

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 2 of 5

Learn: A secured card works like a regular credit card for utilization: the balance reported to the credit bureaus (usually the statement balance) ÷ the credit limit.

Leo opens a secured card with a $300 deposit and a $300 limit. Each month his statement reports a $30 balance, and he has no other cards. What utilization is reported each month?

A. 1%
B. 10%
C. 30%
D. 100%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

$30 ÷ $300 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the deposit as a percent
D: Uses the limit

Type: instruction

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 3 of 5

Learn: Many secured cards review accounts after a period of good use and may convert them to regular (unsecured) cards.

After a year of on-time payments, some issuers "graduate" a secured card. What usually happens?

A. The deposit is kept as a fee
B. It becomes a regular card; the deposit is returned
C. The card is closed and a penalty is charged to Leo
D. Leo must pay a new deposit

CORRECT ANSWER

B. It becomes a regular card; the deposit is returned

Feedback (shown after answering)

Graduation returns the deposit and keeps the account history.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 4 of 5

Learn: A secured card helps build credit only if the issuer reports your payments to the credit bureaus.

Which question should Leo ask before opening a secured card?

A. Does the issuer report to all three credit bureaus?
B. Does the card offer cash-back rewards on purchases?
C. Will the deposit earn interest like savings?
D. Will it let me skip payments?

CORRECT ANSWER

A. Does the issuer report to all three credit bureaus?

Feedback (shown after answering)

Reporting to the bureaus is what builds credit.

Why each other choice is wrong (misconception it represents)

B: Focuses on rewards instead of credit building
C: Confuses a secured card deposit with savings
D: Harmful

Type: instruction · practical how-to

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 5 of 5

Learn: When you keep a purchase grace period by paying the full balance on time every month, the APR does not affect your cost, but annual fees do.

A secured card has a $49 annual fee and 25.99% APR; another has a $0 fee and 28.99% APR. Both have a grace period on purchases. Leo will use it only for purchases and pay in full on time every month. Which is cheaper?

A. The $49-fee card, because its APR is lower
B. They cost the same
C. The $0-fee card
D. Neither; both charge $49

CORRECT ANSWER

C. The $0-fee card

Feedback (shown after answering)

Paying in full means no purchase interest, so the annual fee is the only cost.

Why each other choice is wrong (misconception it represents)

A: APR does not matter if paid in full
B: Ignores the fee
D: Misreads

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 1 of 5

Learn: The key habits for building credit are on-time payment, low balances, and few new applications.

Which step comes FIRST in a safe credit-building plan for a student?

A. Apply for five cards at once
B. Spend up to the limit each month to show activity
C. Set up autopay for the full statement balance
D. Lend the card to friends

CORRECT ANSWER

C. Set up autopay for the full statement balance

Feedback (shown after answering)

Autopay for the full balance, with enough money in checking, greatly lowers the risk of late payments and purchase interest from day one.

Why each other choice is wrong (misconception it represents)

A: Many inquiries
B: High utilization
D: Risky

Type: instruction · practical how-to

GO DEEPER 2 — A first-year credit-building plan · Question 2 of 5

Learn: Card issuers usually report the balance shown on your statement. Paying before the statement closes lowers the reported balance and utilization.

Tia's statement balance would be $480 on a $600 limit (80%). She pays $400 BEFORE the statement closes. What utilization is reported?

A. 80%
B. 67%
C. 0%
D. About 13%

CORRECT ANSWER

D. About 13%

Feedback (shown after answering)

$480 − $400 = $80; $80 ÷ $600 ≈ 13%.

Recomputed independently by the build: 13.333333

Why each other choice is wrong (misconception it represents)

A: Ignores the early payment
B: Uses the payment
C: Assumes full payoff

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 3 of 5

Learn: Late payments of 30 days or more are usually reported to the bureaus and can stay on a credit report for years.

Which habit could LOWER Tia's score during her first year?

A. Missing a payment by 30+ days
B. Paying in full each month
C. Keeping utilization under 10%
D. Checking her own credit report

CORRECT ANSWER

A. Missing a payment by 30+ days

Feedback (shown after answering)

A 30-day late payment is reported and can hurt a score for years.

Why each other choice is wrong (misconception it represents)

B: Helps
C: Helps
D: No effect

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 4 of 5

Learn: Utilization = balance ÷ limit.

After a year, Tia's issuer offers a higher limit with no fee. If her spending stays the same, what effect does accepting it usually have?

A. Higher utilization
B. Lower utilization
C. A hard inquiry that lowers her score for years
D. A shorter average age of accounts

CORRECT ANSWER

B. Lower utilization

Feedback (shown after answering)

The same balance on a larger limit is a smaller percent, as long as spending does not rise.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Overstates the effect of a limit increase
D: Confuses a limit increase with opening a new account

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 5 of 5

Learn: You can get free credit reports at AnnualCreditReport.com, and many banks and card issuers show a free score.

Which is the BEST way to check progress on building credit?

A. Check free reports and scores regularly
B. Pay for a "score boost" service
C. Apply for new cards to see if she is approved
D. Apply for loans now and then to see if approved

CORRECT ANSWER

A. Check free reports and scores regularly

Feedback (shown after answering)

Free reports and scores show progress without cost or inquiries.

Why each other choice is wrong (misconception it represents)

B: Unnecessary
C: Each application adds an inquiry
D: Adds inquiries

Type: instruction · practical how-to

SET 43 · Investing, Brokerage Accounts, and Investment Products

Saving versus investing: risk and return

MAIN skill: Distinguish saving from investing and explain the relationship between risk and return

Outcome FL.INVEST.43 · National topic: Investing · NJSLS 9.1.12: FI, RM

Learning target: Explain the relationship between risk and return and compare saving with investing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Saving versus investing (5 questions)
  Why: Students must tell a safe, insured deposit apart from an investment that can rise or fall before learning about brokerage accounts.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Investment returns are percent changes.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Volatility and the order of returns (5 questions)
- Go Deeper 2: Matching investments to time horizons (5 questions)

Practical skills beyond the standards: Matching investments to time horizons

Content status: stable

Source: SEC Investor.gov (Save and invest) — Investments are not federally insured, can lose value, and generally carry more risk and more potential return than insured savings.
https://www.investor.gov/introduction-investing/investing-basics/save-and-invest

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 A, B1-Q2 C, B1-Q3 D, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 B, F1-Q4 D, F1-Q5 C, F2-Q1 D, F2-Q2 A, F2-Q3 B, F2-Q4 C, F2-Q5 B

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 1 of 5

Learn: Saving means setting money aside in safe, easy-to-reach places, such as insured bank accounts, for short-term goals and emergencies. Investing means buying assets, such as stocks, bonds, or funds, that may grow over time but can also lose value. Investments are not FDIC insured.

Which statement best describes the difference between saving and investing?

A. Saving and investing are two words for the same thing
B. Investing is guaranteed to earn more than saving every year
C. Saving always loses money, while investing never does
D. Saving keeps money safe and available; investing seeks growth but can lose value

CORRECT ANSWER

D. Saving keeps money safe and available; investing seeks growth but can lose value

Feedback (shown after answering)

Savings protect value and access; investments aim for growth with the risk of loss.

Why each other choice is wrong (misconception it represents)

A: Treats them as identical
B: Treats investing returns as guaranteed
C: Reverses the risks

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 2 of 5

Learn: Time horizon is how long until you need the money. Money needed soon should not be exposed to market drops. Long horizons give investments time to recover from downturns.

Which goal is generally BETTER suited to investing than to a savings account?

A. An emergency fund that must be available next week
B. Retirement in 40 years
C. Rent due at the start of next month
D. A car repair expected in two months

CORRECT ANSWER

B. Retirement in 40 years

Feedback (shown after answering)

Long time horizons suit investing; short-term needs suit savings.

Why each other choice is wrong (misconception it represents)

A: Needs safety and access
C: Short-term need
D: Short-term need

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 3 of 5

Learn: Risk is the chance that an investment's results will differ from what you expect, including losing money. In general, investments with higher expected returns have bigger ups and downs. Past averages do not guarantee future results.

Investment A has averaged 3% a year with small ups and downs. Investment B has averaged 9% a year but sometimes lost 30% in a year. What does this illustrate?

A. Investment B is guaranteed to earn 9% every year
B. Investment A can never lose any money at all
C. Higher potential return usually comes with higher risk
D. Risk and return are completely unrelated to each other

CORRECT ANSWER

C. Higher potential return usually comes with higher risk

Feedback (shown after answering)

The higher-return investment comes with larger swings, including big losses.

Why each other choice is wrong (misconception it represents)

A: Treats an average as a guarantee
B: Overstates safety
D: Ignores the trade-off

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 4 of 5

Learn: Percent return = (ending value − starting value) ÷ starting value × 100.

A stock fund rose from $50 to $58 a share in a year. What was the percent return (no dividends)?

A. 8%
B. 13.8%
C. 16%
D. 116%

CORRECT ANSWER

C. 16%

Feedback (shown after answering)

($58 − $50) ÷ $50 = 0.16 = 16%.

Recomputed independently by the build: 16

Why each other choice is wrong (misconception it represents)

A: Uses the dollar gain as a percent
B: Divides by the ending price
D: Gives the ending value as a percent

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 5 of 5

Which is TRUE about money invested in a stock fund through a brokerage account?

A. It is FDIC insured up to $250,000, like a bank savings account
B. It can lose value and is not FDIC insured
C. It always keeps at least its starting value
D. It is guaranteed by the federal government

CORRECT ANSWER

B. It can lose value and is not FDIC insured

Feedback (shown after answering)

Investments carry market risk and are not deposit-insured.

Why each other choice is wrong (misconception it represents)

A: Confuses investments with deposits
C: Ignores risk
D: Overstates protection

Type: knowledge check

BACKWARD B1 · concept review — Saving versus investing · Question 1 of 5

Learn: Saving keeps money safe and available, usually in insured bank or credit union accounts. Investing buys assets that can rise or fall in value.

Which is an example of SAVING?

A. Putting $50 a month into an insured savings account
B. Buying shares of one technology company every month
C. Buying a stock index fund
D. Buying a corporate bond fund

CORRECT ANSWER

A. Putting $50 a month into an insured savings account

Feedback (shown after answering)

An insured savings account is saving.

Why each other choice is wrong (misconception it represents)

B: Investing
C: Investing
D: Investing

Type: instruction

BACKWARD B1 · concept review — Saving versus investing · Question 2 of 5

Learn: Investing means using money to buy assets, such as stocks, bonds, or funds, hoping they grow in value or pay income.

Which is an example of INVESTING?

A. Opening a checking account
B. Keeping cash in a wallet
C. Buying shares of a company
D. Depositing money in a savings account

CORRECT ANSWER

C. Buying shares of a company

Feedback (shown after answering)

Buying company shares is investing.

Why each other choice is wrong (misconception it represents)

A: Banking
B: Cash
D: Saving

Type: instruction

BACKWARD B1 · concept review — Saving versus investing · Question 3 of 5

Learn: Stock prices change with market conditions and can fall below what you paid. Insured deposits keep their dollar value up to the insurance limit.

Which can LOSE value because of market changes?

A. An FDIC-insured savings account
B. An insured certificate of deposit held to maturity
C. Cash in an insured checking account
D. A stock

CORRECT ANSWER

D. A stock

Feedback (shown after answering)

Stock prices can fall below what you paid.

Why each other choice is wrong (misconception it represents)

A: Insured deposit
B: Insured deposit
C: Insured deposit

Type: instruction

BACKWARD B1 · concept review — Saving versus investing · Question 4 of 5

Why do people invest if investments can lose value?

A. Because investments are guaranteed to rise every year
B. Because investing is the same thing as saving in a bank
C. For the chance of higher long-term growth than savings
D. Because investments are always insured

CORRECT ANSWER

C. For the chance of higher long-term growth than savings

Feedback (shown after answering)

Investing accepts risk for the chance of higher growth over time.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Confuses terms
D: Confuses investments with insured deposits

Type: knowledge check

BACKWARD B1 · concept review — Saving versus investing · Question 5 of 5

Learn: Money needed very soon should be kept where its value will not drop.

Kim needs $800 for books in one month. Where should that money be?

A. In savings or checking, not invested
B. In a single stock she likes and follows
C. In a 10-year bond
D. In cryptocurrency

CORRECT ANSWER

A. In savings or checking, not invested

Feedback (shown after answering)

Short-term money should not be exposed to market drops.

Why each other choice is wrong (misconception it represents)

B: Too risky short term
C: Too long
D: Too volatile

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 1 of 5

Learn: Percent changes multiply. A loss needs a larger percent gain to recover: after a 20% drop, a 20% gain does not get you back to the start.

An investment falls 20% one year, then rises 20% the next. Starting from $1,000, what is it worth after two years?

A. $800
B. $960
C. $1,000
D. $1,040

CORRECT ANSWER

B. $960

Feedback (shown after answering)

$1,000 × 0.80 = $800; $800 × 1.20 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Ignores the rise
C: Assumes the changes cancel
D: Applies the rise first and ignores order

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 2 of 5

Learn: Recovery gain needed = loss ÷ remaining value.

After an investment falls 50%, what percent gain is needed to return to the original value?

A. 25%
B. 50%
C. 100%
D. 150%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

$100 → $50 after a 50% loss; doubling (a 100% gain) returns it to $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Halves again
B: Thinks equal percents cancel
D: Adds 100

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 3 of 5

Learn: Volatility describes how much returns swing up and down. Two investments with the same average can have very different risk.

Two investments both average 6% a year. Which is generally riskier?

A. The one with returns between 4% and 8%
B. The one whose yearly returns swing between −25% and +35%
C. They are equally risky because their average returns match
D. The one that is newer to the market

CORRECT ANSWER

B. The one whose yearly returns swing between −25% and +35%

Feedback (shown after answering)

Bigger swings mean more volatility, a common measure of risk.

Why each other choice is wrong (misconception it represents)

A: Smaller swings
C: Ignores volatility
D: Age alone does not show volatility

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 4 of 5

Learn: A longer time horizon allows investors to wait out market declines rather than selling at a loss.

Why might a young investor accept more volatility for long-term goals?

A. Young investors cannot lose money
B. Volatility disappears after age 30
C. Markets rise every single year for young people
D. There is more time to recover from downturns

CORRECT ANSWER

D. There is more time to recover from downturns

Feedback (shown after answering)

Time can allow recovery, though losses remain possible.

Why each other choice is wrong (misconception it represents)

A: Believes youth removes risk
B: Invents an age when risk ends
C: Believes markets rise every year

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 5 of 5

Learn: Selling during a downturn turns a temporary drop in value into a realized loss.

An investor sells everything after a 25% drop and misses the recovery. Which behavior caused the loss to become permanent?

A. Holding a diversified fund through ups and downs
B. Investing regularly each month
C. Panic selling during a downturn
D. Reading the fund's prospectus

CORRECT ANSWER

C. Panic selling during a downturn

Feedback (shown after answering)

Selling low locks in the loss; staying invested could have recovered it.

Why each other choice is wrong (misconception it represents)

A: Usually reduces risk
B: Usually helps
D: Helps understanding

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 1 of 5

Learn: Short horizons call for safety; long horizons can take on more risk for growth.

Which mix is most sensible for money needed in 2 years for a down payment?

A. Mostly individual stocks she picks herself
B. All cryptocurrency
C. A 30-year bond
D. Mostly insured savings or short-term CDs

CORRECT ANSWER

D. Mostly insured savings or short-term CDs

Feedback (shown after answering)

Money needed soon belongs in safe, liquid places.

Why each other choice is wrong (misconception it represents)

A: Too risky for 2 years
B: Too volatile
C: Too long

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 2 of 5

Which goal has the LONGEST time horizon?

A. Retirement savings for a 20-year-old
B. A spring break trip next year
C. A laptop she needs next semester for class
D. A car in 3 years

CORRECT ANSWER

A. Retirement savings for a 20-year-old

Feedback (shown after answering)

Retirement for a 20-year-old is 40+ years away.

Why each other choice is wrong (misconception it represents)

B: Short
C: Short
D: Medium

Type: knowledge check

GO DEEPER 2 — Matching investments to time horizons · Question 3 of 5

Learn: Each goal can have its own strategy based on when the money is needed.

A 16-year-old saving for college in 2 years and for retirement in 50 years should use...

A. the same high-risk investment for both
B. different strategies for each goal
C. cash under the mattress for both
D. no plan for either

CORRECT ANSWER

B. different strategies for each goal

Feedback (shown after answering)

Each goal's timeline decides how much risk fits.

Why each other choice is wrong (misconception it represents)

A: Ignores horizon
C: Ignores growth
D: Unhelpful

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 4 of 5

Learn: Risk tolerance is your ability and willingness to handle investment losses without abandoning your plan.

What is "risk tolerance"?

A. The highest return an investor can expect to earn
B. The minimum deposit needed to open an account
C. How much ups and downs an investor can handle
D. A guarantee against loss

CORRECT ANSWER

C. How much ups and downs an investor can handle

Feedback (shown after answering)

Risk tolerance is about handling volatility without abandoning the plan.

Why each other choice is wrong (misconception it represents)

A: Confuses tolerance for risk with expected return
B: Confuses risk tolerance with account minimums
D: Misreads

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 5 of 5

Learn: The real return is roughly the nominal return minus inflation.

An investment pays 2% while prices rise 3% a year. What happens to purchasing power?

A. It rises by 2% a year
B. It falls by about 1% a year
C. It rises by 5% a year
D. It stays the same as last year

CORRECT ANSWER

B. It falls by about 1% a year

Feedback (shown after answering)

Real return ≈ 2% − 3% = −1%: money buys less over time.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
C: Adds the rates
D: Ignores the gap

Type: instruction

SET 44 · Investing, Brokerage Accounts, and Investment Products

Brokerage firms and brokerage accounts

MAIN skill: Explain what a brokerage firm and brokerage account are, and how they differ from banks

Outcome FL.INVEST.44 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain the role of brokerage firms and how investor protections differ from deposit insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Banking versus investing accounts (5 questions)

Why: Students who mix up banking and investing accounts cannot follow brokerage questions; this is a financial-concept prerequisite, not a math one.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: What a brokerage account can hold (5 questions)

Go Deeper 2: SIPC and FDIC protections in detail (5 questions)

Practical skills beyond the standards: Checking a broker on FINRA BrokerCheck

Content status: time-sensitive

Source: SIPC — SIPC protects customers of failed member brokerage firms up to $500,000, including a $250,000 limit for cash; it does not protect against declines in investment value. https://www.sipc.org/for-investors/what-sipc-protects

Source: SEC Investor.gov (Save and invest) — Investments are not federally insured, can lose value, and generally carry more risk and more potential return than insured savings. https://www.investor.gov/introduction-investing/investing-basics/save-and-invest

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 C, B1-Q1 D, B1-Q2 C, B1-Q3 A, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 D, F2-Q1 B, F2-Q2 C, F2-Q3 B, F2-Q4 A, F2-Q5 C

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 1 of 5

Learn: A brokerage account allows someone to buy and hold investments such as stocks, bonds, and exchange-traded funds. Brokerage firms include Charles Schwab, Fidelity, and E*TRADE. Unlike an ordinary checking account, a brokerage account is commonly used for investing.

Someone wants to purchase shares of a publicly traded company. Which type of account would generally allow them to do that?

A. Brokerage account
B. Standard checking account
C. Traditional savings account
D. Certificate of deposit

CORRECT ANSWER

A. Brokerage account

Feedback (shown after answering)

A brokerage account is the account used to buy and hold stocks and funds.

Why each other choice is wrong (misconception it represents)

B: Confuses a bank account with a brokerage account
C: Confuses saving with investing
D: Confuses a time deposit with an investment account

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 2 of 5

Learn: A brokerage firm (broker-dealer) is a company registered to buy and sell securities, such as stocks, bonds, and funds, for its customers. It keeps customers' investments in brokerage accounts and sends statements. Some companies offer both banking and brokerage services, but the accounts are different products.

What does a brokerage firm do?

A. It insures bank deposits up to $250,000 for each depositor
B. It sets the interest rates that every bank must pay to its savers each year
C. It collects federal income taxes from investors
D. It buys and sells investments for customers and holds them in accounts

CORRECT ANSWER

D. It buys and sells investments for customers and holds them in accounts

Feedback (shown after answering)

Brokers execute trades and hold securities for customers.

Why each other choice is wrong (misconception it represents)

A: Confuses a broker with the FDIC
B: Confuses a broker with the Federal Reserve
C: Confuses a broker with the IRS

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 3 of 5

Learn: Examples of brokerage firms include Charles Schwab, Fidelity, E*TRADE, and Vanguard. Naming them is not an endorsement; firms differ in fees, services, and investment choices.

Which pair lists two brokerage firms?

A. The FDIC and the NCUA
B. Fidelity and Charles Schwab
C. Equifax and TransUnion, the bureaus
D. Visa and Mastercard

CORRECT ANSWER

B. Fidelity and Charles Schwab

Feedback (shown after answering)

Fidelity and Charles Schwab are brokerage firms.

Why each other choice is wrong (misconception it represents)

A: Deposit insurers
C: Credit bureaus
D: Payment networks

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 4 of 5

Learn: A bank deposit is a promise by the bank to repay your dollars, protected by deposit insurance. An investment is ownership of an asset whose market value can change.

Ella keeps $3,000 in a bank savings account and $3,000 in a stock fund in her brokerage account. A market drop cuts stock prices 20%. Which statement is TRUE?

A. The fund falls to about $2,400; the savings stay at $3,000
B. Both fall to $2,400, because both are her money
C. Both stay at $3,000 because both of her accounts are insured
D. The savings fall to $2,400 but the fund stays at $3,000

CORRECT ANSWER

A. The fund falls to about $2,400; the savings stay at $3,000

Feedback (shown after answering)

$3,000 × 0.80 = $2,400 in the fund. The bank deposit keeps its dollar value.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

B: Treats deposits as investments
C: Thinks investments are insured
D: Reverses the risks

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 5 of 5

Learn: SIPC (Securities Investor Protection Corporation) protects customers of failed member brokerage firms up to $500,000, including $250,000 for cash, when securities or cash are missing. SIPC does not protect against market losses. The FDIC protects bank deposits, not investments.

Ella's brokerage firm fails, and some customer securities are missing. Which protection may help her?

A. FDIC insurance on her investment losses
B. SIPC payment for any drop in her stock prices
C. SIPC, which restores missing assets up to its limits
D. No protection of any kind exists for brokerage customers

CORRECT ANSWER

C. SIPC, which restores missing assets up to its limits

Feedback (shown after answering)

SIPC replaces missing customer assets when a member firm fails; it does not cover investment losses.

Why each other choice is wrong (misconception it represents)

A: Confuses FDIC with SIPC
B: Thinks SIPC covers market losses
D: Ignores SIPC

Type: instruction · rule as of SIPC limits as of 2026

BACKWARD B1 · concept review — Banking versus investing accounts · Question 1 of 5

Learn: Many workers have their paychecks deposited into bank accounts. Checking accounts are commonly used for paying bills, while savings accounts are used for setting aside money. A brokerage account is generally used to buy and hold investments, such as stocks and funds. Some companies offer both banking and brokerage services.

Which account would generally be used to purchase shares of a publicly traded company?

A. Standard checking account
B. Traditional savings account
C. Certificate of deposit
D. Brokerage account

CORRECT ANSWER

D. Brokerage account

Feedback (shown after answering)

Stocks are bought and held in a brokerage account.

Why each other choice is wrong (misconception it represents)

A: Banking account
B: Banking account
C: Banking product

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 2 of 5

Learn: Checking accounts are designed for frequent payments and debit card use.

Which account is MOST often used to pay rent and everyday bills?

A. A brokerage account
B. A certificate of deposit
C. A checking account
D. A retirement account

CORRECT ANSWER

C. A checking account

Feedback (shown after answering)

Checking accounts handle everyday payments.

Why each other choice is wrong (misconception it represents)

A: For investing
B: Locked for a term
D: For long-term saving

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 3 of 5

Learn: Savings accounts are insured deposits that keep money safe and available.

Which account is MOST often used to set aside money safely for an emergency?

A. A savings account
B. A brokerage account full of stocks
C. A cryptocurrency wallet
D. A collectibles collection

CORRECT ANSWER

A. A savings account

Feedback (shown after answering)

Savings accounts are safe and accessible.

Why each other choice is wrong (misconception it represents)

B: Value can fall
C: Highly volatile
D: Hard to sell quickly

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 4 of 5

Learn: Who sells a product does not change what it is. Investments sold through a bank are still investments.

A bank also offers brokerage services. Ben buys a stock fund through the bank's investment arm. Is the fund a bank deposit?

A. Yes, because the bank's name is on it
B. No; it is an investment, not a deposit
C. Yes, if Ben has a checking account there
D. Yes, but only for the first year

CORRECT ANSWER

B. No; it is an investment, not a deposit

Feedback (shown after answering)

Investments are not deposits, even when bought through a bank.

Why each other choice is wrong (misconception it represents)

A: Confuses the seller with the product
C: Believes bank customers get deposit insurance on investments
D: Invents a rule

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 5 of 5

Which statement is TRUE about stocks held in a brokerage account?

A. Their value is fixed once they are bought
B. They earn a fixed interest rate like savings
C. They are FDIC insured
D. Their value can rise or fall

CORRECT ANSWER

D. Their value can rise or fall

Feedback (shown after answering)

Stock values change with the market.

Why each other choice is wrong (misconception it represents)

A: Confuses stocks with deposits
B: Confuses stocks with deposits
C: Confuses brokerage holdings with bank deposits

Type: knowledge check

GO DEEPER 1 — What a brokerage account can hold · Question 1 of 5

Learn: Brokerage accounts can hold many kinds of securities: individual stocks, bonds, mutual funds, exchange-traded funds (ETFs), and cash (often in a money market fund or bank "sweep" program).

Which investments can a typical brokerage account hold?

A. Only savings deposits and checking accounts
B. Stocks, bonds, mutual funds, and ETFs
C. Only real estate deeds
D. Only gift cards and store credit

CORRECT ANSWER

B. Stocks, bonds, mutual funds, and ETFs

Feedback (shown after answering)

Brokerage accounts hold a wide range of securities.

Why each other choice is wrong (misconception it represents)

A: Confuses with a bank
C: Not typical
D: Not investments

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 2 of 5

Learn: Deposited money sits as cash until you choose investments. Brokers hold that cash in one of two ways: a bank sweep program (cash deposited at partner banks, usually earning a small rate) or a money market fund (a low-risk fund, which is an investment, though usually not the long-term one you meant to choose).

Mia deposits $500 into a brokerage account, and the broker places it in a bank sweep program until she chooses an investment. What is the money doing there?

A. Automatically buying stocks every day
B. Earning the stock market's return
C. Waiting as cash to be invested or withdrawn
D. Paying the broker's taxes

CORRECT ANSWER

C. Waiting as cash to be invested or withdrawn

Feedback (shown after answering)

Cash in a bank sweep waits until she places a trade or withdraws it.

Why each other choice is wrong (misconception it represents)

A: Cash in a sweep is not invested in stocks
B: Cash is not in stocks
D: Misreads the purpose

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 3 of 5

Learn: A brokerage firm holds securities in custody for customers, but the customer owns them. Customer assets must be kept separate from the firm's own assets.

Who OWNS the stocks held in Mia's brokerage account?

A. Mia, the account owner
B. The brokerage firm that holds it
C. The stock exchange
D. The SEC

CORRECT ANSWER

A. Mia, the account owner

Feedback (shown after answering)

The broker holds the stocks for Mia, but they belong to her.

Why each other choice is wrong (misconception it represents)

B: Firm holds them for her
C: Marketplace, not owner
D: Regulator, not owner

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 4 of 5

Learn: The Securities and Exchange Commission (SEC) regulates securities markets. FINRA, a self-regulatory organization overseen by the SEC, supervises brokerage firms and registered brokers.

Which agency regulates brokerage firms in the United States?

A. The FDIC
B. The IRS
C. The CFPB only
D. The SEC, with FINRA overseeing brokers

CORRECT ANSWER

D. The SEC, with FINRA overseeing brokers

Feedback (shown after answering)

The SEC and FINRA oversee brokerage firms.

Why each other choice is wrong (misconception it represents)

A: Bank deposits
B: Taxes
C: Consumer finance, not securities

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 5 of 5

Learn: FINRA BrokerCheck is a free online tool that shows whether a person or firm is registered and any disciplinary actions.

Before using a broker or financial professional, which free tool shows their registration and disciplinary history?

A. The FDIC's BankFind tool
B. A social media review
C. A credit report from one bureau
D. FINRA BrokerCheck

CORRECT ANSWER

D. FINRA BrokerCheck

Feedback (shown after answering)

BrokerCheck shows registration and disciplinary records.

Why each other choice is wrong (misconception it represents)

A: Confuses checking a bank with checking a broker
B: Unreliable
C: Confuses consumer credit with professional registration

Type: instruction · practical how-to

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 1 of 5

Learn: SIPC steps in when a member brokerage firm fails and customer cash or securities are missing. It does not protect against investment losses from market movements or bad advice.

Which loss is protected by SIPC?

A. A stock that falls 30% in value
B. Customer securities missing after a member broker fails
C. Losses from a bad investment choice
D. Losses to an investment scam run outside the brokerage firm

CORRECT ANSWER

B. Customer securities missing after a member broker fails

Feedback (shown after answering)

SIPC covers missing customer assets, not declines in value.

Why each other choice is wrong (misconception it represents)

A: Market loss
C: Market loss
D: Not covered

Type: instruction

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 2 of 5

Learn: SIPC restores missing securities and cash up to its limits; the cash limit is lower than the total limit.

SIPC protection is up to $500,000 per customer, including up to $250,000 for cash. Sam has $400,000 of stocks missing at a failed broker. Up to how much may SIPC restore?

A. $0
B. $250,000
C. $400,000
D. $500,000

CORRECT ANSWER

C. $400,000

Feedback (shown after answering)

Securities claims are covered up to $500,000 total, so $400,000 is within the limit.

Recomputed independently by the build: 400000

Why each other choice is wrong (misconception it represents)

A: Ignores SIPC
B: Applies the cash limit to securities
D: Gives the limit, not the missing amount

Type: instruction · rule as of SIPC limits as of 2026

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 3 of 5

Learn: SIPC limits: up to $500,000 per customer in total, of which no more than $250,000 can be for cash.

Kai has $300,000 of cash missing at a failed SIPC member broker. Up to how much of the cash may SIPC restore?

A. $0
B. $250,000
C. $300,000
D. $500,000

CORRECT ANSWER

B. $250,000

Feedback (shown after answering)

Cash claims are limited to $250,000.

Recomputed independently by the build: 250000

Why each other choice is wrong (misconception it represents)

A: Ignores SIPC
C: Ignores the cash limit
D: Uses the total limit

Type: instruction · rule as of SIPC limits as of 2026

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 4 of 5

Learn: The FDIC insures bank deposits; SIPC protects brokerage customers when member firms fail.

Which protection applies to a savings account at a bank?

A. FDIC deposit insurance
B. SIPC protection
C. FINRA insurance coverage
D. SEC insurance

CORRECT ANSWER

A. FDIC deposit insurance

Feedback (shown after answering)

Bank deposits are protected by the FDIC.

Why each other choice is wrong (misconception it represents)

B: Brokers, not banks
C: FINRA is not an insurer
D: SEC is not an insurer

Type: instruction

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 5 of 5

Learn: Claims that an investment "can never lose money" are false. Every investment carries risk.

A website claims, "Our investments are SIPC insured, so you can never lose money." What is wrong?

A. Nothing; SIPC guarantees all investment returns
B. SIPC covers only bank deposits
C. SIPC does not protect against market losses
D. SIPC protects only crypto

CORRECT ANSWER

C. SIPC does not protect against market losses

Feedback (shown after answering)

SIPC replaces missing assets; investment value can still fall.

Why each other choice is wrong (misconception it represents)

A: Overstates SIPC
B: Confuses with FDIC
D: Misreads SIPC

Type: instruction

SET 45 · Investing, Brokerage Accounts, and Investment Products

Opening and funding a brokerage account

MAIN skill: Complete the steps to open and fund a brokerage account and distinguish funding from investing

Outcome FL.INVEST.45 · National topic: Investing · NJSLS 9.1.12: FI, PB

Learning target: Describe how to open and fund an investment account and the difference between funding and investing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Moving money between accounts (5 questions)
  - Why: Students must understand transfers between accounts before separating funding from investing.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing brokerage firms (5 questions)
- Go Deeper 2: Custodial accounts and getting started as a teen (5 questions)

Practical skills beyond the standards: Opening and funding a brokerage account step by step; Custodial accounts for minors

Content status: time-sensitive

Source: SEC Investor.gov (Investor Bulletin: Opening a brokerage account) — Opening a brokerage account requires personal information such as Social Security number, date of birth, address, employment, and investment objectives. https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-43

Source: SEC — The standard settlement cycle for most broker-dealer securities transactions is T+1 (effective May 28, 2024). https://www.sec.gov/newsroom/press-releases/2023-29

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 B, B1-Q2 D, B1-Q3 C, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 C, F2-Q3 C, F2-Q4 A, F2-Q5 C

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 1 of 5

Learn: Brokerage firms must verify your identity and learn about your situation. Applications usually ask for name, address, date of birth, Social Security number (or other taxpayer ID), employment information, and investment experience and goals.

Which information is generally required to open a brokerage account?

A. A credit card number and its security code
B. A copy of your last tax refund check
C. Social Security number, date of birth, address, and employment details
D. Your high school transcript and test scores

CORRECT ANSWER

C. Social Security number, date of birth, address, and employment details

Feedback (shown after answering)

Identity and financial profile information are standard on brokerage applications.

Why each other choice is wrong (misconception it represents)

A: Not required
B: Not required
D: Not required

Type: instruction · practical how-to

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 2 of 5

Learn: Minors generally cannot open individual brokerage accounts. A custodial account (often under the UTMA or UGMA laws) is opened by an adult custodian for a minor; the assets belong to the minor and are transferred to them at the age set by state law.

Leo, 16, wants to invest. Most brokerage firms require individual account owners to be adults. Which option fits his age?

A. A custodial account managed by an adult for Leo
B. An individual account opened in Leo's name alone
C. Using a parent's individual account without telling them
D. Waiting until age 30, the minimum to invest

CORRECT ANSWER

A. A custodial account managed by an adult for Leo

Feedback (shown after answering)

Custodial accounts let adults invest on a minor's behalf.

Why each other choice is wrong (misconception it represents)

B: Ignores the age rule
C: Unsafe and unauthorized
D: Invents a minimum age

Type: instruction

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 3 of 5

Learn: Funding means moving money into the account, often by an electronic transfer from a bank. After funding, the money sits as cash until you place an order to buy an investment.

Ana links her checking account and transfers $500 to her new brokerage account. The broker holds new deposits as cash in a bank sweep. What has she done?

A. Bought $500 of stock automatically
B. Bought a $500 savings bond
C. Paid a $500 fee to open the account
D. Funded the account; she has not bought any investment yet

CORRECT ANSWER

D. Funded the account; she has not bought any investment yet

Feedback (shown after answering)

Moving money in is funding; buying requires a separate order.

Why each other choice is wrong (misconception it represents)

A: Confuses funding with buying
B: Confuses funding with buying
C: Confuses funding with a fee

Type: instruction

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 4 of 5

Learn: Investing requires choosing a specific investment (such as a fund) and placing an order. Many accounts leave deposited money in cash until you do.

Ana's brokerage account shows $500 in uninvested cash (a bank sweep) and $0 in investments. What should she do to invest it?

A. Nothing; the cash is invested automatically
B. Choose an investment and place a buy order
C. Transfer the money back to checking
D. Call the FDIC to activate investing

CORRECT ANSWER

B. Choose an investment and place a buy order

Feedback (shown after answering)

Cash stays cash until she places an order.

Why each other choice is wrong (misconception it represents)

A: Thinks funding invests money
C: Undoes funding
D: Confuses agencies

Type: instruction · practical how-to

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 5 of 5

Ana places an order and buys $480 of a fund, leaving $20 in cash. What does her account hold?

A. $480 in the fund and $20 in cash
B. $500 in the fund
C. $500 in cash
D. $480 in cash and $20 in the fund

CORRECT ANSWER

A. $480 in the fund and $20 in cash

Feedback (shown after answering)

The purchase moved $480 into the fund; $20 remains as cash.

Why each other choice is wrong (misconception it represents)

B: Ignores remaining cash
C: Ignores the purchase
D: Reverses

Type: knowledge check

BACKWARD B1 · concept review — Moving money between accounts · Question 1 of 5

Learn: Transfers move money between your accounts. The money stays yours; only its location changes.

What is an electronic transfer between your bank and your brokerage account?

A. Borrowing money from the broker
B. Moving your own money from one account to another
C. Buying shares of a fund
D. Buying a stock automatically

CORRECT ANSWER

B. Moving your own money from one account to another

Feedback (shown after answering)

A transfer moves your own money.

Why each other choice is wrong (misconception it represents)

A: Confuses with margin
C: Confuses funding with investing
D: Confuses funding with buying

Type: instruction

BACKWARD B1 · concept review — Moving money between accounts · Question 2 of 5

After $200 moves from checking to brokerage, what happens to the checking balance?

A. It goes up by $200
B. It stays the same until she sells
C. It doubles
D. It goes down by $200

CORRECT ANSWER

D. It goes down by $200

Feedback (shown after answering)

Money leaving checking lowers its balance.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores the transfer
C: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Moving money between accounts · Question 3 of 5

Learn: "Funding" an account means putting money into it. Buying an investment with that money is a separate step.

Ben moves $200 from checking into his brokerage account but buys nothing yet. Which step has he completed?

A. Buying an investment
B. Opening a margin loan
C. Funding the account
D. Selling shares

CORRECT ANSWER

C. Funding the account

Feedback (shown after answering)

Depositing money is funding. Nothing he chooses is bought until he places an order (some firms hold uninvested cash in a bank sweep or money market fund).

Why each other choice is wrong (misconception it represents)

A: Confuses funding with buying
B: Confuses depositing with borrowing
D: Reverses the step

Type: instruction

BACKWARD B1 · concept review — Moving money between accounts · Question 4 of 5

Learn: Electronic transfers use routing and account numbers, never PINs or passwords.

What information links a bank account for transfers?

A. Your debit card PIN
B. Your online banking password
C. Your credit card number and expiration date
D. The bank's routing number and your account number

CORRECT ANSWER

D. The bank's routing number and your account number

Feedback (shown after answering)

Routing and account numbers identify the bank account.

Why each other choice is wrong (misconception it represents)

A: A PIN is never needed to link accounts and should not be shared
B: Passwords are never shared to link accounts
C: Card numbers do not identify a bank account for transfers

Type: instruction · practical how-to

BACKWARD B1 · concept review — Moving money between accounts · Question 5 of 5

Learn: Money in a bank sweep is cash waiting to be invested; it earns only the sweep's small rate.

Ben transfers $100 to his brokerage account, which holds new deposits in a bank sweep, but he forgets to buy anything. What is the $100 doing?

A. Sitting as cash in the account
B. Growing automatically with the stock market
C. Earning a guaranteed 10%
D. Returned to his bank automatically

CORRECT ANSWER

A. Sitting as cash in the account

Feedback (shown after answering)

Uninvested money remains cash.

Why each other choice is wrong (misconception it represents)

B: Not invested
C: Invents a return
D: Assumes uninvested cash is sent back

Type: instruction

GO DEEPER 1 — Comparing brokerage firms · Question 1 of 5

Learn: Brokerage firms differ in commissions and account fees, available investments (for example, low-cost index funds), account minimums, fractional shares, research tools, and customer service.

Which features are most useful to compare when choosing a brokerage firm?

A. How often the firm advertises on TV
B. Fees, investment choices, minimums, and tools
C. Which firm a friend happened to use
D. The number of offices the firm has in other countries

CORRECT ANSWER

B. Fees, investment choices, minimums, and tools

Feedback (shown after answering)

Costs and features determine which broker fits you.

Why each other choice is wrong (misconception it represents)

A: Treats advertising as quality
C: Copies a friend instead of comparing
D: Usually irrelevant

Type: instruction · practical how-to

GO DEEPER 1 — Comparing brokerage firms · Question 2 of 5

Learn: Small yearly fees add up: total = fee × years.

Broker A charges a $25 yearly account fee; Broker B charges none. Over 10 years, how much more does Broker A cost in account fees?

A. $0
B. $2.50
C. $25
D. $250

CORRECT ANSWER

D. $250

Feedback (shown after answering)

$25 × 10 = $250.

Recomputed independently by the build: 250

Why each other choice is wrong (misconception it represents)

A: Ignores the fee
B: Divides
C: Counts one year

Type: instruction

GO DEEPER 1 — Comparing brokerage firms · Question 3 of 5

Learn: With fractional shares, shares bought = dollars invested ÷ price per share.

Fractional shares let investors buy part of a share. A share costs $400, and Sam invests $50. What fraction of a share does he buy?

A. 8
B. 1/4
C. 1/8
D. 1/400

CORRECT ANSWER

C. 1/8

Feedback (shown after answering)

$50 ÷ $400 = 1/8 of a share.

Why each other choice is wrong (misconception it represents)

A: Inverts
B: Arithmetic error
D: Divides 1 by the price

Type: instruction

GO DEEPER 1 — Comparing brokerage firms · Question 4 of 5

Learn: The standard settlement cycle for most U.S. stock trades became T+1 (trade date plus one business day) in May 2024.

Settlement is when ownership and money officially change hands. For most stock trades the standard is "T+1." What does that mean?

A. The trade takes one year
B. The trade settles one business day after the trade date
C. The trade can be reversed for one day
D. The trade costs $1

CORRECT ANSWER

B. The trade settles one business day after the trade date

Feedback (shown after answering)

T+1 = settlement one business day after the trade.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction · rule as of SEC rule effective May 28, 2024

GO DEEPER 1 — Comparing brokerage firms · Question 5 of 5

Learn: Many firms offer brokerage accounts. Examples in this course are for recognition only.

Which statement about mentioning firms like Fidelity, Charles Schwab, or E*TRADE in this course is accurate?

A. They are the only brokers that are legal to use
B. They are recommended by the course as the best choices
C. They are government agencies
D. They are examples, not recommendations

CORRECT ANSWER

D. They are examples, not recommendations

Feedback (shown after answering)

Compare several firms yourself; examples are not endorsements.

Why each other choice is wrong (misconception it represents)

A: Mistakes examples for a required list
B: Mistakes examples for endorsements
C: Confuses private firms with regulators

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 1 of 5

Learn: Assets in a UTMA/UGMA custodial account legally belong to the minor. The custodian manages them for the minor's benefit until the age set by state law.

In a custodial account for Leo, who owns the investments?

A. Leo, though an adult manages them until he reaches the age set by law
B. The adult custodian forever
C. The brokerage firm
D. The state government

CORRECT ANSWER

A. Leo, though an adult manages them until he reaches the age set by law

Feedback (shown after answering)

The minor owns the assets; the custodian manages them.

Why each other choice is wrong (misconception it represents)

B: Misunderstands custodial ownership
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 2 of 5

Learn: Gifts to UTMA/UGMA accounts are irrevocable: they cannot be taken back.

A custodial account receives a $1,000 gift. Can the custodian later take it back for personal use?

A. Yes, at any time
B. Yes, after one year
C. No; gifts to a custodial account belong to the minor
D. Yes, if the stock falls

CORRECT ANSWER

C. No; gifts to a custodial account belong to the minor

Feedback (shown after answering)

Custodial gifts are the minor's property.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Invents a rule
D: Invents a rule

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 3 of 5

Leo puts $25 a month into an index fund in his custodial account. How much does he contribute in 3 years?

A. $75
B. $300
C. $900
D. $9,000

CORRECT ANSWER

C. $900

Feedback (shown after answering)

$25 × 36 = $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

A: Counts three months
B: Counts one year
D: Adds a zero

Type: knowledge check

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 4 of 5

Learn: With dollar-cost averaging, you invest the same dollar amount each period, so you automatically buy more shares when prices are low and fewer when prices are high.

Investing a fixed amount on a regular schedule is called dollar-cost averaging. What happens when prices are low?

A. The fixed amount buys more shares
B. The fixed amount buys fewer shares
C. The investor must wait for prices to recover
D. The price is guaranteed to rise next month

CORRECT ANSWER

A. The fixed amount buys more shares

Feedback (shown after answering)

$25 buys more shares at lower prices.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Believes you cannot buy when prices fall
D: Believes a low price must rebound

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 5 of 5

Learn: Shares bought = dollars invested ÷ price per share.

Leo invests $25 when a fund is $5 a share and $25 when it is $10 a share. How many shares does he own?

A. 5 shares
B. 2.5 shares
C. 7.5 shares
D. 10 shares

CORRECT ANSWER

C. 7.5 shares

Feedback (shown after answering)

$25 ÷ $5 = 5 shares; $25 ÷ $10 = 2.5 shares; total 7.5.

Recomputed independently by the build: 7.5

Why each other choice is wrong (misconception it represents)

A: Uses one price
B: Counts only the second purchase
D: Uses the lower price twice

Type: instruction

SET 46 · Investing, Brokerage Accounts, and Investment Products

Stocks: ownership, prices, and dividends

MAIN skill: Explain stock ownership and calculate gains, losses, and dividend income

Outcome FL.INVEST.46 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain stocks, dividends, capital gains, and why stock prices change

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Owners and lenders (5 questions)
  Why: Stock questions depend on separating owning a company (stock) from lending to it (bond) or depositing money (bank).
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Stock returns are percent changes in price.
- B3 · Math link → G7-S20-M (Grade 7 7.NS.A.2.a): Interpret products of rational numbers in real-world situations
  Why: Gains and losses multiply a per-share change (possibly negative) by the number of shares.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How stock prices change (5 questions)
- Go Deeper 2: Picking individual stocks versus owning many (5 questions)

Practical skills beyond the standards: Researching companies with SEC filings

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 B, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 A, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 B, F2-Q1 A, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 1 of 5

Learn: A stock (share) is a unit of ownership in a corporation. Shareholders can benefit if the company grows (the share price may rise) and may receive dividends, which are payments from profits. If the company does poorly, the share price can fall, even to zero.

What does owning a share of stock mean?

A. Lending money to a company for a fixed interest rate
B. Depositing money in a company's bank account
C. Having a guaranteed right to a fixed yearly payment
D. Owning a small part of a company

CORRECT ANSWER

D. Owning a small part of a company

Feedback (shown after answering)

A share is partial ownership of a company.

Why each other choice is wrong (misconception it represents)

A: Describes a bond
B: Describes a deposit
C: Describes a fixed obligation

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 2 of 5

Learn: Gain or loss = (selling price − purchase price) × number of shares.

Jada buys 20 shares at $45 and sells them later at $52. Ignoring fees, what is her gain?

A. $7
B. $140
C. $900
D. $1,040

CORRECT ANSWER

B. $140

Feedback (shown after answering)

($52 − $45) × 20 = $7 × 20 = $140.

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Gives the gain per share
C: Gives the purchase cost
D: Gives the sale amount

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 3 of 5

Learn: A dividend is a payment a company may make to shareholders, usually from profits, often quarterly. Dividends are not guaranteed; companies can raise, cut, or stop them.

A stock pays a yearly dividend of $1.80 per share. Omar owns 50 shares. How much dividend income does he receive in a year?

A. $1.80
B. $51.80
C. $90
D. $900

CORRECT ANSWER

C. $90

Feedback (shown after answering)

$1.80 × 50 = $90.

Recomputed independently by the build: 90

Why each other choice is wrong (misconception it represents)

A: Gives one share's dividend
B: Adds
D: Adds a zero

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 4 of 5

Learn: Percent change = (new − old) ÷ old × 100. A negative result is a decrease.

A stock price falls from $80 to $60. What is the percent change?

A. −33.3%
B. −25%
C. −20%
D. 25%

CORRECT ANSWER

B. −25%

Feedback (shown after answering)

(60 − 80) ÷ 80 = −0.25 = −25%.

Recomputed independently by the build: -25

Why each other choice is wrong (misconception it represents)

A: Divides by the new price, then uses a third
C: Divides by the new price
D: Drops the sign

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 5 of 5

Why do stock prices change?

A. The government sets stock prices every morning
B. Buyers and sellers change what they are willing to pay
C. Prices rise by the same amount every day
D. Companies choose one price and never change it afterward

CORRECT ANSWER

B. Buyers and sellers change what they are willing to pay

Feedback (shown after answering)

Prices move with supply and demand, which reflect news, company results, interest rates, and investor expectations.

Why each other choice is wrong (misconception it represents)

A: Misunderstands markets
C: Confuses stocks with fixed growth
D: Misunderstands markets

Type: knowledge check

BACKWARD B1 · concept review — Owners and lenders · Question 1 of 5

Learn: Shareholders own part of a company. Bondholders lend to it. Customers buy from it.

Which person is an OWNER of a company?

A. Someone who lent it money through a bond
B. Someone who deposits money in a bank
C. Someone who holds its shares
D. Someone who buys its products

CORRECT ANSWER

C. Someone who holds its shares

Feedback (shown after answering)

Shareholders are part-owners.

Why each other choice is wrong (misconception it represents)

A: Lender
B: Depositor
D: Customer

Type: instruction

BACKWARD B1 · concept review — Owners and lenders · Question 2 of 5

Learn: Owners share in a company's success through price gains and dividends, and in its losses through price declines.

If a company earns larger profits, what can happen to its shareholders?

A. They must pay the company's taxes out of pocket
B. The share price may rise and dividends may grow
C. They lose their shares
D. Nothing ever changes for them

CORRECT ANSWER

B. The share price may rise and dividends may grow

Feedback (shown after answering)

Owners can benefit from profits.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Owners and lenders · Question 3 of 5

If a company fails, what can happen to its stock?

A. It can lose most or all of its value
B. It is repaid in full by the government
C. It turns into a bond that pays interest
D. Shareholders are paid before lenders

CORRECT ANSWER

A. It can lose most or all of its value

Feedback (shown after answering)

Shareholders can lose their entire investment.

Why each other choice is wrong (misconception it represents)

B: Confuses stock with insured deposits
C: Confuses shareholders with creditors
D: Reverses the order of claims

Type: knowledge check

BACKWARD B1 · concept review — Owners and lenders · Question 4 of 5

Learn: Shareholders can earn money two ways: a capital gain when they sell shares for more than they paid, and a dividend when the company pays out part of its profits.

A company sends each shareholder $0.50 per share from its profits. What is this payment called?

A. Interest
B. A capital gain
C. A premium
D. A dividend

CORRECT ANSWER

D. A dividend

Feedback (shown after answering)

A payment of profits to shareholders is a dividend.

Why each other choice is wrong (misconception it represents)

A: Paid to lenders or savers
B: Earned by selling for more than you paid
C: An insurance payment

Type: instruction

BACKWARD B1 · concept review — Owners and lenders · Question 5 of 5

A share bought for $30 is now worth $36. What is the gain per share?

A. $6
B. 20
C. $36
D. $66

CORRECT ANSWER

A. $6

Feedback (shown after answering)

$36 − $30 = $6.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

B: Gives the percent
C: Gives the price
D: Adds

Type: knowledge check

GO DEEPER 1 — How stock prices change · Question 1 of 5

Learn: Stock prices reflect expectations about a company's future profits. News that beats expectations often pushes prices up; disappointing news often pushes them down.

A company reports much higher profits than investors expected. What is the most likely immediate effect on its stock price?

A. It tends to rise
B. It tends to fall
C. It must stay the same by law
D. It drops to zero

CORRECT ANSWER

A. It tends to rise

Feedback (shown after answering)

Better-than-expected results usually raise demand for the stock.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Invents a rule
D: Overreacts

Type: instruction

GO DEEPER 1 — How stock prices change · Question 2 of 5

Learn: Short-term price moves often reflect changing expectations, news, interest rates, and investor emotions, not just company results.

A stock's price rose 10% one day, though the company's business did not change. Which explanation fits best?

A. The company doubled its size overnight that day
B. The SEC raised the price
C. Investor expectations or market mood shifted
D. Stock prices only change with profits

CORRECT ANSWER

C. Investor expectations or market mood shifted

Feedback (shown after answering)

Short-term moves often reflect sentiment and expectations.

Why each other choice is wrong (misconception it represents)

A: Unlikely
B: Misunderstands
D: Too narrow

Type: instruction

GO DEEPER 1 — How stock prices change · Question 3 of 5

Learn: Higher interest rates make bonds and savings more attractive and raise borrowing costs for companies, which can lower stock prices.

If interest rates rise, many stocks fall. Why might that happen?

A. Stocks pay fixed interest that falls
B. Higher rates raise company profits right away
C. Interest rates and stocks are unrelated
D. Safer investments now pay more, so stocks look less attractive

CORRECT ANSWER

D. Safer investments now pay more, so stocks look less attractive

Feedback (shown after answering)

Competition from higher-yielding safe assets can lower stock prices.

Why each other choice is wrong (misconception it represents)

A: Misunderstands stocks
B: Reverses the effect
C: Ignores the link

Type: instruction

GO DEEPER 1 — How stock prices change · Question 4 of 5

Learn: Total return includes price change plus dividends: (ending price − starting price + dividends) ÷ starting price × 100.

A stock bought at $40 pays $2 in dividends over a year and ends at $44. What is the total return?

A. 5%
B. 6%
C. 10%
D. 15%

CORRECT ANSWER

D. 15%

Feedback (shown after answering)

($44 − $40 + $2) ÷ $40 = $6 ÷ $40 = 15%.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Leaves out the price gain
B: Uses the dollar amounts
C: Leaves out dividends

Type: instruction

GO DEEPER 1 — How stock prices change · Question 5 of 5

Which statement about past stock performance is TRUE?

A. A stock that rose last year will rise this year
B. It does not guarantee future results
C. Past returns set future prices by law
D. Only past performance matters

CORRECT ANSWER

B. It does not guarantee future results

Feedback (shown after answering)

Past results are not a promise of future returns.

Why each other choice is wrong (misconception it represents)

A: Assumes momentum
C: Invents a rule
D: Overstates

Type: knowledge check

GO DEEPER 2 — Picking individual stocks versus owning many · Question 1 of 5

Learn: Owning a single company concentrates risk: problems at that one company affect all of your money.

Lia puts all $1,000 of her savings into one company's stock. The company has a major scandal, and the stock falls 70%. How much is her investment worth?

A. $300
B. $700
C. $930
D. $1,000

CORRECT ANSWER

A. $300

Feedback (shown after answering)

$1,000 × 0.30 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Gives the loss
C: Subtracts 70 dollars
D: Ignores the loss

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 2 of 5

Learn: In a diversified fund, a single company's loss is multiplied by its small share of the fund.

Owning shares of 500 companies through a fund, with one company falling 70%, would affect the whole fund about how much (if that company were 0.2% of the fund)?

A. About 70%
B. About 14%
C. About 0.70%
D. About 0.14%

CORRECT ANSWER

D. About 0.14%

Feedback (shown after answering)

0.2% × 70% = 0.14% of the fund.

Recomputed independently by the build: 0.14

Why each other choice is wrong (misconception it represents)

A: Applies one stock's loss to all
B: Misplaces the decimal
C: Misplaces the decimal

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 3 of 5

Learn: Every dollar of fees comes out of the investor's return, and owning a few stocks concentrates risk. A broad index fund spreads money across many companies at low cost, though it still rises and falls with the market.

Picking stocks that beat the overall market is hard, and stock-picking funds usually charge higher fees than index funds. What does this suggest for beginners building a core long-term holding?

A. Low-cost diversified index funds are a reasonable core choice
B. Beginners should always pick individual stocks instead of funds
C. Stocks should be avoided entirely
D. Fees make no difference to results

CORRECT ANSWER

A. Low-cost diversified index funds are a reasonable core choice

Feedback (shown after answering)

Broad diversification at low cost is a sensible core holding for most beginners; it still carries market risk.

Why each other choice is wrong (misconception it represents)

B: Ignores difficulty and concentration risk
C: Overreacts
D: Ignores costs

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 4 of 5

Learn: Stocks and funds trade on exchanges under short codes called ticker symbols.

What is a "ticker symbol"?

A. The price of a stock
B. A government ID number
C. A short code that identifies a stock or fund on an exchange
D. A type of bond

CORRECT ANSWER

C. A short code that identifies a stock or fund on an exchange

Feedback (shown after answering)

Tickers are short identifiers used to look up and trade securities.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 5 of 5

Learn: Public companies must file reports with the SEC, available free on the SEC's EDGAR database.

Which source gives the official, detailed description of a company's business and risks?

A. A social media post about the stock
B. Its filings with the SEC, such as the annual 10-K report
C. An ad for a trading app
D. A friend's tip

CORRECT ANSWER

B. Its filings with the SEC, such as the annual 10-K report

Feedback (shown after answering)

SEC filings provide official information about businesses and their risks.

Why each other choice is wrong (misconception it represents)

A: Unreliable
C: Promotional
D: Anecdotal

Type: instruction · practical how-to

SET 47 · Investing, Brokerage Accounts, and Investment Products

Bonds: lending to governments and companies

MAIN skill: Explain how bonds work and calculate bond interest

Outcome FL.INVEST.47 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Compare bonds with stocks and explain bond risks and returns

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Borrowers, lenders, and interest (5 questions)
  - Why: Bonds reverse the roles students know from loans: the investor is the lender.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Coupon interest is a percent of face value.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Types of bonds (5 questions)
- Go Deeper 2: Bond prices and interest rates (5 questions)

Practical skills beyond the standards: After-tax yield comparison

Content status: stable

Source: SEC Investor.gov — When interest rates rise, prices of existing bonds generally fall; bonds carry interest rate risk and credit (default) risk.
https://www.investor.gov/introduction-investing/investing-basics/investment-products/bonds-or-fixed-income-products/bonds

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 C, M-Q5 C, B1-Q1 D, B1-Q2 C, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 A, F1-Q2 B, F1-Q3 C, F1-Q4 A, F1-Q5 D, F2-Q1 C, F2-Q2 B, F2-Q3 B, F2-Q4 B, F2-Q5 C

MAIN — Explain how bonds work and calculate bond interest · Question 1 of 5

Learn: A bond is a loan from the investor to an issuer, such as a company, a city, or the U.S. government. The issuer promises to pay interest (the coupon) on a schedule and repay the face value at maturity. Bonds are investments, not deposits, and can lose value.

What does an investor do when buying a bond?

A. Lends money to the issuer in return for interest and repayment
B. Buys ownership in the issuer and a vote at shareholder meetings
C. Opens an insured deposit at a bank branch
D. Pays a fee for the right to buy stock later

CORRECT ANSWER

A. Lends money to the issuer in return for interest and repayment

Feedback (shown after answering)

Bondholders are lenders; stockholders are owners.

Why each other choice is wrong (misconception it represents)

B: Describes stock
C: Describes a deposit
D: Describes an option

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 2 of 5

Learn: Yearly coupon interest = face value × coupon rate. Many bonds pay half of it every six months.

A $1,000 bond has a 4% coupon rate. How much interest does it pay per year?

A. $4
B. $40
C. $400
D. $1,040

CORRECT ANSWER

B. $40

Feedback (shown after answering)

$1,000 × 0.04 = $40 a year (often $20 every six months).

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
C: Uses 40%
D: Gives face value plus interest

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 3 of 5

Learn: Existing bond prices move opposite to interest rates. When rates rise, older bonds paying lower coupons become less attractive, so their prices fall; when rates fall, their prices rise. This is interest rate risk.

Ivy owns a bond paying 3%. New bonds now pay 5%. What usually happens to the market price of Ivy's bond?

A. It rises
B. It falls
C. It stays exactly at face value no matter what
D. It turns into a 5% bond automatically

CORRECT ANSWER

B. It falls

Feedback (shown after answering)

Rising rates lower the price of existing lower-coupon bonds.

Why each other choice is wrong (misconception it represents)

A: Reverses the relationship
C: Ignores market pricing
D: Misunderstands fixed coupons

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 4 of 5

Learn: Credit (default) risk is the chance the issuer cannot pay. Ratings agencies grade bonds; "investment grade" bonds have lower risk, and "high-yield" ("junk") bonds have higher risk and higher interest. U.S. Treasury securities are backed by the U.S. government.

Which bond generally has the LOWEST risk of default?

A. A bond from a new company with heavy debt
B. A "junk" bond with a low credit rating
C. A U.S. Treasury bond
D. A bond from a company that recently missed payments

CORRECT ANSWER

C. A U.S. Treasury bond

Feedback (shown after answering)

Treasuries are backed by the U.S. government and have very low default risk.

Why each other choice is wrong (misconception it represents)

A: Higher credit risk
B: Higher credit risk
D: Higher credit risk

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 5 of 5

Learn: Current yield = yearly interest ÷ current price × 100. Buying below face value raises the yield.

A $1,000 bond paying $50 a year is bought for $950. What is its current yield (nearest tenth of a percent)?

A. 4.8%
B. 5.0%
C. 5.3%
D. 95.0%

CORRECT ANSWER

C. 5.3%

Feedback (shown after answering)

$50 ÷ $950 ≈ 0.0526 → 5.3%.

Recomputed independently by the build: 5.263158

Why each other choice is wrong (misconception it represents)

A: Divides by $1,050
B: Uses face value
D: Gives the price as a percent

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 1 of 5

Learn: When an organization sells bonds, it is borrowing from the investors who buy them.

When a city sells bonds to build a bridge, who is borrowing?

A. The investors who buy the bonds
B. The bridge builders
C. The people who drive on the bridge
D. The city

CORRECT ANSWER

D. The city

Feedback (shown after answering)

The city borrows from bond buyers.

Why each other choice is wrong (misconception it represents)

A: Lenders, not borrowers
B: Contractors
C: Users

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 2 of 5

A bond investor is most like which person?

A. A depositor whose money is FDIC insured
B. A company owner who shares profits
C. A lender who receives interest
D. A borrower who pays interest

CORRECT ANSWER

C. A lender who receives interest

Feedback (shown after answering)

Bondholders lend money and receive interest.

Why each other choice is wrong (misconception it represents)

A: Confuses a bond with an insured deposit
B: Describes stock
D: Reverses lender and borrower

Type: knowledge check

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 3 of 5

Learn: At maturity, the issuer repays the bond's face value (principal) to the bondholder.

What is a bond's "maturity date"?

A. The date the bond was printed
B. The date the face value is repaid
C. The date the first interest payment is made
D. The date the issuer was founded

CORRECT ANSWER

B. The date the face value is repaid

Feedback (shown after answering)

Maturity is when the principal is repaid.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 4 of 5

Learn: A percent of an amount = amount × rate as a decimal.

What is 3% of $2,000?

A. $6
B. $60
C. $600
D. $2,060

CORRECT ANSWER

B. $60

Feedback (shown after answering)

$2,000 × 0.03 = $60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Adds

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 5 of 5

Which pays interest to the investor?

A. A share of common stock
B. A gift card
C. A debit card
D. A bond

CORRECT ANSWER

D. A bond

Feedback (shown after answering)

Bonds pay interest (coupons); stocks may pay dividends.

Why each other choice is wrong (misconception it represents)

A: Pays dividends, not interest
B: No interest
C: No interest

Type: knowledge check

GO DEEPER 1 — Types of bonds · Question 1 of 5

Learn: Municipal bonds are issued by states and cities. Their interest is often exempt from federal income tax, so their after-tax yield can beat a higher taxable yield.

Interest from many municipal bonds is exempt from federal income tax. Why might a high-income investor prefer one paying 3% over a taxable bond paying 4%?

A. After tax, the municipal bond may keep more income
B. Municipal bonds can never lose value
C. Taxable bonds always default
D. The 3% bond pays more before tax, so it always wins

CORRECT ANSWER

A. After tax, the municipal bond may keep more income

Feedback (shown after answering)

Tax-exempt interest can be worth more after tax.

Why each other choice is wrong (misconception it represents)

B: Overstates safety
C: Overstates risk
D: Arithmetic error

Type: instruction

GO DEEPER 1 — Types of bonds · Question 2 of 5

Learn: After-tax yield = taxable yield × (1 − tax rate).

An investor in the 32% federal tax bracket gets 4% from a taxable bond. What is the after-tax yield?

A. 1.28%
B. 2.72%
C. 3.68%
D. 4.00%

CORRECT ANSWER

B. 2.72%

Feedback (shown after answering)

4% × (1 − 0.32) = 2.72%.

Recomputed independently by the build: 2.72

Why each other choice is wrong (misconception it represents)

A: Gives the tax
C: Subtracts 0.32 points
D: Ignores tax

Type: instruction

GO DEEPER 1 — Types of bonds · Question 3 of 5

Learn: Treasury bills mature in a year or less, notes in 2 to 10 years, and bonds in 20 or 30 years.

Which statement about U.S. Treasury bills, notes, and bonds is TRUE?

A. They are issued by private companies, not the government
B. They are FDIC insured deposits
C. They differ mainly by how long until they mature
D. They pay no interest of any kind

CORRECT ANSWER

C. They differ mainly by how long until they mature

Feedback (shown after answering)

Bills, notes, and bonds are Treasury securities of different lengths.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

GO DEEPER 1 — Types of bonds · Question 4 of 5

Learn: Riskier borrowers must pay higher interest to attract lenders.

A high-yield ("junk") bond pays 8%, while an investment-grade bond pays 5%. Why the difference?

A. The high-yield issuer is more likely to default
B. High-yield bonds are insured by the federal government
C. Investment-grade bonds have longer maturities, always
D. The difference is random

CORRECT ANSWER

A. The high-yield issuer is more likely to default

Feedback (shown after answering)

Higher yield compensates for higher default risk.

Why each other choice is wrong (misconception it represents)

B: Believes higher yield comes with a guarantee
C: Attributes the gap only to maturity
D: Misses the link between risk and yield

Type: instruction

GO DEEPER 1 — Types of bonds · Question 5 of 5

Learn: Bond funds pool money to buy many bonds. Owning many issuers spreads credit risk (a fund of hundreds of Treasuries, by contrast, has one issuer). Fund prices still change with interest rates.

A bond fund holds bonds from hundreds of different companies and governments. What is one advantage over buying one bond?

A. It can never lose value
B. It always pays the same fixed income each year
C. It is FDIC insured
D. Default risk is spread across many issuers

CORRECT ANSWER

D. Default risk is spread across many issuers

Feedback (shown after answering)

Owning many issuers spreads credit risk, though fund prices still move with rates.

Why each other choice is wrong (misconception it represents)

A: Confuses diversification with a guarantee
B: Confuses a fund with a single bond
C: Confuses funds with deposits

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 1 of 5

Learn: At maturity, a bond repays its face value, no matter what it was bought for. The last interest payment is usually paid at the same time, separately from the principal.

A 2% bond with a $1,000 face value is selling for $900. If held to maturity with no default, how much PRINCIPAL is repaid at maturity (not counting the final interest payment)?

A. $900
B. $920
C. $1,000
D. $1,020

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

At maturity the issuer repays the full $1,000 face value as principal.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the price
B: Adds one year of interest to the price
D: Adds the final interest payment to principal

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 2 of 5

Learn: Gain on price = amount received at maturity − price paid.

Bought at $900 and repaid at $1,000 at maturity, what is the gain on price alone?

A. $20
B. $100
C. $900
D. $1,000

CORRECT ANSWER

B. $100

Feedback (shown after answering)

$1,000 − $900 = $100, plus coupon interest along the way.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Gives one year of interest
C: Gives the price
D: Gives face value

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 3 of 5

Learn: Longer-term bonds lock in their coupon longer, so their prices are more sensitive to rate changes.

Which bond's price usually changes MORE when interest rates change?

A. A 3-month Treasury bill
B. A 30-year bond
C. A 1-year note
D. Neither; maturity does not matter

CORRECT ANSWER

B. A 30-year bond

Feedback (shown after answering)

Longer maturities mean more interest rate risk.

Why each other choice is wrong (misconception it represents)

A: Short maturity
C: Short maturity
D: Ignores duration

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 4 of 5

Learn: Existing bond prices move opposite to interest rates.

If interest rates FALL, what usually happens to the prices of existing bonds?

A. They fall
B. They rise
C. They stay the same
D. They are cancelled

CORRECT ANSWER

B. They rise

Feedback (shown after answering)

Older bonds with higher coupons become more valuable when rates fall.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores pricing
D: Misreads

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 5 of 5

Learn: Bond prices before maturity change with interest rates; holders who wait for maturity receive face value (if the issuer pays).

Which investor is MOST affected by bond price swings before maturity?

A. One who holds the bond to maturity
B. One who never bought a bond
C. One who must sell the bond early
D. One who only owns savings

CORRECT ANSWER

C. One who must sell the bond early

Feedback (shown after answering)

Selling before maturity exposes you to the current market price.

Why each other choice is wrong (misconception it represents)

A: Receives face value
B: Not affected
D: Not affected

Type: instruction

SET 48 · Investing, Brokerage Accounts, and Investment Products

Mutual funds, ETFs, and index funds

MAIN skill: Compare mutual funds, ETFs, and index funds and explain how they are priced

Outcome FL.INVEST.48 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Compare mutual funds, ETFs, and index funds, including how they are priced and managed

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Pooling money (5 questions)
  Why: Funds make sense once students see many people's money combined to buy many things.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: A holding's effect on a fund is its percent weight times its change.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: NAV per share divides net assets by shares outstanding.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Active versus passive funds (5 questions)
- Go Deeper 2: Choosing among funds (5 questions)

Practical skills beyond the standards: Reading a fund prospectus

Content status: stable

Source: SEC Investor.gov (Mutual funds) — Mutual funds are priced once a day at net asset value; ETF shares trade on exchanges throughout the day at market prices.
https://www.investor.gov/introduction-investing/investing-basics/investment-products/mutual-funds-and-exchange-traded-funds-etfs/mu

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 C, F2-Q2 B, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 1 of 5

Learn: A mutual fund pools money from many investors to buy a collection (portfolio) of stocks, bonds, or other securities, managed by professionals. Each investor owns shares of the fund. Mutual fund shares are bought and sold once a day at the net asset value (NAV) calculated after the market closes.

What is a mutual fund?

A. A pool of investors' money that buys many securities
B. A single company's stock sold at a discount
C. An FDIC-insured savings product at a bank
D. A loan that a group of friends makes together to one person

CORRECT ANSWER

A. A pool of investors' money that buys many securities

Feedback (shown after answering)

A mutual fund pools money to buy many securities.

Why each other choice is wrong (misconception it represents)

B: Confuses a fund with one stock
C: Confuses with deposits
D: Misreads "mutual"

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 2 of 5

Learn: An ETF also holds a basket of securities, but its shares trade on stock exchanges throughout the day at market prices, like stocks. Traditional mutual funds trade once a day at NAV.

How is an ETF (exchange-traded fund) different from a traditional mutual fund?

A. ETFs can hold only one stock at a time
B. ETFs are insured by the FDIC
C. ETFs are bought only once a year at one fixed price
D. ETF shares trade on an exchange throughout the day

CORRECT ANSWER

D. ETF shares trade on an exchange throughout the day

Feedback (shown after answering)

ETFs trade all day like stocks; mutual funds price once a day.

Why each other choice is wrong (misconception it represents)

A: Misunderstands ETFs
B: Confuses funds with deposits
C: Misunderstands trading

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 3 of 5

Learn: An index is a list that measures part of the market; the S&P 500 tracks about 500 large U.S. companies. An index fund (a mutual fund or ETF) holds the securities in an index to match its performance, not to beat it. Index funds usually have low costs.

What does an S&P 500 index fund try to do?

A. Beat the S&P 500 by picking winning stocks each week
B. Guarantee a 5% return every year
C. Hold only the 5 largest companies
D. Match the performance of the S&P 500 index

CORRECT ANSWER

D. Match the performance of the S&P 500 index

Feedback (shown after answering)

Index funds aim to match an index, typically at low cost.

Why each other choice is wrong (misconception it represents)

A: Describes active management
B: Invents a guarantee
C: Misreads the index

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 4 of 5

Learn: Net asset value per share = (total assets − total liabilities) ÷ shares outstanding.

A fund has $50,000,000 in assets, $500,000 in liabilities, and 2,000,000 shares outstanding. What is its NAV per share?

A. $0.04
B. $24.75
C. $25.00
D. $25.25

CORRECT ANSWER

B. $24.75

Feedback (shown after answering)

($50,000,000 − $500,000) ÷ 2,000,000 = $24.75.

Recomputed independently by the build: 24.75

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Ignores liabilities
D: Adds liabilities

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 5 of 5

Which statement about index funds is TRUE?

A. They are guaranteed never to lose money
B. They are FDIC insured up to $250,000
C. They can lose value when the market falls
D. They always beat every other type of fund

CORRECT ANSWER

C. They can lose value when the market falls

Feedback (shown after answering)

Index funds track the market, including its declines.

Why each other choice is wrong (misconception it represents)

A: Overstates safety
B: Confuses with deposits
D: Overstates

Type: knowledge check

BACKWARD B1 · concept review — Pooling money · Question 1 of 5

Learn: Pooling means combining money from many people. Each person owns a share equal to their part of the pool.

Ten friends each put in $20 to buy a $200 gift together. What fraction of the gift does each friend "own"?

A. 1/10
B. 1/20
C. 10
D. 1/200

CORRECT ANSWER

A. 1/10

Feedback (shown after answering)

$20 of $200 = 1/10.

Why each other choice is wrong (misconception it represents)

B: Uses the dollar amount
C: Inverts
D: Uses the total

Type: instruction

BACKWARD B1 · concept review — Pooling money · Question 2 of 5

Learn: In a fund, each holding is part of the whole, so a holding's drop affects the fund in proportion to its weight.

A fund holds 400 stocks in equal amounts, so each is 0.25% of the fund. If one stock falls 50% and the others do not change, why does the fund fall only a little?

A. The fund refunds the loss
B. That stock is only a small part of the fund
C. Funds sell any stock before it falls
D. The other 399 stocks in it must all rise by 50%

CORRECT ANSWER

B. That stock is only a small part of the fund

Feedback (shown after answering)

0.25% × 50% ≈ 0.125%: one small slice moves the fund only a little.

Why each other choice is wrong (misconception it represents)

A: Believes funds guarantee holdings
C: Believes managers can always avoid drops
D: Misunderstands weighting

Type: instruction

BACKWARD B1 · concept review — Pooling money · Question 3 of 5

Who manages a mutual fund's investments?

A. Each investor votes on every trade
B. The FDIC
C. Professional fund managers
D. The stock exchange

CORRECT ANSWER

C. Professional fund managers

Feedback (shown after answering)

Funds are managed by professionals, for a fee.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Wrong agency
D: Marketplace

Type: knowledge check

BACKWARD B1 · concept review — Pooling money · Question 4 of 5

Learn: A fund share represents a proportional slice of everything the fund holds.

Owning one share of a fund that holds 500 companies gives you…

A. full ownership of one company
B. a tiny piece of all 500 companies
C. a loan to the fund manager, repaid later
D. a bank deposit

CORRECT ANSWER

B. a tiny piece of all 500 companies

Feedback (shown after answering)

A fund share is a slice of everything the fund holds.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Pooling money · Question 5 of 5

Learn: A broad index fund holds many companies, so even a small purchase spreads money widely. Narrow funds (one sector, or leveraged funds) do not give the same diversification.

Which choice is a BENEFIT of broad index funds for beginning investors?

A. Instant diversification with a small amount
B. No risk of loss
C. Guaranteed returns
D. No fees ever

CORRECT ANSWER

A. Instant diversification with a small amount

Feedback (shown after answering)

Broad funds give wide diversification even for small investments.

Why each other choice is wrong (misconception it represents)

B: Confuses diversification with safety
C: Confuses funds with fixed-rate products
D: Ignores expense ratios

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 1 of 5

Learn: Active funds try to beat the market by choosing investments; they usually cost more. Passive (index) funds try to match the market at low cost.

An actively managed fund charges 0.80% a year; an index fund tracking a similar market charges 0.05%. On $10,000, how much more does the active fund cost per year?

A. $5
B. $75
C. $80
D. $750

CORRECT ANSWER

B. $75

Feedback (shown after answering)

$10,000 × 0.0080 = $80; $10,000 × 0.0005 = $5; difference $75.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Gives the index fee only
C: Gives the active fee only
D: Adds a zero

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 2 of 5

Learn: Net return ≈ gross return − expense ratio.

An active fund returns 7.5% before its 0.80% expense ratio; the index fund returns 7.0% before its 0.05% ratio. Which has the higher return after expenses?

A. The active fund: 7.5% vs 7.0%
B. They are equal at 7.0%
C. The active fund: 6.95% vs 6.70%
D. The index fund: 6.95% vs 6.70%

CORRECT ANSWER

D. The index fund: 6.95% vs 6.70%

Feedback (shown after answering)

Active: 7.5 − 0.80 = 6.70%. Index: 7.0 − 0.05 = 6.95%.

Recomputed independently by the build: 6.95

Why each other choice is wrong (misconception it represents)

A: Ignores expenses
B: Arithmetic error
C: Swaps the results

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 3 of 5

Learn: Passive investing aims to match the market's return by owning the whole index, rather than predicting which stocks will do best.

What does "passive" investing mean?

A. Holding an index fund instead of trying to pick winners
B. Never checking your account again
C. Investing only in savings accounts
D. Letting a friend choose your stocks

CORRECT ANSWER

A. Holding an index fund instead of trying to pick winners

Feedback (shown after answering)

Passive investing tracks a market index.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 4 of 5

Learn: Trading inside a fund creates costs and, in taxable accounts, can create capital gains distributions.

A fund's "turnover" is high, meaning it trades often. Why can that matter?

A. High turnover guarantees higher returns
B. Frequent trading can raise costs and taxes
C. Turnover has no effect at all on what investors pay
D. Turnover is a type of insurance

CORRECT ANSWER

B. Frequent trading can raise costs and taxes

Feedback (shown after answering)

Frequent trading adds hidden costs and possible tax bills.

Why each other choice is wrong (misconception it represents)

A: Confuses activity with performance
C: Ignores costs
D: Misreads

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 5 of 5

Learn: Every mutual fund and ETF publishes a prospectus (and a shorter summary) describing its objectives, strategy, risks, and costs.

Which document gives a fund's goals, risks, fees, and past performance?

A. The fund's quarterly advertisement
B. Form 1099-DIV
C. The brokerage account statement
D. The prospectus

CORRECT ANSWER

D. The prospectus

Feedback (shown after answering)

The prospectus is the official description of a fund.

Why each other choice is wrong (misconception it represents)

A: Confuses marketing with the legal disclosure
B: Confuses a tax form with the fund's disclosure
C: Shows holdings and value, not goals and fees

Type: instruction · practical how-to

GO DEEPER 2 — Choosing among funds · Question 1 of 5

Learn: When two funds hold nearly the same investments, the lower-cost fund usually leaves more of the return for the investor.

Two S&P 500 index funds track the same index. Fund A charges 0.03%; Fund B charges 0.50%. Which is generally the better choice?

A. Fund B, because a higher fee means better management
B. Either, because fees never matter
C. Fund A, because the holdings are nearly identical and it costs less
D. Fund B, because it has a longer track record shown in ads

CORRECT ANSWER

C. Fund A, because the holdings are nearly identical and it costs less

Feedback (shown after answering)

For funds that track the same index, lower cost usually wins.

Why each other choice is wrong (misconception it represents)

A: Equates price with quality
B: Ignores costs
D: Lets marketing outweigh cost

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 2 of 5

Learn: Indexes differ in what they include. The S&P 500 covers about 500 large U.S. companies; total market indexes include thousands of large, medium, and small companies.

A "total stock market" index fund holds thousands of U.S. companies, large and small. How does it differ from an S&P 500 fund?

A. It holds only 5 large U.S. companies
B. It includes smaller companies too
C. It holds only bonds
D. It cannot lose value

CORRECT ANSWER

B. It includes smaller companies too

Feedback (shown after answering)

Total market funds are broader than the S&P 500.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Confuses breadth with safety

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 3 of 5

Learn: International funds hold companies in other countries, which can add diversification.

An international index fund mainly adds what to a U.S. stock portfolio?

A. Only U.S. government bonds
B. A guarantee against loss
C. Cash that is kept in banks in foreign countries
D. Companies based outside the United States

CORRECT ANSWER

D. Companies based outside the United States

Feedback (shown after answering)

International funds diversify across countries.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Confuses diversification with a guarantee
C: Misreads

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 4 of 5

Learn: Some mutual funds have minimum initial investments. ETFs usually require only the price of one share (or less, with fractional shares).

A fund's minimum initial investment is $3,000, but its ETF version can be bought for the price of one share, $95. Sam has $200. Which can he buy?

A. The mutual fund version
B. Both, because minimums do not apply to teens
C. The ETF version
D. Neither

CORRECT ANSWER

C. The ETF version

Feedback (shown after answering)

$200 covers one $95 ETF share but not the $3,000 minimum.

Why each other choice is wrong (misconception it represents)

A: Below the minimum
B: Invents a rule
D: Ignores the ETF

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 5 of 5

Which question is MOST important when choosing a fund for a long-term goal?

A. What does it hold, and what does it cost each year?
B. Did it have the best return of any fund last month?
C. Is it the most popular fund this month?
D. Do my friends own it?

CORRECT ANSWER

A. What does it hold, and what does it cost each year?

Feedback (shown after answering)

Holdings and costs matter most for long-term results.

Why each other choice is wrong (misconception it represents)

B: Short-term focus
C: Follows popularity
D: Social proof

Type: knowledge check · practical how-to

SET 49 · Investing, Brokerage Accounts, and Investment Products

Diversification and asset allocation

MAIN skill: Explain diversification and asset allocation and compute a portfolio's weighted return

Outcome FL.INVEST.49 · National topic: Investing · NJSLS 9.1.12: FI, RM

Learning target: Explain diversification and asset allocation as strategies to manage investment risk

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Spreading risk (5 questions)
  Why: Diversification is "don't put all your eggs in one basket"; students need the idea before the math.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Allocations are percents of a portfolio.
- B3 · Math link → G6-S77-M (Grade 6 6.SP.B.5.c): Find the mean of a data set
  Why: A portfolio return is a weighted mean of its parts' returns.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Rebalancing (5 questions)
- Go Deeper 2: Correlation and true diversification (5 questions)

Practical skills beyond the standards: Rebalancing a portfolio

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 B, M-Q4 D, M-Q5 A, B1-Q1 D, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 B, F1-Q1 C, F1-Q2 C, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 C

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 1 of 5

Learn: Diversification means spreading money across many investments so that a problem with one has a smaller effect on the whole. It can be across companies, industries, countries, and types of assets (stocks, bonds, cash). Diversification lowers risk but cannot eliminate it or guarantee against loss.

Which portfolio is MOST diversified?

A. Shares of one technology company
B. Three stocks, all airlines
C. A total market index fund plus a bond index fund
D. Shares of a single restaurant chain and its supplier

CORRECT ANSWER

C. A total market index fund plus a bond index fund

Feedback (shown after answering)

Thousands of stocks plus bonds spread risk widely.

Why each other choice is wrong (misconception it represents)

A: Single company
B: One industry
D: Concentrated

Type: instruction

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 2 of 5

Learn: Asset allocation is how a portfolio is divided among asset classes such as stocks, bonds, and cash. A portfolio's return is the weighted average: (weight × return) for each part, added together.

Jen's portfolio is 60% stocks and 40% bonds. Stocks return 8% and bonds 3% this year. What is the portfolio's return?

A. 4.8%
B. 5.5%
C. 6%
D. 11%

CORRECT ANSWER

C. 6%

Feedback (shown after answering)

0.60 × 8% + 0.40 × 3% = 4.8% + 1.2% = 6%.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

A: Uses only the stock part
B: Averages the two returns equally
D: Adds the returns

Type: instruction

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 3 of 5

Which statement about diversification is TRUE?

A. A diversified portfolio cannot lose value
B. It reduces the impact of any single investment but cannot prevent all losses
C. Diversification guarantees a profit every year
D. Owning more shares of one stock is diversification

CORRECT ANSWER

B. It reduces the impact of any single investment but cannot prevent all losses

Feedback (shown after answering)

Broad market declines can still lower a diversified portfolio.

Why each other choice is wrong (misconception it represents)

A: Assumes a diversified investment cannot lose value
C: Overstates
D: Misunderstands

Type: knowledge check

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 4 of 5

Jen has $10,000 invested: 60% stocks, 40% bonds. How much is in stocks?

A. $60
B. $600
C. $4,000
D. $6,000

CORRECT ANSWER

D. $6,000

Feedback (shown after answering)

$10,000 × 0.60 = $6,000.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Uses 60 as dollars
B: Misplaces the decimal
C: Uses the bond share

Type: knowledge check

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 5 of 5

Learn: A longer time horizon allows more time to recover from stock market declines, so younger investors often hold more stocks. People nearing their goal often shift toward bonds and cash.

Generally, which allocation fits a 20-year-old saving for retirement better than a 70-year-old retiree?

A. More stocks, because the time horizon is longer
B. All cash, because young people cannot handle risk
C. All bonds, because stocks are illegal for young investors
D. Exactly the same allocation for everyone

CORRECT ANSWER

A. More stocks, because the time horizon is longer

Feedback (shown after answering)

Longer horizons can usually tolerate more stock market risk.

Why each other choice is wrong (misconception it represents)

B: Ignores horizon
C: Invents a rule
D: Ignores differences

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 1 of 5

Learn: When all your money depends on one thing, a problem with that thing affects everything. Spreading out reduces the damage.

A fruit stand sells only bananas. During a banana shortage it cannot get any bananas, so it cannot make sales. What happens?

A. It is unaffected
B. It earns more because bananas are now scarce
C. Its insurance replaces the lost sales
D. Its whole business suffers

CORRECT ANSWER

D. Its whole business suffers

Feedback (shown after answering)

With only one product and none to sell, the whole business is hit.

Why each other choice is wrong (misconception it represents)

A: Ignores concentration
B: Ignores that it has no bananas to sell
C: Assumes business losses are insured

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 2 of 5

Learn: Spreading sales across several products means a problem with one product affects only part of the business.

A second stand sells bananas, apples, and oranges. During a banana shortage it cannot get bananas, but it can still get and sell apples and oranges. What happens?

A. Only part of its business suffers
B. Its whole business suffers just as much
C. It earns nothing at all
D. It earns more on every fruit

CORRECT ANSWER

A. Only part of its business suffers

Feedback (shown after answering)

Selling several fruits spreads the risk.

Why each other choice is wrong (misconception it represents)

B: Ignores diversification
C: Overreacts
D: Assumes the shortage helps all products

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 3 of 5

Which saying describes diversification?

A. "Buy low, sell high."
B. "Slow and steady wins the race."
C. "A penny saved is a penny earned, my friend."
D. "Don't put all your eggs in one basket."

CORRECT ANSWER

D. "Don't put all your eggs in one basket."

Feedback (shown after answering)

Spreading eggs across baskets limits the damage if one falls.

Why each other choice is wrong (misconception it represents)

A: A timing saying, not about spreading risk
B: About patience, not spreading risk
C: About saving, not risk

Type: knowledge check

BACKWARD B1 · concept review — Spreading risk · Question 4 of 5

Learn: Diversification can happen across companies, industries, countries, and asset classes (broad types of investments, such as stocks, bonds, and cash).

Jen owns stocks of 20 U.S. companies and adds a bond fund. What kind of diversification does the bond fund add?

A. Across brokerage firms
B. Across asset classes
C. Across account types
D. Across more companies only

CORRECT ANSWER

B. Across asset classes

Feedback (shown after answering)

Stocks and bonds are different asset classes.

Why each other choice is wrong (misconception it represents)

A: Confuses where you invest with what you own
C: Confuses account labels with investments
D: Bonds are a different asset class, not just more companies

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 5 of 5

Learn: Percent of an amount = amount × rate as a decimal.

What is 40% of $5,000?

A. $200
B. $2,000
C. $3,000
D. $20,000

CORRECT ANSWER

B. $2,000

Feedback (shown after answering)

$5,000 × 0.40 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Uses 4%
C: Gives 60%
D: Uses 400%

Type: instruction

GO DEEPER 1 — Rebalancing · Question 1 of 5

Learn: Over time, investments grow at different rates, so a portfolio drifts away from its target allocation. Rebalancing means buying or selling to return to the target.

Jen's target is 60% stocks, 40% bonds on $10,000. After a strong year, she has $7,200 in stocks and $3,800 in bonds. What percent is in stocks now (nearest whole percent)?

A. 35%
B. 60%
C. 65%
D. 72%

CORRECT ANSWER

C. 65%

Feedback (shown after answering)

Total $11,000; $7,200 ÷ $11,000 × 100 = 65.4545…%, which rounds to 65%.

Recomputed independently by the build: 65

Why each other choice is wrong (misconception it represents)

A: Gives the bond share
B: Uses the target
D: Uses $10,000 as the total

Type: instruction

GO DEEPER 1 — Rebalancing · Question 2 of 5

Learn: Target amount = total value × target percent.

To rebalance $11,000 to 60% stocks, what should the stock amount be?

A. $4,400
B. $6,000
C. $6,600
D. $7,200

CORRECT ANSWER

C. $6,600

Feedback (shown after answering)

$11,000 × 0.60 = $6,600.

Recomputed independently by the build: 6600

Why each other choice is wrong (misconception it represents)

A: Gives the bond target
B: Uses the old total
D: Current amount

Type: instruction

GO DEEPER 1 — Rebalancing · Question 3 of 5

Learn: Amount to move = current amount − target amount.

Jen's portfolio holds $7,200 in stocks, and her target for stocks is $6,600. How much stock should she sell (moving it to bonds)?

A. $200
B. $600
C. $1,200
D. $6,600

CORRECT ANSWER

B. $600

Feedback (shown after answering)

$7,200 − $6,600 = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
C: Doubles the difference
D: Gives the target

Type: instruction

GO DEEPER 1 — Rebalancing · Question 4 of 5

Learn: Without rebalancing, a portfolio can become riskier than intended as stocks grow.

Why rebalance?

A. To guarantee higher returns
B. Because federal law requires it to be done each month
C. To keep risk at the level the investor chose
D. To avoid ever owning bonds

CORRECT ANSWER

C. To keep risk at the level the investor chose

Feedback (shown after answering)

Rebalancing restores the chosen risk level.

Why each other choice is wrong (misconception it represents)

A: Misreads rebalancing
B: Invents a rule
D: Misunderstands

Type: instruction

GO DEEPER 1 — Rebalancing · Question 5 of 5

Learn: Selling investments at a gain in a taxable account can create capital gains taxes.

Instead of selling, Jen could rebalance by directing new contributions to bonds. Why might that be helpful in a taxable account?

A. It can avoid selling and creating taxable gains
B. It earns guaranteed returns
C. It is required by the IRS
D. It removes all risk

CORRECT ANSWER

A. It can avoid selling and creating taxable gains

Feedback (shown after answering)

Using new money to rebalance can avoid realizing gains.

Why each other choice is wrong (misconception it represents)

B: Believes rebalancing guarantees results
C: Invents a rule
D: Overstates rebalancing

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 1 of 5

Learn: Diversification works best when investments do not all move together. Assets that move the same way give little protection; assets that move differently reduce overall swings.

Two stocks always rise and fall together. Does owning both diversify much?

A. Yes, because there are now two different funds
B. Yes, completely
C. No, it doubles the risk
D. Not much, because they move the same way

CORRECT ANSWER

D. Not much, because they move the same way

Feedback (shown after answering)

Investments that move together provide little diversification.

Why each other choice is wrong (misconception it represents)

A: Counts holdings, not behavior
B: Overstates
C: Overstates

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 2 of 5

Learn: High-quality bonds often behave differently from stocks, especially in downturns, though not always.

Which pair is more likely to diversify a stock-heavy portfolio?

A. Two technology stocks
B. Two airline stocks
C. Stocks and high-quality bonds
D. Two stock funds holding the same companies

CORRECT ANSWER

C. Stocks and high-quality bonds

Feedback (shown after answering)

High-quality bonds often move differently from stocks.

Why each other choice is wrong (misconception it represents)

A: Same industry
B: Same industry
D: Overlap

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 3 of 5

Learn: Funds that track the same index hold the same companies, so owning several adds little diversification.

Sam owns three different S&P 500 index funds. Is he well diversified across funds?

A. Yes, owning three funds triples her overall diversification
B. Not really; the three funds hold almost the same stocks
C. Yes, because each has a different name
D. No, because index funds hold one stock

CORRECT ANSWER

B. Not really; the three funds hold almost the same stocks

Feedback (shown after answering)

Overlapping funds add little real diversification.

Why each other choice is wrong (misconception it represents)

A: Counts funds, not holdings
C: Confuses names with holdings
D: Misreads

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 4 of 5

Learn: Market risk affects nearly all stocks at once; diversification mainly reduces the risk of individual companies or industries.

In a severe market crash, many stocks fall together. What does this show about diversification across stocks?

A. Diversification always prevents losses
B. Diversified portfolios are immune to crashes
C. Bonds always fall more than stocks
D. It cannot remove market-wide risk

CORRECT ANSWER

D. It cannot remove market-wide risk

Feedback (shown after answering)

Market-wide declines affect even diversified stock portfolios.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Overstates diversification
C: Misreads how asset classes behave

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 5 of 5

Learn: Target-date funds hold a mix of stock and bond funds and become more conservative over time.

A target-date fund automatically shifts from stocks toward bonds as the target year approaches. What problem does it solve?

A. It guarantees no losses before the target year
B. It removes all fees
C. It manages allocation and rebalancing for you
D. It invests only in cash

CORRECT ANSWER

C. It manages allocation and rebalancing for you

Feedback (shown after answering)

Target-date funds automate allocation changes over time.

Why each other choice is wrong (misconception it represents)

A: Believes target-date funds are guaranteed
B: Ignores expense ratios
D: Misreads

Type: instruction

SET 50 · Investing, Brokerage Accounts, and Investment Products

Placing an order: market and limit orders

MAIN skill: Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Outcome FL.INVEST.50 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Describe how investments are bought and sold, including order types and trading costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Buying at a price (5 questions)
  - Why: Orders make sense once students understand that buyers and sellers agree on a price.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Order costs multiply share prices by numbers of shares.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: The spread is the difference between ask and bid.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Limit orders for selling and stop orders (5 questions)
- Go Deeper 2: Trading costs and practical tips (5 questions)

Practical skills beyond the standards: Placing and verifying an order

Content status: stable

Source: SEC Investor.gov — A market order seeks immediate execution at the best available price, which is not guaranteed; a limit order sets a maximum purchase or minimum sale price and may not execute. https://www.investor.gov/introduction-investing/investing-basics/how-stock-markets-work/types-orders

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 A

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 1 of 5

Learn: To buy an investment, you place an order with your broker. A market order asks to buy or sell right away at the best available price. It usually executes quickly, but the exact price is not guaranteed and can differ from the last price you saw, especially in fast markets.

Kai places a MARKET order to buy 10 shares. What does this mean?

A. Buy only if the price falls to a set amount
B. Buy promptly at the best price available, which is not guaranteed
C. Buy at yesterday's closing price, guaranteed
D. Buy only after the market closes for the day

CORRECT ANSWER

B. Buy promptly at the best price available, which is not guaranteed

Feedback (shown after answering)

Market orders prioritize speed, not a guaranteed price.

Why each other choice is wrong (misconception it represents)

A: Describes a limit order
C: Thinks the price is fixed
D: Misreads timing

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 2 of 5

Learn: A limit order sets the most you will pay (to buy) or the least you will accept (to sell). It executes only at the limit price or better, so it may not execute at all.

Lia places a LIMIT order to buy at $50. The stock is trading at $52. What happens?

A. The order fills only if the price falls to $50 or lower
B. It buys immediately at $52
C. It buys at $52 and refunds $2
D. It buys at exactly $50 no matter what the market price is

CORRECT ANSWER

A. The order fills only if the price falls to $50 or lower

Feedback (shown after answering)

A buy limit at $50 fills only at $50 or less.

Why each other choice is wrong (misconception it represents)

B: Describes a market order
C: Invents a refund
D: Thinks the limit forces a price

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 3 of 5

Learn: The bid is the highest price buyers are offering; the ask is the lowest price sellers will accept. Buyers usually pay the ask, and sellers receive the bid. The difference is the bid-ask spread.

A stock shows: bid $49.95, ask $50.05. If Omar places a market order to BUY, about what price will he pay?

A. $0.10
B. $49.95
C. $50.00
D. $50.05

CORRECT ANSWER

D. $50.05

Feedback (shown after answering)

A market buy order typically fills near the ask, $50.05.

Recomputed independently by the build: 50.05

Why each other choice is wrong (misconception it represents)

A: Gives the spread
B: Uses the bid
C: Averages

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 4 of 5

Learn: The bid-ask spread = ask − bid. Narrow spreads mean lower trading costs.

Using the bid of $49.95 and ask of $50.05, what is the bid-ask spread?

A. $0.01
B. $0.10
C. $50.00
D. $100.00

CORRECT ANSWER

B. $0.10

Feedback (shown after answering)

$50.05 − $49.95 = $0.10.

Recomputed independently by the build: 0.1

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Averages
D: Adds the prices

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 5 of 5

Kai buys 10 shares at $50.05 and pays no commission. What is the total cost?

A. $50.05
B. $500.05
C. $500.50
D. $5,005.00

CORRECT ANSWER

C. $500.50

Feedback (shown after answering)

10 × $50.05 = $500.50.

Recomputed independently by the build: 500.5

Why each other choice is wrong (misconception it represents)

A: One share
B: Arithmetic error
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Buying at a price · Question 1 of 5

Learn: A trade happens when a buyer and a seller agree on a price. Exchanges match buyers and sellers.

In any market, who decides the price of a trade?

A. A buyer and a seller who agree
B. Only the buyer, by bidding higher
C. The government
D. The bank

CORRECT ANSWER

A. A buyer and a seller who agree

Feedback (shown after answering)

Trades happen at prices both sides accept.

Why each other choice is wrong (misconception it represents)

B: Ignores sellers
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Buying at a price · Question 2 of 5

Learn: The asking price is what a seller wants; the offer (bid) is what a buyer will pay.

A seller asks $20 for a used game. A buyer offers $18. What must happen for a sale?

A. The sale happens at $18 automatically
B. The sale happens at $20 automatically
C. One of them changes their price until they agree
D. The sale happens at $38, the two prices added together

CORRECT ANSWER

C. One of them changes their price until they agree

Feedback (shown after answering)

No trade occurs until the bid and ask meet.

Why each other choice is wrong (misconception it represents)

A: Ignores the seller
B: Ignores the buyer
D: Adds prices

Type: instruction

BACKWARD B1 · concept review — Buying at a price · Question 3 of 5

Learn: An order tells your broker what to buy or sell, how many shares (or dollars), and at what kind of price.

What is an "order" when investing?

A. A bill from the broker
B. An instruction to a broker to buy or sell
C. A receipt from a store
D. A monthly fee

CORRECT ANSWER

B. An instruction to a broker to buy or sell

Feedback (shown after answering)

Orders are trading instructions.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Buying at a price · Question 4 of 5

Buying 4 shares at $25 each costs how much?

A. $6.25
B. $25
C. $29
D. $100

CORRECT ANSWER

D. $100

Feedback (shown after answering)

4 × $25 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Divides
B: One share
C: Adds

Type: knowledge check

BACKWARD B1 · concept review — Buying at a price · Question 5 of 5

Learn: The bid is what buyers offer; the ask is what sellers accept.

Which tells you the LOWEST price a seller will accept right now?

A. The bid
B. The dividend
C. The volume
D. The ask

CORRECT ANSWER

D. The ask

Feedback (shown after answering)

The ask is the lowest current selling price.

Why each other choice is wrong (misconception it represents)

A: Buyer's price
B: Payment to owners
C: Number of shares traded

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 1 of 5

Learn: A sell limit order sets the minimum price you will accept. It executes only at that price or higher.

Ana owns a stock trading at $40. She places a SELL limit order at $45. When can it execute?

A. Immediately at $40
B. Only if the price rises to $45 or higher
C. Only if the price falls to $45 or lower
D. At exactly $45, regardless of the market price

CORRECT ANSWER

B. Only if the price rises to $45 or higher

Feedback (shown after answering)

A sell limit at $45 fills at $45 or more.

Why each other choice is wrong (misconception it represents)

A: Describes a market order
C: Reverses sell limits
D: Thinks limits force prices

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 2 of 5

Learn: A stop order becomes a market order once the stop price is reached, so the sale price can be worse than the stop price in a fast-moving market.

A stop-loss (stop) order to sell at $35 becomes a market order when the price falls to $35. The price gaps down overnight to $30. What might happen?

A. It sells at exactly $35, which is guaranteed by the order
B. It cancels itself automatically
C. It may sell near $30, below the $35 stop price
D. It buys more shares

CORRECT ANSWER

C. It may sell near $30, below the $35 stop price

Feedback (shown after answering)

Once triggered, it is a market order and fills at the next available price.

Why each other choice is wrong (misconception it represents)

A: Thinks stops guarantee price
B: Misunderstands
D: Misreads

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 3 of 5

Which order type risks NOT executing at all?

A. A limit order
B. A market order in a heavily traded stock
C. A buy of a widely traded index ETF at market
D. A market sell during trading hours

CORRECT ANSWER

A. A limit order

Feedback (shown after answering)

Limit orders execute only at the limit or better, so they may never fill.

Why each other choice is wrong (misconception it represents)

B: Usually executes
C: Usually executes
D: Usually executes

Type: knowledge check

GO DEEPER 1 — Limit orders for selling and stop orders · Question 4 of 5

Learn: Orders can be day orders (expire at the end of the trading day) or good-'til-canceled (stay open longer, often up to a time limit set by the broker).

An order marked "good 'til canceled" (GTC) means...

A. it lasts only one minute
B. it is canceled at market open
C. it guarantees execution
D. it stays open until filled or canceled, up to the broker's time limit

CORRECT ANSWER

D. it stays open until filled or canceled, up to the broker's time limit

Feedback (shown after answering)

GTC orders remain open until filled, canceled, or they expire under the broker's rules.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Confuses order duration with a fill

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 5 of 5

Learn: For heavily traded funds with narrow spreads, market orders usually fill close to the quoted price, and a limit order at the ask adds price protection.

A long-term investor buys a widely traded index ETF with a narrow spread. Which order type is often reasonable?

A. A limit order near the current ask, or a market order
B. A stop order far below the price
C. A sell limit order
D. A good-till-canceled limit far below the price

CORRECT ANSWER

A. A limit order near the current ask, or a market order

Feedback (shown after answering)

Either works for liquid ETFs; a limit at the ask adds price protection.

Why each other choice is wrong (misconception it represents)

B: Confuses a sell tool with buying
C: Wrong direction
D: May never fill

Type: instruction · practical how-to

GO DEEPER 2 — Trading costs and practical tips · Question 1 of 5

Learn: A wide spread is a hidden trading cost: buying at the ask and selling at the bid loses the spread on each share.

A thinly traded stock has a bid of $9.50 and an ask of $10.50. Kai buys 100 shares at the ask and immediately sells at the bid. How much does he lose?

A. $0
B. $1
C. $100
D. $1,000

CORRECT ANSWER

C. $100

Feedback (shown after answering)

Spread $1.00 × 100 shares = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Ignores the spread
B: Uses one share's spread
D: Adds a zero

Type: instruction

GO DEEPER 2 — Trading costs and practical tips · Question 2 of 5

Learn: Prices can move quickly at the opening because of overnight news.

Why might placing a market order right when the market opens be risky?

A. Orders are illegal before noon
B. The price is fixed for the first hour
C. Prices can swing sharply at the open
D. Market orders fill only at the previous close

CORRECT ANSWER

C. Prices can swing sharply at the open

Feedback (shown after answering)

Volatile opening prices can fill market orders far from the last quote.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Believes opening prices are locked
D: Confuses the last price with the next price

Type: instruction

GO DEEPER 2 — Trading costs and practical tips · Question 3 of 5

Learn: Most trading mistakes are simple input errors: wrong ticker, wrong side, or wrong quantity.

Before submitting an order, what should Ana double-check?

A. Yesterday's closing price only
B. The ticker, buy or sell, quantity, and order type
C. Her account's credit limit
D. The number of shares other people bought today

CORRECT ANSWER

B. The ticker, buy or sell, quantity, and order type

Feedback (shown after answering)

Checking each field prevents costly mistakes.

Why each other choice is wrong (misconception it represents)

A: Ignores the order details
C: Confuses a brokerage account with a credit card
D: Follows the crowd instead of checking her order

Type: instruction · practical how-to

GO DEEPER 2 — Trading costs and practical tips · Question 4 of 5

Learn: Brokers send trade confirmations showing what was bought or sold, the price, quantity, and any fees.

After an order executes, where can Ana verify it?

A. In a social media feed
B. On her credit report
C. In her bank's checking statement
D. In the account's trade confirmation and activity history

CORRECT ANSWER

D. In the account's trade confirmation and activity history

Feedback (shown after answering)

Trade confirmations and account history show executed orders.

Why each other choice is wrong (misconception it represents)

A: Unreliable
B: Not shown there
C: Not where trades appear

Type: instruction · practical how-to

GO DEEPER 2 — Trading costs and practical tips · Question 5 of 5

Learn: Commission-free trading removes a per-trade fee, but other costs remain.

A trading app offers "$0 commissions." Which cost can still apply?

A. The bid-ask spread and fund expense ratios
B. No costs of any kind
C. Sales tax on every share purchased
D. A monthly fee for logging in

CORRECT ANSWER

A. The bid-ask spread and fund expense ratios

Feedback (shown after answering)

Spreads and fund expenses still cost money.

Why each other choice is wrong (misconception it represents)

B: Believes $0 commission means free
C: Confuses investments with retail purchases
D: Invents a common fee

Type: instruction

SET 51 · Investing, Brokerage Accounts, and Investment Products

Investment fees and expense ratios

MAIN skill: Calculate investment fees and explain how they reduce long-term returns

Outcome FL.INVEST.51 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain how fees and expenses affect investment returns

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as a percent of an amount (5 questions)
  Why: Fee questions are percent-of-an-amount problems with very small percents.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Fees are percents of the amount invested.
- B3 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Fees lower the yearly growth factor, which compounds over time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Advisory fees and other costs (5 questions)
- Go Deeper 2: Fees and compounding (5 questions)

Practical skills beyond the standards: Reading a fund fee table

Content status: stable

Source: SEC Investor.gov (Mutual fund fees and expenses) — Ongoing fees such as expense ratios reduce investment returns, and the effect compounds over time.
https://www.investor.gov/introduction-investing/investing-basics/glossary/mutual-fund-fees-and-expenses

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 B, B1-Q3 B, B1-Q4 B, B1-Q5 B, F1-Q1 C, F1-Q2 D, F1-Q3 B, F1-Q4 D, F1-Q5 C, F2-Q1 A, F2-Q2 A, F2-Q3 D, F2-Q4 B, F2-Q5 C

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 1 of 5

Learn: An expense ratio is the yearly cost of owning a fund, expressed as a percent of the money invested. It is taken out of the fund's assets automatically, so you never see a bill, but it lowers your return. Annual cost = amount invested × expense ratio.

A fund has an expense ratio of 0.50%. How much does it cost per year on a $8,000 investment?

A. $4
B. $40
C. $50
D. $400

CORRECT ANSWER

B. $40

Feedback (shown after answering)

$8,000 × 0.005 = $40 per year.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses 0.05%
C: Uses the percent as dollars per hundred
D: Uses 5%

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 2 of 5

Learn: Comparing expense ratios in dollars shows how much a fee difference costs you each year.

Two funds hold similar investments. Fund A charges 0.04%; Fund B charges 1.04%. On $20,000, how much more does Fund B cost per year?

A. $8
B. $200
C. $208
D. $2,000

CORRECT ANSWER

B. $200

Feedback (shown after answering)

Difference 1.00% × $20,000 = $200 per year.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Gives Fund A's cost
C: Gives Fund B's total cost
D: Uses 10%

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 3 of 5

Learn: Fees reduce returns every year, and the lost growth compounds. A difference that looks small each year can become large over decades.

$10,000 grows for 30 years at 7% a year before fees. With a 0.05% fee, it grows to about $75,063; with a 0.75% fee, about $61,641. How much does the higher fee cost over 30 years?

A. About $210
B. About $2,100
C. About $13,422
D. About $61,641

CORRECT ANSWER

C. About $13,422

Feedback (shown after answering)

$75,063 − $61,641 ≈ $13,422 lost to the higher fee.

Recomputed independently by the build: 13422

Why each other choice is wrong (misconception it represents)

A: Uses one year of the fee difference
B: Uses 30 years of simple fees on $10,000
D: Gives the high-fee balance

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 4 of 5

Learn: Some mutual funds charge sales loads: a front-end load is taken from each purchase, and a back-end load when you sell. No-load funds do not charge these.

A fund charges a 5.75% "front-end load" (a sales charge) on purchases. Ian invests $1,000. How much is actually invested in the fund?

A. $57.50
B. $942.50
C. $1,000.00
D. $1,057.50

CORRECT ANSWER

B. $942.50

Feedback (shown after answering)

Load: $1,000 × 0.0575 = $57.50. Invested: $942.50.

Recomputed independently by the build: 942.5

Why each other choice is wrong (misconception it represents)

A: Gives the load
C: Ignores the load
D: Adds the load

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 5 of 5

Which statement about investment fees is TRUE?

A. Higher fees guarantee better performance
B. Fees do not matter at all in long-term investing plans
C. Expense ratios are paid only when you sell
D. Lower fees leave more of the return for the investor

CORRECT ANSWER

D. Lower fees leave more of the return for the investor

Feedback (shown after answering)

Every dollar paid in fees is a dollar not compounding for you.

Why each other choice is wrong (misconception it represents)

A: Assumes cost equals quality
B: Ignores compounding of costs
C: Misunderstands when fees are charged

Type: knowledge check

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 1 of 5

Learn: To write a percent as a decimal, divide by 100.

Write 0.25% as a decimal.

A. 0.0025
B. 0.025
C. 0.25
D. 25

CORRECT ANSWER

A. 0.0025

Feedback (shown after answering)

0.25 ÷ 100 = 0.0025.

Recomputed independently by the build: 0.0025

Why each other choice is wrong (misconception it represents)

B: Moves the decimal one place too few
C: Does not convert
D: Moves the wrong way

Type: instruction

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 2 of 5

Learn: Percent of an amount = amount × decimal.

What is 0.25% of $4,000?

A. $1
B. $10
C. $100
D. $1,000

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$4,000 × 0.0025 = $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 0.025%
C: Uses 2.5%
D: Uses 25%

Type: instruction

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 3 of 5

Which is LARGER: 0.1% or 1%?

A. 0.1%
B. 1%
C. They are equal
D. It cannot be compared

CORRECT ANSWER

B. 1%

Feedback (shown after answering)

1% is ten times 0.1%.

Why each other choice is wrong (misconception it represents)

A: Misreads decimals
C: Misreads
D: Gives up

Type: knowledge check

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 4 of 5

Learn: Percent = part ÷ whole × 100.

A $50 yearly fee on a $5,000 account is what percent?

A. 0.1%
B. 1%
C. 10%
D. 50%

CORRECT ANSWER

B. 1%

Feedback (shown after answering)

$50 ÷ $5,000 = 0.01 = 1%.

Recomputed independently by the build: 1

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Misplaces the decimal
D: Uses dollars

Type: instruction

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 5 of 5

Why are fund fees easy to overlook?

A. They are always zero for index funds
B. They are taken from the fund automatically, not billed
C. They are paid only by the broker
D. They are billed once a year by mail

CORRECT ANSWER

B. They are taken from the fund automatically, not billed

Feedback (shown after answering)

Expense ratios are deducted inside the fund, so no bill arrives.

Why each other choice is wrong (misconception it represents)

A: Believes low-cost means no-cost
C: Believes someone else pays them
D: Misses that fees are deducted from fund assets

Type: knowledge check

GO DEEPER 1 — Advisory fees and other costs · Question 1 of 5

Learn: Some advisors charge a percent of assets under management (AUM) each year, in addition to fund expenses. Others charge flat or hourly fees.

A financial advisor charges 1% of assets per year. On a $50,000 account, what is the yearly fee?

A. $1
B. $50
C. $500
D. $5,000

CORRECT ANSWER

C. $500

Feedback (shown after answering)

$50,000 × 0.01 = $500 per year.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Uses the percent as dollars
B: Uses 0.1%
D: Uses 10%

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 2 of 5

Learn: Different layers of fees add up.

An account pays a 0.80% fund expense ratio plus a 1.00% advisory fee. What is the total yearly cost as a percent?

A. 0.20%
B. 0.80%
C. 1.00%
D. 1.80%

CORRECT ANSWER

D. 1.80%

Feedback (shown after answering)

0.80% + 1.00% = 1.80% per year.

Recomputed independently by the build: 1.8

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Leaves out the advisory fee
C: Leaves out the fund expense

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 3 of 5

Learn: Net return ≈ gross return − total costs.

If a portfolio earns 7% before costs and pays 1.80% in total costs, what is the approximate net return?

A. 1.80%
B. 5.20%
C. 7.00%
D. 8.80%

CORRECT ANSWER

B. 5.20%

Feedback (shown after answering)

7% − 1.80% = 5.20%.

Recomputed independently by the build: 5.2

Why each other choice is wrong (misconception it represents)

A: Gives costs
C: Ignores costs
D: Adds costs

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 4 of 5

Learn: 12b-1 fees are ongoing fees that some mutual funds charge for marketing and distribution; they are part of the expense ratio.

What does a "12b-1 fee" on a mutual fund pay for?

A. Federal income taxes on fund gains
B. Insurance that protects the fund from losses
C. The fund manager's guaranteed return
D. Marketing and distribution costs, included in the expense ratio

CORRECT ANSWER

D. Marketing and distribution costs, included in the expense ratio

Feedback (shown after answering)

12b-1 fees cover marketing and distribution and raise the expense ratio.

Why each other choice is wrong (misconception it represents)

A: Confuses fees with taxes
B: Believes funds insure against losses
C: Believes fees buy guarantees

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 5 of 5

Learn: Fund prospectuses include a standardized fee table showing sales loads, expense ratios, and other costs.

Where can an investor find all of a fund's fees in one standard table?

A. On the fund's TV commercials
B. On the investor's monthly bank statement
C. The fee table in the fund's prospectus
D. On Form 1099-DIV

CORRECT ANSWER

C. The fee table in the fund's prospectus

Feedback (shown after answering)

The prospectus fee table lists all fund fees.

Why each other choice is wrong (misconception it represents)

A: Incomplete
B: Looks in the wrong document
D: Confuses tax reporting with fee disclosure

Type: instruction · practical how-to

GO DEEPER 2 — Fees and compounding · Question 1 of 5

Learn: The Rule of 72 estimates years to double: 72 ÷ rate.

A 1% yearly fee lowers a 7% return to 6%. Using the Rule of 72, about how much longer does it take money to double?

A. About 2 years longer (12 vs about 10.3)
B. About the same time
C. About 1 month longer
D. Twice as long

CORRECT ANSWER

A. About 2 years longer (12 vs about 10.3)

Feedback (shown after answering)

72 ÷ 7 ≈ 10.3 years; 72 ÷ 6 = 12 years.

Why each other choice is wrong (misconception it represents)

B: Ignores the effect
C: Understates
D: Overstates

Type: instruction

GO DEEPER 2 — Fees and compounding · Question 2 of 5

Learn: Over long periods, the difference between two growth rates compounds.

$10,000 grows at 6% instead of 7% for 30 years. At 7% it reaches about $76,123; at 6% about $57,435. How much does the 1% fee cost?

A. About $18,688
B. About $3,000
C. About $100
D. About $57,435

CORRECT ANSWER

A. About $18,688

Feedback (shown after answering)

$76,123 − $57,435 ≈ $18,688.

Recomputed independently by the build: 18688

Why each other choice is wrong (misconception it represents)

B: Uses 30 years of 1% simple fees
C: Uses one year
D: Gives the lower balance

Type: instruction

GO DEEPER 2 — Fees and compounding · Question 3 of 5

Which choice usually has the biggest effect on long-term costs for a beginner?

A. Trading more often to catch every move
B. Paying a sales load for a famous fund
C. Ignoring the expense ratio
D. Choosing low-cost index funds

CORRECT ANSWER

D. Choosing low-cost index funds

Feedback (shown after answering)

Low ongoing costs compound in the investor's favor.

Why each other choice is wrong (misconception it represents)

A: Raises costs
B: Raises costs
C: Raises costs

Type: knowledge check

GO DEEPER 2 — Fees and compounding · Question 4 of 5

Learn: Yearly savings = amount invested × fee reduction (as a decimal).

A fund's fee drops from 0.60% to 0.10%. On $30,000, how much does that save per year?

A. $30
B. $150
C. $180
D. $1,500

CORRECT ANSWER

B. $150

Feedback (shown after answering)

0.50% × $30,000 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

A: Gives the new fee
C: Gives the old fee
D: Adds a zero

Type: instruction

GO DEEPER 2 — Fees and compounding · Question 5 of 5

Which is a better comparison between two funds?

A. Their returns before any fees are taken out of them
B. Their best single year
C. Their returns after fees over the same period
D. Their star ratings alone

CORRECT ANSWER

C. Their returns after fees over the same period

Feedback (shown after answering)

Compare net-of-fee returns over the same period.

Why each other choice is wrong (misconception it represents)

A: Ignores costs
B: Cherry-picks one year
D: Uses a rating as a shortcut for costs and returns

Type: knowledge check

SET 52 · Investing, Brokerage Accounts, and Investment Products

Measuring investment returns and risk

MAIN skill: Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Outcome FL.INVEST.52 · National topic: Investing · NJSLS 9.1.12: FI, EG

Learning target: Calculate investment returns and explain risk, volatility, and the effect of inflation

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent change and averages (5 questions)
  - Why: Return calculations are percent changes and averages.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Returns are percent changes from a starting value.
- B3 · Math link → ALG1-S60-M (Algebra 1 HSS-ID.A.2): Compare the center and spread of two or more data sets
  - Why: Volatility compares how spread out two sets of returns are.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Average returns versus actual growth (5 questions)
- Go Deeper 2: Real returns and purchasing power (5 questions)

Practical skills beyond the standards: Comparing compound and average returns

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 B, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 D, B1-Q5 B, F1-Q1 B, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 C, F2-Q1 B, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 1 of 5

Learn: Total return is the percent change over the whole period. The annualized (compound) return is the steady yearly rate that would produce the same result: (ending ÷ starting)^(1 ÷ years) − 1.

Mia invested $1,000, and five years later it is worth $1,610.51 with no additions. Which annual growth rate, compounded, produces this?

A. 6.1%
B. 10%
C. 12.2%
D. 61%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

1,000 × 1.10^5 = 1,610.51, so the annualized return is 10% (total return 61.05%).

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Divides total growth by 5 years (simple average)
D: Gives total growth

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 2 of 5

Learn: Total return = (ending − starting) ÷ starting × 100.

Mia's investment rose from $1,000 to $1,610.51. What is the TOTAL return?

A. 6.11%
B. 10.00%
C. 61.05%
D. 161.05%

CORRECT ANSWER

C. 61.05%

Feedback (shown after answering)

(1,610.51 − 1,000) ÷ 1,000 = 61.05%.

Recomputed independently by the build: 61.051

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Gives the annualized return
D: Gives the ending value as a percent

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 3 of 5

Learn: The nominal return is the stated return. The real return adjusts for inflation and shows the change in purchasing power: real return ≈ nominal return − inflation (more precisely, (1 + nominal) ÷ (1 + inflation) − 1).

An investment returned 8% last year while inflation was 3%. What was the approximate REAL return?

A. About 11%
B. About 5%
C. About 8%
D. About 2.7%

CORRECT ANSWER

B. About 5%

Feedback (shown after answering)

8% − 3% ≈ 5% (precisely, 1.08 ÷ 1.03 − 1 ≈ 4.85%).

Why each other choice is wrong (misconception it represents)

A: Adds inflation
C: Ignores inflation
D: Divides the rates

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 4 of 5

Learn: Volatility describes how much returns vary from year to year. Investments with the same average return can have very different volatility; more volatility usually means more risk.

Fund X's yearly returns: 6%, 7%, 5%, 6%. Fund Y's: 20%, −10%, 25%, −11%. Both averaged 6%. Which is more volatile?

A. Fund X
B. Both are equally volatile
C. Fund Y
D. Neither; volatility is the same as average return

CORRECT ANSWER

C. Fund Y

Feedback (shown after answering)

Fund Y's returns swing widely; Fund X's stay close to 6%.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores the spread
D: Confuses concepts

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 5 of 5

Which statement about investment returns is TRUE?

A. Past returns do not guarantee future returns
B. An average return will be earned every single year
C. Returns from last year predict this year exactly
D. Stocks have never lost money in any year

CORRECT ANSWER

A. Past returns do not guarantee future returns

Feedback (shown after answering)

Averages hide year-to-year swings; the future can differ from the past.

Why each other choice is wrong (misconception it represents)

B: Treats an average as a yearly guarantee
C: Assumes momentum
D: Ignores market history

Type: knowledge check

BACKWARD B1 · concept review — Percent change and averages · Question 1 of 5

Learn: Percent change = (new − old) ÷ old × 100.

A value goes from $200 to $250. What is the percent increase?

A. 20%
B. 25%
C. 50%
D. 125%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

$50 ÷ $200 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides by the new value
C: Uses $50 as a percent
D: Gives the new value as a percent

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 2 of 5

Learn: Always divide by the starting (old) value.

A value goes from $250 to $200. What is the percent decrease?

A. 20%
B. 25%
C. 50%
D. 80%

CORRECT ANSWER

A. 20%

Feedback (shown after answering)

$50 ÷ $250 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Divides by the new value
C: Uses dollars
D: Gives the remaining part

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 3 of 5

Learn: Average = sum ÷ number of values.

What is the average of 4%, 8%, and 6%?

A. 4%
B. 6%
C. 8%
D. 18%

CORRECT ANSWER

B. 6%

Feedback (shown after answering)

(4 + 8 + 6) ÷ 3 = 6%.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

A: Gives the smallest
C: Gives the largest
D: Adds without dividing

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 4 of 5

Learn: The range (largest − smallest) is a simple measure of spread.

Which set of returns is MOST spread out?

A. 4%, 5%, 6%
B. 5%, 5%, 5%, 5%
C. 3%, 5%, 7%
D. −15%, 5%, 25%

CORRECT ANSWER

D. −15%, 5%, 25%

Feedback (shown after answering)

Range 40 points vs 2, 0, and 4.

Why each other choice is wrong (misconception it represents)

A: Small spread
B: No spread
C: Smaller spread

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 5 of 5

Learn: If prices rise faster than your money grows, it buys less.

Prices rise 3% and your savings earn 1%. Can your savings buy more or less than before?

A. More
B. Less
C. Exactly the same
D. It cannot be known at all

CORRECT ANSWER

B. Less

Feedback (shown after answering)

Prices grew faster than the money, so it buys less.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
C: Ignores the gap
D: Gives up

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 1 of 5

Learn: A simple average of yearly returns can overstate actual growth when returns swing. The compound (annualized) return reflects what really happened to your money.

An investment returns +50% one year and −50% the next. The simple average is 0%. Starting from $1,000, what is it worth?

A. $500
B. $750
C. $1,000
D. $1,250

CORRECT ANSWER

B. $750

Feedback (shown after answering)

$1,000 × 1.5 = $1,500; × 0.5 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

A: Applies only the loss
C: Trusts the simple average
D: Arithmetic error

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 2 of 5

Learn: Percent changes multiply: a 50% loss after a 50% gain applies to a bigger balance.

For the +50% then −50% example, the compound annual return is about −13.4%. Why is it negative though the simple average is 0%?

A. The bank charged fees
B. Losses hit a larger balance than the gains started from
C. Simple averages are always negative
D. Compound returns ignore losses

CORRECT ANSWER

B. Losses hit a larger balance than the gains started from

Feedback (shown after answering)

The 50% loss came after the gain, on a $1,500 balance.

Why each other choice is wrong (misconception it represents)

A: Not in the example
C: Misreads averages
D: Reverses how compounding works

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 3 of 5

Learn: Apply each year's growth factor in turn: multiply by (1 + return) for each year.

An index rose 20% one year, then 0%, then 20%. Starting at $1,000, what is it worth?

A. $1,200
B. $1,400
C. $1,440
D. $1,600

CORRECT ANSWER

C. $1,440

Feedback (shown after answering)

1,000 × 1.2 × 1.0 × 1.2 = $1,440.

Recomputed independently by the build: 1440

Why each other choice is wrong (misconception it represents)

A: Counts one gain
B: Adds 40% simply
D: Adds 60%

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 4 of 5

Learn: The compound annual growth rate (CAGR) is the single steady yearly rate that turns the starting value into the ending value: start × (1 + rate)^years = end.

$1,000 grows to $1,210 in 2 years. What steady yearly rate (compound annual growth rate) produces that?

A. 5%
B. 10%
C. 10.5%
D. 21%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

$1,000 × 1.10 × 1.10 = $1,210, so the CAGR is 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Halves the rate
C: Uses the simple average: 21% ÷ 2
D: Gives the total growth

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 5 of 5

Learn: Advertisements can choose time periods that look best.

A fund ad shows only its best 3-year period. What is the problem?

A. Nothing; the best period is most relevant
B. It understates returns
C. It may hide periods of poor performance
D. It hides the fund's name

CORRECT ANSWER

C. It may hide periods of poor performance

Feedback (shown after answering)

Cherry-picked periods can mislead; look at standardized 1-, 5-, and 10-year returns.

Why each other choice is wrong (misconception it represents)

A: Cherry-picking
B: Reverses
D: Misreads the problem

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 1 of 5

Learn: Exact real return = (1 + nominal) ÷ (1 + inflation) − 1.

Using the exact formula, what is the real return on an 8% nominal return with 3% inflation (nearest hundredth)?

A. 2.67%
B. 4.85%
C. 5.00%
D. 11.24%

CORRECT ANSWER

B. 4.85%

Feedback (shown after answering)

1.08 ÷ 1.03 − 1 ≈ 0.0485 = 4.85%.

Recomputed independently by the build: 4.854369

Why each other choice is wrong (misconception it represents)

A: Divides the rates
C: Uses the approximation
D: Multiplies the factors

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 2 of 5

Learn: Real return ≈ nominal return − inflation. A negative real return means money loses purchasing power.

A savings account pays 2% while inflation is 4%. What is the approximate real return?

A. −2%
B. 0.5%
C. 2%
D. 6%

CORRECT ANSWER

A. −2%

Feedback (shown after answering)

2% − 4% ≈ −2%: the money buys less each year.

Why each other choice is wrong (misconception it represents)

B: Divides
C: Ignores inflation
D: Adds

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 3 of 5

Learn: Real growth, the change in what money can buy, is about the growth rate of the money minus the inflation rate.

$1,000 grows to $1,050 in a year when prices rise 5%. What happened to its purchasing power?

A. It rose by about 5%
B. It fell 5%
C. It rose 10%
D. About the same

CORRECT ANSWER

D. About the same

Feedback (shown after answering)

5% − 5% ≈ 0%: purchasing power is about unchanged.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
B: Ignores the growth
C: Adds

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 4 of 5

Why do long-term investors care about real returns?

A. Goals like retirement depend on what money will buy
B. Real returns are always higher than nominal returns
C. Taxes are based on real returns
D. Inflation affects only cash, not investments

CORRECT ANSWER

A. Goals like retirement depend on what money will buy

Feedback (shown after answering)

Purchasing power, not the number of dollars, determines what goals can be met.

Why each other choice is wrong (misconception it represents)

B: Untrue when inflation is positive
C: Confuses tax rules
D: Believes inflation spares investments

Type: knowledge check

GO DEEPER 2 — Real returns and purchasing power · Question 5 of 5

Learn: Money that earns nothing loses purchasing power whenever prices rise.

Which asset is MOST likely to lose purchasing power over 30 years?

A. Cash kept in a non-interest checking account
B. A diversified stock index fund
C. Treasury inflation-protected securities (TIPS)
D. Series I savings bonds

CORRECT ANSWER

A. Cash kept in a non-interest checking account

Feedback (shown after answering)

Zero interest plus inflation steadily erodes purchasing power.

Why each other choice is wrong (misconception it represents)

B: Has historically outpaced inflation, with risk
C: Inflation-adjusted
D: Inflation-adjusted

Type: instruction

SET 53 · Investing, Brokerage Accounts, and Investment Products

Taxes on investments

MAIN skill: Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Outcome FL.INVEST.53 · National topic: Investing · NJSLS 9.1.12: EG, FI

Learning target: 12-8b tax-deferred versus taxable investing; capital gains on taxable investments

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Cost, sale price, and profit (5 questions)
  - Why: Capital gains are profit = sale price − cost, which students must find before taxes.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Taxes on gains are a percent of the gain.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Capital losses and tax planning (5 questions)
- Go Deeper 2: Investment income in a tax return (5 questions)

Practical skills beyond the standards: Reading Forms 1099-B, 1099-DIV, and 1099-INT

Content status: time-sensitive

Source: IRS (Topic 409, Capital Gains and Losses) — Gains on assets held more than one year are generally long-term and taxed at lower rates (special rules apply to some assets); net capital losses can offset up to $3,000 of other income per year ($1,500 if married filing separately). https://www.irs.gov/taxtopics/tc409

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 B, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 B, F2-Q1 A, F2-Q2 D, F2-Q3 D, F2-Q4 A, F2-Q5 C

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 1 of 5

Learn: A capital gain is the profit from selling an investment for more than its cost basis (what you paid, including some fees). In a taxable account, realized gains are generally taxable in the year you sell. A capital loss is the reverse.

Leo bought shares for $2,000 and sold them for $2,600 in a taxable brokerage account. What is his capital gain?

A. $600
B. $2,000
C. $2,600
D. $4,600

CORRECT ANSWER

A. $600

Feedback (shown after answering)

$2,600 − $2,000 = $600 capital gain.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

B: Uses the cost
C: Uses the sale amount
D: Adds

Type: instruction

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 2 of 5

Learn: For ordinary stock and fund investments in a taxable account, gains on investments held one year or less are short-term and taxed as ordinary income. Gains on investments held more than one year are long-term and generally taxed at lower rates (0%, 15%, or 20%, depending on income). Some assets, such as collectibles, have special rules.

Under federal rules, a gain on an ordinary stock or fund investment in a taxable account held for MORE than one year is...

A. short-term, taxed at ordinary income rates
B. long-term, usually taxed at lower rates
C. always tax-free for everyone
D. taxed only if it exceeds $1 million

CORRECT ANSWER

B. long-term, usually taxed at lower rates

Feedback (shown after answering)

Holding more than one year generally makes the gain long-term, with lower rates.

Why each other choice is wrong (misconception it represents)

A: Reverses the holding period
C: Overstates
D: Invents a threshold

Type: instruction · rule as of Federal rules as of 2026

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 3 of 5

Learn: Comparing tax at two rates shows the dollar value of a longer holding period. (Rates here are hypothetical for this example.)

Assume Leo's $600 long-term gain is taxed at 15% and a short-term gain would be taxed at 22%. How much tax does holding over a year save?

A. $42
B. $90
C. $132
D. $222

CORRECT ANSWER

A. $42

Feedback (shown after answering)

Short-term: $600 × 0.22 = $132. Long-term: $600 × 0.15 = $90. Savings: $42.

Recomputed independently by the build: 42

Why each other choice is wrong (misconception it represents)

B: Gives the long-term tax
C: Gives the short-term tax
D: Adds

Type: instruction

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 4 of 5

Learn: In a taxable brokerage account, dividends, most interest, and realized gains are generally taxed each year (some interest, such as on many municipal bonds, is exempt). Tax-advantaged accounts, such as IRAs and 401(k)s, let investments grow without yearly taxes; taxes are deferred (traditional) or avoided on qualified withdrawals (Roth).

Which account lets investments grow without yearly taxes on dividends and gains?

A. A regular taxable brokerage account in her own name
B. A standard checking account
C. A tax-advantaged retirement account such as an IRA
D. A high-yield savings account

CORRECT ANSWER

C. A tax-advantaged retirement account such as an IRA

Feedback (shown after answering)

Retirement accounts shelter growth from yearly taxes.

Why each other choice is wrong (misconception it represents)

A: Taxes due each year on distributions and sales
B: Not an investment account
D: Interest is taxed each year

Type: instruction

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 5 of 5

Learn: In a taxable account, dividends and interest are generally taxed in the year they are paid, even if reinvested.

A stock fund in a taxable account pays $200 of dividends this year, and Jo does not sell anything. Is anything taxable?

A. No; nothing at all is taxed until she sells the fund
B. No; dividends are never taxed
C. Only if she reinvested the dividends in cash
D. Yes; the dividends are generally taxable this year

CORRECT ANSWER

D. Yes; the dividends are generally taxable this year

Feedback (shown after answering)

Dividends are generally taxable when paid, even if reinvested.

Why each other choice is wrong (misconception it represents)

A: Forgets dividends
B: Ignores dividend taxes
C: Believes reinvesting avoids tax

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 1 of 5

Learn: Profit = selling price − cost.

Ana buys a used bike for $120 and sells it for $150. What is her profit?

A. $30
B. $120
C. $150
D. $270

CORRECT ANSWER

A. $30

Feedback (shown after answering)

$150 − $120 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Cost
C: Sale price
D: Adds

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 2 of 5

Learn: When the selling price is below cost, the difference is a loss.

A share bought for $50 is sold for $40. What is the result?

A. A $10 loss
B. A $10 gain
C. A $90 gain
D. No gain or loss

CORRECT ANSWER

A. A $10 loss

Feedback (shown after answering)

$40 − $50 = −$10, a $10 loss.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Ignores the change

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 3 of 5

Learn: Tax at a rate = amount × rate.

What is 15% of $400?

A. $6
B. $60
C. $415
D. $600

CORRECT ANSWER

B. $60

Feedback (shown after answering)

$400 × 0.15 = $60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
C: Adds
D: Uses 150%

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 4 of 5

Learn: A gain is long-term if the investment was held more than one year; otherwise it is short-term and taxed like ordinary income.

Jo buys shares on March 1, 2025 and sells them at a gain on February 15, 2026. How is the gain treated?

A. Long-term, since the sale is in a new calendar year
B. Long-term, since she held them close to a year
C. Short-term, since she held them one year or less
D. Tax-free, since she held them over six months

CORRECT ANSWER

C. Short-term, since she held them one year or less

Feedback (shown after answering)

March 1, 2025 to February 15, 2026 is less than a year, so the gain is short-term.

Why each other choice is wrong (misconception it represents)

A: Confuses tax years with holding time
B: Rounds up the holding period
D: Invents a rule

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 5 of 5

Learn: Cost basis is generally your purchase price, adjusted for some costs and events. Gain = sale proceeds − cost basis.

What is "cost basis"?

A. The current market price
B. What you paid for an investment, used to figure gains
C. The tax rate
D. The broker's profit

CORRECT ANSWER

B. What you paid for an investment, used to figure gains

Feedback (shown after answering)

Cost basis is your starting point for figuring gains.

Why each other choice is wrong (misconception it represents)

A: Confuses with value
C: Confuses with rate
D: Misreads

Type: instruction

GO DEEPER 1 — Capital losses and tax planning · Question 1 of 5

Learn: Capital losses offset capital gains. If losses exceed gains, a net capital loss can offset up to $3,000 of other income each year ($1,500 if married filing separately), with the rest carried forward to future years.

Jo has a $1,500 capital gain and a $3,000 capital loss in the same year. What is her net capital result?

A. A $4,500 gain
B. A $1,500 gain
C. No gain or loss to report
D. A $1,500 net loss

CORRECT ANSWER

D. A $1,500 net loss

Feedback (shown after answering)

$1,500 − $3,000 = −$1,500: a net loss.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Adds both
B: Reverses
C: Ignores the difference

Type: instruction · rule as of Federal rules as of 2026

GO DEEPER 1 — Capital losses and tax planning · Question 2 of 5

Learn: A net capital loss can offset up to $3,000 of other income per year; unused losses carry forward.

Under the federal limit, a net capital loss of $5,000 can offset how much ordinary income this year (single filer)?

A. $0
B. $1,500
C. $3,000
D. $5,000

CORRECT ANSWER

C. $3,000

Feedback (shown after answering)

Up to $3,000 this year; the other $2,000 carries forward.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: Ignores the deduction
B: Uses the married-filing-separately limit
D: Ignores the limit

Type: instruction · rule as of Federal rules as of 2026

GO DEEPER 1 — Capital losses and tax planning · Question 3 of 5

Learn: "Asset location" means choosing which account holds which investment to reduce taxes.

Why might placing bond funds (which pay taxable interest) in a tax-advantaged account make sense?

A. It shelters the yearly interest from current taxes
B. Bonds cannot legally be held in taxable brokerage accounts
C. It guarantees higher returns
D. It avoids all risk

CORRECT ANSWER

A. It shelters the yearly interest from current taxes

Feedback (shown after answering)

Tax-advantaged accounts shelter interest that would otherwise be taxed each year.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses tax savings with return guarantees
D: Confuses account type with investment risk

Type: instruction

GO DEEPER 1 — Capital losses and tax planning · Question 4 of 5

Learn: "Tax drag" is the reduction in growth caused by paying taxes each year.

Two investors earn the same 7% return. One pays 1% of the account in taxes each year; the other is in a tax-deferred account. Who likely ends with more before withdrawals?

A. The taxable investor
B. They end with the same amount
C. The tax-deferred investor
D. It is impossible to tell

CORRECT ANSWER

C. The tax-deferred investor

Feedback (shown after answering)

Paying taxes yearly reduces compounding; deferral lets more money grow.

Why each other choice is wrong (misconception it represents)

A: Ignores tax drag
B: Ignores tax drag
D: Gives up

Type: instruction

GO DEEPER 1 — Capital losses and tax planning · Question 5 of 5

Learn: Brokers send tax forms: 1099-DIV for dividends, 1099-INT for interest, and 1099-B for sales.

Which form reports dividends paid in a taxable brokerage account?

A. Form W-2
B. Form 1099-DIV
C. Form W-4
D. Form 1098-T (tuition)

CORRECT ANSWER

B. Form 1099-DIV

Feedback (shown after answering)

Dividends are reported on Form 1099-DIV.

Why each other choice is wrong (misconception it represents)

A: Wages
C: Withholding
D: Tuition

Type: instruction · practical how-to

GO DEEPER 2 — Investment income in a tax return · Question 1 of 5

Learn: Form 1099-B reports the proceeds from sales and, usually, the cost basis. Gain = proceeds − basis.

Rosa sold shares and received Form 1099-B showing proceeds of $3,200 and cost basis of $2,700. What gain does she report?

A. $500
B. $2,700
C. $3,200
D. $5,900

CORRECT ANSWER

A. $500

Feedback (shown after answering)

$3,200 − $2,700 = $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

B: Uses basis
C: Uses proceeds
D: Adds

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 2 of 5

Learn: Reinvested dividends were already taxed, so they increase your cost basis; ignoring them can cause you to pay tax twice.

Dividends reinvested automatically buy more shares. How does that affect cost basis?

A. They have no effect on basis
B. They lower the cost basis
C. They are taxed again when the shares are sold, with no basis change
D. The reinvested amounts add to the cost basis

CORRECT ANSWER

D. The reinvested amounts add to the cost basis

Feedback (shown after answering)

Reinvested dividends raise basis, which lowers future taxable gains.

Why each other choice is wrong (misconception it represents)

A: Leads to double taxation later
B: Reverses
C: Leads to paying tax twice on the same dividends

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 3 of 5

Learn: Common tax forms: 1099-INT reports interest, 1099-DIV reports dividends, 1099-B reports sales of investments, and W-2 reports wages.

Interest from a savings account of $85 is reported on which form?

A. Form 1099-DIV
B. Form 1099-B
C. Form W-2
D. Form 1099-INT

CORRECT ANSWER

D. Form 1099-INT

Feedback (shown after answering)

Interest is reported on Form 1099-INT.

Why each other choice is wrong (misconception it represents)

A: Reports dividends
B: Reports sales of investments
C: Reports wages

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 4 of 5

Learn: Trades inside IRAs and 401(k)s do not create yearly taxes; taxes depend on the account type and withdrawals.

Which statement about selling investments inside a Roth IRA is TRUE?

A. Gains inside the account are not taxed when sold
B. Each sale is taxed right away as short-term income
C. Every sale must be reported on Form 1099-B and taxed
D. Sales are prohibited until age 59½

CORRECT ANSWER

A. Gains inside the account are not taxed when sold

Feedback (shown after answering)

Gains inside retirement accounts are sheltered; withdrawal rules decide taxes.

Why each other choice is wrong (misconception it represents)

B: Applies taxable-account rules
C: Applies taxable-account reporting
D: Confuses trading inside the account with withdrawing

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 5 of 5

Why should investors keep records of purchase prices and dates?

A. Brokers never keep any records
B. Records raise returns
C. To figure cost basis and holding periods for taxes
D. Records cancel taxes on gains

CORRECT ANSWER

C. To figure cost basis and holding periods for taxes

Feedback (shown after answering)

Purchase records determine the gain and whether it is short- or long-term.

Why each other choice is wrong (misconception it represents)

A: Ignores broker reporting
B: Confuses records with performance
D: Confuses records with tax exemptions

Type: knowledge check · practical how-to

SET 54 · Investing, Brokerage Accounts, and Investment Products

Speculation, crypto assets, and investment fraud

MAIN skill: Recognize speculation and common investment frauds and protect yourself

Outcome FL.INVEST.54 · National topic: Investing · NJSLS 9.1.12: FI, FP

Learning target: Evaluate investment risks, speculation, and fraud, and identify investor protections

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: If it sounds too good to be true (5 questions)
  - Why: Fraud resistance rests on comparing a claim with realistic returns and risks.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Judging claimed returns requires comparing percent gains.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Crypto assets: risks and protections (5 questions)
- Go Deeper 2: Protecting yourself and reporting fraud (5 questions)

Practical skills beyond the standards: Checking registration before investing; Reporting investment fraud

Content status: time-sensitive

Source: SEC Investor.gov — Red flags of investment fraud include promises of guaranteed high returns, pressure to act quickly, and unregistered sellers; Ponzi schemes pay earlier investors with new investors' money. https://www.investor.gov/protect-your-investments/fraud/types-fraud

Source: SEC Investor.gov — Crypto asset investments are highly risky and volatile, and are not FDIC insured or SIPC protected in the same way as deposits and securities at member firms. https://www.investor.gov/additional-resources/spotlight/crypto-assets

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 D, M-Q4 C, M-Q5 B, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 A, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 C, F2-Q1 B, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 A

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 1 of 5

Learn: Red flags of investment fraud include guaranteed high returns with little or no risk, pressure to act quickly, unregistered sellers, and complicated or secret strategies. Legitimate investments carry risk, and no one can guarantee high returns.

A message promises "a guaranteed 20% return every month with no risk." What is the best response?

A. Invest a small amount to test it before investing more
B. Treat it as a likely scam and do not invest
C. Invest quickly before the offer ends tonight
D. Ask the sender for a written guarantee first

CORRECT ANSWER

B. Treat it as a likely scam and do not invest

Feedback (shown after answering)

Guaranteed high returns with no risk is the classic sign of fraud.

Why each other choice is wrong (misconception it represents)

A: Scams often pay small early returns to build trust
C: Responds to pressure
D: A guarantee from a scammer means nothing

Type: instruction

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 2 of 5

Learn: A Ponzi scheme pays existing investors with money from new investors instead of real profits. It collapses when new money slows, and many investors lose money.

In a Ponzi scheme, where does the money paid to early investors come from?

A. From newer investors' money
B. From real profits on the investments
C. From government insurance
D. From interest earned at a bank

CORRECT ANSWER

A. From newer investors' money

Feedback (shown after answering)

Ponzi schemes recycle new investors' money to pay earlier investors.

Why each other choice is wrong (misconception it represents)

B: Believes the story
C: Believes schemes are insured
D: Believes the returns are real interest

Type: instruction

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 3 of 5

Learn: Speculation is buying something mainly hoping its price rises quickly, often without regard to its underlying value. Crypto assets are highly volatile, are not FDIC insured, and have been targets of fraud and "pump-and-dump" schemes.

A crypto token rises 300% in a month after heavy social media promotion. Which statement is MOST accurate?

A. It is guaranteed to keep rising
B. It is protected by FDIC insurance up to $250,000 per owner
C. It is a safe place for an emergency fund
D. It is highly speculative and could fall just as fast

CORRECT ANSWER

D. It is highly speculative and could fall just as fast

Feedback (shown after answering)

Rapid hype-driven gains are speculative and can reverse quickly.

Why each other choice is wrong (misconception it represents)

A: Assumes momentum
B: Confuses crypto with deposits
C: Ignores volatility

Type: instruction

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 4 of 5

Learn: Most people who sell securities or give investment advice must be registered. Investors can check registration and disciplinary history for free.

Before investing through someone, which free tool checks whether they are registered?

A. The person's social media follower count
B. A testimonial video posted online by a satisfied investor
C. FINRA BrokerCheck or the SEC's Investment Adviser search
D. The professional look of their website

CORRECT ANSWER

C. FINRA BrokerCheck or the SEC's Investment Adviser search

Feedback (shown after answering)

Registration checks are free and quick.

Why each other choice is wrong (misconception it represents)

A: Popularity is not registration
B: Can be fake
D: Easy to fake

Type: instruction · practical how-to

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 5 of 5

Learn: In a pump-and-dump, promoters spread false or misleading hype to push up a price, then sell their shares at the high price, leaving others with losses.

Pumpers buy a little-known stock, hype it online, and sell when others rush in. What is this called?

A. Dollar-cost averaging scheme
B. A pump-and-dump scheme
C. Diversification
D. Rebalancing

CORRECT ANSWER

B. A pump-and-dump scheme

Feedback (shown after answering)

Promoters "pump" the price, then "dump" their shares.

Why each other choice is wrong (misconception it represents)

A: Legitimate strategy
C: Legitimate strategy
D: Legitimate strategy

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 1 of 5

Learn: Knowing typical returns helps spot offers that are too good to be true. No legitimate investment offers high returns with no risk.

Insured savings pay about 4% a year, and stocks have historically averaged under 10% a year with large swings. A "no-risk 10% per month" offer is...

A. far beyond any realistic, risk-free return
B. reasonable for a new, fast-growing company
C. the same as a savings account
D. normal for index funds

CORRECT ANSWER

A. far beyond any realistic, risk-free return

Feedback (shown after answering)

10% per month (over 200% a year) with no risk is unrealistic.

Why each other choice is wrong (misconception it represents)

B: Misjudges
C: Misjudges
D: Misjudges

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 2 of 5

A stranger online offers to "double your money in a week." What should you assume?

A. It is a normal investment
B. It is very likely a scam
C. It is insured
D. It is approved by the government

CORRECT ANSWER

B. It is very likely a scam

Feedback (shown after answering)

Promises of quick, huge gains are scam hallmarks.

Why each other choice is wrong (misconception it represents)

A: Misjudges
C: Believes high returns can be insured
D: Believes an offer's claims of approval

Type: knowledge check

BACKWARD B1 · concept review — If it sounds too good to be true · Question 3 of 5

Learn: Scammers create urgency so victims do not stop to check.

Which is a common pressure tactic?

A. "Take your time and compare all your options first."
B. "Read the prospectus first."
C. "Act now — this opportunity closes tonight!"
D. "Talk to someone you trust."

CORRECT ANSWER

C. "Act now — this opportunity closes tonight!"

Feedback (shown after answering)

Urgency discourages careful checking.

Why each other choice is wrong (misconception it represents)

A: Not pressure
B: Not pressure
D: Not pressure

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 4 of 5

Learn: Payments that are fast and hard to reverse are favored by scammers.

Which payment method do investment scammers often ask for because it is hard to reverse?

A. A credit card with dispute rights
B. A check to a registered broker-dealer
C. An ACH transfer to your own brokerage account
D. Crypto transfers, wires, or gift cards

CORRECT ANSWER

D. Crypto transfers, wires, or gift cards

Feedback (shown after answering)

Irreversible payment methods are a scam warning sign.

Why each other choice is wrong (misconception it represents)

A: Easier to dispute
B: Traceable
C: Your own account

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 5 of 5

Learn: Pyramid schemes pay mainly for recruiting others, not for real products or profits, and collapse when recruiting slows.

A friend earned money in a "club" that pays you for recruiting new members, not for selling products. What is this most likely?

A. A pyramid scheme
B. A multilevel marketing company that sells real products
C. An investment club that pools money
D. A referral bonus program

CORRECT ANSWER

A. A pyramid scheme

Feedback (shown after answering)

Paying for recruitment rather than real sales is a pyramid scheme sign.

Why each other choice is wrong (misconception it represents)

B: Confuses recruitment pay with product sales
C: Confuses pooling with recruiting
D: Misses that recruiting is the only source of pay

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 1 of 5

Learn: Crypto assets can lose most of their value quickly. Only money you can afford to lose should be used for speculation.

Kai buys $500 of a crypto asset that falls 80%. What is it worth?

A. $100
B. $400
C. $420
D. $500

CORRECT ANSWER

A. $100

Feedback (shown after answering)

$500 × 0.20 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

B: Gives the loss
C: Subtracts 80 dollars
D: Ignores the loss

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 2 of 5

Learn: Crypto assets are not bank deposits and are generally not protected the way deposits or securities at SIPC-member firms are.

Kai's crypto exchange collapses, and customers cannot withdraw. Which protection generally applies to the crypto assets?

A. FDIC insurance up to $250,000 per depositor
B. SIPC insurance on all crypto holdings
C. Automatic refunds from the federal government
D. Usually none like FDIC or SIPC coverage

CORRECT ANSWER

D. Usually none like FDIC or SIPC coverage

Feedback (shown after answering)

Crypto holdings are generally not FDIC insured or SIPC protected.

Why each other choice is wrong (misconception it represents)

A: Crypto is not a deposit
B: Generally not covered
C: Assumes a government backstop

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 3 of 5

Learn: Crypto wallets are controlled by private keys or recovery phrases. Anyone who gets them can take the assets, and lost keys can mean lost assets.

Who controls access to crypto held in a "self-custody" wallet?

A. The FDIC
B. Whoever has the private keys or recovery phrase
C. The crypto exchange that sold the coins
D. The wallet app's customer service team

CORRECT ANSWER

B. Whoever has the private keys or recovery phrase

Feedback (shown after answering)

Keys control the wallet; never share a recovery phrase.

Why each other choice is wrong (misconception it represents)

A: Believes crypto wallets are insured
C: Confuses self-custody with an exchange account
D: Believes support can recover keys

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 4 of 5

Learn: Legitimate services never need your recovery phrase.

Someone asks Kai for his crypto wallet recovery phrase to "verify his account." What should he do?

A. Share it, since verification requests like this are routine
B. Share only half of it
C. Refuse; sharing it gives away control of the assets
D. Post it publicly to prove ownership

CORRECT ANSWER

C. Refuse; sharing it gives away control of the assets

Feedback (shown after answering)

No legitimate service asks for a recovery phrase.

Why each other choice is wrong (misconception it represents)

A: Gives away control
B: Still unsafe
D: Unsafe

Type: instruction · practical how-to

GO DEEPER 1 — Crypto assets: risks and protections · Question 5 of 5

What share of savings is reasonable for highly speculative assets?

A. All emergency savings
B. Money borrowed on a credit card
C. Only money you could afford to lose entirely
D. Money that is needed for next month's rent payment

CORRECT ANSWER

C. Only money you could afford to lose entirely

Feedback (shown after answering)

Speculation should use only money you can afford to lose.

Why each other choice is wrong (misconception it represents)

A: Too risky
B: Adds debt risk
D: Too risky

Type: knowledge check

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 1 of 5

Learn: The SEC accepts tips and complaints online; state securities regulators also investigate investment fraud.

Where can an investor report suspected securities fraud?

A. Only to the person running the scheme
B. The SEC (sec.gov/tcr) or the state securities regulator
C. A credit bureau
D. The FDIC

CORRECT ANSWER

B. The SEC (sec.gov/tcr) or the state securities regulator

Feedback (shown after answering)

The SEC and state regulators investigate investment fraud.

Why each other choice is wrong (misconception it represents)

A: Unhelpful
C: Wrong agency
D: Wrong agency

Type: instruction · practical how-to

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 2 of 5

Learn: Ponzi schemes pay early investors with new investors' money. Pump-and-dump schemes hype a cheap stock, then sell. Phishing uses fake messages to steal information. Affinity fraud spreads through trust within a religious, ethnic, or community group.

A scam targets members of a club or faith group by using trust within the group. What is this called?

A. A pyramid scheme
B. Pump-and-dump
C. Phishing
D. Affinity fraud

CORRECT ANSWER

D. Affinity fraud

Feedback (shown after answering)

Affinity fraud uses group trust to spread a scam.

Why each other choice is wrong (misconception it represents)

A: Related, but defined by recruiting, not group trust
B: Related, but defined by price hype
C: Related, but uses fake messages

Type: instruction

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 3 of 5

Learn: Recovery scammers target people who already lost money, promising to get it back for an upfront fee.

After losing money to a scam, Lia gets a call offering to "recover your losses for a fee." What is this most likely?

A. A recovery scam targeting past victims
B. A government refund program
C. A bank's fraud department follow-up
D. A legitimate free service in every case

CORRECT ANSWER

A. A recovery scam targeting past victims

Feedback (shown after answering)

Up-front fees to "recover" losses are a common follow-up scam.

Why each other choice is wrong (misconception it represents)

B: Usually untrue
C: Real banks do not charge to recover funds
D: Overstates

Type: instruction

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 4 of 5

Which habit gives the best protection against investment fraud?

A. Trusting anyone with a professional website
B. Investing quickly when friends do
C. Verify registration and take time to research before investing
D. Choosing the highest promised return

CORRECT ANSWER

C. Verify registration and take time to research before investing

Feedback (shown after answering)

Checking registration and slowing down remove the pressure and secrecy that investment scams rely on.

Why each other choice is wrong (misconception it represents)

A: Websites are easy to fake
B: Social pressure
D: Red flag

Type: knowledge check · practical how-to

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 5 of 5

Learn: Paid promotions must be disclosed, but endorsements do not make an investment safe or valuable.

A celebrity endorses a new token on social media. What should an investor remember?

A. Endorsements may be paid and are not evidence of value
B. Celebrities must guarantee results
C. Endorsed tokens are FDIC insured
D. Endorsements prove the SEC approved it

CORRECT ANSWER

A. Endorsements may be paid and are not evidence of value

Feedback (shown after answering)

Promotion is not proof of value; research independently.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses crypto with deposits
D: Confuses fame with regulation

Type: instruction

SET 55 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Why save for retirement

MAIN skill: Explain why people save for retirement and how decades of compounding affect retirement savings

Outcome FL.RETIRE.55 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Explain the importance of saving for retirement and the effect of compounding over time

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Retirement means living without a paycheck (5 questions)
  Why: Students need to picture retirement as decades of expenses without wages before retirement accounts make sense.
- B2 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Long-term retirement growth is exponential growth at a percent rate.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Replacement goals and Social Security estimates are percents of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Estimating how much to save (5 questions)
- Go Deeper 2: The cost of waiting to save for retirement (5 questions)

Practical skills beyond the standards: Estimating a retirement savings goal

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 A, B1-Q2 C, B1-Q3 D, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 D, F1-Q3 A, F1-Q4 C, F1-Q5 C, F2-Q1 B, F2-Q2 A, F2-Q3 B, F2-Q4 D, F2-Q5 B

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 1 of 5

Learn: Retirement can last 20 to 30 years or more. Social Security provides a monthly benefit, but for an average worker it replaces only about 40% of pre-retirement earnings. Most people need personal savings, often through workplace plans and IRAs, to cover the rest.

Why do most people need their own retirement savings in addition to Social Security?

A. Social Security pays each retiree twice their old salary
B. Retirement lasts only a few months for most people who retire
C. Employers pay workers forever after they retire
D. Social Security replaces only part of most workers' income

CORRECT ANSWER

D. Social Security replaces only part of most workers' income

Feedback (shown after answering)

Social Security covers only part of most people's needs in retirement.

Why each other choice is wrong (misconception it represents)

A: Overstates benefits
B: Understates retirement length
C: Misunderstands pensions

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 2 of 5

Learn: Money invested for decades can grow far beyond what was put in, because growth compounds: A = P(1 + r)^t. (Real returns vary year to year and are not guaranteed.)

At 15, Ana invests $2,000 that earns an assumed 7% a year until she is 65 (50 years). About how much will it grow to?

A. About $9,000
B. About $58,914
C. About $14,000
D. About $2,140

CORRECT ANSWER

B. About $58,914

Feedback (shown after answering)

2,000 × 1.07^50 ≈ $58,914.

Recomputed independently by the build: 58914.050126

Why each other choice is wrong (misconception it represents)

A: Uses simple interest
C: Uses 7 doublings of $100
D: Uses one year

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 3 of 5

Learn: Growth = ending balance − total contributions.

Ben invests $6,000 a year for 40 years. At an assumed 7% a year, the account reaches about $1,197,811. How much of that is GROWTH rather than his contributions?

A. About $240,000
B. About $1,197,811
C. About $1,437,811
D. About $957,811

CORRECT ANSWER

D. About $957,811

Feedback (shown after answering)

Contributions: $6,000 × 40 = $240,000. Growth: $1,197,811 − $240,000 ≈ $957,811.

Recomputed independently by the build: 957811

Why each other choice is wrong (misconception it represents)

A: Gives contributions
B: Gives the total
C: Adds contributions to the total

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 4 of 5

Learn: A replacement goal is the share of pre-retirement income you want in retirement. Savings must fill the gap between that goal and other income such as Social Security.

Lin earns $60,000 before retiring and wants 80% of that income in retirement. Social Security is expected to replace 40% of it. How much per year must come from savings?

A. $12,000
B. $24,000
C. $36,000
D. $48,000

CORRECT ANSWER

B. $24,000

Feedback (shown after answering)

Goal: 80% × $60,000 = $48,000. Social Security: 40% × $60,000 = $24,000. Gap: $24,000.

Recomputed independently by the build: 24000

Why each other choice is wrong (misconception it represents)

A: Uses 20%
C: Uses 60%
D: Uses the full 80%

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 5 of 5

Which choice gives retirement savings the MOST time to compound?

A. Waiting until age 50 to start saving
B. Starting contributions with a first job
C. Saving only in the final year before retiring
D. Waiting until debt is zero and a house is paid off

CORRECT ANSWER

B. Starting contributions with a first job

Feedback (shown after answering)

Starting early gives the most years of compounding.

Why each other choice is wrong (misconception it represents)

A: Less time
C: Least time
D: Delays saving

Type: knowledge check

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 1 of 5

Learn: Retirement is the stage of life after someone stops working full time. Without a paycheck, retirees live on savings, Social Security, and any pensions.

What is retirement?

A. The years after a person stops working for pay
B. A type of bank account
C. A two-week vacation
D. A job promotion

CORRECT ANSWER

A. The years after a person stops working for pay

Feedback (shown after answering)

Retirement is the period after paid work ends.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 2 of 5

Learn: Years in retirement = age at death − age at retirement.

If someone retires at 65 and lives to 90, how many years must their money last?

A. 65 years
B. 90 years
C. 25 years
D. 155 years

CORRECT ANSWER

C. 25 years

Feedback (shown after answering)

90 − 65 = 25 years.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Uses the retirement age
B: Uses the final age
D: Adds

Type: instruction

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 3 of 5

A retiree spends $3,000 a month. How much is that per year?

A. $250
B. $3,000
C. $30,000
D. $36,000

CORRECT ANSWER

D. $36,000

Feedback (shown after answering)

$3,000 × 12 = $36,000.

Recomputed independently by the build: 36000

Why each other choice is wrong (misconception it represents)

A: Divides
B: One month
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 4 of 5

Learn: Social Security is a federal program funded by payroll taxes. 401(k)s, IRAs, and brokerage accounts are savings the worker builds.

Which source of retirement income comes from the government?

A. A 401(k) at work
B. A Roth IRA
C. Social Security
D. A brokerage account

CORRECT ANSWER

C. Social Security

Feedback (shown after answering)

Social Security is the government program.

Why each other choice is wrong (misconception it represents)

A: Employer plan
B: Personal account
D: Personal account

Type: instruction

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 5 of 5

Why does a 20-year-old have an advantage in saving for retirement?

A. Young people can contribute more each year than older people
B. Decades of time for growth to compound
C. Retirement accounts pay higher interest rates to young savers
D. Young savers can take money out anytime without rules

CORRECT ANSWER

B. Decades of time for growth to compound

Feedback (shown after answering)

Time is the young saver's biggest advantage.

Why each other choice is wrong (misconception it represents)

A: Confuses time with higher limits
C: Believes accounts pay by age
D: Ignores withdrawal rules

Type: knowledge check

GO DEEPER 1 — Estimating how much to save · Question 1 of 5

Learn: Rules of thumb, such as the "4% guideline," give rough targets: savings needed ≈ first-year withdrawal ÷ 0.04. They are estimates, not guarantees; market returns, inflation, and life span all matter.

A common rule of thumb says a retiree might withdraw about 4% of savings in the first year. Using that rule, how much savings would provide $40,000 in the first year?

A. $40,000
B. $160,000
C. $400,000
D. $1,000,000

CORRECT ANSWER

D. $1,000,000

Feedback (shown after answering)

$40,000 ÷ 0.04 = $1,000,000.

Recomputed independently by the build: 1000000

Why each other choice is wrong (misconception it represents)

A: Ignores the rule
B: Multiplies by 4
C: Uses 10%

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 2 of 5

Learn: Rules of thumb simplify complex questions. They are starting points for planning, not promises.

Why is the 4% guideline only a rough estimate?

A. It is a federal law for retirement accounts
B. It guarantees savings never run out
C. It applies only to people under 30
D. Future returns, inflation, and life span are uncertain

CORRECT ANSWER

D. Future returns, inflation, and life span are uncertain

Feedback (shown after answering)

Uncertain markets and longevity make any rule an approximation.

Why each other choice is wrong (misconception it represents)

A: Mistakes a guideline for a rule
B: Overstates
C: Invents a rule

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 3 of 5

Learn: Inflation also compounds. At 3% a year, prices double in about 72 ÷ 3 = 24 years.

With prices rising 3% a year, about how much will $40,000 of today's spending cost in 24 years (Rule of 72)?

A. About $80,000
B. About $40,000
C. About $68,800
D. About $160,000

CORRECT ANSWER

A. About $80,000

Feedback (shown after answering)

At 3%, prices double in about 24 years: $40,000 → about $80,000.

Why each other choice is wrong (misconception it represents)

B: Ignores inflation
C: Uses simple inflation
D: Doubles twice

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 4 of 5

Learn: A savings rate is the percent of income saved: amount = income × rate.

Many planners suggest saving about 10–15% of income for retirement. On a $50,000 salary, what is 15%?

A. $750
B. $5,000
C. $7,500
D. $15,000

CORRECT ANSWER

C. $7,500

Feedback (shown after answering)

$50,000 × 0.15 = $7,500.

Recomputed independently by the build: 7500

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
B: Uses 10%
D: Uses 30%

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 5 of 5

Learn: The Social Security Administration provides personalized benefit estimates through online accounts.

Which free tool helps estimate future Social Security benefits?

A. Her most recent pay stub
B. A W-2 form from last year
C. A "my Social Security" account at ssa.gov
D. A retirement calculator on a bank's website

CORRECT ANSWER

C. A "my Social Security" account at ssa.gov

Feedback (shown after answering)

SSA's online account shows earnings records and benefit estimates.

Why each other choice is wrong (misconception it represents)

A: A pay stub shows withholding, not benefit estimates
B: Shows one year of wages, not projected benefits
D: Estimates savings, not the official benefit record

Type: instruction · practical how-to

GO DEEPER 2 — The cost of waiting to save for retirement · Question 1 of 5

Learn: Starting early, even for a few years, can produce more than saving much longer but starting later, because of extra years of compounding. (Examples assume a steady return; real returns vary.)

Saver A invests $3,000 a year from 25 to 34, then stops. At an assumed 7%, the account is about $41,449 at 35 and about $442,537 at 70. How much did Saver A contribute?

A. $3,000
B. $30,000
C. $41,449
D. $442,537

CORRECT ANSWER

B. $30,000

Feedback (shown after answering)

$3,000 × 10 = $30,000.

Recomputed independently by the build: 30000

Why each other choice is wrong (misconception it represents)

A: Gives one year
C: Gives the balance at 35
D: Gives the final balance

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 2 of 5

Learn: Multiple = ending balance ÷ contributions.

Saver A contributed $30,000 and ended with about $442,537. What multiple of the contributions is that (nearest whole)?

A. About 15 times
B. About 4 times
C. About 1.5 times
D. About 44 times

CORRECT ANSWER

A. About 15 times

Feedback (shown after answering)

$442,537 ÷ $30,000 ≈ 14.75, about 15 times.

Recomputed independently by the build: 14.751233

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Misplaces the decimal
D: Divides by 10,000

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 3 of 5

Learn: Present bias is the tendency to value what is close in time over what is far away, which makes distant goals like retirement easy to postpone. Automatic payroll contributions help overcome it.

Dev, 22, says, "Retirement is 45 years away. I'd rather spend now and start saving later." Which idea does this best illustrate?

A. Compound interest
B. Present bias
C. Diversification
D. Inflation

CORRECT ANSWER

B. Present bias

Feedback (shown after answering)

Putting off a distant goal in favor of current wants is present bias.

Why each other choice is wrong (misconception it represents)

A: Describes growth, not the decision to wait
C: Describes spreading investments
D: Describes rising prices

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 4 of 5

Learn: Automatic contributions happen without a new decision each payday.

Which feature helps overcome present bias in retirement saving?

A. Saving only when they happen to remember
B. Waiting for a bonus
C. Keeping savings in a wallet
D. Automatic payroll contributions

CORRECT ANSWER

D. Automatic payroll contributions

Feedback (shown after answering)

Automation makes saving the default.

Why each other choice is wrong (misconception it represents)

A: Relies on memory
B: Delays saving
C: Unsafe

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 5 of 5

Learn: Plan features: auto-enrollment signs workers up by default; automatic escalation raises the contribution rate a little each year; catch-up contributions let workers 50 and older save extra.

Raising a 401(k) contribution by 1% of pay each year until it reaches a target is called...

A. a catch-up contribution
B. automatic escalation
C. a rollover
D. dollar-cost averaging

CORRECT ANSWER

B. automatic escalation

Feedback (shown after answering)

Auto-escalation gradually increases savings.

Why each other choice is wrong (misconception it represents)

A: Confuses with extra contributions allowed at age 50+
C: Confuses with moving money between plans
D: Confuses raising the rate with investing on a schedule

Type: instruction

SET 56 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

401(k) and 403(b) plans at work

MAIN skill: Explain employer retirement plans, employer matching, and the cost of cashing out

Outcome FL.RETIRE.56 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Compare employer-sponsored retirement plans and explain employer matching and tax treatment

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Employer plans and matching (5 questions)
  Why: Match math depends on understanding that the employer adds money only when the worker contributes.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Contributions and matches are percents of pay.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Match calculations apply two percents in sequence.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Leaving a job: rollover choices (5 questions)
- Go Deeper 2: Plan features: auto-enrollment, Roth options, and loans (5 questions)

Practical skills beyond the standards: Choosing a rollover when changing jobs

Content status: time-sensitive

Source: IRS (401(k) resource guide) — 401(k) plans allow pre-tax or Roth employee deferrals and employer contributions. (403(b) rules are on the IRS 403(b) page, cited separately.) https://www.irs.gov/retirement-plans/401k-plans

Source: IRS (403(b) plans) — 403(b) plans are retirement plans for employees of public schools and certain tax-exempt organizations. https://www.irs.gov/retirement-plans/irc-403b-tax-sheltered-annuity-plans

Source: IRS (Publication 590-B) — Distributions from a traditional IRA that holds only pre-tax money are fully taxable; after-tax basis is recovered under the pro-rata rule; Roth distributions come out in order: regular contributions, then conversions and rollovers, then earnings. https://www.irs.gov/publications/p590b

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 C, B1-Q2 C, B1-Q3 A, B1-Q4 B, B1-Q5 A, F1-Q1 C, F1-Q2 C, F1-Q3 D, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 C, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 1 of 5

Learn: A 401(k) is a retirement plan offered by many private employers. A 403(b) is a similar plan offered by public schools, colleges, hospitals, and many nonprofits. Both let workers save part of each paycheck, often with tax benefits and sometimes an employer match.

Who usually offers a 403(b) plan instead of a 401(k)?

A. Every private technology company and its contractors
B. State and federal tax agencies to taxpayers
C. Banks to their savings customers
D. Public schools and many nonprofit organizations

CORRECT ANSWER

D. Public schools and many nonprofit organizations

Feedback (shown after answering)

403(b) plans are common at public schools and nonprofits.

Why each other choice is wrong (misconception it represents)

A: Usually offers 401(k)
B: Confuses retirement plans with tax programs
C: Confuses an employer plan with a bank IRA

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 2 of 5

Learn: An employer match adds money when you contribute. Contributing at least enough to get the full match is often called "free money."

Raj earns $55,000. His employer matches 50% of his contributions up to 6% of pay. Raj contributes 6%. How much does the employer add per year?

A. $330
B. $1,650
C. $3,300
D. $4,950

CORRECT ANSWER

B. $1,650

Feedback (shown after answering)

Raj contributes $55,000 × 0.06 = $3,300; the employer adds 50% = $1,650.

Recomputed independently by the build: 1650

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Matches 100%
D: Adds both contributions

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 3 of 5

Learn: Traditional 401(k) contributions are pre-tax: they lower taxable income now. Taxes are paid later on withdrawals. Roth 401(k) contributions are after-tax, with tax-free qualified withdrawals.

Raj contributes $3,300 to a traditional (pre-tax) 401(k), and his top federal tax rate is 12%. About how much federal income tax does this save this year?

A. $39.60
B. $396
C. $2,904
D. $3,300

CORRECT ANSWER

B. $396

Feedback (shown after answering)

$3,300 × 0.12 = $396 less federal tax this year.

Recomputed independently by the build: 396

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the contribution minus the tax
D: Treats the contribution as tax saved

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 4 of 5

Learn: When leaving a job, you can usually leave the money in the old plan, roll it into a new employer's plan, or roll it into an IRA. Cashing out before 59½ usually means income tax plus a 10% additional tax, unless an exception applies.

Maya leaves a job with $10,000 in her 401(k) and is under 59½. If she cashes it out, assume 22% federal income tax plus a 10% additional tax for early withdrawal. How much is left?

A. $6,800
B. $7,800
C. $9,000
D. $10,000

CORRECT ANSWER

A. $6,800

Feedback (shown after answering)

Taxes: $2,200 + $1,000 = $3,200. Left: $6,800.

Recomputed independently by the build: 6800

Why each other choice is wrong (misconception it represents)

B: Leaves out the 10% additional tax
C: Uses only the 10% additional tax
D: Ignores taxes

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 5 of 5

Learn: In a direct rollover, the old plan sends the money straight to an IRA or another plan that accepts it. Moving pre-tax money to a traditional IRA or another pre-tax plan keeps taxes deferred; moving pre-tax money into a Roth account is generally taxable.

Maya is leaving her job. Her old 401(k) holds only pre-tax money. Which choice usually keeps it growing with taxes still deferred?

A. A direct rollover to a traditional IRA or a new pre-tax plan
B. Cashing out and spending it
C. Withdrawing it to pay for a vacation
D. Having a check mailed and keeping it for a year

CORRECT ANSWER

A. A direct rollover to a traditional IRA or a new pre-tax plan

Feedback (shown after answering)

A direct rollover of pre-tax money to a traditional IRA or pre-tax plan keeps taxes deferred, with no penalty.

Why each other choice is wrong (misconception it represents)

B: Taxes and possibly a penalty
C: Taxes and possibly a penalty
D: Can become a taxable distribution

Type: instruction · practical how-to

BACKWARD B1 · concept review — Employer plans and matching · Question 1 of 5

Learn: With a match, the employer contributes to your retirement account in proportion to what you contribute, up to a limit.

What does an employer "match" mean?

A. The employer pays the worker's taxes
B. The worker must repay the employer later, with interest added
C. The employer adds money based on what the worker contributes
D. The employer chooses the worker's investments

CORRECT ANSWER

C. The employer adds money based on what the worker contributes

Feedback (shown after answering)

Matches reward your own contributions.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Employer plans and matching · Question 2 of 5

Learn: Match = matching rate × the worker's contribution, up to the plan's limit.

A plan matches 100% up to 4% of pay. A worker earning $40,000 contributes 4%. How much is the match?

A. $160
B. $800
C. $1,600
D. $3,200

CORRECT ANSWER

C. $1,600

Feedback (shown after answering)

4% × $40,000 = $1,600; 100% match = $1,600.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
B: Uses 50%
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Employer plans and matching · Question 3 of 5

Learn: A match is paid only on what the worker contributes.

An employer matches 50% of what a worker contributes, up to 6% of salary. If the worker contributes 0%, what is the match?

A. $0
B. $400
C. $800
D. $1,600

CORRECT ANSWER

A. $0

Feedback (shown after answering)

No contribution means no match.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

B: Invents a minimum
C: Halves
D: Assumes an automatic match

Type: instruction

BACKWARD B1 · concept review — Employer plans and matching · Question 4 of 5

What is "free money" in a 401(k)?

A. Money that the government gives every worker each year
B. The employer match a worker receives by contributing
C. A loan from the plan
D. The tax refund a worker gets for contributing

CORRECT ANSWER

B. The employer match a worker receives by contributing

Feedback (shown after answering)

The match is extra pay for saving.

Why each other choice is wrong (misconception it represents)

A: Confuses the match with a government benefit
C: Must be repaid
D: Confuses a match with a tax effect

Type: knowledge check

BACKWARD B1 · concept review — Employer plans and matching · Question 5 of 5

Learn: To get the full match, contribute at least the percent the employer will match.

Which worker gets the FULL match under "50% up to 6% of pay"?

A. One contributing 6% or more
B. One contributing 1%
C. One contributing 3% of salary
D. One contributing nothing

CORRECT ANSWER

A. One contributing 6% or more

Feedback (shown after answering)

Contributing at least 6% earns the full match.

Why each other choice is wrong (misconception it represents)

B: Partial match
C: Partial match
D: No match

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 1 of 5

Learn: When you leave a job, you can roll a 401(k) into an IRA or a new employer plan. A direct (trustee-to-trustee) rollover of pre-tax money into a traditional IRA or another pre-tax plan is not taxed and has no penalty. Rolling pre-tax money into a Roth IRA is a conversion and is generally taxable.

Which statement about rolling an eligible pre-tax 401(k) distribution into an IRA is TRUE?

A. Every rollover is fully taxed
B. Rollovers are allowed only at age 65
C. A direct rollover to a traditional IRA is not taxed
D. A check paid to her has no tax withheld

CORRECT ANSWER

C. A direct rollover to a traditional IRA is not taxed

Feedback (shown after answering)

A direct pre-tax-to-pre-tax rollover keeps tax deferral intact.

Why each other choice is wrong (misconception it represents)

A: Confuses a rollover with a cash-out
B: Invents an age rule
D: Misses mandatory withholding on indirect rollovers

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 2 of 5

Learn: If a plan pays the money to you instead of directly to the new account, it generally must withhold 20% for taxes; to avoid tax on the withheld part, you must make it up from other funds within 60 days.

With an indirect rollover, the plan withholds 20% and the worker has 60 days to deposit the full amount into an IRA. On $10,000, how much is withheld?

A. $200
B. $1,000
C. $2,000
D. $6,000

CORRECT ANSWER

C. $2,000

Feedback (shown after answering)

$10,000 × 0.20 = $2,000 withheld.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Uses 2%
B: Uses 10%
D: Uses 60%

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 3 of 5

Learn: In an indirect rollover, the plan withholds 20%. To complete the rollover tax-free, the full original amount must be deposited within 60 days, making up the withheld part from other money.

A worker's old plan pays out a $10,000 pre-tax distribution by check and withholds 20% ($2,000), so she receives $8,000. To avoid tax on any of the $10,000, how much must she deposit into an IRA within 60 days?

A. $8,000 only
B. $2,000 only
C. Nothing; the rollover is fully automatic for her
D. $10,000, including $2,000 from other money

CORRECT ANSWER

D. $10,000, including $2,000 from other money

Feedback (shown after answering)

She must deposit the full $10,000. The $2,000 withheld counts as tax paid on her return, where it can lower what she owes or add to a refund.

Why each other choice is wrong (misconception it represents)

A: Leaves $2,000 taxable
B: Misreads
C: Misreads

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 4 of 5

Learn: Old accounts left at many past employers can be forgotten. Consolidating can simplify tracking.

Why might keeping a small old 401(k) in a former employer's plan be inconvenient?

A. It is illegal to keep money in an old employer's plan
B. It is easy to lose track of old accounts
C. It stops earning returns once she leaves
D. The employer can take back her own contributions

CORRECT ANSWER

B. It is easy to lose track of old accounts

Feedback (shown after answering)

Tracking many old accounts is hard; consolidation helps.

Why each other choice is wrong (misconception it represents)

A: Usually allowed
C: Believes old plans freeze
D: Confuses unvested match with her own money

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 5 of 5

Which step should Maya take FIRST when leaving her job?

A. Request a cash check to spend
B. Forget the account
C. Ask the employer to return all the money as cash
D. Ask the plan for her rollover options and set up a direct rollover

CORRECT ANSWER

D. Ask the plan for her rollover options and set up a direct rollover

Feedback (shown after answering)

Asking for a direct rollover keeps the money working for retirement.

Why each other choice is wrong (misconception it represents)

A: Taxes and penalty
B: Risky
C: Triggers taxes and penalties

Type: knowledge check · practical how-to

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 1 of 5

Learn: Defaults are powerful: people often stick with whatever is set up automatically. Workers can usually change the rate or opt out.

Many plans auto-enroll new workers at 3% of pay unless they opt out. Why does auto-enrollment raise saving?

A. People tend to keep the default
B. It doubles the match automatically
C. It removes all investment risk
D. It lowers the worker's salary

CORRECT ANSWER

A. People tend to keep the default

Feedback (shown after answering)

Default effects keep most auto-enrolled workers saving.

Why each other choice is wrong (misconception it represents)

B: Confuses enrollment with match rules
C: Confuses enrollment with safety
D: Misreads

Type: instruction

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 2 of 5

Learn: Roth 401(k) contributions are after-tax. Qualified withdrawals, including earnings, are tax-free.

A plan offers a Roth 401(k). How are contributions taxed?

A. Never taxed at any time
B. Deducted now and taxed at withdrawal
C. Taxed now; qualified withdrawals later are tax-free
D. Taxed only if the market rises

CORRECT ANSWER

C. Taxed now; qualified withdrawals later are tax-free

Feedback (shown after answering)

Roth: pay tax now, tax-free qualified withdrawals later.

Why each other choice is wrong (misconception it represents)

A: Confuses Roth with tax-free on both ends
B: Describes a traditional 401(k)
D: Confuses account taxes with gains

Type: instruction

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 3 of 5

Learn: A 401(k) loan is repaid to your own account, but the money is not invested while borrowed, and leaving your job can make the remaining balance due quickly or treated as a taxable distribution.

Some plans allow loans. Leo borrows $5,000 from his 401(k). What is a key risk?

A. If he leaves his job, the loan may soon be due
B. Loans are always forgiven
C. The loan raises his credit score
D. There is no effect at all on his retirement savings

CORRECT ANSWER

A. If he leaves his job, the loan may soon be due

Feedback (shown after answering)

Job changes can turn an unpaid loan into a taxable distribution.

Why each other choice is wrong (misconception it represents)

B: Believes 401(k) loans need not be repaid
C: Generally unrelated
D: Ignores lost growth

Type: instruction

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 4 of 5

Learn: Retirement plans have yearly contribution limits that change over time; check the current year's limits at irs.gov. This question uses a stated hypothetical limit.

Assume a yearly 401(k) employee contribution limit of $23,000 for a scenario. Ana earns $100,000. What is the most she can defer?

A. $2,300
B. $10,000
C. $23,000
D. $100,000

CORRECT ANSWER

C. $23,000

Feedback (shown after answering)

She can defer up to the stated limit, $23,000.

Recomputed independently by the build: 23000

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses 10%
D: Ignores the limit

Type: instruction · rule as of Hypothetical limit for this scenario

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 5 of 5

Learn: Plans offer a menu of funds. Target-date funds shift from stocks toward bonds as their target year approaches.

Which investment option inside a 401(k) automatically becomes more conservative as retirement nears?

A. A single company stock fund
B. A target-date fund
C. A money market fund
D. A sector fund

CORRECT ANSWER

B. A target-date fund

Feedback (shown after answering)

Target-date funds adjust their mix over time.

Why each other choice is wrong (misconception it represents)

A: Concentrated
C: Stays conservative
D: Concentrated

Type: instruction

SET 57 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

IRAs: traditional and Roth

MAIN skill: Explain what an IRA is and compare traditional and Roth IRA tax treatment

Outcome FL.RETIRE.57 · National topic: Investing · NJSLS 9.1.12: PB, EG

Learning target: Compare traditional and Roth retirement accounts and their tax treatment

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Pay tax now or pay tax later (5 questions)
  - Why: The Roth versus traditional choice is a financial-concept prerequisite: when the tax is paid.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Comparing accounts applies tax rates to contributions or withdrawals.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  - Why: The comparison chains tax and growth factors.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When Roth or traditional comes out ahead (5 questions)
- Go Deeper 2: IRAs compared with 401(k)s (5 questions)

Practical skills beyond the standards: Choosing between Roth and traditional accounts

Content status: time-sensitive

Source: IRS (Publication 590-A) — IRA contributions require taxable compensation (a spousal IRA can use a working spouse's compensation on a joint return); one annual limit covers traditional and Roth IRAs combined, capped at compensation; Roth contributions are not deductible. https://www.irs.gov/publications/p590a

Source: IRS (Publication 590-B) — Distributions from a traditional IRA that holds only pre-tax money are fully taxable; after-tax basis is recovered under the pro-rata rule; Roth distributions come out in order: regular contributions, then conversions and rollovers, then earnings. https://www.irs.gov/publications/p590b

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 D, B1-Q2 A, B1-Q3 B, B1-Q4 C, B1-Q5 D, F1-Q1 C, F1-Q2 D, F1-Q3 A, F1-Q4 B, F1-Q5 B, F2-Q1 C, F2-Q2 A, F2-Q3 B, F2-Q4 D, F2-Q5 A

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 1 of 5

Learn: An IRA (individual retirement account, officially "arrangement") is a tax-advantaged retirement account. Traditional and Roth IRAs are usually opened by individuals themselves; some employers offer IRA-based plans such as SEP and SIMPLE IRAs. IRAs give tax advantages in exchange for rules about contributions and withdrawals, and the money can be invested in stocks, bonds, funds, and more.

What is an IRA?

A. An insured checking account for retirees
B. A government pension that is paid to every American worker
C. An individual retirement account with tax advantages
D. A loan program for people near retirement

CORRECT ANSWER

C. An individual retirement account with tax advantages

Feedback (shown after answering)

An IRA is a tax-advantaged retirement account, usually opened by the individual.

Why each other choice is wrong (misconception it represents)

A: Confuses with a bank account
B: Confuses with Social Security
D: Confuses saving with borrowing

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 2 of 5

Learn: IRAs get special tax treatment. In return, withdrawals of earnings before age 59½ generally face taxes and a 10% additional tax unless an exception applies.

What makes an IRA a RETIREMENT account rather than an ordinary investment account?

A. It can hold only cash, never investments
B. It is insured by the FDIC against losses
C. It is opened only after age 65
D. Tax benefits come with rules that discourage early withdrawals

CORRECT ANSWER

D. Tax benefits come with rules that discourage early withdrawals

Feedback (shown after answering)

Tax advantages plus early-withdrawal rules make it a retirement account.

Why each other choice is wrong (misconception it represents)

A: Confuses IRAs with savings accounts
B: Confuses IRA investments with deposits
C: Confuses opening with withdrawing

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 3 of 5

Learn: Roth IRA: you contribute money you have already paid tax on (no deduction now). The account grows tax-free, and qualified withdrawals in retirement are tax-free.

Which describes a ROTH IRA?

A. Contributions are made with after-tax money; qualified withdrawals are tax-free
B. Contributions are always tax-deductible; all withdrawals are taxed as income later
C. There are no taxes at any stage, including contributions
D. Contributions are deductible; qualified withdrawals are tax-free

CORRECT ANSWER

A. Contributions are made with after-tax money; qualified withdrawals are tax-free

Feedback (shown after answering)

Roth = pay tax now, tax-free qualified withdrawals later.

Why each other choice is wrong (misconception it represents)

B: Describes a traditional IRA
C: Overstates
D: Mixes the two tax benefits

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 4 of 5

Learn: Traditional IRA: contributions may be tax-deductible (depending on income and workplace plan coverage). The account grows tax-deferred, and withdrawals are taxed as ordinary income, except for any after-tax (nondeductible) contributions, which come out partly tax-free under a pro-rata rule.

Which describes a TRADITIONAL IRA?

A. Contributions are after-tax; qualified withdrawals are completely tax-free
B. Contributions may be tax-deductible; withdrawals are generally taxed
C. It can be opened only by employers
D. It pays a fixed interest rate set by law

CORRECT ANSWER

B. Contributions may be tax-deductible; withdrawals are generally taxed

Feedback (shown after answering)

Traditional = possible deduction now, generally taxes on withdrawals later.

Why each other choice is wrong (misconception it represents)

A: Describes a Roth IRA
C: Confuses with a 401(k)
D: Confuses an IRA with a CD or bond

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 5 of 5

Learn: Roth: tax first, then tax-free growth. Traditional: grow first, then tax. If the tax rate is the same now and later, the results match.

$1,000 of earnings is put toward retirement. In a Roth, tax of 12% is paid first, so $880 is invested; in a traditional IRA, the full $1,000 is invested and taxed at 12% on withdrawal. Both grow 4 times. After taxes, what does each provide?

A. Roth $3,520; traditional $4,000
B. Roth $880; traditional $1,000
C. Both provide $3,520
D. Roth $4,000; traditional $3,520

CORRECT ANSWER

C. Both provide $3,520

Feedback (shown after answering)

Roth: $880 × 4 = $3,520. Traditional: $1,000 × 4 = $4,000, minus 12% = $3,520.

Recomputed independently by the build: 3520

Why each other choice is wrong (misconception it represents)

A: Ignores tax on withdrawal
B: Ignores growth
D: Swaps the accounts

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 1 of 5

Learn: Two ways to get a tax break: pay tax now and skip it later (Roth), or skip tax now and pay it later (traditional).

With a Roth account, WHEN is income tax paid on the money you contribute?

A. When it is withdrawn in retirement
B. Never; Roth money is never taxed
C. Every year on all growth
D. Before it goes in

CORRECT ANSWER

D. Before it goes in

Feedback (shown after answering)

Roth contributions are made with already-taxed money.

Why each other choice is wrong (misconception it represents)

A: Describes traditional
B: Believes no tax is ever paid
C: Describes taxable accounts

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 2 of 5

Learn: In a traditional account, tax is usually put off until the money is withdrawn.

With a traditional account, WHEN is income tax usually paid?

A. When money is withdrawn
B. Before it goes in
C. Never; traditional money is never taxed
D. Every year on the account's growth

CORRECT ANSWER

A. When money is withdrawn

Feedback (shown after answering)

Traditional accounts defer tax to withdrawal.

Why each other choice is wrong (misconception it represents)

B: Describes Roth
C: Believes no tax is ever paid
D: Describes a taxable account

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 3 of 5

Learn: Paying tax when your rate is lower saves money.

If someone expects a HIGHER tax rate in retirement than now, which type often makes more sense?

A. Traditional
B. Roth
C. Neither; it never matters
D. A regular taxable account

CORRECT ANSWER

B. Roth

Feedback (shown after answering)

Pay tax now at the lower rate with a Roth.

Why each other choice is wrong (misconception it represents)

A: Defers tax to a higher rate
C: Ignores rates
D: No tax advantage

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 4 of 5

Learn: Many young workers are in low tax brackets now.

A young worker in a low tax bracket today expects to earn more later. Which IRA is often recommended?

A. A traditional IRA
B. No IRA
C. A Roth IRA
D. A taxable brokerage account

CORRECT ANSWER

C. A Roth IRA

Feedback (shown after answering)

Low rates now make paying tax up front attractive.

Why each other choice is wrong (misconception it represents)

A: Defers to likely higher rates
B: Misses tax advantages
D: Gives up the tax advantage

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 5 of 5

Which statement is TRUE for both Roth and traditional IRAs?

A. Contributions are always deductible from taxable income
B. Withdrawals are always tax-free
C. They are FDIC insured
D. Investments inside grow without yearly taxes

CORRECT ANSWER

D. Investments inside grow without yearly taxes

Feedback (shown after answering)

Both shelter growth from yearly taxes; they differ in when tax is paid.

Why each other choice is wrong (misconception it represents)

A: Only traditional, sometimes
B: Only qualified Roth
C: Investments are not

Type: knowledge check

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 1 of 5

Learn: When the tax rate later is higher than now, paying tax now (Roth) wins; when it is lower later, traditional wins.

$1,000 of earnings: Roth taxed at 12% now; traditional taxed at 22% at withdrawal. Both grow 4 times. Which provides more after tax?

A. Traditional: $3,520 vs $3,120
B. They are equal at $3,520
C. Roth: $3,520 vs $3,120
D. Traditional: $4,000 vs $3,520

CORRECT ANSWER

C. Roth: $3,520 vs $3,120

Feedback (shown after answering)

Roth: $880 × 4 = $3,520. Traditional: $4,000 × 0.78 = $3,120.

Recomputed independently by the build: 3520

Why each other choice is wrong (misconception it represents)

A: Swaps
B: Ignores the rate change
D: Ignores withdrawal tax

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 2 of 5

Learn: Roth: tax now at today's rate, then tax-free. Traditional: full amount grows, then taxed at the later rate.

If the rate now is 22% and later 12%, which provides more from $1,000 that grows 4 times?

A. Roth: $3,520 vs $3,120
B. They are equal
C. Roth: $4,000 vs $3,520 after tax
D. Traditional: $3,520 vs $3,120

CORRECT ANSWER

D. Traditional: $3,520 vs $3,120

Feedback (shown after answering)

Roth: $780 × 4 = $3,120. Traditional: $4,000 × 0.88 = $3,520.

Recomputed independently by the build: 3520

Why each other choice is wrong (misconception it represents)

A: Swaps
B: Ignores the rate change
C: Ignores tax now

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 3 of 5

Learn: No one knows their future tax rate for sure.

Why do some people split savings between Roth and traditional accounts?

A. Future tax rates are uncertain, so splitting spreads the risk
B. The law requires both account types
C. Splitting doubles the contribution limit
D. Splitting removes all taxes

CORRECT ANSWER

A. Future tax rates are uncertain, so splitting spreads the risk

Feedback (shown after answering)

Tax diversification hedges against unknown future rates.

Why each other choice is wrong (misconception it represents)

B: Invents a requirement
C: Believes limits are per account type
D: Overstates tax benefits

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 4 of 5

Learn: Traditional IRAs require minimum withdrawals starting in your 70s (the exact age depends on birth year). Roth IRAs do not require withdrawals during the original owner's life.

Which account has NO required minimum distributions during the original owner's lifetime?

A. A traditional IRA
B. A Roth IRA
C. A traditional 401(k) for a retired worker
D. Every retirement account

CORRECT ANSWER

B. A Roth IRA

Feedback (shown after answering)

Roth IRAs have no lifetime RMDs for the original owner.

Why each other choice is wrong (misconception it represents)

A: Has required distributions later in life
C: Has required distributions
D: Overgeneralizes

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 5 of 5

Learn: A deduction lowers taxable income; tax saved ≈ deduction × tax rate.

A traditional IRA contribution is deductible for Ana, whose rate is 12%. She contributes $2,000. About how much tax does she save now?

A. $24
B. $240
C. $1,760
D. $2,000

CORRECT ANSWER

B. $240

Feedback (shown after answering)

$2,000 × 0.12 = $240.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Subtracts
D: Treats the contribution as savings

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 1 of 5

Learn: 401(k) and 403(b) plans are set up by employers, often with matches and payroll deductions. Traditional and Roth IRAs are usually opened individually at a financial institution. (Employers can also offer IRA-based plans, such as SEP and SIMPLE IRAs.)

Which statement compares a 401(k) with a traditional or Roth IRA correctly?

A. Only IRAs can have employer matches
B. 401(k)s cannot hold mutual funds
C. A 401(k) is offered through an employer; a traditional or Roth IRA is usually opened by an individual
D. Traditional and Roth IRAs are offered only by employers

CORRECT ANSWER

C. A 401(k) is offered through an employer; a traditional or Roth IRA is usually opened by an individual

Feedback (shown after answering)

Employer plans vs individually opened IRAs.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Confuses plan menus with restrictions
D: Reverses

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 2 of 5

Learn: Employer plans offer a set menu of funds. IRAs at brokerage firms can usually hold almost any stock, bond, or fund.

Which account usually offers the WIDER choice of investments?

A. An IRA at a brokerage firm
B. A 401(k) with a set menu of funds
C. A checking account
D. A certificate of deposit

CORRECT ANSWER

A. An IRA at a brokerage firm

Feedback (shown after answering)

Brokerage IRAs typically allow a broad range of investments.

Why each other choice is wrong (misconception it represents)

B: Limited menu
C: Not investments
D: Single product

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 3 of 5

Learn: Workplace plan participation can affect whether a traditional IRA contribution is deductible, but you can generally contribute to both.

Can a worker contribute to both a 401(k) and an IRA in the same year?

A. No, it is illegal to have both
B. Yes, within each account's rules
C. Only if the saver is over age 50
D. Only if the 401(k) has no match

CORRECT ANSWER

B. Yes, within each account's rules

Feedback (shown after answering)

Both are allowed; deductibility of traditional IRA contributions may be limited.

Why each other choice is wrong (misconception it represents)

A: Believes accounts are exclusive
C: Confuses with catch-up contributions
D: Invents a condition

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 4 of 5

Learn: A common priority: contribute enough to get the full employer match, then use an IRA, then add more to the workplace plan.

A worker's employer offers a 401(k) with a match. Which order of saving do many planners suggest?

A. Skip the match and use only an IRA
B. Use only a taxable account
C. Save nothing until 40
D. Get the full 401(k) match first, then consider an IRA

CORRECT ANSWER

D. Get the full 401(k) match first, then consider an IRA

Feedback (shown after answering)

The match is an immediate return on your contribution.

Why each other choice is wrong (misconception it represents)

A: Leaves free money
B: Misses tax benefits
C: Delays

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 5 of 5

Learn: IRAs belong to the individual, not to an employer.

Which account follows a worker from job to job without a rollover?

A. An IRA
B. A 401(k) at a past employer
C. A pension at a former job
D. An employer stock plan

CORRECT ANSWER

A. An IRA

Feedback (shown after answering)

IRAs are independent of employers.

Why each other choice is wrong (misconception it represents)

B: Tied to the employer
C: Tied to the employer
D: Tied to the employer

Type: instruction

SET 58 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Roth IRA eligibility and contribution rules

MAIN skill: Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Outcome FL.RETIRE.58 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: 12-8a distinguish earned from unearned income; retirement account eligibility rules

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Earned versus unearned income (5 questions)
  Why: IRA eligibility depends on telling earned income apart from other money (national outcome 12-8a).
- B2 · Math link → G7-S34-M (Grade 7 7.EE.B.4.b): Solve word problems that lead to inequalities of the form px + q > r or px + q < r
  Why: Contribution rules are inequalities: contribution ≤ the limit and ≤ earned income.
- B3 · Math link → G4-S18-M (Grade 4 4.NBT.A.2): Compare multi-digit whole numbers using >, =, and <
  Why: "The lesser of" two amounts requires comparing numbers.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Custodial Roth IRAs for teens (5 questions)
- Go Deeper 2: Contribution mistakes and fixes (5 questions)

Practical skills beyond the standards: Custodial Roth IRAs for teens; Correcting excess contributions

Content status: time-sensitive

Source: IRS (Publication 590-A) — IRA contributions require taxable compensation (a spousal IRA can use a working spouse's compensation on a joint return); one annual limit covers traditional and Roth IRAs combined, capped at compensation; Roth contributions are not deductible. https://www.irs.gov/publications/p590a

Source: IRS (Retirement topics: IRA contribution limits) — The IRA contribution limit and Roth income limits change by tax year; this course uses stated hypothetical amounts. https://www.irs.gov/retirement-plans/plan-participant-employee/retirement-topics-ira-contribution-limits

Source: IRS (Publication 590-A) — Excess IRA contributions are subject to a 6% excise tax for each year they remain in the account; regular contributions for a year are due by the return due date without extensions, while an excess and its earnings can be withdrawn tax-free by the due date including extensions. https://www.irs.gov/publications/p590a

Note: Contribution and income limits are stated as hypothetical amounts; check irs.gov for the current tax year.

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 C, B1-Q1 D, B1-Q2 B, B1-Q3 C, B1-Q4 C, B1-Q5 A, F1-Q1 D, F1-Q2 B, F1-Q3 C, F1-Q4 A, F1-Q5 B, F2-Q1 B, F2-Q2 B, F2-Q3 A, F2-Q4 C, F2-Q5 D

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 1 of 5

Learn: To contribute to an IRA, you generally need taxable compensation (earned income): wages, salaries, tips, or net self-employment earnings. Gifts, allowances, interest, and dividends do not count. There is no minimum age. One exception: a married couple filing jointly can use the working spouse's compensation for a spousal IRA.

Kai, 16 and unmarried, wants to contribute to a Roth IRA. Which of his income counts as compensation (earned income) for IRA purposes?

A. $500 of birthday gifts from relatives
B. $2,400 in wages from a part-time job
C. $300 of interest from a savings account
D. A $1,000 weekly allowance from parents

CORRECT ANSWER

B. $2,400 in wages from a part-time job

Feedback (shown after answering)

Wages are compensation; gifts, allowance, and interest are not.

Why each other choice is wrong (misconception it represents)

A: Gifts are not earned income
C: Interest is unearned income
D: Allowance is not earned income

Type: instruction

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 2 of 5

Learn: The most you can contribute to all your IRAs for a year (traditional and Roth combined, not per account) is the LESSER of the annual limit or your taxable compensation for that year.

For this scenario, assume the annual IRA contribution limit is $7,000, counting traditional and Roth IRAs together. Kai is unmarried and earned $3,200 from his job this year. What is the most he can contribute to a Roth IRA for the year?

A. $0
B. $3,200
C. $7,000
D. $10,200

CORRECT ANSWER

B. $3,200

Feedback (shown after answering)

$3,200 is less than $7,000, so his limit is $3,200.

Recomputed independently by the build: 3200

Why each other choice is wrong (misconception it represents)

A: Thinks minors cannot contribute
C: Ignores the compensation cap
D: Adds the limit and earnings

Type: instruction · rule as of Hypothetical $7,000 limit for this scenario

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 3 of 5

Assume a $7,000 limit. Ana earned $45,000 this year. What is the most she can put into her Roth IRA?

A. $4,500
B. $7,000
C. $45,000
D. $52,000

CORRECT ANSWER

B. $7,000

Feedback (shown after answering)

The lesser of $7,000 and $45,000 is $7,000.
Recomputed independently by the build: 7000

Why each other choice is wrong (misconception it represents)

A: Uses 10%
C: Ignores the annual limit
D: Adds

Type: knowledge check · rule as of Hypothetical $7,000 limit for this scenario

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 4 of 5

Learn: Roth IRAs have income limits: above a certain modified adjusted gross income (MAGI), direct Roth contributions are reduced or not allowed. The limits change each year. Traditional IRA contributions have no income cap, though deductibility can be limited.

Roth IRA eligibility also depends on income. For this scenario, assume single filers can contribute fully below $150,000 of modified income and not at all above $165,000. Leo's modified income is $172,000. Can he contribute directly to a Roth IRA?

A. Yes, the full amount, because he has earned income
B. Yes, but only half the limit
C. Yes, if he contributes before January
D. No; his income is above the limit

CORRECT ANSWER

D. No; his income is above the limit

Feedback (shown after answering)

$172,000 is above the $165,000 upper limit in this scenario.

Why each other choice is wrong (misconception it represents)

A: Ignores the income limit
B: Applies a phase-out above the range
C: Invents a timing rule

Type: instruction · rule as of Hypothetical income limits for this scenario

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 5 of 5

Learn: IRA contributions for a tax year can be made from January 1 of that year through the tax return due date (usually mid-April of the next year), not including extensions.

Until when can a contribution for a given tax year usually be made?

A. Only until December 31 of that year
B. Any time in the next five years
C. Until the tax-filing deadline the following April
D. Only during the calendar month of the person's next birthday

CORRECT ANSWER

C. Until the tax-filing deadline the following April

Feedback (shown after answering)

Contributions for a year can be made through the tax deadline the next April.

Why each other choice is wrong (misconception it represents)

A: Common misconception
B: Too long
D: Invents a rule

Type: instruction · rule as of IRS rule as of 2026

BACKWARD B1 · concept review — Earned versus unearned income · Question 1 of 5

Learn: Earned income is pay for work: wages, salaries, tips, and self-employment earnings. Unearned income includes interest, dividends, and capital gains. Gifts are not income to the person receiving them for tax purposes.

Which is EARNED income?

A. Interest on savings deposits
B. Stock dividends
C. A cash gift
D. Tips from waiting tables

CORRECT ANSWER

D. Tips from waiting tables

Feedback (shown after answering)

Tips are earned by working.

Why each other choice is wrong (misconception it represents)

A: Unearned
B: Unearned
C: Not income for this purpose

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 2 of 5

Learn: Unearned income comes from money or property, not from work.

Which is UNEARNED income?

A. Wages from a summer job
B. Dividends from a stock fund
C. Pay for babysitting
D. Self-employment earnings from mowing lawns

CORRECT ANSWER

B. Dividends from a stock fund

Feedback (shown after answering)

Dividends are investment income: unearned.

Why each other choice is wrong (misconception it represents)

A: Earned
C: Earned
D: Earned

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 3 of 5

Learn: Only pay for work counts as earned income.

Mia earned $1,800 babysitting and received $600 in gifts. How much earned income does she have?

A. $600
B. $1,200
C. $1,800
D. $2,400

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

Only the $1,800 from work is earned income.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses gifts
B: Subtracts
D: Adds gifts

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 4 of 5

Learn: The IRA rule uses the lesser (smaller) of two numbers.

Which number is SMALLER: $2,500 or $7,000?

A. $7,000
B. They are equal
C. $2,500
D. $9,500

CORRECT ANSWER

C. $2,500

Feedback (shown after answering)

$2,500 < $7,000.

Recomputed independently by the build: 2500

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Misreads
D: Adds

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 5 of 5

Learn: Earned income has no age requirement.

Does a 15-year-old with a paying job have earned income?

A. Yes, the wages are earned income
B. No, minors cannot have earned income
C. Only after age 18
D. Only if paid in cash

CORRECT ANSWER

A. Yes, the wages are earned income

Feedback (shown after answering)

Wages are earned income at any age.

Why each other choice is wrong (misconception it represents)

B: Believes age limits earned income
C: Invents an age rule
D: Believes payment method matters

Type: instruction

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 1 of 5

Learn: Minors with earned income can have Roth IRAs. Many providers offer custodial Roth IRAs: an adult custodian opens and manages the account for the minor, and the minor gains control at the age set by law.

Kai, 16, has earned income. How can he have a Roth IRA if the provider requires adult account owners?

A. He cannot have one until age 21
B. He uses a friend's Roth IRA
C. His employer must open it for him
D. A parent or guardian opens a custodial Roth IRA for him

CORRECT ANSWER

D. A parent or guardian opens a custodial Roth IRA for him

Feedback (shown after answering)

Custodial Roth IRAs let minors with earned income save for retirement.

Why each other choice is wrong (misconception it represents)

A: Invents an age rule
B: Not allowed
C: Not required

Type: instruction · practical how-to

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 2 of 5

Learn: The contribution amount is limited by earned income, but the actual dollars contributed do not have to be the same dollars earned.

Kai's parents give him $1,000 to put into his Roth IRA, and he earned $1,500 at work. Assuming a $7,000 limit, can $1,000 be contributed?

A. No, contributions must come from his own paycheck dollars only
B. Yes, as long as the total contributed does not exceed $1,500
C. Yes, up to $7,000 total
D. No, gifts are never allowed in IRAs

CORRECT ANSWER

B. Yes, as long as the total contributed does not exceed $1,500

Feedback (shown after answering)

The limit is $1,500 (his earned income); the money can come from a gift.

Why each other choice is wrong (misconception it represents)

A: Misunderstands the rule
C: Ignores the earned-income cap
D: Misunderstands

Type: instruction

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 3 of 5

Learn: If questioned, you must show earned income at least equal to IRA contributions.

Why keep records of a teen's earned income, such as pay stubs or a babysitting log?

A. Because the IRS requires the records to be mailed in every month
B. Because records raise the yearly limit
C. To show the IRA contributions did not exceed earned income
D. Because the provider must approve each contribution

CORRECT ANSWER

C. To show the IRA contributions did not exceed earned income

Feedback (shown after answering)

Records prove the contributions were allowed.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Believes records change limits
D: Believes providers verify income

Type: instruction · practical how-to

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 4 of 5

Learn: A = P(1 + r)^t.

Kai contributes $1,500 at 16, and it grows at an assumed 7% until 65 (49 years). About how much will it be?

A. About $41,000
B. About $1,600
C. About $6,600
D. About $105,000

CORRECT ANSWER

A. About $41,000

Feedback (shown after answering)

1,500 × 1.07^49 ≈ $41,000 (with returns assumed; actual returns vary).

Recomputed independently by the build: 41294.894948

Why each other choice is wrong (misconception it represents)

B: Uses one year
C: Uses simple interest
D: Uses too many years

Type: instruction

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 5 of 5

Learn: In a custodial account, the minor owns the assets; the adult manages them until control transfers.

Who owns the money in Kai's custodial Roth IRA?

A. His parent, permanently
B. Kai
C. The brokerage firm
D. The IRS

CORRECT ANSWER

B. Kai

Feedback (shown after answering)

The account belongs to the minor.

Why each other choice is wrong (misconception it represents)

A: Misunderstands custodial ownership
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Contribution mistakes and fixes · Question 1 of 5

Learn: Contributions above the allowed amount are "excess contributions." They are charged a 6% excise tax for each year they remain in the account, unless corrected in time.

For this scenario, assume a $7,000 limit. Ana contributes $7,500 to her Roth IRA. How much is an excess contribution?

A. $0
B. $500
C. $7,000
D. $7,500

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$7,500 − $7,000 = $500 excess.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Ignores the limit
C: Gives the limit
D: Treats the whole amount as excess

Type: instruction · rule as of Hypothetical $7,000 limit for this scenario

GO DEEPER 2 — Contribution mistakes and fixes · Question 2 of 5

Learn: The excise tax on an excess contribution = excess × 6%, for each year it remains.

If the $500 excess stays in the account for a year, what is the 6% excise tax?

A. $3
B. $30
C. $300
D. $450

CORRECT ANSWER

B. $30

Feedback (shown after answering)

$500 × 0.06 = $30 per year until corrected.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 60%
D: Uses 90%

Type: instruction

GO DEEPER 2 — Contribution mistakes and fixes · Question 3 of 5

Learn: An excess contribution can be corrected by withdrawing the excess and any earnings on it by the due date of the tax return, including extensions. This is different from the deadline for making a contribution for a year, which is usually the April filing date without extensions.

How can Ana usually fix an excess IRA contribution?

A. Withdraw the excess (and its earnings) by the tax return due date, including extensions
B. Ignore it; it fixes itself
C. Contribute more to balance it
D. Move it to her checking and tell no one

CORRECT ANSWER

A. Withdraw the excess (and its earnings) by the tax return due date, including extensions

Feedback (shown after answering)

Removing the excess and its earnings in time avoids the 6% tax.

Why each other choice is wrong (misconception it represents)

B: Ignores the yearly excess tax
C: Makes it worse
D: Incomplete fix

Type: instruction · practical how-to

GO DEEPER 2 — Contribution mistakes and fixes · Question 4 of 5

Learn: IRA contributions require taxable compensation (earned income). A spousal IRA can use a working spouse's compensation on a joint return, but Leo is single.

Leo is single, has no job this year, and has only $200 of interest income. Can he contribute to an IRA?

A. Yes, up to $200 of interest
B. Yes, up to the full limit
C. No; he has no compensation
D. Yes, if he contributes in January

CORRECT ANSWER

C. No; he has no compensation

Feedback (shown after answering)

Single with no compensation, he cannot contribute.

Why each other choice is wrong (misconception it represents)

A: Interest is not compensation
B: Ignores the rule
D: Believes timing changes eligibility

Type: instruction

GO DEEPER 2 — Contribution mistakes and fixes · Question 5 of 5

Learn: Contributions for a tax year can be made during that year and up to the tax filing deadline the following spring.

Which contribution timing is allowed for the tax year 2026?

A. Only on December 31, 2026
B. Any time through 2030
C. Only in January 2026
D. Any time from January 2026 through the April 2027 deadline

CORRECT ANSWER

D. Any time from January 2026 through the April 2027 deadline

Feedback (shown after answering)

Contributions for a year can be made up to the next April's deadline.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Too long
C: Too narrow

Type: instruction · rule as of IRS rule as of 2026

SET 59 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Opening a Roth IRA

MAIN skill: Choose a provider and complete the steps to open a Roth IRA

Outcome FL.RETIRE.59 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Describe how to open and manage a retirement account

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What an IRA account is (5 questions)
  Why: Opening a Roth IRA requires knowing it is an account type, not an investment or a government program.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing providers adds account fees and fund costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Step by step: from application to first investment (5 questions)
- Go Deeper 2: Keeping the account safe and organized (5 questions)

Practical skills beyond the standards: Comparing IRA providers; Opening, funding, and verifying a Roth IRA

Content status: time-sensitive

Source: IRS (Individual retirement arrangements) — IRAs are set up with banks, brokerage firms, and other financial institutions; contributions for a year may be made until the tax return due date.
https://www.irs.gov/retirement-plans/individual-retirement-arrangements-iras

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 D, M-Q5 B, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 C, F2-Q1 A, F2-Q2 B, F2-Q3 B, F2-Q4 A, F2-Q5 C

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 1 of 5

Learn: Roth IRAs are opened at financial institutions, such as brokerage firms, banks, credit unions, and online investment services. Each provider sets its own fees, account minimums, and investment choices, so the first step is comparing providers that offer Roth IRAs.

Jordan has earned income and wants to open a Roth IRA. Which action would be a reasonable first step?

A. Apply for a home mortgage.
B. Request an IRA directly from the Social Security Administration.
C. Compare eligible financial institutions offering Roth IRAs.
D. Apply for a credit card.

CORRECT ANSWER

C. Compare eligible financial institutions offering Roth IRAs.

Feedback (shown after answering)

Comparing providers comes first; the government does not open IRAs for individuals.

Why each other choice is wrong (misconception it represents)

A: Confuses retirement saving with borrowing
B: Thinks the government opens IRAs
D: Confuses credit with investing

Type: instruction · practical how-to

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 2 of 5

Learn: Many providers offer IRAs: brokerage firms (wide investment choice), banks and credit unions (often CDs and savings), and automated investment services ("robo-advisors"). Naming firms is not an endorsement.

Which type of institution commonly offers Roth IRAs with a wide choice of investments?

A. A brokerage firm such as Fidelity, Charles Schwab, or Vanguard
B. The Social Security Administration's local field office downtown
C. A credit bureau such as Experian
D. A payroll company that prints paychecks

CORRECT ANSWER

A. A brokerage firm such as Fidelity, Charles Schwab, or Vanguard

Feedback (shown after answering)

Brokerage firms commonly offer IRAs with many investment options.

Why each other choice is wrong (misconception it represents)

B: Government does not offer IRAs
C: Credit bureaus do not hold accounts
D: Not an IRA provider

Type: instruction

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 3 of 5

Learn: Comparing providers means adding all yearly costs: account fees plus fund expenses (amount × expense ratio).

Provider A charges no account fee and offers index funds with 0.05% expense ratios. Provider B charges a $30 yearly account fee and offers funds with 0.60% expense ratios. For a $3,000 Roth IRA, about how much more does Provider B cost per year?

A. $1.50
B. $16.50
C. $30.00
D. $46.50

CORRECT ANSWER

D. $46.50

Feedback (shown after answering)

A: $3,000 × 0.0005 = $1.50. B: $30 + $3,000 × 0.006 = $48. Difference: $46.50.

Recomputed independently by the build: 46.5

Why each other choice is wrong (misconception it represents)

A: Gives Provider A's fund cost
B: Counts only the fund cost difference
C: Counts only the account fee

Type: instruction · practical how-to

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 4 of 5

Learn: IRA applications collect identity and tax information, like other investment accounts. Many also ask you to name beneficiaries, the people who would receive the account if you die.

Which information is generally needed to open a Roth IRA?

A. A home mortgage statement and car title
B. A credit card and its PIN
C. A list of every past purchase
D. Name, address, date of birth, Social Security number, and employment details

CORRECT ANSWER

D. Name, address, date of birth, Social Security number, and employment details

Feedback (shown after answering)

Identity and tax information are required; beneficiaries are named too.

Why each other choice is wrong (misconception it represents)

A: Not required
B: Not required and unsafe
C: Not required

Type: instruction · practical how-to

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 5 of 5

Learn: Choosing the correct account type matters: the tax rules attach to the account, not to the investments in it.

On a provider's website, Jordan sees choices: "Individual brokerage account," "Traditional IRA," "Roth IRA," and "529 college plan." Which should he select?

A. Individual brokerage account
B. Roth IRA
C. Traditional IRA
D. 529 college plan

CORRECT ANSWER

B. Roth IRA

Feedback (shown after answering)

Only the "Roth IRA" account type gives Roth tax treatment.

Why each other choice is wrong (misconception it represents)

A: Taxable account, no Roth benefits
C: Different tax treatment
D: Education account

Type: instruction · practical how-to

BACKWARD B1 · concept review — What an IRA account is · Question 1 of 5

Learn: An IRA is like a container. The container has tax rules; inside it, you choose investments such as funds, stocks, or bonds.

An IRA is best described as…

A. a single investment, like one stock
B. a government payment program
C. an account type that holds investments with special tax rules
D. a loan for retirement

CORRECT ANSWER

C. an account type that holds investments with special tax rules

Feedback (shown after answering)

The IRA is the container; investments go inside it.

Why each other choice is wrong (misconception it represents)

A: Confuses the account with what it holds
B: Confuses with Social Security
D: Misreads

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 2 of 5

Learn: IRAs are opened by individuals (or by a custodian for a minor) at financial institutions.

Who opens a Roth IRA?

A. The government, which opens one automatically at age 18
B. The individual, at a financial institution
C. Every employer, for all workers
D. A credit bureau, after a credit check

CORRECT ANSWER

B. The individual, at a financial institution

Feedback (shown after answering)

Individuals open IRAs at banks, brokers, or similar providers.

Why each other choice is wrong (misconception it represents)

A: Confuses IRAs with Social Security
C: Confuses IRAs with 401(k)s
D: Confuses account opening with credit

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 3 of 5

Learn: IRAs can hold many investments: stocks, bonds, funds, CDs, and cash.

A Roth IRA can hold which of these?

A. Stock and bond index funds
B. A car title
C. A deed to the house you live in
D. A debit card

CORRECT ANSWER

A. Stock and bond index funds

Feedback (shown after answering)

Funds are common IRA investments.

Why each other choice is wrong (misconception it represents)

B: Not a permitted investment
C: Not typical
D: Not an investment

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 4 of 5

Learn: "Roth" names a tax treatment (from the senator who proposed it), not an investment.

What does the word "Roth" tell you about an IRA?

A. That it holds only government bonds
B. That it is insured by the FDIC
C. That it pays a fixed interest rate
D. Its tax treatment: after-tax contributions, tax-free qualified withdrawals

CORRECT ANSWER

D. Its tax treatment: after-tax contributions, tax-free qualified withdrawals

Feedback (shown after answering)

"Roth" describes how the account is taxed.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Misreads

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 5 of 5

Learn: Official federal agencies, such as the IRS (irs.gov), use .gov web addresses.

Which website ending suggests an official U.S. government source for IRA rules?

A. .gov
B. .biz
C. .shop
D. .xyz

CORRECT ANSWER

A. .gov

Feedback (shown after answering)

IRS rules are published on irs.gov.

Why each other choice is wrong (misconception it represents)

B: Commercial
C: Commercial
D: Commercial

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 1 of 5

Learn: Opening a Roth IRA follows an order: compare providers, open the account (identity checks), link a bank and fund it, then choose and buy investments, then check that everything posted correctly.

Put the Roth IRA steps in order: (1) fund the account, (2) choose an investment, (3) open the account, (4) compare providers.

A. 3, 4, 2, 1
B. 4, 3, 1, 2
C. 1, 2, 3, 4
D. 4, 2, 3, 1

CORRECT ANSWER

B. 4, 3, 1, 2

Feedback (shown after answering)

Compare → open → fund → invest.

Why each other choice is wrong (misconception it represents)

A: Opens before comparing; invests before funding
C: Funds before opening
D: Invests before opening

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 2 of 5

Learn: Providers verify a linked bank account securely, for example with two small "micro-deposits" you confirm, or through a secure bank login service. No legitimate provider asks for a PIN.

Jordan links his checking account to his new Roth IRA. What does the provider usually do to confirm the link?

A. Asks for his debit card PIN and online banking password by email
B. Calls his employer
C. Sends small test deposits or uses secure bank verification
D. Requires a paper check mailed to the IRS

CORRECT ANSWER

C. Sends small test deposits or uses secure bank verification

Feedback (shown after answering)

Micro-deposits or secure verification confirm the link.

Why each other choice is wrong (misconception it represents)

A: Unsafe; a scam sign
B: Not how linking works
D: Not how linking works

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 3 of 5

Learn: Between January 1 and the tax deadline, IRA contributions can be designated for the previous tax year or the current one.

When contributing, the form asks which tax year the contribution is for. It is March 2027. Jordan wants to count it toward 2026 and has not yet contributed for that year. Is that allowed?

A. No, contributions always count for the current calendar year
B. Only if he files for an extension
C. Only for contributions over $5,000
D. Yes, until the April 2027 tax deadline

CORRECT ANSWER

D. Yes, until the April 2027 tax deadline

Feedback (shown after answering)

Prior-year contributions are allowed until the tax-filing deadline (not extensions).

Why each other choice is wrong (misconception it represents)

A: Ignores the prior-year rule
B: Extensions do not extend the deadline
C: Invents a rule

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 4 of 5

Learn: Verifying transactions catches errors early: confirm deposits posted and purchases show the right investment and amount.

A few days after buying a fund, what should Jordan check in his account?

A. Nothing; accounts never contain errors
B. His credit score, which trades affect
C. Whether the IRS approved the trade
D. That the purchase shows the right fund, amount, and price

CORRECT ANSWER

D. That the purchase shows the right fund, amount, and price

Feedback (shown after answering)

Checking confirmations catches mistakes early.

Why each other choice is wrong (misconception it represents)

A: Overconfident
B: Confuses investing with credit
C: IRS does not approve trades

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 5 of 5

Learn: A beneficiary designation tells the provider who inherits the account. It usually overrides a will for that account.

Why name a beneficiary on a Roth IRA?

A. It lets the beneficiary withdraw money from it right now
B. It doubles the contribution limit
C. It says who receives the account if the owner dies
D. It is required to buy investments

CORRECT ANSWER

C. It says who receives the account if the owner dies

Feedback (shown after answering)

Beneficiary designations direct who inherits the account.

Why each other choice is wrong (misconception it represents)

A: Confuses a beneficiary with an owner
B: Believes beneficiaries change limits
D: Invents a requirement

Type: instruction

GO DEEPER 2 — Keeping the account safe and organized · Question 1 of 5

Learn: Retirement accounts can hold large balances, so protect them with strong unique passwords and multi-factor authentication.

Which security step is MOST important for an online Roth IRA account?

A. Turning on multi-factor authentication
B. Using the same password as on social media
C. Saving the password on a shared computer
D. Sharing the login with a friend

CORRECT ANSWER

A. Turning on multi-factor authentication

Feedback (shown after answering)

Multi-factor authentication adds a second check, so a stolen password alone is not enough to get in.

Why each other choice is wrong (misconception it represents)

B: Password reuse risk
C: Unsafe
D: Unsafe

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 2 of 5

Learn: Phishing emails imitate real companies to steal logins.

An email says, "Your IRA is locked — log in here to fix it," with a link. What should Jordan do?

A. Click the link and log in quickly
B. Go to the provider's site directly, not through the link
C. Reply with his password
D. Forward it to friends

CORRECT ANSWER

B. Go to the provider's site directly, not through the link

Feedback (shown after answering)

Typing the address yourself avoids phishing sites.

Why each other choice is wrong (misconception it represents)

A: Phishing risk
C: Phishing
D: Spreads the scam

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 3 of 5

Learn: IRA providers report contributions on Form 5498 and distributions on Form 1099-R.

What tax form does an IRA provider send after a contribution year?

A. Form W-2
B. Form 5498, which reports IRA contributions
C. Form W-4
D. Form 1098-T

CORRECT ANSWER

B. Form 5498, which reports IRA contributions

Feedback (shown after answering)

Form 5498 reports IRA contributions.

Why each other choice is wrong (misconception it represents)

A: Wages
C: Withholding
D: Tuition

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 4 of 5

Learn: Regular Roth contributions that have not already been withdrawn can be taken out any time without tax or penalty, so knowing your remaining contribution amount matters.

Jordan keeps a simple record: date, amount, and tax year of each Roth contribution, and of any withdrawals. Why is this especially useful for a Roth IRA?

A. It shows how much can be withdrawn later as contributions
B. It raises his contribution limit
C. It is required to buy funds inside the IRA
D. It proves he paid tax on the earnings

CORRECT ANSWER

A. It shows how much can be withdrawn later as contributions

Feedback (shown after answering)

Tracking contributions and withdrawals shows what can still come out tax- and penalty-free.

Why each other choice is wrong (misconception it represents)

B: Believes records change limits
C: Invents a requirement
D: Confuses contributions with earnings

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 5 of 5

Learn: Total fees over a period = yearly fee × number of years.

Jordan opens a Roth IRA at a provider that charges no account fee. Over 40 years, how much does avoiding a $25 yearly fee save (not counting growth)?

A. $25
B. $100
C. $1,000
D. $10,000

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

$25 × 40 = $1,000, and more counting lost growth.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: One year
B: Four years
D: Adds a zero

Type: instruction

SET 60 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Contributing to and investing inside an IRA

MAIN skill: Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Outcome FL.RETIRE.60 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Explain how money is invested within a retirement account and how returns and losses affect it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Depositing versus investing (5 questions)
  Why: The cash-versus-invested confusion is the most common IRA mistake; this branch isolates it.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Earnings are the balance minus contributions.
- B3 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Gains and losses in an IRA are percent changes.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Investment fees inside an IRA (5 questions)
- Go Deeper 2: Watching contributions and earnings over time (5 questions)

Practical skills beyond the standards: Investing new contributions; Tracking contributions and earnings

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 B, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 1 of 5

Learn: Contributing moves money into the IRA. The money often lands in a cash position, such as a bank sweep, or in a money market fund. Choosing and buying the long-term investments, such as stock or bond funds, is a separate step.

Taylor contributed $500 to a Roth IRA, but the money remains in the account's cash position. What has Taylor not necessarily done yet?

A. Opened the IRA.
B. Made a contribution.
C. Purchased an investment.
D. Transferred money into the account.

CORRECT ANSWER

C. Purchased an investment.

Feedback (shown after answering)

Money in the cash position has been contributed, but Taylor has not necessarily bought the long-term investment she intends.

Why each other choice is wrong (misconception it represents)

A: The account exists
B: The contribution was made
D: The money arrived

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 2 of 5

Learn: Common IRA investments include index funds and target-date funds. A target-date fund holds a diversified mix of stock and bond funds and becomes more conservative as its target year approaches.

Taylor wants one broadly diversified investment for a retirement 45 years away. Which choice fits?

A. All of it in a single small company's stock
B. A savings account inside the IRA, forever
C. A short-term CD that is renewed every month for decades
D. A low-cost target-date fund near the year she turns 65

CORRECT ANSWER

D. A low-cost target-date fund near the year she turns 65

Feedback (shown after answering)

A target-date fund offers broad diversification in one choice.

Why each other choice is wrong (misconception it represents)

A: Concentrated risk
B: Very low long-term growth
C: Very low long-term growth

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 3 of 5

Learn: In an IRA, contributions are the money you put in; earnings are the growth (dividends, interest, and gains). Balance = contributions + earnings.

Over several years, Ana contributed $6,000 to her Roth IRA. It is now worth $7,800. How much are earnings?

A. $1,800
B. $6,000
C. $7,800
D. $13,800

CORRECT ANSWER

A. $1,800

Feedback (shown after answering)

$7,800 − $6,000 = $1,800 of earnings.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

B: Gives contributions
C: Gives the balance
D: Adds

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 4 of 5

Learn: Investments in an IRA can rise or fall. A loss lowers the balance but does not change how much you contributed.

Ana's $7,800 Roth IRA falls 10% in a market drop. What is it worth, and what are her total contributions?

A. $7,020; contributions fall to $5,400 too
B. $7,800; IRAs cannot lose value
C. $6,000; the loss erases all earnings
D. $7,020; contributions are still $6,000

CORRECT ANSWER

D. $7,020; contributions are still $6,000

Feedback (shown after answering)

$7,800 × 0.90 = $7,020. Her contribution total stays $6,000.

Recomputed independently by the build: 7020

Why each other choice is wrong (misconception it represents)

A: Thinks losses change contributions
B: Thinks IRAs are insured
C: Arithmetic error

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 5 of 5

Why does compounding work especially well in a Roth IRA?

A. Earnings grow without yearly taxes and qualified withdrawals are tax-free
B. The IRS adds 7% every year
C. Roth IRAs cannot go down in value
D. The provider pays a guaranteed bonus rate

CORRECT ANSWER

A. Earnings grow without yearly taxes and qualified withdrawals are tax-free

Feedback (shown after answering)

No yearly tax drag, and tax-free qualified withdrawals, let more of the growth compound.

Why each other choice is wrong (misconception it represents)

B: Believes the government pays returns
C: Confuses tax treatment with safety
D: Confuses an IRA with a bank promotion

Type: knowledge check

BACKWARD B1 · concept review — Depositing versus investing · Question 1 of 5

Learn: Uninvested cash in an IRA typically sits in a bank sweep or a money market fund that pays a modest rate. A money market fund is a low-risk investment, but not the long-term mix most savers intend.

Money contributed to an IRA but not yet put into the investments the owner chose usually earns...

A. the stock market's return
B. a guaranteed 10%
C. only the low rate of the cash or money market position
D. nothing ever, and it is lost after a year

CORRECT ANSWER

C. only the low rate of the cash or money market position

Feedback (shown after answering)

It earns only the cash or money market rate until the owner invests it.

Why each other choice is wrong (misconception it represents)

A: Not invested in stocks
B: Invents a return
D: Invents a forfeit rule

Type: instruction

BACKWARD B1 · concept review — Depositing versus investing · Question 2 of 5

Learn: Buying requires an order, just like in a regular brokerage account.

Which step actually BUYS an investment in an IRA?

A. Transferring money from checking
B. Placing an order to buy a fund
C. Opening the account
D. Naming a beneficiary

CORRECT ANSWER

B. Placing an order to buy a fund

Feedback (shown after answering)

An order to buy is what invests the money.

Why each other choice is wrong (misconception it represents)

A: Funds the account
C: Creates the account
D: Administrative

Type: instruction

BACKWARD B1 · concept review — Depositing versus investing · Question 3 of 5

Ben contributes $1,000 and buys $900 of an index fund. How much cash remains in the IRA?

A. $100
B. $900
C. $1,000
D. $1,900

CORRECT ANSWER

A. $100

Feedback (shown after answering)

$1,000 − $900 = $100 in cash.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

B: Gives the fund amount
C: Ignores the purchase
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Depositing versus investing · Question 4 of 5

Learn: Automatic investing directs each contribution into chosen funds so money does not sit in cash.

Some IRAs let you set "automatic investing" for new contributions. What does it do?

A. Withdraws money automatically
B. Raises the contribution limit
C. Moves money to checking
D. Buys chosen funds automatically when money arrives

CORRECT ANSWER

D. Buys chosen funds automatically when money arrives

Feedback (shown after answering)

It invests new money automatically in your chosen funds.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Believes features change limits
C: Reverses

Type: instruction

BACKWARD B1 · concept review — Depositing versus investing · Question 5 of 5

What is a common, costly IRA mistake?

A. Contributing for years but never investing the cash
B. Choosing a low-cost index fund
C. Checking the account balance occasionally on her phone
D. Naming a beneficiary

CORRECT ANSWER

A. Contributing for years but never investing the cash

Feedback (shown after answering)

Uninvested cash misses years of potential growth.

Why each other choice is wrong (misconception it represents)

B: Sensible choice
C: Sensible
D: Sensible

Type: knowledge check

GO DEEPER 1 — Investment fees inside an IRA · Question 1 of 5

Learn: Expense ratios apply inside IRAs just as in taxable accounts: yearly cost = balance × expense ratio.

Taylor's target-date fund has a 0.12% expense ratio. On a $10,000 balance, what is the yearly cost?

A. $1.20
B. $12
C. $120
D. $1,200

CORRECT ANSWER

B. $12

Feedback (shown after answering)

$10,000 × 0.0012 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Uses 0.012%
C: Uses 1.2%
D: Uses 12%

Type: instruction

GO DEEPER 1 — Investment fees inside an IRA · Question 2 of 5

Learn: Compare fees in dollars: difference in expense ratios × balance.

Another target-date fund charges 0.75%. How much more per year does it cost on $10,000 than a 0.12% fund?

A. $12
B. $63
C. $75
D. $630

CORRECT ANSWER

B. $63

Feedback (shown after answering)

0.63% × $10,000 = $63.

Recomputed independently by the build: 63

Why each other choice is wrong (misconception it represents)

A: Gives the lower fee only
C: Gives the higher fee only
D: Adds a zero

Type: instruction

GO DEEPER 1 — Investment fees inside an IRA · Question 3 of 5

Which choice lowers costs inside an IRA the MOST over decades?

A. Trading frequently
B. Choosing funds with sales loads
C. Selecting low-expense funds
D. Paying for add-on services you do not use

CORRECT ANSWER

C. Selecting low-expense funds

Feedback (shown after answering)

Low expense ratios compound in the investor's favor.

Why each other choice is wrong (misconception it represents)

A: Adds costs
B: Adds costs
D: Adds costs

Type: knowledge check

GO DEEPER 1 — Investment fees inside an IRA · Question 4 of 5

Learn: Providers list each fund's expense ratio on its detail page and in the prospectus.

Where in the IRA provider's website can Taylor find a fund's expense ratio?

A. Her bank's monthly statement
B. The fund's details page or prospectus
C. Her Form 1099-R
D. The IRS website

CORRECT ANSWER

B. The fund's details page or prospectus

Feedback (shown after answering)

Fund pages and prospectuses list expense ratios.

Why each other choice is wrong (misconception it represents)

A: Looks in the wrong document
C: Confuses a distribution form with fund details
D: Does not list fund fees

Type: instruction · practical how-to

GO DEEPER 1 — Investment fees inside an IRA · Question 5 of 5

Do fees in a Roth IRA reduce tax-free growth?

A. No; fees in IRAs are refunded
B. No; fees are taken only from contributions, not growth
C. Only if the fund loses money
D. Yes; every fee dollar is a dollar that cannot grow tax-free

CORRECT ANSWER

D. Yes; every fee dollar is a dollar that cannot grow tax-free

Feedback (shown after answering)

Fees reduce the money compounding tax-free.

Why each other choice is wrong (misconception it represents)

A: Believes IRA fees are returned
B: Misses that fees reduce the whole balance
C: Believes fees apply only on losses

Type: knowledge check

GO DEEPER 2 — Watching contributions and earnings over time · Question 1 of 5

Learn: Earnings = current value − total contributions.

Taylor contributes $3,000 a year for 3 years. The account is worth $10,500. What are her earnings?

A. $1,500
B. $4,500
C. $9,000
D. $10,500

CORRECT ANSWER

A. $1,500

Feedback (shown after answering)

Contributions $9,000; earnings $10,500 − $9,000 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Gives contributions
D: Gives the balance

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 2 of 5

Learn: Return = change in value ÷ starting value × 100.

Taylor's account rises from $10,500 to $11,340 in a year with no new contributions. What was the return?

A. 7.4%
B. 8%
C. 108%
D. $840

CORRECT ANSWER

B. 8%

Feedback (shown after answering)

$840 ÷ $10,500 = 0.08 = 8%.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Divides by the new value
C: Gives the new value as a percent
D: Gives dollars, not percent

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 3 of 5

Learn: Regular Roth IRA contributions that have not been withdrawn can be taken out at any time without tax or penalty, up to the money in the account; earnings follow stricter rules. Once contributions are withdrawn, they cannot be withdrawn again.

Taylor has made only regular contributions to her Roth IRA, with no withdrawals, conversions, or rollovers. Which number determines how much she can withdraw now without tax or penalty?

A. Her total contributions
B. Her total earnings
C. Her current balance today
D. Her yearly return

CORRECT ANSWER

A. Her total contributions

Feedback (shown after answering)

With no earlier withdrawals, her total regular contributions can come out tax- and penalty-free.

Why each other choice is wrong (misconception it represents)

B: Earnings have stricter rules
C: Includes earnings
D: Not a withdrawal amount

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 4 of 5

Learn: Market drops happen often over long periods, and recoveries are not guaranteed. Panic selling turns a paper loss into a realized loss and can mean missing a later recovery.

After a 20% market drop, Taylor's $11,340 Roth IRA, invested in a diversified fund for a goal decades away, is worth about $9,072. What should a long-term investor usually avoid doing?

A. Continuing regular contributions
B. Keeping a diversified fund
C. Selling everything out of fear
D. Rebalancing to a target mix

CORRECT ANSWER

C. Selling everything out of fear

Feedback (shown after answering)

Selling in a panic locks in the current loss and risks missing a recovery; a diversified, long-term plan is usually kept, while knowing losses are possible.

Why each other choice is wrong (misconception it represents)

A: Usually sensible
B: Usually sensible
D: Usually sensible

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 5 of 5

Learn: Buying and selling within an IRA does not create current taxes.

Taylor sells one fund and buys another inside her Roth IRA. Does she owe tax on the sale this year?

A. Yes; every sale is taxed
B. No; trades inside an IRA are not taxed when made
C. Yes, at 10%
D. Only if she made a profit

CORRECT ANSWER

B. No; trades inside an IRA are not taxed when made

Feedback (shown after answering)

IRA trades are sheltered; only withdrawals follow tax rules.

Why each other choice is wrong (misconception it represents)

A: Applies taxable-account rules
C: Invents a tax
D: Applies taxable-account rules

Type: instruction

SET 61 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Roth IRA withdrawals and qualified distributions

MAIN skill: Apply the rules for withdrawing Roth IRA contributions and earnings

Outcome FL.RETIRE.61 · National topic: Investing · NJSLS 9.1.12: PB, EG

Learning target: Explain withdrawal rules and tax treatment of retirement accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Contributions versus earnings (5 questions)
  Why: Withdrawal rules treat contributions and earnings differently; students must separate them first.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Separating contributions from earnings subtracts amounts.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Taxes and the additional tax are percents of a withdrawal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Traditional IRA withdrawals (5 questions)
- Go Deeper 2: Common Roth IRA mistakes and misconceptions (5 questions)

Practical skills beyond the standards: Applying Roth ordering rules

Content status: time-sensitive

Source: IRS (Publication 590-B) — Roth IRA regular contributions can be withdrawn at any time; distributions come out in order: regular contributions, then conversions and rollovers, then earnings; qualified distributions need a 5-year period and age 59½ (or death, disability, or a first-time home purchase up to $10,000); nonqualified earnings may be taxed plus a 10% additional tax. https://www.irs.gov/publications/p590b

Source: IRS (Publication 590-A) — One annual contribution limit covers all of a person's traditional and Roth IRAs combined. https://www.irs.gov/publications/p590a

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 D, B1-Q2 A, B1-Q3 A, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 B, F1-Q3 D, F1-Q4 B, F1-Q5 B, F2-Q1 D, F2-Q2 C, F2-Q3 A, F2-Q4 B, F2-Q5 D

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 1 of 5

Learn: Roth IRA withdrawals come out in a set order: regular contributions first, then conversion and rollover amounts (which have their own rules), then earnings. Regular contributions were made with after-tax money, so they can be withdrawn at any time, at any age, without tax or penalty.

Mia, 30, made $8,000 of regular contributions to her Roth IRA over several years, with no conversions, rollovers, or earlier withdrawals. It is worth $11,000. She withdraws $5,000. Under the ordering rules, what is taxed or penalized?

A. All $5,000, at income tax plus 10%
B. Nothing; the $5,000 comes from contributions
C. $3,000 of earnings
D. Only the 10% additional tax, which would be $500

CORRECT ANSWER

B. Nothing; the $5,000 comes from contributions

Feedback (shown after answering)

Her first $8,000 withdrawn counts as regular contributions, so $5,000 is tax- and penalty-free.

Why each other choice is wrong (misconception it represents)

A: Thinks every early withdrawal is taxed
C: Ignores the ordering rules
D: Applies a penalty to contributions

Type: instruction

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 2 of 5

Learn: Earnings withdrawn before a "qualified distribution" are generally taxable as income, and before age 59½ they usually also face a 10% additional tax, unless an exception applies.

Mia later withdraws $2,000 of EARNINGS at age 32, and no exception applies. Assume her tax rate is 12%. How much tax and additional tax is due?

A. $0
B. $200
C. $240
D. $440

CORRECT ANSWER

D. $440

Feedback (shown after answering)

Income tax: $2,000 × 0.12 = $240. Additional tax: $2,000 × 0.10 = $200. Total: $440.

Recomputed independently by the build: 440

Why each other choice is wrong (misconception it represents)

A: Treats earnings like contributions
B: Leaves out income tax
C: Leaves out the 10% additional tax

Type: instruction

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 3 of 5

Learn: A qualified Roth distribution meets two tests: the 5-year rule (5 tax years since your first Roth IRA contribution) and a qualifying event: age 59½, disability, death, or a first-time home purchase (up to $10,000 lifetime).

Which conditions make a Roth IRA distribution QUALIFIED (tax-free, including earnings)?

A. Any withdrawal after the account is one year old
B. Any withdrawal after age 50
C. Five years since the first Roth contribution AND age 59½ (or another qualifying event)
D. Any withdrawal at all, because Roth means tax-free

CORRECT ANSWER

C. Five years since the first Roth contribution AND age 59½ (or another qualifying event)

Feedback (shown after answering)

Both the 5-year period and a qualifying event (usually age 59½) are required.

Why each other choice is wrong (misconception it represents)

A: Too short
B: Wrong age, ignores 5 years
D: Overstates

Type: instruction · rule as of IRS rules as of 2026

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 4 of 5

Learn: The 5-year clock starts January 1 of the tax year of the first Roth IRA contribution.

Leo opens his first Roth IRA at age 58 with a contribution for tax year 2026. At what point does he first meet BOTH tests for qualified distributions?

A. At 59½, in 2027
B. Immediately, because he is already over age 55 and retired
C. Never, because he started after 50
D. In 2031, when 5 years have passed and he is over 59½

CORRECT ANSWER

D. In 2031, when 5 years have passed and he is over 59½

Feedback (shown after answering)

The clock starts January 1, 2026; five years later is January 1, 2031, when he is already over 59½.

Why each other choice is wrong (misconception it represents)

A: Ignores the 5-year rule
B: Invents a rule
C: Invents an age cutoff

Type: instruction

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 5 of 5

Which statement about Roth IRAs is a MISCONCEPTION?

A. Money in a Roth IRA can never be touched before retirement
B. Contributions can be withdrawn at any time without tax or penalty
C. Qualified distributions are tax-free
D. Investments inside can lose value

CORRECT ANSWER

A. Money in a Roth IRA can never be touched before retirement

Feedback (shown after answering)

Contributions can be withdrawn anytime; it is the earnings that have rules.

Why each other choice is wrong (misconception it represents)

B: True
C: True
D: True

Type: knowledge check

BACKWARD B1 · concept review — Contributions versus earnings · Question 1 of 5

Learn: Balance = contributions + earnings.

A Roth IRA has $4,000 of contributions and $1,000 of earnings. What is the balance?

A. $1,000
B. $3,000
C. $4,000
D. $5,000

CORRECT ANSWER

D. $5,000

Feedback (shown after answering)

$4,000 + $1,000 = $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Earnings only
B: Subtracts
C: Contributions only

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 2 of 5

Learn: Earnings = balance − contributions.

A Roth IRA balance is $9,000, and $7,000 was contributed. What are the earnings?

A. $2,000
B. $7,000
C. $9,000
D. $16,000

CORRECT ANSWER

A. $2,000

Feedback (shown after answering)

$9,000 − $7,000 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

B: Contributions
C: Balance
D: Adds

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 3 of 5

Learn: Roth contributions come from income that was already taxed.

Which part of a Roth IRA was already taxed before going in?

A. The contributions
B. The earnings
C. Neither part
D. Only the dividends

CORRECT ANSWER

A. The contributions

Feedback (shown after answering)

Contributions were made with after-tax dollars.

Why each other choice is wrong (misconception it represents)

B: Not yet taxed
C: Contributions were taxed
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 4 of 5

Learn: Roth IRA withdrawals are treated as coming from regular contributions first, then conversions and rollovers, then earnings. Ana has made only regular contributions.

Ana's Roth IRA holds $4,000 of contributions and $1,000 of earnings. At age 30 she withdraws $3,000. How is the withdrawal treated?

A. As $3,000 of earnings
B. As $2,400 of contributions and $600 of earnings
C. As $3,000 of contributions
D. As $1,000 of earnings, then $2,000 of contributions

CORRECT ANSWER

C. As $3,000 of contributions

Feedback (shown after answering)

Her $4,000 of contributions covers the whole $3,000, so it is all contributions: no tax or penalty.

Why each other choice is wrong (misconception it represents)

A: Reverses the ordering rule
B: Splits by share of the balance
D: Takes earnings first

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 5 of 5

Learn: In the simple Roth examples here (regular contributions only, no conversions), the 10% additional tax on an early withdrawal applies to the taxable earnings withdrawn.

What is 10% of $3,000?

A. $30
B. $300
C. $2,700
D. $3,000

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$3,000 × 0.10 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives the remainder
D: Uses 100%

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 1 of 5

Learn: Withdrawals of pre-tax money from a traditional IRA are taxed as ordinary income. Before 59½, a 10% additional tax usually applies too, unless an exception applies.

Raj, 45, withdraws $5,000 from a traditional IRA that holds only pre-tax money (no after-tax contributions), and no exception applies. Assume a 22% tax rate. How much tax and additional tax is due?

A. $0
B. $500
C. $1,100
D. $1,600

CORRECT ANSWER

D. $1,600

Feedback (shown after answering)

$5,000 × (0.22 + 0.10) = $1,600.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Treats it like Roth contributions
B: Leaves out income tax
C: Leaves out the 10% additional tax

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 2 of 5

Learn: After 59½, the 10% additional tax no longer applies, but withdrawals of pre-tax money are still taxed as income.

At age 66, Raj withdraws $5,000 from his traditional IRA, which holds only pre-tax money. Assume a 12% tax rate. What is owed?

A. $1,100
B. $600 of income tax
C. $0
D. $500

CORRECT ANSWER

B. $600 of income tax

Feedback (shown after answering)

$5,000 × 0.12 = $600; no additional tax after 59½.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Adds a penalty after 59½
C: Thinks traditional withdrawals are tax-free
D: Applies only the 10% additional tax

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 3 of 5

Learn: Required minimum distributions (RMDs) are yearly withdrawals the IRS requires so that tax-deferred money is eventually taxed. They start in an owner's 70s, depending on birth year. Money taxed before it went in is treated differently.

Which IRA type requires minimum withdrawals starting in the owner's 70s?

A. Roth IRA (for the original owner)
B. Neither type
C. Both, starting at age 50
D. Traditional IRA

CORRECT ANSWER

D. Traditional IRA

Feedback (shown after answering)

Traditional IRAs have RMDs; Roth IRAs do not for the original owner.

Why each other choice is wrong (misconception it represents)

A: No lifetime RMDs for the original owner
B: Ignores RMDs
C: Wrong age

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 4 of 5

Learn: The first-time homebuyer exception lets up to $10,000 of Roth IRA earnings over a lifetime be a qualified distribution, if the 5-year rule is met.

Leo used $4,000 of the first-time homebuyer exception years ago. He again qualifies as a first-time buyer, his Roth IRA meets the 5-year rule, and he wants $15,000 of earnings. How much more can qualify under this exception?

A. $0
B. $6,000
C. $10,000
D. $15,000

CORRECT ANSWER

B. $6,000

Feedback (shown after answering)

$10,000 lifetime cap − $4,000 already used = $6,000.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Believes the exception can be used only once
C: Forgets the $4,000 already used
D: Ignores the lifetime cap

Type: instruction · rule as of IRS rules as of 2026

GO DEEPER 1 — Traditional IRA withdrawals · Question 5 of 5

Why are early IRA withdrawals generally discouraged?

A. They are illegal
B. They can trigger taxes and shrink long-term retirement growth
C. They raise contribution limits
D. They lower future contribution limits permanently

CORRECT ANSWER

B. They can trigger taxes and shrink long-term retirement growth

Feedback (shown after answering)

Early withdrawals can cost taxes and lost compounding.

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Believes withdrawals change limits
D: Invents a penalty

Type: knowledge check

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 1 of 5

Learn: Many mistakes come from misunderstanding what a Roth IRA is: it is an account with tax rules, not an investment itself.

Which statement about what a Roth IRA is reflects a MISCONCEPTION?

A. "A Roth IRA is an account that holds investments."
B. "Contributing generally requires compensation (or a spouse's, on a joint return)."
C. "Roth IRA investments can lose value."
D. "A Roth IRA is an investment, like a stock."

CORRECT ANSWER

D. "A Roth IRA is an investment, like a stock."

Feedback (shown after answering)

A Roth IRA is the container, not the investment.

Why each other choice is wrong (misconception it represents)

A: Correct statement
B: Correct statement
C: Correct statement

Type: instruction

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 2 of 5

Learn: Roth and traditional IRAs differ in when tax is paid.

Which statement about Roth IRA taxes is a MISCONCEPTION?

A. "Roth contributions are made with after-tax money."
B. "Qualified withdrawals are tax-free."
C. "Roth contributions are tax-deductible."
D. "There are income limits for direct contributions."

CORRECT ANSWER

C. "Roth contributions are tax-deductible."

Feedback (shown after answering)

Roth contributions are not deductible; traditional contributions may be.

Why each other choice is wrong (misconception it represents)

A: Correct
B: Correct
D: Correct

Type: instruction

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 3 of 5

Learn: Total IRA contributions for a year cannot exceed your taxable compensation (except spousal IRAs on a joint return).

Sam is single and has no spouse's income to use. He contributed $6,000 to a Roth IRA this year but earned only $2,500. What mistake occurred?

A. He contributed more than his compensation
B. None; contributions are not limited by income
C. He should have contributed more to reach the full limit
D. He contributed in the wrong tax year

CORRECT ANSWER

A. He contributed more than his compensation

Feedback (shown after answering)

$6,000 − $2,500 = $3,500 excess, subject to a 6% tax for each year it stays uncorrected.

Why each other choice is wrong (misconception it represents)

B: Ignores the rule
C: Makes it worse
D: Misreads the error

Type: instruction

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 4 of 5

Which mistake costs Roth IRA owners the most growth over decades?

A. Choosing a low-cost, diversified index fund
B. Leaving contributions in cash for years
C. Naming a beneficiary
D. Contributing regularly

CORRECT ANSWER

B. Leaving contributions in cash for years

Feedback (shown after answering)

Uninvested cash misses decades of potential growth.

Why each other choice is wrong (misconception it represents)

A: Sensible
C: Sensible
D: Sensible

Type: knowledge check

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 5 of 5

A friend says, "You can't open a Roth IRA as a teenager." What is the accurate reply?

A. That is true until age 21
B. Teens can open one only through an employer
C. Only the government can open one for a teen
D. Teens with earned income can, often through a custodial Roth IRA

CORRECT ANSWER

D. Teens with earned income can, often through a custodial Roth IRA

Feedback (shown after answering)

Earned income, not age, determines eligibility.

Why each other choice is wrong (misconception it represents)

A: Invents an age rule
B: Confuses IRAs with workplace plans
C: Confuses IRAs with Social Security

Type: knowledge check

SET 62 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Social Security and retirement income

MAIN skill: Explain how Social Security works and how claiming age changes benefits

Outcome FL.RETIRE.62 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Explain Social Security and how payroll taxes fund benefits; retirement income planning

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payroll taxes fund benefits (5 questions)
  - Why: Social Security makes sense once students connect FICA on their pay stub to future benefits.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Benefit reductions and increases are percents of a benefit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pensions and other retirement income (5 questions)
- Go Deeper 2: Choosing when to claim Social Security (5 questions)

Practical skills beyond the standards: Checking a Social Security earnings record

Content status: time-sensitive

Source: Social Security Administration — Full retirement age is 67 for people born in 1960 or later; claiming at 62 reduces the benefit by about 30%; delaying past full retirement age raises it 8% a year until 70; workers need 40 credits (up to 4 per year). https://www.ssa.gov/benefits/retirement/planner/agereduction.html

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 B, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 C, F1-Q3 B, F1-Q4 A, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 C, F2-Q4 D, F2-Q5 A

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 1 of 5

Learn: Social Security is a federal program that pays retirement, disability, and survivor benefits. It is funded mainly by payroll taxes: workers pay 6.2% of wages (up to a yearly limit), and employers pay a matching 6.2%.

How is Social Security mainly paid for?

A. Voluntary donations from retirees
B. Profits the government earns from the stock market
C. Payroll taxes on workers' wages and employers
D. Federal income tax on all income

CORRECT ANSWER

C. Payroll taxes on workers' wages and employers

Feedback (shown after answering)

Payroll taxes from workers and employers fund it.

Why each other choice is wrong (misconception it represents)

A: Misunderstands funding
B: Confuses Social Security with an investment fund
D: Confuses payroll tax with income tax

Type: instruction

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 2 of 5

Learn: Credits are earned by working and paying Social Security taxes. You can earn at most 4 credits per year, and you generally need 40 credits for retirement benefits.

Workers earn up to 4 Social Security credits per year and generally need 40 credits to qualify for retirement benefits. What is the fewest years of work needed?

A. 10 years
B. 40 years
C. 4 years
D. 20 years

CORRECT ANSWER

A. 10 years

Feedback (shown after answering)

40 ÷ 4 = 10 years.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

B: Treats credits as years
C: Treats credits per year as years
D: Uses 2 credits per year

Type: instruction

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 3 of 5

Learn: Full retirement age is 67 for people born in 1960 or later. You can claim as early as 62, but the monthly benefit is permanently reduced (about 30% at 62). Waiting past full retirement age raises it.

Tia's full retirement age is 67, when her benefit would be $1,800 a month. Claiming at 62 reduces it by 30%. What would she receive at 62?

A. $540
B. $1,260
C. $1,800
D. $2,340

CORRECT ANSWER

B. $1,260

Feedback (shown after answering)

$1,800 × 0.70 = $1,260.

Recomputed independently by the build: 1260

Why each other choice is wrong (misconception it represents)

A: Gives the reduction
C: Ignores the reduction
D: Adds 30%

Type: instruction · rule as of SSA rules as of 2026

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 4 of 5

Learn: Delayed retirement credits increase the benefit by 8% per year (for those born 1943 or later) until age 70.

If Tia delays claiming until 70, her benefit rises 8% for each year after 67. What would $1,800 become?

A. $1,800
B. $1,944
C. $2,232
D. $2,340

CORRECT ANSWER

C. $2,232

Feedback (shown after answering)

3 years × 8% = 24%. $1,800 × 1.24 = $2,232.

Recomputed independently by the build: 2232

Why each other choice is wrong (misconception it represents)

A: Ignores delayed credits
B: Counts one year
D: Uses 30%

Type: instruction

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 5 of 5

For an average worker, Social Security replaces about what share of pre-retirement earnings?

A. About 100%
B. About 40%
C. About 90%
D. About 5%

CORRECT ANSWER

B. About 40%

Feedback (shown after answering)

About 40% for average earners, so personal savings fill the rest.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Overstates
D: Understates

Type: knowledge check

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 1 of 5

Learn: The Social Security line on a pay stub (sometimes labeled OASDI) is the worker's 6.2% share that funds the program.

On a pay stub, which line pays for Social Security?

A. State income tax
B. Health insurance premium deduction
C. Social Security (OASDI) tax
D. 401(k) contribution

CORRECT ANSWER

C. Social Security (OASDI) tax

Feedback (shown after answering)

The Social Security (OASDI) tax funds the program.

Why each other choice is wrong (misconception it represents)

A: State tax
B: Insurance
D: Personal savings

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 2 of 5

Learn: Employee Social Security tax = wages × 6.2%.

A worker earns $2,000. What is the employee Social Security tax at 6.2%?

A. $12.40
B. $124
C. $248
D. $1,240

CORRECT ANSWER

B. $124

Feedback (shown after answering)

$2,000 × 0.062 = $124.

Recomputed independently by the build: 124

Why each other choice is wrong (misconception it represents)

A: Uses 0.62%
C: Doubles
D: Uses 62%

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 3 of 5

Learn: Employers match the employee's 6.2% Social Security tax.

A worker earns $2,000, and 6.2% Social Security tax is withheld. How much does the employer pay in Social Security tax on that $2,000?

A. $0
B. $62
C. $124
D. $248

CORRECT ANSWER

C. $124

Feedback (shown after answering)

The employer matches 6.2%: $124.

Recomputed independently by the build: 124

Why each other choice is wrong (misconception it represents)

A: Employers match
B: Halves
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 4 of 5

Learn: Social Security pays retirement, disability, and survivor benefits.

Which benefit does Social Security NOT usually provide?

A. Retirement benefits
B. Disability benefits
C. Survivor benefits
D. Payment of everyday bills for workers under 62 with no disability

CORRECT ANSWER

D. Payment of everyday bills for workers under 62 with no disability

Feedback (shown after answering)

It is not a general income program for working-age people without a qualifying event.

Why each other choice is wrong (misconception it represents)

A: Provided
B: Provided
C: Provided

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 5 of 5

Learn: The SSA keeps a record of your earnings. Checking it helps catch errors that could lower future benefits.

Where can a worker see the earnings Social Security has on record for them?

A. In a "my Social Security" account at ssa.gov
B. On a credit report
C. On a bank statement
D. On Form W-4

CORRECT ANSWER

A. In a "my Social Security" account at ssa.gov

Feedback (shown after answering)

SSA's online account shows earnings records and estimates.

Why each other choice is wrong (misconception it represents)

B: Confuses earnings records with credit
C: Shows deposits, not earnings records
D: Confuses a withholding form with an earnings record

Type: instruction · practical how-to

GO DEEPER 1 — Pensions and other retirement income · Question 1 of 5

Learn: A defined-benefit (DB) pension promises a set payment based on a formula, and the employer bears the investment risk. A defined-contribution (DC) plan, such as a 401(k), depends on what is contributed and how investments perform; the worker bears the risk.

What is a defined-benefit pension?

A. A personal savings account that you invest yourself
B. A government benefit every worker gets
C. An annuity you buy with your own savings
D. A plan that promises a set monthly payment in retirement, often based on salary and years worked

CORRECT ANSWER

D. A plan that promises a set monthly payment in retirement, often based on salary and years worked

Feedback (shown after answering)

DB pensions promise a formula-based payment.

Why each other choice is wrong (misconception it represents)

A: Describes defined-contribution plans
B: Confuses a pension with Social Security
C: Confuses an employer promise with a purchase

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 2 of 5

Learn: A pension formula multiplies a percent per year of service by years worked and by salary.

A pension pays 1.5% of final salary for each year worked. Ana worked 30 years with a final salary of $60,000. What is her yearly pension?

A. $900
B. $18,000
C. $27,000
D. $45,000

CORRECT ANSWER

C. $27,000

Feedback (shown after answering)

1.5% × 30 = 45%; 45% × $60,000 = $27,000.

Recomputed independently by the build: 27000

Why each other choice is wrong (misconception it represents)

A: Counts one year
B: Uses 1%
D: Uses 2.5%

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 3 of 5

Learn: In defined-contribution plans like 401(k)s, the account value depends on contributions and investment results.

Who bears the investment risk in a 401(k)?

A. The employer
B. The worker
C. The government
D. The stock exchange

CORRECT ANSWER

B. The worker

Feedback (shown after answering)

The worker bears the investment risk in a 401(k).

Why each other choice is wrong (misconception it represents)

A: DB pensions
C: Not in a 401(k)
D: Not a party

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 4 of 5

Learn: Retirement income often comes from several sources; savings fill the remaining gap.

Ana expects $27,000 from her pension and $20,000 from Social Security. She wants $55,000 a year. How much must come from savings?

A. $8,000
B. $28,000
C. $47,000
D. $55,000

CORRECT ANSWER

A. $8,000

Feedback (shown after answering)

$55,000 − $27,000 − $20,000 = $8,000.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

B: Ignores the pension
C: Gives other income
D: Ignores other income

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 5 of 5

Learn: Many public employees participate in state or local pension systems; whether they also pay into Social Security varies by state and employer.

Why are many public school teachers in some states covered by pensions instead of, or in addition to, Social Security?

A. Some state and local employers run their own retirement systems
B. Teachers are banned from saving
C. Pensions are required for all workers nationwide by federal law
D. Social Security pays only private workers

CORRECT ANSWER

A. Some state and local employers run their own retirement systems

Feedback (shown after answering)

Public employers in some states run their own pension systems.

Why each other choice is wrong (misconception it represents)

B: Misreads the rules
C: Invents a rule
D: Overgeneralizes

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 1 of 5

Learn: Claiming early gives smaller payments for more months; claiming later gives larger payments for fewer months.

Tia can get $1,260 a month at 62 or $1,800 at 67. Ignoring growth and taxes, how much would she receive from 62 to 67 by claiming early?

A. $6,300
B. $15,120
C. $75,600
D. $108,000

CORRECT ANSWER

C. $75,600

Feedback (shown after answering)

5 years × 12 × $1,260 = $75,600.

Recomputed independently by the build: 75600

Why each other choice is wrong (misconception it represents)

A: Uses five months
B: Uses one year
D: Uses $1,800

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 2 of 5

Learn: A "break-even" age compares the head start from claiming early with the larger later payments: months = head start ÷ monthly difference.

After 67, claiming at 67 instead of 62 pays $540 more per month. How many months of the larger payment make up the $75,600 head start (nearest whole month)?

A. 60 months
B. 14 months
C. 140 months
D. 120 months

CORRECT ANSWER

C. 140 months

Feedback (shown after answering)

$75,600 ÷ $540 = 140 months (about age 78 2/3).

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Gives the early period
B: Misplaces the decimal
D: Arithmetic error

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 3 of 5

Learn: The best claiming age depends on health, life expectancy, other income, and family situation.

Which factor would most support DELAYING Social Security?

A. Needing the money immediately with no other income
B. Expecting a short life span due to illness
C. Expecting a long life and having other income until then
D. Wanting the smallest possible monthly benefit for the rest of life

CORRECT ANSWER

C. Expecting a long life and having other income until then

Feedback (shown after answering)

Longer lives and other income make delaying more valuable.

Why each other choice is wrong (misconception it represents)

A: Supports claiming early
B: Supports claiming early
D: Misreads

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 4 of 5

Learn: COLAs adjust benefits based on inflation.

Social Security benefits get a cost-of-living adjustment (COLA) most years. Why?

A. To reward people who claimed their benefits early
B. To lower benefits each year
C. To match the stock market's return
D. To help benefits keep up with inflation

CORRECT ANSWER

D. To help benefits keep up with inflation

Feedback (shown after answering)

COLAs help protect purchasing power.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Reverses
C: Confuses inflation with investment returns

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 5 of 5

Which statement about Social Security planning is MOST accurate?

A. Check your SSA estimate and plan savings to fill the gap
B. Social Security alone covers most retirees' full budgets
C. Social Security will pay nothing to today's teens
D. Benefits are the same for everyone

CORRECT ANSWER

A. Check your SSA estimate and plan savings to fill the gap

Feedback (shown after answering)

Your earnings record determines your benefit; savings fill the rest.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Overstates
D: Ignores earnings history

Type: knowledge check

SET 63 · Taxes and Tax Filing

Types of taxes and how they work

MAIN skill: Identify major taxes and classify taxes as progressive, regressive, or proportional

Outcome FL.TAX.63 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: 12-6b types of taxes; 12-6c purposes of taxes; 12-6a tax calculations

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What taxes pay for (5 questions)
  - Why: Classifying taxes is easier once students connect taxes to the public services they fund.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Taxes are percents of a price, income, or value.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: State and local taxes in New Jersey (5 questions)
- Go Deeper 2: Who bears a tax, and fairness debates (5 questions)

Practical skills beyond the standards: New Jersey state and sales tax basics

Content status: time-sensitive

Source: New Jersey Division of Taxation (Income tax) — New Jersey has a state income tax (Form NJ-1040) with graduated rates. https://www.nj.gov/treasury/taxation/njit25.shtml

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 D, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 B, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 B, F1-Q5 C, F2-Q1 A, F2-Q2 B, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 1 of 5

Learn: Governments collect several kinds of taxes: income taxes on earnings (federal and most states), payroll taxes for Social Security and Medicare, sales taxes on purchases (state and local), property taxes on real estate (local), and excise taxes on specific goods such as gasoline.

Which tax is charged when you buy a taxable item at a store?

A. Income tax on wages
B. Sales tax
C. Property tax on a home
D. Payroll tax for Social Security

CORRECT ANSWER

B. Sales tax

Feedback (shown after answering)

Sales tax is charged on purchases.

Why each other choice is wrong (misconception it represents)

A: Charged on earnings
C: Charged on owned property
D: Charged on wages

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 2 of 5

Learn: A progressive tax takes a larger percentage from higher incomes (the federal income tax). A proportional ("flat") tax takes the same percentage from everyone. A regressive tax takes a larger percentage of income from lower incomes, for example a sales tax on necessities.

Under a PROGRESSIVE tax, what happens as income rises?

A. The same percentage is paid at every income level
B. A smaller percentage is paid in tax
C. A larger percentage of income is paid in tax
D. Everyone pays the same dollar amount

CORRECT ANSWER

C. A larger percentage of income is paid in tax

Feedback (shown after answering)

Progressive taxes rise as a share of income when income rises.

Why each other choice is wrong (misconception it represents)

A: Describes a proportional (flat) tax
B: Describes a regressive tax
D: Describes a per-person (head) tax

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 3 of 5

Learn: To see whether a tax is regressive, compare the tax paid with each person's income.

Two people each buy $500 of taxable goods with a 6% sales tax. One earns $25,000 a year; the other earns $250,000. What percent of income does each pay in this tax?

A. 6% vs 6%
B. $30 vs $300
C. 0.012% vs 0.12%
D. 0.12% vs 0.012%

CORRECT ANSWER

D. 0.12% vs 0.012%

Feedback (shown after answering)

Tax: $500 × 0.06 = $30 each. $30 ÷ $25,000 = 0.12%; $30 ÷ $250,000 = 0.012%. The lower earner pays a larger share, so this is regressive.

Why each other choice is wrong (misconception it represents)

A: Uses the tax rate instead of share of income
B: Assumes the tax depends on income
C: Swaps the results

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 4 of 5

Learn: Property taxes fund local services such as schools, police, and roads. Yearly tax = assessed value × tax rate.

A town's property tax rate is 1.2% of a home's assessed value. What is the yearly tax on a home assessed at $350,000?

A. $420
B. $1,200
C. $4,200
D. $42,000

CORRECT ANSWER

C. $4,200

Feedback (shown after answering)

$350,000 × 0.012 = $4,200.

Recomputed independently by the build: 4200

Why each other choice is wrong (misconception it represents)

A: Uses 0.12%
B: Uses the rate as thousands
D: Uses 12%

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 5 of 5

Which tax pays for Social Security and Medicare?

A. Payroll taxes (FICA)
B. Sales tax
C. Property tax
D. Excise tax on gasoline

CORRECT ANSWER

A. Payroll taxes (FICA)

Feedback (shown after answering)

FICA payroll taxes on wages fund Social Security and Medicare.

Why each other choice is wrong (misconception it represents)

B: Funds states and towns
C: Funds local services
D: Funds specific programs

Type: knowledge check

BACKWARD B1 · concept review — What taxes pay for · Question 1 of 5

Learn: Taxes pay for public goods and services: schools, roads, police and fire departments, national defense, and programs such as Social Security and Medicare.

Which public service is commonly paid for with local property taxes?

A. A private gym membership
B. Public schools
C. A streaming service
D. A personal phone plan

CORRECT ANSWER

B. Public schools

Feedback (shown after answering)

Local property taxes often fund schools.

Why each other choice is wrong (misconception it represents)

A: Private
C: Private
D: Private

Type: instruction

BACKWARD B1 · concept review — What taxes pay for · Question 2 of 5

Why do governments collect taxes?

A. To make individual government officials rich
B. To lower everyone's income
C. To pay for public services and programs
D. To pay for private purchases

CORRECT ANSWER

C. To pay for public services and programs

Feedback (shown after answering)

Taxes fund services that governments provide.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: knowledge check

BACKWARD B1 · concept review — What taxes pay for · Question 3 of 5

Learn: There is no general federal sales tax; most states and some localities charge sales taxes.

Which government level usually collects sales tax?

A. Only the federal government
B. State and sometimes local governments
C. Private companies, for their own use only
D. Schools directly

CORRECT ANSWER

B. State and sometimes local governments

Feedback (shown after answering)

Sales taxes are state and local.

Why each other choice is wrong (misconception it represents)

A: No federal sales tax
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — What taxes pay for · Question 4 of 5

Learn: Excise taxes apply to particular products, often included in the price.

An excise tax is charged on…

A. all wages
B. the value of a house
C. every bank deposit
D. specific goods, such as gasoline or tobacco

CORRECT ANSWER

D. specific goods, such as gasoline or tobacco

Feedback (shown after answering)

Excise taxes target specific goods.

Why each other choice is wrong (misconception it represents)

A: Payroll tax
B: Property tax
C: Not a tax

Type: instruction

BACKWARD B1 · concept review — What taxes pay for · Question 5 of 5

Learn: Tax at a rate = amount × rate.

What is 6% of $40?

A. $0.24
B. $2.40
C. $24.00
D. $42.40

CORRECT ANSWER

B. $2.40

Feedback (shown after answering)

$40 × 0.06 = $2.40.

Recomputed independently by the build: 2.4

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 60%
D: Adds

Type: instruction

GO DEEPER 1 — State and local taxes in New Jersey · Question 1 of 5

Learn: Most states, including New Jersey, have their own income tax and their own return, filed in addition to the federal Form 1040. State return forms usually carry the state's abbreviation in their name.

New Jersey has a state income tax. Which form do New Jersey residents use to file it?

A. Form NJ-1040
B. Form W-4
C. Form 1099-NEC
D. Form W-2

CORRECT ANSWER

A. Form NJ-1040

Feedback (shown after answering)

New Jersey residents file the NJ-1040.

Why each other choice is wrong (misconception it represents)

B: Federal withholding form
C: Reports contractor pay
D: Employer wage statement

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 1 — State and local taxes in New Jersey · Question 2 of 5

Learn: New Jersey exempts most clothing and footwear and most grocery food from its 6.625% sales tax.

In New Jersey, which purchase is generally EXEMPT from sales tax?

A. A laptop computer
B. A video game console
C. A desk lamp
D. A pair of jeans

CORRECT ANSWER

D. A pair of jeans

Feedback (shown after answering)

Most clothing is exempt from New Jersey sales tax.

Why each other choice is wrong (misconception it represents)

A: Taxable
B: Taxable
C: Taxable

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 1 — State and local taxes in New Jersey · Question 3 of 5

Learn: New Jersey's general sales tax rate is 6.625%.

A New Jersey shopper buys a $120 taxable tablet. At 6.625%, what is the sales tax (nearest cent)?

A. $7.20
B. $7.95
C. $79.50
D. $127.95

CORRECT ANSWER

B. $7.95

Feedback (shown after answering)

$120 × 0.06625 = $7.95.

Recomputed independently by the build: 7.95

Why each other choice is wrong (misconception it represents)

A: Uses 6%
C: Misplaces the decimal
D: Gives the total

Type: instruction · rule as of New Jersey rate as of 2026

GO DEEPER 1 — State and local taxes in New Jersey · Question 4 of 5

Learn: States choose different mixes of taxes.

Some states have NO state income tax. How do such states usually raise money instead?

A. They print money
B. Through higher sales, property, or other taxes
C. They have no services
D. They borrow money from other states to make up the gap

CORRECT ANSWER

B. Through higher sales, property, or other taxes

Feedback (shown after answering)

States without income taxes rely more on other taxes.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Ignores other revenue
D: Misunderstands state finance

Type: instruction

GO DEEPER 1 — State and local taxes in New Jersey · Question 5 of 5

Why should a student moving to another state check its tax rules?

A. Federal taxes change by state
B. Taxes are the same everywhere
C. Income, sales, and property taxes differ by state
D. Students never pay state taxes

CORRECT ANSWER

C. Income, sales, and property taxes differ by state

Feedback (shown after answering)

State tax rules vary and affect budgets.

Why each other choice is wrong (misconception it represents)

A: Federal rules are national
B: Ignores state differences
D: Believes students are exempt

Type: knowledge check

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 1 of 5

Learn: Three patterns: a progressive tax takes a larger share of income as income rises; a regressive tax takes a larger share from lower incomes; a proportional tax takes the same share from everyone.

A flat tax of 10% on all income is an example of which kind of tax?

A. Proportional
B. Progressive tax
C. Regressive
D. Excise

CORRECT ANSWER

A. Proportional

Feedback (shown after answering)

Same rate for all = proportional.

Why each other choice is wrong (misconception it represents)

B: Rate would rise with income
C: Share would fall with income
D: Applies to particular goods

Type: instruction

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 2 of 5

Learn: Under a flat tax, tax = income × the same rate for everyone.

Under a 10% flat tax, how much does someone earning $30,000 pay, and someone earning $300,000?

A. $3,000 and $3,000
B. $3,000 and $30,000
C. $30,000 and $3,000
D. $300 and $3,000

CORRECT ANSWER

B. $3,000 and $30,000

Feedback (shown after answering)

10% of each income: $3,000 and $30,000.

Recomputed independently by the build: 30000

Why each other choice is wrong (misconception it represents)

A: Same dollars
C: Swapped
D: Uses 1%

Type: instruction

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 3 of 5

Learn: When lower-income households spend more of their income on taxed items, the tax takes a larger share of their income.

Why are taxes on necessities often called regressive?

A. Necessities are taxed at higher rates
B. Necessities are taxed only for low-income buyers
C. Necessities are never taxed
D. Lower-income households spend a larger share of income on necessities

CORRECT ANSWER

D. Lower-income households spend a larger share of income on necessities

Feedback (shown after answering)

The same dollar tax is a bigger share of a smaller income.

Why each other choice is wrong (misconception it represents)

A: Not the reason
B: Confuses who pays with how much it weighs
C: Overgeneralizes exemptions

Type: instruction

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 4 of 5

Which tax is MOST visible to young workers on every paycheck?

A. Estate taxes
B. Corporate income taxes
C. Payroll (FICA) taxes and income tax withholding
D. Import tariffs

CORRECT ANSWER

C. Payroll (FICA) taxes and income tax withholding

Feedback (shown after answering)

Pay stubs show FICA and income tax withholding each period.

Why each other choice is wrong (misconception it represents)

A: Rare
B: Not on paychecks
D: Not on paychecks

Type: knowledge check

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 5 of 5

Learn: When buyers have few alternatives, more of a tax is passed on to them in prices.

Economists say a gasoline excise tax is partly paid by consumers through higher prices. Why might drivers keep buying gas anyway?

A. Many need it to get to work, so demand changes little
B. Gas stations must absorb the whole tax by law
C. The tax is refunded at the pump
D. Drivers do not notice prices

CORRECT ANSWER

A. Many need it to get to work, so demand changes little

Feedback (shown after answering)

Necessary goods have less flexible demand, so taxes pass through to buyers.

Why each other choice is wrong (misconception it represents)

B: Believes sellers pay all of it
C: Invents a refund
D: Overgeneralizes

Type: instruction

SET 64 · Taxes and Tax Filing

Tax forms: W-2, 1099s, and Form 1040

MAIN skill: Identify the tax forms workers receive and file

Outcome FL.TAX.64 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Identify tax forms associated with earning income and filing a tax return

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Information forms versus the tax return (5 questions)
  Why: Students must see W-2s and 1099s as inputs to the 1040, not separate bills.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Totaling income from several forms adds amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading a W-2 box by box (5 questions)
- Go Deeper 2: Other common tax forms (5 questions)

Practical skills beyond the standards: Reading a W-2 box by box

Content status: time-sensitive

Source: IRS — Form 1040 is the individual income tax return; employers issue Form W-2; payers issue Forms 1099 for other income. https://www.irs.gov/forms-instructions

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 B, B1-Q2 C, B1-Q3 D, B1-Q4 C, B1-Q5 C, F1-Q1 A, F1-Q2 C, F1-Q3 B, F1-Q4 B, F1-Q5 D, F2-Q1 D, F2-Q2 B, F2-Q3 C, F2-Q4 A, F2-Q5 A

MAIN — Identify the tax forms workers receive and file · Question 1 of 5

Learn: At tax time, you gather forms that report your income: Form W-2 from each employer (wages and taxes withheld); Forms 1099 from others, such as 1099-NEC for contract work, 1099-INT for interest, and 1099-DIV for dividends. You then file Form 1040, the federal individual income tax return.

Kayla had a part-time job at a store. Which form will her employer send showing her wages and taxes withheld for the year?

A. Form 1099-NEC
B. Form W-2
C. Form W-4
D. Form 1040

CORRECT ANSWER

B. Form W-2

Feedback (shown after answering)

Employers send Form W-2.

Why each other choice is wrong (misconception it represents)

A: Used for independent contractors
C: Used to set withholding
D: The tax return she files

Type: instruction

MAIN — Identify the tax forms workers receive and file · Question 2 of 5

Learn: Businesses may report payments to independent contractors on Form 1099-NEC (nonemployee compensation).

Ravi did freelance graphic design for a business. Which form might the business send him?

A. Form 1099-NEC
B. Form W-2
C. Form W-4
D. Form 1098-T (tuition)

CORRECT ANSWER

A. Form 1099-NEC

Feedback (shown after answering)

Contractor pay is reported on Form 1099-NEC.

Why each other choice is wrong (misconception it represents)

B: For employees
C: For setting withholding
D: Tuition statement

Type: instruction

MAIN — Identify the tax forms workers receive and file · Question 3 of 5

Which form is the federal individual income tax return itself?

A. Form W-2
B. Form 1099-INT
C. Form 1040
D. Form W-4

CORRECT ANSWER

C. Form 1040

Feedback (shown after answering)

Form 1040 is the return; W-2s and 1099s are information forms.

Why each other choice is wrong (misconception it represents)

A: Reports wages
B: Reports interest
D: Sets withholding

Type: knowledge check

MAIN — Identify the tax forms workers receive and file · Question 4 of 5

Learn: Form W-2 boxes: Box 1 shows taxable wages; Box 2 shows federal income tax withheld; other boxes show Social Security and Medicare wages and taxes, and state amounts.

Kayla's W-2 shows Box 1 wages of $8,400 and Box 2 federal income tax withheld of $310. What does the $310 represent?

A. Her total tax bill for the year, which she must pay again
B. Social Security tax only
C. A refund already sent to her
D. Federal income tax already paid through withholding

CORRECT ANSWER

D. Federal income tax already paid through withholding

Feedback (shown after answering)

Box 2 is federal income tax withheld; it counts toward her tax when she files.

Why each other choice is wrong (misconception it represents)

A: Double counts
B: Different box
C: Misreads

Type: instruction · practical how-to

MAIN — Identify the tax forms workers receive and file · Question 5 of 5

Kayla earned $45 of interest from her savings account. Which form reports it?

A. Form 1099-INT
B. Form 1099-DIV
C. Form W-2
D. Form 1099-NEC

CORRECT ANSWER

A. Form 1099-INT

Feedback (shown after answering)

Bank interest is reported on Form 1099-INT.

Why each other choice is wrong (misconception it represents)

B: Dividends
C: Wages
D: Contractor pay

Type: knowledge check

BACKWARD B1 · concept review — Information forms versus the tax return · Question 1 of 5

Learn: Information forms report income to you and the IRS. You use them to complete your return.

What does an "information form" like a W-2 do?

A. It is a bill that must be paid by April
B. It reports income and amounts withheld
C. It is a refund check
D. It sets next year's salary

CORRECT ANSWER

B. It reports income and amounts withheld

Feedback (shown after answering)

Information forms report numbers used on your return.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Information forms versus the tax return · Question 2 of 5

Learn: Each person (or married couple) files their own Form 1040.

Who files Form 1040?

A. The employer
B. The bank
C. The taxpayer
D. The school

CORRECT ANSWER

C. The taxpayer

Feedback (shown after answering)

Taxpayers file their own returns.

Why each other choice is wrong (misconception it represents)

A: Employers file W-2s
B: Banks file 1099-INTs
D: Not a filer

Type: instruction

BACKWARD B1 · concept review — Information forms versus the tax return · Question 3 of 5

Learn: Every W-2 and 1099 reports income that belongs on the return.

Kayla has two W-2s from two jobs. How many should she use when filing?

A. Only the larger one
B. Neither
C. Only the first one received
D. Both

CORRECT ANSWER

D. Both

Feedback (shown after answering)

All income must be reported, so both W-2s are used.

Why each other choice is wrong (misconception it represents)

A: Leaves out income
B: Leaves out income
C: Leaves out income

Type: instruction

BACKWARD B1 · concept review — Information forms versus the tax return · Question 4 of 5

Wages of $3,200 and $5,200 from two W-2s total how much?

A. $2,000
B. $5,200
C. $8,400
D. $16,640,000

CORRECT ANSWER

C. $8,400

Feedback (shown after answering)

$3,200 + $5,200 = $8,400.

Recomputed independently by the build: 8400

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Uses one
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Information forms versus the tax return · Question 5 of 5

When should most workers expect to receive their W-2s?

A. In July
B. With every paycheck
C. By early February (employers generally must send them by January 31)
D. Only if they ask

CORRECT ANSWER

C. By early February (employers generally must send them by January 31)

Feedback (shown after answering)

Employers generally must furnish W-2s by January 31 (or the next business day if it falls on a weekend or holiday).

Why each other choice is wrong (misconception it represents)

A: Too late
B: Confuses with a pay stub
D: Employers must send them

Type: knowledge check

GO DEEPER 1 — Reading a W-2 box by box · Question 1 of 5

Learn: Box 1 shows wages subject to federal income tax. Box 3 shows wages subject to Social Security tax. Traditional 401(k) contributions lower Box 1 but not Box 3.

Ana's W-2 is correct. It shows Box 1 wages $28,500 and Box 3 Social Security wages $30,000, and she made $1,500 of traditional (pre-tax) 401(k) contributions. Why is Box 1 lower?

A. Pre-tax 401(k) contributions reduce Box 1 but not Box 3
B. Box 1 leaves out her overtime pay
C. Box 3 includes her tips only
D. Box 1 is always half of Box 3

CORRECT ANSWER

A. Pre-tax 401(k) contributions reduce Box 1 but not Box 3

Feedback (shown after answering)

$30,000 − $1,500 pre-tax 401(k) = $28,500 in Box 1.

Why each other choice is wrong (misconception it represents)

B: Invents a rule about overtime
C: Misreads Box 3
D: Misreads

Type: instruction

GO DEEPER 1 — Reading a W-2 box by box · Question 2 of 5

Learn: Box 4 shows the Social Security tax withheld: Box 3 wages × 6.2%.

Box 3 Social Security wages are $30,000. What should Box 4 (Social Security tax withheld at 6.2%) show?

A. $186
B. $435
C. $1,860
D. $4,590

CORRECT ANSWER

C. $1,860

Feedback (shown after answering)

$30,000 × 0.062 = $1,860.

Recomputed independently by the build: 1860

Why each other choice is wrong (misconception it represents)

A: Uses 0.62%
B: Uses the Medicare rate
D: Uses 15.3%

Type: instruction

GO DEEPER 1 — Reading a W-2 box by box · Question 3 of 5

Learn: Box 6 shows Medicare tax withheld: Box 5 wages × 1.45%.

Box 5 Medicare wages are $30,000. What should Box 6 (Medicare tax at 1.45%) show?

A. $43.50
B. $435
C. $1,860
D. $4,350

CORRECT ANSWER

B. $435

Feedback (shown after answering)

$30,000 × 0.0145 = $435.

Recomputed independently by the build: 435

Why each other choice is wrong (misconception it represents)

A: Uses 0.145%
C: Uses the Social Security rate
D: Uses 14.5%

Type: instruction

GO DEEPER 1 — Reading a W-2 box by box · Question 4 of 5

Learn: The bottom of the W-2 reports state and local wages and taxes.

Which W-2 boxes show state wages and state income tax?

A. Boxes 1 and 2
B. Boxes 16 and 17
C. Boxes 3 and 4 only
D. Boxes 5 and 6

CORRECT ANSWER

B. Boxes 16 and 17

Feedback (shown after answering)

Boxes 16–17 report state wages and tax.

Why each other choice is wrong (misconception it represents)

A: Federal
C: Social Security
D: Medicare

Type: instruction · practical how-to

GO DEEPER 1 — Reading a W-2 box by box · Question 5 of 5

Learn: Employers issue corrected W-2s (Form W-2c) for errors.

Kayla's W-2 has the wrong Social Security number. What should she do?

A. File with the wrong number
B. Change the number on the form by hand
C. Ignore it
D. Ask her employer for a corrected W-2

CORRECT ANSWER

D. Ask her employer for a corrected W-2

Feedback (shown after answering)

The employer must issue a corrected W-2 (W-2c).

Why each other choice is wrong (misconception it represents)

A: Causes problems
B: Not proper
C: Causes problems

Type: instruction · practical how-to

GO DEEPER 2 — Other common tax forms · Question 1 of 5

Learn: Form 1098-T reports qualified tuition and related expenses, which can help claim education credits.

A college sends a student Form 1098-T. What does it report?

A. Wages from a campus job
B. Interest she paid on student loans during the year
C. Gifts from relatives
D. Tuition and related expenses for education credits

CORRECT ANSWER

D. Tuition and related expenses for education credits

Feedback (shown after answering)

1098-T supports education credits.

Why each other choice is wrong (misconception it represents)

A: W-2
B: Form 1098-E
C: Not reported

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 2 of 5

Learn: Payment platforms report payments for goods and services on Form 1099-K. Personal gifts and reimbursements between friends are not income.

A payment app sends Form 1099-K. What does it report?

A. Money sent to friends as gifts
B. Payments received through the app for goods or services
C. Your bank balance
D. Your credit card limit

CORRECT ANSWER

B. Payments received through the app for goods or services

Feedback (shown after answering)

1099-K reports business payments received through platforms.

Why each other choice is wrong (misconception it represents)

A: Personal transfers are not income
C: Not reported
D: Not reported

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 3 of 5

Learn: Brokers send 1099-DIV for dividends, 1099-INT for interest, and 1099-B for sales.

Which form reports dividends from a brokerage account?

A. Form 1099-INT
B. Form 1099-B
C. Form 1099-DIV
D. Form W-2

CORRECT ANSWER

C. Form 1099-DIV

Feedback (shown after answering)

Dividends are on 1099-DIV.

Why each other choice is wrong (misconception it represents)

A: Interest
B: Sales
D: Wages

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 4 of 5

Learn: Retirement accounts send two common forms: Form 5498 reports contributions made to an IRA, and Form 1099-R reports money taken out (distributions).

Which form reports a distribution from an IRA or 401(k)?

A. Form 1099-R
B. Form 5498
C. Form W-4
D. Form 1099-NEC

CORRECT ANSWER

A. Form 1099-R

Feedback (shown after answering)

Retirement distributions are reported on Form 1099-R.

Why each other choice is wrong (misconception it represents)

B: Reports contributions, not withdrawals
C: Sets withholding
D: Reports contractor pay

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 5 of 5

Learn: Income is reportable whether or not you receive a form.

Kayla receives no 1099 for $300 of babysitting income. Must she report it if she files?

A. Yes; income is reportable even without a form
B. No; only income reported on a tax form counts
C. No; babysitting is never income
D. Only if over $10,000

CORRECT ANSWER

A. Yes; income is reportable even without a form

Feedback (shown after answering)

All income is reportable, form or no form.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Believes informal work is exempt
D: Invents a threshold

Type: instruction

SET 65 · Taxes and Tax Filing

Filing requirements, filing status, and dependents

MAIN skill: Decide whether to file, choose a filing status, and explain dependency

Outcome FL.TAX.65 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Explain filing requirements, filing status, and dependency for income tax

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Who files and why (5 questions)
  - Why: Filing decisions depend on knowing what a tax return does.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Refunds and balances due compare amounts withheld and owed.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Head of household and other statuses (5 questions)
- Go Deeper 2: Dependents who work (5 questions)

Practical skills beyond the standards: Filing to claim a refund of withholding

Content status: time-sensitive

Source: IRS (Interactive Tax Assistant: Do I need to file?) — Filing requirements depend on income, filing status, age, and dependency; people may file to get a refund of withheld tax even when not required. https://www.irs.gov/help/ita/do-i-need-to-file-a-tax-return

Note: Deduction and threshold amounts are hypothetical for each scenario; check irs.gov for the current year.

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 A, B1-Q3 A, B1-Q4 D, B1-Q5 C, F1-Q1 B, F1-Q2 A, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 B, F2-Q4 B, F2-Q5 C

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 1 of 5

Learn: Whether you must file depends on your income, filing status, age, and whether someone can claim you as a dependent. Even if you are not required to file, filing can get you a refund of tax that was withheld.

Kayla earned $3,000, and $180 of federal income tax was withheld. Her income is below the filing requirement. Why might she file anyway?

A. Because filing always raises taxes
B. Because the IRS fines everyone who does not file
C. To get the $180 of withheld tax back as a refund
D. To receive her W-2

CORRECT ANSWER

C. To get the $180 of withheld tax back as a refund

Feedback (shown after answering)

Filing lets her claim a refund of the $180 withheld.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Overstates
D: W-2 comes from the employer

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 2 of 5

Learn: Filing status affects tax brackets and the standard deduction. Statuses include single, married filing jointly, married filing separately, head of household, and qualifying surviving spouse.

Which filing status fits an unmarried person with no dependents?

A. Married filing jointly
B. Head of household
C. Qualifying surviving spouse
D. Single

CORRECT ANSWER

D. Single

Feedback (shown after answering)

An unmarried person with no dependents files as single.

Why each other choice is wrong (misconception it represents)

A: Requires marriage
B: Requires a qualifying person and paying most household costs
C: Requires a deceased spouse and dependent child

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 3 of 5

Learn: A dependent is a person, such as a child, whom another taxpayer can claim. Dependents can still file their own returns (for example, to get a refund). They indicate that someone can claim them, and their standard deduction may be limited, often based on their earned income up to a yearly cap.

Jordan, 17, lives with his parents, who pay most of his support. What does it usually mean that his parents can claim him as a dependent?

A. Jordan cannot file a return at all
B. They may get tax benefits for him, and he checks that he can be claimed on his own return
C. Jordan pays his parents' taxes
D. Jordan's wages are added to his parents' W-2

CORRECT ANSWER

B. They may get tax benefits for him, and he checks that he can be claimed on his own return

Feedback (shown after answering)

Dependents can file, but they must note that someone can claim them.

Why each other choice is wrong (misconception it represents)

A: Dependents can file
C: Misreads
D: Misreads

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 4 of 5

Learn: Married couples can file jointly (one return together) or separately. Joint filing usually results in lower combined tax.

Married couples usually choose which filing status for the lowest combined tax?

A. Single
B. Head of household
C. Married filing jointly
D. Married filing separately in every case

CORRECT ANSWER

C. Married filing jointly

Feedback (shown after answering)

Joint filing usually produces the lower combined tax for married couples.

Why each other choice is wrong (misconception it represents)

A: Not available to married people
B: Generally not for married people living together
D: Usually costs more

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 5 of 5

Kayla's income was $3,000 and $180 was withheld. She does not file. What happens to the $180?

A. The IRS mails it automatically
B. Her employer returns it
C. It is applied automatically to her parents' taxes
D. She does not get it back unless she files

CORRECT ANSWER

D. She does not get it back unless she files

Feedback (shown after answering)

Refunds generally require filing a return (within the time allowed).

Why each other choice is wrong (misconception it represents)

A: Refunds require a return
B: Employer sent it to the IRS
C: Confuses a dependent's withholding with the parents'

Type: knowledge check

BACKWARD B1 · concept review — Who files and why · Question 1 of 5

Learn: A tax return reports income, figures the tax owed for the year, and compares it with what was already paid (withholding), resulting in a refund or a balance due.

What does filing a tax return do?

A. It pays a fixed fee to the IRS
B. It calculates the year's tax and settles up with what was paid
C. It pays the year's tax for the first time
D. It is required only to get a refund

CORRECT ANSWER

B. It calculates the year's tax and settles up with what was paid

Feedback (shown after answering)

The return settles the year's tax.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Ignores withholding already paid
D: Misses filing requirements

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 2 of 5

Learn: Refund = amount paid (withheld) − tax owed, when positive.

If $500 was withheld and the actual tax is $200, what does filing produce?

A. A $300 refund
B. A $300 bill
C. A $700 refund
D. Nothing

CORRECT ANSWER

A. A $300 refund

Feedback (shown after answering)

$500 − $200 = $300 refund.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Ignores the difference

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 3 of 5

Learn: Marital status on December 31 is a key factor for filing status.

Which question helps decide filing status?

A. Were you married on the last day of the year?
B. How much did you earn this year?
C. Did you get a refund last year?
D. What was your credit score at the end of the year?

CORRECT ANSWER

A. Were you married on the last day of the year?

Feedback (shown after answering)

Marital status at year end shapes filing status.

Why each other choice is wrong (misconception it represents)

B: Income affects the tax, not the status
C: Last year's refund does not set status
D: Confuses credit with taxes

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 4 of 5

Learn: Dependents can and sometimes must file their own returns.

Can a dependent teen file her own tax return?

A. No, never
B. Only after age 21
C. Only if her parents do not file
D. Yes

CORRECT ANSWER

D. Yes

Feedback (shown after answering)

Dependents can file their own returns.

Why each other choice is wrong (misconception it represents)

A: Believes dependents cannot file
B: Invents an age rule
C: Invents a condition

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 5 of 5

What is a "dependent"?

A. Anyone who has a job
B. A type of bank account
C. A person another taxpayer can claim, such as a child
D. A person who owes taxes

CORRECT ANSWER

C. A person another taxpayer can claim, such as a child

Feedback (shown after answering)

Dependents are people, usually children or relatives, whom a taxpayer can claim.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: knowledge check

GO DEEPER 1 — Head of household and other statuses · Question 1 of 5

Learn: Head of household is for unmarried taxpayers who pay more than half the cost of a home for themselves and a qualifying person. It has a larger standard deduction and wider brackets than single.

Rosa is unmarried, pays more than half the cost of keeping up a home, and her son lives with her. Which status may she qualify for?

A. Single
B. Head of household
C. Married filing jointly
D. Married filing separately

CORRECT ANSWER

B. Head of household

Feedback (shown after answering)

She meets the main tests for head of household.

Why each other choice is wrong (misconception it represents)

A: May qualify for better status
C: Not married
D: Not married

Type: instruction

GO DEEPER 1 — Head of household and other statuses · Question 2 of 5

Learn: Each filing status has its own standard deduction and bracket thresholds, which are used to figure the tax on the return. (A W-4 also asks for a status, but that only sets withholding during the year.)

How does filing status affect the calculation of the final tax on a federal return?

A. It sets the standard deduction and tax brackets used
B. It sets the employer's pay rate
C. It changes which forms the employer uses
D. It has no effect on the tax calculation

CORRECT ANSWER

A. It sets the standard deduction and tax brackets used

Feedback (shown after answering)

Status changes the deduction and brackets, and so the tax.

Why each other choice is wrong (misconception it represents)

B: Confuses taxes with wages
C: Misunderstands who uses filing status
D: Ignores deductions and brackets

Type: instruction

GO DEEPER 1 — Head of household and other statuses · Question 3 of 5

Learn: The standard deduction is an amount subtracted from income before tax is figured; it depends on filing status. Amounts change yearly; these are stated for this scenario.

For this scenario, assume the standard deduction is $15,000 for single and $22,500 for head of household. How much more income does head of household shield from tax?

A. $7,500
B. $15,000
C. $22,500
D. $37,500

CORRECT ANSWER

A. $7,500

Feedback (shown after answering)

$22,500 − $15,000 = $7,500.

Recomputed independently by the build: 7500

Why each other choice is wrong (misconception it represents)

B: Gives the single deduction
C: Gives the HoH deduction
D: Adds

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 1 — Head of household and other statuses · Question 4 of 5

Learn: Married filing separately usually costs more tax but can make sense in some situations.

A married person filing separately often loses some credits. Why might a couple still choose it?

A. It always lowers total tax
B. It is required for newlyweds
C. Special situations, such as keeping finances separate
D. It doubles the standard deduction

CORRECT ANSWER

C. Special situations, such as keeping finances separate

Feedback (shown after answering)

Some couples file separately for legal or financial reasons, accepting higher tax.

Why each other choice is wrong (misconception it represents)

A: Usually untrue
B: Invents a rule
D: Misreads the rules

Type: instruction

GO DEEPER 1 — Head of household and other statuses · Question 5 of 5

Learn: The IRS offers free interactive tools ("Interactive Tax Assistant") and instructions on irs.gov.

Which tool can help decide filing status?

A. A social media poll
B. Her employer's HR office
C. Last year's return, copied as is
D. The IRS's free online filing-status tool and instructions

CORRECT ANSWER

D. The IRS's free online filing-status tool and instructions

Feedback (shown after answering)

IRS tools walk through the filing status rules.

Why each other choice is wrong (misconception it represents)

A: Unreliable
B: HR handles payroll, not filing status
C: Ignores changes in her situation

Type: instruction · practical how-to

GO DEEPER 2 — Dependents who work · Question 1 of 5

Learn: A dependent's standard deduction may be limited, often to earned income plus a small amount, up to the regular cap. Some dependents with enough earnings reach the same cap as anyone else. Amounts change yearly; these are stated for this scenario.

A dependent's standard deduction is limited when they can be claimed by someone else. For this scenario, assume it equals the greater of $1,350 or earned income plus $450 (up to $15,000). Kayla earned $3,000. What is her standard deduction?

A. $1,350
B. $3,000
C. $3,450
D. $15,000

CORRECT ANSWER

C. $3,450

Feedback (shown after answering)

$3,000 + $450 = $3,450, which is more than $1,350 and less than $15,000.

Recomputed independently by the build: 3450

Why each other choice is wrong (misconception it represents)

A: Uses the minimum
B: Leaves out the $450
D: Uses the full single amount

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 2 — Dependents who work · Question 2 of 5

Learn: Taxable income = income − deductions, but never below zero.

Kayla earned $3,000 and her standard deduction is $3,450. What is her taxable income?

A. $0
B. $450
C. $3,000
D. $6,450

CORRECT ANSWER

A. $0

Feedback (shown after answering)

$3,000 − $3,450 is below zero, so taxable income is $0.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

B: Subtracts the wrong way
C: Ignores the deduction
D: Adds

Type: instruction

GO DEEPER 2 — Dependents who work · Question 3 of 5

Learn: Withholding counts as tax already paid. If the tax owed is $0, the withheld amount can be refunded when you file.

With $0 taxable income, what federal income tax does Kayla owe, and what happens to the $180 withheld?

A. $180 owed again
B. $0 owed; she can get the $180 back by filing
C. $450 owed
D. $0 owed, and the $180 that was withheld is lost

CORRECT ANSWER

B. $0 owed; she can get the $180 back by filing

Feedback (shown after answering)

No tax is owed, so the full $180 withheld is refunded when she files.

Why each other choice is wrong (misconception it represents)

A: Double counts
C: Misreads
D: Ignores the refund

Type: instruction

GO DEEPER 2 — Dependents who work · Question 4 of 5

Learn: FICA (Social Security and Medicare) taxes are separate from income tax. Owing no income tax does not make them refundable; only income tax that was withheld beyond what is owed comes back.

Kayla owes $0 of federal income tax this year, but Social Security and Medicare (FICA) taxes were withheld from her $3,000 of wages. Are those FICA taxes refunded when she files?

A. Yes, always, along with any income tax withheld
B. No; FICA taxes are not refunded just because income tax is $0
C. Only if she asks her employer
D. Only for teens under 18

CORRECT ANSWER

B. No; FICA taxes are not refunded just because income tax is $0

Feedback (shown after answering)

FICA is separate from income tax and is not refunded because income tax is $0.

Why each other choice is wrong (misconception it represents)

A: Treats FICA like income tax withholding
C: Misunderstands who handles it
D: Invents an age rule

Type: instruction

GO DEEPER 2 — Dependents who work · Question 5 of 5

Why should Kayla check "someone can claim you as a dependent" on her return?

A. To get a larger refund illegally
B. To avoid paying FICA
C. To use the correct standard deduction and avoid conflicts with her parents' return
D. Because it raises her refund

CORRECT ANSWER

C. To use the correct standard deduction and avoid conflicts with her parents' return

Feedback (shown after answering)

Answering accurately prevents errors and conflicting claims.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Confuses income tax with payroll tax
D: Misunderstands the effect

Type: knowledge check · practical how-to

SET 66 · Taxes and Tax Filing

From gross income to taxable income

MAIN skill: Calculate adjusted gross income and taxable income using adjustments and deductions

Outcome FL.TAX.66 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Calculate taxable income from gross income using adjustments and deductions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Subtracting in steps (5 questions)
  - Why: Taxable income comes from a sequence of subtractions; students must apply them in order.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: AGI and taxable income come from subtracting adjustments and deductions.
- B3 · Math link → G8-S18-M (Grade 8 8.EE.C.7.b): Write and solve linear equations with rational coefficients for real-world problems
  - Why: Taxable income = income − adjustments − deduction is a linear relationship.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Itemized deductions (5 questions)
- Go Deeper 2: Adjustments and AGI (5 questions)

Practical skills beyond the standards: Choosing standard vs itemized deductions

Content status: time-sensitive

Source: IRS (Federal income tax rates and brackets) — The U.S. uses progressive marginal brackets; bracket thresholds and the standard deduction change every year. This course uses stated hypothetical amounts.
https://www.irs.gov/filing/federal-income-tax-rates-and-brackets

Source: IRS (Working Families Tax Cuts) — Beginning in tax year 2026, taxpayers who do not itemize can deduct up to $1,000 ($2,000 married filing jointly) of eligible cash gifts to qualified charities.
https://www.irs.gov/newsroom/working-families-tax-cuts

Note: Standard deduction and other amounts are hypothetical for each scenario; check irs.gov for the current year.

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 A, F1-Q3 B, F1-Q4 D, F1-Q5 B, F2-Q1 C, F2-Q2 B, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 1 of 5

Learn: Taxable income is the income that tax rates are applied to. In simplified form: total (gross) income − adjustments = adjusted gross income (AGI); AGI − deductions = taxable income. Deductions are the standard deduction or itemized deductions, plus some newer deductions allowed without itemizing (such as, starting in 2026, a limited charitable deduction). This example has none of those extras.

For this scenario, assume the standard deduction for a single filer is $15,000, and Omar has no adjustments and no other deductions. His total income is $55,000. What is his taxable income?

A. $15,000
B. $40,000
C. $55,000
D. $70,000

CORRECT ANSWER

B. $40,000

Feedback (shown after answering)

$55,000 − $15,000 = $40,000.

Recomputed independently by the build: 40000

Why each other choice is wrong (misconception it represents)

A: Gives the deduction
C: Ignores the deduction
D: Adds the deduction

Type: instruction · rule as of Hypothetical amounts for this scenario

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 2 of 5

Learn: Adjustments ("above-the-line" deductions) are subtracted from total income to get adjusted gross income (AGI).

Ana has total income of $48,000 and a $2,000 adjustment for a deductible traditional IRA contribution. What is her AGI?

A. $2,000
B. $46,000
C. $48,000
D. $50,000

CORRECT ANSWER

B. $46,000

Feedback (shown after answering)

$48,000 − $2,000 = $46,000.

Recomputed independently by the build: 46000

Why each other choice is wrong (misconception it represents)

A: Gives the adjustment
C: Ignores the adjustment
D: Adds the adjustment

Type: instruction

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 3 of 5

With AGI of $46,000 and a $15,000 standard deduction (this scenario), what is Ana's taxable income?

A. $31,000
B. $33,000
C. $46,000
D. $61,000

CORRECT ANSWER

A. $31,000

Feedback (shown after answering)

$46,000 − $15,000 = $31,000.

Recomputed independently by the build: 31000

Why each other choice is wrong (misconception it represents)

B: Uses gross income
C: Ignores the deduction
D: Adds

Type: knowledge check · rule as of Hypothetical amounts for this scenario

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 4 of 5

Learn: Taxpayers choose EITHER the standard deduction (a fixed amount based on filing status) OR itemized deductions (such as state and local taxes, mortgage interest, and charitable gifts, within limits), whichever is larger.

Leo can take a $15,000 standard deduction or itemize deductions that total $11,200. Which should he choose?

A. Itemize, because itemizing is always the better choice
B. Both, to subtract $26,200
C. Neither, to pay more tax
D. The standard deduction, because it is larger

CORRECT ANSWER

D. The standard deduction, because it is larger

Feedback (shown after answering)

Choose the larger: $15,000 > $11,200.

Why each other choice is wrong (misconception it represents)

A: Ignores the amounts
B: Cannot take both
C: Unhelpful

Type: instruction

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 5 of 5

Which is GROSS income for a worker?

A. All wages before any deductions or taxes
B. Take-home pay deposited each payday
C. Taxable income after the standard deduction
D. Only overtime earnings

CORRECT ANSWER

A. All wages before any deductions or taxes

Feedback (shown after answering)

Gross income is total income before deductions.

Why each other choice is wrong (misconception it represents)

B: Net pay
C: Later step
D: Incomplete

Type: knowledge check

BACKWARD B1 · concept review — Subtracting in steps · Question 1 of 5

Learn: Multi-step subtraction: do each subtraction in order.

Start with $50,000. Subtract $3,000, then subtract $15,000. What is left?

A. $32,000
B. $35,000
C. $47,000
D. $68,000

CORRECT ANSWER

A. $32,000

Feedback (shown after answering)

$50,000 − $3,000 = $47,000; − $15,000 = $32,000.

Recomputed independently by the build: 32000

Why each other choice is wrong (misconception it represents)

B: Stops after the second step only
C: Stops after the first step
D: Adds

Type: instruction

BACKWARD B1 · concept review — Subtracting in steps · Question 2 of 5

Learn: The order is: total income → AGI → taxable income → tax.

Which comes FIRST when figuring taxable income?

A. Subtracting the standard deduction
B. Adding up all income
C. Applying tax rates
D. Calculating a refund

CORRECT ANSWER

B. Adding up all income

Feedback (shown after answering)

Start with total income.

Why each other choice is wrong (misconception it represents)

A: Comes later
C: Comes last
D: Comes last

Type: instruction

BACKWARD B1 · concept review — Subtracting in steps · Question 3 of 5

Learn: Taxable income cannot go below zero.

If deductions are larger than income, what is taxable income?

A. A negative number that the IRS pays
B. Equal to the deductions
C. $0
D. Equal to income

CORRECT ANSWER

C. $0

Feedback (shown after answering)

Taxable income stops at $0.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misreads
D: Ignores deductions

Type: instruction

BACKWARD B1 · concept review — Subtracting in steps · Question 4 of 5

Which is larger: $11,200 or $15,000?

A. $15,000
B. $11,200
C. They are equal
D. $26,200

CORRECT ANSWER

A. $15,000

Feedback (shown after answering)

$15,000 > $11,200.

Recomputed independently by the build: 15000

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Misreads
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Subtracting in steps · Question 5 of 5

What does "deduction" mean on a tax return?

A. A tax added to income
B. A refund check
C. A tax credit that lowers tax dollar for dollar
D. An amount subtracted from income before tax is figured

CORRECT ANSWER

D. An amount subtracted from income before tax is figured

Feedback (shown after answering)

Deductions lower the income that is taxed.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Misreads
C: Confuses a deduction with a credit

Type: knowledge check

GO DEEPER 1 — Itemized deductions · Question 1 of 5

Learn: Itemized deductions include certain state and local taxes (up to a limit), home mortgage interest, charitable contributions, and some medical expenses above a threshold.

Sam's possible itemized deductions: state and local taxes $6,000, mortgage interest $7,500, charitable gifts $1,200. What is the total?

A. $7,500
B. $8,700
C. $13,500
D. $14,700

CORRECT ANSWER

D. $14,700

Feedback (shown after answering)

$6,000 + $7,500 + $1,200 = $14,700.

Recomputed independently by the build: 14700

Why each other choice is wrong (misconception it represents)

A: Uses one item
B: Leaves out mortgage interest
C: Leaves out charity

Type: instruction

GO DEEPER 1 — Itemized deductions · Question 2 of 5

Learn: Taxpayers choose the larger of the standard deduction or itemized deductions.

With $14,700 of itemized deductions and a $15,000 standard deduction (this scenario), which should Sam take?

A. The standard deduction
B. Itemized, because it is more detailed
C. Both together
D. Neither

CORRECT ANSWER

A. The standard deduction

Feedback (shown after answering)

$15,000 > $14,700, so the standard deduction is better.

Why each other choice is wrong (misconception it represents)

B: Ignores amounts
C: Not allowed
D: Unhelpful

Type: instruction

GO DEEPER 1 — Itemized deductions · Question 3 of 5

Learn: Itemizing only helps by the amount it exceeds the standard deduction. (Starting in 2026, people who do not itemize may also deduct up to $1,000 of cash gifts, or $2,000 married filing jointly, which can change this comparison.)

Use pre-2026 rules for this scenario, when people taking the standard deduction could not also deduct charitable gifts. Sam's standard deduction would be $15,000. He gives $600 more to charity, raising his itemized deductions to $15,300. How much more is deducted by itemizing than with the standard deduction?

A. $0
B. $300
C. $600
D. $15,300

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$15,300 − $15,000 = $300 more.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Ignores the change
C: Counts the whole gift
D: Gives the total

Type: instruction

GO DEEPER 1 — Itemized deductions · Question 4 of 5

Learn: Itemized deductions must be supported by records.

Which records support itemized deductions?

A. Social media posts
B. Verbal promises
C. Screenshots of a bank logo
D. Receipts, mortgage statements, and donation acknowledgments

CORRECT ANSWER

D. Receipts, mortgage statements, and donation acknowledgments

Feedback (shown after answering)

Documentation proves the deductions.

Why each other choice is wrong (misconception it represents)

A: Not records
B: Not records
C: Not records

Type: instruction · practical how-to

GO DEEPER 1 — Itemized deductions · Question 5 of 5

Why do most taxpayers take the standard deduction?

A. Itemizing is allowed only for homeowners
B. It is larger than their itemized deductions
C. The standard deduction is always $0
D. Itemizing would raise their total taxable income

CORRECT ANSWER

B. It is larger than their itemized deductions

Feedback (shown after answering)

For most households, the standard deduction is bigger and simpler.

Why each other choice is wrong (misconception it represents)

A: Invents a restriction
C: Misreads the rules
D: Misunderstands deductions

Type: knowledge check

GO DEEPER 2 — Adjustments and AGI · Question 1 of 5

Learn: Adjustments (subtracted to get AGI) include certain student loan interest, deductible traditional IRA contributions, HSA contributions, and half of self-employment tax.

Which item is an ADJUSTMENT to income (reducing AGI)?

A. Mortgage interest (an itemized one)
B. A child tax credit
C. Deductible student loan interest
D. A sales tax refund

CORRECT ANSWER

C. Deductible student loan interest

Feedback (shown after answering)

Student loan interest is an adjustment.

Why each other choice is wrong (misconception it represents)

A: Itemized deduction
B: Credit
D: Not an adjustment

Type: instruction

GO DEEPER 2 — Adjustments and AGI · Question 2 of 5

Learn: Self-employed people may subtract half of their self-employment tax as an adjustment.

A self-employed worker's self-employment tax is $1,400. Half of it is an adjustment. How much reduces AGI?

A. $350
B. $700
C. $1,400
D. $2,800

CORRECT ANSWER

B. $700

Feedback (shown after answering)

Half of $1,400 = $700.

Recomputed independently by the build: 700

Why each other choice is wrong (misconception it represents)

A: Uses a quarter
C: Uses the full tax
D: Doubles

Type: instruction

GO DEEPER 2 — Adjustments and AGI · Question 3 of 5

Learn: AGI, or a modified version of it (MAGI), is used to decide eligibility for many tax benefits. For example, Roth IRA contribution limits use modified AGI, which adds back certain items.

Why does a lower AGI matter beyond the tax itself?

A. AGI sets your credit score
B. AGI determines your filing status
C. AGI is not used anywhere else
D. Many credits and deductions phase out at higher AGI

CORRECT ANSWER

D. Many credits and deductions phase out at higher AGI

Feedback (shown after answering)

AGI or modified AGI controls eligibility for many tax benefits.

Why each other choice is wrong (misconception it represents)

A: Confuses taxes with credit
B: Confuses AGI with status
C: Misses phase-outs

Type: instruction

GO DEEPER 2 — Adjustments and AGI · Question 4 of 5

Learn: Taxable income = total income − adjustments − deduction.

Leo's income is $40,000; adjustments $2,500; standard deduction $15,000 (this scenario). What is his taxable income?

A. $22,500
B. $25,000
C. $37,500
D. $57,500

CORRECT ANSWER

A. $22,500

Feedback (shown after answering)

$40,000 − $2,500 − $15,000 = $22,500.

Recomputed independently by the build: 22500

Why each other choice is wrong (misconception it represents)

B: Ignores adjustments
C: Ignores the deduction
D: Adds

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 2 — Adjustments and AGI · Question 5 of 5

Learn: The IRS publishes instructions for every form.

Which free resource explains which items are adjustments?

A. The Form 1040 instructions on irs.gov
B. Her W-2 form
C. Her bank's year-end summary
D. A tax-preparer's refund loan advertisement

CORRECT ANSWER

A. The Form 1040 instructions on irs.gov

Feedback (shown after answering)

Form instructions explain each line.

Why each other choice is wrong (misconception it represents)

B: Shows wages, not adjustments
C: Not an IRS guide
D: An advertisement, not an official source

Type: instruction · practical how-to

SET 67 · Taxes and Tax Filing

Marginal and effective tax rates

MAIN skill: Calculate income tax with marginal brackets and compare marginal and effective rates

Outcome FL.TAX.67 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Calculate income tax using progressive brackets; compare marginal and effective rates

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Taxing income in layers (5 questions)
  - Why: Bracket tax works like tiered pricing: each tier is charged its own rate.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Each bracket's tax is a percent of the income in it.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Bracket calculations combine several subtraction and percent steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Three brackets and effective rates (5 questions)
- Go Deeper 2: The "higher bracket" myth (5 questions)

Practical skills beyond the standards: Debunking the higher-bracket myth

Content status: time-sensitive

Source: IRS (Federal income tax rates and brackets) — Federal income tax uses progressive marginal brackets; thresholds change yearly. This course uses stated hypothetical brackets.
https://www.irs.gov/filing/federal-income-tax-rates-and-brackets

Note: Brackets are hypothetical; actual brackets change each year.

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 C, B1-Q5 A, F1-Q1 C, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 B, F2-Q2 B, F2-Q3 A, F2-Q4 B, F2-Q5 B

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 1 of 5

Learn: Federal income tax uses marginal brackets: income is taxed in layers. Each layer of income is taxed at its own rate. Moving into a higher bracket raises the rate only on the dollars in that bracket, not on all your income.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

Under a bracket system like this, what rate applies to the FIRST $12,000 of everyone's taxable income?

A. The person's highest bracket rate
B. 10%
C. 22%
D. 0%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

Every filer's first $12,000 is taxed at 10% under these brackets.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Thinks one rate applies to all income
C: Uses the top rate shown
D: Ignores the first bracket

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 2 of 5

Learn: To compute tax with brackets: tax each layer of income at its rate, then add the layers.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Omar's taxable income is $40,000. What is his federal income tax?

A. $4,000
B. $4,560
C. $4,800
D. $8,800

CORRECT ANSWER

B. $4,560

Feedback (shown after answering)

10% × $12,000 = $1,200. 12% × ($40,000 − $12,000) = 12% × $28,000 = $3,360. Total: $4,560.

Recomputed independently by the build: 4560

Why each other choice is wrong (misconception it represents)

A: Taxes all income at 10%
C: Taxes all income at 12%
D: Taxes all income at 22%

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 3 of 5

Learn: The marginal rate is the rate on your last (next) dollar of income. The effective (average) rate is total tax ÷ income × 100, which is lower than the marginal rate because lower layers are taxed less.

Omar's taxable income is $40,000 and his tax is $4,560. What is his EFFECTIVE tax rate?

A. 8.8%
B. 10%
C. 11.4%
D. 12%

CORRECT ANSWER

C. 11.4%

Feedback (shown after answering)

$4,560 ÷ $40,000 = 0.114 = 11.4%.

Recomputed independently by the build: 11.4

Why each other choice is wrong (misconception it represents)

A: Divides income by tax and misplaces the decimal
B: Uses the lowest rate
D: Uses the marginal rate

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 4 of 5

Learn: A raise is taxed at the marginal rate of the bracket it falls in. Moving further into a bracket never makes total take-home pay go down from income tax alone.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

Leo's taxable income is $60,000. He gets a $1,000 raise. How much more federal income tax does he owe?

A. $120
B. $220
C. $1,000
D. $1,540

CORRECT ANSWER

B. $220

Feedback (shown after answering)

The extra $1,000 is in the 22% bracket: $1,000 × 0.22 = $220.

Recomputed independently by the build: 220

Why each other choice is wrong (misconception it represents)

A: Uses the 12% rate
C: Thinks the raise is taxed 100%
D: Re-taxes all income at 22% plus more

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 5 of 5

Which statement about marginal tax brackets is TRUE?

A. Entering a higher bracket raises the tax rate on all of a person's income
B. Everyone pays the same rate on all income
C. Only the income inside a higher bracket is taxed at the higher rate
D. Brackets apply only to people over 65

CORRECT ANSWER

C. Only the income inside a higher bracket is taxed at the higher rate

Feedback (shown after answering)

Higher rates apply only to the dollars in the higher bracket.

Why each other choice is wrong (misconception it represents)

A: Common misconception
B: Describes a flat tax
D: Invents a rule

Type: knowledge check

BACKWARD B1 · concept review — Taxing income in layers · Question 1 of 5

Learn: Tiered pricing charges different rates for different layers. Income tax brackets work the same way.

A water bill charges $2 per unit for the first 10 units and $3 per unit after that. What is the bill for 14 units?

A. $28
B. $32
C. $34
D. $42

CORRECT ANSWER

B. $32

Feedback (shown after answering)

10 × $2 = $20; 4 × $3 = $12; total $32.

Recomputed independently by the build: 32

Why each other choice is wrong (misconception it represents)

A: Charges all units at $2
C: Arithmetic error
D: Charges all units at $3

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 2 of 5

Learn: Income in a bracket = total income − the bottom of that bracket (up to the bracket's top).

Using 10% on the first $12,000 and 12% above it, how much income is in the 12% layer for taxable income of $20,000?

A. $8,000
B. $12,000
C. $20,000
D. $32,000

CORRECT ANSWER

A. $8,000

Feedback (shown after answering)

$20,000 − $12,000 = $8,000.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

B: Uses the first layer
C: Uses all income
D: Adds

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 3 of 5

Learn: Tax on a layer = income in the layer × rate.

What is 12% of $8,000?

A. $96
B. $960
C. $8,960
D. $9,600

CORRECT ANSWER

B. $960

Feedback (shown after answering)

$8,000 × 0.12 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Uses 1.2%
C: Adds
D: Uses 120%

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 4 of 5

Learn: Total tax = tax on each layer, added together.

Using 10% on the first $12,000 and 12% above it, what is the total tax on $20,000?

A. $960
B. $2,000
C. $2,160
D. $2,400

CORRECT ANSWER

C. $2,160

Feedback (shown after answering)

$1,200 + $960 = $2,160.

Recomputed independently by the build: 2160

Why each other choice is wrong (misconception it represents)

A: Leaves out the first layer
B: Taxes all at 10%
D: Taxes all at 12%

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 5 of 5

What is a "marginal" rate?

A. The rate on the next dollar earned
B. The average rate paid across the whole income
C. The lowest rate in the system
D. A rate set by the taxpayer

CORRECT ANSWER

A. The rate on the next dollar earned

Feedback (shown after answering)

Marginal = the rate on the last or next dollar.

Why each other choice is wrong (misconception it represents)

B: Describes effective rate
C: Misreads
D: Misreads

Type: knowledge check

GO DEEPER 1 — Three brackets and effective rates · Question 1 of 5

Learn: With three brackets, figure the tax in each of the three layers and add them.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

What is the tax on $60,000 of taxable income?

A. $5,520
B. $7,200
C. $8,160
D. $13,200

CORRECT ANSWER

C. $8,160

Feedback (shown after answering)

$1,200 + 12% × $36,000 ($4,320) + 22% × $12,000 ($2,640) = $8,160.

Recomputed independently by the build: 8160

Why each other choice is wrong (misconception it represents)

A: Stops at the 12% bracket
B: Taxes all at 12%
D: Taxes all at 22%

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 2 of 5

Learn: Effective rate = total tax ÷ taxable income × 100.

Tax of $8,160 on $60,000 of taxable income is what effective rate?

A. 7.4%
B. 12%
C. 13.6%
D. 22%

CORRECT ANSWER

C. 13.6%

Feedback (shown after answering)

$8,160 ÷ $60,000 = 0.136 = 13.6%.

Recomputed independently by the build: 13.6

Why each other choice is wrong (misconception it represents)

A: Divides incorrectly
B: Uses the middle rate
D: Uses the marginal rate

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 3 of 5

Learn: Tax as a share of total income is lower still than the effective rate on taxable income, because deductions shield part of income.

A person earns $55,000 of wages and has $40,000 of taxable income. Their tax is $4,560. What share of their WAGES goes to federal income tax (nearest tenth)?

A. 8.3%
B. 11.4%
C. 12.0%
D. 83%

CORRECT ANSWER

A. 8.3%

Feedback (shown after answering)

$4,560 ÷ $55,000 ≈ 8.3%.

Recomputed independently by the build: 8.290909

Why each other choice is wrong (misconception it represents)

B: Divides by taxable income
C: Uses the marginal rate
D: Misplaces the decimal

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 4 of 5

Learn: The marginal rate is the rate on the next dollar of income. The effective rate is total tax ÷ total income, an average across all brackets. Extra income is stacked on top of what you already earn.

Which rate should be used to estimate the tax on extra income from a side job?

A. The effective rate
B. The rate for the lowest bracket
C. The marginal rate
D. Zero, because side income is not taxed

CORRECT ANSWER

C. The marginal rate

Feedback (shown after answering)

Additional income is taxed at the marginal rate.

Why each other choice is wrong (misconception it represents)

A: Underestimates extra tax
B: Underestimates the tax
D: Believes small side income is untaxed

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 5 of 5

Learn: If all income is within the first bracket, only the first rate applies.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

What is the tax on $10,000 of taxable income?

A. $1,200
B. $1,200 plus 12%
C. $2,200
D. $1,000

CORRECT ANSWER

D. $1,000

Feedback (shown after answering)

$10,000 × 0.10 = $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the full first bracket
B: Adds a layer that does not apply
C: Uses 22%

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 1 of 5

Learn: Under marginal brackets, earning more always increases after-income-tax pay, because only the extra income is taxed at the higher rate.

Rosa turns down extra shifts, saying, "If I earn more I'll be in a higher bracket and take home less." Under marginal brackets, what is TRUE?

A. She is right; all her income would be taxed more
B. She keeps most of each extra dollar; only that income is taxed at the higher rate
C. She would owe more tax than she earns
D. Extra income is never taxed

CORRECT ANSWER

B. She keeps most of each extra dollar; only that income is taxed at the higher rate

Feedback (shown after answering)

Extra income is taxed at the marginal rate, leaving most of it for her.

Why each other choice is wrong (misconception it represents)

A: Myth
C: Impossible with marginal rates
D: Overcorrects

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 2 of 5

Learn: Extra wages face both income tax at the marginal rate and FICA (7.65%).

Rosa earns $1,000 more, taxed at 22% income tax and 7.65% FICA. How much of the $1,000 does she keep?

A. $0
B. $703.50
C. $780.00
D. $923.50

CORRECT ANSWER

B. $703.50

Feedback (shown after answering)

$1,000 × (1 − 0.22 − 0.0765) = $703.50.

Recomputed independently by the build: 703.5

Why each other choice is wrong (misconception it represents)

A: Believes the myth
C: Ignores FICA
D: Ignores income tax

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 3 of 5

Learn: Some benefits shrink as income rises (phase-outs), which can feel like a higher tax, but brackets alone never reduce take-home pay.

Which situation CAN reduce a person's benefits when income rises?

A. Losing eligibility for some income-based credits or aid
B. Tax brackets themselves
C. FICA taxes
D. Sales tax

CORRECT ANSWER

A. Losing eligibility for some income-based credits or aid

Feedback (shown after answering)

Phase-outs of credits or aid can matter; brackets alone do not reduce take-home pay.

Why each other choice is wrong (misconception it represents)

B: Brackets never lower take-home pay
C: Flat rate
D: Unrelated to income

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 4 of 5

Learn: Only the dollars above the bracket threshold are taxed at the higher rate.

A person moves from $47,000 to $49,000 of taxable income, crossing into the 22% bracket at $48,000 (this scenario). How much of the extra $2,000 is taxed at 22%?

A. $0
B. $1,000
C. $2,000
D. $49,000

CORRECT ANSWER

B. $1,000

Feedback (shown after answering)

Only the $1,000 above $48,000 is taxed at 22%; the other $1,000 is taxed at 12%.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Ignores the bracket
C: Taxes all the extra at 22%
D: Taxes all income at 22%

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 5 of 5

Learn: Tax on the extra income = (amount in the lower bracket × its rate) + (amount in the higher bracket × its rate).

For that $2,000 increase (from $47,000 to $49,000, crossing $48,000), how much more tax is owed?

A. $240
B. $340
C. $440
D. $10,780

CORRECT ANSWER

B. $340

Feedback (shown after answering)

$1,000 × 12% + $1,000 × 22% = $120 + $220 = $340.

Recomputed independently by the build: 340

Why each other choice is wrong (misconception it represents)

A: Taxes all $2,000 at 12%
C: Taxes all $2,000 at 22%
D: Re-taxes all income

Type: instruction

SET 68 · Taxes and Tax Filing

Deductions and credits

MAIN skill: Compare the value of tax deductions and tax credits, including refundable credits

Outcome FL.TAX.68 · National topic: Earning Income · NJSLS 9.1.12: EG
Learning target: Explain how deductions and credits affect tax owed

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Lowering income versus lowering tax (5 questions)
  Why: The deduction-versus-credit difference is about which number is reduced.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: A deduction's value is the deduction times the tax rate.
- B3 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  Why: Refundable credits can push tax below zero, producing a refund.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Education credits and other common credits (5 questions)
- Go Deeper 2: Putting deductions and credits together (5 questions)

Practical skills beyond the standards: Claiming refundable credits

Content status: time-sensitive
Source: IRS (Credits and deductions for individuals) — Deductions reduce taxable income; credits reduce tax dollar for dollar; refundable credits can produce a refund beyond tax owed (for example, the Earned Income Tax Credit). https://www.irs.gov/credits-deductions-for-individuals
Note: Credit and bracket amounts are hypothetical; check irs.gov for the current year.

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 B, B1-Q1 C, B1-Q2 D, B1-Q3 B, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 B, F1-Q3 D, F1-Q4 B, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 B, F2-Q4 A, F2-Q5 C

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 1 of 5

Learn: A deduction lowers taxable income, so it saves tax equal to the deduction × your marginal rate. A credit lowers the tax itself, dollar for dollar.

Omar's marginal tax rate is 12%. Which saves him more tax: a $1,000 deduction or a $1,000 credit?

A. The deduction: $1,000 vs $120
B. They save the same amount
C. The credit: $1,000 vs $120
D. The deduction: $1,120 vs $1,000

CORRECT ANSWER

C. The credit: $1,000 vs $120

Feedback (shown after answering)

Deduction: $1,000 × 12% = $120 saved. Credit: $1,000 saved.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Swaps their effects
B: Confuses deductions and credits
D: Adds the rate

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 2 of 5

Learn: Tax after credits = tax before credits − credits.

Omar's tax before credits is $4,560. He qualifies for a $1,500 credit. What is his tax after the credit?

A. $1,500
B. $3,060
C. $4,380
D. $6,060

CORRECT ANSWER

B. $3,060

Feedback (shown after answering)

$4,560 − $1,500 = $3,060.

Recomputed independently by the build: 3060

Why each other choice is wrong (misconception it represents)

A: Gives the credit
C: Treats the credit like a deduction at 12%
D: Adds the credit

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 3 of 5

Learn: A nonrefundable credit can reduce your tax to zero but not below. A refundable credit can reduce tax below zero, and the extra is paid to you as a refund. Some nonrefundable credits let unused amounts carry forward to later years; others do not.

Tia's tax before credits is $300. She qualifies for a $1,000 NONREFUNDABLE credit that, in this example, has no carryforward. What is her tax after the credit?

A. −$700, paid to her as a refund
B. $0
C. $300
D. $700

CORRECT ANSWER

B. $0

Feedback (shown after answering)

A nonrefundable credit stops at $0. The unused $700 is not refunded, and with no carryforward it cannot be used later.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Treats it as refundable
C: Ignores the credit
D: Subtracts the wrong way

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 4 of 5

Learn: Refundable credits are paid out even when they exceed the tax owed.

Tia owes $300 of tax before credits and qualifies for a $1,000 REFUNDABLE credit. What happens?

A. Her tax becomes $0 and the extra $700 is lost
B. Her tax rises to $1,300
C. Nothing, because refundable credits need $1,000 of tax
D. Her tax becomes $0 and she receives $700 more

CORRECT ANSWER

D. Her tax becomes $0 and she receives $700 more

Feedback (shown after answering)

$300 − $1,000 = −$700, paid to her (plus any withholding refund).

Why each other choice is wrong (misconception it represents)

A: Treats it as nonrefundable
B: Adds
C: Misunderstands

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 5 of 5

Learn: The Earned Income Tax Credit helps low- to moderate-income workers, especially families with children. It is refundable, so it can result in a refund even if no tax is owed. Many eligible workers do not claim it.

Which credit is designed for low- to moderate-income workers and is refundable?

A. The standard deduction
B. The Earned Income Tax Credit (EITC)
C. Itemized mortgage interest
D. The yearly 401(k) contribution limit

CORRECT ANSWER

B. The Earned Income Tax Credit (EITC)

Feedback (shown after answering)

The EITC is a refundable credit for working people with lower incomes.

Why each other choice is wrong (misconception it represents)

A: Not a credit
C: Not a credit
D: Not a credit

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 1 of 5

Learn: Deductions reduce the income that is taxed. Credits reduce the tax itself.

A deduction reduces which number?

A. The tax owed, dollar for dollar
B. Gross pay on the W-2
C. Taxable income
D. The refund only

CORRECT ANSWER

C. Taxable income

Feedback (shown after answering)

Deductions reduce taxable income.

Why each other choice is wrong (misconception it represents)

A: Describes a credit
B: Confuses tax figures with wages
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 2 of 5

Learn: Credits come off the tax bill directly.

A credit reduces which number?

A. Gross income
B. Taxable income
C. Wages
D. The tax owed

CORRECT ANSWER

D. The tax owed

Feedback (shown after answering)

Credits reduce the tax bill directly.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Describes a deduction
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 3 of 5

Learn: Tax saved by a deduction = deduction × marginal rate.

A $500 deduction at a 10% rate saves how much tax?

A. $5
B. $50
C. $500
D. $550

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$500 × 0.10 = $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Treats it like a credit
D: Adds

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 4 of 5

Learn: A credit saves its full amount, dollar for dollar, if enough tax is owed.

A $500 credit saves how much tax (if at least $500 of tax is owed)?

A. $0
B. $50
C. $500
D. $5,000

CORRECT ANSWER

C. $500

Feedback (shown after answering)

Credits save dollar for dollar.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Ignores the credit
B: Treats it like a deduction
D: Adds a zero

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 5 of 5

Which word describes a credit that can create a refund beyond the tax owed?

A. Refundable
B. Nonrefundable
C. Itemized
D. Adjusted

CORRECT ANSWER

A. Refundable

Feedback (shown after answering)

Refundable credits can produce a refund beyond tax owed.

Why each other choice is wrong (misconception it represents)

B: Stops at zero
C: Describes deductions
D: Describes AGI

Type: knowledge check

GO DEEPER 1 — Education credits and other common credits · Question 1 of 5

Learn: Education credits can lower tax for college costs. Rules and amounts are set by law and can change; this question states its amounts.

For this scenario, assume an education credit equals 100% of the first $2,000 of tuition plus 25% of the next $2,000. Kim paid $3,000 of tuition. What is the credit?

A. $750
B. $2,250
C. $2,500
D. $3,000

CORRECT ANSWER

B. $2,250

Feedback (shown after answering)

$2,000 + 25% × $1,000 = $2,000 + $250 = $2,250.

Recomputed independently by the build: 2250

Why each other choice is wrong (misconception it represents)

A: Uses only 25%
C: Uses $4,000 of tuition
D: Credits the full tuition

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 1 — Education credits and other common credits · Question 2 of 5

Learn: Education tax forms: colleges send Form 1098-T reporting tuition and related expenses; loan servicers send Form 1098-E reporting student loan interest paid.

Which form from a college supports an education credit?

A. Form 1098-E
B. Form 1098-T
C. Form 1099-INT
D. Form W-4

CORRECT ANSWER

B. Form 1098-T

Feedback (shown after answering)

1098-T reports tuition for education credits.

Why each other choice is wrong (misconception it represents)

A: Reports student loan interest paid
C: Reports interest earned
D: Sets withholding

Type: instruction · practical how-to

GO DEEPER 1 — Education credits and other common credits · Question 3 of 5

Learn: Refundable credits like the EITC generally require filing a return.

Many eligible workers do not claim the EITC. What is a likely reason?

A. The EITC is only for people with children
B. Claiming it is only for business owners
C. It is paid automatically to everyone without filing
D. They do not know they qualify or do not file

CORRECT ANSWER

D. They do not know they qualify or do not file

Feedback (shown after answering)

Not filing or not knowing about it leaves money unclaimed.

Why each other choice is wrong (misconception it represents)

A: Overlooks childless workers
B: Confuses earned income with business income
C: Ignores the need to file

Type: instruction

GO DEEPER 1 — Education credits and other common credits · Question 4 of 5

Learn: A deduction is worth more to someone in a higher bracket; a credit is worth the same to everyone who can use it.

Two taxpayers each get a $2,000 deduction. One is in the 22% bracket, the other in the 10% bracket. How much more does the deduction save the first taxpayer?

A. $200
B. $240
C. $440
D. $2,000

CORRECT ANSWER

B. $240

Feedback (shown after answering)

$2,000 × 0.22 = $440 vs $2,000 × 0.10 = $200: a $240 difference.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Gives the second taxpayer's savings
C: Gives the first taxpayer's savings
D: Treats it as a credit

Type: instruction

GO DEEPER 1 — Education credits and other common credits · Question 5 of 5

Which is generally worth the same dollar amount to taxpayers in different brackets?

A. A deduction
B. An adjustment
C. A credit (if fully usable)
D. An itemized deduction of $1,000

CORRECT ANSWER

C. A credit (if fully usable)

Feedback (shown after answering)

Credits reduce tax dollar for dollar regardless of bracket.

Why each other choice is wrong (misconception it represents)

A: Varies by bracket
B: Varies by bracket
D: Varies by bracket

Type: knowledge check

GO DEEPER 2 — Putting deductions and credits together · Question 1 of 5

Learn: Deductions come off income first; credits come off the tax at the end.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Ana's total income is $52,000, her standard deduction is $15,000 (this scenario), and she has a $1,000 credit. What is her taxable income?

A. $36,000
B. $37,000
C. $51,000
D. $52,000

CORRECT ANSWER

B. $37,000

Feedback (shown after answering)

$52,000 − $15,000 = $37,000 (the credit is used later).

Recomputed independently by the build: 37000

Why each other choice is wrong (misconception it represents)

A: Subtracts the credit from income
C: Subtracts only the credit
D: Ignores the deduction

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 2 of 5

Learn: Apply the brackets to taxable income, layer by layer.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Ana's taxable income is $37,000. What is her tax before credits?

A. $3,000
B. $3,700
C. $4,200
D. $4,440

CORRECT ANSWER

C. $4,200

Feedback (shown after answering)

$1,200 + 12% × $25,000 = $1,200 + $3,000 = $4,200.

Recomputed independently by the build: 4200

Why each other choice is wrong (misconception it represents)

A: Uses $30,000
B: Taxes all at 10%
D: Taxes all at 12%

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 3 of 5

Learn: Final tax = tax before credits − credits.

Ana's tax before credits is $4,200, and she has a $1,000 credit. What is her final tax?

A. $1,000
B. $3,200
C. $4,080
D. $5,200

CORRECT ANSWER

B. $3,200

Feedback (shown after answering)

$4,200 − $1,000 = $3,200.

Recomputed independently by the build: 3200

Why each other choice is wrong (misconception it represents)

A: Gives the credit
C: Treats the credit as a deduction
D: Adds

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 4 of 5

Learn: The last section of the return compares tax with withholding and payments.

Which step comes LAST on the 1040?

A. Comparing the final tax with payments to find the refund or amount owed
B. Adding up income
C. Subtracting the standard deduction
D. Listing wages from W-2s

CORRECT ANSWER

A. Comparing the final tax with payments to find the refund or amount owed

Feedback (shown after answering)

The return ends by comparing tax owed with tax paid.

Why each other choice is wrong (misconception it represents)

B: First step
C: Middle step
D: First step

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 5 of 5

Learn: Refund = amount withheld − tax owed (when positive).

Ana's final tax is $3,200 and her W-2 shows $3,650 withheld. What is the result?

A. A $450 balance due
B. A $6,850 refund
C. A $450 refund
D. No refund or bill

CORRECT ANSWER

C. A $450 refund

Feedback (shown after answering)

$3,650 − $3,200 = $450 refund.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Adds
D: Ignores the difference

Type: instruction

SET 69 · Taxes and Tax Filing

Refund or balance due

MAIN skill: Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Outcome FL.TAX.69 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Explain why taxpayers receive refunds or owe tax; a refund is not extra income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Tax owed versus tax paid (5 questions)
  - Why: Refund problems depend on separating what was owed from what was already paid.
- B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: A refund is a positive result and a balance due a negative one.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Refunds and balances compare two amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Fixing withholding after a surprise (5 questions)
- Go Deeper 2: If you cannot pay in full (5 questions)

Practical skills beyond the standards: Adjusting withholding after a refund or bill; IRS payment plans

Content status: time-sensitive

Source: IRS — Individual returns are generally due April 15 (next business day if on a weekend or holiday); an extension extends the time to file, not to pay; IRS Free File and VITA offer free filing help to eligible taxpayers. https://www.irs.gov/filing

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 A, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 D, F1-Q3 A, F1-Q4 B, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 B, F2-Q5 B

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 1 of 5

Learn: Your tax liability is the total tax you owe for the year. Withholding and estimated payments are prepayments. If prepayments are more than the liability, you get a refund; if less, you owe the difference (a balance due).

Omar's total tax for the year is $4,560. His employer withheld $5,200. What happens when he files?

A. He owes $640
B. He gets a $640 refund
C. He gets a $5,200 refund
D. He owes $9,760

CORRECT ANSWER

B. He gets a $640 refund

Feedback (shown after answering)

$5,200 − $4,560 = $640 refund.

Recomputed independently by the build: 640

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Treats all withholding as refundable
D: Adds

Type: instruction

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 2 of 5

Leo's total tax is $4,560, and only $4,000 was withheld. What happens?

A. He gets a $560 refund
B. He owes $4,560 again
C. Nothing; withholding settles everything
D. He owes $560

CORRECT ANSWER

D. He owes $560

Feedback (shown after answering)

$4,560 − $4,000 = $560 balance due.
Recomputed independently by the build: 560

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Double counts
C: Misunderstands

Type: knowledge check

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 3 of 5

Learn: A refund happens when tax payments (withholding and estimated payments) plus refundable credits are more than your tax. The size of a refund is not the same as how much tax you owed; that is your liability.

Kim says, "I got a $1,200 refund — free money from the government!" Her refund came only from too much withholding; she had no refundable credits. Which statement is accurate?

A. The refund is her own overpaid tax being returned
B. The refund is a bonus on top of her pay
C. A big refund means she paid less tax
D. Refunds are loans from the IRS that must be repaid later

CORRECT ANSWER

A. The refund is her own overpaid tax being returned

Feedback (shown after answering)

Here the refund returns money she already paid through withholding.

Why each other choice is wrong (misconception it represents)

B: Assumes a tax refund represents free additional income
C: Confuses refund with liability
D: Misunderstands

Type: instruction

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 4 of 5

Learn: Over-withholding is like an interest-free loan to the government. Adjusting your W-4 can put that money in each paycheck instead.

Kim's $1,200 refund came entirely from over-withholding, about $100 a month. If she had kept that $100 a month in savings at 4%, roughly how much interest might she have earned over the year (about half a year on average)?

A. $0
B. $24
C. $48
D. $1,200

CORRECT ANSWER

B. $24

Feedback (shown after answering)

About $1,200 × 0.04 × 0.5 ≈ $24, a small but real opportunity cost.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

A: Ignores the opportunity cost
C: Uses the full year on all $1,200
D: Gives the refund

Type: instruction

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 5 of 5

Learn: When withholding is the only payment and there are no refundable credits: tax liability = withholding − refund, or withholding + amount owed.

Two workers each had $5,000 withheld and had no refundable credits or other tax payments. Ana gets a $1,000 refund; Ben owes $200. Who had the larger tax liability?

A. Ana, because she got a refund
B. Ben: $5,200 vs $4,000
C. They had equal liabilities
D. Ana: $6,000 vs $4,800

CORRECT ANSWER

B. Ben: $5,200 vs $4,000

Feedback (shown after answering)

Ana: $5,000 − $1,000 = $4,000. Ben: $5,000 + $200 = $5,200.

Recomputed independently by the build: 5200

Why each other choice is wrong (misconception it represents)

A: Confuses refund with liability
C: Ignores the difference
D: Reverses the arithmetic

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 1 of 5

Learn: Liability is what you owe for the year. Withholding is what you already paid toward it.

What is "tax liability"?

A. The amount withheld from each paycheck
B. The refund amount
C. Gross income
D. The total tax owed for the year

CORRECT ANSWER

D. The total tax owed for the year

Feedback (shown after answering)

Liability = total tax owed.

Why each other choice is wrong (misconception it represents)

A: Payment, not liability
B: Result, not liability
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 2 of 5

Learn: Paid − owed: positive means refund; negative means balance due.

Owed $2,000; paid $2,500. What is the result?

A. A $500 balance due
B. A $4,500 refund
C. A $500 refund
D. A $2,500 refund

CORRECT ANSWER

C. A $500 refund

Feedback (shown after answering)

$2,500 − $2,000 = $500 refund.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Adds
D: Ignores liability

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 3 of 5

Owed $2,000; paid $1,700. What is the result?

A. A $300 balance due
B. A $300 refund
C. A $3,700 balance due
D. No result

CORRECT ANSWER

A. A $300 balance due

Feedback (shown after answering)

$1,700 − $2,000 = −$300: $300 is owed.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Ignores

Type: knowledge check

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 4 of 5

Learn: A refund is paid when your tax payments (withholding and estimated tax) plus refundable credits add up to more than your tax.

Which can produce a federal tax refund?

A. A government gift program for workers
B. Overpaid tax or refundable credits
C. The employer's profits
D. A bank loan

CORRECT ANSWER

B. Overpaid tax or refundable credits

Feedback (shown after answering)

Refunds come from payments above your tax, plus any refundable credits.

Why each other choice is wrong (misconception it represents)

A: Treats a refund as a gift
C: Confuses employer money with tax
D: Confuses a refund with borrowing

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 5 of 5

Which number on a 1040 shows tax already paid through work?

A. Taxable income
B. Standard deduction
C. Federal income tax withheld
D. Adjusted gross income (AGI)

CORRECT ANSWER

C. Federal income tax withheld

Feedback (shown after answering)

Withholding from W-2s is the payment line.

Why each other choice is wrong (misconception it represents)

A: Income, not payment
B: Deduction
D: Income

Type: knowledge check

GO DEEPER 1 — Fixing withholding after a surprise · Question 1 of 5

Learn: If you owed at filing, you can add extra withholding on Form W-4 (Step 4(c)) to spread the amount across paychecks.

Leo owed $560 at filing. To avoid that next year with 26 paychecks, about how much extra should he have withheld per paycheck (nearest dollar)?

A. $11
B. $22
C. $47
D. $560

CORRECT ANSWER

B. $22

Feedback (shown after answering)

$560 ÷ 26 ≈ $21.54, about $22 per paycheck.

Recomputed independently by the build: 22

Why each other choice is wrong (misconception it represents)

A: Uses 52 paychecks
C: Uses 12 paychecks
D: Puts it all in one check

Type: instruction

GO DEEPER 1 — Fixing withholding after a surprise · Question 2 of 5

Learn: Form W-4 controls how much income tax is withheld from each paycheck; you can update it at any time.

Kim's $1,200 refund came entirely from too much withholding, and she would rather have that money in each paycheck. What should she do?

A. Ask the IRS to send her a smaller refund
B. Stop filing a return
C. Quit her job
D. Update her W-4 so less is withheld

CORRECT ANSWER

D. Update her W-4 so less is withheld

Feedback (shown after answering)

A new W-4 reduces withholding going forward.

Why each other choice is wrong (misconception it represents)

A: Not how it works
B: Can lose refunds and cause problems
C: Overreacts

Type: instruction · practical how-to

GO DEEPER 1 — Fixing withholding after a surprise · Question 3 of 5

Learn: Some people like getting a lump sum. The trade-off is less money in each paycheck during the year.

Why do some people prefer a refund anyway?

A. It works like forced saving for a planned purchase
B. Refunds earn high interest from the IRS while they wait
C. Refunds lower total tax
D. Refunds are tax-free bonuses

CORRECT ANSWER

A. It works like forced saving for a planned purchase

Feedback (shown after answering)

Some use over-withholding as a saving habit, though the money earns nothing in the meantime.

Why each other choice is wrong (misconception it represents)

B: Believes overpaid tax earns interest
C: Confuses a refund with a tax cut
D: Misunderstands

Type: instruction

GO DEEPER 1 — Fixing withholding after a surprise · Question 4 of 5

Learn: The IRS publishes a free Tax Withholding Estimator on irs.gov that uses your pay stubs to suggest W-4 settings.

Which tool helps set withholding close to the actual tax?

A. Her last pay stub alone
B. The IRS Tax Withholding Estimator
C. A credit report
D. A paycheck calculator from her bank

CORRECT ANSWER

B. The IRS Tax Withholding Estimator

Feedback (shown after answering)

The estimator suggests W-4 settings to match withholding to tax.

Why each other choice is wrong (misconception it represents)

A: Does not project the year's tax
C: Confuses credit with taxes
D: Estimates pay, not the right withholding

Type: instruction · practical how-to

GO DEEPER 1 — Fixing withholding after a surprise · Question 5 of 5

Learn: Tax on side income can be covered by extra withholding at a regular job or by quarterly estimated payments.

A worker with a side gig owes $900 extra each year. Which approach pays it gradually?

A. Raise W-4 withholding at the main job or make quarterly estimated payments
B. Ignore it until April each year
C. Ask the client to pay the tax
D. Pay the whole $900 in April each year

CORRECT ANSWER

A. Raise W-4 withholding at the main job or make quarterly estimated payments

Feedback (shown after answering)

Extra withholding or estimated payments spread the tax over the year.

Why each other choice is wrong (misconception it represents)

B: Risks penalties
C: Not how it works
D: Risks underpayment penalties

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 1 of 5

Learn: The penalty for not filing is usually larger than the penalty for not paying. The IRS offers payment plans (installment agreements). Interest and penalties still apply to unpaid amounts.

Leo owes $560 but can pay only $200 by the deadline. What is the best step?

A. Do not file at all until he can pay every single dollar
B. Ignore the bill
C. Use a payday loan
D. File on time, pay $200, and set up a payment plan

CORRECT ANSWER

D. File on time, pay $200, and set up a payment plan

Feedback (shown after answering)

Filing on time avoids the bigger penalty; a payment plan handles the rest.

Why each other choice is wrong (misconception it represents)

A: Adds the larger failure-to-file penalty
B: Penalties grow
C: High cost

Type: instruction · practical how-to

GO DEEPER 2 — If you cannot pay in full · Question 2 of 5

Learn: The IRS charges separate penalties for filing late and paying late; the late-filing penalty is generally larger.

Which penalty is generally LARGER per month: failure to file or failure to pay?

A. Failure to pay
B. They are always identical
C. Failure to file
D. Neither exists if a refund is due

CORRECT ANSWER

C. Failure to file

Feedback (shown after answering)

Failure-to-file penalties are generally larger, so file on time even if you cannot pay.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Assumes penalties match
D: Overgeneralizes

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 3 of 5

Learn: An extension (Form 4868) gives more time to file, but any tax owed is still due by the original deadline.

Does a filing extension give more time to PAY taxes owed?

A. Yes, six more months to pay with no interest
B. Yes, but only for students
C. Yes, if requested by phone
D. No; it extends the time to file, not to pay

CORRECT ANSWER

D. No; it extends the time to file, not to pay

Feedback (shown after answering)

Tax owed is still due by the April deadline; interest applies after.

Why each other choice is wrong (misconception it represents)

A: Common misconception
B: Invents a rule
C: Invents a rule

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 4 of 5

Learn: Equal payments = total owed ÷ number of payments.

Leo owes $360 and sets up a 6-month payment plan, ignoring interest and fees. What is each payment?

A. $36
B. $60
C. $360
D. $2,160

CORRECT ANSWER

B. $60

Feedback (shown after answering)

$360 ÷ 6 = $60 (interest and fees add a little more).

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Divides by 10
C: One payment
D: Multiplies

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 5 of 5

Learn: The IRS lists official payment options on irs.gov. It never demands gift cards or crypto.

Which payment method should be used to pay the IRS?

A. Gift cards bought at a store
B. Official options listed on irs.gov, such as direct debit
C. Cryptocurrency sent to a caller
D. Cash mailed to a P.O. box given by someone on a phone call

CORRECT ANSWER

B. Official options listed on irs.gov, such as direct debit

Feedback (shown after answering)

Use official IRS payment options only.

Why each other choice is wrong (misconception it represents)

A: Scam sign
C: Scam sign
D: Scam sign

Type: instruction · practical how-to

SET 70 · Taxes and Tax Filing

Filing a return: methods, deadlines, and scams

MAIN skill: Choose a filing method, meet deadlines, and avoid tax scams

Outcome FL.TAX.70 · National topic: Earning Income · NJSLS 9.1.12: EG, FI

Learning target: Explain how to file taxes, filing deadlines, and how to avoid tax fraud

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Deadlines and dates (5 questions)

Why: Filing questions rely on reading deadlines and counting time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Protecting your tax identity (5 questions)

Go Deeper 2: State returns and amending mistakes (5 questions)

Practical skills beyond the standards: Free filing options (IRS Free File, VITA); Getting an IRS Identity Protection PIN

Content status: time-sensitive

Source: IRS — Individual returns are generally due April 15 (next business day if on a weekend or holiday); an extension extends the time to file, not to pay; IRS Free File and VITA offer free filing help to eligible taxpayers. https://www.irs.gov/filing

Source: IRS (Tax scams) — The IRS does not demand immediate payment by gift card, wire, or cryptocurrency, or threaten arrest by phone. https://www.irs.gov/newsroom/tax-scams-consumer-alerts

Source: IRS (Notice 2011-17) — Emancipation Day (April 16) is a legal holiday in the District of Columbia that can move the federal filing deadline when it falls on or next to April 15. https://www.irs.gov/pub/irs-drop/n-11-17.pdf

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 C, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 A, F2-Q4 B, F2-Q5 D

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 1 of 5

Learn: Federal returns for a calendar year are generally due April 15 of the following year. If that day falls on a weekend or legal holiday, the deadline moves to the next business day.

When are federal individual income tax returns generally due?

A. December 31 of the tax year
B. January 31
C. April 15 (next business day if it falls on a weekend or holiday)
D. July 4

CORRECT ANSWER

C. April 15 (next business day if it falls on a weekend or holiday)

Feedback (shown after answering)

Returns are generally due April 15 (or the next business day).

Why each other choice is wrong (misconception it represents)

A: Too early
B: W-2 deadline
D: Invents a date

Type: instruction · rule as of IRS rules as of 2026

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 2 of 5

Learn: Ways to file: tax software (including IRS Free File for eligible incomes), free in-person help through VITA (Volunteer Income Tax Assistance) for eligible taxpayers, a paid preparer, or paper forms. E-filing with direct deposit gets refunds fastest.

Kayla, a student with simple taxes, wants to file for free. Which options may be available?

A. IRS Free File or a VITA free tax help site
B. Only an expensive paid preparer
C. Filing through a social media influencer's link
D. Mailing her W-2 to her employer

CORRECT ANSWER

A. IRS Free File or a VITA free tax help site

Feedback (shown after answering)

IRS Free File and VITA offer free filing for many taxpayers.

Why each other choice is wrong (misconception it represents)

B: Ignores free options
C: Unsafe
D: Not filing

Type: instruction · practical how-to

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 3 of 5

Learn: IRS impersonation scams are common. The IRS generally contacts people first by mail, never demands immediate payment by gift card, wire, or cryptocurrency, and does not threaten arrest by phone.

A caller says he is from the IRS and that Kayla will be arrested unless she pays $900 today with gift cards. What should she do?

A. Buy the gift cards to avoid arrest
B. Give her Social Security number to verify
C. Pay half now to show good faith
D. Hang up; the IRS does not demand gift-card payment or threaten arrest by phone

CORRECT ANSWER

D. Hang up; the IRS does not demand gift-card payment or threaten arrest by phone

Feedback (shown after answering)

Threats and gift-card demands are signs of an IRS scam.

Why each other choice is wrong (misconception it represents)

A: Falls for the scam
B: Shares identity data
C: Still pays a scammer

Type: instruction

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 4 of 5

Learn: An automatic extension (Form 4868) moves the filing deadline about six months, generally to October 15, but tax owed is still due in April.

Kayla files for a 6-month extension. What new deadline does she have, and what is NOT extended?

A. About October 15 to file and to pay
B. About October 15 to file; payment of any tax owed is not extended
C. About June 15 for everything
D. No deadline at all

CORRECT ANSWER

B. About October 15 to file; payment of any tax owed is not extended

Feedback (shown after answering)

The extension covers filing only; payment is still due in April.

Why each other choice is wrong (misconception it represents)

A: Thinks payment is extended
C: Invents a date
D: Misunderstands

Type: instruction · rule as of IRS rules as of 2026

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 5 of 5

How long does the IRS generally recommend keeping tax records?

A. At least 3 years after filing
B. 1 week
C. Until the refund arrives only
D. There is no reason to keep records

CORRECT ANSWER

A. At least 3 years after filing

Feedback (shown after answering)

Keep returns and supporting records at least 3 years (longer in some cases).

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

B: Too short
C: Too short
D: Unhelpful

Type: knowledge check

BACKWARD B1 · concept review — Deadlines and dates · Question 1 of 5

Learn: A federal tax deadline that falls on a Saturday, Sunday, or legal holiday moves to the next business day. Emancipation Day, a Washington, D.C. holiday, counts for federal filing deadlines.

In one year, April 15 falls on a Saturday, and Monday, April 17 is Emancipation Day, a legal holiday in Washington, D.C. When is the federal filing deadline?

A. Monday, April 17
B. Friday, April 14
C. Tuesday, April 18
D. Saturday, April 15

CORRECT ANSWER

C. Tuesday, April 18

Feedback (shown after answering)

Saturday and Sunday are skipped, and Monday is a legal holiday, so the deadline is Tuesday, April 18.

Why each other choice is wrong (misconception it represents)

A: Ignores the D.C. holiday
B: Moves the deadline earlier
D: Ignores the weekend rule

Type: instruction

BACKWARD B1 · concept review — Deadlines and dates · Question 2 of 5

How many months is a 6-month extension from April 15?

A. Three months, to about July 15th
B. One year
C. Six months, to about October 15
D. Two weeks

CORRECT ANSWER

C. Six months, to about October 15

Feedback (shown after answering)

April 15 + 6 months ≈ October 15.

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Overstates
D: Understates

Type: knowledge check

BACKWARD B1 · concept review — Deadlines and dates · Question 3 of 5

Learn: Count the days left in each month: January, February, March, then April.

Kayla receives her W-2 on January 28. How many days until April 15 in a non-leap year?

A. 105 days
B. 77 days
C. 45 days
D. 3 days

CORRECT ANSWER

B. 77 days

Feedback (shown after answering)

3 (Jan 29–31) + 28 (Feb) + 31 (Mar) + 15 (Apr) = 77 days.

Recomputed independently by the build: 77

Why each other choice is wrong (misconception it represents)

A: Counts too many
C: Counts too few
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Deadlines and dates · Question 4 of 5

Learn: E-filing sends your return electronically through software or a preparer.

What does "e-file" mean?

A. Mailing paper forms
B. Calling the IRS to file over the phone
C. Emailing a photo of a W-2
D. Filing a tax return electronically

CORRECT ANSWER

D. Filing a tax return electronically

Feedback (shown after answering)

E-file = electronic filing.

Why each other choice is wrong (misconception it represents)

A: Paper filing
B: Not a filing method
C: Unsafe and not filing

Type: instruction

BACKWARD B1 · concept review — Deadlines and dates · Question 5 of 5

Which is generally the fastest way to receive a refund?

A. E-file with direct deposit
B. Paper return with a mailed check
C. Paper return with direct deposit
D. Filing in December before the year ends

CORRECT ANSWER

A. E-file with direct deposit

Feedback (shown after answering)

E-filing with direct deposit is fastest.

Why each other choice is wrong (misconception it represents)

B: Slowest
C: Paper processing is slower
D: Year must end first

Type: knowledge check

GO DEEPER 1 — Protecting your tax identity · Question 1 of 5

Learn: In tax-related identity theft, someone uses your Social Security number to file a fraudulent return and claim a refund. Filing early and using an IRS Identity Protection PIN help prevent it.

A thief files a return using Kayla's Social Security number to steal her refund. What is this called?

A. A tax credit claimed by mistake
B. An amended return
C. An audit
D. Tax-related identity theft

CORRECT ANSWER

D. Tax-related identity theft

Feedback (shown after answering)

Using someone's SSN to file is tax identity theft.

Why each other choice is wrong (misconception it represents)

A: Misnames the problem
B: Confuses fraud with a correction
C: Confuses fraud with an IRS review

Type: instruction

GO DEEPER 1 — Protecting your tax identity · Question 2 of 5

Learn: An IP PIN is a six-digit number known only to you and the IRS that must appear on your return. An e-filed return without the correct IP PIN is rejected; a paper return without it faces extra checks and delays.

What does an IRS Identity Protection PIN (IP PIN) do?

A. It must be entered on the return, helping block others from filing with your SSN
B. It lowers your tax rate
C. It replaces your Social Security number
D. It speeds up refunds to any account

CORRECT ANSWER

A. It must be entered on the return, helping block others from filing with your SSN

Feedback (shown after answering)

The IP PIN makes it much harder for someone else to file with your SSN, though no tool makes identity theft impossible.

Why each other choice is wrong (misconception it represents)

B: Confuses security with tax
C: Overstates the PIN
D: Misreads

Type: instruction · practical how-to

GO DEEPER 1 — Protecting your tax identity · Question 3 of 5

Learn: The IRS generally does not initiate contact by email, text, or social media to request personal or financial information.

An email "from the IRS" asks Kayla to click a link to claim a refund. What should she know?

A. The IRS always sends refunds by email links
B. She should reply with her bank details
C. The IRS does not start contact by email asking for personal information
D. Emails with logos are always real

CORRECT ANSWER

C. The IRS does not start contact by email asking for personal information

Feedback (shown after answering)

Unexpected IRS emails asking for information are phishing.

Why each other choice is wrong (misconception it represents)

A: Believes the scam
B: Unsafe
D: Trusts appearance

Type: instruction

GO DEEPER 1 — Protecting your tax identity · Question 4 of 5

Learn: TIGTA investigates IRS impersonation scams; phishing emails can be forwarded to phishing@irs.gov.

Where can someone report an IRS impersonation scam?

A. The scammer's phone number
B. The Treasury Inspector General for Tax Administration (TIGTA)
C. A credit card company only
D. A social media post

CORRECT ANSWER

B. The Treasury Inspector General for Tax Administration (TIGTA)

Feedback (shown after answering)

Report impersonation to TIGTA and phishing to the IRS.

Why each other choice is wrong (misconception it represents)

A: Unsafe
C: Incomplete
D: Not reporting

Type: instruction · practical how-to

GO DEEPER 1 — Protecting your tax identity · Question 5 of 5

Learn: You are responsible for what is on your return, even if someone else prepares it. Choose preparers carefully and review your return before signing.

A paid preparer offers a larger refund if Kayla signs a blank return. What should she do?

A. Sign it to save time
B. Sign it if the preparer's fee is low
C. Sign it but keep a photo
D. Refuse; never sign a blank return

CORRECT ANSWER

D. Refuse; never sign a blank return

Feedback (shown after answering)

Signing a blank return allows fraud in your name.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Unsafe
C: Still unsafe

Type: instruction · practical how-to

GO DEEPER 2 — State returns and amending mistakes · Question 1 of 5

Learn: States with income taxes have their own returns, with their own filing thresholds and deadlines.

Kayla lives and works in New Jersey and had state tax withheld. Which return(s) might she need to file?

A. Only the federal return
B. Only the New Jersey return
C. A federal Form 1040 and a New Jersey NJ-1040
D. No returns, as a full-time student who earns under $10,000

CORRECT ANSWER

C. A federal Form 1040 and a New Jersey NJ-1040

Feedback (shown after answering)

She may need both a federal and a New Jersey return.

Why each other choice is wrong (misconception it represents)

A: Ignores state tax
B: Ignores federal tax
D: Overgeneralizes

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 2 — State returns and amending mistakes · Question 2 of 5

Learn: Mistakes on a filed return are corrected with Form 1040-X, the amended return.

After filing, Kayla finds a second W-2 she forgot. What should she do?

A. File an amended return (Form 1040-X)
B. Ignore it
C. File a second original return to replace it
D. Mail the W-2 to her employer

CORRECT ANSWER

A. File an amended return (Form 1040-X)

Feedback (shown after answering)

Form 1040-X corrects a filed return.

Why each other choice is wrong (misconception it represents)

B: Leaves income unreported
C: Not the correct form
D: Does not fix the return

Type: instruction · practical how-to

GO DEEPER 2 — State returns and amending mistakes · Question 3 of 5

Learn: On an amended return, the extra tax is compared with any extra withholding.

After filing, Lena finds a forgotten W-2 that adds $1,200 of income and $90 of withholding. If her extra tax is $120, what is the net amount she owes on the amended return?

A. $30
B. $90
C. $120
D. $210

CORRECT ANSWER

A. $30

Feedback (shown after answering)

$120 − $90 = $30 more owed.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Gives the withholding
C: Ignores the withholding
D: Adds

Type: instruction

GO DEEPER 2 — State returns and amending mistakes · Question 4 of 5

Learn: VITA sites offer free tax preparation by IRS-certified volunteers for eligible taxpayers.

Which free program offers in-person tax help for many low- and moderate-income taxpayers?

A. FDIC
B. VITA (Volunteer Income Tax Assistance)
C. FINRA
D. SIPC

CORRECT ANSWER

B. VITA (Volunteer Income Tax Assistance)

Feedback (shown after answering)

VITA provides free tax help.

Why each other choice is wrong (misconception it represents)

A: Deposit insurance
C: Broker regulation
D: Broker failures

Type: instruction · practical how-to

GO DEEPER 2 — State returns and amending mistakes · Question 5 of 5

Learn: A simple checklist prevents missing income or credits.

Before filing, which documents should Kayla gather?

A. Only her final pay stub of the year
B. Her credit card statements only
C. Nothing; the IRS has everything
D. Her W-2s, any 1099s, ID, and last year's return if she filed one

CORRECT ANSWER

D. Her W-2s, any 1099s, ID, and last year's return if she filed one

Feedback (shown after answering)

Gathering all income forms and ID prevents errors.

Why each other choice is wrong (misconception it represents)

A: Pay stubs can miss forms such as 1099s
B: Usually unnecessary
C: Unrealistic

Type: instruction · practical how-to

SET 71 · Renting and Leasing a Home

Finding a rental and avoiding rental scams

MAIN skill: Search for legitimate rental listings and recognize rental scams

Outcome FL.RENT.71 · National topic: Spending · NJSLS 9.1.12: PB, RM

Learning target: Compare housing options and recognize rental fraud

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Renting basics: landlords, tenants, and leases (5 questions)
  Why: Students need the basic vocabulary of renting before evaluating listings.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing rentals adds rent, utilities, and fees.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing rentals beyond the rent (5 questions)
- Go Deeper 2: Spotting and reporting rental scams (5 questions)

Practical skills beyond the standards: Comparing total monthly housing costs; Verifying rental listings

Content status: time-sensitive

Source: FTC — Rental listing scams include fake listings, requests to wire money or pay before seeing a unit, and owners who claim to be out of the country. https://consumer.ftc.gov/articles/rental-listing-scams

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 B, M-Q4 A, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 D, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 B, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 C

MAIN — Search for legitimate rental listings and recognize rental scams · Question 1 of 5

Learn: Rental scammers copy real listings or invent fake ones. Red flags: rent far below similar units, an owner who cannot meet in person, pressure to pay quickly, requests to wire money or use gift cards or payment apps, and requests for payment before you see the unit or sign a lease.

A listing offers a 2-bedroom apartment for $700 a month when similar ones nearby rent for $1,500. The "owner" is overseas and asks for a deposit by wire before anyone sees the unit. What is most likely happening?

A. A rare bargain that should be secured quickly
B. A normal practice for overseas landlords
C. A rental scam
D. A government housing program

CORRECT ANSWER

C. A rental scam

Feedback (shown after answering)

Below-market rent, an absent owner, and a wire request before viewing are classic scam signs.

Why each other choice is wrong (misconception it represents)

A: Falls for urgency
B: Normalizes red flags
D: Misidentifies

Type: instruction

MAIN — Search for legitimate rental listings and recognize rental scams · Question 2 of 5

Learn: Before paying, see the unit in person (or have someone you trust visit), meet the landlord or property manager, and check who owns the property, for example through local property records.

Which step BEST confirms that a listing is real before paying anything?

A. Visit the unit in person and verify the owner or manager
B. Ask the poster to send more photos of the unit before deciding
C. Pay a small deposit to hold it
D. Trust the listing because it is on a big website

CORRECT ANSWER

A. Visit the unit in person and verify the owner or manager

Feedback (shown after answering)

Seeing the unit and confirming who owns or manages it guards against fake listings, where scammers advertise places they do not control.

Why each other choice is wrong (misconception it represents)

B: Photos are easy to copy
C: Pays before verifying
D: Scams appear on big sites

Type: instruction · practical how-to

MAIN — Search for legitimate rental listings and recognize rental scams · Question 3 of 5

Learn: Compare total monthly housing cost, not just rent: rent + utilities + parking + renters insurance + other fees.

Jen compares two apartments. A: rent $1,150, utilities included. B: rent $1,050, plus about $130 a month in utilities. Which costs less per month, and by how much?

A. B, by $100
B. A, by $30
C. B, by $30
D. They cost the same

CORRECT ANSWER

B. A, by $30

Feedback (shown after answering)

A: $1,150. B: $1,050 + $130 = $1,180. A is $30 cheaper.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Compares rent only
C: Reverses
D: Does not compute

Type: instruction

MAIN — Search for legitimate rental listings and recognize rental scams · Question 4 of 5

Which payment request is MOST likely a sign of a scam?

A. Paying an application fee with gift cards
B. Paying first month's rent by check after signing a lease
C. Paying a security deposit to a property management company with a receipt
D. Paying rent through the landlord's official online portal after signing

CORRECT ANSWER

A. Paying an application fee with gift cards

Feedback (shown after answering)

Legitimate landlords do not ask for gift cards; scammers do because they cannot be traced or reversed.

Why each other choice is wrong (misconception it represents)

B: Normal
C: Normal
D: Normal

Type: knowledge check

MAIN — Search for legitimate rental listings and recognize rental scams · Question 5 of 5

Learn: Application fees cover processing and background checks and are usually not refundable. Applying to many places adds up.

Jen pays $65 application fees at 4 apartments before being approved. What does she spend on applications?

A. $16.25
B. $65
C. $69
D. $260

CORRECT ANSWER

D. $260

Feedback (shown after answering)

$65 × 4 = $260.

Recomputed independently by the build: 260

Why each other choice is wrong (misconception it represents)

A: Divides
B: Counts one
C: Adds instead of multiplying

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 1 of 5

Learn: A landlord owns (or manages) a rental property. A tenant pays rent to live there. A lease is the contract that sets the terms.

In a rental, who is the TENANT?

A. The person who owns the building
B. The person who pays rent to live in the home
C. The bank that holds the mortgage on the building
D. The city housing inspector

CORRECT ANSWER

B. The person who pays rent to live in the home

Feedback (shown after answering)

The tenant pays rent to live in the unit.

Why each other choice is wrong (misconception it represents)

A: Landlord
C: Lender
D: Official

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 2 of 5

Learn: A lease is a legal agreement that states the rent, length of the rental, rules, and responsibilities of each side.

What is a lease?

A. A loan agreement that lets the tenant buy the apartment over time
B. A receipt for one month's rent
C. A contract between landlord and tenant setting the rental terms
D. Renters insurance for the apartment

CORRECT ANSWER

C. A contract between landlord and tenant setting the rental terms

Feedback (shown after answering)

The lease is the rental contract.

Why each other choice is wrong (misconception it represents)

A: Confuses with a mortgage
B: Confuses a payment record with a contract
D: Confuses the lease with insurance

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 3 of 5

Rent is $950 a month. What does a 12-month lease total in rent?

A. $950
B. $1,140
C. $9,500
D. $11,400

CORRECT ANSWER

D. $11,400

Feedback (shown after answering)

$950 × 12 = $11,400.

Recomputed independently by the build: 11400

Why each other choice is wrong (misconception it represents)

A: One month
B: Divides
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 4 of 5

Learn: Utilities, such as electricity, gas, water, and internet, may or may not be included in rent. Listings should say which are included.

Which cost is often NOT included in rent?

A. The right to live in the unit
B. Use of the kitchen inside the unit
C. Using the front door
D. Electricity

CORRECT ANSWER

D. Electricity

Feedback (shown after answering)

Electricity is often paid separately by tenants.

Why each other choice is wrong (misconception it represents)

A: That is what rent pays for
B: Included
C: Included

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 5 of 5

Why do landlords check rental applications?

A. To judge whether the applicant will pay and care for the home
B. To decide the applicant's rent based on income
C. To sell applicants' information
D. Because the law requires every landlord to approve everyone

CORRECT ANSWER

A. To judge whether the applicant will pay and care for the home

Feedback (shown after answering)

Applications help landlords judge reliability.

Why each other choice is wrong (misconception it represents)

B: Believes rent is set by income
C: Improper
D: Misreads

Type: knowledge check

GO DEEPER 1 — Comparing rentals beyond the rent · Question 1 of 5

Learn: Location affects costs: commuting, parking, and time.

Apartment C rents for $1,000 and is a 20-minute walk from work. Apartment D rents for $900 but requires a $120 monthly bus pass. Which costs less per month for housing plus commuting?

A. D, by $100
B. C, by $20
C. D, by $20
D. They cost the same

CORRECT ANSWER

B. C, by $20

Feedback (shown after answering)

C: $1,000. D: $900 + $120 = $1,020. C is $20 cheaper.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Ignores commuting
C: Reverses
D: Does not compute

Type: instruction

GO DEEPER 1 — Comparing rentals beyond the rent · Question 2 of 5

Learn: Extra monthly fees, such as parking, pet rent, or amenity fees, add to yearly housing costs: yearly cost = monthly fee × 12.

A building charges $75 a month for parking. Over a 12-month lease, what does parking cost?

A. $75
B. $87
C. $750
D. $900

CORRECT ANSWER

D. $900

Feedback (shown after answering)

$75 × 12 = $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

A: One month
B: Adds
C: Uses 10 months

Type: instruction

GO DEEPER 1 — Comparing rentals beyond the rent · Question 3 of 5

Learn: Asking about included utilities and extra fees before signing prevents surprise costs.

Which question should Jen ask before signing?

A. How many people applied before me?
B. Is the photo in the listing recent?
C. Which utilities and fees are included in the rent?
D. Will the landlord let me skip the security deposit?

CORRECT ANSWER

C. Which utilities and fees are included in the rent?

Feedback (shown after answering)

Knowing what rent covers prevents surprise costs.

Why each other choice is wrong (misconception it represents)

A: Focuses on competition, not costs
B: Useful, but not about monthly costs
D: Asks to avoid a standard term instead of checking costs

Type: instruction · practical how-to

GO DEEPER 1 — Comparing rentals beyond the rent · Question 4 of 5

Learn: Averaging seasonal bills gives a better monthly budget estimate.

Average utility bills at a unit are $90 in spring, $150 in summer, $180 in winter, and $100 in fall. What is the average monthly utility cost?

A. $90
B. $130
C. $180
D. $520

CORRECT ANSWER

B. $130

Feedback (shown after answering)

($90 + $150 + $180 + $100) ÷ 4 = $130.

Recomputed independently by the build: 130

Why each other choice is wrong (misconception it represents)

A: Uses the lowest
C: Uses the highest
D: Adds without dividing

Type: instruction

GO DEEPER 1 — Comparing rentals beyond the rent · Question 5 of 5

Learn: Roommates split rent and utilities, but a shared lease means shared responsibility.

Which choice is a reasonable way to lower rent costs?

A. Signing a lease you cannot afford and hoping for a raise
B. Paying rent with a cash advance
C. Skipping renters insurance to afford a nicer unit
D. Sharing a larger apartment with a roommate

CORRECT ANSWER

D. Sharing a larger apartment with a roommate

Feedback (shown after answering)

Splitting costs with a roommate can lower housing costs significantly.

Why each other choice is wrong (misconception it represents)

A: Risky
B: Expensive
C: Removes protection

Type: instruction

GO DEEPER 2 — Spotting and reporting rental scams · Question 1 of 5

Learn: Scammers often promise to mail keys and avoid meeting in person.

A "landlord" says, "Send the deposit through a payment app and I'll mail you the keys." What should Jen do?

A. Send it, since apps are safe
B. Refuse and look for another listing
C. Send half to test it
D. Ask a friend to send the deposit instead

CORRECT ANSWER

B. Refuse and look for another listing

Feedback (shown after answering)

Never pay before seeing the unit and verifying the landlord.

Why each other choice is wrong (misconception it represents)

A: Payments to scammers are hard to reverse
C: Still risky
D: Still risky

Type: instruction

GO DEEPER 2 — Spotting and reporting rental scams · Question 2 of 5

Learn: Local governments publish property ownership records.

How can Jen check who owns a property?

A. Ask the person posting the listing to promise
B. Look at the listing's photos
C. Check a social media profile
D. Search local property tax or deed records

CORRECT ANSWER

D. Search local property tax or deed records

Feedback (shown after answering)

Public property records show the owner.

Why each other choice is wrong (misconception it represents)

A: Not verification
B: Easily copied
C: Easily faked

Type: instruction · practical how-to

GO DEEPER 2 — Spotting and reporting rental scams · Question 3 of 5

Learn: A reverse image search can reveal photos copied from other listings.

Jen finds the same photos on another listing with a different address and price. What does that suggest?

A. One listing may be a copied scam
B. Both are definitely real
C. The photos are from a model unit, so both are guaranteed real
D. Both listings are fine since photos can be reused

CORRECT ANSWER

A. One listing may be a copied scam

Feedback (shown after answering)

Copied photos are a common scam sign.

Why each other choice is wrong (misconception it represents)

B: Ignores red flag
C: Assumes
D: Ignores a red flag

Type: instruction

GO DEEPER 2 — Spotting and reporting rental scams · Question 4 of 5

Learn: Reporting helps authorities and websites remove scams.

Where can Jen report a rental scam?

A. The scammer's email address
B. Her school
C. ReportFraud.ftc.gov and the site where it was listed
D. A credit bureau

CORRECT ANSWER

C. ReportFraud.ftc.gov and the site where it was listed

Feedback (shown after answering)

The FTC and the listing site accept scam reports.

Why each other choice is wrong (misconception it represents)

A: Unhelpful
B: Not the right place
D: Not the right place

Type: instruction · practical how-to

GO DEEPER 2 — Spotting and reporting rental scams · Question 5 of 5

Which listing detail is LEAST concerning?

A. Rent far below the area average
B. An owner who is "out of the country"
C. A manager who shows the unit and a lease to review
D. Pressure to pay today to hold it

CORRECT ANSWER

C. A manager who shows the unit and a lease to review

Feedback (shown after answering)

In-person showings and a lease to review are normal and reassuring.

Why each other choice is wrong (misconception it represents)

A: Red flag
B: Red flag
D: Red flag

Type: knowledge check

SET 72 · Renting and Leasing a Home

Rental applications and affordability

MAIN skill: Estimate affordable rent and prepare a rental application

Outcome FL.RENT.72 · National topic: Spending · NJSLS 9.1.12: PB, CP

Learning target: Evaluate housing affordability and the rental application process

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percents of income for housing (5 questions)
  Why: Affordability rules are percents and multiples of income.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Affordability guidelines are percents of income.
- B3 · Math link → G6-S52-M (Grade 6 6.EE.B.7): Solve one-step equations of the form px = q
  Why: Finding maximum rent from "40 × rent ≤ income" solves a one-step equation.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Budgeting for the first apartment (5 questions)
- Go Deeper 2: Credit checks and fair housing (5 questions)

Practical skills beyond the standards: Assembling a rental application; Fair housing rights

Content status: time-sensitive

Source: HUD (Fair Housing Act) — The Fair Housing Act prohibits housing discrimination based on race, color, national origin, religion, sex, familial status, and disability.
https://www.hud.gov/program_offices/fair_housing_equal_opp/fair_housing_act_overview

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 D, B1-Q1 B, B1-Q2 B, B1-Q3 D, B1-Q4 B, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 C, F1-Q5 B, F2-Q1 C, F2-Q2 B, F2-Q3 C, F2-Q4 D, F2-Q5 B

MAIN — Estimate affordable rent and prepare a rental application · Question 1 of 5

Learn: A common affordability guideline: rent of no more than about 30% of gross (before-tax) monthly income. It is a rule of thumb, not a law; your full budget matters too.

A common guideline suggests spending no more than 30% of gross monthly income on rent. Mo earns $3,200 a month before taxes. What is the most rent under that guideline?

A. $96
B. $960
C. $1,067
D. $3,200

CORRECT ANSWER

B. $960

Feedback (shown after answering)

$3,200 × 0.30 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Divides by 3
D: Uses all income

Type: instruction

MAIN — Estimate affordable rent and prepare a rental application · Question 2 of 5

Learn: Landlords often set income requirements, such as "yearly income at least 40× the monthly rent" or "monthly income at least 3× the rent."

Some landlords require yearly gross income of at least 40 times the monthly rent. Rent is $1,200. What yearly income is required?

A. $1,200
B. $14,400
C. $30,000
D. $48,000

CORRECT ANSWER

D. $48,000

Feedback (shown after answering)

$1,200 × 40 = $48,000.

Recomputed independently by the build: 48000

Why each other choice is wrong (misconception it represents)

A: Uses rent
B: Multiplies by 12
C: Uses 25 times

Type: instruction

MAIN — Estimate affordable rent and prepare a rental application · Question 3 of 5

Learn: To find the maximum rent under an income rule, divide yearly income by the multiple.

Mo earns $36,000 a year. Under a "40 times the rent" rule, what is the highest rent he qualifies for?

A. $900
B. $1,200
C. $1,440
D. $3,000

CORRECT ANSWER

A. $900

Feedback (shown after answering)

$36,000 ÷ 40 = $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

B: Uses 30 times
C: Uses 25 times
D: Divides by 12

Type: instruction

MAIN — Estimate affordable rent and prepare a rental application · Question 4 of 5

Learn: Applications usually require photo ID, proof of income (pay stubs or an offer letter), past landlord references, and consent to a credit and background check. An application fee is common.

Which documents does a rental application commonly ask for?

A. A high school diploma and report cards
B. ID, proof of income, rental history, and credit consent
C. A car title and insurance card
D. A list of friends' phone numbers

CORRECT ANSWER

B. ID, proof of income, rental history, and credit consent

Feedback (shown after answering)

Landlords verify identity, income, history, and credit.

Why each other choice is wrong (misconception it represents)

A: Not typical
C: Not typical
D: Not typical

Type: instruction · practical how-to

MAIN — Estimate affordable rent and prepare a rental application · Question 5 of 5

Learn: A guarantor agrees to pay the rent if the tenant does not. Deposit limits depend on state law.

Mo has no rental history and a thin credit file. What might a landlord ask for?

A. Nothing; landlords cannot ask for anything else
B. Proof that he has never borrowed money
C. His Social Security card mailed in
D. A guarantor (cosigner) or a larger deposit, where legal

CORRECT ANSWER

D. A guarantor (cosigner) or a larger deposit, where legal

Feedback (shown after answering)

Guarantors (or deposits within legal limits) reduce the landlord's risk.

Why each other choice is wrong (misconception it represents)

A: Misses common options
B: Misreads a thin file
C: Confuses ID with financial assurance

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 1 of 5

Learn: Percent of an amount = amount × rate as a decimal.

What is 30% of $2,500?

A. $75
B. $750
C. $833
D. $7,500

CORRECT ANSWER

B. $750

Feedback (shown after answering)

$2,500 × 0.30 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Divides by 3
D: Uses 300%

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 2 of 5

Learn: Percent of income = rent ÷ income × 100.

$900 rent on $3,000 monthly income is what percent?

A. 3.3%
B. 30%
C. 33%
D. 90%

CORRECT ANSWER

B. 30%

Feedback (shown after answering)

$900 ÷ $3,000 = 0.30 = 30%.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Arithmetic error
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 3 of 5

Monthly income is $2,800. What is yearly income?

A. $233
B. $2,800
C. $28,000
D. $33,600

CORRECT ANSWER

D. $33,600

Feedback (shown after answering)

$2,800 × 12 = $33,600.

Recomputed independently by the build: 33600

Why each other choice is wrong (misconception it represents)

A: Divides
B: One month
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Percents of income for housing · Question 4 of 5

Learn: Under a "40 times rent" rule, the most rent = yearly income ÷ 40.

Yearly income is $33,600. Dividing by 40 gives what monthly rent limit?

A. $84
B. $840
C. $2,800
D. $1,344,000

CORRECT ANSWER

B. $840

Feedback (shown after answering)

$33,600 ÷ 40 = $840.

Recomputed independently by the build: 840

Why each other choice is wrong (misconception it represents)

A: Divides by 400
C: Divides by 12
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 5 of 5

Learn: The 30% rent rule of thumb is a quick budgeting check. The government's formal "cost-burdened" measure counts total housing costs, including utilities, above 30% of income.

A common rule of thumb flags spending more than 30% of income on rent. Why does that matter?

A. Less money remains for other needs and saving
B. Landlords charge more to such tenants
C. It lowers credit scores automatically each month
D. It is illegal to rent above 30%

CORRECT ANSWER

A. Less money remains for other needs and saving

Feedback (shown after answering)

High housing costs crowd out other needs and saving.

Why each other choice is wrong (misconception it represents)

B: Confuses the term with pricing
C: Confuses rent with credit
D: Invents a rule

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 1 of 5

Learn: Move-in costs often include first month's rent, a security deposit, fees, and moving expenses, all due before or at move-in.

Move-in costs: first month's rent $1,000, security deposit $1,500, and a $50 application fee. How much cash does Mo need?

A. $1,000
B. $1,550
C. $2,500
D. $2,550

CORRECT ANSWER

D. $2,550

Feedback (shown after answering)

$1,000 + $1,500 + $50 = $2,550.

Recomputed independently by the build: 2550

Why each other choice is wrong (misconception it represents)

A: Counts rent only
B: Leaves out rent
C: Leaves out the fee

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 2 of 5

Learn: Months needed = amount needed ÷ monthly saving, rounded up to a whole month.

Mo saves $300 a month toward $2,550 of move-in costs. How many months until he has enough (rounded up)?

A. 9 months
B. 8 months
C. 85 months
D. 3 months

CORRECT ANSWER

A. 9 months

Feedback (shown after answering)

$2,550 ÷ $300 = 8.5, so 9 months.

Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

B: Rounds down and falls short
C: Misplaces a decimal
D: Divides by $1,000

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 3 of 5

Learn: First apartments often need furniture, kitchen basics, and utility deposits or setup fees.

Which expense is often forgotten in a first apartment budget?

A. Rent
B. The lease itself
C. Rent for the first month, which the landlord already listed
D. Furniture, kitchen supplies, and utility setup fees

CORRECT ANSWER

D. Furniture, kitchen supplies, and utility setup fees

Feedback (shown after answering)

One-time setup costs can be large.

Why each other choice is wrong (misconception it represents)

A: Rarely forgotten
B: Not an expense
C: Not the tenant's

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 4 of 5

Learn: Housing share = total housing costs ÷ income × 100.

Mo's take-home pay is $2,500. Rent is $900, utilities $120, renters insurance $15, and internet $50. What share of take-home pay do these housing costs use (nearest whole percent)?

A. 30%
B. 36%
C. 43%
D. 57%

CORRECT ANSWER

C. 43%

Feedback (shown after answering)

$900 + $120 + $15 + $50 = $1,085; $1,085 ÷ $2,500 = 43.4%.

Recomputed independently by the build: 43.4

Why each other choice is wrong (misconception it represents)

A: Uses the guideline
B: Uses rent only
D: Gives what remains

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 5 of 5

Which choice would most lower Mo's housing share?

A. Adding cable TV
B. Finding a roommate to split rent and utilities
C. Taking a bigger unit so a future roommate can join later
D. Paying rent with a credit card

CORRECT ANSWER

B. Finding a roommate to split rent and utilities

Feedback (shown after answering)

Splitting fixed costs is one of the biggest savings available.

Why each other choice is wrong (misconception it represents)

A: Raises costs
C: Raises costs
D: Adds fees and debt

Type: knowledge check

GO DEEPER 2 — Credit checks and fair housing · Question 1 of 5

Learn: Landlords may check credit reports (with permission). Some checks are recorded as inquiries.

A landlord runs a credit check on Mo. Does this affect his credit score?

A. It erases his credit history
B. It always drops his score by 100 points
C. It may appear as an inquiry; it does not reveal income
D. It shows his bank balances and pay to the landlord directly

CORRECT ANSWER

C. It may appear as an inquiry; it does not reveal income

Feedback (shown after answering)

Tenant screening may add an inquiry; reports do not show income or bank balances.

Why each other choice is wrong (misconception it represents)

A: Misunderstands inquiries
B: Overstates the effect
D: Misreads credit reports

Type: instruction

GO DEEPER 2 — Credit checks and fair housing · Question 2 of 5

Learn: The Fair Housing Act prohibits housing discrimination based on race, color, national origin, religion, sex, familial status, and disability. Some exemptions exist, such as certain senior housing.

A landlord refuses to rent to a family because they have young children. Under the federal Fair Housing Act, this is...

A. legal in every building
B. illegal discrimination based on familial status
C. allowed whenever the landlord prefers a quiet building
D. required by fire codes

CORRECT ANSWER

B. illegal discrimination based on familial status

Feedback (shown after answering)

Familial status is a protected class under the Fair Housing Act.

Why each other choice is wrong (misconception it represents)

A: Ignores the law
C: Ignores the law
D: Misreads

Type: instruction

GO DEEPER 2 — Credit checks and fair housing · Question 3 of 5

Learn: HUD and state agencies enforce fair housing laws.

Where can someone report housing discrimination?

A. The IRS
B. The credit bureau that reported his score
C. HUD or the state civil rights agency
D. The landlord's friend

CORRECT ANSWER

C. HUD or the state civil rights agency

Feedback (shown after answering)

HUD and state agencies accept fair housing complaints.

Why each other choice is wrong (misconception it represents)

A: Wrong agency
B: Wrong agency
D: Not an authority

Type: instruction · practical how-to

GO DEEPER 2 — Credit checks and fair housing · Question 4 of 5

Learn: When a landlord takes adverse action based on a consumer report, the applicant must be told and can get a free copy of the report.

A landlord denies Mo because of information in a tenant screening report. What right does Mo have under federal law?

A. None at all
B. To have the landlord approve him anyway
C. To sue the landlord for checking
D. To be told and to get a free copy to dispute errors

CORRECT ANSWER

D. To be told and to get a free copy to dispute errors

Feedback (shown after answering)

Adverse action notices let applicants check and dispute reports.

Why each other choice is wrong (misconception it represents)

A: Ignores FCRA
B: Overstates the right
C: Misreads the right

Type: instruction

GO DEEPER 2 — Credit checks and fair housing · Question 5 of 5

Learn: Under a "monthly income at least 3× rent" rule, the most rent = monthly income ÷ 3.

Mo earns $2,800 a month. A landlord requires monthly income of 3 times the rent. What is the highest rent he qualifies for?

A. $700
B. $933.33
C. $2,800
D. $8,400

CORRECT ANSWER

B. $933.33

Feedback (shown after answering)

$2,800 ÷ 3 ≈ $933.33.

Recomputed independently by the build: 933.333333

Why each other choice is wrong (misconception it represents)

A: Divides by 4
C: Uses income
D: Multiplies

Type: instruction

SET 73 · Renting and Leasing a Home

Reading a lease and security deposits

MAIN skill: Read key lease terms and apply security deposit rules

Outcome FL.RENT.73 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Interpret a lease and explain tenant financial responsibilities including security deposits

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Reading contract terms (5 questions)
  - Why: Lease questions require reading specific terms and applying them.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Deposit caps and fees multiply rent by factors like 1.5.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Move-in and move-out inspections (5 questions)
- Go Deeper 2: Breaking a lease, renewals, and roommates (5 questions)

Practical skills beyond the standards: Reading a lease section by section; Move-in and move-out documentation

Content status: time-sensitive

Source: New Jersey Department of Community Affairs (Truth in Renting) — In New Jersey, a security deposit may not exceed 1.5 times one month's rent, and the landlord must return it with interest, less itemized charges, within 30 days after the tenancy ends. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 A, B1-Q3 A, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 B, F1-Q4 B, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 C, F2-Q4 B, F2-Q5 C

MAIN — Read key lease terms and apply security deposit rules · Question 1 of 5

Learn: A lease lists the rent, due date, grace period, late fees, length of the lease, who pays which utilities, rules (pets, guests, noise), maintenance duties, renewal terms, and what happens if you leave early. Read every section before signing.

A lease says: "Rent $1,100 due on the 1st. Late fee $50 if not received by the 5th." Jen pays on the 7th. What does she owe for that month?

A. $1,050
B. $1,100
C. $1,150
D. $1,200

CORRECT ANSWER

C. $1,150

Feedback (shown after answering)

$1,100 + $50 late fee = $1,150.

Recomputed independently by the build: 1150

Why each other choice is wrong (misconception it represents)

A: Subtracts the fee
B: Ignores the late fee
D: Charges two late fees

Type: instruction · practical how-to

MAIN — Read key lease terms and apply security deposit rules · Question 2 of 5

Learn: A security deposit protects the landlord against unpaid rent or damage beyond normal wear and tear. It is generally returned, minus allowed deductions, after the lease ends. State laws limit amounts and set return deadlines.

A security deposit is...

A. money held to cover unpaid rent or damage beyond normal wear
B. a fee the landlord keeps no matter what condition the unit is in
C. the last month's rent, automatically
D. a payment for the landlord's insurance

CORRECT ANSWER

A. money held to cover unpaid rent or damage beyond normal wear

Feedback (shown after answering)

Deposits are held and returned minus allowed deductions.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

MAIN — Read key lease terms and apply security deposit rules · Question 3 of 5

Learn: New Jersey law caps security deposits at 1.5 months' rent. Other states have different limits.

In New Jersey, a security deposit may not exceed 1.5 times one month's rent. Rent is $1,200. What is the largest deposit allowed?

A. $600
B. $1,200
C. $1,800
D. $2,400

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

$1,200 × 1.5 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses half a month
B: Uses one month
D: Uses two months

Type: instruction · rule as of New Jersey rules as of 2026

MAIN — Read key lease terms and apply security deposit rules · Question 4 of 5

Learn: Normal wear and tear (small nail holes, faded paint) is generally not deducted. Damage beyond that can be. New Jersey requires the landlord to return the deposit with interest, less itemized charges, within 30 days after the lease ends.

Jen's lease ends. Her $1,500 deposit has $200 deducted for a broken door and $0 for small nail holes. In New Jersey, about how much should she get back, and by when?

A. $1,500 within one year
B. $0, because deposits are never returned
C. $1,300 (plus any interest) within 30 days
D. $1,300 whenever the landlord chooses to pay

CORRECT ANSWER

C. $1,300 (plus any interest) within 30 days

Feedback (shown after answering)

$1,500 − $200 = $1,300, plus any interest, with an itemized list, within 30 days in New Jersey.

Recomputed independently by the build: 1300

Why each other choice is wrong (misconception it represents)

A: Ignores the deduction and the deadline
B: Ignores deposit law
D: Ignores the deadline

Type: instruction · rule as of New Jersey rules as of 2026

MAIN — Read key lease terms and apply security deposit rules · Question 5 of 5

Which lease term should Jen check before getting a pet?

A. The renters insurance deductible only
B. The pet policy and any pet deposit or monthly pet fee
C. Only the monthly rent, since pets never change lease terms
D. The parking rules for guests

CORRECT ANSWER

B. The pet policy and any pet deposit or monthly pet fee

Feedback (shown after answering)

Pet rules and fees are set in the lease.

Why each other choice is wrong (misconception it represents)

A: Misses pet terms
C: Ignores pet clauses
D: Unrelated lease term

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Reading contract terms · Question 1 of 5

Learn: The lease term is the length of the agreement.

A lease runs from August 1 to July 31. How long is it?

A. 6 months
B. 11 months
C. 24 months
D. 12 months

CORRECT ANSWER

D. 12 months

Feedback (shown after answering)

August 1 to July 31 is 12 months.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Undercounts
C: Overcounts

Type: instruction

BACKWARD B1 · concept review — Reading contract terms · Question 2 of 5

Learn: Leases assign each bill to the landlord or tenant.

"Tenant pays electricity and gas; landlord pays water." Who pays the water bill?

A. The landlord
B. The tenant who lives there
C. The city
D. Neither

CORRECT ANSWER

A. The landlord

Feedback (shown after answering)

The lease assigns water to the landlord.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Reading contract terms · Question 3 of 5

Learn: A grace period is a short time after a due date during which payment is still accepted without a late fee.

A "grace period" for rent means...

A. days after the due date before a late fee applies
B. a discount for paying early
C. a free month of rent
D. a period at the start of the lease when rent is not owed

CORRECT ANSWER

A. days after the due date before a late fee applies

Feedback (shown after answering)

Grace periods delay late fees for a few days.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Reading contract terms · Question 4 of 5

1.5 times $1,000 is...

A. $150
B. $1,005
C. $1,500
D. $2,500

CORRECT ANSWER

C. $1,500

Feedback (shown after answering)

1.5 × $1,000 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Uses 0.15
B: Adds 5
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Reading contract terms · Question 5 of 5

Why should Jen read a lease BEFORE signing?

A. Leases can be changed by the tenant alone later
B. Signing makes her legally bound to its terms
C. Only the landlord is bound by a lease
D. Leases are not legal documents

CORRECT ANSWER

B. Signing makes her legally bound to its terms

Feedback (shown after answering)

A signed lease is a binding contract.

Why each other choice is wrong (misconception it represents)

A: Believes one party can change a contract
C: Misunderstands contracts
D: Misunderstands contracts

Type: knowledge check · practical how-to

GO DEEPER 1 — Move-in and move-out inspections · Question 1 of 5

Learn: A move-in checklist and dated photos protect your deposit by recording existing damage.

Why should Jen document the unit's condition with dated photos at move-in?

A. To post them online for future renters
B. To ask the landlord to lower the rent right away
C. Because photos replace the need for a lease
D. To show which damage existed before she moved in

CORRECT ANSWER

D. To show which damage existed before she moved in

Feedback (shown after answering)

Records prove pre-existing damage so it is not charged to you.

Why each other choice is wrong (misconception it represents)

A: Not the purpose
B: Not the purpose
C: Misunderstands documentation

Type: instruction · practical how-to

GO DEEPER 1 — Move-in and move-out inspections · Question 2 of 5

Learn: Deductions generally cover damage beyond normal wear and tear, plus unpaid rent.

Which charge is MOST likely to be allowed from a deposit?

A. Small nail holes from hanging pictures
B. Faded paint after three years
C. Replacing a carpet ruined by a pet
D. Minor scuffs on floors

CORRECT ANSWER

C. Replacing a carpet ruined by a pet

Feedback (shown after answering)

Pet damage is beyond normal wear and tear.

Why each other choice is wrong (misconception it represents)

A: Normal wear
B: Normal wear
D: Normal wear

Type: instruction

GO DEEPER 1 — Move-in and move-out inspections · Question 3 of 5

Learn: Landlords need a forwarding address to return deposits and statements.

At move-out, Jen cleans, returns keys, and gives a forwarding address. Why the address?

A. So the landlord can mail her future bills
B. So the landlord can send the deposit and itemized list
C. Because a forwarding address raises the deposit refund
D. To end her renters insurance

CORRECT ANSWER

B. So the landlord can send the deposit and itemized list

Feedback (shown after answering)

A forwarding address ensures the deposit reaches her.

Why each other choice is wrong (misconception it represents)

A: Misreads the purpose
C: Misreads the purpose
D: Confuses separate tasks

Type: instruction · practical how-to

GO DEEPER 1 — Move-in and move-out inspections · Question 4 of 5

Learn: New Jersey requires deposits to be held in an interest-bearing account, with interest credited to the tenant.

Jen's deposit of $1,800 earned 1% interest for one year in New Jersey. About how much interest is owed?

A. $1.80
B. $18
C. $180
D. $1,818

CORRECT ANSWER

B. $18

Feedback (shown after answering)

$1,800 × 0.01 = $18.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses 10%
D: Gives the total

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 1 — Move-in and move-out inspections · Question 5 of 5

Learn: Tenants can pursue unreturned deposits; New Jersey law provides remedies when deposits are wrongfully withheld.

A landlord keeps a deposit without explanation past the legal deadline. What can a New Jersey tenant do?

A. Nothing
B. Post a bad review and wait
C. Take the landlord's property
D. Request it in writing, then use small claims court if needed

CORRECT ANSWER

D. Request it in writing, then use small claims court if needed

Feedback (shown after answering)

Written requests and small claims court are common remedies.

Why each other choice is wrong (misconception it represents)

A: Ignores rights
B: Does not use legal remedies
C: Illegal

Type: instruction · practical how-to

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 1 of 5

Learn: Leaving early can mean paying rent until a new tenant is found or paying an early-termination fee, depending on the lease and state law.

Jen must move 4 months before her 12-month lease ends. Rent is $1,100. If the lease makes her liable for remaining rent until the unit is re-rented, and it takes 2 months to re-rent, how much might she owe?

A. $0
B. $1,100
C. $2,200
D. $4,400

CORRECT ANSWER

C. $2,200

Feedback (shown after answering)

2 × $1,100 = $2,200.

Recomputed independently by the build: 2200

Why each other choice is wrong (misconception it represents)

A: Ignores the lease
B: Charges one month
D: Charges all 4 months

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 2 of 5

Learn: Leases often require advance written notice to end or renew.

Jen's lease renews automatically unless she gives 60 days' written notice. Her lease ends June 30. By about when must she give notice to leave?

A. Early May
B. June 29
C. July 15
D. There is no deadline

CORRECT ANSWER

A. Early May

Feedback (shown after answering)

60 days before June 30 is about May 1.

Why each other choice is wrong (misconception it represents)

B: Too late
C: After the end
D: Ignores the lease

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 3 of 5

Learn: When roommates sign the same lease, each is often responsible for the full rent ("joint and several" liability).

Two roommates sign one lease for $1,600 rent. One stops paying. What can the landlord usually do?

A. Collect only half from each roommate, no matter what
B. Collect from the paying roommate only her half
C. Hold either roommate responsible for the full rent
D. Lower the rent to $800

CORRECT ANSWER

C. Hold either roommate responsible for the full rent

Feedback (shown after answering)

On a joint lease, each tenant can be held responsible for all of the rent.

Why each other choice is wrong (misconception it represents)

A: Ignores joint liability
B: Ignores joint liability
D: Misreads the lease

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 4 of 5

Learn: Percent change = (new − old) ÷ old × 100.

A landlord offers a renewal with rent rising from $1,100 to $1,155. What is the percent increase?

A. 4.8%
B. 5%
C. 10%
D. 55%

CORRECT ANSWER

B. 5%

Feedback (shown after answering)

$55 ÷ $1,100 = 5%.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Divides by the new rent
C: Arithmetic error
D: Uses dollars

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 5 of 5

Learn: Many leases require the landlord's written permission to sublet.

Subletting means…

A. the landlord selling the building
B. paying rent late
C. renting your unit to someone else while still the tenant
D. breaking the lease with no notice

CORRECT ANSWER

C. renting your unit to someone else while still the tenant

Feedback (shown after answering)

Subletting puts another person in your unit under your lease; check the lease first.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

SET 74 · Renting and Leasing a Home

Tenant responsibilities, rights, and renters insurance

MAIN skill: Explain tenant duties and rights and evaluate renters insurance
Outcome FL.RENT.74 · National topic: Managing Risk · NJSLS 9.1.12: RM, PB
Learning target: Explain tenant responsibilities and the purpose of renters insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Premiums and deductibles (5 questions)
  Why: Renters insurance questions depend on distinguishing a premium from a deductible.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Claim payments subtract deductibles; premiums multiply by months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Choosing renters insurance coverage (5 questions)
- Go Deeper 2: Tenant rights and when to get help (5 questions)

Practical skills beyond the standards: Requesting repairs in writing; Creating a home inventory

Content status: time-sensitive
Source: New Jersey Department of Community Affairs (Truth in Renting) — In New Jersey, a security deposit may not exceed 1.5 times one month's rent, and the landlord must return it with interest, less itemized charges, within 30 days after the tenancy ends. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 B, F1-Q3 A, F1-Q4 D, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 1 of 5

Learn: A landlord's insurance covers the building, not tenants' belongings. Renters insurance covers your personal property (for theft, fire, and other listed causes) and liability if someone is injured in your home or you damage others' property. It often costs about $10–$25 a month.

Jen's belongings are stolen from her apartment. The landlord has building insurance. Which policy covers HER belongings?

A. Her own renters insurance policy
B. The landlord's building insurance
C. The city's emergency fund
D. Her car insurance, for anything inside a home

CORRECT ANSWER

A. Her own renters insurance policy

Feedback (shown after answering)

Tenant belongings are covered only by the tenant's renters insurance.

Why each other choice is wrong (misconception it represents)

B: Covers the building, not tenant property
C: Not insurance
D: Generally not

Type: instruction

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 2 of 5

Learn: A premium is what you pay for the policy. A deductible is the amount you pay toward a claim before insurance pays the rest.

Jen's renters policy costs $16 a month with a $500 deductible. A fire destroys $4,000 of her belongings (covered). How much does the insurer pay?

A. $500
B. $3,500
C. $3,984
D. $4,000

CORRECT ANSWER

B. $3,500

Feedback (shown after answering)

$4,000 − $500 deductible = $3,500.

Recomputed independently by the build: 3500

Why each other choice is wrong (misconception it represents)

A: Gives the deductible
C: Subtracts the premium
D: Ignores the deductible

Type: instruction

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 3 of 5

Learn: Tenants generally must pay rent on time, keep the unit clean, avoid damage, follow the lease, and report repairs. Landlords generally must keep the unit safe and livable (heat, water, structural repairs) and follow notice rules.

Which is usually the TENANT's responsibility?

A. Replacing the building's roof
B. Fixing a broken furnace or a leaking water heater herself
C. Paying the building's property tax
D. Keeping the unit clean and reporting problems promptly

CORRECT ANSWER

D. Keeping the unit clean and reporting problems promptly

Feedback (shown after answering)

Tenants keep the unit clean and report problems.

Why each other choice is wrong (misconception it represents)

A: Landlord
B: Landlord
C: Landlord

Type: instruction

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 4 of 5

Learn: Landlords must keep homes habitable, including heat. Tenants should report problems in writing and keep records. State law sets remedies if repairs are not made.

In winter, Jen's heat stops working. What should she do FIRST?

A. Stop paying rent immediately
B. Notify the landlord in writing and keep a copy
C. Hire a contractor and deduct any cost she chooses
D. Wait until spring

CORRECT ANSWER

B. Notify the landlord in writing and keep a copy

Feedback (shown after answering)

A written notice creates a record and starts the repair process.

Why each other choice is wrong (misconception it represents)

A: Can violate the lease without proper steps
C: May not follow legal procedures
D: Unsafe

Type: instruction · practical how-to

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 5 of 5

Over a year, how much does a $16-per-month renters policy cost?

A. $16
B. $160
C. $192
D. $1,920

CORRECT ANSWER

C. $192

Feedback (shown after answering)

$16 × 12 = $192, often far less than replacing belongings.

Recomputed independently by the build: 192

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses 10 months
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Premiums and deductibles · Question 1 of 5

Learn: The premium is the price of insurance, paid monthly or yearly. The deductible is what you pay out of pocket on a claim before insurance pays.

What is an insurance PREMIUM?

A. The amount paid regularly to keep the policy
B. The amount the policyholder pays toward each claim first
C. The maximum the insurer pays
D. A refund from the insurer

CORRECT ANSWER

A. The amount paid regularly to keep the policy

Feedback (shown after answering)

The premium is the regular cost of the policy.

Why each other choice is wrong (misconception it represents)

B: Describes a deductible
C: Describes a limit
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Premiums and deductibles · Question 2 of 5

What is a DEDUCTIBLE?

A. The monthly cost of the policy
B. The most the insurer will pay
C. The amount you pay on a claim before insurance pays
D. A bonus the insurer pays you when you file no claims

CORRECT ANSWER

C. The amount you pay on a claim before insurance pays

Feedback (shown after answering)

The deductible comes out of your pocket on each claim.

Why each other choice is wrong (misconception it represents)

A: Describes a premium
B: Confuses with the policy limit
D: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Premiums and deductibles · Question 3 of 5

Learn: Insurance pays the loss minus the deductible.

A covered $1,200 loss with a $250 deductible is paid how?

A. Insurance pays $1,200
B. You pay $250; insurance pays $950
C. You pay $950; insurance pays $250
D. You pay $1,200

CORRECT ANSWER

B. You pay $250; insurance pays $950

Feedback (shown after answering)

$1,200 − $250 = $950 paid by insurance.

Recomputed independently by the build: 950

Why each other choice is wrong (misconception it represents)

A: Ignores deductible
C: Swaps
D: Ignores coverage

Type: instruction

BACKWARD B1 · concept review — Premiums and deductibles · Question 4 of 5

Learn: Taking on more cost per claim (higher deductible) usually lowers the premium.

Which choice usually LOWERS the premium?

A. Choosing a much lower deductible
B. Adding more coverage
C. Filing more claims
D. Choosing a higher deductible

CORRECT ANSWER

D. Choosing a higher deductible

Feedback (shown after answering)

Higher deductible → lower premium.

Why each other choice is wrong (misconception it represents)

A: Raises premium
B: Raises premium
C: Can raise premium

Type: instruction

BACKWARD B1 · concept review — Premiums and deductibles · Question 5 of 5

Which loss is MOST likely covered by renters insurance?

A. A laptop stolen in a break-in
B. Wear on old furniture over years
C. The building's cracked foundation
D. A planned vacation

CORRECT ANSWER

A. A laptop stolen in a break-in

Feedback (shown after answering)

Theft of personal property is a typical covered loss.

Why each other choice is wrong (misconception it represents)

B: Not a sudden loss
C: Landlord's
D: Not a loss

Type: knowledge check

GO DEEPER 1 — Choosing renters insurance coverage · Question 1 of 5

Learn: A home inventory, a list of belongings with values, helps choose coverage and file claims.

Jen lists her belongings: electronics $2,500, furniture $1,800, clothes $1,500, other $1,200. How much personal property coverage does she need at minimum?

A. $1,800
B. $2,500
C. $5,800
D. $7,000

CORRECT ANSWER

D. $7,000

Feedback (shown after answering)

$2,500 + $1,800 + $1,500 + $1,200 = $7,000.

Recomputed independently by the build: 7000

Why each other choice is wrong (misconception it represents)

A: Uses furniture only
B: Uses electronics only
C: Leaves out clothes

Type: instruction · practical how-to

GO DEEPER 1 — Choosing renters insurance coverage · Question 2 of 5

Learn: Policies may pay replacement cost (new item) or actual cash value (replacement cost minus depreciation). Replacement cost policies usually cost more.

"Replacement cost" coverage pays to replace items with new ones. "Actual cash value" pays...

A. double the original price, to cover the cost of shopping
B. what the items were worth after depreciation
C. the item's original price
D. the price of a used item of any age

CORRECT ANSWER

B. what the items were worth after depreciation

Feedback (shown after answering)

Actual cash value subtracts depreciation.

Why each other choice is wrong (misconception it represents)

A: Overstates coverage
C: Describes replacement cost
D: Misreads depreciation

Type: instruction

GO DEEPER 1 — Choosing renters insurance coverage · Question 3 of 5

Learn: Actual cash value = today's replacement cost − depreciation. Replacement cost coverage pays the full replacement cost instead.

A 4-year-old TV would cost $1,000 to replace with a similar new one today. The policy figures its depreciation at 60%. Under actual cash value, before the deductible, what is it worth?

A. $400
B. $600
C. $940
D. $1,000

CORRECT ANSWER

A. $400

Feedback (shown after answering)

$1,000 × (1 − 0.60) = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Gives the depreciation
C: Subtracts 60 dollars
D: Gives replacement cost

Type: instruction

GO DEEPER 1 — Choosing renters insurance coverage · Question 4 of 5

Learn: Liability coverage helps pay if you are legally responsible for injuring someone or damaging their property.

A guest slips in Jen's apartment and is hurt. Which part of renters insurance may help?

A. Personal property coverage
B. Loss-of-use coverage
C. Nothing; insurance never covers injuries
D. Liability coverage

CORRECT ANSWER

D. Liability coverage

Feedback (shown after answering)

Liability coverage addresses injuries to others.

Why each other choice is wrong (misconception it represents)

A: Covers belongings
B: Covers temporary housing
C: Misses liability coverage

Type: instruction

GO DEEPER 1 — Choosing renters insurance coverage · Question 5 of 5

Learn: Loss-of-use coverage pays extra living costs when a covered event makes your home unlivable.

After a covered fire, Jen must stay in a hotel for 2 weeks. Which coverage may help pay?

A. Liability coverage for injuries to guests
B. The landlord's security deposit
C. Loss of use (additional living expenses)
D. Health insurance

CORRECT ANSWER

C. Loss of use (additional living expenses)

Feedback (shown after answering)

Loss-of-use pays temporary living costs.

Why each other choice is wrong (misconception it represents)

A: Others' injuries
B: Confuses a deposit with insurance
D: Covers medical costs, not housing

Type: instruction

GO DEEPER 2 — Tenant rights and when to get help · Question 1 of 5

Learn: In most states, including New Jersey, landlords must go through the court eviction process; lockouts and utility shutoffs to force tenants out are generally illegal.

Can a landlord in most states change the locks to force a tenant out without a court order?

A. Yes, any time the rent is even one day past due
B. No; self-help evictions are generally illegal
C. Yes, with one day's notice
D. Yes, if the lease allows it

CORRECT ANSWER

B. No; self-help evictions are generally illegal

Feedback (shown after answering)

Evictions require court process; lockouts are generally illegal.

Why each other choice is wrong (misconception it represents)

A: Untrue in most states
C: Believes notice replaces a court order
D: Believes leases override eviction law

Type: instruction

GO DEEPER 2 — Tenant rights and when to get help · Question 2 of 5

Learn: Leases and state or local laws usually require reasonable notice before non-emergency entry.

A landlord wants to enter Jen's apartment for a non-emergency repair. What is generally expected?

A. No notice at any time
B. A full month's written notice before every visit, even emergencies
C. Reasonable advance notice, as set by law or the lease
D. Permission from the city

CORRECT ANSWER

C. Reasonable advance notice, as set by law or the lease

Feedback (shown after answering)

Non-emergency entry generally requires reasonable notice.

Why each other choice is wrong (misconception it represents)

A: Usually not allowed
B: Overstates
D: Confuses entry rules

Type: instruction

GO DEEPER 2 — Tenant rights and when to get help · Question 3 of 5

Learn: New Jersey publishes a "Truth in Renting" guide explaining tenant and landlord rights; landlords of most rental units must give tenants a copy.

Where can a New Jersey tenant learn about rights and responsibilities?

A. A national rental website's general tips page online
B. The landlord's own rules sheet
C. A national renters insurance ad
D. New Jersey's official "Truth in Renting" guide

CORRECT ANSWER

D. New Jersey's official "Truth in Renting" guide

Feedback (shown after answering)

The state guide explains New Jersey tenant rights.

Why each other choice is wrong (misconception it represents)

A: Unreliable
B: Not a neutral source
C: Not an official source

Type: instruction · practical how-to

GO DEEPER 2 — Tenant rights and when to get help · Question 4 of 5

Learn: Eviction cases have deadlines. Legal aid organizations offer free or low-cost help.

Jen receives an eviction notice she believes is wrong. Which step is MOST important?

A. Respond by the deadline and seek legal aid
B. Ignore it
C. Move out immediately without responding to it
D. Stop paying rent

CORRECT ANSWER

A. Respond by the deadline and seek legal aid

Feedback (shown after answering)

Responding on time protects rights.

Why each other choice is wrong (misconception it represents)

B: Can lead to default judgment
C: Gives up rights
D: Weakens her position

Type: instruction · practical how-to

GO DEEPER 2 — Tenant rights and when to get help · Question 5 of 5

Learn: Some landlords and rent-reporting services report on-time rent payments to credit bureaus.

Paying rent on time is reported to credit bureaus by some landlords or services. Why can that help Jen?

A. It erases older late payments
B. It lowers next year's rent
C. It guarantees approval for a mortgage when she buys a home
D. It can add positive payment history to her credit file

CORRECT ANSWER

D. It can add positive payment history to her credit file

Feedback (shown after answering)

On-time rent reported to bureaus can strengthen credit history.

Why each other choice is wrong (misconception it represents)

A: Overstates the effect
B: Confuses credit with rent pricing
C: Overstates

Type: instruction

SET 75 · Mortgages and Homeownership

Renting versus owning, and what a mortgage is

MAIN skill: Compare renting and owning and explain the parts of a mortgage

Outcome FL.HOME.75 · National topic: Managing Credit · NJSLS 9.1.12: CDM, PB

Learning target: Compare renting and buying a home and explain how a mortgage works

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal, interest, and collateral in home loans (5 questions)
  Why: Mortgage questions build on knowing principal, interest, and collateral from earlier loan sets.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Down payments are percents of the price.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Loan amounts and equity are differences.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Down payments and their effects (5 questions)
- Go Deeper 2: The true cost of renting versus owning (5 questions)

Practical skills beyond the standards: Rent-versus-buy comparison

Content status: stable

Source: CFPB (Buying a House) — Mortgage payments often include principal, interest, property taxes, and homeowners insurance (PITI); private mortgage insurance is usually required with less than 20% down on a conventional loan. https://www.consumerfinance.gov/owning-a-home/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 B, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 C, F1-Q1 C, F1-Q2 B, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 B

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 1 of 5

Learn: A mortgage is a loan used to buy a home. The home is collateral: if the borrower does not repay, the lender can foreclose (take and sell the home). Mortgages usually last 15 or 30 years and are repaid with monthly payments of principal and interest.

What is a mortgage?

A. A monthly rent payment to a landlord
B. Insurance that protects a home and its contents from fire
C. A loan to buy a home, with the home as collateral
D. A savings account for a down payment

CORRECT ANSWER

C. A loan to buy a home, with the home as collateral

Feedback (shown after answering)

A mortgage is a home loan secured by the home.

Why each other choice is wrong (misconception it represents)

A: Confuses mortgage with rent
B: Confuses with homeowners insurance
D: Confuses with saving

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 2 of 5

Learn: The down payment is the part of the price paid up front in cash. The rest is borrowed: loan (principal) = price − down payment.

The Lees buy a $300,000 home with a 20% down payment. How much do they borrow?

A. $60,000
B. $240,000
C. $300,000
D. $360,000

CORRECT ANSWER

B. $240,000

Feedback (shown after answering)

Down payment: $300,000 × 0.20 = $60,000. Loan: $240,000.

Recomputed independently by the build: 240000

Why each other choice is wrong (misconception it represents)

A: Gives the down payment
C: Ignores the down payment
D: Adds the down payment

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 3 of 5

Learn: Owning can build equity, the part of the home you own (value − mortgage balance), and gives stability and control. Renting offers flexibility and fewer responsibilities: landlords handle major repairs and you can move more easily.

Which is an advantage of OWNING compared with renting?

A. No repair or maintenance costs
B. Payments can build equity (ownership) over time
C. No property taxes
D. It is easier to move on short notice when owning

CORRECT ANSWER

B. Payments can build equity (ownership) over time

Feedback (shown after answering)

Equity grows as the loan is paid down and if the home rises in value.

Why each other choice is wrong (misconception it represents)

A: Owners pay repairs
C: Owners pay property taxes
D: Renting is usually easier

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 4 of 5

Learn: Equity = home value − mortgage balance.

A home is worth $320,000, and the mortgage balance is $230,000. What is the owner's equity?

A. $90,000
B. $230,000
C. $320,000
D. $550,000

CORRECT ANSWER

A. $90,000

Feedback (shown after answering)

$320,000 − $230,000 = $90,000.

Recomputed independently by the build: 90000

Why each other choice is wrong (misconception it represents)

B: Gives the balance
C: Gives the value
D: Adds

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 5 of 5

Which situation favors RENTING over buying?

A. Expecting to move for a new job within two years
B. Planning to stay in one town for 15 years
C. Having saved a large down payment and emergency fund
D. Wanting to renovate freely

CORRECT ANSWER

A. Expecting to move for a new job within two years

Feedback (shown after answering)

Buying and selling costs make owning expensive for short stays.

Why each other choice is wrong (misconception it represents)

B: Favors buying
C: Favors buying
D: Favors buying

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 1 of 5

Learn: Principal is the amount borrowed. Interest is the cost of borrowing. Collateral is property the lender can take if the loan is not repaid.

The Lees buy a $300,000 home with a $60,000 down payment and borrow the rest. What is the principal of their mortgage?

A. $60,000
B. $240,000
C. $300,000
D. $360,000

CORRECT ANSWER

B. $240,000

Feedback (shown after answering)

$300,000 − $60,000 = $240,000 borrowed.

Recomputed independently by the build: 240000

Why each other choice is wrong (misconception it represents)

A: Gives the down payment
C: Uses the home's price, including the down payment
D: Adds the down payment

Type: instruction

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 2 of 5

What is the collateral for a mortgage?

A. The home being bought
B. The buyer's car
C. The buyer's savings account
D. The buyer's future salary

CORRECT ANSWER

A. The home being bought

Feedback (shown after answering)

The home secures the mortgage.

Why each other choice is wrong (misconception it represents)

B: Not for a mortgage
C: Not usually
D: Confuses income with collateral

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 3 of 5

Learn: Foreclosure is the legal process by which a lender takes a home after the borrower stops paying.

What can a lender do if a mortgage is not repaid?

A. Forgive the loan automatically
B. Take the borrower's retirement account
C. Raise the interest rate on a fixed loan
D. Foreclose and sell the home

CORRECT ANSWER

D. Foreclose and sell the home

Feedback (shown after answering)

Foreclosure lets the lender recover the loan.

Why each other choice is wrong (misconception it represents)

A: Misunderstands default
B: Confuses collateral
C: Misreads fixed-rate terms

Type: instruction

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 4 of 5

20% of $250,000 is...

A. $5,000
B. $50,000
C. $200,000
D. $500,000

CORRECT ANSWER

B. $50,000

Feedback (shown after answering)

$250,000 × 0.20 = $50,000.
Recomputed independently by the build: 50000

Why each other choice is wrong (misconception it represents)

A: Uses 2%
C: Gives the remainder
D: Uses 200%

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 5 of 5

Which word means the part of a home you truly own?

A. Escrow
B. Premium
C. Equity
D. Lien

CORRECT ANSWER

C. Equity

Feedback (shown after answering)

Equity = value − what you owe.

Why each other choice is wrong (misconception it represents)

A: Account for taxes and insurance
B: Insurance cost
D: Lender's claim

Type: knowledge check

GO DEEPER 1 — Down payments and their effects · Question 1 of 5

Learn: A smaller down payment means a larger loan, usually higher payments and more interest, and often mortgage insurance.

With 10% down on a $300,000 home, how much is borrowed?

A. $30,000
B. $240,000
C. $270,000
D. $330,000

CORRECT ANSWER

C. $270,000

Feedback (shown after answering)

$300,000 − $30,000 = $270,000.

Recomputed independently by the build: 270000

Why each other choice is wrong (misconception it represents)

A: Down payment
B: Uses 20% down
D: Adds

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 2 of 5

Learn: The extra monthly cost of borrowing more = larger payment − smaller payment.

At 6.5% for 30 years, a $240,000 loan has a $1,516.96 payment and a $270,000 loan has a $1,706.58 payment. How much more per month does the smaller down payment cost?

A. $170.66
B. $189.62
C. $1,706.58
D. $30,000

CORRECT ANSWER

B. $189.62

Feedback (shown after answering)

$1,706.58 − $1,516.96 = $189.62.

Recomputed independently by the build: 189.62

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
C: Gives the larger payment
D: Gives the extra borrowing

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 3 of 5

Learn: Low-down-payment programs make buying possible sooner but raise costs.

Some loan programs allow down payments as low as 3–3.5%. What is a trade-off?

A. A smaller loan, because the bank covers the missing down payment
B. A larger loan, higher payments, and usually mortgage insurance
C. No closing costs are charged
D. Property taxes disappear

CORRECT ANSWER

B. A larger loan, higher payments, and usually mortgage insurance

Feedback (shown after answering)

Borrowing more raises costs and often requires mortgage insurance.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
C: Invents a benefit
D: Invents a benefit

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 4 of 5

Learn: Months to save = goal ÷ monthly saving.

The Lees want 20% down on a $300,000 home and save $1,000 a month. Starting from $0, how many months to save the down payment?

A. 20 months
B. 300 months
C. 60 months
D. 6 months

CORRECT ANSWER

C. 60 months

Feedback (shown after answering)

$60,000 ÷ $1,000 = 60 months.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Uses the full price
D: Divides by $10,000

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 5 of 5

Learn: Buyers usually need cash for closing costs and should keep an emergency reserve.

Besides the down payment, what other cash do buyers usually need at closing?

A. Closing costs and reserves
B. The full purchase price in cash
C. Nothing else
D. A year of property taxes only

CORRECT ANSWER

A. Closing costs and reserves

Feedback (shown after answering)

Closing costs plus reserves are needed beyond the down payment.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Understates
D: Incomplete

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 1 of 5

Learn: Part of a mortgage payment (principal) builds equity, which is like saving. Comparing renting and owning fairly separates costs that are spent from money that builds ownership.

Rent is $1,800 a month. An owner's total monthly cost is $2,400 (mortgage, tax, insurance, upkeep), of which $500 is principal that builds equity. What is the owner's monthly cost NOT counting principal?

A. $500
B. $1,800
C. $1,900
D. $2,400

CORRECT ANSWER

C. $1,900

Feedback (shown after answering)

$2,400 − $500 = $1,900 of costs that do not build equity.

Recomputed independently by the build: 1900

Why each other choice is wrong (misconception it represents)

A: Gives principal
B: Gives rent
D: Ignores equity

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 2 of 5

Learn: Selling a home involves costs such as agent commissions, which have often been around 5–6% but are negotiable.

Selling a $300,000 home with 6% agent commissions costs how much in commissions?

A. $1,800
B. $6,000
C. $18,000
D. $180,000

CORRECT ANSWER

C. $18,000

Feedback (shown after answering)

$300,000 × 0.06 = $18,000.

Recomputed independently by the build: 18000

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
B: Uses 2%
D: Uses 60%

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 3 of 5

Learn: Transaction costs at purchase and sale are large compared with the equity built in a short time.

Why can buying be costly for someone who sells after only two years?

A. Homes always lose value during their first two years
B. Buying and selling costs may exceed equity gained
C. Mortgages cannot be paid off early
D. Owners pay no interest early in the loan

CORRECT ANSWER

B. Buying and selling costs may exceed equity gained

Feedback (shown after answering)

Transaction costs are spread over few years, raising the yearly cost of owning.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
C: Usually untrue
D: Reverses amortization

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 4 of 5

Learn: Renting vs owning depends on many factors; neither is always better.

A renter invests the $600 a month an owner would spend extra. What matters for which option builds more wealth?

A. Only the rent amount
B. Only the mortgage rate
C. Neither renting nor owning can ever build any wealth
D. Investment returns, home price changes, and costs

CORRECT ANSWER

D. Investment returns, home price changes, and costs

Feedback (shown after answering)

Both can build wealth; the outcome depends on returns, prices, and costs.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Too narrow
C: Overgeneralizes

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 5 of 5

Learn: Rent-vs-buy calculators combine prices, rates, taxes, and time.

Which tool helps compare renting and buying for a specific situation?

A. A mortgage payment calculator alone
B. A rent-versus-buy calculator with local costs
C. A tax refund estimator from a tax-filing website
D. A home value estimate for one house

CORRECT ANSWER

B. A rent-versus-buy calculator with local costs

Feedback (shown after answering)

A rent-vs-buy calculator uses your own numbers.

Why each other choice is wrong (misconception it represents)

A: Ignores the cost of renting
C: Partly relevant at most
D: Ignores both sets of costs

Type: instruction · practical how-to

SET 76 · Mortgages and Homeownership

Mortgage payments and loan terms

MAIN skill: Compare monthly payments and total interest for different mortgage terms and rates

Outcome FL.HOME.76 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Compare mortgage terms, rates, and total costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments times months (5 questions)
  - Why: Mortgage totals are payment × number of payments; students must count months correctly.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Totals multiply a decimal payment by the number of payments.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Comparing loans subtracts and multiplies money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Using the mortgage payment formula (5 questions)
- Go Deeper 2: Shopping for a mortgage rate (5 questions)

Practical skills beyond the standards: Comparing 15- and 30-year mortgages; Evaluating discount points

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 C, B1-Q3 C, B1-Q4 A, B1-Q5 A, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 B, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 1 of 5

Learn: Total paid on a mortgage = monthly payment × number of payments. Total interest = total paid − amount borrowed. On long loans, interest can exceed the original loan.

A $240,000 mortgage at 6.5% for 30 years has a principal-and-interest payment of $1,516.96. What is the total of all 360 payments?

A. $18,203.52
B. $240,000.00
C. $255,600.00
D. $546,105.60

CORRECT ANSWER

D. $546,105.60

Feedback (shown after answering)

$1,516.96 × 360 = $546,105.60.

Recomputed independently by the build: 546105.6

Why each other choice is wrong (misconception it represents)

A: Uses 12 payments
B: Ignores interest
C: Adds one year of interest

Type: instruction

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 2 of 5

A $240,000 loan's 360 monthly payments total $546,105.60. How much interest is paid over 30 years?

A. $15,600.00
B. $240,000.00
C. $306,105.60
D. $546,105.60

CORRECT ANSWER

C. $306,105.60

Feedback (shown after answering)

$546,105.60 − $240,000 = $306,105.60.
Recomputed independently by the build: 306105.6

Why each other choice is wrong (misconception it represents)

A: Uses one year of interest
B: Gives the loan
D: Gives total paid

Type: knowledge check

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 3 of 5

Learn: Shorter terms have higher monthly payments but much less total interest, and often lower rates.

A $240,000 loan at 6.0% for 15 years has a $2,025.26 payment, totaling $364,546.80. Compared with the 30-year loan ($306,105.60 of interest), how much interest does the 15-year loan save?

A. $508.30
B. $124,546.80
C. $181,558.80
D. $306,105.60

CORRECT ANSWER

C. $181,558.80

Feedback (shown after answering)

15-year interest: $364,546.80 − $240,000 = $124,546.80. Savings: $306,105.60 − $124,546.80 = $181,558.80.

Recomputed independently by the build: 181558.8

Why each other choice is wrong (misconception it represents)

A: Compares monthly payments
B: Gives the 15-year interest
D: Gives the 30-year interest

Type: instruction

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 4 of 5

Why might a buyer choose the 30-year loan despite its higher total interest?

A. It always has a lower interest rate than a 15-year loan
B. It is paid off sooner
C. Its lower monthly payment is easier to afford
D. It has lower total interest because payments are smaller

CORRECT ANSWER

C. Its lower monthly payment is easier to afford

Feedback (shown after answering)

The 30-year loan trades higher total cost for a lower monthly payment.

Why each other choice is wrong (misconception it represents)

A: Usually reversed
B: Reverses
D: Confuses payment size with total cost

Type: knowledge check

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 5 of 5

Learn: Small rate differences change monthly payments and, over many years, total interest a lot.

A $200,000, 30-year loan costs $1,330.60 a month at 7% and $1,199.10 at 6%. How much does the 1-point lower rate save per month?

A. $13.15
B. $131.50
C. $1,199.10
D. $2,000.00

CORRECT ANSWER

B. $131.50

Feedback (shown after answering)

$1,330.60 − $1,199.10 = $131.50 a month (over $47,000 across 30 years).

Recomputed independently by the build: 131.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the lower payment
D: Uses 1% of the loan

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 1 of 5

Learn: Monthly payments = 12 × years.

How many monthly payments are in a 30-year mortgage?

A. 30
B. 300
C. 360
D. 3,600

CORRECT ANSWER

C. 360

Feedback (shown after answering)

30 × 12 = 360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Arithmetic error
D: Adds a zero

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 2 of 5

How many monthly payments are in a 15-year mortgage?

A. 15
B. 150
C. 180
D. 360

CORRECT ANSWER

C. 180

Feedback (shown after answering)

15 × 12 = 180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Arithmetic error
D: Uses 30 years

Type: knowledge check

BACKWARD B1 · concept review — Payments times months · Question 3 of 5

Learn: Total paid = payment × number of payments.

A payment of $1,000 for 180 months totals...

A. $1,180
B. $18,000
C. $180,000
D. $1,800,000

CORRECT ANSWER

C. $180,000

Feedback (shown after answering)

$1,000 × 180 = $180,000.

Recomputed independently by the build: 180000

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 4 of 5

Learn: Interest = total paid − amount borrowed.

Borrowed $150,000; total paid $250,000. What was the interest?

A. $100,000
B. $150,000
C. $250,000
D. $400,000

CORRECT ANSWER

A. $100,000

Feedback (shown after answering)

$250,000 − $150,000 = $100,000.

Recomputed independently by the build: 100000

Why each other choice is wrong (misconception it represents)

B: Principal
C: Total
D: Adds

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 5 of 5

Learn: Repaying the same amount in fewer months means larger payments.

Which usually has the HIGHER monthly payment for the same loan amount and rate?

A. A 15-year loan
B. A 30-year loan
C. They are equal
D. It depends only on the down payment

CORRECT ANSWER

A. A 15-year loan

Feedback (shown after answering)

Fewer months means larger payments.

Why each other choice is wrong (misconception it represents)

B: Lower payment
C: Ignores term
D: Ignores the effect of term

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 1 of 5

Learn: Monthly mortgage payments use the same formula as other installment loans, with the monthly rate r = annual note (interest) rate ÷ 12 and n = number of monthly payments. A mortgage APR also includes fees, so it is not the rate used in this formula.

The payment formula is M = P · r ÷ (1 − (1 + r)^(−n)). For a 30-year loan with a 6.5% interest (note) rate, what are r and n?

A. r = 0.065; n = 30
B. r = 6.5; n = 360
C. r = 0.005417; n = 30
D. r = 0.065 ÷ 12 ≈ 0.005417; n = 360

CORRECT ANSWER

D. r = 0.065 ÷ 12 ≈ 0.005417; n = 360

Feedback (shown after answering)

Monthly rate = annual interest rate ÷ 12; 30 years = 360 months.

Why each other choice is wrong (misconception it represents)

A: Uses yearly values
B: Uses the percent
C: Uses years for n

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 2 of 5

Learn: Evaluate the formula with a calculator: find r = annual interest rate ÷ 12 and n = 360, compute (1 + r)^(−n), then the payment.

Using the formula, what is the monthly principal-and-interest payment on $240,000 at a 5.5% interest rate for 30 years (nearest cent)?

A. $666.67
B. $1,100.00
C. $1,362.69
D. $1,516.96

CORRECT ANSWER

C. $1,362.69

Feedback (shown after answering)

r ≈ 0.0045833, n = 360; M ≈ $1,362.69.

Recomputed independently by the build: 1362.693603

Why each other choice is wrong (misconception it represents)

A: Ignores interest
B: Uses one month of interest
D: Uses 6.5%

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 3 of 5

Learn: Comparing terms at the same rate shows the monthly cost of paying off faster.

A 15-year loan of $240,000 at 6.5% has a payment of $2,090.66. How much more is this per month than the 30-year payment of $1,516.96?

A. $573.70
B. $1,516.96
C. $2,090.66
D. $3,607.62

CORRECT ANSWER

A. $573.70

Feedback (shown after answering)

$2,090.66 − $1,516.96 = $573.70.

Recomputed independently by the build: 573.7

Why each other choice is wrong (misconception it represents)

B: Gives the 30-year payment
C: Gives the 15-year payment
D: Adds

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 4 of 5

Learn: Interest saved = difference in total paid (the principal is the same).

At the same 6.5% rate, the 15-year loan totals $376,318.80 and the 30-year loan $546,105.60. How much interest does the 15-year loan save?

A. $573.70
B. $136,318.80
C. $169,786.80
D. $240,000.00

CORRECT ANSWER

C. $169,786.80

Feedback (shown after answering)

$546,105.60 − $376,318.80 = $169,786.80.

Recomputed independently by the build: 169786.8

Why each other choice is wrong (misconception it represents)

A: Compares monthly payments
B: Gives the 15-year interest
D: Gives the loan

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 5 of 5

Learn: With any positive interest rate, each payment must cover interest as well as principal.

Which check confirms a calculated payment is reasonable?

A. It is less than the loan ÷ number of months
B. It is more than the loan ÷ number of months
C. It equals the yearly interest
D. It is the same at every rate

CORRECT ANSWER

B. It is more than the loan ÷ number of months

Feedback (shown after answering)

With interest, payments must exceed principal ÷ months.

Why each other choice is wrong (misconception it represents)

A: Impossible with interest
C: Confuses a payment with interest
D: Ignores the rate

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 1 of 5

Learn: Shopping several lenders can lower the rate. Small differences add up over a long loan.

Lender A offers 6.5%; Lender B offers 6.25% on the same $240,000, 30-year loan. Payments are $1,516.96 and $1,477.72. About how much does Lender B save over 30 years?

A. $39.24
B. $470.88
C. $600.00
D. $14,126.40

CORRECT ANSWER

D. $14,126.40

Feedback (shown after answering)

$39.24 × 360 = $14,126.40.

Recomputed independently by the build: 14126.4

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Uses one year
C: Uses 0.25% of the loan

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 2 of 5

Learn: Discount points are prepaid interest: you pay more at closing to get a lower rate.

Paying "points" means paying a fee up front to lower the rate. One point equals 1% of the loan. On $240,000, what is one point?

A. $1
B. $240
C. $2,400
D. $24,000

CORRECT ANSWER

C. $2,400

Feedback (shown after answering)

1% × $240,000 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Uses 0.1%
D: Uses 10%

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 3 of 5

Learn: Break-even months = up-front cost ÷ monthly savings.

One point ($2,400) lowers the payment by $39.24 a month. About how many months until the savings repay the point?

A. About 6 months
B. About 24 months
C. About 360 months
D. About 61 months

CORRECT ANSWER

D. About 61 months

Feedback (shown after answering)

$2,400 ÷ $39.24 ≈ 61 months (about 5 years).

Recomputed independently by the build: 61.16208

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Arithmetic error
C: Uses the full term

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 4 of 5

When is paying points usually a poor choice?

A. When you will keep the loan 30 years
B. When rates are fixed
C. When you expect to sell or refinance before the break-even point
D. When you want a lower rate and will keep the home for many decades

CORRECT ANSWER

C. When you expect to sell or refinance before the break-even point

Feedback (shown after answering)

If you leave before break-even, you never recover the cost.

Why each other choice is wrong (misconception it represents)

A: Usually favorable
B: Not the issue
D: Misreads

Type: knowledge check

GO DEEPER 2 — Shopping for a mortgage rate · Question 5 of 5

Learn: Mortgage rates change frequently. Comparing standardized Loan Estimates gathered at the same time gives a fair comparison.

Why compare Loan Estimates from several lenders on the same day?

A. Rates change daily, so same-day quotes compare fairly
B. Lenders must match each other's rates by law each day
C. It locks the rate with every lender at once
D. Each extra quote lowers your score a lot

CORRECT ANSWER

A. Rates change daily, so same-day quotes compare fairly

Feedback (shown after answering)

Same-day Loan Estimates compare like with like.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses quotes with rate locks
D: Overstates the effect of rate shopping

Type: instruction · practical how-to

SET 77 · Mortgages and Homeownership

Property taxes, insurance, PMI, and escrow

MAIN skill: Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance

Outcome FL.HOME.77 · National topic: Managing Risk · NJSLS 9.1.12: RM, CDM

Learning target: Calculate the full cost of homeownership including taxes, insurance, and mortgage insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Yearly costs as monthly payments (5 questions)
  - Why: Housing budgets convert yearly bills (taxes, insurance) into monthly amounts.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: Yearly taxes and insurance are divided into monthly amounts.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  - Why: PITI adds several monthly costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Property tax in practice (5 questions)
- Go Deeper 2: Removing PMI and insurance choices (5 questions)

Practical skills beyond the standards: Escrow accounts; Removing PMI

Content status: time-sensitive

Source: CFPB (Buying a House) — Mortgage payments often include principal, interest, property taxes, and homeowners insurance (PITI); private mortgage insurance is usually required with less than 20% down on a conventional loan. https://www.consumerfinance.gov/owning-a-home/

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 A, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 B, F1-Q4 B, F1-Q5 A, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 1 of 5

Learn: Monthly housing costs for owners usually include PITI: Principal, Interest, property Taxes, and homeowners Insurance. Taxes and insurance are often billed yearly but budgeted (and often paid) monthly.

A home's property tax is $6,000 a year. How much is that per month?

A. $50
B. $500
C. $600
D. $6,000

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$6,000 ÷ 12 = $500 per month.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Divides by 120
C: Divides by 10
D: Uses the yearly amount

Type: instruction

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 2 of 5

Learn: PITI = principal and interest + monthly property taxes + monthly homeowners insurance.

Principal and interest: $1,516.96. Property tax: $500 a month. Homeowners insurance: $150 a month. What is the monthly PITI?

A. $650.00
B. $1,516.96
C. $2,016.96
D. $2,166.96

CORRECT ANSWER

D. $2,166.96

Feedback (shown after answering)

$1,516.96 + $500 + $150 = $2,166.96.

Recomputed independently by the build: 2166.96

Why each other choice is wrong (misconception it represents)

A: Gives taxes and insurance only
B: Leaves out taxes and insurance
C: Leaves out insurance

Type: instruction

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 3 of 5

Learn: PMI is insurance that protects the LENDER (not you) if you stop paying. It is usually required on conventional loans with less than 20% down and can typically be removed once you reach enough equity.

Lenders usually require private mortgage insurance (PMI) on a conventional loan when the down payment is under 20%. What does PMI protect?

A. The borrower's belongings
B. The borrower's health
C. The house against damage from a fire
D. The lender, if the borrower defaults

CORRECT ANSWER

D. The lender, if the borrower defaults

Feedback (shown after answering)

PMI protects the lender.

Why each other choice is wrong (misconception it represents)

A: Homeowners insurance
B: Health insurance
C: Homeowners insurance

Type: instruction

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 4 of 5

PMI costs 0.5% of a $270,000 loan per year. What is the monthly PMI?

A. $11.25
B. $112.50
C. $135.00
D. $1,350.00

CORRECT ANSWER

B. $112.50

Feedback (shown after answering)

$270,000 × 0.005 = $1,350 a year ÷ 12 = $112.50.

Recomputed independently by the build: 112.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 0.6%
D: Gives yearly PMI

Type: knowledge check

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 5 of 5

Learn: Many lenders collect a monthly amount for taxes and insurance along with the mortgage payment and hold it in escrow, then pay those bills when due.

An escrow account is...

A. a savings account for the down payment
B. an account the lender uses to pay taxes and insurance
C. the seller's profit from the sale
D. a fee for the real estate agent

CORRECT ANSWER

B. an account the lender uses to pay taxes and insurance

Feedback (shown after answering)

Escrow collects and pays taxes and insurance on your behalf.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 1 of 5

Learn: Monthly amount = yearly amount ÷ 12.

A yearly insurance bill is $1,800. What is the monthly amount?

A. $150
B. $180
C. $1,800
D. $21,600

CORRECT ANSWER

A. $150

Feedback (shown after answering)

$1,800 ÷ 12 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Yearly
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 2 of 5

Monthly costs of $500 and $150 add to...

A. $350
B. $650
C. $5,150
D. $75,000

CORRECT ANSWER

B. $650

Feedback (shown after answering)

$500 + $150 = $650.

Recomputed independently by the build: 650

Why each other choice is wrong (misconception it represents)

A: Subtracts
C: Misreads
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 3 of 5

Learn: PITI = principal, interest, taxes, insurance: the four parts of a typical monthly mortgage payment with escrow.

A lender's monthly PITI estimate includes $350 toward the town's yearly bill on the home. Which part of PITI is that?

A. Interest
B. Insurance
C. Taxes
D. Principal

CORRECT ANSWER

C. Taxes

Feedback (shown after answering)

The town's yearly bill on a home is the property tax: the T.

Why each other choice is wrong (misconception it represents)

A: Confuses the town's bill with the cost of borrowing
B: Confuses taxes with insurance
D: Confuses a tax with loan repayment

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 4 of 5

Learn: Homeowners owe property taxes; lenders often collect them through escrow.

Who pays property taxes on an owned home?

A. The homeowner
B. The renter next door
C. The bank, free of charge
D. The seller, for as long as the buyer lives there

CORRECT ANSWER

A. The homeowner

Feedback (shown after answering)

The owner pays, often through escrow.

Why each other choice is wrong (misconception it represents)

B: Not responsible
C: Believes lenders pay taxes
D: Confuses closing prorations with ongoing taxes

Type: instruction

BACKWARD B1 · concept review — Yearly costs as monthly payments · Question 5 of 5

0.5% written as a decimal is...

A. 0.005
B. 0.05
C. 0.5
D. 5

CORRECT ANSWER

A. 0.005

Feedback (shown after answering)

0.5 ÷ 100 = 0.005.

Recomputed independently by the build: 0.005

Why each other choice is wrong (misconception it represents)

B: One place off
C: Not converted
D: Wrong direction

Type: knowledge check

GO DEEPER 1 — Property tax in practice · Question 1 of 5

Learn: Property tax = assessed value × tax rate. Rates vary widely by town and state; New Jersey has some of the highest property taxes in the country.

A town's property tax rate is 2.2% of assessed value. A home is assessed at $350,000. What is the yearly tax?

A. $641.67
B. $770
C. $7,700
D. $77,000

CORRECT ANSWER

C. $7,700

Feedback (shown after answering)

$350,000 × 0.022 = $7,700.

Recomputed independently by the build: 7700

Why each other choice is wrong (misconception it represents)

A: Gives the monthly amount
B: Uses 0.22%
D: Uses 22%

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 2 of 5

Learn: Property tax = assessed value × tax rate. Assessed value can differ from the purchase price. Monthly difference = yearly difference ÷ 12.

Two similar homes are each assessed at $350,000 for property tax. Town X's tax rate is 2.2% of assessed value; Town Y's is 1.4%. How much more per month does Town X cost in taxes?

A. $28.00
B. $233.33
C. $641.67
D. $2,800.00

CORRECT ANSWER

B. $233.33

Feedback (shown after answering)

Difference 0.8% × $350,000 = $2,800 a year ÷ 12 ≈ $233.33.

Recomputed independently by the build: 233.33

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives Town X monthly tax
D: Gives the yearly difference

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 3 of 5

Learn: Escrow payments are adjusted when taxes or insurance change, even with a fixed-rate mortgage.

Property taxes can rise after a home is purchased. Why does this matter for buyers?

A. The loan principal increases
B. The monthly payment through escrow can increase
C. The interest rate rises
D. Nothing changes

CORRECT ANSWER

B. The monthly payment through escrow can increase

Feedback (shown after answering)

Higher taxes raise escrow and the total payment.

Why each other choice is wrong (misconception it represents)

A: Confuses escrow with the loan balance
C: Untrue for fixed loans
D: Ignores escrow

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 4 of 5

Learn: Escrow changes are spread across the year's monthly payments. (If the account came up short, the lender may also add an amount to make up the shortage.)

An escrow analysis finds property taxes rose $600 for the year. There is no shortage or surplus to make up and no insurance change. How much will the monthly payment rise?

A. $5
B. $50
C. $60
D. $600

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$600 ÷ 12 = $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Divides by 10
D: Yearly

Type: instruction

GO DEEPER 1 — Property tax in practice · Question 5 of 5

Learn: Property tax records are public.

Where can a buyer find a home's past property taxes?

A. Public tax records or the listing's tax history
B. The buyer's credit report
C. The seller's own estimate of what the taxes might be
D. The mortgage preapproval letter

CORRECT ANSWER

A. Public tax records or the listing's tax history

Feedback (shown after answering)

Property tax history is public information.

Why each other choice is wrong (misconception it represents)

B: Confuses personal credit with property records
C: Unreliable
D: Preapproval does not list a home's taxes

Type: instruction · practical how-to

GO DEEPER 2 — Removing PMI and insurance choices · Question 1 of 5

Learn: For many conventional loans, borrowers can ask to remove PMI at 80% loan-to-value, and it ends automatically at 78% (based on the original value, under federal rules).

PMI on many conventional loans can be requested off when the balance falls to 80% of the original home value. The home cost $300,000. What balance is that?

A. $60,000
B. $240,000
C. $270,000
D. $300,000

CORRECT ANSWER

B. $240,000

Feedback (shown after answering)

80% × $300,000 = $240,000.

Recomputed independently by the build: 240000

Why each other choice is wrong (misconception it represents)

A: Gives 20%
C: Uses 90%
D: Uses 100%

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 2 of 5

Learn: Total PMI paid = monthly PMI × number of months.

PMI of $112.50 a month is removed after 5 years. How much did the borrower pay in PMI?

A. $562.50
B. $1,350
C. $6,750
D. $67,500

CORRECT ANSWER

C. $6,750

Feedback (shown after answering)

$112.50 × 60 = $6,750.

Recomputed independently by the build: 6750

Why each other choice is wrong (misconception it represents)

A: Five months
B: One year
D: Adds a zero

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 3 of 5

Learn: As with other insurance, a higher deductible usually means a lower premium.

Which homeowners insurance choice LOWERS the premium?

A. Lowering the deductible
B. Adding more coverage
C. Filing frequent small claims
D. Raising the deductible

CORRECT ANSWER

D. Raising the deductible

Feedback (shown after answering)

Higher deductible → lower premium.

Why each other choice is wrong (misconception it represents)

A: Raises premium
B: Raises premium
C: Can raise premium

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 4 of 5

Learn: Flood insurance is usually separate, through the National Flood Insurance Program or private insurers.

Standard homeowners insurance usually does NOT cover which risk?

A. Fire
B. Theft
C. Flood damage
D. Wind from a storm

CORRECT ANSWER

C. Flood damage

Feedback (shown after answering)

Floods generally require separate flood insurance.

Why each other choice is wrong (misconception it represents)

A: Usually covered
B: Usually covered
D: Often covered

Type: instruction

GO DEEPER 2 — Removing PMI and insurance choices · Question 5 of 5

A lender requires flood insurance for homes in high-risk flood zones. Why?

A. To protect the home that secures the loan
B. To lower the buyer's property taxes each year
C. Because all homes flood
D. Because homeowners insurance always covers floods

CORRECT ANSWER

A. To protect the home that secures the loan

Feedback (shown after answering)

Lenders protect their collateral.

Why each other choice is wrong (misconception it represents)

B: Confuses insurance with taxes
C: Overstates
D: Believes standard policies include flood

Type: knowledge check

SET 78 · Mortgages and Homeownership

Closing costs, the Loan Estimate, and the Closing Disclosure

MAIN skill: Estimate closing costs and use mortgage disclosures to compare and verify loans

Outcome FL.HOME.78 · National topic: Managing Credit · NJSLS 9.1.12: CDM, FI
Learning target: Explain mortgage disclosures and the costs of closing on a home

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as percents of a loan (5 questions)
  Why: Closing cost estimates apply percents to large amounts.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Closing costs are often estimated as percents of the loan.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading a Loan Estimate (5 questions)
- Go Deeper 2: Closing day (5 questions)

Practical skills beyond the standards: Comparing Loan Estimates; Preventing closing wire fraud

Content status: time-sensitive
Source: CFPB (Loan Estimate and Closing Disclosure) — Lenders must provide a Loan Estimate within 3 business days of a mortgage application and a Closing Disclosure at least 3 business days before closing. https://www.consumerfinance.gov/owning-a-home/loan-estimate/

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 B, B1-Q3 D, B1-Q4 C, B1-Q5 A, F1-Q1 D, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 1 of 5

Learn: Closing costs are fees paid to complete a home purchase: lender fees, appraisal, title insurance, recording fees, prepaid taxes and insurance, and more. They are in addition to the down payment.

Closing costs often run about 2% to 5% of the loan amount. For a $240,000 loan, what is the range?

A. $480 to $1,200
B. $48,000 to $120,000
C. $2,000 to $5,000
D. $4,800 to $12,000

CORRECT ANSWER

D. $4,800 to $12,000

Feedback (shown after answering)

2% × $240,000 = $4,800; 5% × $240,000 = $12,000.

Recomputed independently by the build: 4800

Why each other choice is wrong (misconception it represents)

A: Uses 0.2% to 0.5%
B: Uses 20% to 50%
C: Uses the percents as thousands

Type: instruction

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 2 of 5

Learn: Federal rules require a standard three-page Loan Estimate within 3 business days of applying. It shows the rate, monthly payment, closing costs, and cash needed to close, making offers easy to compare.

The Lees apply for a mortgage on a Monday. The lender's offices are open Monday through Friday, and there are no holidays that week. By when must the lender deliver or mail their Loan Estimate?

A. Within 3 months
B. By Thursday of that week
C. Only at closing
D. Only after the home is appraised

CORRECT ANSWER

B. By Thursday of that week

Feedback (shown after answering)

Within 3 business days after Monday (Tuesday, Wednesday, Thursday): by Thursday.

Why each other choice is wrong (misconception it represents)

A: Too long
C: Too late
D: Confuses timing with the appraisal

Type: instruction · rule as of CFPB rules as of 2026

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 3 of 5

Learn: The Closing Disclosure lists the final loan terms and costs. Borrowers must receive it at least 3 business days before closing so they can compare it with the Loan Estimate.

The Lees' closing is set for a Friday, with no holidays that week. By which day at the latest must they receive the Closing Disclosure? (For this rule, every day except Sundays and federal holidays counts as a business day.)

A. Thursday, the day before closing
B. Friday, at the closing table
C. Tuesday of that week
D. The Friday one month before

CORRECT ANSWER

C. Tuesday of that week

Feedback (shown after answering)

Counting back 3 business days from Friday: Thursday, Wednesday, Tuesday.

Why each other choice is wrong (misconception it represents)

A: Counts only 1 day
B: Too late to review before signing
D: Overstates the rule

Type: instruction · rule as of CFPB rules as of 2026

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 4 of 5

Learn: Cash to close = down payment + closing costs − credits (such as a seller credit or deposit already paid).

Cash to close: down payment $60,000 + closing costs $7,200 − $2,000 seller credit. How much cash do the Lees need at closing?

A. $60,000
B. $65,200
C. $67,200
D. $69,200

CORRECT ANSWER

B. $65,200

Feedback (shown after answering)

$60,000 + $7,200 − $2,000 = $65,200.

Recomputed independently by the build: 65200

Why each other choice is wrong (misconception it represents)

A: Counts only the down payment
C: Ignores the seller credit
D: Adds the credit

Type: instruction

MAIN — Estimate closing costs and use mortgage disclosures to compare and verify loans · Question 5 of 5

Learn: Comparing the Closing Disclosure with the Loan Estimate catches changes or errors before you sign.

The Closing Disclosure shows a rate of 6.9%, but the Loan Estimate showed 6.5% with the rate locked. What should the Lees do?

A. Sign anyway, since small differences are normal and expected
B. Ignore it, since the Loan Estimate was only a guess
C. Ask the lender to explain or correct it before signing
D. Pay extra to speed up closing

CORRECT ANSWER

C. Ask the lender to explain or correct it before signing

Feedback (shown after answering)

A locked rate should not change; question any differences before closing.

Why each other choice is wrong (misconception it represents)

A: Accepts an error
B: Ignores the rate lock
D: Does not address the error

Type: instruction · practical how-to

BACKWARD B1 · concept review — Fees as percents of a loan · Question 1 of 5

Learn: Percent of an amount = amount × rate as a decimal.

3% of $200,000 is...

A. $600
B. $6,000
C. $60,000
D. $203,000

CORRECT ANSWER

B. $6,000

Feedback (shown after answering)

$200,000 × 0.03 = $6,000.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Adds

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 2 of 5

Learn: Closing costs include appraisal, title, recording, lender fees, and prepaid items.

Which cost is a closing cost?

A. The monthly electric bill
B. An appraisal fee
C. Groceries for move-in day
D. The down payment itself

CORRECT ANSWER

B. An appraisal fee

Feedback (shown after answering)

Appraisal fees are a typical closing cost.

Why each other choice is wrong (misconception it represents)

A: Utility
C: Personal
D: Separate category

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 3 of 5

Learn: An appraisal estimates value; a home inspection checks condition. Lenders require appraisals to protect their collateral.

What does an appraisal do?

A. Inspects the home only for needed repairs and safety issues
B. Sets the property tax rate
C. Guarantees the home will sell for that price later
D. Estimates the home's market value for the lender

CORRECT ANSWER

D. Estimates the home's market value for the lender

Feedback (shown after answering)

Appraisals estimate value for the lender.

Why each other choice is wrong (misconception it represents)

A: Describes an inspection
B: Confuses appraisal with tax assessment
C: Overstates an appraisal

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 4 of 5

Learn: For an office open Monday through Friday, business days exclude weekends and holidays. (Mortgage rules use their own definitions: for the Closing Disclosure waiting period, Saturdays count as business days.)

An office is open Monday through Friday and closed weekends; there are no holidays in this period. Counting from a Monday, how many of its business days are there through the following Wednesday (Tuesday, Wednesday, Thursday, Friday, Monday, Tuesday, Wednesday)?

A. 3
B. 5
C. 7
D. 9

CORRECT ANSWER

C. 7

Feedback (shown after answering)

Seven weekdays from Tuesday to the next Wednesday.

Recomputed independently by the build: 7

Why each other choice is wrong (misconception it represents)

A: Undercounts
B: Undercounts
D: Counts weekend days

Type: instruction

BACKWARD B1 · concept review — Fees as percents of a loan · Question 5 of 5

Why are standard forms like the Loan Estimate helpful?

A. They make offers from different lenders easy to compare
B. They lower home prices
C. They replace the need to read anything else in the file
D. They guarantee approval

CORRECT ANSWER

A. They make offers from different lenders easy to compare

Feedback (shown after answering)

Standard layouts allow side-by-side comparison.

Why each other choice is wrong (misconception it represents)

B: Confuses disclosures with prices
C: Overstates the form
D: Confuses a disclosure with approval

Type: knowledge check

GO DEEPER 1 — Reading a Loan Estimate · Question 1 of 5

Learn: Page 1 of the Loan Estimate shows the projected monthly payment, including principal and interest and estimated escrow for taxes and insurance.

A Loan Estimate shows: loan $240,000; rate 6.5%; monthly principal and interest $1,516.96; estimated escrow $650. What is the estimated total monthly payment?

A. $650.00
B. $1,516.96
C. $1,560.00
D. $2,166.96

CORRECT ANSWER

D. $2,166.96

Feedback (shown after answering)

$1,516.96 + $650 = $2,166.96.

Recomputed independently by the build: 2166.96

Why each other choice is wrong (misconception it represents)

A: Gives escrow only
B: Leaves out escrow
C: Uses one year of interest ÷ 12

Type: instruction · practical how-to

GO DEEPER 1 — Reading a Loan Estimate · Question 2 of 5

Learn: Origination charges are the lender's own fees, which can be negotiated or compared across lenders.

Section A, "Origination Charges," lists $1,200 of lender fees on Estimate 1 and $2,900 on Estimate 2 for the same rate. Which lender charges less to make the loan?

A. Estimate 2, by $1,700
B. They are equal
C. Estimate 1, by $4,100
D. Estimate 1, by $1,700

CORRECT ANSWER

D. Estimate 1, by $1,700

Feedback (shown after answering)

$2,900 − $1,200 = $1,700 less with Estimate 1.

Recomputed independently by the build: 1700

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores fees
C: Adds

Type: instruction · practical how-to

GO DEEPER 1 — Reading a Loan Estimate · Question 3 of 5

Learn: A rate lock holds a quoted rate for a set period while the loan is processed. It depends on its terms: if the loan amount, the borrower's credit or income, or the property value changes, the rate can change.

A Loan Estimate shows "Rate Lock: YES, until 4/15." What does that mean?

A. The rate can never change for the full 30 years
B. The quoted rate is held until April 15, if the loan facts do not change
C. The rate changes daily until closing
D. The house price is locked

CORRECT ANSWER

B. The quoted rate is held until April 15, if the loan facts do not change

Feedback (shown after answering)

A lock holds the rate until its expiration date, as long as the loan and borrower facts stay the same.

Why each other choice is wrong (misconception it represents)

A: Confuses lock with fixed rate
C: Describes unlocked
D: Confuses rate and price

Type: instruction

GO DEEPER 1 — Reading a Loan Estimate · Question 4 of 5

Learn: The Loan Estimate includes comparison figures such as total paid in 5 years and APR.

Which number on page 3 of a Loan Estimate helps compare the total cost of loans over 5 years?

A. The monthly principal and interest only
B. The estimated property value
C. "In 5 Years: total you will have paid"
D. The amount of the down payment

CORRECT ANSWER

C. "In 5 Years: total you will have paid"

Feedback (shown after answering)

The 5-year total compares costs over a common period.

Why each other choice is wrong (misconception it represents)

A: Ignores fees and timing
B: Not a loan cost
D: Not a comparison of loan cost

Type: instruction

GO DEEPER 1 — Reading a Loan Estimate · Question 5 of 5

Learn: The Loan Estimate lists services you can shop for.

Some closing services, like title insurance, can be shopped for. Why does that matter?

A. Comparing providers can lower closing costs
B. It raises the interest rate
C. It is illegal to choose your own title company
D. It eliminates the down payment

CORRECT ANSWER

A. Comparing providers can lower closing costs

Feedback (shown after answering)

Shopping for allowed services can save money.

Why each other choice is wrong (misconception it represents)

B: Confuses services with the rate
C: Misses shopping rights
D: Confuses closing costs with down payment

Type: instruction · practical how-to

GO DEEPER 2 — Closing day · Question 1 of 5

Learn: Closings usually require certified funds or a wire. Wire fraud targeting homebuyers is common, so verify wiring instructions by phone using a known number.

Where does the Lees' cash to close usually need to come from?

A. A personal check written that morning, in all cases
B. Gift cards
C. A cashier's check or verified wire, following verified instructions
D. A credit card cash advance

CORRECT ANSWER

C. A cashier's check or verified wire, following verified instructions

Feedback (shown after answering)

Certified funds or verified wires are standard; verify instructions independently.

Why each other choice is wrong (misconception it represents)

A: Often not accepted
B: Not accepted; scam sign
D: Expensive and often not allowed

Type: instruction · practical how-to

GO DEEPER 2 — Closing day · Question 2 of 5

Learn: Changed wiring instructions are a major red flag for real estate wire fraud.

An email that appears to come from the title company changes the wiring instructions the day before closing. What should the Lees do?

A. Wire to the new account immediately
B. Reply to the email to confirm
C. Split the wire between both accounts to be safe, just in case
D. Call the title company at a known phone number to verify

CORRECT ANSWER

D. Call the title company at a known phone number to verify

Feedback (shown after answering)

Independent verification defeats changed-instruction scams.

Why each other choice is wrong (misconception it represents)

A: Common scam
B: Uses the hacked channel
C: Still risky

Type: instruction · practical how-to

GO DEEPER 2 — Closing day · Question 3 of 5

Learn: Title insurance protects against problems with ownership records, such as unknown liens or errors in the deed.

What is title insurance?

A. Protection against problems with who legally owns the property
B. Insurance against fire
C. Insurance that protects the lender if the buyer stops paying the loan
D. Insurance against defects found after moving in

CORRECT ANSWER

A. Protection against problems with who legally owns the property

Feedback (shown after answering)

Title insurance protects ownership rights.

Why each other choice is wrong (misconception it represents)

B: Homeowners insurance
C: Mortgage insurance
D: Confuses with a home warranty

Type: instruction

GO DEEPER 2 — Closing day · Question 4 of 5

Learn: Lenders often require prepaid amounts to start the escrow account.

At closing, the buyer prepays 6 months of property taxes at $500 a month into escrow. How much is that?

A. $83.33
B. $500
C. $3,000
D. $6,000

CORRECT ANSWER

C. $3,000

Feedback (shown after answering)

6 × $500 = $3,000.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: Divides
B: One month
D: Twelve months

Type: instruction

GO DEEPER 2 — Closing day · Question 5 of 5

Learn: Closing documents: the promissory note is the promise to repay; the mortgage pledges the home as collateral; title insurance protects against ownership problems; the deed transfers ownership and is recorded with the local government.

Which document gives the buyer legal ownership of the home?

A. The promissory note
B. The deed
C. The appraisal
D. The title insurance policy

CORRECT ANSWER

B. The deed

Feedback (shown after answering)

The deed transfers ownership.

Why each other choice is wrong (misconception it represents)

A: The promise to repay the loan
C: An estimate of value
D: Protects ownership but does not transfer it

Type: instruction

SET 79 · Mortgages and Homeownership

Preapproval, creditworthiness, and debt-to-income

MAIN skill: Explain preapproval and calculate housing and total debt-to-income ratios

Outcome FL.HOME.79 · National topic: Managing Credit · NJSLS 9.1.12: CP, CDM

Learning target: Explain how lenders evaluate creditworthiness and how DTI affects borrowing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Ratios of debt to income (5 questions)
  - Why: DTI questions are percent-of-income problems with a subtraction step.
- B2 · Math link → G6-S01-M (Grade 6 6.RP.A.1): Write a ratio that describes the relationship between two quantities
  - Why: DTI is a ratio of payments to income.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Limits are percents of income.
- B4 · Math link → G7-S34-M (Grade 7 7.EE.B.4.b): Solve word problems that lead to inequalities of the form $px + q > r$ or $px + q < r$
  - Why: Affordability rules are inequalities (payments ≤ a percent of income).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: From payment limit to price range (5 questions)
- Go Deeper 2: Improving mortgage readiness (5 questions)

Practical skills beyond the standards: Turning a payment limit into a price range

Content status: time-sensitive

Source: CFPB — A preapproval is a lender's statement of how much it may lend after reviewing documents; it is not a final loan approval.
https://www.consumerfinance.gov/ask-cfpb/whats-the-difference-between-a-prequalification-letter-and-a-preapproval-letter-en-127/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 B, B1-Q4 A, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 C, F2-Q1 D, F2-Q2 B, F2-Q3 A, F2-Q4 D, F2-Q5 B

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 1 of 5

Learn: A preapproval is a lender's statement, after checking income, assets, and credit, of how much it may lend. Sellers take offers with preapproval more seriously. Final approval still depends on the home's appraisal, verified information, and no major changes in finances.

The Lees receive a mortgage preapproval letter. What does it mean?

A. Their loan is now guaranteed, no matter what changes in their finances or the home's value
B. They must buy a home within one week
C. A lender reviewed their finances and may lend up to an amount, subject to final approval
D. The seller must accept their offer

CORRECT ANSWER

C. A lender reviewed their finances and may lend up to an amount, subject to final approval

Feedback (shown after answering)

Preapproval is conditional; final approval comes later.

Why each other choice is wrong (misconception it represents)

A: Confuses a preapproval with guaranteed final approval
B: Invents a rule
D: Overstates preapproval

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 2 of 5

Learn: Lenders look at debt-to-income (DTI). A common guideline: housing costs (PITI) ≤ about 28% of gross monthly income (the "front-end" ratio), and all monthly debt payments including housing ≤ about 36% (the "back-end" ratio). Actual limits vary by loan program.

A lender uses a 28% guideline for housing costs. The Lees' gross monthly income is $8,000. What is the most housing payment (PITI) under that guideline?

A. $800
B. $2,240
C. $2,880
D. $5,760

CORRECT ANSWER

B. $2,240

Feedback (shown after answering)

$8,000 × 0.28 = $2,240.

Recomputed independently by the build: 2240

Why each other choice is wrong (misconception it represents)

A: Uses 10%
C: Uses 36%
D: Gives what remains

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 3 of 5

Learn: Back-end limit: housing + other debt payments ≤ 36% of gross income. Housing allowed = 36% of income − other debt payments.

Using the 36% total-debt guideline on $8,000 gross monthly income, and the Lees' $500 car payment and $300 student loan payment, what is the most they could spend on PITI?

A. $800
B. $2,080
C. $2,240
D. $2,880

CORRECT ANSWER

B. $2,080

Feedback (shown after answering)

36% × $8,000 = $2,880; $2,880 − $800 = $2,080.

Recomputed independently by the build: 2080

Why each other choice is wrong (misconception it represents)

A: Gives other debts
C: Uses the 28% limit
D: Ignores other debts

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 4 of 5

Learn: Lenders price mortgages by risk: credit score, down payment, DTI, and loan type all affect the rate.

Which factor most improves the mortgage rate a borrower is offered?

A. A higher offer on the house
B. A home with many bedrooms
C. A longer closing date
D. A strong credit history and score

CORRECT ANSWER

D. A strong credit history and score

Feedback (shown after answering)

Better credit usually earns a lower rate.

Why each other choice is wrong (misconception it represents)

A: Price does not set the rate
B: Not a rate factor by itself
C: Timing alone does not improve risk

Type: instruction

MAIN — Explain preapproval and calculate housing and total debt-to-income ratios · Question 5 of 5

After preapproval, the Lees finance a new car before closing. What could happen?

A. Their DTI rises and the mortgage approval could change
B. Nothing, since a preapproval is final and cannot change
C. Their rate automatically drops
D. The car loan is ignored until after closing

CORRECT ANSWER

A. Their DTI rises and the mortgage approval could change

Feedback (shown after answering)

New debt before closing can change approval; lenders recheck finances.

Why each other choice is wrong (misconception it represents)

B: Confuses a preapproval with guaranteed final approval
C: Misreads new debt
D: Believes lenders do not recheck

Type: knowledge check

BACKWARD B1 · concept review — Ratios of debt to income · Question 1 of 5

Learn: DTI = monthly debt payments ÷ gross monthly income × 100.

Monthly debts of $1,500 on $6,000 gross income is what DTI?

A. 2.5%
B. 4%
C. 25%
D. 40%

CORRECT ANSWER

C. 25%

Feedback (shown after answering)

$1,500 ÷ $6,000 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides the wrong way
D: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Ratios of debt to income · Question 2 of 5

36% of $5,000 is...

A. $180
B. $1,800
C. $3,200
D. $18,000

CORRECT ANSWER

B. $1,800

Feedback (shown after answering)

$5,000 × 0.36 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses 3.6%
C: Gives the remainder
D: Uses 360%

Type: knowledge check

BACKWARD B1 · concept review — Ratios of debt to income · Question 3 of 5

Learn: DTI counts debt payments (loans, credit card minimums, the new housing payment), not everyday expenses.

Which is included in DTI?

A. Groceries
B. A monthly student loan payment
C. Gas for the car you drive each month
D. Streaming subscriptions

CORRECT ANSWER

B. A monthly student loan payment

Feedback (shown after answering)

Loan payments count in DTI.

Why each other choice is wrong (misconception it represents)

A: Living expense
C: Living expense
D: Living expense

Type: instruction

BACKWARD B1 · concept review — Ratios of debt to income · Question 4 of 5

If income stays the same and debts go down, what happens to DTI?

A. It goes down
B. It goes up
C. It stays the same
D. It becomes 100%

CORRECT ANSWER

A. It goes down

Feedback (shown after answering)

Smaller debts mean a smaller ratio.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Ignores change
D: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Ratios of debt to income · Question 5 of 5

Which income is used for DTI by most mortgage lenders?

A. Net income after a vacation
B. Yearly bonus only
C. Income from gifts
D. Gross monthly income

CORRECT ANSWER

D. Gross monthly income

Feedback (shown after answering)

Lenders use gross monthly income.

Why each other choice is wrong (misconception it represents)

A: Not used
B: Incomplete
C: Not income

Type: knowledge check

GO DEEPER 1 — From payment limit to price range · Question 1 of 5

Learn: To estimate a price range, subtract taxes and insurance from the PITI limit, then find what loan that principal-and-interest payment supports.

The Lees can afford $2,080 PITI. Taxes and insurance are $650 a month. How much is left for principal and interest?

A. $650
B. $1,430
C. $2,080
D. $2,730

CORRECT ANSWER

B. $1,430

Feedback (shown after answering)

$2,080 − $650 = $1,430.

Recomputed independently by the build: 1430

Why each other choice is wrong (misconception it represents)

A: Gives taxes and insurance
C: Ignores taxes and insurance
D: Adds

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 2 of 5

Learn: A payment factor gives the monthly cost per $1,000 borrowed. Loan supported ≈ payment ÷ factor × $1,000.

At 6.5% for 30 years, each $1,000 borrowed costs about $6.32 a month. About how large a loan does a $1,430 payment support?

A. About $9,000
B. About $226,000
C. About $143,000
D. About $350,000

CORRECT ANSWER

B. About $226,000

Feedback (shown after answering)

$1,430 ÷ $6.32 × $1,000 ≈ $226,000.

Recomputed independently by the build: 226265.822785

Why each other choice is wrong (misconception it represents)

A: Multiplies
C: Uses $10 per $1,000
D: Overestimates

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 3 of 5

Learn: Price ≈ loan + down payment.

With a $226,000 loan and $60,000 down, about what home price can the Lees consider?

A. About $226,000
B. About $166,000
C. About $286,000
D. About $60,000

CORRECT ANSWER

C. About $286,000

Feedback (shown after answering)

$226,000 + $60,000 ≈ $286,000.

Recomputed independently by the build: 286000

Why each other choice is wrong (misconception it represents)

A: Ignores the down payment
B: Subtracts
D: Down payment only

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 4 of 5

Learn: Lender approval shows what a lender will lend, not what fits your full budget and goals.

A lender approves the Lees for up to $350,000. Their own budget says about $286,000. Which is wiser?

A. Spend the full approval to get a bigger house
B. Shop within their own budget
C. Borrow more to furnish the house
D. Skip the emergency fund to afford more

CORRECT ANSWER

B. Shop within their own budget

Feedback (shown after answering)

Affordability depends on the whole budget, not just lender limits.

Why each other choice is wrong (misconception it represents)

A: Confuses approval with affordability
C: Adds debt
D: Removes protection

Type: instruction

GO DEEPER 1 — From payment limit to price range · Question 5 of 5

Learn: DTI covers debt payments only.

Which budget item do lender DTI limits ignore but buyers should include?

A. The mortgage payment
B. Property taxes
C. Child care, saving, and home maintenance
D. Student loan payments and the car payment

CORRECT ANSWER

C. Child care, saving, and home maintenance

Feedback (shown after answering)

Real budgets include many costs DTI does not count.

Why each other choice is wrong (misconception it represents)

A: Included
B: Included in PITI
D: Included

Type: instruction

GO DEEPER 2 — Improving mortgage readiness · Question 1 of 5

Learn: Paying off debts lowers monthly payments and DTI.

Which step most quickly improves DTI before applying?

A. Opening new credit cards to raise their total limit
B. Taking a cash advance
C. Financing furniture early
D. Paying off a small loan or credit card balance

CORRECT ANSWER

D. Paying off a small loan or credit card balance

Feedback (shown after answering)

Removing a monthly payment lowers DTI.

Why each other choice is wrong (misconception it represents)

A: Adds risk
B: Adds debt
C: Adds debt

Type: instruction

GO DEEPER 2 — Improving mortgage readiness · Question 2 of 5

Learn: DTI change = payment removed ÷ income × 100.

The Lees pay off a $300 monthly student loan. Their gross income is $8,000. By how many percentage points does their DTI fall?

A. 0.375
B. 3.75
C. 7.5
D. 30

CORRECT ANSWER

B. 3.75

Feedback (shown after answering)

$300 ÷ $8,000 = 3.75% of income.

Recomputed independently by the build: 3.75

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Doubles
D: Uses dollars

Type: instruction

GO DEEPER 2 — Improving mortgage readiness · Question 3 of 5

Learn: Lenders verify income, assets, and debts with documents.

Which documents do lenders typically request for preapproval?

A. Pay stubs, W-2s or tax returns, and bank statements
B. Screenshots of their banking app balances for one day
C. School report cards
D. Restaurant receipts

CORRECT ANSWER

A. Pay stubs, W-2s or tax returns, and bank statements

Feedback (shown after answering)

Income and asset documents support preapproval.

Why each other choice is wrong (misconception it represents)

B: Not used
C: Not used
D: Not used

Type: instruction · practical how-to

GO DEEPER 2 — Improving mortgage readiness · Question 4 of 5

Learn: State housing finance agencies (in New Jersey, the NJ Housing and Mortgage Finance Agency) offer programs for eligible first-time buyers.

Why might first-time buyers look into state housing finance agency programs?

A. They guarantee approval for anyone
B. They pay the whole mortgage for buyers with low income
C. They are for investors only
D. They may offer down payment help or lower-cost loans

CORRECT ANSWER

D. They may offer down payment help or lower-cost loans

Feedback (shown after answering)

State programs can help eligible first-time buyers.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Overstates
C: Misreads the programs

Type: instruction · practical how-to

GO DEEPER 2 — Improving mortgage readiness · Question 5 of 5

Learn: Prequalification is often based on self-reported information. Preapproval involves documentation and a credit check.

What is the difference between prequalification and preapproval?

A. They are identical
B. Prequalification is an estimate; preapproval checks documents
C. Preapproval is a final loan
D. Prequalification requires a down payment

CORRECT ANSWER

B. Prequalification is an estimate; preapproval checks documents

Feedback (shown after answering)

Preapproval is more thorough, though still not final approval.

Why each other choice is wrong (misconception it represents)

A: Ignores differences
C: Overstates
D: Misreads

Type: instruction

SET 80 · Mortgages and Homeownership

Amortization, extra payments, and refinancing

MAIN skill: Follow mortgage amortization and evaluate extra payments and refinancing

Outcome FL.HOME.80 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain mortgage amortization and evaluate prepayment and refinancing decisions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest on a remaining balance (5 questions)
  Why: Amortization repeats "interest on what is still owed."
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Monthly interest is a percent of the balance.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  Why: Amortization steps repeat multiply-subtract-update.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When refinancing makes sense (5 questions)
- Go Deeper 2: Extra payment strategies (5 questions)

Practical skills beyond the standards: Refinance break-even analysis

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 C, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 A, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 B

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 1 of 5

Learn: Mortgages amortize: each payment covers that month's interest (balance × annual rate ÷ 12), and the rest reduces the principal. Early payments are mostly interest.

On a $240,000 mortgage at 6.5%, how much of the FIRST monthly payment is interest?

A. $216.96
B. $1,300.00
C. $1,516.96
D. $15,600.00

CORRECT ANSWER

B. $1,300.00

Feedback (shown after answering)

$240,000 × 0.065 ÷ 12 = $1,300.00.

Recomputed independently by the build: 1300

Why each other choice is wrong (misconception it represents)

A: Gives the principal part
C: Gives the whole payment
D: Uses a full year

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 2 of 5

Learn: Principal paid = payment − interest.

The first payment is $1,516.96, and $1,300.00 of it is interest. How much reduces the principal?

A. $216.96
B. $1,300.00
C. $1,516.96
D. $2,816.96

CORRECT ANSWER

A. $216.96

Feedback (shown after answering)

$1,516.96 − $1,300.00 = $216.96.

Recomputed independently by the build: 216.96

Why each other choice is wrong (misconception it represents)

B: Gives interest
C: Whole payment
D: Adds

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 3 of 5

Learn: Extra payments go directly to principal (if the lender is told), shortening the loan and reducing interest.

Paying an extra $200 a month on a $240,000, 6.5%, 30-year mortgage pays it off in about 262 months instead of 360. About how many years sooner is that?

A. About 8 years sooner
B. About 2 years sooner
C. About 98 years sooner
D. No sooner

CORRECT ANSWER

A. About 8 years sooner

Feedback (shown after answering)

360 − 262 = 98 months ≈ 8.2 years sooner, saving about $96,000 of interest.

Recomputed independently by the build: 8.166667

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Uses months as years
D: Ignores extra payments

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 4 of 5

Learn: Refinancing pays off your current mortgage with a new one. It can lower the rate or payment but involves closing costs.

Refinancing means...

A. adding a second owner to the deed so two people share the payment
B. selling the home to the bank
C. replacing a mortgage with a new loan, often to get a lower rate
D. skipping payments for a year

CORRECT ANSWER

C. replacing a mortgage with a new loan, often to get a lower rate

Feedback (shown after answering)

A refinance is a new loan that replaces the old one.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

MAIN — Follow mortgage amortization and evaluate extra payments and refinancing · Question 5 of 5

Learn: Simple cash-flow break-even = refinancing costs ÷ monthly payment savings. A complete comparison also considers the new loan's term and balance, any costs rolled into the loan, and how long you will keep it.

A refinance costs $4,000 and lowers the monthly payment by $200. Using a simple cash-flow break-even, how many months until the savings cover the cost?

A. 200 months
B. 2 months
C. 20 months
D. 40 months

CORRECT ANSWER

C. 20 months

Feedback (shown after answering)

$4,000 ÷ $200 = 20 months.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Misplaces the decimal
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 1 of 5

Learn: Monthly interest = balance × annual rate ÷ 12.

A balance of $100,000 at 6% per year: what is one month's interest?

A. $50
B. $500
C. $600
D. $6,000

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$100,000 × 0.06 ÷ 12 = $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 0.6%
D: Uses a full year

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 2 of 5

Learn: Payment − interest = principal reduction.

A $700 payment includes $500 of interest. How much reduces the balance?

A. $200
B. $500
C. $700
D. $1,200

CORRECT ANSWER

A. $200

Feedback (shown after answering)

$700 − $500 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

B: Gives interest
C: Ignores interest
D: Adds

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 3 of 5

Learn: Interest is charged on the remaining balance.

After the principal falls, next month's interest is...

A. slightly smaller
B. slightly larger
C. exactly the same
D. zero

CORRECT ANSWER

A. slightly smaller

Feedback (shown after answering)

A smaller balance means less interest.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Ignores the smaller balance
D: Overstates

Type: instruction

BACKWARD B1 · concept review — Interest on a remaining balance · Question 4 of 5

An extra $100 paid toward principal does what to future interest?

A. Raises it
B. Lowers it
C. Has no effect
D. Doubles it

CORRECT ANSWER

B. Lowers it

Feedback (shown after answering)

Less principal means less interest every month after.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores principal
D: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Interest on a remaining balance · Question 5 of 5

Learn: With a fixed-rate mortgage, the principal-and-interest payment is constant; only the split between interest and principal changes.

Over the life of a fixed-rate mortgage, the monthly principal-and-interest payment…

A. rises every month
B. falls every month
C. changes with the stock market
D. stays the same

CORRECT ANSWER

D. stays the same

Feedback (shown after answering)

Fixed-rate P&I stays constant; the mix shifts toward principal.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Confuses interest part with payment
C: Confuses mortgages with investments

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 1 of 5

Learn: Refinancing to a lower rate lowers the payment if the term is similar.

The Lees owe $220,000 with 25 years left at 7%, paying $1,554.91. A new 25-year loan at 6% would cost $1,417.46. What is the monthly savings?

A. $13.75
B. $137.45
C. $1,417.46
D. $2,200.00

CORRECT ANSWER

B. $137.45

Feedback (shown after answering)

$1,554.91 − $1,417.46 = $137.45.

Recomputed independently by the build: 137.45

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the new payment
D: Uses 1% of the balance

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 2 of 5

Learn: A simple cash-flow break-even = closing costs ÷ monthly payment savings. A full comparison also looks at the new loan's term, balance, and how long you will keep it.

A refinance lowers the Lees' monthly payment by $137.45 and has $5,500 of closing costs paid in cash. About how many months until the payment savings cover the closing costs?

A. About 4 months
B. About 137 months
C. About 400 months
D. About 40 months

CORRECT ANSWER

D. About 40 months

Feedback (shown after answering)

$5,500 ÷ $137.45 ≈ 40 months.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses the savings as months
C: Adds a zero

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 3 of 5

Learn: On a simple cash-flow basis, refinancing pays off only if you keep the new loan longer than the break-even time.

The Lees plan to move in 2 years. A refinance has a 40-month simple cash-flow break-even. Should they refinance?

A. Yes; refinancing always saves money
B. Probably not; they would leave before recovering the costs
C. Yes, because rates may fall even more next year, saving more
D. It makes no difference

CORRECT ANSWER

B. Probably not; they would leave before recovering the costs

Feedback (shown after answering)

24 months < 40 months, so they would not recover the costs.

Why each other choice is wrong (misconception it represents)

A: Ignores costs
C: Speculates
D: Ignores timing

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 4 of 5

Learn: Restarting a long term lowers payments partly by stretching repayment.

Refinancing a 30-year loan with 22 years left into a NEW 30-year loan can lower the payment but...

A. always lowers the total interest paid over the whole loan
B. removes all closing costs
C. add years of payments and possibly more total interest
D. pays off the house sooner

CORRECT ANSWER

C. add years of payments and possibly more total interest

Feedback (shown after answering)

A longer new term can raise total interest even at a lower rate.

Why each other choice is wrong (misconception it represents)

A: Confuses a lower payment with less interest
B: Misses refinance costs
D: Reverses

Type: instruction

GO DEEPER 1 — When refinancing makes sense · Question 5 of 5

Learn: Cash-out refinancing turns home equity into cash by taking a larger loan.

A "cash-out" refinance borrows more than is owed and pays the difference in cash. What is a key risk?

A. More debt secured by the home
B. It lowers the balance automatically
C. It cannot affect the home
D. It is free money

CORRECT ANSWER

A. More debt secured by the home

Feedback (shown after answering)

Cash-out adds debt with the home as collateral.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Misses that the home secures the debt
D: Misreads

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 1 of 5

Learn: Biweekly half-payments result in one extra full payment each year, which shortens the loan if applied to principal.

Paying half the monthly payment every two weeks (26 half-payments a year) adds up to how many full payments per year?

A. 12
B. 13
C. 14
D. 26

CORRECT ANSWER

B. 13

Feedback (shown after answering)

26 ÷ 2 = 13 full payments.

Recomputed independently by the build: 13

Why each other choice is wrong (misconception it represents)

A: Assumes no extra
C: Arithmetic error
D: Counts halves as full

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 2 of 5

Learn: Extra principal over several years = extra payment per year × number of years.

One extra payment of $1,516.96 a year goes to principal. Over 10 years, how much extra principal is that?

A. $1,516.96
B. $7,584.80
C. $15,169.60
D. $151,696.00

CORRECT ANSWER

C. $15,169.60

Feedback (shown after answering)

$1,516.96 × 10 = $15,169.60.

Recomputed independently by the build: 15169.6

Why each other choice is wrong (misconception it represents)

A: One year
B: Uses 5 years
D: Adds a zero

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 3 of 5

Learn: Extra mortgage payments "earn" the mortgage rate in saved interest, but money paid in is hard to access without selling or borrowing.

Which statement about prepaying a mortgage is TRUE?

A. It earns a guaranteed stock-market return every year
B. It is always better than any other goal
C. It increases the interest rate
D. It saves interest but ties up cash in the home

CORRECT ANSWER

D. It saves interest but ties up cash in the home

Feedback (shown after answering)

Prepaying is safe saving at the mortgage rate, but less liquid.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Overstates
C: Misunderstands prepayment

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 4 of 5

Learn: Planners often suggest building savings and paying off costlier debts before making extra mortgage payments.

Before prepaying a mortgage, which goals do many planners suggest covering first?

A. An emergency fund and costly debt
B. A new car
C. A vacation
D. Nothing else matters

CORRECT ANSWER

A. An emergency fund and costly debt

Feedback (shown after answering)

Emergency savings and high-rate debt usually come first.

Why each other choice is wrong (misconception it represents)

B: Want
C: Want
D: Ignores priorities

Type: instruction

GO DEEPER 2 — Extra payment strategies · Question 5 of 5

Learn: Biweekly half-payments add up to one extra monthly payment a year. Adding one-twelfth of a payment each month puts the same extra amount toward principal each year, for free. The exact interest saved can differ a little depending on when the servicer applies the money.

Some third-party "biweekly payment services" charge setup fees. What is a cheaper way to get a similar payoff benefit?

A. Paying the setup fee to a private biweekly payment service
B. Adding one-twelfth of a payment to each monthly payment
C. Skipping payments
D. Paying late

CORRECT ANSWER

B. Adding one-twelfth of a payment to each monthly payment

Feedback (shown after answering)

Adding 1/12 of a payment monthly pays the same extra amount each year without fees, for a similar payoff benefit.

Why each other choice is wrong (misconception it represents)

A: Costs money
C: Harmful
D: Harmful

Type: instruction · practical how-to

SET 81 · Mortgages and Homeownership

Fixed or adjustable rates, and the true cost of owning

MAIN skill: Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home

Outcome FL.HOME.81 · National topic: Managing Credit · NJSLS 9.1.12: CDM, PB, RM

Learning target: Compare fixed-rate and adjustable-rate mortgages and the total cost of homeownership

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fixed versus changing rates (5 questions)
  Why: Students must understand that a variable rate can change payments before comparing mortgage types.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Maintenance budgets and rate changes are percents.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Total cost of owning adds many monthly costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Stress-testing an ARM (5 questions)
- Go Deeper 2: Affordability versus approval and long-term costs (5 questions)

Practical skills beyond the standards: Stress-testing an adjustable-rate mortgage; Budgeting for home maintenance

Content status: time-sensitive

Source: CFPB (Adjustable-rate mortgages) — An ARM has an initial fixed period, after which the rate adjusts based on an index plus a margin, subject to caps.
https://www.consumerfinance.gov/ask-cfpb/what-is-an-adjustable-rate-mortgage-arm-en-100/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 D, B1-Q4 A, B1-Q5 C, F1-Q1 C, F1-Q2 C, F1-Q3 B, F1-Q4 D, F1-Q5 C, F2-Q1 C, F2-Q2 D, F2-Q3 B, F2-Q4 D, F2-Q5 B

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 1 of 5

Learn: A fixed-rate mortgage keeps the same interest rate (and principal-and-interest payment) for the whole loan. An adjustable-rate mortgage (ARM) has a fixed rate for an initial period (for example, 5 years in a "5/1" ARM) and then adjusts periodically based on a market index plus a margin, within limits called caps.

Which statement describes a FIXED-rate mortgage?

A. The rate changes every single year with the overall market
B. The payment changes when the Fed changes rates
C. The interest rate stays the same for the whole loan
D. Payments rise every month by law

CORRECT ANSWER

C. The interest rate stays the same for the whole loan

Feedback (shown after answering)

Fixed-rate means the rate never changes.

Why each other choice is wrong (misconception it represents)

A: Describes an ARM after its fixed period
B: Describes adjustable debt
D: Invents a rule

Type: instruction

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 2 of 5

Learn: An ARM's payment can rise when its rate resets. Plan for the possible higher payment, not only the starting one.

A 5/1 ARM starts at 5.5% on $240,000, with a $1,362.69 payment. After 5 years, the balance is $221,905.45 and the rate rises to 7.5%; the new payment is $1,639.86. How much does the payment rise?

A. $2.00
B. $277.17
C. $1,639.86
D. $4,800.00

CORRECT ANSWER

B. $277.17

Feedback (shown after answering)

$1,639.86 − $1,362.69 = $277.17 more per month.

Recomputed independently by the build: 277.17

Why each other choice is wrong (misconception it represents)

A: Uses the rate change
C: Gives the new payment
D: Uses 2% of the loan

Type: instruction

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 3 of 5

Who is an ARM most likely to suit?

A. A buyer who wants a monthly payment that will never change
B. A buyer on a tight budget who plans to stay 30 years
C. A buyer who expects to sell before the fixed period ends
D. A buyer who cannot afford any payment increase

CORRECT ANSWER

C. A buyer who expects to sell before the fixed period ends

Feedback (shown after answering)

ARMs can save money for short stays but carry risk for long stays.

Why each other choice is wrong (misconception it represents)

A: Fits fixed
B: Risky
D: Risky

Type: knowledge check

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 4 of 5

Learn: Owners pay for repairs and upkeep: roofs, appliances, heating systems, painting. Budgeting for these prevents surprises.

A common guideline budgets 1% to 2% of a home's value each year for maintenance and repairs. For a $300,000 home, what yearly range is that?

A. $300 to $600
B. $3,000 to $6,000
C. $30,000 to $60,000
D. $1,000 to $2,000

CORRECT ANSWER

B. $3,000 to $6,000

Feedback (shown after answering)

1% × $300,000 = $3,000; 2% = $6,000.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: Uses 0.1–0.2%
C: Uses 10–20%
D: Uses the percents as thousands

Type: instruction

MAIN — Compare fixed-rate and adjustable-rate mortgages and budget for the full cost of owning a home · Question 5 of 5

The Lees' PITI is $2,166.96. Maintenance is $400 a month, and utilities $300. What is their total monthly cost of owning?

A. $700.00
B. $2,166.96
C. $2,566.96
D. $2,866.96

CORRECT ANSWER

D. $2,866.96

Feedback (shown after answering)

$2,166.96 + $400 + $300 = $2,866.96.

Recomputed independently by the build: 2866.96

Why each other choice is wrong (misconception it represents)

A: Extras only
B: PITI only
C: Leaves out utilities

Type: knowledge check

BACKWARD B1 · concept review — Fixed versus changing rates · Question 1 of 5

Learn: Fixed rates stay the same; variable (adjustable) rates can change.

A savings account rate is "variable." What does that mean?

A. The rate can change over time
B. The rate is locked forever
C. The rate is zero
D. The rate is set by the customer

CORRECT ANSWER

A. The rate can change over time

Feedback (shown after answering)

Variable rates can change.

Why each other choice is wrong (misconception it represents)

B: Describes fixed
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 2 of 5

Learn: When the payment is recalculated at a higher rate for the same balance and term, more interest is due each month, so the payment must rise to keep paying the loan off on time.

A fully amortizing loan's payment is recalculated when its rate rises, with the same balance and remaining term. What happens to the payment?

A. It falls
B. It stays the same
C. It disappears
D. It rises

CORRECT ANSWER

D. It rises

Feedback (shown after answering)

More interest at the same balance and term means a bigger payment.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores the recalculation
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 3 of 5

Learn: ARM caps limit how much the rate can change at each adjustment and over the life of the loan.

What is a rate "cap" on an ARM?

A. A fee for opening the loan
B. A guarantee that the rate will fall later
C. The down payment
D. A limit on how much the rate can rise

CORRECT ANSWER

D. A limit on how much the rate can rise

Feedback (shown after answering)

Caps limit rate increases.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 4 of 5

Learn: In "5/1," the first number is the fixed period in years; the second is how often (years) it adjusts after.

In a "5/1 ARM," what does the 5 mean?

A. The rate is fixed for the first 5 years
B. The rate is 5%
C. The loan lasts 5 years, then the balance is due
D. There are 5 payments

CORRECT ANSWER

A. The rate is fixed for the first 5 years

Feedback (shown after answering)

Fixed for 5 years, then adjusts every 1 year.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Fixed versus changing rates · Question 5 of 5

1% of $250,000 is...

A. $25
B. $250
C. $2,500
D. $25,000

CORRECT ANSWER

C. $2,500

Feedback (shown after answering)

$250,000 × 0.01 = $2,500.

Recomputed independently by the build: 2500

Why each other choice is wrong (misconception it represents)

A: Uses 0.01%
B: Uses 0.1%
D: Uses 10%

Type: knowledge check

GO DEEPER 1 — Stress-testing an ARM · Question 1 of 5

Learn: The lifetime cap sets the maximum rate: start rate + lifetime cap.

An ARM has a 2% cap per adjustment and a 5% lifetime cap over a 5.5% start rate. What is the highest rate it could ever reach?

A. 5.5%
B. 7.5%
C. 10.5%
D. 12.5%

CORRECT ANSWER

C. 10.5%

Feedback (shown after answering)

5.5% + 5% = 10.5%.

Recomputed independently by the build: 10.5

Why each other choice is wrong (misconception it represents)

A: Starting rate
B: Uses one adjustment
D: Adds both caps

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 2 of 5

Learn: The per-adjustment cap limits each change; the lifetime cap limits the total change over the loan.

An ARM starts at 5.5%. Its caps allow at most a 2 percentage point change at the first adjustment and 5 points over the life of the loan. What is the highest rate at the FIRST adjustment?

A. 5.5%
B. 6.5%
C. 7.5%
D. 10.5%

CORRECT ANSWER

C. 7.5%

Feedback (shown after answering)

5.5% + 2 points = 7.5%.

Recomputed independently by the build: 7.5

Why each other choice is wrong (misconception it represents)

A: Assumes no change
B: Uses 1 point
D: Uses the lifetime cap

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 3 of 5

Learn: A "stress test" checks the worst-case payment.

Which question helps decide whether an ARM is safe for a household?

A. Is the starting rate lower than today's 30-year fixed rate?
B. Could we afford the payment at the highest possible rate?
C. Will the lender approve the loan amount?
D. Will rates definitely fall?

CORRECT ANSWER

B. Could we afford the payment at the highest possible rate?

Feedback (shown after answering)

Planning for the worst case protects against payment shock.

Why each other choice is wrong (misconception it represents)

A: Too narrow
C: Approval is not affordability
D: Unknowable

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 4 of 5

Learn: Savings over a period = monthly savings × number of months.

An ARM saves $150 a month for 5 years compared with a fixed loan. How much does it save in that time?

A. $150
B. $750
C. $1,800
D. $9,000

CORRECT ANSWER

D. $9,000

Feedback (shown after answering)

$150 × 60 = $9,000.

Recomputed independently by the build: 9000

Why each other choice is wrong (misconception it represents)

A: One month
B: Five months
C: One year

Type: instruction

GO DEEPER 1 — Stress-testing an ARM · Question 5 of 5

Learn: Months to use up savings = savings ÷ extra monthly cost.

If rates rise and the ARM payment becomes $277 higher than the fixed payment after year 5, how long until the earlier $9,000 savings are used up?

A. About 3 months
B. About 277 months
C. About 32 months
D. Never

CORRECT ANSWER

C. About 32 months

Feedback (shown after answering)

$9,000 ÷ $277 ≈ 32 months.

Recomputed independently by the build: 32.490975

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses the difference as months
D: Ignores the higher payments

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 1 of 5

Learn: PITI covers the mortgage, taxes, and insurance. Owners also pay utilities, maintenance, and sometimes HOA dues.

Which costs of owning are NOT part of PITI?

A. Property taxes
B. Homeowners insurance
C. Repairs, utilities, and HOA dues
D. Principal and interest

CORRECT ANSWER

C. Repairs, utilities, and HOA dues

Feedback (shown after answering)

Utilities, upkeep, and HOA dues are extra.

Why each other choice is wrong (misconception it represents)

A: In PITI
B: In PITI
D: In PITI

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 2 of 5

Learn: Homeowners association dues pay for shared upkeep in condos and some neighborhoods.

A condo has HOA dues of $250 a month. How much is that per year?

A. $250
B. $300
C. $2,500
D. $3,000

CORRECT ANSWER

D. $3,000

Feedback (shown after answering)

$250 × 12 = $3,000.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: One month
B: Misreads
C: Uses 10 months

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 3 of 5

Learn: Setting money aside for repairs avoids borrowing when big systems fail.

A furnace replacement costs $6,000 in year 3. Which fund should pay for it?

A. A credit card cash advance
B. A home maintenance reserve
C. The down payment
D. A payday loan

CORRECT ANSWER

B. A home maintenance reserve

Feedback (shown after answering)

Planned reserves cover big repairs without debt.

Why each other choice is wrong (misconception it represents)

A: Expensive
C: Already spent
D: Expensive

Type: instruction

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 4 of 5

Which statement about lender approval is TRUE?

A. Approval guarantees the home is affordable within your full monthly budget
B. Approval sets property taxes
C. Approval includes maintenance costs
D. Approval shows what a lender will lend, not what fits your whole budget

CORRECT ANSWER

D. Approval shows what a lender will lend, not what fits your whole budget

Feedback (shown after answering)

Only your full budget shows true affordability.

Why each other choice is wrong (misconception it represents)

A: Confuses approval with affordability
B: Confuses lender and tax roles
C: Lenders do not count repairs

Type: knowledge check

GO DEEPER 2 — Affordability versus approval and long-term costs · Question 5 of 5

Learn: Home prices are not guaranteed to rise.

Home values can rise or fall. A home bought for $300,000 falls 10% in value. What is it worth?

A. $30,000
B. $270,000
C. $299,990
D. $330,000

CORRECT ANSWER

B. $270,000

Feedback (shown after answering)

$300,000 × 0.90 = $270,000.

Recomputed independently by the build: 270000

Why each other choice is wrong (misconception it represents)

A: Gives the loss
C: Subtracts 10 dollars
D: Adds

Type: instruction

SET 82 · Buying, Financing, and Owning a Vehicle

The total cost of buying a car

MAIN skill: Find the out-the-door price of a vehicle and check a car before buying

Outcome FL.CAR.82 · National topic: Spending · NJSLS 9.1.12: CDM, PB

Learning target: Calculate the total cost of buying a vehicle and evaluate a used car before purchase

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Taxes and fees on a purchase (5 questions)
  Why: The out-the-door price adds a percent tax and flat fees to the price.
- B2 · Math link → G7-S63-M (Grade 7 7.RP.A.3): Find sales tax and the final cost with tax
  Why: Sales tax on a car is a percent of the price.
- B3 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: Fees and taxes are added to the price to get the out-the-door total.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: New, used, and certified pre-owned (5 questions)
- Go Deeper 2: Negotiating, add-ons, and trade-ins (5 questions)

Practical skills beyond the standards: Finding the out-the-door price; Checking a VIN for recalls; Declining add-ons

Content status: time-sensitive

Source: New Jersey Division of Taxation — The New Jersey sales tax rate has been 6.625% since January 1, 2018.
https://www.nj.gov/treasury/taxation/

Source: FTC (Buying a used car from a dealer) — Dealers must post a Buyers Guide on used cars that says whether the car is sold "as is" or with a warranty; some states add their own used-car warranty rules.
https://consumer.ftc.gov/articles/buying-used-car-dealer

Source: NHTSA (Recalls) — Anyone can check a vehicle identification number (VIN) for open safety recalls for free.
https://www.nhtsa.gov/recalls

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 B, F2-Q1 A, F2-Q2 D, F2-Q3 C, F2-Q4 A, F2-Q5 C

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 1 of 5

Learn: Buying a car costs more than its price. Sales tax is a percent of the price: tax = price × rate as a decimal. New Jersey's rate is 6.625% (0.06625).

Maya buys a car priced at $24,000 in New Jersey, where sales tax is 6.625%. In this example, tax applies to the price only. How much is the sales tax?

A. $159
B. $1,590
C. $15,900
D. $25,590

CORRECT ANSWER

B. $1,590

Feedback (shown after answering)

$24,000 × 0.06625 = $1,590.

Recomputed independently by the build: 1590

Why each other choice is wrong (misconception it represents)

A: Uses 0.6625% instead of 6.625%
C: Uses 66.25% because the decimal moved the wrong way
D: Gives the price plus tax instead of the tax

Type: instruction · rule as of NJ rate 6.625% since 2018-01-01

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 2 of 5

Learn: The out-the-door price is the total you pay to drive away: vehicle price + sales tax + dealer fees + title and registration + any add-ons.

A car is priced at $24,000. Tax is $1,590, the dealer documentation fee is $399, and title and registration cost $260. What is the out-the-door price?

A. $24,000
B. $24,659
C. $25,590
D. $26,249

CORRECT ANSWER

D. $26,249

Feedback (shown after answering)

$24,000 + $1,590 + $399 + $260 = $26,249.

Recomputed independently by the build: 26249

Why each other choice is wrong (misconception it represents)

A: Treats the price tag as the full cost
B: Adds the fees but leaves out the sales tax
C: Adds the tax but leaves out both fees

Type: instruction

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 3 of 5

Learn: A payment depends on price, rate, and loan length. A dealer can meet any payment target by stretching the loan or raising the price, so agree on the total price first, then discuss financing.

A salesperson asks, "What monthly payment do you want?" Why is it smarter to negotiate the out-the-door price?

A. A low payment can hide a higher price
B. Monthly payments include no interest, so they show the true cost
C. Dealers are not allowed to change a price once a payment is named
D. Talking about price is rude, so the payment is a friendlier way to agree

CORRECT ANSWER

A. A low payment can hide a higher price

Feedback (shown after answering)

Negotiate the total price; a longer loan can make a higher price look affordable.

Why each other choice is wrong (misconception it represents)

B: Believes a payment contains no interest
C: Invents a rule that does not exist
D: Lets comfort replace comparison

Type: instruction · practical how-to

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 4 of 5

Learn: Federal rules require dealers to post a Buyers Guide on used cars. It says whether the car comes with a warranty or is sold "as is." Some states, including New Jersey, require a limited warranty on many used cars, so check your state's rules.

In a state with no extra used-car warranty law, a used car's Buyers Guide is checked "AS IS - NO DEALER WARRANTY." What does that mean?

A. The dealer must fix any problem for one full year after the sale
B. The car has passed a state inspection that guarantees its condition
C. The buyer pays for repairs after the sale
D. The price is final and the dealer will not negotiate it at all

CORRECT ANSWER

C. The buyer pays for repairs after the sale

Feedback (shown after answering)

"As is" means no dealer warranty: repairs after the sale are the buyer's cost.

Why each other choice is wrong (misconception it represents)

A: Reverses the meaning of "as is"
B: Confuses a sticker with an inspection
D: Confuses warranty with price

Type: instruction · rule as of FTC Used Car Rule as of 2026

MAIN — Find the out-the-door price of a vehicle and check a car before buying · Question 5 of 5

Learn: A pre-purchase inspection by a mechanic you choose costs a little and can reveal expensive problems. Also take a test drive and check the vehicle history report.

Before buying a used car from a private seller, which step best protects Maya?

A. Pay for an independent mechanic's inspection
B. Trust the seller's description because they have owned it for years
C. Skip the test drive so the car does not get more miles on it
D. Judge the condition from the photos in the online listing

CORRECT ANSWER

A. Pay for an independent mechanic's inspection

Feedback (shown after answering)

An independent inspection finds problems the seller may not mention.

Why each other choice is wrong (misconception it represents)

B: Relies on the seller, who wants a sale
C: Gives up the chance to notice problems
D: Photos hide mechanical problems

Type: instruction · practical how-to

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 1 of 5

Learn: Tax = price × rate. Write the percent as a decimal: 6% = 0.06.

What is 6% sales tax on a $10,000 car?

A. $60
B. $600
C. $6,000
D. $10,600

CORRECT ANSWER

B. $600

Feedback (shown after answering)

$10,000 × 0.06 = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 60%
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 2 of 5

Learn: Price with tax = price + tax, or price × (1 + rate).

A $10,000 car has 6% sales tax. What is the price with tax?

A. $600
B. $10,060
C. $10,600
D. $16,000

CORRECT ANSWER

C. $10,600

Feedback (shown after answering)

$10,000 × 1.06 = $10,600.

Recomputed independently by the build: 10600

Why each other choice is wrong (misconception it represents)

A: Gives the tax only
B: Uses 0.6% tax
D: Uses 60% tax

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 3 of 5

Learn: Buying costs are paid once (tax, title, registration at purchase, dealer fees). Owning costs repeat (insurance, fuel, maintenance).

Which is a one-time cost of buying a car?

A. The monthly insurance premium, paid as long as you drive
B. The title fee
C. Gasoline, bought every week or two
D. Oil changes every few thousand miles

CORRECT ANSWER

B. The title fee

Feedback (shown after answering)

The title fee is paid once when ownership transfers.

Why each other choice is wrong (misconception it represents)

A: Ongoing cost
C: Ongoing cost
D: Ongoing cost

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 4 of 5

Learn: Doc fees are set by the dealer, not the government. Ask about them early and include them in the out-the-door price.

What is a dealer documentation ("doc") fee?

A. A government tax that every buyer must pay to the state
B. A refundable deposit returned after one year
C. A discount for buyers who bring their own documents
D. A dealer charge for paperwork

CORRECT ANSWER

D. A dealer charge for paperwork

Feedback (shown after answering)

A doc fee is the dealer's own charge for processing paperwork.

Why each other choice is wrong (misconception it represents)

A: Confuses a dealer fee with a tax
B: Invents a refund
C: Reverses a fee

Type: instruction

BACKWARD B1 · concept review — Taxes and fees on a purchase · Question 5 of 5

A $5,000 car has $350 tax and $300 in fees. What is the total cost?

A. $650
B. $5,300
C. $5,350
D. $5,650

CORRECT ANSWER

D. $5,650

Feedback (shown after answering)

$5,000 + $350 + $300 = $5,650.

Recomputed independently by the build: 5650

Why each other choice is wrong (misconception it represents)

A: Gives the extras only
B: Leaves out the tax
C: Leaves out the fees

Type: knowledge check

GO DEEPER 1 — New, used, and certified pre-owned · Question 1 of 5

Learn: New cars lose value (depreciate) fastest in the first years. That is why a lightly used car can cost much less than a new one.

A new $30,000 car loses 20% of its value in the first year. What is it worth after one year?

A. $6,000
B. $24,000
C. $29,400
D. $36,000

CORRECT ANSWER

B. $24,000

Feedback (shown after answering)

$30,000 × 0.80 = $24,000.

Recomputed independently by the build: 24000

Why each other choice is wrong (misconception it represents)

A: Gives the loss instead of the value
C: Uses 2% instead of 20%
D: Adds 20% instead of subtracting

Type: instruction

GO DEEPER 1 — New, used, and certified pre-owned · Question 2 of 5

Learn: CPO programs, usually run by manufacturers, inspect late-model used cars and add an extended warranty, at a higher price than a regular used car.

What is a certified pre-owned (CPO) car?

A. A brand-new car that has never been registered to anyone
B. A used car whose price is set by the government
C. A used car inspected and backed by a warranty
D. Any used car sold by a private seller with a receipt

CORRECT ANSWER

C. A used car inspected and backed by a warranty

Feedback (shown after answering)

CPO cars are inspected used cars with an added warranty.

Why each other choice is wrong (misconception it represents)

A: Describes a new car
B: Invents price control
D: Confuses a receipt with certification

Type: instruction

GO DEEPER 1 — New, used, and certified pre-owned · Question 3 of 5

Learn: History reports (from services such as Carfax or AutoCheck) show past accidents, title brands such as salvage or flood, and odometer readings.

A vehicle history report shows a "salvage" title. What does that mean?

A. An insurer once declared it a total loss
B. The car has had only one careful owner since it was new
C. The car was built with recycled parts to protect the environment
D. The car qualifies for a lower sales tax rate

CORRECT ANSWER

A. An insurer once declared it a total loss

Feedback (shown after answering)

A salvage title means the car was once a total loss; it may have hidden damage and lower resale value.

Why each other choice is wrong (misconception it represents)

B: Misreads a warning as a selling point
C: Takes the word literally
D: Invents a tax rule

Type: instruction · practical how-to

GO DEEPER 1 — New, used, and certified pre-owned · Question 4 of 5

Learn: The National Highway Traffic Safety Administration (NHTSA) lets anyone search a 17-character vehicle identification number (VIN) for unrepaired recalls. Recall repairs are free at a dealer.

Where can a buyer check a car's VIN for open safety recalls for free?

A. Only the seller's word, since recall records are private
B. The price on the car's window sticker
C. A paid membership site that sells recall lists
D. NHTSA's recall lookup

CORRECT ANSWER

D. NHTSA's recall lookup

Feedback (shown after answering)

NHTSA's free VIN lookup shows open recalls.

Why each other choice is wrong (misconception it represents)

A: Believes recall records are secret
B: A price is not a recall record
C: The government lookup is free

Type: instruction · practical how-to

GO DEEPER 1 — New, used, and certified pre-owned · Question 5 of 5

Car A: used, $15,000, expected 3-year repairs $2,400. Car B: certified pre-owned, $17,500, warranty limits repairs to about $400. Which has the lower expected 3-year cost?

A. Car B, by $500
B. Car A, by $500
C. Car A, by $2,500
D. Car B, by $2,000

CORRECT ANSWER

B. Car A, by $500

Feedback (shown after answering)

A: $15,000 + $2,400 = $17,400. B: $17,500 + $400 = $17,900. A costs $500 less.
Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
C: Compares only the prices
D: Compares only the repairs

Type: knowledge check

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 1 of 5

Learn: Pricing guides (such as Kelley Blue Book or Edmunds) and listings for similar cars show what buyers typically pay. Getting written quotes from several dealers also helps.

Before visiting a dealer, Maya looks up the car's typical selling price on several pricing guides. Why?

A. To know a fair offer before negotiating
B. Because dealers must sell at the price shown on any website
C. So she can skip reading the purchase contract
D. Because online prices already include her tax and fees

CORRECT ANSWER

A. To know a fair offer before negotiating

Feedback (shown after answering)

Research gives a fair target price to negotiate toward.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Research does not replace reading
D: Guides show vehicle prices, not her total

Type: instruction · practical how-to

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 2 of 5

Learn: Add-ons are extra products sold with a car. They raise the price, and if financed, you pay interest on them too.

The finance office adds an extended warranty ($1,800), VIN etching ($300), and paint protection ($600). How much do these add-ons add to the cost?

A. $1,800
B. $2,100
C. $2,400
D. $2,700

CORRECT ANSWER

D. $2,700

Feedback (shown after answering)

$1,800 + $300 + $600 = $2,700.

Recomputed independently by the build: 2700

Why each other choice is wrong (misconception it represents)

A: Counts only the warranty
B: Leaves out the VIN etching
C: Leaves out the paint protection

Type: instruction

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 3 of 5

Learn: Extended warranties, etching, and protection packages are optional. A dealer may not say they are required to get a loan if they are not.

Can Maya refuse the add-ons?

A. No; federal law requires every buyer to purchase them
B. Only if she pays the full price in cash with no loan
C. Yes; they are optional
D. No; once listed on the worksheet, they cannot be removed

CORRECT ANSWER

C. Yes; they are optional

Feedback (shown after answering)

Add-ons are optional; ask for them to be removed before signing.

Why each other choice is wrong (misconception it represents)

A: Invents a requirement
B: Invents a condition
D: Believes a draft is final

Type: instruction · practical how-to

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 4 of 5

Learn: Equity = value − amount owed. When you owe more than the car is worth, the difference is negative equity ("being underwater").

Sam's current car is worth $6,000 as a trade-in, but Sam still owes $8,000 on its loan. What is Sam's negative equity?

A. $2,000
B. $6,000
C. $8,000
D. $14,000

CORRECT ANSWER

A. $2,000

Feedback (shown after answering)

$8,000 − $6,000 = $2,000 owed beyond the car's value.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

B: Gives the trade-in value
C: Gives the loan balance
D: Adds the two amounts

Type: instruction

GO DEEPER 2 — Negotiating, add-ons, and trade-ins · Question 5 of 5

Learn: Rolling negative equity into a new loan adds the old debt to the new one, so you start the new loan even further underwater.

Sam rolls the $2,000 negative equity into a new $20,000 car loan. How much does Sam now borrow?

A. $18,000
B. $20,000
C. $22,000
D. $26,000

CORRECT ANSWER

C. $22,000

Feedback (shown after answering)

$20,000 + $2,000 = $22,000.

Recomputed independently by the build: 22000

Why each other choice is wrong (misconception it represents)

A: Subtracts the negative equity
B: Ignores the rolled-over balance
D: Adds the trade-in value

Type: instruction

SET 83 · Buying, Financing, and Owning a Vehicle

Auto loans

MAIN skill: Compare auto loans by payment, term, and total interest, and use a preapproval

Outcome FL.CAR.83 · National topic: Managing Credit · NJSLS 9.1.12: CDM, CP

Learning target: Compare the costs of auto financing options using APR, term, and total interest

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Loan basics: principal, APR, and term (5 questions)
  - Why: Comparing auto loans needs the parts of a loan and how they connect.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Total paid is a decimal payment times the number of months.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Finding interest and comparing loans takes several steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing financing offers (5 questions)
- Go Deeper 2: When car loans go wrong (5 questions)

Practical skills beyond the standards: Getting preapproved for an auto loan; Reading a Truth in Lending disclosure

Content status: time-sensitive

Source: CFPB (Auto loans) — Getting preapproved and comparing the total cost of loans helps borrowers; dealers may arrange financing and can add to the rate a lender offers. https://www.consumerfinance.gov/consumer-tools/auto-loans/

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 B, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 C, F1-Q3 B, F1-Q4 D, F1-Q5 D, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 1 of 5

Learn: An auto loan is an installment loan. Total paid = monthly payment × number of months. Interest = total paid − amount borrowed.

A $20,000 auto loan at 6% interest (APR 6%; no other finance charges) for 60 months has a payment of $386.66. How much interest is paid over the loan?

A. $1,200.00
B. $3,199.60
C. $6,000.00
D. $23,199.60

CORRECT ANSWER

B. $3,199.60

Feedback (shown after answering)

$386.66 × 60 = $23,199.60; $23,199.60 − $20,000 = $3,199.60.

Recomputed independently by the build: 3199.6

Why each other choice is wrong (misconception it represents)

A: Takes 6% of $20,000 once
C: Uses 6% for 5 years as simple interest on the full amount
D: Gives the total paid instead of the interest

Type: instruction

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 2 of 5

Learn: A longer term lowers the payment but usually raises the total interest, because the balance is paid down more slowly.

A $20,000 loan at 6% for 72 months has a $331.46 payment and $3,865.12 of interest. The 60-month loan has $3,199.60 of interest. How much more interest does the longer loan cost?

A. $55.20
B. $665.52
C. $3,865.12
D. $7,064.72

CORRECT ANSWER

B. $665.52

Feedback (shown after answering)

$3,865.12 − $3,199.60 = $665.52 more.

Recomputed independently by the build: 665.52

Why each other choice is wrong (misconception it represents)

A: Subtracts the monthly payments
C: Gives the longer loan's interest
D: Adds the two interest amounts

Type: instruction

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 3 of 5

Learn: Dealers can arrange financing by sending your application to lenders, and may add to the rate a lender approves. A preapproval from your own bank or credit union gives you an offer to compare against.

Why should Maya get preapproved by a bank or credit union before visiting a dealer?

A. Because dealers are not allowed to offer any financing at all
B. Because a preapproval guarantees the lowest price on the car
C. Because preapproval removes the need for a credit check later
D. To have a rate to compare

CORRECT ANSWER

D. To have a rate to compare

Feedback (shown after answering)

A preapproval is a benchmark: take the dealer's offer only if it beats it.

Why each other choice is wrong (misconception it represents)

A: Dealers often arrange loans
B: Confuses financing with price
C: Lenders still verify credit

Type: instruction · practical how-to

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 4 of 5

Learn: Cars lose value quickly. On a long loan with little down, the balance falls more slowly than the car's value, so the borrower can be "underwater" for years.

Why can an 84-month loan with a small down payment be risky?

A. Long loans always have lower total interest than short ones
B. The loan can exceed the car's value
C. Lenders cannot repossess cars on loans longer than five years
D. Payments rise every year on a long fixed-rate auto loan

CORRECT ANSWER

B. The loan can exceed the car's value

Feedback (shown after answering)

Slow payoff plus fast depreciation can leave the borrower owing more than the car is worth.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect of term
C: Invents a rule
D: Fixed payments stay the same

Type: instruction

MAIN — Compare auto loans by payment, term, and total interest, and use a preapproval · Question 5 of 5

Learn: A down payment is cash paid up front. Amount borrowed = price − down payment. A larger down payment means a smaller loan and less interest.

Maya puts 20% down on a $25,000 car. How much does she need to borrow (ignoring tax and fees)?

A. $5,000
B. $20,000
C. $22,500
D. $30,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

20% of $25,000 = $5,000; $25,000 − $5,000 = $20,000.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Gives the down payment
C: Uses a 10% down payment
D: Adds 20% instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 1 of 5

Learn: Auto loan terms are given in months. Divide by 12 to get years.

A loan term of 60 months is how many years?

A. 3
B. 5
C. 6
D. 60

CORRECT ANSWER

B. 5

Feedback (shown after answering)

60 ÷ 12 = 5 years.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Guesses a common term
C: Divides by 10
D: Gives the months

Type: instruction

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 2 of 5

Learn: Principal is the amount borrowed. Interest is the cost of borrowing it, shown as an annual percentage rate (APR).

Luis borrows $8,000 for a car and will repay $9,200 in total. What is the principal?

A. $1,200
B. $8,000
C. $9,200
D. $17,200

CORRECT ANSWER

B. $8,000

Feedback (shown after answering)

The principal is the $8,000 borrowed; $1,200 is interest.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

A: Gives the interest
C: Gives the total repaid
D: Adds the amounts

Type: instruction

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 3 of 5

A loan has 48 payments of $300. What is the total paid?

A. $348
B. $1,440
C. $12,000
D. $14,400

CORRECT ANSWER

D. $14,400

Feedback (shown after answering)

48 × $300 = $14,400.

Recomputed independently by the build: 14400

Why each other choice is wrong (misconception it represents)

A: Adds instead of multiplying
B: Drops a zero
C: Guesses the amount borrowed

Type: knowledge check

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 4 of 5

Two loans have the same amount and term. Which costs less in interest?

A. The one with the lower APR
B. The one with the higher APR, since it pays off faster
C. They cost the same because the amount is the same
D. The one from the dealer that is closest to home

CORRECT ANSWER

A. The one with the lower APR

Feedback (shown after answering)

With the same amount and term, a lower APR means less interest.

Why each other choice is wrong (misconception it represents)

B: Believes a higher rate pays off faster
C: Ignores the rate
D: Location is not a cost

Type: knowledge check

BACKWARD B1 · concept review — Loan basics: principal, APR, and term · Question 5 of 5

Learn: Interest = total paid − amount borrowed.

A borrower pays $14,400 in total on a $12,000 loan. How much was interest?

A. $1,200
B. $2,400
C. $14,400
D. $26,400

CORRECT ANSWER

B. $2,400

Feedback (shown after answering)

$14,400 − $12,000 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Halves the difference
C: Gives the total paid
D: Adds

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 1 of 5

Learn: Dealers sometimes offer a choice: a low rate or a cash rebate. Compare the total paid under each.

Offer 1: 0% APR for 60 months on a $30,000 car. Offer 2: a $3,000 rebate, then $27,000 at 5% for 60 months ($509.52 a month). Which costs less in total?

A. Offer 2, by $571.20
B. Offer 2, by $3,000
C. Offer 1, by $571.20
D. Offer 1, by $3,000

CORRECT ANSWER

C. Offer 1, by $571.20

Feedback (shown after answering)

Offer 1: $30,000. Offer 2: $509.52 × 60 = $30,571.20. Offer 1 costs $571.20 less.

Recomputed independently by the build: 571.2

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Counts the rebate but not the interest
D: Ignores the interest paid on Offer 2

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 2 of 5

Learn: Credit history strongly affects the rate offered. Total paid = payment × 60.

On $20,000 for 60 months with no finance charges other than interest, a 6% rate gives $386.66 a month and a 15% rate gives $475.80. How much more does the 15% borrower pay in total?

A. $89.14
B. $1,800.00
C. $5,348.40
D. $28,548.00

CORRECT ANSWER

C. $5,348.40

Feedback (shown after answering)

$475.80 × 60 = $28,548; $386.66 × 60 = $23,199.60; difference $5,348.40.

Recomputed independently by the build: 5348.4

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Takes 9% of $20,000 once
D: Gives the 15% total paid

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 3 of 5

Learn: Most auto loans charge interest on the remaining balance. Paying extra principal shrinks the balance, so later interest is smaller. Check the contract for a prepayment penalty.

On a simple-interest auto loan with no prepayment penalty, what does an extra $100 payment toward principal do?

A. Nothing, because interest is fixed when the loan starts
B. Reduces the interest charged later
C. Raises the next monthly payment by $100
D. Adds a $100 fee to the loan balance

CORRECT ANSWER

B. Reduces the interest charged later

Feedback (shown after answering)

A lower balance means less interest from then on.

Why each other choice is wrong (misconception it represents)

A: Believes interest is set in advance
C: Reverses the effect
D: Confuses a payment with a fee

Type: instruction

GO DEEPER 1 — Comparing financing offers · Question 4 of 5

Learn: Federal Truth in Lending rules require the APR, finance charge (total interest and certain fees), amount financed, and total of payments to be disclosed before you sign.

A Truth in Lending disclosure shows: amount financed $20,000; finance charge $3,199.60. What is the total of payments?

A. $3,199.60
B. $16,800.40
C. $20,000.00
D. $23,199.60

CORRECT ANSWER

D. $23,199.60

Feedback (shown after answering)

$20,000 + $3,199.60 = $23,199.60.

Recomputed independently by the build: 23199.6

Why each other choice is wrong (misconception it represents)

A: Gives the finance charge
B: Subtracts the finance charge
C: Gives the amount financed

Type: instruction · practical how-to

GO DEEPER 1 — Comparing financing offers · Question 5 of 5

A dealer offers 7.5% APR. Maya's credit union preapproved her at 5.9%. What should she do?

A. Accept 7.5% because dealer loans are always cheapest
B. Take both loans to have extra cash
C. Tell the dealer she has no other offer
D. Ask the dealer to beat 5.9% or use the credit union

CORRECT ANSWER

D. Ask the dealer to beat 5.9% or use the credit union

Feedback (shown after answering)

Use the preapproval as leverage or simply use the cheaper loan.

Why each other choice is wrong (misconception it represents)

A: Ignores the comparison
B: Doubles the debt
C: Gives away bargaining power

Type: knowledge check · practical how-to

GO DEEPER 2 — When car loans go wrong · Question 1 of 5

Learn: After a repossession, the lender sells the car. If the sale does not cover the balance plus costs, the borrower may owe the rest (a deficiency).

Jo stops paying and the car is repossessed. Jo owed $12,000; the car sells at auction for $8,000, and repossession costs are $1,000. What does Jo still owe?

A. $0
B. $4,000
C. $5,000
D. $13,000

CORRECT ANSWER

C. $5,000

Feedback (shown after answering)

$12,000 + $1,000 − $8,000 = $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Believes repossession ends the debt
B: Leaves out the repossession costs
D: Adds the costs without subtracting the sale

Type: instruction

GO DEEPER 2 — When car loans go wrong · Question 2 of 5

Learn: A cosigner promises to repay if the borrower does not. Missed payments appear on the cosigner's credit report too.

Alex cosigns a friend's car loan. If the friend stops paying, what happens?

A. Only the friend's credit is affected by any missed payment
B. The lender must forgive the loan because there are two signers
C. The car is transferred to Alex for free
D. Alex must pay

CORRECT ANSWER

D. Alex must pay

Feedback (shown after answering)

A cosigner is fully responsible for the debt.

Why each other choice is wrong (misconception it represents)

A: Ignores the cosigner's liability
B: Invents a rule
C: Confuses liability with ownership

Type: instruction

GO DEEPER 2 — When car loans go wrong · Question 3 of 5

Learn: GAP (guaranteed asset protection) covers the gap between the car's value and the loan balance if the car is totaled or stolen. It is optional and often cheaper from an insurer than a dealer.

A car is totaled. Insurance pays its value, $14,000, but the loan balance is $18,000. How much would GAP coverage pay?

A. $4,000
B. $14,000
C. $18,000
D. $32,000

CORRECT ANSWER

A. $4,000

Feedback (shown after answering)

$18,000 − $14,000 = $4,000.

Recomputed independently by the build: 4000

Why each other choice is wrong (misconception it represents)

B: Repeats the insurance payout
C: Pays the full loan
D: Adds the amounts

Type: instruction

GO DEEPER 2 — When car loans go wrong · Question 4 of 5

Learn: Lenders may offer a deferral or modified plan if contacted early.

Jo expects to miss a car payment next month. What is the best first step?

A. Hide the car so the lender cannot find it
B. Ignore the lender's letters until the problem passes
C. Call the lender before the payment is missed
D. Take a payday loan at very high cost

CORRECT ANSWER

C. Call the lender before the payment is missed

Feedback (shown after answering)

Early contact gives the most options.

Why each other choice is wrong (misconception it represents)

A: Can add costs and legal trouble
B: Lets fees and damage grow
D: Trades one problem for a costlier one

Type: instruction · practical how-to

GO DEEPER 2 — When car loans go wrong · Question 5 of 5

Learn: Total interest = payment × number of months − amount borrowed. The loan with the biggest payment or biggest total repaid is not always the one with the most interest.

Which loan has the highest total INTEREST cost?

A. $20,000 at 4% for 60 months, $368.33 a month
B. $15,000 at 12% for 48 months, $395.01 a month
C. $20,000 at 6% for 36 months, with $608.44 a month
D. $18,000 at 7% for 60 months, $356.42 a month

CORRECT ANSWER

B. $15,000 at 12% for 48 months, $395.01 a month

Feedback (shown after answering)

$395.01 × 48 = $18,960.48; − $15,000 = $3,960.48 of interest, the most of the four.

Why each other choice is wrong (misconception it represents)

A: Largest total repayment ($22,099.80) but interest only $2,099.80
C: Highest payment, but interest only $1,903.84
D: Interest $3,385.20

Type: instruction

SET 84 · Buying, Financing, and Owning a Vehicle

The cost of owning a car

MAIN skill: Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car

Outcome FL.CAR.84 · National topic: Spending · NJSLS 9.1.12: PB, CDM

Learning target: Estimate the total cost of owning and operating a vehicle, including depreciation

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Unit costs of driving (5 questions)
Why: Ownership costs use rates: miles per gallon, cost per gallon, and cost per month.

B2 · Math link → G7-S01-M (Grade 7 7.RP.A.1): Compute unit rates associated with ratios of fractions
Why: Fuel economy and cost per mile are unit rates.

B3 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
Why: Depreciation is often modeled as a constant percent decrease each year.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Modeling depreciation (5 questions)

Go Deeper 2: Comparing total cost of ownership (5 questions)

Practical skills beyond the standards: Building a car repair fund; Comparing fuel and electric costs

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 B, F1-Q4 C, F1-Q5 B, F2-Q1 C, F2-Q2 A, F2-Q3 B, F2-Q4 D, F2-Q5 A

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 1 of 5

Learn: Fuel cost = (miles ÷ miles per gallon) × price per gallon. First find the gallons used, then multiply by the price.

Maya drives 12,000 miles a year in a car that gets 30 miles per gallon. Gas costs $3.50 a gallon. What is her yearly fuel cost?

A. $400
B. $1,050
C. $1,400
D. $42,000

CORRECT ANSWER

C. $1,400

Feedback (shown after answering)

12,000 ÷ 30 = 400 gallons; 400 × $3.50 = $1,400.

Recomputed independently by the build: 1400

Why each other choice is wrong (misconception it represents)

A: Gives the gallons, not the dollars
B: Uses 40 miles per gallon
D: Multiplies miles by price

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 2 of 5

Learn: Depreciation is the loss in a car's value. A common model takes the same percent each year: value = price × (1 − rate)^years.

A car bought for $30,000 loses 15% of its value each year. What is it worth after 2 years?

A. $8,325
B. $21,000
C. $21,675
D. $25,500

CORRECT ANSWER

C. $21,675

Feedback (shown after answering)

$30,000 × 0.85 = $25,500; $25,500 × 0.85 = $21,675.

Recomputed independently by the build: 21675

Why each other choice is wrong (misconception it represents)

A: Gives the total loss
B: Subtracts 15% of the original price each year
D: Stops after one year

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 3 of 5

Learn: The true cost of a car is much more than the loan payment. Add every regular cost: payment, insurance, fuel, maintenance, parking, and tolls.

Maya's monthly costs: loan payment $386.66, insurance $150, fuel $117, maintenance $60. What is her monthly cost of owning the car?

A. $327.00
B. $386.66
C. $536.66
D. $713.66

CORRECT ANSWER

D. $713.66

Feedback (shown after answering)

$386.66 + $150 + $117 + $60 = $713.66.

Recomputed independently by the build: 713.66

Why each other choice is wrong (misconception it represents)

A: Leaves out the loan payment
B: Counts only the loan payment
C: Leaves out fuel and maintenance

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 4 of 5

Learn: Fuel cost = miles ÷ mpg × price. Compare the two totals.

Car A gets 40 mpg and Car B gets 20 mpg. Each drives 10,000 miles a year with gas at $3.60. How much more does Car B spend on fuel each year?

A. $250
B. $900
C. $1,800
D. $2,700

CORRECT ANSWER

B. $900

Feedback (shown after answering)

A: 250 gallons × $3.60 = $900. B: 500 × $3.60 = $1,800. Difference $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

A: Gives Car A's gallons
C: Gives Car B's total fuel cost
D: Adds both cars' costs

Type: instruction

MAIN — Estimate fuel, maintenance, and depreciation, and find the monthly cost of owning a car · Question 5 of 5

Learn: The owner's manual lists a maintenance schedule. Small regular costs (oil, filters, tires, brakes) prevent large repair bills.

What usually happens when an owner skips scheduled maintenance such as oil changes?

A. Costlier repairs later
B. The car runs better because parts are not disturbed
C. Insurance pays for repairs caused by neglect
D. The warranty covers it no matter what

CORRECT ANSWER

A. Costlier repairs later

Feedback (shown after answering)

Skipped maintenance often leads to bigger, more expensive repairs.

Why each other choice is wrong (misconception it represents)

B: Believes service causes harm
C: Insurance usually excludes wear and neglect
D: Warranties can require maintenance records

Type: instruction

BACKWARD B1 · concept review — Unit costs of driving · Question 1 of 5

Learn: Miles per gallon (mpg) = miles ÷ gallons.

A car goes 300 miles on 10 gallons. What is its fuel economy?

A. 30 miles per gallon
B. 3,000 miles per gallon
C. 0.03 miles per gallon
D. 310 miles per gallon

CORRECT ANSWER

A. 30 miles per gallon

Feedback (shown after answering)

300 ÷ 10 = 30 mpg.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Multiplies
C: Divides the wrong way and shifts the decimal
D: Adds

Type: instruction

BACKWARD B1 · concept review — Unit costs of driving · Question 2 of 5

Gas is $3.40 a gallon. How much do 12 gallons cost?

A. $4.08
B. $15.40
C. $36.00
D. $40.80

CORRECT ANSWER

D. $40.80

Feedback (shown after answering)

12 × $3.40 = $40.80.

Recomputed independently by the build: 40.8

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Adds
C: Uses $3.00 a gallon

Type: knowledge check

BACKWARD B1 · concept review — Unit costs of driving · Question 3 of 5

Learn: Fixed costs (insurance, loan payment, registration) do not change with miles. Variable costs (fuel, tolls, wear) rise as you drive more.

Which car cost stays the same each month no matter how much you drive?

A. Gasoline, which depends on miles driven
B. Tolls, paid on each trip
C. An insurance premium
D. Tire wear, which grows with miles

CORRECT ANSWER

C. An insurance premium

Feedback (shown after answering)

A premium is a fixed cost.

Why each other choice is wrong (misconception it represents)

A: Variable cost
B: Variable cost
D: Variable cost

Type: instruction

BACKWARD B1 · concept review — Unit costs of driving · Question 4 of 5

Insurance costs $1,200 a year. How much is that per month?

A. $100
B. $120
C. $1,200
D. $14,400

CORRECT ANSWER

A. $100

Feedback (shown after answering)

$1,200 ÷ 12 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Gives the yearly amount
D: Multiplies by 12

Type: knowledge check

BACKWARD B1 · concept review — Unit costs of driving · Question 5 of 5

What is depreciation?

A. The interest charged on a car loan
B. A tax paid when a car is registered
C. The rise in a car's price because of inflation
D. The drop in a car's value over time

CORRECT ANSWER

D. The drop in a car's value over time

Feedback (shown after answering)

Depreciation is the loss of value as a car ages.

Why each other choice is wrong (misconception it represents)

A: Confuses with interest
B: Confuses with a fee
C: Reverses direction

Type: knowledge check

GO DEEPER 1 — Modeling depreciation · Question 1 of 5

Learn: In a constant-percent model, each year's value is 85% of the year before.

Using value = 30,000 × 0.85^t, what is the car worth after 3 years?

A. $16,500.00
B. $18,423.75
C. $21,675.00
D. $25,500.00

CORRECT ANSWER

B. $18,423.75

Feedback (shown after answering)

30,000 × 0.85 × 0.85 × 0.85 = 18,423.75.

Recomputed independently by the build: 18423.75

Why each other choice is wrong (misconception it represents)

A: Subtracts 15% of the original price three times
C: Stops after 2 years
D: Stops after 1 year

Type: instruction

GO DEEPER 1 — Modeling depreciation · Question 2 of 5

Learn: Percent loss = (original − new) ÷ original × 100.

A $30,000 car is worth $18,000 after 3 years. What percent of its value did it lose?

A. 12%
B. 40%
C. 60%
D. 67%

CORRECT ANSWER

B. 40%

Feedback (shown after answering)

$12,000 ÷ $30,000 = 40%.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses the dollar loss in thousands
C: Gives the percent kept
D: Divides the loss by the new value

Type: instruction

GO DEEPER 1 — Modeling depreciation · Question 3 of 5

Learn: The same percent of a smaller value is a smaller dollar amount. Year 1: $4,500 lost. Year 2: $3,825 lost.

Under a 15%-per-year model, how does the dollar drop in year 2 compare with year 1?

A. It is larger, because cars lose value faster as they age
B. It is smaller
C. It is the same, because the rate is the same every year
D. It is zero, because cars stop losing value after one year

CORRECT ANSWER

B. It is smaller

Feedback (shown after answering)

15% of a smaller value is fewer dollars.

Why each other choice is wrong (misconception it represents)

A: Confuses percent and dollars
C: Treats percent decay as linear
D: Believes depreciation stops

Type: instruction

GO DEEPER 1 — Modeling depreciation · Question 4 of 5

Why can a 2- or 3-year-old car be a good value?

A. Older cars never need any repairs at all
B. Used cars are exempt from sales tax everywhere
C. The steepest value loss has already happened
D. Insurance costs nothing on cars over two years old

CORRECT ANSWER

C. The steepest value loss has already happened

Feedback (shown after answering)

A buyer of a lightly used car avoids the largest early depreciation.

Why each other choice is wrong (misconception it represents)

A: Overstates reliability
B: Invents a tax rule
D: Invents an insurance rule

Type: knowledge check

GO DEEPER 1 — Modeling depreciation · Question 5 of 5

Learn: Cost per mile = total yearly cost ÷ miles driven. It helps compare driving with other ways of getting around.

Owning a car costs $7,200 a year, and Maya drives 12,000 miles. What is her cost per mile?

A. $0.06
B. $0.60
C. $1.67
D. $6.00

CORRECT ANSWER

B. $0.60

Feedback (shown after answering)

$7,200 ÷ 12,000 = $0.60 per mile.

Recomputed independently by the build: 0.6

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal the other way
C: Divides miles by cost
D: Misplaces the decimal

Type: instruction

GO DEEPER 2 — Comparing total cost of ownership · Question 1 of 5

Learn: A car repair sinking fund spreads unexpected costs into small monthly amounts.

Maya sets aside $50 a month for repairs. How much is saved in a year?

A. $50
B. $500
C. $600
D. $6,000

CORRECT ANSWER

C. $600

Feedback (shown after answering)

$50 × 12 = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses 10 months
D: Multiplies by 120

Type: instruction

GO DEEPER 2 — Comparing total cost of ownership · Question 2 of 5

A set of tires costs $640 and lasts 4 years. What should Maya set aside each month?

A. $13.33
B. $53.33
C. $160.00
D. $2,560.00

CORRECT ANSWER

A. $13.33

Feedback (shown after answering)

$640 ÷ 4 = $160 a year; $160 ÷ 12 = $13.33.

Recomputed independently by the build: 13.33

Why each other choice is wrong (misconception it represents)

B: Divides by 12 only
C: Gives the yearly amount
D: Multiplies

Type: knowledge check

GO DEEPER 2 — Comparing total cost of ownership · Question 3 of 5

Learn: Electric cost = miles × kWh per mile × price per kWh.

An electric car uses 0.3 kWh per mile; electricity costs $0.18 per kWh. A gas car costs $1,400 a year in fuel. For 12,000 miles, how much does the electric car save on fuel?

A. $648
B. $752
C. $1,400
D. $2,048

CORRECT ANSWER

B. $752

Feedback (shown after answering)

12,000 × 0.3 = 3,600 kWh; × $0.18 = $648; $1,400 − $648 = $752.

Recomputed independently by the build: 752

Why each other choice is wrong (misconception it represents)

A: Gives the electric car's cost
C: Gives the gas car's cost
D: Adds the two costs

Type: instruction

GO DEEPER 2 — Comparing total cost of ownership · Question 4 of 5

Car X: $22,000, 25 mpg. Car Y: $24,000, 40 mpg. Over 5 years of 12,000 miles a year with gas at $3.50, which costs less for price plus fuel?

A. Car X, by $2,000
B. Car X, by $1,150
C. Car Y, by $3,150
D. Car Y, by $1,150

CORRECT ANSWER

D. Car Y, by $1,150

Feedback (shown after answering)

X: $22,000 + 5 × (480 × $3.50) = $30,400. Y: $24,000 + 5 × (300 × $3.50) = $29,250. Y is $1,150 less.

Recomputed independently by the build: 1150

Why each other choice is wrong (misconception it represents)

A: Compares only the prices
B: Reverses the comparison
C: Compares only the fuel

Type: knowledge check

GO DEEPER 2 — Comparing total cost of ownership · Question 5 of 5

Learn: Many auto parts stores and mechanics can read the warning code, which points to the problem. A flashing light or serious symptoms usually means stop driving and get help right away.

A steady (not flashing) "check engine" light comes on, and the car is running normally with no warning signs such as smoke, overheating, or strange noises. What is the best first step?

A. Have the code read soon
B. Ignore it until the car stops running completely
C. Disconnect the light so it stops bothering you
D. Sell the car right away at any price

CORRECT ANSWER

A. Have the code read soon

Feedback (shown after answering)

Checking the code early can catch a problem before it gets worse and more expensive.

Why each other choice is wrong (misconception it represents)

B: Lets a small problem grow
C: Hides a warning
D: Overreacts before knowing the problem

Type: instruction · practical how-to

SET 85 · Buying, Financing, and Owning a Vehicle

Leasing vs buying a car

MAIN skill: Explain lease terms and compare the cost of leasing with buying

Outcome FL.CAR.85 · National topic: Spending · NJSLS 9.1.12: CDM, PB

Learning target: Compare the costs and benefits of leasing and buying a vehicle

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Using vs owning (5 questions)
  - Why: A lease is paying to use; a loan is paying to own. The difference explains every lease term.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Lease costs combine payments, fees, and charges.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: Lease payments spread a dollar amount over months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Inside the lease payment (5 questions)
- Go Deeper 2: Lease or buy: the three-year comparison (5 questions)

Practical skills beyond the standards: Reading a lease; Comparing lease and buy over 3 years

Content status: stable

Source: FTC (Financing or leasing a car) — A lease lets a consumer use a vehicle for a set term; leases have mileage limits, wear-and-tear charges, and early termination costs. https://consumer.ftc.gov/articles/financing-or-leasing-car

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 C, F1-Q1 C, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 A, F2-Q1 B, F2-Q2 A, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 1 of 5

Learn: A lease is a long-term rental, often 2 to 4 years. You pay for the car's expected loss in value plus a finance charge, then return it or buy it at a set price.

What does it mean to lease a car?

A. Buying the car outright with one cash payment
B. Paying to use it for a set term, then returning it
C. Borrowing to buy the car and keeping it after payoff
D. Renting a car for one weekend trip

CORRECT ANSWER

B. Paying to use it for a set term, then returning it

Feedback (shown after answering)

A lease pays for use over a term; ownership stays with the leasing company.

Why each other choice is wrong (misconception it represents)

A: Describes a cash purchase
C: Describes a loan
D: Describes a short rental

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 2 of 5

Learn: Leases have mileage limits. Extra miles are charged at a set rate when the car is returned.

A lease allows 10,000 miles a year for 3 years and charges $0.25 for each extra mile. Maya drives 36,000 miles. What is the charge?

A. $1,500
B. $2,500
C. $6,000
D. $9,000

CORRECT ANSWER

A. $1,500

Feedback (shown after answering)

Allowed 30,000; extra 6,000 × $0.25 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

B: Charges for one year's allowance
C: Gives the extra miles, not dollars
D: Charges for every mile driven

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 3 of 5

Learn: Capitalized cost is the lease's agreed price. Residual value is the predicted value at the end. The payment covers the depreciation (cap cost − residual) spread over the months, plus a finance charge and tax.

A car has a capitalized cost of $30,000 and a residual value of $18,000 after 36 months. What is the monthly depreciation part of the payment?

A. $333.33
B. $500.00
C. $833.33
D. $12,000.00

CORRECT ANSWER

A. $333.33

Feedback (shown after answering)

($30,000 − $18,000) ÷ 36 = $333.33.

Recomputed independently by the build: 333.33

Why each other choice is wrong (misconception it represents)

B: Divides the residual by 36
C: Divides the full cost by 36
D: Gives the total depreciation

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 4 of 5

Learn: Total lease cost = amount due at signing + all monthly payments + any other charges. Check whether the amount due at signing already includes the first payment, so it is not counted twice.

A lease needs $2,000 at signing, an upfront charge separate from the payments, plus 36 monthly payments of $399. Counting only these amounts, what is the total cost of the lease?

A. $2,399
B. $14,364
C. $16,364
D. $18,364

CORRECT ANSWER

C. $16,364

Feedback (shown after answering)

$2,000 + 36 × $399 = $2,000 + $14,364 = $16,364.

Recomputed independently by the build: 16364

Why each other choice is wrong (misconception it represents)

A: Adds one payment
B: Leaves out the amount due at signing
D: Counts the signing amount twice

Type: instruction

MAIN — Explain lease terms and compare the cost of leasing with buying · Question 5 of 5

Learn: Leasing tends to fit drivers who stay under mileage limits, keep the car in good shape, and like changing cars every few years. Buying fits drivers who keep cars a long time.

Who is usually a better fit for leasing?

A. A driver who goes 25,000 miles a year and keeps cars a decade
B. A buyer who wants to customize the car and own it outright
C. A person who wants never to have a monthly car payment
D. A low-mileage driver who wants a new car often

CORRECT ANSWER

D. A low-mileage driver who wants a new car often

Feedback (shown after answering)

Leasing fits low mileage and frequent upgrades.

Why each other choice is wrong (misconception it represents)

A: Mileage charges and no ownership
B: Leases limit changes
C: Leases always have payments

Type: instruction

BACKWARD B1 · concept review — Using vs owning · Question 1 of 5

Learn: The lease contract states a purchase option price, often equal to the residual value.

At the end of a lease, what can the driver usually do?

A. Return the car or buy it at the set price
B. Keep the car free of charge forever
C. Sell the car and keep the money
D. Stop paying and drive it until it finally breaks

CORRECT ANSWER

A. Return the car or buy it at the set price

Feedback (shown after answering)

Return the car or buy it at the contract price.

Why each other choice is wrong (misconception it represents)

B: Ignores the end-of-lease terms
C: The driver does not own it
D: Breaks the contract

Type: instruction

BACKWARD B1 · concept review — Using vs owning · Question 2 of 5

In a lease, what is the residual value?

A. The amount paid up front at signing
B. The predicted value at the end
C. The monthly finance charge
D. The car's price when new

CORRECT ANSWER

B. The predicted value at the end

Feedback (shown after answering)

Residual value is the expected value when the lease ends.

Why each other choice is wrong (misconception it represents)

A: Confuses with the down payment
C: Confuses with the rent charge
D: Confuses with the cap cost

Type: knowledge check

BACKWARD B1 · concept review — Using vs owning · Question 3 of 5

Learn: Lessees return the car in the condition the lease requires. Dents, stains, and worn tires beyond the standard can be charged.

What are "excess wear and tear" charges?

A. Monthly fees for routine oil changes
B. Taxes on the car's registration
C. Fees for damage beyond normal use
D. Charges for driving under the mileage limit

CORRECT ANSWER

C. Fees for damage beyond normal use

Feedback (shown after answering)

Damage beyond normal wear is charged at return.

Why each other choice is wrong (misconception it represents)

A: Confuses with maintenance
B: Confuses with a tax
D: Reverses the mileage rule

Type: instruction

BACKWARD B1 · concept review — Using vs owning · Question 4 of 5

A lease costs $350 a month for 36 months. How much are the payments in total?

A. $386
B. $4,200
C. $10,500
D. $12,600

CORRECT ANSWER

D. $12,600

Feedback (shown after answering)

36 × $350 = $12,600.

Recomputed independently by the build: 12600

Why each other choice is wrong (misconception it represents)

A: Adds
B: Uses 12 months
C: Uses 30 months

Type: knowledge check

BACKWARD B1 · concept review — Using vs owning · Question 5 of 5

Learn: Equity is the value you own. Loan payments build equity; lease payments do not.

After paying off a car loan, the owner has the car. After a lease ends, what does the driver own?

A. Half of the car's value
B. The car, with no further cost
C. Nothing, unless they buy the car
D. A credit toward any future purchase

CORRECT ANSWER

C. Nothing, unless they buy the car

Feedback (shown after answering)

A lease builds no ownership; a paid-off loan does.

Why each other choice is wrong (misconception it represents)

A: Invents shared ownership
B: Confuses with a paid-off loan
D: Invents a credit

Type: instruction

GO DEEPER 1 — Inside the lease payment · Question 1 of 5

Learn: Leases state the finance charge as a money factor, a small decimal. Money factor × 2,400 is roughly the equivalent APR.

A lease has a money factor of 0.0025. Multiply by 2,400 to compare with an APR. What APR does it equal?

A. 0.25%
B. 2.5%
C. 6%
D. 24%

CORRECT ANSWER

C. 6%

Feedback (shown after answering)

0.0025 × 2,400 = 6, about 6% APR.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

A: Reads the money factor as a percent
B: Multiplies by 1,000
D: Multiplies by 9,600

Type: instruction

GO DEEPER 1 — Inside the lease payment · Question 2 of 5

The monthly finance charge is (cap cost + residual) × money factor. For $30,000 and $18,000 with a money factor of 0.0025, what is it?

A. $30
B. $45
C. $75
D. $120

CORRECT ANSWER

D. $120

Feedback (shown after answering)

($30,000 + $18,000) × 0.0025 = $120.
Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Subtracts instead of adding
B: Uses only the residual
C: Uses only the cap cost

Type: knowledge check

GO DEEPER 1 — Inside the lease payment · Question 3 of 5

Depreciation is $333.33 a month and the finance charge is $120. What is the monthly payment before tax?

A. $213.33
B. $333.33
C. $453.33
D. $573.33

CORRECT ANSWER

C. $453.33

Feedback (shown after answering)

$333.33 + $120 = $453.33.

Recomputed independently by the build: 453.33

Why each other choice is wrong (misconception it represents)

A: Subtracts the finance charge
B: Leaves out the finance charge
D: Counts the finance charge twice

Type: knowledge check

GO DEEPER 1 — Inside the lease payment · Question 4 of 5

Learn: If a leased car is totaled early, insurance and GAP coverage pay the leasing company; money paid up front is usually not returned.

Why do some experts advise against a large down payment on a lease?

A. Down payments on leases earn very high interest
B. It may be lost if the car is totaled
C. Leasing companies are not allowed to accept them
D. It always raises the monthly payment

CORRECT ANSWER

B. It may be lost if the car is totaled

Feedback (shown after answering)

Cash paid up front on a lease can be lost if the car is totaled.

Why each other choice is wrong (misconception it represents)

A: Confuses a down payment with savings
C: Invents a rule
D: Reverses the effect

Type: instruction

GO DEEPER 1 — Inside the lease payment · Question 5 of 5

Learn: Ending a lease early often triggers large fees, sometimes most of the remaining payments.

Maya wants to end her lease after 18 of 36 months. What should she expect?

A. Early termination charges
B. A refund of every payment made so far
C. No cost, since leases can end at any time
D. Ownership of half the car

CORRECT ANSWER

A. Early termination charges

Feedback (shown after answering)

Early termination usually costs a lot; read that section before signing.

Why each other choice is wrong (misconception it represents)

B: Invents a refund
C: Ignores the contract
D: Invents shared ownership

Type: instruction · practical how-to

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 1 of 5

Learn: Equity = value − amount owed.

After 3 years of buying, Maya's car is worth $18,000 and she still owes $6,000. What is her equity?

A. $6,000
B. $12,000
C. $18,000
D. $24,000

CORRECT ANSWER

B. $12,000

Feedback (shown after answering)

$18,000 − $6,000 = $12,000.

Recomputed independently by the build: 12000

Why each other choice is wrong (misconception it represents)

A: Gives the amount owed
C: Gives the car's value
D: Adds the amounts

Type: instruction

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 2 of 5

Learn: Net cost = total paid − equity kept, because the equity is value she still owns.

Over 3 years, buying cost Maya $3,000 down plus 36 payments of $500. Her equity is $12,000. What is the net cost of buying for those 3 years?

A. $9,000
B. $18,000
C. $21,000
D. $33,000

CORRECT ANSWER

A. $9,000

Feedback (shown after answering)

$3,000 + 36 × $500 = $21,000; $21,000 − $12,000 = $9,000.

Recomputed independently by the build: 9000

Why each other choice is wrong (misconception it represents)

B: Leaves out the down payment
C: Ignores the equity
D: Adds the equity

Type: instruction

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 3 of 5

Leasing a car for 3 years costs $16,364 in total. Buying has a net cost of $9,000. Which costs less, and by how much?

A. Leasing, by $7,364
B. Buying, by $25,364
C. Leasing, by $9,000
D. Buying, by $7,364

CORRECT ANSWER

D. Buying, by $7,364

Feedback (shown after answering)

$16,364 − $9,000 = $7,364 less by buying.
Recomputed independently by the build: 7364

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Adds the costs
C: Uses only buying's cost

Type: knowledge check

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 4 of 5

Learn: A lease payment covers the car's expected loss in value over the lease, a finance (rent) charge, and taxes and fees. A loan payment repays the full purchase price plus interest.

Why are lease payments often lower than loan payments on the same car?

A. Leasing companies do not charge any interest
B. Leased cars are exempt from every tax
C. You pay for expected depreciation plus a finance charge, not the full price
D. Leases last longer than loans

CORRECT ANSWER

C. You pay for expected depreciation plus a finance charge, not the full price

Feedback (shown after answering)

A lease covers depreciation, a rent charge, and taxes and fees, not the whole price, so payments are often lower.

Why each other choice is wrong (misconception it represents)

A: Leases have a finance (rent) charge
B: Invents a tax rule
D: Usually the reverse

Type: instruction

GO DEEPER 2 — Lease or buy: the three-year comparison · Question 5 of 5

Maya drives 20,000 miles a year and keeps cars for 8 years. Which choice likely costs her less?

A. Buying
B. Leasing, since mileage charges are always waived
C. Leasing a new car every year for eight years
D. Renting daily for eight years

CORRECT ANSWER

A. Buying

Feedback (shown after answering)

High mileage and long ownership favor buying.

Why each other choice is wrong (misconception it represents)

B: Ignores mileage charges
C: Repeats the costliest early years
D: Daily rentals cost far more

Type: knowledge check

SET 86 · Managing Risk with Insurance

Risk and the purpose of insurance

MAIN skill: Identify risk management strategies and explain how insurance transfers financial risk

Outcome FL.INS.86 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Explain risk management strategies and how insurance pools and transfers risk

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Risk, probability, and loss (5 questions)

Why: Insurance decisions compare how likely a loss is with how large it would be.

B2 · Math link → G7-S54-M (Grade 7 7.SP.C.5): Understand probability as a number from 0 to 1 that shows how likely an event is

Why: Risk is described with probabilities.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Reading a policy (5 questions)

Practical skills beyond the standards: Reading a declarations page; Filing a claim

Content status: stable

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 A, F1-Q3 D, F1-Q4 A, F1-Q5 C

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 1 of 5

Learn: Four ways to manage risk: avoid it (do not do the risky thing), reduce it (make a loss less likely or smaller), retain it (pay for losses yourself), or transfer it (pay someone else, usually an insurer, to take the loss). Insurance is risk transfer.

Luis pays a company $40 a month so that if his phone is stolen, the company pays for a replacement. Which risk strategy is this?

A. Avoiding the risk by never owning a phone at all
B. Transferring the risk
C. Reducing the risk by using a stronger case
D. Keeping the risk and paying for losses himself

CORRECT ANSWER

B. Transferring the risk

Feedback (shown after answering)

Insurance moves the cost of a loss to the insurer in exchange for a premium.

Why each other choice is wrong (misconception it represents)

A: Avoiding means not doing the risky thing
C: Reducing lowers the chance or size of a loss
D: Retaining means bearing the loss

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 2 of 5

Learn: Key terms: the premium is what you pay for coverage (monthly or yearly). A claim is your request for payment after a loss. The deductible is the part of a covered loss you pay before the insurer pays.

In insurance, what does the word "premium" mean?

A. The money the insurer pays after a covered loss
B. The part of a loss the policyholder pays first
C. A bonus paid to drivers with no accidents
D. The price paid for coverage

CORRECT ANSWER

D. The price paid for coverage

Feedback (shown after answering)

The premium is the cost of the policy.

Why each other choice is wrong (misconception it represents)

A: Confuses premium with a claim payment
B: Confuses premium with a deductible
C: Invents a payment

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 3 of 5

Learn: For most property losses, the policyholder pays the deductible and the insurer pays the rest, up to the policy limit.

A covered loss costs $3,000. Luis's deductible is $500. How much does the insurer pay?

A. $500
B. $2,500
C. $3,000
D. $3,500

CORRECT ANSWER

B. $2,500

Feedback (shown after answering)

$3,000 − $500 = $2,500.

Recomputed independently by the build: 2500

Why each other choice is wrong (misconception it represents)

A: Gives the deductible
C: Ignores the deductible
D: Adds the deductible

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 4 of 5

Learn: Insurance pools risk: many people each pay a small, predictable premium, and the pool pays the few who have large losses.

How can insurers afford to pay large losses?

A. The government refunds every claim the insurer pays
B. Insurers only sell to people who never have losses
C. Many people's premiums pool together
D. Policyholders repay the claim later with interest

CORRECT ANSWER

C. Many people's premiums pool together

Feedback (shown after answering)

Pooling many premiums covers the few large losses.

Why each other choice is wrong (misconception it represents)

A: Invents a subsidy
B: Ignores how risk works
D: Confuses insurance with a loan

Type: instruction

MAIN — Identify risk management strategies and explain how insurance transfers financial risk · Question 5 of 5

Learn: Insurance matters most for losses that are unlikely but too large to afford. Small, affordable losses are often cheaper to retain, especially with an emergency fund.

Which loss is most sensible to retain (pay yourself) rather than insure?

A. A house fire that destroys everything you own
B. A crash that injures another driver badly
C. A long illness with large hospital bills
D. A $15 phone charger that breaks

CORRECT ANSWER

D. A $15 phone charger that breaks

Feedback (shown after answering)

Retain small losses; insure the ones that could be financially devastating.

Why each other choice is wrong (misconception it represents)

A: A catastrophic loss; insure it
B: A huge liability; insure it
C: A huge cost; insure it

Type: instruction

BACKWARD B1 · concept review — Risk, probability, and loss · Question 1 of 5

Which word describes a chance of losing money or something of value?

A. Equity
B. Risk
C. Liquidity
D. Principal

CORRECT ANSWER

B. Risk

Feedback (shown after answering)

Risk is the chance of loss.

Why each other choice is wrong (misconception it represents)

A: Value owned
C: Ease of using money
D: An amount borrowed or invested

Type: knowledge check

BACKWARD B1 · concept review — Risk, probability, and loss · Question 2 of 5

Learn: Reducing risk makes a loss less likely or less severe, such as seat belts, smoke alarms, or locks.

Wearing a seat belt is which risk strategy?

A. Reducing the risk
B. Transferring the risk to another person
C. Avoiding the risk entirely
D. Retaining the risk on purpose

CORRECT ANSWER

A. Reducing the risk

Feedback (shown after answering)

Seat belts make injuries less severe: risk reduction.

Why each other choice is wrong (misconception it represents)

B: No one else takes the loss
C: You still ride in the car
D: You are actively making the loss smaller

Type: instruction

BACKWARD B1 · concept review — Risk, probability, and loss · Question 3 of 5

An event has a 1 in 50 chance of happening each year. What is that as a percent?

A. 0.02%
B. 2%
C. 20%
D. 50%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

1 ÷ 50 = 0.02 = 2%.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Leaves it as a decimal and adds a percent sign
C: Misplaces the decimal
D: Uses the denominator

Type: knowledge check

BACKWARD B1 · concept review — Risk, probability, and loss · Question 4 of 5

Which situation is risk avoidance?

A. Buying a helmet before riding
B. Choosing not to ride a motorcycle
C. Buying motorcycle insurance before riding
D. Saving to pay for any damage

CORRECT ANSWER

B. Choosing not to ride a motorcycle

Feedback (shown after answering)

Not doing the activity avoids its risk.

Why each other choice is wrong (misconception it represents)

A: Reduction
C: Transfer
D: Retention

Type: knowledge check

BACKWARD B1 · concept review — Risk, probability, and loss · Question 5 of 5

Why does an emergency fund help with risk?

A. It replaces the need for any insurance at all
B. It lowers the chance an accident happens
C. It covers small losses and deductibles
D. It earns enough to pay any lawsuit

CORRECT ANSWER

C. It covers small losses and deductibles

Feedback (shown after answering)

Cash on hand lets you retain small losses and pay deductibles.

Why each other choice is wrong (misconception it represents)

A: Cannot cover catastrophic losses
B: Money does not change the odds
D: Overstates its size

Type: knowledge check

GO DEEPER 1 — Reading a policy · Question 1 of 5

Learn: A policy limit is the most an insurer will pay for a covered loss. The deductible is subtracted from the loss first; the insurer then pays the result, but never more than the limit.

A renters policy has a $20,000 limit for personal property. A fire destroys $26,000 of belongings, and the deductible is $500. How much does the insurer pay?

A. $19,500
B. $20,000
C. $25,500
D. $26,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

$26,000 − $500 = $25,500, capped at the $20,000 limit.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Subtracts the deductible from the limit
C: Ignores the policy limit
D: Ignores the limit and the deductible

Type: instruction

GO DEEPER 1 — Reading a policy · Question 2 of 5

Learn: Exclusions list what a policy does not cover. Flood insurance, for example, is usually a separate policy.

A policy lists "Exclusions: flood, earthquake." What does that mean?

A. Those losses are not covered
B. Those losses are covered with no deductible
C. Those losses are covered only on weekends
D. Those losses are paid at double the limit

CORRECT ANSWER

A. Those losses are not covered

Feedback (shown after answering)

Excluded losses are not covered.

Why each other choice is wrong (misconception it represents)

B: Reverses the meaning
C: Invents a condition
D: Invents a benefit

Type: instruction · practical how-to

GO DEEPER 1 — Reading a policy · Question 3 of 5

Learn: The declarations ("dec") page shows who and what is covered, the limits, deductibles, and the premium.

What is the declarations page of a policy?

A. A letter saying a claim was denied
B. A form to cancel the policy
C. A list of every claim you have filed
D. A summary of coverage, limits, and premium

CORRECT ANSWER

D. A summary of coverage, limits, and premium

Feedback (shown after answering)

The dec page summarizes the policy.

Why each other choice is wrong (misconception it represents)

A: Confuses with a denial letter
B: Confuses with a cancellation form
C: Confuses with a claims history

Type: instruction · practical how-to

GO DEEPER 1 — Reading a policy · Question 4 of 5

Learn: Replacement cost policies cost more but pay enough to replace items new.

Replacement cost coverage pays to buy a new item; actual cash value pays the item's value minus depreciation. A 4-year-old TV cost $800 and is now worth $300. Under actual cash value, before any deductible, what is paid?

A. $300
B. $500
C. $800
D. $1,100

CORRECT ANSWER

A. $300

Feedback (shown after answering)

Actual cash value pays the depreciated value, $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Gives the depreciation
C: Describes replacement cost
D: Adds the amounts

Type: instruction

GO DEEPER 1 — Reading a policy · Question 5 of 5

Learn: Contact the insurer promptly, take photos, keep receipts, and prevent further damage.

After a covered loss, what is a sound first step in filing a claim?

A. Throw away damaged items before anyone sees them
B. Wait a year to see if more damage appears
C. Document the damage with photos
D. Exaggerate the loss to cover the deductible

CORRECT ANSWER

C. Document the damage with photos

Feedback (shown after answering)

Photos and receipts support a claim.

Why each other choice is wrong (misconception it represents)

A: Destroys evidence
B: Claims have deadlines
D: Insurance fraud

Type: instruction · practical how-to

SET 87 · Managing Risk with Insurance

Health insurance

MAIN skill: Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum

Outcome FL.INS.87 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Calculate costs under health insurance plans and compare plans using premiums and cost sharing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Health plan vocabulary (5 questions)
  Why: Plan costs depend on knowing which term means what.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Coinsurance is a percent of the bill.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  Why: Out-of-pocket costs combine a deductible, a percent, and a cap.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing health plans (5 questions)
- Go Deeper 2: Using health insurance well (5 questions)

Practical skills beyond the standards: Reading an Explanation of Benefits; Shopping on the state marketplace

Content status: time-sensitive

Source: HealthCare.gov (Glossary) — Defines premium, deductible, copayment, coinsurance, and out-of-pocket maximum; after the out-of-pocket maximum, the plan pays 100% of covered in-network costs for the rest of the plan year. https://www.healthcare.gov/glossary/

Source: HealthCare.gov (Young adults) — Young adults can generally stay on a parent's health plan until age 26. https://www.healthcare.gov/young-adults/children-under-26/

Source: Get Covered New Jersey — New Jersey runs its own health insurance marketplace for individual coverage and financial help. https://nj.gov/getcoverednj/

Source: IRS (Working Families Tax Cuts) — Beginning in 2026, bronze and catastrophic marketplace plans are treated as HSA-compatible. https://www.irs.gov/newsroom/working-families-tax-cuts

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 A, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 B, F1-Q4 D, F1-Q5 A, F2-Q1 A, F2-Q2 B, F2-Q3 B, F2-Q4 C, F2-Q5 C

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 1 of 5

Learn: Health plans share costs based on the allowed (negotiated) in-network amount. You pay the deductible first. After that, coinsurance means you pay a percent and the plan pays the rest, until you reach the out-of-pocket maximum; then the plan pays 100% of covered in-network costs for the rest of the plan year.

Ana's plan has a $1,500 deductible and 20% coinsurance after it, with a $5,000 out-of-pocket maximum. She has spent nothing yet this plan year. A hospital stay has an allowed in-network charge of $10,000 that follows these rules. How much does Ana pay?

A. $1,500
B. $2,000
C. $3,200
D. $5,000

CORRECT ANSWER

C. $3,200

Feedback (shown after answering)

$1,500 + 20% × ($10,000 − $1,500) = $1,500 + $1,700 = $3,200, below the $5,000 maximum.

Recomputed independently by the build: 3200

Why each other choice is wrong (misconception it represents)

A: Pays only the deductible
B: Takes 20% of the whole bill
D: Assumes she reaches the maximum

Type: instruction

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 2 of 5

Learn: The out-of-pocket maximum caps what you pay for covered in-network care in a plan year (premiums not included).

Ana's plan: $1,500 deductible, 20% coinsurance, $5,000 out-of-pocket maximum. In a separate example, with no earlier spending this plan year, a covered in-network stay has an allowed charge of $40,000. How much does Ana pay?

A. $1,500
B. $5,000
C. $8,000
D. $9,200

CORRECT ANSWER

B. $5,000

Feedback (shown after answering)

$1,500 + 20% × $38,500 = $9,200, but the cap limits her share to $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Pays only the deductible
C: Takes 20% of the bill and ignores the maximum
D: Ignores the out-of-pocket maximum

Type: instruction

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 3 of 5

Learn: A copay is a flat amount, such as $30 for a doctor visit or $10 for a generic prescription.

What is a copay?

A. A set dollar amount for a service
B. A percent of the bill paid after the deductible
C. The monthly price of the plan
D. The yearly limit on what you pay

CORRECT ANSWER

A. A set dollar amount for a service

Feedback (shown after answering)

A copay is a fixed fee per service.

Why each other choice is wrong (misconception it represents)

B: Describes coinsurance
C: Describes the premium
D: Describes the out-of-pocket maximum

Type: instruction

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 4 of 5

Learn: Under the Affordable Care Act, young adults can generally stay on a parent's plan until age 26, even if married, not living at home, or not a dependent for taxes.

Ana is 22 and her parent has a family health plan. Under federal rules, until what age can she generally stay on it?

A. 18
B. 21
C. 26
D. 30

CORRECT ANSWER

C. 26

Feedback (shown after answering)

Coverage on a parent's plan generally lasts until 26.

Recomputed independently by the build: 26

Why each other choice is wrong (misconception it represents)

A: Uses the age of adulthood
B: Uses the drinking age
D: Invents a later age

Type: instruction · rule as of ACA rule as of 2026

MAIN — Calculate costs under a health plan and compare plans using premium, deductible, coinsurance, and out-of-pocket maximum · Question 5 of 5

Learn: Insurers negotiate lower prices with in-network providers. Out-of-network care may cost much more or not be covered.

Why does staying in network usually matter?

A. Out-of-network doctors are not licensed to treat patients
B. In-network care costs the patient less
C. In-network care never needs any deductible
D. Network rules only matter for dental care

CORRECT ANSWER

B. In-network care costs the patient less

Feedback (shown after answering)

Network providers have negotiated rates, so patients pay less.

Why each other choice is wrong (misconception it represents)

A: Confuses network with licensing
C: Deductibles still apply
D: Applies to medical plans too

Type: instruction

BACKWARD B1 · concept review — Health plan vocabulary · Question 1 of 5

Which health plan cost is paid every month, even if you never see a doctor?

A. The deductible, paid before coverage starts
B. Coinsurance, a percent of bills after the deductible
C. A copay, charged per visit
D. The premium

CORRECT ANSWER

D. The premium

Feedback (shown after answering)

Premiums are paid whether or not you use care.

Why each other choice is wrong (misconception it represents)

A: Paid only when you get care
B: Paid only with care
C: Paid only with care

Type: knowledge check

BACKWARD B1 · concept review — Health plan vocabulary · Question 2 of 5

20% of a $500 bill is...

A. $10
B. $20
C. $100
D. $400

CORRECT ANSWER

C. $100

Feedback (shown after answering)

$500 × 0.20 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 2%
B: Uses 20 dollars
D: Gives the plan's 80%

Type: knowledge check

BACKWARD B1 · concept review — Health plan vocabulary · Question 3 of 5

Ana has paid $900 of her $1,500 deductible. How much more must she pay before coinsurance starts?

A. $600
B. $900
C. $1,500
D. $2,400

CORRECT ANSWER

A. $600

Feedback (shown after answering)

$1,500 − $900 = $600 left.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

B: Gives what she has paid
C: Ignores what she has paid
D: Adds the amounts

Type: knowledge check

BACKWARD B1 · concept review — Health plan vocabulary · Question 4 of 5

Learn: Once you reach the out-of-pocket maximum, the plan pays 100% of covered in-network costs for the rest of the plan year. Premiums are still owed.

After Ana reaches her out-of-pocket maximum, what does she pay for covered in-network care that year?

A. The full price of each visit
B. 20% of each bill as before
C. $0
D. The deductible again for each visit

CORRECT ANSWER

C. $0

Feedback (shown after answering)

After the maximum, the plan pays 100% of covered costs.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Reverses the rule
B: Ignores the cap
D: Invents a reset

Type: instruction

BACKWARD B1 · concept review — Health plan vocabulary · Question 5 of 5

A plan has a high deductible but a low premium. Who might it suit?

A. A healthy person with savings
B. Someone expecting surgery soon with no savings
C. Someone with frequent specialist visits
D. Someone who cannot afford any surprise bill

CORRECT ANSWER

A. A healthy person with savings

Feedback (shown after answering)

Low use plus savings to cover the deductible makes a high-deductible plan reasonable.

Why each other choice is wrong (misconception it represents)

B: Would face large costs
C: Would pay a lot before coverage
D: High deductible is risky

Type: knowledge check

GO DEEPER 1 — Comparing health plans · Question 1 of 5

Learn: Compare plans by total yearly cost: 12 × premium + what you pay for care.

Plan A: $100 a month, $3,000 deductible. Plan B: $250 a month, $500 deductible. With no medical bills all year, how much less does Plan A cost?

A. $150
B. $1,800
C. $2,500
D. $4,200

CORRECT ANSWER

B. $1,800

Feedback (shown after answering)

A: $1,200. B: $3,000. A costs $1,800 less.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Compares one month
C: Compares the deductibles
D: Adds the yearly premiums

Type: instruction

GO DEEPER 1 — Comparing health plans · Question 2 of 5

Learn: Compare plans by total yearly cost: premiums + what you pay toward allowed charges.

Plan A: $1,200 a year in premiums, $3,000 deductible, then 20% coinsurance. Plan B: $3,000 a year in premiums, $500 deductible, then 10% coinsurance. Ana expects $2,000 of allowed in-network charges for the year, all subject to these rules (below both out-of-pocket maximums). Which costs less in total?

A. Plan B, by $450
B. Plan A, by $1,800
C. Plan B, by $1,500
D. Plan A, by $450

CORRECT ANSWER

D. Plan A, by $450

Feedback (shown after answering)

A: $1,200 + $2,000 (all within the deductible) = $3,200. B: $3,000 + $500 + 10% × $1,500 = $3,650. A is $450 less.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Compares premiums only
C: Compares the bill costs only

Type: instruction

GO DEEPER 1 — Comparing health plans · Question 3 of 5

Learn: Compare plans by total yearly cost: premiums + what you pay toward allowed charges.

Plan A: $1,200 premiums, $3,000 deductible, then 20%. Plan B: $3,000 premiums, $500 deductible, then 10%. Ana expects $10,000 of allowed in-network charges for the year, all subject to these rules and below both out-of-pocket maximums. Which costs less?

A. Plan A, by $1,150
B. Plan B, by $1,150
C. Plan A, by $1,800
D. Plan B, by $2,950

CORRECT ANSWER

B. Plan B, by $1,150

Feedback (shown after answering)

A: $1,200 + $3,000 + 20% × $7,000 = $5,600. B: $3,000 + $500 + 10% × $9,500 = $4,450. B is $1,150 less.

Recomputed independently by the build: 1150

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
C: Compares premiums only
D: Compares bill costs only

Type: instruction

GO DEEPER 1 — Comparing health plans · Question 4 of 5

Learn: You can contribute to a health savings account (HSA) only while covered by an HSA-compatible plan. Traditionally that meant a qualifying high-deductible health plan; starting in 2026, bronze and catastrophic plans also count. Money in an HSA is pre-tax and carries over year to year.

In 2026 Ana's health plan has a $500 deductible. It is not an HSA-compatible plan: it is not a qualifying high-deductible plan, a bronze plan, or a catastrophic plan. May she contribute to a health savings account (HSA) for that time?

A. Yes; anyone with any health plan may contribute
B. Yes, once she turns 65
C. Yes, if she adds a dental plan
D. No; her plan is not HSA-compatible

CORRECT ANSWER

D. No; her plan is not HSA-compatible

Feedback (shown after answering)

Her plan is none of the HSA-compatible types, so she cannot contribute for that time.

Why each other choice is wrong (misconception it represents)

A: HSAs need an HSA-compatible plan
B: Invents an age rule; Medicare enrollment actually ends contributions
C: Confuses plan types

Type: instruction · rule as of HSA rules for 2026

GO DEEPER 1 — Comparing health plans · Question 5 of 5

Learn: Some states run their own health insurance marketplace, such as Get Covered New Jersey; others use HealthCare.gov. Open enrollment is once a year; life events such as losing coverage open a special enrollment period.

Ana's job does not offer health insurance. Which statement about shopping for an individual plan in New Jersey is accurate?

A. New Jersey runs its own state marketplace
B. Only HealthCare.gov serves New Jersey residents
C. Individual plans can be bought only through social media ads
D. She must wait until she turns 65

CORRECT ANSWER

A. New Jersey runs its own state marketplace

Feedback (shown after answering)

New Jersey residents use Get Covered New Jersey, the state marketplace.

Why each other choice is wrong (misconception it represents)

B: Applies to states without their own marketplace
C: Scam risk
D: Confuses with Medicare

Type: instruction · practical how-to · rule as of As of 2026

GO DEEPER 2 — Using health insurance well · Question 1 of 5

Learn: An EOB is not a bill; it explains what the plan paid and what you may owe. Pay the provider's actual bill after checking that it matches the EOB.

An Explanation of Benefits (EOB) says: billed $400; plan discount $150; plan paid $200; patient responsibility $50. What amount does it show Ana is expected to owe the provider?

A. $50
B. $200
C. $250
D. $400

CORRECT ANSWER

A. $50

Feedback (shown after answering)

$400 − $150 − $200 = $50; pay when the provider's bill arrives and matches.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Gives the plan's payment
C: Subtracts only the discount
D: Uses the billed amount

Type: instruction · practical how-to

GO DEEPER 2 — Using health insurance well · Question 2 of 5

A generic drug costs $10 and the brand-name version costs $45 a month. How much does choosing generic save in a year?

A. $35
B. $420
C. $540
D. $660

CORRECT ANSWER

B. $420

Feedback (shown after answering)

($45 − $10) × 12 = $420.

Recomputed independently by the build: 420

Why each other choice is wrong (misconception it represents)

A: Compares one month
C: Gives the brand-name yearly cost
D: Adds the yearly costs

Type: knowledge check

GO DEEPER 2 — Using health insurance well · Question 3 of 5

Ana has a sore throat on a weekend. Which choice is usually cheapest for a non-emergency?

A. The hospital emergency room for every minor illness
B. An urgent care or telehealth visit
C. Waiting until it becomes an emergency
D. Buying antibiotics online without a prescription

CORRECT ANSWER

B. An urgent care or telehealth visit

Feedback (shown after answering)

Use urgent care or telehealth for minor problems; the ER is for emergencies.

Why each other choice is wrong (misconception it represents)

A: Highest cost
C: Raises cost and risk
D: Unsafe and illegal

Type: knowledge check · practical how-to

GO DEEPER 2 — Using health insurance well · Question 4 of 5

Learn: Most plans cover listed preventive services in network with no cost sharing.

Preventive care such as a yearly checkup is often covered at what cost to the patient in network?

A. The full price, since it is optional
B. Double the usual copay
C. $0
D. The whole deductible

CORRECT ANSWER

C. $0

Feedback (shown after answering)

Many preventive services cost $0 in network.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Ignores preventive coverage
B: Invents a fee
D: Preventive care is often exempt

Type: instruction · rule as of ACA rule as of 2026

GO DEEPER 2 — Using health insurance well · Question 5 of 5

A bill shows a charge for a test Ana never had. What should she do?

A. Pay it so her credit is protected
B. Ignore it, since errors fix themselves
C. Ask the provider for an itemized bill
D. Ask the insurer to pay it again

CORRECT ANSWER

C. Ask the provider for an itemized bill

Feedback (shown after answering)

Request an itemized bill and dispute errors with the provider and insurer.

Why each other choice is wrong (misconception it represents)

A: Pays for an error
B: Lets it go to collections
D: Does not fix the error

Type: knowledge check · practical how-to

SET 88 · Managing Risk with Insurance

Auto insurance

MAIN skill: Explain auto coverages and calculate what liability limits pay

Outcome FL.INS.88 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Explain types of auto insurance coverage and how limits and deductibles affect costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Who and what each coverage protects (5 questions)
  - Why: Auto policies combine coverages that protect different people and property.
- B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Coverage questions subtract deductibles and compare amounts with limits.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Choosing auto coverage (5 questions)

Practical skills beyond the standards: What to do after a crash; Comparing auto quotes

Content status: time-sensitive

Source: New Jersey Department of Banking and Insurance — New Jersey requires auto liability coverage and personal injury protection (PIP); minimum required limits are set by state law and have changed in recent years. https://www.nj.gov/dobi/

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 C, B1-Q2 D, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 A, F1-Q4 C, F1-Q5 A

MAIN — Explain auto coverages and calculate what liability limits pay · Question 1 of 5

Learn: Liability coverage pays for injuries and damage you cause to others. Limits like 25/50/25 mean $25,000 per injured person, $50,000 for all injuries in one crash, and $25,000 for property damage. The driver can owe anything above the limits.

A policy has liability limits of 25/50/25 (thousands). Luis causes a crash that injures one person with $40,000 of medical bills. How much might Luis owe himself?

A. $0
B. $10,000
C. $15,000
D. $40,000

CORRECT ANSWER

C. $15,000

Feedback (shown after answering)

The policy pays $25,000 per person; $40,000 − $25,000 = $15,000.

Recomputed independently by the build: 15000

Why each other choice is wrong (misconception it represents)

A: Ignores the per-person limit
B: Subtracts the bill from the $50,000 per-accident limit
D: Ignores the coverage

Type: instruction

MAIN — Explain auto coverages and calculate what liability limits pay · Question 2 of 5

Learn: Collision pays for damage to your car from a crash, minus the deductible. Comprehensive covers non-crash damage (theft, fire, storms, hitting a deer).

Which coverage pays to fix Luis's own car after he hits a pole?

A. Collision
B. Liability, which pays for damage to others
C. Comprehensive, which covers theft, fire, and hail
D. Uninsured motorist, for crashes with uninsured drivers

CORRECT ANSWER

A. Collision

Feedback (shown after answering)

Collision covers your car in a crash you cause.

Why each other choice is wrong (misconception it represents)

B: Pays others, not you
C: Non-collision events
D: Other driver at fault

Type: instruction

MAIN — Explain auto coverages and calculate what liability limits pay · Question 3 of 5

Learn: Comprehensive coverage pays for damage to your car that is not from a crash: theft, fire, falling objects, storms, and hitting an animal.

A tree branch falls on Luis's parked car in a storm. Which coverage applies?

A. Collision, because the car was hit by something
B. Liability, because someone owns the tree
C. Personal injury protection
D. Comprehensive

CORRECT ANSWER

D. Comprehensive

Feedback (shown after answering)

Storm damage falls under comprehensive.

Why each other choice is wrong (misconception it represents)

A: Collision is for crashes
B: Liability pays others
C: Medical coverage

Type: instruction

MAIN — Explain auto coverages and calculate what liability limits pay · Question 4 of 5

Learn: Auto coverages: liability pays for harm you cause to others; collision repairs your car after a crash; personal injury protection (PIP), required in no-fault states such as New Jersey, pays your own medical costs no matter who caused the crash.

New Jersey is a "no-fault" state. Which coverage pays the medical bills of Luis and his passengers after a crash, regardless of fault?

A. Collision, which pays to fix his own car
B. Personal injury protection (PIP)
C. Liability, which pays for harm he causes to others
D. Gap coverage, which pays a loan balance

CORRECT ANSWER

B. Personal injury protection (PIP)

Feedback (shown after answering)

PIP pays medical bills for you and your passengers in no-fault states.

Why each other choice is wrong (misconception it represents)

A: Covers the car, not people
C: Pays other people, not Luis
D: Covers a loan

Type: instruction · rule as of NJ rules as of 2026

MAIN — Explain auto coverages and calculate what liability limits pay · Question 5 of 5

Learn: Premiums depend on age, driving record, the car, where you live, coverage chosen, and discounts (good student, safe driver courses, bundling).

Which choice usually lowers a teen driver's premium?

A. Good grades and a clean driving record
B. Driving a powerful sports car
C. Letting the policy lapse for a few months
D. Getting a speeding ticket early

CORRECT ANSWER

A. Good grades and a clean driving record

Feedback (shown after answering)

Good-student and safe-driver discounts lower premiums.

Why each other choice is wrong (misconception it represents)

B: Raises premiums
C: Lapses raise rates
D: Raises rates

Type: instruction · practical how-to

BACKWARD B1 · concept review — Who and what each coverage protects · Question 1 of 5

Liability coverage pays for…

A. Repairs to your own car only
B. Your own phone if stolen from the car
C. Harm you cause to others
D. Routine oil changes

CORRECT ANSWER

C. Harm you cause to others

Feedback (shown after answering)

Liability covers injuries and damage you cause to others.

Why each other choice is wrong (misconception it represents)

A: Collision
B: Usually renters or home
D: Maintenance

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 2 of 5

In 25/50/25, what does the last 25 mean?

A. $25 deductible for any claim
B. 25 days to report a claim
C. $25,000 per injured person
D. $25,000 for property damage

CORRECT ANSWER

D. $25,000 for property damage

Feedback (shown after answering)

The third number is the property damage limit, in thousands.

Why each other choice is wrong (misconception it represents)

A: Misreads thousands
B: Invents a deadline
C: That is the first number

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 3 of 5

Luis's collision deductible is $1,000. Repairs cost $3,800. What does insurance pay?

A. $1,000
B. $2,800
C. $3,800
D. $4,800

CORRECT ANSWER

B. $2,800

Feedback (shown after answering)

$3,800 − $1,000 = $2,800.

Recomputed independently by the build: 2800

Why each other choice is wrong (misconception it represents)

A: Gives the deductible
C: Ignores the deductible
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 4 of 5

Why is driving without required insurance a serious problem?

A. It is allowed if you drive carefully
B. It is illegal and leaves you personally liable
C. It matters only if you cause a crash
D. Other drivers must pay for the crashes you cause

CORRECT ANSWER

B. It is illegal and leaves you personally liable

Feedback (shown after answering)

Required coverage protects others; driving uninsured brings penalties and personal liability.

Why each other choice is wrong (misconception it represents)

A: Believes careful driving replaces coverage
C: Ignores the legal requirement
D: Misunderstands liability

Type: knowledge check

BACKWARD B1 · concept review — Who and what each coverage protects · Question 5 of 5

An uninsured driver hits Luis. Which coverage helps him?

A. His liability coverage, which pays others
B. Comprehensive, for theft and storms
C. Collision, which waives the deductible
D. Uninsured motorist coverage

CORRECT ANSWER

D. Uninsured motorist coverage

Feedback (shown after answering)

Uninsured motorist coverage protects you when the at-fault driver has no insurance.

Why each other choice is wrong (misconception it represents)

A: Pays others
B: Non-crash
C: Confuses coverages

Type: knowledge check

GO DEEPER 1 — Choosing auto coverage · Question 1 of 5

Learn: Collision pays up to the car's actual cash value minus the deductible. On an older car, it can cost close to what it could ever pay.

Luis's car is worth $2,000. Collision coverage costs $600 a year with a $500 deductible. What is the most collision would pay in a total loss?

A. $600
B. $1,500
C. $2,000
D. $2,500

CORRECT ANSWER

B. $1,500

Feedback (shown after answering)

$2,000 − $500 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Gives the premium
C: Ignores the deductible
D: Adds the deductible

Type: instruction

GO DEEPER 1 — Choosing auto coverage · Question 2 of 5

Learn: A higher deductible lowers the premium. Break-even years = extra deductible ÷ yearly savings.

Raising the deductible from $500 to $1,000 lowers Luis's premium by $150 a year. How many claim-free years until the savings cover the extra $500 risk?

A. About 0.3 years
B. About 3.3 years
C. About 6.7 years
D. About 1.5 years

CORRECT ANSWER

B. About 3.3 years

Feedback (shown after answering)

$500 ÷ $150 ≈ 3.3 years.

Recomputed independently by the build: 3.3

Why each other choice is wrong (misconception it represents)

A: Divides savings by the extra deductible
C: Divides $1,000 by $150
D: Misplaces a decimal

Type: instruction

GO DEEPER 1 — Choosing auto coverage · Question 3 of 5

Why do many experts suggest liability limits above the state minimum?

A. A serious crash can cost far more
B. Minimum limits are illegal in most states
C. Higher limits always cost double
D. Liability only matters for commercial drivers

CORRECT ANSWER

A. A serious crash can cost far more

Feedback (shown after answering)

Injury costs can exceed minimum limits, leaving the driver to pay the rest.

Why each other choice is wrong (misconception it represents)

B: Misreads the law
C: Overstates the price
D: Misunderstands liability

Type: knowledge check

GO DEEPER 1 — Choosing auto coverage · Question 4 of 5

Learn: Check for injuries, call police if required, exchange names, insurance, and plate numbers, and take photos.

After a minor crash, which step should Luis take?

A. Leave without stopping if no one seems hurt
B. Admit fault for everything right away
C. Exchange insurance information
D. Agree to pay in cash without documenting anything

CORRECT ANSWER

C. Exchange insurance information

Feedback (shown after answering)

Exchange information and document the scene.

Why each other choice is wrong (misconception it represents)

A: Illegal
B: Let insurers decide fault
D: Risky

Type: instruction · practical how-to

GO DEEPER 1 — Choosing auto coverage · Question 5 of 5

Two quotes: $1,800 a year with $50,000/$100,000 limits, and $1,560 with state minimums. How much more does the higher coverage cost per month?

A. $20
B. $130
C. $150
D. $240

CORRECT ANSWER

A. $20

Feedback (shown after answering)

($1,800 − $1,560) ÷ 12 = $20 a month.
Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Divides the other premium by 12
C: Divides one premium by 12
D: Gives the yearly difference

Type: knowledge check

SET 89 · Managing Risk with Insurance

Property, life, and disability insurance

MAIN skill: Explain property, life, and disability insurance and estimate coverage needs

Outcome FL.INS.89 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Compare property, life, and disability insurance and estimate coverage needs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Matching insurance to the risk (5 questions)
  - Why: Each type of insurance protects against one kind of loss.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Benefits are often a percent of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Estimating coverage needs (5 questions)

Practical skills beyond the standards: Estimating life insurance needs

Content status: stable

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Source: Social Security Administration (Disability benefits) — Social Security disability benefits have strict eligibility rules and a waiting period, so many workers also rely on private or employer disability insurance. https://www.ssa.gov/disability

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 C, B1-Q3 C, B1-Q4 B, B1-Q5 D, F1-Q1 C, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 D

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 1 of 5

Learn: Each insurance covers a different loss: health insurance pays for medical care; life insurance pays beneficiaries at death; disability insurance pays a share of income, often about 60%, while you cannot work. Government disability benefits have strict rules and waiting periods.

Which insurance replaces part of your paycheck if illness or injury keeps you from working?

A. Life insurance, which pays when someone dies
B. Disability insurance
C. Homeowners insurance, which covers the house
D. Health insurance, which pays medical bills

CORRECT ANSWER

B. Disability insurance

Feedback (shown after answering)

Disability insurance replaces lost income.

Why each other choice is wrong (misconception it represents)

A: Pays at death
C: Covers property
D: Pays care, not lost wages

Type: instruction

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 2 of 5

Ana earns $4,000 a month. Her disability policy pays 60% of income. What is her monthly benefit?

A. $240
B. $1,600
C. $2,400
D. $4,000

CORRECT ANSWER

C. $2,400

Feedback (shown after answering)

$4,000 × 0.60 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Uses 6%
B: Gives the 40% she loses
D: Assumes full income

Type: knowledge check

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 3 of 5

Learn: Life insurance pays a death benefit to beneficiaries. Term life covers a set number of years and is much cheaper. Whole (permanent) life lasts for life and includes a cash value, with much higher premiums.

What is the main difference between term and whole life insurance?

A. Term covers only accidents; whole life covers only illness
B. Term is for children; whole life is for adults
C. Term covers a set period; whole life lasts for life
D. Term pays while you live; whole life pays at death

CORRECT ANSWER

C. Term covers a set period; whole life lasts for life

Feedback (shown after answering)

Term is temporary and cheaper; whole life is permanent with cash value.

Why each other choice is wrong (misconception it represents)

A: Invents limits
B: Invents ages
D: Reverses purpose

Type: instruction

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 4 of 5

Learn: Life insurance protects people who depend on your income. A common estimate is several times yearly income, adjusted for debts and savings.

Who most needs life insurance?

A. A teenager with no dependents and no debts
B. A retiree whose savings cover the spouse's needs
C. A single adult whose only bills are their own
D. A parent whose income supports young children

CORRECT ANSWER

D. A parent whose income supports young children

Feedback (shown after answering)

Life insurance matters most when others depend on your income.

Why each other choice is wrong (misconception it represents)

A: Little need
B: Need may be met
C: No dependents

Type: instruction

MAIN — Explain property, life, and disability insurance and estimate coverage needs · Question 5 of 5

Learn: Renters insurance covers belongings and liability; the landlord insures the building. Homeowners insurance also covers the structure. Lenders require it for a mortgage.

What does homeowners insurance usually cover that renters insurance does not?

A. The building itself
B. Personal belongings such as a laptop
C. Liability if a guest is hurt
D. Living costs after a covered loss

CORRECT ANSWER

A. The building itself

Feedback (shown after answering)

Homeowners insurance adds coverage for the dwelling.

Why each other choice is wrong (misconception it represents)

B: Both can cover belongings
C: Both include liability
D: Both can include this

Type: instruction

BACKWARD B1 · concept review — Matching insurance to the risk · Question 1 of 5

Which insurance pays beneficiaries when the insured person dies?

A. Life insurance
B. Disability insurance
C. Renters insurance
D. Auto insurance

CORRECT ANSWER

A. Life insurance

Feedback (shown after answering)

Life insurance pays a death benefit.

Why each other choice is wrong (misconception it represents)

B: Pays while alive and unable to work
C: Covers belongings
D: Covers driving

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 2 of 5

A beneficiary is...

A. The person who sells the policy
B. The insurance company that pays claims
C. The person who receives the payout
D. The person whose life is insured

CORRECT ANSWER

C. The person who receives the payout

Feedback (shown after answering)

The beneficiary receives the benefit.

Why each other choice is wrong (misconception it represents)

A: Agent
B: Insurer
D: Confuses the insured with the beneficiary

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 3 of 5

60% of $3,000 is...

A. $180
B. $1,200
C. $1,800
D. $3,060

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

$3,000 × 0.60 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses 6%
B: Gives 40%
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 4 of 5

Which loss does renters insurance cover?

A. A cracked foundation in the landlord's building
B. A stolen laptop from the apartment
C. Damage to your car in a crash
D. A hospital stay

CORRECT ANSWER

B. A stolen laptop from the apartment

Feedback (shown after answering)

Renters insurance covers your belongings.

Why each other choice is wrong (misconception it represents)

A: Landlord's insurance
C: Auto
D: Health

Type: knowledge check

BACKWARD B1 · concept review — Matching insurance to the risk · Question 5 of 5

Which is the cheaper way for a young parent to get a large death benefit?

A. Whole life with cash value
B. Disability insurance
C. A savings account only
D. Term life

CORRECT ANSWER

D. Term life

Feedback (shown after answering)

Term life gives the most coverage per premium dollar.

Why each other choice is wrong (misconception it represents)

A: Much higher premiums
B: Different purpose
C: Not insurance

Type: knowledge check

GO DEEPER 1 — Estimating coverage needs · Question 1 of 5

Learn: Rules of thumb are a starting point. A needs-based estimate adds debts, future costs such as college, and years of income, then subtracts savings.

A parent earns $60,000. A simple rule suggests life insurance of 10 times income. How much is that?

A. $60,000
B. $160,000
C. $600,000
D. $6,000,000

CORRECT ANSWER

C. $600,000

Feedback (shown after answering)

$60,000 × 10 = $600,000.

Recomputed independently by the build: 600000

Why each other choice is wrong (misconception it represents)

A: Uses 1 times income
B: Adds instead of multiplying
D: Uses 100 times income

Type: instruction

GO DEEPER 1 — Estimating coverage needs · Question 2 of 5

Needs: $250,000 mortgage + $100,000 college + $300,000 income replacement. Savings and existing coverage: $150,000. How much more life insurance is needed?

A. $350,000
B. $500,000
C. $650,000
D. $800,000

CORRECT ANSWER

B. $500,000

Feedback (shown after answering)

$250,000 + $100,000 + $300,000 − $150,000 = $500,000.
Recomputed independently by the build: 500000

Why each other choice is wrong (misconception it represents)

A: Leaves out income replacement
C: Ignores existing resources
D: Adds resources instead of subtracting

Type: knowledge check

GO DEEPER 1 — Estimating coverage needs · Question 3 of 5

A 30-year-old buys $500,000 of 20-year term life for $30 a month. What is the total premium over 20 years?

A. $360
B. $600
C. $7,200
D. $500,000

CORRECT ANSWER

C. $7,200

Feedback (shown after answering)

$30 × 12 × 20 = $7,200.

Recomputed independently by the build: 7200

Why each other choice is wrong (misconception it represents)

A: One year
B: Uses 20 months
D: Gives the benefit

Type: knowledge check

GO DEEPER 1 — Estimating coverage needs · Question 4 of 5

Learn: The elimination (waiting) period is how long you must be disabled before benefits begin. An emergency fund covers that gap.

A disability policy has a 90-day elimination period. What does that mean?

A. The policy ends after 90 days
B. Benefits start after 90 days of disability
C. Claims must be filed within 90 minutes of an injury
D. The premium is free for 90 days

CORRECT ANSWER

B. Benefits start after 90 days of disability

Feedback (shown after answering)

Benefits begin after the waiting period.

Why each other choice is wrong (misconception it represents)

A: Confuses with the benefit period
C: Invents a deadline
D: Invents a discount

Type: instruction

GO DEEPER 1 — Estimating coverage needs · Question 5 of 5

Why might a worker add personal disability insurance on top of a workplace plan?

A. Workplace plans always replace 100% of income
B. Government benefits are automatic and immediate
C. Disability insurance also pays medical bills
D. To replace more income

CORRECT ANSWER

D. To replace more income

Feedback (shown after answering)

Extra coverage can fill gaps in employer benefits.

Why each other choice is wrong (misconception it represents)

A: Overstates employer coverage
B: They have strict rules and waits
C: Health insurance does that

Type: knowledge check

SET 90 · Managing Risk with Insurance

Expected loss and choosing coverage

MAIN skill: Use probability and expected value to evaluate premiums, deductibles, and extended warranties

Outcome FL.INS.90 · National topic: Managing Risk · NJSLS 9.1.12: RM, FP

Learning target: Use probability and expected value to evaluate insurance and warranty choices

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Expected value (5 questions)
  - Why: Expected loss multiplies a probability by an amount.
- B2 · Math link → G7-S55-M (Grade 7 7.SP.C.6): Estimate a probability from relative frequency and make predictions
  - Why: Insurers estimate probabilities from claim data.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Expected loss multiplies an amount by a percent probability.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How insurers set prices (5 questions)

Practical skills beyond the standards: Deciding on extended warranties; Choosing a deductible

Content status: stable

Source: NAIC (Consumer insurance guides) — Explains auto, home, renters, life, and disability insurance and how deductibles affect premiums. https://content.naic.org/consumer

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 C, M-Q4 A, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 B, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 D, F1-Q4 D, F1-Q5 A

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 1 of 5

Learn: Expected loss = probability × size of the loss. It is the average loss per year over many people or many years.

Each year there is a 2% chance of a $5,000 loss. What is the expected yearly loss?

A. $10
B. $100
C. $1,000
D. $5,000

CORRECT ANSWER

B. $100

Feedback (shown after answering)

0.02 × $5,000 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
C: Uses 20%
D: Ignores the probability

Type: instruction

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 2 of 5

Learn: Insurers price premiums above expected losses to cover costs and profit. Buying insurance makes sense for losses you could not afford, not for small ones.

The expected loss on a phone is $60 a year, but protection costs $120 a year. What does that suggest?

A. On average, the plan costs more than it pays
B. The plan is guaranteed to save money every year
C. The phone is certain to break this year
D. Insurers lose money on every plan they sell

CORRECT ANSWER

A. On average, the plan costs more than it pays

Feedback (shown after answering)

The $60 gap is the average cost of transferring the risk.

Why each other choice is wrong (misconception it represents)

B: Ignores averages
C: Misreads expected value
D: Reverses the business model

Type: instruction

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 3 of 5

A $40 extended warranty on a $60 blender covers 2 extra years. Which is usually wiser if Ana has an emergency fund?

A. Buy it, because warranties always pay for themselves
B. Buy two, to double the coverage
C. Skip it and retain the risk
D. Return the blender and never buy appliances

CORRECT ANSWER

C. Skip it and retain the risk

Feedback (shown after answering)

The warranty is two-thirds of the price; the loss is small and affordable.

Why each other choice is wrong (misconception it represents)

A: Overstates value
B: Coverage does not stack
D: Overreacts

Type: knowledge check

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 4 of 5

Learn: Higher deductibles mean lower premiums. Choose a deductible your emergency fund can cover.

Ana compares deductibles: $500 deductible, premium $1,200; $1,000 deductible, premium $1,050. Which yearly savings come with the higher deductible?

A. $150
B. $500
C. $1,050
D. $2,250

CORRECT ANSWER

A. $150

Feedback (shown after answering)

$1,200 − $1,050 = $150 a year.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

B: Gives the deductible difference
C: Gives the new premium
D: Adds the premiums

Type: instruction

MAIN — Use probability and expected value to evaluate premiums, deductibles, and extended warranties · Question 5 of 5

Learn: Expected extra cost = probability of a claim × extra deductible. Compare it with the premium savings. Choose a deductible your emergency fund can cover.

Raising a deductible from $500 to $1,000 saves $150 a year in premiums but adds $500 to the cost of a claim. Assume a 10% chance each year of exactly one claim that would hit the deductible, and no chance of more than one. Is the $1,000 deductible a good bet on average?

A. No; it costs about $350 a year more
B. No; it costs $500 more every year
C. Yes; it saves about $100 a year
D. Yes; it saves $650 every year

CORRECT ANSWER

C. Yes; it saves about $100 a year

Feedback (shown after answering)

Expected extra: 0.10 × $500 = $50. Savings $150 − $50 = $100 a year on average.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Treats a claim as certain: $500 − $150
B: Assumes a claim every year
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Expected value · Question 1 of 5

A 5% chance of losing $2,000 has an expected loss of...

A. $10
B. $100
C. $1,000
D. $2,000

CORRECT ANSWER

B. $100

Feedback (shown after answering)

0.05 × $2,000 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
C: Uses 50%
D: Ignores the probability

Type: knowledge check

BACKWARD B1 · concept review — Expected value · Question 2 of 5

Write 1 in 20 as a decimal.

A. 0.05
B. 0.20
C. 0.5
D. 20.0

CORRECT ANSWER

A. 0.05

Feedback (shown after answering)

1 ÷ 20 = 0.05.

Recomputed independently by the build: 0.05

Why each other choice is wrong (misconception it represents)

B: Uses the 20
C: Misplaces the decimal
D: Inverts the fraction

Type: knowledge check

BACKWARD B1 · concept review — Expected value · Question 3 of 5

Learn: Relative frequency estimates probability: events ÷ total.

Out of 1,000 drivers, 30 file a claim in a year. What is the estimated probability of a claim?

A. 0.3%
B. 3%
C. 30%
D. 97%

CORRECT ANSWER

B. 3%

Feedback (shown after answering)

30 ÷ 1,000 = 0.03 = 3%.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Divides by 10,000
C: Divides by 100
D: Gives the chance of no claim

Type: instruction

BACKWARD B1 · concept review — Expected value · Question 4 of 5

Why are premiums usually higher than the expected loss?

A. Insurers do not know the probabilities
B. Insurers add costs and profit
C. Expected loss is always zero
D. The law requires premiums to double losses

CORRECT ANSWER

B. Insurers add costs and profit

Feedback (shown after answering)

Premiums cover expected claims plus expenses and profit.

Why each other choice is wrong (misconception it represents)

A: They study them closely
C: Misreads expected value
D: Invents a rule

Type: knowledge check

BACKWARD B1 · concept review — Expected value · Question 5 of 5

An emergency fund makes which choice safer?

A. A higher deductible
B. Dropping liability insurance entirely
C. Skipping health coverage
D. Lowering every policy limit

CORRECT ANSWER

A. A higher deductible

Feedback (shown after answering)

Cash on hand can cover a higher deductible.

Why each other choice is wrong (misconception it represents)

B: Large liability risk
C: Large medical risk
D: Increases exposure

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 1 of 5

Learn: Across many independent policies, actual losses tend to come close to the expected total (the law of large numbers). A disaster that hits many insured homes at once, such as a hurricane, breaks this pattern.

An insurer covers 10,000 homes in many different places. Each has a 1% chance of a $50,000 loss, independent of the others. What total claims should it expect?

A. $50,000
B. $500,000
C. $5,000,000
D. $500,000,000

CORRECT ANSWER

C. $5,000,000

Feedback (shown after answering)

10,000 × 0.01 = 100 claims × $50,000 = $5,000,000.

Recomputed independently by the build: 5000000

Why each other choice is wrong (misconception it represents)

A: Counts one claim
B: Uses 0.1%
D: Ignores the probability

Type: instruction

GO DEEPER 1 — How insurers set prices · Question 2 of 5

Expected claims are $5,000,000 for 10,000 homes. What is the expected claim cost per home?

A. $50
B. $500
C. $5,000
D. $50,000

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$5,000,000 ÷ 10,000 = $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Divides by 100,000
C: Divides by 1,000
D: Gives the loss size

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 3 of 5

The insurer adds 25% for expenses and profit to a $500 expected claim cost. What is the premium?

A. $125
B. $500
C. $525
D. $625

CORRECT ANSWER

D. $625

Feedback (shown after answering)

$500 × 1.25 = $625.

Recomputed independently by the build: 625

Why each other choice is wrong (misconception it represents)

A: Gives the added amount
B: Leaves out the markup
C: Adds $25

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 4 of 5

Why do drivers with past accidents usually pay more?

A. Insurers punish drivers to make an example
B. Accidents raise everyone's premiums equally
C. The law sets a fixed fine added to premiums
D. Their estimated chance of a claim is higher

CORRECT ANSWER

D. Their estimated chance of a claim is higher

Feedback (shown after answering)

Higher expected loss means a higher premium.

Why each other choice is wrong (misconception it represents)

A: Not the reason
B: Pricing is individual
C: Confuses with fines

Type: knowledge check

GO DEEPER 1 — How insurers set prices · Question 5 of 5

Learn: When many independent risks are pooled, the total loss is easier to predict. Losses that strike many policyholders at once, such as a regional catastrophe, remain a risk, which is why insurers also buy reinsurance and limit how much they insure in one area.

Why does insurance work better for a large group of independent risks than for a single person?

A. Losses become predictable on average
B. Each person's losses become certain
C. Large groups never have any losses at all
D. Premiums no longer need to be paid

CORRECT ANSWER

A. Losses become predictable on average

Feedback (shown after answering)

With many independent policies, total losses are predictable even though individual ones are not; correlated disasters remain a risk.

Why each other choice is wrong (misconception it represents)

B: Individual losses stay uncertain
C: Misunderstands pooling
D: Misunderstands pooling

Type: instruction

SET 91 · Paying for College and Training

Cost of attendance and net price

MAIN skill: Calculate cost of attendance and net price, and compare colleges by what a family will actually pay

Outcome FL.COLLEGE.91 · National topic: Spending · NJSLS 9.1.12: PB, CDM

Learning target: Calculate cost of attendance and net price to compare postsecondary options

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Comparing costs fairly (5 questions)
  - Why: Net price comparisons subtract only money that never has to be repaid.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: COA and net price add costs and subtract aid.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Lowering the cost (5 questions)

Practical skills beyond the standards: Reading a financial aid award letter; Using a net price calculator

Content status: stable

Source: U.S. Department of Education (College Navigator / net price calculators) — Colleges must post a net price calculator that estimates cost of attendance minus grants and scholarships. https://nces.ed.gov/collegenavigator/

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 B, F1-Q4 C, F1-Q5 A

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 1 of 5

Learn: Cost of attendance (COA) is a college's estimate of a full year: tuition and fees, housing and food, books and supplies, transportation, and personal expenses.

College A lists tuition $14,000, housing and food $13,000, books $1,200, transportation $1,800, and personal costs $2,000. What is the cost of attendance?

A. $14,000
B. $27,000
C. $30,200
D. $32,000

CORRECT ANSWER

D. $32,000

Feedback (shown after answering)

$14,000 + $13,000 + $1,200 + $1,800 + $2,000 = $32,000.

Recomputed independently by the build: 32000

Why each other choice is wrong (misconception it represents)

A: Counts only tuition
B: Counts tuition and housing only
C: Leaves out transportation

Type: instruction

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 2 of 5

Learn: Net price = cost of attendance − grants and scholarships (gift aid, which does not have to be repaid). Loans are not subtracted, because they must be paid back.

College A's COA is $32,000. Kira receives a $9,000 grant and a $3,000 scholarship. What is her net price?

A. $12,000
B. $20,000
C. $23,000
D. $32,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

$32,000 − $9,000 − $3,000 = $20,000.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Gives the gift aid
C: Subtracts only the grant
D: Ignores gift aid

Type: instruction

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 3 of 5

Learn: Award letters mix gift aid with "self-help" aid: work-study (money you earn at a job) and loans (money you repay). Only gift aid lowers the net price.

College B's award lists COA $45,000; grants $22,000; work-study $2,500; loans $5,500. What is the net price?

A. $15,000
B. $20,500
C. $23,000
D. $45,000

CORRECT ANSWER

C. $23,000

Feedback (shown after answering)

$45,000 − $22,000 = $23,000. Work-study must be earned and loans must be repaid.

Recomputed independently by the build: 23000

Why each other choice is wrong (misconception it represents)

A: Subtracts loans and work-study too
B: Subtracts work-study as if it were a grant
D: Ignores every form of aid

Type: instruction · practical how-to

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 4 of 5

Learn: Every college must post a net price calculator. It estimates what a student like you would pay after grants, which can differ a lot from the listed price.

A private college lists $60,000 and a state college lists $30,000. What should Kira do before ruling out the private college?

A. Assume the sticker price is what every family pays
B. Choose the cheaper sticker price without comparing aid
C. Run each college's net price calculator
D. Apply only to the more expensive one, since it must be better

CORRECT ANSWER

C. Run each college's net price calculator

Feedback (shown after answering)

Net price calculators show likely cost after grants.

Why each other choice is wrong (misconception it represents)

A: Ignores aid
B: Sticker price can mislead
D: Price does not equal quality

Type: instruction · practical how-to

MAIN — Calculate cost of attendance and net price, and compare colleges by what a family will actually pay · Question 5 of 5

Learn: Gift aid (grants and scholarships) does not have to be repaid. Self-help aid (loans and work-study) must be repaid or earned.

Which counts as gift aid?

A. A federal Direct Unsubsidized Loan
B. A need-based grant
C. A campus job through work-study
D. A loan a parent takes out for the student

CORRECT ANSWER

B. A need-based grant

Feedback (shown after answering)

Grants and scholarships are gift aid; loans and work-study are self-help aid.

Why each other choice is wrong (misconception it represents)

A: Must be repaid
C: Earned by working
D: Must be repaid

Type: instruction

BACKWARD B1 · concept review — Comparing costs fairly · Question 1 of 5

Which aid must be repaid?

A. A scholarship for good grades
B. A state grant based on need
C. A tuition waiver from the college
D. A student loan

CORRECT ANSWER

D. A student loan

Feedback (shown after answering)

Loans are repaid with interest.

Why each other choice is wrong (misconception it represents)

A: Gift aid
B: Gift aid
C: Gift aid

Type: knowledge check

BACKWARD B1 · concept review — Comparing costs fairly · Question 2 of 5

Tuition $10,000 and fees $1,500. What is tuition plus fees?

A. $8,500
B. $10,150
C. $11,500
D. $15,000

CORRECT ANSWER

C. $11,500

Feedback (shown after answering)

$10,000 + $1,500 = $11,500.

Recomputed independently by the build: 11500

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Misplaces a digit
D: Misreads $1,500

Type: knowledge check

BACKWARD B1 · concept review — Comparing costs fairly · Question 3 of 5

COA $25,000 minus $10,000 of grants is...

A. $10,000
B. $15,000
C. $25,000
D. $35,000

CORRECT ANSWER

B. $15,000

Feedback (shown after answering)

$25,000 − $10,000 = $15,000.

Recomputed independently by the build: 15000

Why each other choice is wrong (misconception it represents)

A: Gives the grants
C: Ignores grants
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Comparing costs fairly · Question 4 of 5

Learn: Federal Work-Study helps students find part-time jobs; pay is earned over the year, not given up front.

What is work-study?

A. A grant applied to tuition automatically
B. A part-time job that pays the student
C. A loan with no interest
D. Credit for an internship class

CORRECT ANSWER

B. A part-time job that pays the student

Feedback (shown after answering)

Work-study is earned wages.

Why each other choice is wrong (misconception it represents)

A: Must be earned
C: Not a loan
D: Confuses aid with coursework

Type: instruction

BACKWARD B1 · concept review — Comparing costs fairly · Question 5 of 5

Why compare net price instead of sticker price?

A. Sticker price already includes every scholarship
B. Net price is set by the government for all colleges
C. Net price already subtracts the loans offered
D. Aid can change the true cost a lot

CORRECT ANSWER

D. Aid can change the true cost a lot

Feedback (shown after answering)

Net price is what a family actually pays before loans.

Why each other choice is wrong (misconception it represents)

A: Misreads sticker price
B: Misunderstands pricing
C: Confuses loans with gift aid

Type: knowledge check

GO DEEPER 1 — Lowering the cost · Question 1 of 5

Learn: Starting at a community college and transferring can save a lot. New Jersey colleges have transfer agreements so credits count toward a degree.

Kira spends 2 years at a community college ($5,000 a year net) and 2 years at a state college ($20,000 a year net), instead of 4 years at the state college. How much does she save?

A. $15,000
B. $30,000
C. $50,000
D. $80,000

CORRECT ANSWER

B. $30,000

Feedback (shown after answering)

4 × $20,000 = $80,000; 2 × $5,000 + 2 × $20,000 = $50,000; savings $30,000.

Recomputed independently by the build: 30000

Why each other choice is wrong (misconception it represents)

A: Compares one year only
C: Gives the new total
D: Gives the original total

Type: instruction

GO DEEPER 1 — Lowering the cost · Question 2 of 5

Kira earns 12 college credits in high school through dual enrollment. A college charges $400 a credit. How much tuition might she save?

A. $412
B. $480
C. $4,800
D. $48,000

CORRECT ANSWER

C. $4,800

Feedback (shown after answering)

12 × $400 = $4,800.

Recomputed independently by the build: 4800

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: knowledge check

GO DEEPER 1 — Lowering the cost · Question 3 of 5

Living at home saves $13,000 a year in housing and food, but commuting costs $2,500 a year. What is the net yearly savings?

A. $2,500
B. $10,500
C. $13,000
D. $15,500

CORRECT ANSWER

B. $10,500

Feedback (shown after answering)

$13,000 − $2,500 = $10,500.

Recomputed independently by the build: 10500

Why each other choice is wrong (misconception it represents)

A: Gives commuting costs
C: Ignores commuting costs
D: Adds commuting costs

Type: knowledge check

GO DEEPER 1 — Lowering the cost · Question 4 of 5

Learn: Legitimate scholarships do not charge fees or guarantee awards. Free searches are offered by schools, libraries, and the U.S. Department of Labor's CareerOneStop.

Which is a red flag when searching for scholarships?

A. An essay about your goals
B. A deadline for submitting
C. A fee to apply for a "guaranteed" scholarship
D. A request for your transcript

CORRECT ANSWER

C. A fee to apply for a "guaranteed" scholarship

Feedback (shown after answering)

Paying for a "guaranteed" scholarship is a scam sign.

Why each other choice is wrong (misconception it represents)

A: Common requirement
B: Normal
D: Normal

Type: instruction · practical how-to

GO DEEPER 1 — Lowering the cost · Question 5 of 5

Learn: A 529 plan lets families invest for education; earnings are tax-free when used for qualified costs. New Jersey's plan is NJBEST.

A 529 plan is used for…

A. Saving for education with tax advantages
B. Paying monthly tuition with a low-interest card
C. Retirement only, with penalties for college
D. Borrowing at a low rate

CORRECT ANSWER

A. Saving for education with tax advantages

Feedback (shown after answering)

529 plans are tax-advantaged education savings.

Why each other choice is wrong (misconception it represents)

B: Confuses saving with borrowing
C: Confuses with an IRA
D: It is savings, not a loan

Type: instruction · rule as of As of 2026

SET 92 · Paying for College and Training

The FAFSA and financial aid

MAIN skill: Explain how to apply for financial aid and the types of federal, state, and school aid

Outcome FL.COLLEGE.92 · National topic: Spending · NJSLS 9.1.12: PB, FI

Learning target: Explain the process and types of financial aid for postsecondary education

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Kinds of financial aid (5 questions)

Why: Understanding the FAFSA requires knowing what aid it unlocks.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: After the FAFSA (5 questions)

Practical skills beyond the standards: Filing the FAFSA; Appealing an aid offer

Content status: time-sensitive

Source: Federal Student Aid (FAFSA) — The FAFSA is the free application for federal grants, work-study, and loans; it calculates a Student Aid Index (SAI). Never pay to file it. https://studentaid.gov/h/apply-for-aid/fafsa

Source: New Jersey Higher Education Student Assistance Authority (HESAA) — New Jersey state aid programs, such as the Tuition Aid Grant (TAG), use the FAFSA or the New Jersey Alternative Financial Aid Application. https://www.hesaa.org/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 B, M-Q4 B, M-Q5 A, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 B, F1-Q1 A, F1-Q2 B, F1-Q3 C, F1-Q4 D, F1-Q5 D

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 1 of 5

Learn: The Free Application for Federal Student Aid (FAFSA) is used for federal grants (such as the Pell Grant), work-study, and federal loans. Many states and colleges use it for their own aid. It is free; never pay to file.

Kira wants federal grants, work-study, and federal loans for college. What should she do first?

A. Pay a service to apply for aid for her
B. Apply for a private student loan
C. Wait for colleges to send aid without applying
D. File the FAFSA

CORRECT ANSWER

D. File the FAFSA

Feedback (shown after answering)

The FAFSA is free and opens the door to federal, state, and college aid.

Why each other choice is wrong (misconception it represents)

A: Applying is free; paid services are unnecessary
B: Borrows before free aid
C: Federal aid requires an application

Type: instruction · practical how-to

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 2 of 5

Learn: The FAFSA is filed for each school year. Some state and school aid runs out, so deadlines and early filing matter. Check each college's and your state's deadline.

Why should Kira file the FAFSA as early as she can?

A. Filing late adds interest to every grant
B. Early filers are guaranteed a full scholarship
C. Some aid is limited and given out early
D. The FAFSA can be filed only once in a lifetime

CORRECT ANSWER

C. Some aid is limited and given out early

Feedback (shown after answering)

Limited funds go to early filers first; file every year.

Why each other choice is wrong (misconception it represents)

A: Grants do not charge interest
B: Invents a guarantee
D: It is filed each year

Type: instruction · practical how-to

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 3 of 5

Learn: The FAFSA calculates a Student Aid Index (SAI), which replaced the Expected Family Contribution. Colleges figure need as cost of attendance − SAI (and other aid).

Two students have the same cost of attendance. Student A's Student Aid Index (SAI) is $2,000; Student B's is $15,000. Who shows more financial need?

A. Student B
B. Student A
C. They show the same need
D. Neither, because the SAI is a credit score

CORRECT ANSWER

B. Student A

Feedback (shown after answering)

A lower SAI leaves a larger gap between cost and SAI, so Student A shows more need.

Why each other choice is wrong (misconception it represents)

A: Reverses the meaning of the SAI
C: Ignores the SAI
D: Confuses the SAI with a credit score

Type: instruction · rule as of FAFSA rules as of 2026

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 4 of 5

Learn: Financial need = cost of attendance − Student Aid Index.

Kira's COA is $30,000 and her SAI is $8,000. What is her financial need?

A. $8,000
B. $22,000
C. $30,000
D. $38,000

CORRECT ANSWER

B. $22,000

Feedback (shown after answering)

$30,000 − $8,000 = $22,000.

Recomputed independently by the build: 22000

Why each other choice is wrong (misconception it represents)

A: Gives the SAI
C: Gives the COA
D: Adds

Type: instruction

MAIN — Explain how to apply for financial aid and the types of federal, state, and school aid · Question 5 of 5

Learn: You create a StudentAid.gov account (FSA ID) and provide personal and tax information; parents may be "contributors" who consent to share tax data.

Which information is needed to complete the FAFSA?

A. Tax information for the student and contributors
B. Your Social Security card number shared on social media
C. A bank loan already approved
D. Your college acceptance letter

CORRECT ANSWER

A. Tax information for the student and contributors

Feedback (shown after answering)

The FAFSA uses tax information from the student and any contributors.

Why each other choice is wrong (misconception it represents)

B: Never share it publicly
C: Not required
D: Not required to file

Type: instruction · practical how-to

BACKWARD B1 · concept review — Kinds of financial aid · Question 1 of 5

A Pell Grant is...

A. Federal need-based aid that is not repaid
B. A private loan from a bank
C. A merit scholarship awarded by one college
D. A tax credit for college costs

CORRECT ANSWER

A. Federal need-based aid that is not repaid

Feedback (shown after answering)

Pell Grants are federal gift aid based on need.

Why each other choice is wrong (misconception it represents)

B: Not a loan
C: Federal, need-based
D: Confuses grants with tax credits

Type: knowledge check

BACKWARD B1 · concept review — Kinds of financial aid · Question 2 of 5

Merit aid is based on...

A. Only family income
B. Achievement, such as grades or talent
C. How much a student borrows
D. The student's Student Aid Index

CORRECT ANSWER

B. Achievement, such as grades or talent

Feedback (shown after answering)

Merit aid rewards achievement.

Why each other choice is wrong (misconception it represents)

A: Need-based
C: Confuses aid with loans
D: Confuses merit with need

Type: knowledge check

BACKWARD B1 · concept review — Kinds of financial aid · Question 3 of 5

Learn: States offer their own aid. In New Jersey, HESAA runs programs such as the Tuition Aid Grant (TAG).

New Jersey's Tuition Aid Grant (TAG) is an example of...

A. A federal loan
B. A private scholarship
C. State gift aid
D. A work-study job

CORRECT ANSWER

C. State gift aid

Feedback (shown after answering)

TAG is state need-based grant aid.

Why each other choice is wrong (misconception it represents)

A: State program
B: State program
D: Not employment

Type: instruction · rule as of As of 2026

BACKWARD B1 · concept review — Kinds of financial aid · Question 4 of 5

How often should a college student file the FAFSA?

A. Only once, before freshman year
B. Only if family income changes
C. Every four years
D. Every year

CORRECT ANSWER

D. Every year

Feedback (shown after answering)

Aid is awarded one year at a time.

Why each other choice is wrong (misconception it represents)

A: Must renew
B: Misses yearly renewal
C: Aid is yearly

Type: knowledge check

BACKWARD B1 · concept review — Kinds of financial aid · Question 5 of 5

$30,000 − $12,000 = ?

A. $12,000
B. $18,000
C. $28,000
D. $42,000

CORRECT ANSWER

B. $18,000

Feedback (shown after answering)

$30,000 − $12,000 = $18,000.

Recomputed independently by the build: 18000

Why each other choice is wrong (misconception it represents)

A: Gives the second number
C: Subtracts $2,000
D: Adds

Type: knowledge check

GO DEEPER 1 — After the FAFSA · Question 1 of 5

Learn: Compare award letters by net price (COA − gift aid), then look at how much would be borrowed.

Two award letters: College A net price $18,000 with $5,500 in loans offered; College B net price $15,000 with $9,000 in loans offered. Which has the lower net price?

A. College B, by $3,000
B. College A, by $3,000
C. College B, by $3,500
D. College A, by $3,500

CORRECT ANSWER

A. College B, by $3,000

Feedback (shown after answering)

$18,000 − $15,000 = $3,000 lower at B.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Compares the loans
D: Uses the loans to decide

Type: instruction · practical how-to

GO DEEPER 1 — After the FAFSA · Question 2 of 5

Learn: Financial aid administrators can adjust aid for special circumstances with documentation.

A family's income dropped sharply after the year used on the FAFSA. What can they do?

A. Nothing; aid can never change
B. Ask the aid office for a professional judgment review
C. File a second FAFSA with made-up numbers
D. Wait until next year to mention it

CORRECT ANSWER

B. Ask the aid office for a professional judgment review

Feedback (shown after answering)

Aid offices can review special circumstances.

Why each other choice is wrong (misconception it represents)

A: Misses special circumstances
C: Fraud
D: Loses a chance for help

Type: instruction · practical how-to

GO DEEPER 1 — After the FAFSA · Question 3 of 5

A scholarship's rules say it is renewable if the student keeps a 3.0 GPA. Kira's GPA falls to 2.8. What likely happens?

A. It is paused but returns automatically next term
B. It turns into a loan she must repay
C. She may lose the scholarship
D. Nothing, since rules apply only to freshmen

CORRECT ANSWER

C. She may lose the scholarship

Feedback (shown after answering)

Renewal conditions matter; read them.

Why each other choice is wrong (misconception it represents)

A: Ignores renewal rules
B: Confuses losing aid with conversion
D: Invents an exception

Type: knowledge check

GO DEEPER 1 — After the FAFSA · Question 4 of 5

A $10,000 scholarship is renewable for 4 years. What is its total value if kept every year?

A. $2,500
B. $10,000
C. $14,000
D. $40,000

CORRECT ANSWER

D. $40,000

Feedback (shown after answering)

4 × $10,000 = $40,000.

Recomputed independently by the build: 40000

Why each other choice is wrong (misconception it represents)

A: Divides by 4
B: One year
C: Adds 4,000

Type: knowledge check

GO DEEPER 1 — After the FAFSA · Question 5 of 5

Federal aid has a "satisfactory academic progress" rule. What does that require?

A. Earning straight A's
B. Living on campus
C. Taking at least 18 credits each term
D. Passing enough classes at a minimum GPA

CORRECT ANSWER

D. Passing enough classes at a minimum GPA

Feedback (shown after answering)

Students must meet GPA and completion standards to keep aid.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Unrelated requirement
C: Overstates the rule

Type: knowledge check

SET 93 · Paying for College and Training

Student loans: federal, private, and interest

MAIN skill: Compare federal and private student loans and calculate interest that accrues during school

Outcome FL.COLLEGE.93 · National topic: Managing Credit · NJSLS 9.1.12: CDM, FI

Learning target: Compare federal and private student loans and calculate interest that accrues during school

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Simple interest over time (5 questions)
  - Why: Accrued interest on student loans uses $I = P \times r \times t$.
- B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest
  - Why: In-school interest on unsubsidized loans is simple interest.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Borrowing wisely (5 questions)

Practical skills beyond the standards: Reading a Master Promissory Note

Content status: time-sensitive

Source: Federal Student Aid (Loan types) — Interest on Direct Subsidized Loans is paid by the government while the student is in school at least half-time; Direct Unsubsidized Loans accrue interest from disbursement. Federal loan rates are fixed for the life of each loan and set each year. https://studentaid.gov/understand-aid/types/loans

Source: CFPB (Private student loans) — Private student loans may have variable rates, require a cosigner, and lack federal protections such as income-driven repayment. https://www.consumerfinance.gov/consumer-tools/student-loans/

Source: U.S. Department of Education (2022 final rule, interest capitalization) — Since July 1, 2023, Direct Loans no longer capitalize interest when a borrower enters repayment (some events still capitalize interest); private loans follow their own contracts. https://fsapartners.ed.gov/fsa-print/publication/1004279

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 B, M-Q4 D, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 C, B1-Q5 B, F1-Q1 C, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 A

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 1 of 5

Learn: On a Direct Unsubsidized Loan, interest accrues (builds) from the day the money is paid out, even during school. Simple interest = principal × rate × time.

Kira borrows a $5,500 unsubsidized loan at 6%. Interest builds for 4 years while she is in school. How much simple interest accrues?

A. $0
B. $330
C. $1,320
D. $6,820

CORRECT ANSWER

C. $1,320

Feedback (shown after answering)

$5,500 × 0.06 × 4 = $1,320.

Recomputed independently by the build: 1320

Why each other choice is wrong (misconception it represents)

A: Treats it as subsidized
B: Uses 1 year
D: Gives the new balance

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 2 of 5

Learn: When unpaid interest is added to the principal, it is "capitalized," and future interest is charged on the larger balance. Private loan contracts set their own capitalization rules. Federal Direct Loans no longer capitalize interest when repayment first begins; unpaid interest is still owed, but it stays separate from principal except at certain events.

Kira has a private student loan of $5,500. Its contract says unpaid interest is added to the balance when repayment begins. $1,320 of interest is unpaid at that time. What is the new balance?

A. $1,320
B. $4,180
C. $5,500
D. $6,820

CORRECT ANSWER

D. $6,820

Feedback (shown after answering)

$5,500 + $1,320 = $6,820 under this private loan's contract.

Recomputed independently by the build: 6820

Why each other choice is wrong (misconception it represents)

A: Gives the interest only
B: Subtracts the interest
C: Ignores the added interest

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 3 of 5

Learn: For Direct Subsidized Loans (need-based), the government pays the interest while the student is in school at least half-time. For unsubsidized loans, the student is responsible for all interest.

What is the key difference between subsidized and unsubsidized federal loans?

A. Only unsubsidized loans must be repaid
B. Who pays the interest during school
C. Subsidized loans come from private banks
D. Unsubsidized loans have no interest at all

CORRECT ANSWER

B. Who pays the interest during school

Feedback (shown after answering)

Subsidized: government pays in-school interest. Unsubsidized: interest accrues.

Why each other choice is wrong (misconception it represents)

A: Both are repaid
C: Both are federal
D: Reverses the meaning

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 4 of 5

Learn: Federal loans have fixed rates set each year and protections such as income-driven repayment and deferment. Private loans depend on credit, often need a cosigner, may have variable rates, and have fewer protections.

Which is usually true of private student loans compared with federal ones?

A. They always have a lower fixed rate than federal loans
B. They include income-driven repayment by law
C. They need no credit check at all
D. They may need a cosigner

CORRECT ANSWER

D. They may need a cosigner

Feedback (shown after answering)

Private loans depend on credit and often need a cosigner.

Why each other choice is wrong (misconception it represents)

A: Not always
B: Federal feature
C: Private lenders check credit

Type: instruction

MAIN — Compare federal and private student loans and calculate interest that accrues during school · Question 5 of 5

In what order do experts usually suggest paying for college?

A. Private loans first, since they are easiest
B. Credit cards first, then grants
C. Gift aid and savings, then federal loans, then private
D. Federal loans before applying for grants

CORRECT ANSWER

C. Gift aid and savings, then federal loans, then private

Feedback (shown after answering)

Use free money first, then federal loans, and private loans last.

Why each other choice is wrong (misconception it represents)

A: Gives up protections
B: Most expensive debt first
D: Borrows before free money

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Simple interest over time · Question 1 of 5

Learn: Simple interest = principal × rate × years.

Simple interest on $1,000 at 5% for 2 years is...

A. $10
B. $50
C. $100
D. $1,100

CORRECT ANSWER

C. $100

Feedback (shown after answering)

$1,000 × 0.05 × 2 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
B: Uses 1 year
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Simple interest over time · Question 2 of 5

Write 6% as a decimal.

A. 0.006
B. 0.06
C. 0.6
D. 6.0

CORRECT ANSWER

B. 0.06

Feedback (shown after answering)

6 ÷ 100 = 0.06.

Recomputed independently by the build: 0.06

Why each other choice is wrong (misconception it represents)

A: Moves the decimal three places
C: Moves the decimal one place
D: Leaves it as a whole number

Type: knowledge check

BACKWARD B1 · concept review — Simple interest over time · Question 3 of 5

A loan "accrues interest." What does that mean?

A. Interest builds up over time
B. Interest is forgiven
C. Interest is charged only once, at the start
D. The rate is lowered over time

CORRECT ANSWER

A. Interest builds up over time

Feedback (shown after answering)

Accruing interest adds to what is owed.

Why each other choice is wrong (misconception it represents)

B: Reverses the meaning
C: Misunderstands accrual
D: Misreads the term

Type: knowledge check

BACKWARD B1 · concept review — Simple interest over time · Question 4 of 5

$3,000 at 4% for 3 years: simple interest?

A. $36
B. $120
C. $360
D. $3,360

CORRECT ANSWER

C. $360

Feedback (shown after answering)

$3,000 × 0.04 × 3 = $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Misplaces a decimal
B: Uses 1 year
D: Gives the total

Type: knowledge check

BACKWARD B1 · concept review — Simple interest over time · Question 5 of 5

Which loan costs more by graduation, if both are $5,000 at the same rate?

A. The subsidized loan
B. The unsubsidized loan
C. They cost exactly the same
D. Neither charges interest ever

CORRECT ANSWER

B. The unsubsidized loan

Feedback (shown after answering)

Unsubsidized loans accrue interest during school.

Why each other choice is wrong (misconception it represents)

A: Interest is paid for you
C: Ignores accrual
D: Misunderstands student loans

Type: knowledge check

GO DEEPER 1 — Borrowing wisely · Question 1 of 5

Learn: On an unsubsidized loan, interest builds during school. Paying it as it builds means no unpaid interest is left to grow the debt or to be capitalized later.

Kira's $5,500 unsubsidized loan at 6% builds $27.50 of interest a month. If she pays that interest each month during 48 months of school, how much does she pay?

A. $27.50
B. $330
C. $1,320
D. $5,500

CORRECT ANSWER

C. $1,320

Feedback (shown after answering)

$27.50 × 48 = $1,320, and she owes only the $5,500 principal when school ends.

Recomputed independently by the build: 1320

Why each other choice is wrong (misconception it represents)

A: One month
B: One year
D: Gives the principal

Type: instruction

GO DEEPER 1 — Borrowing wisely · Question 2 of 5

A private loan has a variable rate starting at 5%. What could happen?

A. The rate can only go down
B. The rate is fixed by federal law
C. Payments stay the same no matter what
D. The rate and payment could rise

CORRECT ANSWER

D. The rate and payment could rise

Feedback (shown after answering)

Variable rates follow market rates up or down.

Why each other choice is wrong (misconception it represents)

A: Variable means it can rise
B: Private loans are not
C: Variable rates change payments

Type: knowledge check

GO DEEPER 1 — Borrowing wisely · Question 3 of 5

Learn: Origination fees are taken out before the money is sent, so the student receives less than the amount borrowed.

A federal loan has a 1% origination fee. On a $5,500 loan, how much is the fee?

A. $5.50
B. $55
C. $550
D. $5,445

CORRECT ANSWER

B. $55

Feedback (shown after answering)

$5,500 × 0.01 = $55.

Recomputed independently by the build: 55

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses 10%
D: Gives the net amount

Type: instruction · rule as of Fee rates change each year

GO DEEPER 1 — Borrowing wisely · Question 4 of 5

A parent cosigns Kira's private loan. Who is responsible if Kira cannot pay?

A. No one; private loans are forgiven
B. The college that received the money
C. The parent
D. The federal government

CORRECT ANSWER

C. The parent

Feedback (shown after answering)

A cosigner is legally responsible for the debt.

Why each other choice is wrong (misconception it represents)

A: Believes in automatic forgiveness
B: Confuses lender and school
D: Private loan

Type: knowledge check

GO DEEPER 1 — Borrowing wisely · Question 5 of 5

Learn: Aid paperwork: the FAFSA applies for aid; the award letter lists what a college offers; the Master Promissory Note (MPN) is the legal promise to repay a federal loan, with its terms and rights. Entrance counseling explains the loan.

Which should Kira read before signing a federal loan?

A. The Master Promissory Note
B. Her financial aid award letter only
C. Her FAFSA confirmation page
D. The college's net price calculator

CORRECT ANSWER

A. The Master Promissory Note

Feedback (shown after answering)

The MPN is the loan contract.

Why each other choice is wrong (misconception it represents)

B: Shows aid offered, not loan terms
C: Confirms an application, not loan terms
D: Estimates cost, not loan terms

Type: instruction · practical how-to

SET 94 · Paying for College and Training

Repaying loans and return on investment

MAIN skill: Estimate student loan payments and judge borrowing against expected earnings

Outcome FL.COLLEGE.94 · National topic: Managing Credit · NJSLS 9.1.12: CDM, PB

Learning target: Estimate student loan repayment and evaluate the return on investment of education

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments, totals, and time (5 questions)
  Why: Comparing repayment plans uses payment × months.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Total paid is a payment times the number of months.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Payment-to-income compares a payment with income as a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Return on education (5 questions)

Practical skills beyond the standards: Contacting a loan servicer; Using College Scorecard

Content status: time-sensitive

Source: Federal Student Aid (Repayment) — Federal law changed student loan repayment options in 2025-2026; borrowers should check current plans, including income-driven options, at StudentAid.gov. https://studentaid.gov/manage-loans/repayment

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 A, M-Q4 B, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 C, B1-Q5 B, F1-Q1 A, F1-Q2 A, F1-Q3 C, F1-Q4 C, F1-Q5 B

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 1 of 5

Learn: Most federal loans offer a standard 10-year plan. Total paid = payment × 120; interest = total paid − amount borrowed.

Kira borrows $27,000 at 6% on a 10-year plan. Her payment is $299.76 a month. How much interest will she pay in total?

A. $1,620.00
B. $8,971.20
C. $16,200.00
D. $35,971.20

CORRECT ANSWER

B. $8,971.20

Feedback (shown after answering)

$299.76 × 120 = $35,971.20; − $27,000 = $8,971.20.

Recomputed independently by the build: 8971.2

Why each other choice is wrong (misconception it represents)

A: Uses 6% for one year
C: Uses 6% simple interest for 10 years
D: Gives the total paid

Type: instruction

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 2 of 5

Kira borrows $27,000 at 6% on a 20-year plan, with a payment of $193.44. How much interest is paid in total?

A. $8,971.20
B. $10,454.40
C. $19,425.60
D. $46,425.60

CORRECT ANSWER

C. $19,425.60

Feedback (shown after answering)

$193.44 × 240 = $46,425.60; − $27,000 = $19,425.60.

Recomputed independently by the build: 19425.6

Why each other choice is wrong (misconception it represents)

A: Gives the 10-year interest
B: Gives the extra interest only
D: Gives the total paid

Type: knowledge check

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 3 of 5

Learn: Return on investment (ROI) compares what education costs with what it is likely to earn. A common rule of thumb: keep total borrowing at or below your expected starting salary.

A guideline says total student debt should not exceed the expected first-year salary. Kira expects $45,000. Which borrowing fits?

A. $27,000
B. $52,000
C. $60,000
D. $90,000

CORRECT ANSWER

A. $27,000

Feedback (shown after answering)

$27,000 is below $45,000.

Recomputed independently by the build: 27000

Why each other choice is wrong (misconception it represents)

B: Exceeds the salary
C: Exceeds the salary
D: Twice the salary

Type: instruction

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 4 of 5

Kira's loan payment is $299.76, and she earns $3,750 a month. What percent of her income goes to the loan, to the nearest whole percent?

A. 3%
B. 8%
C. 12%
D. 80%

CORRECT ANSWER

B. 8%

Feedback (shown after answering)

$299.76 ÷ $3,750 ≈ 0.08 = 8%.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Uses $10,000 monthly income
C: Divides by $2,500
D: Misplaces the decimal

Type: knowledge check

MAIN — Estimate student loan payments and judge borrowing against expected earnings · Question 5 of 5

Learn: Federal loans offer options such as deferment, forbearance, and income-driven repayment. Repayment rules changed in 2025-2026, so check StudentAid.gov for current plans. Default can lead to collections and wage garnishment.

Kira lost her job and cannot make her federal loan payment. What should she do first?

A. Stop paying and ignore the letters
B. Take a payday loan to pay it
C. Use a credit card to make the payments
D. Contact her servicer about options

CORRECT ANSWER

D. Contact her servicer about options

Feedback (shown after answering)

Contacting the loan servicer early opens options and avoids default.

Why each other choice is wrong (misconception it represents)

A: Leads to default
B: Costly debt
C: Trades one debt for a costlier one

Type: instruction · practical how-to · rule as of Federal repayment rules changing 2025-2026

BACKWARD B1 · concept review — Payments, totals, and time · Question 1 of 5

120 months is how many years?

A. 1.2
B. 10
C. 12
D. 100

CORRECT ANSWER

B. 10

Feedback (shown after answering)

120 ÷ 12 = 10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Divides by 10
D: Rounds

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 2 of 5

$200 a month for 120 months is...

A. $320
B. $2,400
C. $24,000
D. $240,000

CORRECT ANSWER

C. $24,000

Feedback (shown after answering)

$200 × 120 = $24,000.

Recomputed independently by the build: 24000

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 3 of 5

Paid $24,000 on a $20,000 loan. Interest was...

A. $2,000
B. $4,000
C. $24,000
D. $44,000

CORRECT ANSWER

B. $4,000

Feedback (shown after answering)

$24,000 − $20,000 = $4,000.

Recomputed independently by the build: 4000

Why each other choice is wrong (misconception it represents)

A: Halves
C: Gives the total
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 4 of 5

A longer repayment term usually means…

A. Higher payments and less interest
B. The same total interest
C. Lower payments but more total interest
D. No interest is charged after year 5 of repayment

CORRECT ANSWER

C. Lower payments but more total interest

Feedback (shown after answering)

Longer terms trade lower payments for more interest.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores time
D: Invents a rule

Type: knowledge check

BACKWARD B1 · concept review — Payments, totals, and time · Question 5 of 5

What is default on a federal student loan?

A. Choosing the standard plan
B. Failing to repay as agreed for a long period
C. Paying early
D. Being in school

CORRECT ANSWER

B. Failing to repay as agreed for a long period

Feedback (shown after answering)

Default follows long nonpayment and has serious consequences.

Why each other choice is wrong (misconception it represents)

A: Normal plan
C: Allowed
D: Not default

Type: knowledge check

GO DEEPER 1 — Return on education · Question 1 of 5

Learn: Payback time = cost ÷ yearly pay increase. It is a simple way to compare programs.

A certificate costs $12,000 and raises expected pay by $8,000 a year. How many years to earn back the cost?

A. 1.5 years
B. 0.67 years
C. 4 years
D. 20 years

CORRECT ANSWER

A. 1.5 years

Feedback (shown after answering)

$12,000 ÷ $8,000 = 1.5 years.

Recomputed independently by the build: 1.5

Why each other choice is wrong (misconception it represents)

B: Divides the raise by the cost
C: Divides by $3,000
D: Adds the amounts

Type: instruction

GO DEEPER 1 — Return on education · Question 2 of 5

Program A: $40,000 total cost, typical starting pay $55,000. Program B: $100,000 cost, starting pay $50,000. Which has the better debt-to-salary picture?

A. Program A
B. Program B, since it costs more
C. They are the same
D. Program B, because its tuition is higher

CORRECT ANSWER

A. Program A

Feedback (shown after answering)

A costs less and pays more.

Why each other choice is wrong (misconception it represents)

B: Cost is not quality
C: Ignores the numbers
D: Equates price with value

Type: knowledge check

GO DEEPER 1 — Return on education · Question 3 of 5

Where can students compare typical earnings and debt for a college's programs?

A. A social media influencer's post
B. A student loan lender's ad
C. The U.S. Department of Education's College Scorecard
D. A college's own brochure

CORRECT ANSWER

C. The U.S. Department of Education's College Scorecard

Feedback (shown after answering)

College Scorecard shows costs, debt, and earnings by school and field.

Why each other choice is wrong (misconception it represents)

A: Not a reliable data source
B: Not a neutral source
D: Not a neutral comparison

Type: knowledge check · practical how-to

GO DEEPER 1 — Return on education · Question 4 of 5

Learn: Apprenticeships and trade programs can lead to good jobs with little or no debt.

An apprenticeship pays $18 an hour while training, 2,000 hours a year. What does it earn in a year?

A. $2,018
B. $3,600
C. $36,000
D. $360,000

CORRECT ANSWER

C. $36,000

Feedback (shown after answering)

$18 × 2,000 = $36,000.

Recomputed independently by the build: 36000

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: instruction

GO DEEPER 1 — Return on education · Question 5 of 5

Kira compares a $20,000 loan at 10% ($264.30 a month) with one at 6% ($222.04) over 10 years. How much less total interest is paid at 6%?

A. $42.26
B. $5,071.20
C. $6,644.80
D. $11,716.00

CORRECT ANSWER

B. $5,071.20

Feedback (shown after answering)

$264.30 × 120 = $31,716; $222.04 × 120 = $26,644.80; difference $5,071.20.
Recomputed independently by the build: 5071.2

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
C: Gives the 6% interest
D: Gives the 10% interest

Type: knowledge check

SET 95 · Entrepreneurship and Self-Employment

Revenue, costs, profit, and break-even

MAIN skill: Calculate profit and the break-even point for a small business

Outcome FL.BIZ.95 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: Calculate profit and break-even for a small business and explain the role of fixed and variable costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Revenue and costs (5 questions)
  - Why: Profit and break-even rest on separating revenue from costs.
- B2 · Math link → G8-S22-M (Grade 8 8.EE.C.8.c): Write and solve systems of linear equations for real-world problems
  - Why: Break-even is where the revenue line meets the cost line.
- B3 · Math link → ALG1-S20-M (Algebra 1 HSA-CED.A.1): Create linear equations and inequalities in one variable and use them to solve problems
  - Why: Profit goals lead to equations such as $12x - 600 = 360$.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Using break-even to plan (5 questions)
- Go Deeper 2: Cash flow and records (5 questions)

Practical skills beyond the standards: Finding a break-even point; Separating business and personal money

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 B, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 B, F2-Q3 C, F2-Q4 B, F2-Q5 C

MAIN — Calculate profit and the break-even point for a small business · Question 1 of 5

Learn: Revenue = price × number sold. Costs include fixed costs (the same no matter how many you sell, such as equipment) and variable costs (per item). Profit = revenue − total costs.

Dev sells custom T-shirts for $20 each. In May he sells 80 shirts. His costs are $600 for a heat press (fixed) and $8 per shirt for blanks and ink. What is his profit?

A. $360
B. $960
C. $1,000
D. $1,600

CORRECT ANSWER

A. $360

Feedback (shown after answering)

Revenue $1,600; costs $600 + 80 × $8 = $1,240; profit $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

B: Subtracts only the per-shirt costs
C: Subtracts only the fixed cost
D: Gives revenue, not profit

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 2 of 5

Learn: Each shirt adds price − variable cost toward fixed costs (the contribution per unit). Break-even units = fixed costs ÷ (price − variable cost).

Dev's fixed cost is $600; each shirt sells for $20 and costs $8 to make. How many shirts must he sell to break even?

A. 30
B. 50
C. 75
D. 600

CORRECT ANSWER

B. 50

Feedback (shown after answering)

$20 − $8 = $12 per shirt; $600 ÷ $12 = 50 shirts.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Divides by the $20 price
C: Divides by the $8 cost
D: Uses the fixed cost as the count

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 3 of 5

Learn: Variable costs rise with each item made; fixed costs stay the same as sales change.

Which is a variable cost for Dev's T-shirt business?

A. The heat press he bought once
B. Blank shirts
C. A yearly business registration fee
D. Monthly website hosting

CORRECT ANSWER

B. Blank shirts

Feedback (shown after answering)

Each shirt needs a blank, so blanks are variable.

Why each other choice is wrong (misconception it represents)

A: Fixed cost
C: Fixed cost
D: Fixed cost

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 4 of 5

Learn: Profit margin = profit ÷ revenue × 100. It shows how much of each sales dollar is kept.

Dev's revenue is $2,000 and his profit is $500. What is his profit margin?

A. 4%
B. 25%
C. 40%
D. 75%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

$500 ÷ $2,000 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides revenue by profit
C: Divides by $1,250
D: Gives the share that went to costs

Type: instruction

MAIN — Calculate profit and the break-even point for a small business · Question 5 of 5

Before quitting a job to run a business full time, what should Dev check first?

A. Whether he has sold out of shirts once
B. Whether revenue is higher than last month
C. Whether he can buy more equipment on credit
D. Whether profits cover his living costs

CORRECT ANSWER

D. Whether profits cover his living costs

Feedback (shown after answering)

Profit, not revenue, must cover personal expenses, taxes, and savings.

Why each other choice is wrong (misconception it represents)

A: One sale is not steady profit
B: Revenue is not profit
C: Adds debt

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 1 of 5

Revenue means...

A. Money left after paying costs
B. Money received from sales
C. Money borrowed to start
D. Money paid to suppliers

CORRECT ANSWER

B. Money received from sales

Feedback (shown after answering)

Revenue is total sales.

Why each other choice is wrong (misconception it represents)

A: Profit
C: Debt
D: Costs

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 2 of 5

30 items sold at $15 each bring in...

A. $2
B. $45
C. $450
D. $4,500

CORRECT ANSWER

C. $450

Feedback (shown after answering)

30 × $15 = $450.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Divides
B: Drops a zero
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 3 of 5

Revenue $450, costs $300. Profit is...

A. -$150
B. $150
C. $300
D. $750

CORRECT ANSWER

B. $150

Feedback (shown after answering)

$450 − $300 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
C: Gives costs
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 4 of 5

What is a loss?

A. Costs greater than revenue
B. Revenue greater than costs
C. Selling more items
D. A fixed cost

CORRECT ANSWER

A. Costs greater than revenue

Feedback (shown after answering)

A loss happens when costs exceed revenue.

Why each other choice is wrong (misconception it represents)

B: Profit
C: Not a loss
D: Not a result

Type: knowledge check

BACKWARD B1 · concept review — Revenue and costs · Question 5 of 5

Which cost stays the same whether Dev sells 10 or 100 shirts?

A. Ink used per shirt
B. Shipping costs for each order
C. Blank shirts
D. His monthly booth rent

CORRECT ANSWER

D. His monthly booth rent

Feedback (shown after answering)

Rent is fixed.

Why each other choice is wrong (misconception it represents)

A: Variable
B: Variable
C: Variable

Type: knowledge check

GO DEEPER 1 — Using break-even to plan · Question 1 of 5

Learn: Units for a profit goal = (fixed costs + profit goal) ÷ contribution per unit.

Dev wants $480 profit a month. Fixed costs are $600 and each shirt adds $12 of contribution. How many shirts must he sell?

A. 24
B. 40
C. 50
D. 90

CORRECT ANSWER

D. 90

Feedback (shown after answering)

($600 + $480) ÷ $12 = 90 shirts.

Recomputed independently by the build: 90

Why each other choice is wrong (misconception it represents)

A: Divides by $20
B: Ignores the fixed costs
C: Gives break-even

Type: instruction

GO DEEPER 1 — Using break-even to plan · Question 2 of 5

Learn: A higher price raises the contribution per unit, so fewer sales are needed, if customers still buy.

If Dev raises the price to $24 (cost still $8; fixed $600), what is the new break-even point?

A. 50 shirts
B. 25 shirts
C. 37.5, so 38 shirts
D. 75 shirts, using $8

CORRECT ANSWER

C. 37.5, so 38 shirts

Feedback (shown after answering)

$24 − $8 = $16; $600 ÷ $16 = 37.5, so 38 shirts.

Recomputed independently by the build: 37.5

Why each other choice is wrong (misconception it represents)

A: Uses the old price
B: Divides by $24
D: Divides by $8

Type: instruction

GO DEEPER 1 — Using break-even to plan · Question 3 of 5

Cost: C = 600 + 8x. Revenue: R = 20x. Where do the two lines cross?

A. At x = 50
B. At x = 30
C. At x = 75
D. At x = 600

CORRECT ANSWER

A. At x = 50

Feedback (shown after answering)

20x = 600 + 8x gives 12x = 600, x = 50.
Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Uses 600 ÷ 20
C: Uses 600 ÷ 8
D: Uses the intercept

Type: knowledge check

GO DEEPER 1 — Using break-even to plan · Question 4 of 5

Learn: Once fixed costs are covered, each extra sale adds its contribution: price − variable cost.

Dev sells shirts for $20 each; each costs $8 to make. Above the break-even point, how much profit does each extra shirt add?

A. $8
B. $12
C. $20
D. $28

CORRECT ANSWER

B. $12

Feedback (shown after answering)

Each shirt beyond break-even adds $20 − $8 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Gives the cost
C: Gives the price
D: Adds price and cost

Type: instruction

GO DEEPER 1 — Using break-even to plan · Question 5 of 5

A supplier raises blanks from $8 to $10. With a $20 price and $600 fixed costs, what is the new break-even?

A. 50 shirts
B. 30 shirts
C. 20 shirts
D. 60 shirts

CORRECT ANSWER

D. 60 shirts

Feedback (shown after answering)

$20 − $10 = $10; $600 ÷ $10 = 60.
Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Uses the old cost
B: Divides by $20
C: Divides by $30

Type: knowledge check

GO DEEPER 2 — Cash flow and records · Question 1 of 5

Learn: Cash flow = money actually received − money actually paid in a period. Sales made on credit are not cash until collected (they are accounts receivable). A profitable business can still run short of cash when it pays before it gets paid.

In June, Dev collects $900 in cash from customers and pays $1,100 in cash for supplies for a big July order. He has no other cash coming in or going out. What is June's net cash flow?

A. -$200
B. $200
C. $900
D. $2,000

CORRECT ANSWER

A. -$200

Feedback (shown after answering)

$900 − $1,100 = −$200.

Recomputed independently by the build: -200

Why each other choice is wrong (misconception it represents)

B: Ignores the sign
C: Counts only money in
D: Adds

Type: instruction

GO DEEPER 2 — Cash flow and records · Question 2 of 5

Why should Dev keep business money in a separate account?

A. Banks forbid personal accounts for business
B. It makes records and taxes clearer
C. It doubles interest
D. It removes the need for taxes

CORRECT ANSWER

B. It makes records and taxes clearer

Feedback (shown after answering)

Separate accounts make tracking income and expenses easier.

Why each other choice is wrong (misconception it represents)

A: Not always
C: Confuses accounts with returns
D: Misunderstands taxes

Type: knowledge check · practical how-to

GO DEEPER 2 — Cash flow and records · Question 3 of 5

A customer owes Dev $250 and pays 30 days later. What is this unpaid amount called?

A. Accounts payable due
B. Fixed cost
C. Accounts receivable
D. Gross profit

CORRECT ANSWER

C. Accounts receivable

Feedback (shown after answering)

Money owed to the business is accounts receivable.

Why each other choice is wrong (misconception it represents)

A: Money Dev owes
B: A type of cost
D: A result

Type: knowledge check

GO DEEPER 2 — Cash flow and records · Question 4 of 5

Dev keeps $500 in a business reserve. Costs are $300 a month with no sales. How many months could he cover?

A. About 3 months
B. About 1.7 months
C. About 0.6 months
D. About 800 months

CORRECT ANSWER

B. About 1.7 months

Feedback (shown after answering)

$500 ÷ $300 ≈ 1.7 months.

Recomputed independently by the build: 1.666667

Why each other choice is wrong (misconception it represents)

A: Divides $900 by $300
C: Divides the wrong way
D: Adds the amounts

Type: knowledge check

GO DEEPER 2 — Cash flow and records · Question 5 of 5

Which record best supports a business expense at tax time?

A. A memory of the purchase
B. A note in his phone with the total
C. A receipt showing what was bought and when
D. A bank account balance alone

CORRECT ANSWER

C. A receipt showing what was bought and when

Feedback (shown after answering)

Receipts and invoices document expenses.

Why each other choice is wrong (misconception it represents)

A: Not documentation
B: Lacks proof
D: Lacks detail

Type: knowledge check · practical how-to

SET 96 · Entrepreneurship and Self-Employment

Self-employment taxes

MAIN skill: Estimate self-employment and income taxes for a small business and plan quarterly payments

Outcome FL.BIZ.96 · National topic: Earning Income · NJSLS 9.1.12: PB, CFR

Learning target: Estimate taxes on self-employment income and plan estimated payments

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Business deductions and tax forms (5 questions)

Why: Self-employment tax is charged on profit after deductible expenses.

B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100

Why: Self-employment tax is a percent of a percent of profit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Keeping more of what you earn (5 questions)

Practical skills beyond the standards: Setting aside money for taxes; Keeping a mileage log

Content status: time-sensitive

Source: IRS (Self-employment tax) — Self-employment tax is 15.3% (12.4% Social Security and 2.9% Medicare) and is figured on 92.35% of net earnings from self-employment; it applies when net earnings are $400 or more. https://www.irs.gov/businesses/small-businesses-self-employed/self-employment-tax-social-security-and-medicare-taxes

Source: IRS (Estimated taxes) — People who expect to owe $1,000 or more after withholding and credits generally must pay estimated tax quarterly; safe harbors based on this year's or last year's tax can avoid the penalty. https://www.irs.gov/businesses/small-businesses-self-employed/estimated-taxes

Source: IRS (Am I required to file a Form 1099?) — For payments made after 2025, the general Form 1099-NEC reporting threshold for business payers is $2,000; income is taxable whether or not a form is issued. https://www.irs.gov/businesses/small-businesses-self-employed/am-i-required-to-file-a-form-1099-or-other-information-return

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 D, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 B, F1-Q3 A, F1-Q4 A, F1-Q5 B

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 1 of 5

Learn: Self-employed people report business income and expenses (on Schedule C). Net profit = income − deductible business expenses. Taxes are figured on net profit.

Dev's T-shirt business earns $28,000 in sales with $8,000 of business expenses. What is his net profit for taxes?

A. $8,000
B. $20,000
C. $28,000
D. $36,000

CORRECT ANSWER

B. $20,000

Feedback (shown after answering)

$28,000 − $8,000 = $20,000.

Recomputed independently by the build: 20000

Why each other choice is wrong (misconception it represents)

A: Gives expenses
C: Ignores expenses
D: Adds expenses

Type: instruction

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 2 of 5

Learn: Employees pay 7.65% for Social Security and Medicare, and employers pay another 7.65%. Self-employed people pay both halves: 15.3%, figured on 92.35% of net profit. (Wages from other jobs and very high income can change the calculation.)

Self-employment tax is 15.3% of 92.35% of net profit. Dev has $20,000 of net profit, no wages from other jobs, and owes no Additional Medicare Tax. What is his self-employment tax?

A. $1,530.00
B. $2,825.91
C. $3,060.00
D. $18,470.00

CORRECT ANSWER

B. $2,825.91

Feedback (shown after answering)

$20,000 × 0.9235 = $18,470; × 0.153 = $2,825.91.

Recomputed independently by the build: 2825.91

Why each other choice is wrong (misconception it represents)

A: Uses 7.65% on $20,000
C: Takes 15.3% of the whole profit
D: Gives 92.35% of profit

Type: instruction · rule as of Tax year 2026

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 3 of 5

Learn: If you expect to owe $1,000 or more after withholding and credits, the IRS generally expects quarterly estimated payments. Paying enough during the year, or meeting a safe harbor based on this year's or last year's tax, avoids an underpayment penalty.

Why do many self-employed people pay estimated taxes four times a year?

A. The IRS charges a fee for filing once a year
B. They pay no tax at the end of the year
C. Estimated taxes are optional gifts
D. No employer withholds tax from their pay

CORRECT ANSWER

D. No employer withholds tax from their pay

Feedback (shown after answering)

Without withholding, self-employed people pay as they go through estimated taxes.

Why each other choice is wrong (misconception it represents)

A: Invents a fee
B: They still file
C: Required when rules apply

Type: instruction · rule as of Tax year 2026

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 4 of 5

Dev expects to owe $4,800 in total tax for the year. How much is each of four equal quarterly payments?

A. $400
B. $1,200
C. $4,800
D. $19,200

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$4,800 ÷ 4 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Divides by 12
C: Pays it all each quarter
D: Multiplies by 4

Type: knowledge check

MAIN — Estimate self-employment and income taxes for a small business and plan quarterly payments · Question 5 of 5

A rule of thumb: set aside 25% to 30% of net profit for taxes. On $2,000 of monthly profit, what is the range?

A. $500 to $600
B. $50 to $60
C. $250 to $300
D. $1,400 to $1,500

CORRECT ANSWER

A. $500 to $600

Feedback (shown after answering)

25% × $2,000 = $500; 30% × $2,000 = $600.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

B: Uses 2.5% to 3%
C: Uses 12.5% to 15%
D: Gives what is left

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Business deductions and tax forms · Question 1 of 5

Learn: Ordinary and necessary costs of running a business can be deducted. Personal costs cannot.

Which is usually a deductible business expense for Dev?

A. His personal video game purchases
B. Lunch with his family on vacation
C. Clothes he wears to school
D. Ink used to print shirts he sells

CORRECT ANSWER

D. Ink used to print shirts he sells

Feedback (shown after answering)

Supplies for the business are deductible.

Why each other choice is wrong (misconception it represents)

A: Personal
B: Personal
C: Personal

Type: instruction

BACKWARD B1 · concept review — Business deductions and tax forms · Question 2 of 5

Learn: Businesses report payments to independent contractors on Form 1099-NEC once payments reach the reporting threshold, which became $2,000 for payments made in 2026. Payment apps may send Form 1099-K. Income is taxable whether or not a form is sent.

In tax year 2026, a design business paid Dev, an independent contractor, $2,500 for his work. Which form might the business send to report this payment?

A. Form W-2
B. Form 1099-NEC
C. Form W-4
D. Form 1040-ES voucher

CORRECT ANSWER

B. Form 1099-NEC

Feedback (shown after answering)

Contractor payments at or above the threshold are reported on 1099-NEC; smaller payments are still taxable income.

Why each other choice is wrong (misconception it represents)

A: For employees
C: For withholding
D: Used to pay estimates

Type: instruction · rule as of Tax year 2026 threshold

BACKWARD B1 · concept review — Business deductions and tax forms · Question 3 of 5

7.65% doubled is...

A. 7.65%
B. 14.3%
C. 15.3%
D. 76.5%

CORRECT ANSWER

C. 15.3%

Feedback (shown after answering)

7.65 × 2 = 15.3.

Recomputed independently by the build: 15.3

Why each other choice is wrong (misconception it represents)

A: Does not double
B: Adds wrong
D: Moves the decimal

Type: knowledge check

BACKWARD B1 · concept review — Business deductions and tax forms · Question 4 of 5

Income $5,000 and expenses $1,200. Net profit is...

A. $1,200
B. $3,800
C. $4,800
D. $6,200

CORRECT ANSWER

B. $3,800

Feedback (shown after answering)

$5,000 − $1,200 = $3,800.

Recomputed independently by the build: 3800

Why each other choice is wrong (misconception it represents)

A: Gives expenses
C: Subtracts $200
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Business deductions and tax forms · Question 5 of 5

Who pays Social Security and Medicare tax for a self-employed person?

A. The government
B. Their customers, through sales tax
C. The person, both halves
D. No one; they are exempt

CORRECT ANSWER

C. The person, both halves

Feedback (shown after answering)

Self-employed people pay both the employee and employer shares.

Why each other choice is wrong (misconception it represents)

A: Misunderstands payroll taxes
B: Confuses sales tax with payroll tax
D: Misunderstands self-employment tax

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 1 of 5

Learn: Instead of tracking every car cost, many self-employed people deduct business miles at the IRS standard rate, which changes each year. A mileage log is needed.

Dev drives 1,500 business miles. Assume a standard mileage rate of $0.70 per mile. What is the deduction?

A. $105
B. $1,050
C. $1,500
D. $2,142.86

CORRECT ANSWER

B. $1,050

Feedback (shown after answering)

1,500 × $0.70 = $1,050.

Recomputed independently by the build: 1050

Why each other choice is wrong (misconception it represents)

A: Drops a zero
C: Uses $1 a mile
D: Divides by 0.70

Type: instruction · rule as of Hypothetical rate; IRS sets it yearly

GO DEEPER 1 — Keeping more of what you earn · Question 2 of 5

A $1,000 deduction lowers taxable profit. If Dev's combined tax rate is about 27%, how much tax does it save?

A. $27
B. $270
C. $730
D. $1,000

CORRECT ANSWER

B. $270

Feedback (shown after answering)

$1,000 × 0.27 = $270.

Recomputed independently by the build: 270

Why each other choice is wrong (misconception it represents)

A: Uses 2.7%
C: Gives what remains
D: Treats a deduction as a credit

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 3 of 5

Self-employed people can save for retirement with which account?

A. A SEP IRA or solo 401(k)
B. A 403(b), which is for public school employees
C. A 529 plan, which is for education
D. A health savings account only

CORRECT ANSWER

A. A SEP IRA or solo 401(k)

Feedback (shown after answering)

SEP IRAs and solo 401(k)s are designed for self-employed people.

Why each other choice is wrong (misconception it represents)

B: Employer plan
C: Education account
D: Health account

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 4 of 5

Dev missed his estimated payments. What may happen?

A. He may owe a penalty and interest
B. Nothing ever happens
C. His business is closed automatically
D. He gets a bonus refund

CORRECT ANSWER

A. He may owe a penalty and interest

Feedback (shown after answering)

Underpaying estimated taxes can lead to penalties.

Why each other choice is wrong (misconception it represents)

B: Ignores penalties
C: Overstates
D: Reverses the effect

Type: knowledge check

GO DEEPER 1 — Keeping more of what you earn · Question 5 of 5

What is the main reason to track income and expenses all year?

A. To avoid ever paying tax
B. To report accurately and claim deductions
C. Because the IRS requires daily income reports
D. To raise his business credit score

CORRECT ANSWER

B. To report accurately and claim deductions

Feedback (shown after answering)

Good records support accurate returns and deductions.

Why each other choice is wrong (misconception it represents)

A: Illegal
C: Invents a rule
D: Confuses records with credit

Type: knowledge check

SET 97 · Entrepreneurship and Self-Employment

Business structures, pricing, and getting started

MAIN skill: Compare business structures and set prices using costs and markup

Outcome FL.BIZ.97 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Compare business structures and use costs and markup to set prices

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Markup and percent increase (5 questions)
Why: Pricing uses percent increase on cost.

B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
Why: Markup is a percent increase on cost.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Pricing and planning (5 questions)

Practical skills beyond the standards: Registering to collect sales tax; Writing a simple business plan

Content status: time-sensitive

Source: U.S. Small Business Administration (Choose a business structure) — Sole proprietorships offer no separation between owner and business liabilities; LLCs and corporations can limit personal liability. https://www.sba.gov/business-guide/launch-your-business/choose-business-structure

Source: New Jersey Business Portal — New Jersey explains how to register a business, collect sales tax, and get required licenses. https://business.nj.gov/

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 C, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 C, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 B

MAIN — Compare business structures and set prices using costs and markup · Question 1 of 5

Learn: A sole proprietorship is one owner with no separate legal entity; it is simple but the owner is personally liable for business debts. An LLC or corporation is formed with the state and can limit personal liability.

Dev runs his business alone and has not registered any special structure. What is it, by default?

A. A corporation with shareholders
B. A limited liability company (LLC)
C. A sole proprietorship
D. A nonprofit organization

CORRECT ANSWER

C. A sole proprietorship

Feedback (shown after answering)

One owner with no separate entity is a sole proprietorship.

Why each other choice is wrong (misconception it represents)

A: Requires formation
B: Requires state filing
D: Requires formation and a mission

Type: instruction

MAIN — Compare business structures and set prices using costs and markup · Question 2 of 5

Learn: A limited liability company (LLC) is formed by filing with the state. It separates the business from the owner, which can protect the owner's personal assets from business debts.

What is the main advantage of forming an LLC?

A. It means the business pays no taxes at all
B. It guarantees the business will make a profit every year
C. It removes the need for any records
D. It can protect personal assets from business debts

CORRECT ANSWER

D. It can protect personal assets from business debts

Feedback (shown after answering)

LLCs can limit the owner's personal liability.

Why each other choice is wrong (misconception it represents)

A: Misunderstands LLC taxes
B: Confuses structure with success
C: Misunderstands LLC rules

Type: instruction

MAIN — Compare business structures and set prices using costs and markup · Question 3 of 5

Learn: Cost-plus pricing: price = cost × (1 + markup percent).

A mug costs Dev $6 to make. He uses a 50% markup on cost. What is the price?

A. $3
B. $6.50
C. $9
D. $12

CORRECT ANSWER

C. $9

Feedback (shown after answering)

$6 × 1.5 = $9.

Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

A: Gives the markup
B: Adds 50 cents
D: Doubles the cost

Type: instruction

MAIN — Compare business structures and set prices using costs and markup · Question 4 of 5

Dev sets a mug price from his costs, then checks what similar mugs sell for nearby. Why?

A. Competitors set his price by law
B. Prices must make sense to customers
C. He must always charge the lowest price
D. His costs alone decide what customers will pay

CORRECT ANSWER

B. Prices must make sense to customers

Feedback (shown after answering)

Good pricing covers costs and fits what customers will pay.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
C: Not required
D: Ignores demand

Type: knowledge check

MAIN — Compare business structures and set prices using costs and markup · Question 5 of 5

Learn: Businesses selling taxable goods in New Jersey register with the state, collect sales tax, and send it in. The New Jersey Business Portal explains the steps.

Dev wants to sell taxable items in New Jersey. What must he usually do?

A. Nothing until he earns $1 million
B. Ask customers to pay tax to the state themselves
C. Register and collect sales tax
D. Add tax only for out-of-state buyers

CORRECT ANSWER

C. Register and collect sales tax

Feedback (shown after answering)

Sellers register, collect sales tax, and remit it.

Why each other choice is wrong (misconception it represents)

A: Invents a threshold
B: Seller collects
D: Reverses the rule

Type: instruction · practical how-to · rule as of As of 2026

BACKWARD B1 · concept review — Markup and percent increase · Question 1 of 5

50% of $6 is...

A. $0.30
B. $3
C. $6.50
D. $12

CORRECT ANSWER

B. $3

Feedback (shown after answering)

$6 × 0.5 = $3.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Uses 5%
C: Adds
D: Doubles

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 2 of 5

$10 increased by 20% is...

A. $2
B. $10.20
C. $12
D. $30

CORRECT ANSWER

C. $12

Feedback (shown after answering)

$10 × 1.2 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Gives the increase
B: Adds 20 cents
D: Adds 20

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 3 of 5

What is liability?

A. Legal responsibility for debts or damages
B. A type of business profit
C. Money owed to the business
D. Money in a business savings account

CORRECT ANSWER

A. Legal responsibility for debts or damages

Feedback (shown after answering)

Liability is legal responsibility.

Why each other choice is wrong (misconception it represents)

B: Confuses terms
C: Reverses direction
D: Confuses liabilities with assets

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 4 of 5

Who owns a corporation?

A. Its customers
B. The state government that registers it
C. Its managers and employees
D. Its shareholders

CORRECT ANSWER

D. Its shareholders

Feedback (shown after answering)

Shareholders own corporations.

Why each other choice is wrong (misconception it represents)

A: Confuses customers with owners
B: Confuses registration with ownership
C: Confuses managers with owners

Type: knowledge check

BACKWARD B1 · concept review — Markup and percent increase · Question 5 of 5

A sole proprietor owes a business debt the business cannot pay. Who must pay it?

A. The owner personally
B. No one; the debt disappears
C. The state that registered the business
D. The customers who bought

CORRECT ANSWER

A. The owner personally

Feedback (shown after answering)

Sole proprietors are personally liable.

Why each other choice is wrong (misconception it represents)

B: Misunderstands liability
C: Confuses registration with liability
D: Misunderstands liability

Type: knowledge check

GO DEEPER 1 — Pricing and planning · Question 1 of 5

Learn: Markup percent = (price − cost) ÷ cost × 100. Margin uses price instead: (price − cost) ÷ price.

A cap costs $8 and sells for $12. What is the markup percent on cost?

A. 4%
B. 33%
C. 50%
D. 150%

CORRECT ANSWER

C. 50%

Feedback (shown after answering)

($12 − $8) ÷ $8 = 50%.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Gives dollars as percent
B: Divides by the price
D: Divides price by cost

Type: instruction

GO DEEPER 1 — Pricing and planning · Question 2 of 5

A cap costs $8 to make and sells for $12. What is the profit margin on price, to the nearest whole percent?

A. 4%
B. 33%
C. 50%
D. 67%

CORRECT ANSWER

B. 33%

Feedback (shown after answering)

$4 ÷ $12 ≈ 33%.

Recomputed independently by the build: 33

Why each other choice is wrong (misconception it represents)

A: Gives the dollars
C: Gives the markup
D: Gives cost ÷ price

Type: knowledge check

GO DEEPER 1 — Pricing and planning · Question 3 of 5

A simple business plan should include…

A. Only a logo
B. A promise of guaranteed profit in year one
C. Costs, prices, and expected sales
D. Only a list of possible business names

CORRECT ANSWER

C. Costs, prices, and expected sales

Feedback (shown after answering)

Plans estimate costs, revenue, and profit.

Why each other choice is wrong (misconception it represents)

A: Incomplete
B: Unrealistic
D: Incomplete plan

Type: knowledge check · practical how-to

GO DEEPER 1 — Pricing and planning · Question 4 of 5

Learn: Items needed to cover a fixed cost = fixed cost ÷ amount each item contributes after its own costs.

A pop-up booth costs $150 a day. Each item Dev sells brings in $6 after all its own costs (materials and fees), before paying for the booth. How many items cover the booth?

A. 15
B. 25
C. 144
D. 900

CORRECT ANSWER

B. 25

Feedback (shown after answering)

$150 ÷ $6 = 25.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides by $10
C: Subtracts
D: Multiplies

Type: instruction

GO DEEPER 1 — Pricing and planning · Question 5 of 5

Learn: The SBA and partners like SCORE offer free mentoring and guides.

Which free resource helps small business owners plan?

A. A paid "get rich quick" weekend seminar
B. The Small Business Administration (SBA)
C. A credit card company ad
D. A social media influencer's course

CORRECT ANSWER

B. The Small Business Administration (SBA)

Feedback (shown after answering)

The SBA offers free guidance.

Why each other choice is wrong (misconception it represents)

A: Scam risk
C: Not a planning resource
D: Not an official resource

Type: instruction · practical how-to

SET 98 · Consumer Protection, Fraud, and Digital Security

Identity theft: prevention and recovery

MAIN skill: Recognize signs of identity theft and follow the steps to recover

Outcome FL.PROTECT.98 · National topic: Managing Risk · NJSLS 9.1.12: RM, CP

Learning target: Identify ways to prevent identity theft and the steps to recover from it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Personal information and why thieves want it (5 questions)
  - Why: Protecting identity starts with knowing which information is valuable.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Losses and liability limits compare amounts step by step.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Special cases of identity theft (5 questions)

Practical skills beyond the standards: Using IdentityTheft.gov; Freezing credit

Content status: time-sensitive

Source: FTC (IdentityTheft.gov) — IdentityTheft.gov creates a personal recovery plan and an FTC Identity Theft Report. https://www.identitytheft.gov/

Source: CFPB (Lost or stolen credit cards) — Under federal law, liability for unauthorized credit card charges is at most $50 (Regulation Z, 12 CFR 1026.12(b)). https://www.consumerfinance.gov/ask-cfpb/am-i-responsible-for-unauthorized-charges-if-my-credit-cards-are-lost-or-stolen-en-29/

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 C, B1-Q4 B, B1-Q5 D, F1-Q1 C, F1-Q2 A, F1-Q3 B, F1-Q4 A, F1-Q5 D

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 1 of 5

Learn: Identity theft is when someone uses your personal information, such as your name and Social Security number, to open accounts, file taxes, or get services. Signs include unfamiliar bills, accounts on your credit report, or calls from debt collectors about debts you do not owe.

Rosa gets a bill for a credit card she never opened. What is the most likely explanation?

A. The bank sends random cards to everyone as a gift
B. Her credit score rose and a card opened by itself
C. It is a normal reminder to apply for a card
D. Someone used her identity

CORRECT ANSWER

D. Someone used her identity

Feedback (shown after answering)

An unknown account is a key sign of identity theft.

Why each other choice is wrong (misconception it represents)

A: Banks do not open accounts without applications
B: Accounts do not open themselves
C: Misreads a bill as an offer

Type: instruction

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 2 of 5

Learn: The Federal Trade Commission runs IdentityTheft.gov, which builds a recovery plan and an Identity Theft Report you can use with businesses and credit bureaus.

Which website gives a free, step-by-step recovery plan after identity theft?

A. A company that charges to "erase" the theft
B. The credit bureau's paid monitoring service
C. The bank where the fraud happened only
D. IdentityTheft.gov

CORRECT ANSWER

D. IdentityTheft.gov

Feedback (shown after answering)

IdentityTheft.gov is the free federal recovery site.

Why each other choice is wrong (misconception it represents)

A: Paid services cannot do more than you can for free
B: Paid monitoring is not a recovery plan
C: Misses the full recovery steps

Type: instruction · practical how-to

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 3 of 5

Learn: A credit freeze limits access to your credit report, so most lenders that check it cannot approve new credit in your name until you lift the freeze. It is free at Equifax, Experian, and TransUnion. It does not stop misuse of existing accounts or every kind of identity theft, so also contact the business where the fraud happened and review your reports.

Rosa learns that someone opened a credit card account in her name. Which step should she take early to help prevent more new-credit fraud?

A. Freeze her credit at all three bureaus
B. Post her Social Security number to warn friends
C. Wait a year to see if it happens again
D. Close her own savings account and keep cash at home

CORRECT ANSWER

A. Freeze her credit at all three bureaus

Feedback (shown after answering)

Freezing all three reports helps block new credit accounts; it does not protect existing accounts.

Why each other choice is wrong (misconception it represents)

B: Spreads the information further
C: Lets more damage happen
D: Does not stop the theft

Type: instruction · practical how-to

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 4 of 5

Which habit best protects Rosa's Social Security number?

A. Keeping her Social Security card in her wallet every day
B. Sharing it only when truly required
C. Writing it on forms that only ask for "ID"
D. Giving it to anyone who calls and says they are from a bank

CORRECT ANSWER

B. Sharing it only when truly required

Feedback (shown after answering)

Share your SSN only when required and keep the card at home.

Why each other choice is wrong (misconception it represents)

A: Easy to lose or steal
C: Overshares
D: Imposter risk

Type: knowledge check

MAIN — Recognize signs of identity theft and follow the steps to recover · Question 5 of 5

A company says Rosa's data was exposed in a data breach. Which response helps most?

A. Ignore it because breaches never affect individuals
B. Reply to the email with her full account numbers
C. Change passwords and watch her accounts
D. Stop using every bank forever

CORRECT ANSWER

C. Change passwords and watch her accounts

Feedback (shown after answering)

After a breach, change passwords, use multifactor authentication, check statements, and consider a freeze.

Why each other choice is wrong (misconception it represents)

A: Underestimates the risk
B: Phishing risk
D: Overreacts

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 1 of 5

Which information is most valuable to an identity thief?

A. Her ZIP code alone
B. A Social Security number
C. Her first name alone
D. Her library card number

CORRECT ANSWER

B. A Social Security number

Feedback (shown after answering)

SSNs can open accounts and file taxes in your name.

Why each other choice is wrong (misconception it represents)

A: Widely known; cannot open accounts alone
C: Widely known; cannot open accounts alone
D: Rarely useful for opening credit

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 2 of 5

Where should a Social Security card usually be kept?

A. Somewhere safe at home
B. In a phone case
C. Taped inside a car
D. In a backpack every day

CORRECT ANSWER

A. Somewhere safe at home

Feedback (shown after answering)

Keep it in a safe place, not on you.

Why each other choice is wrong (misconception it represents)

B: Easy to lose
C: Easy to steal
D: Easy to lose

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 3 of 5

Which document should be shredded before throwing it out?

A. A takeout menu
B. A plain envelope with no address
C. An old bank statement
D. A store coupon

CORRECT ANSWER

C. An old bank statement

Feedback (shown after answering)

Statements contain account numbers.

Why each other choice is wrong (misconception it represents)

A: Contains no personal data
B: Contains no personal data
D: Contains no personal data

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 4 of 5

How many major consumer credit bureaus are there?

A. 1
B. 3
C. 5
D. 50

CORRECT ANSWER

B. 3

Feedback (shown after answering)

Equifax, Experian, and TransUnion.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Undercounts
C: Overcounts
D: Confuses with states

Type: knowledge check

BACKWARD B1 · concept review — Personal information and why thieves want it · Question 5 of 5

How can Rosa spot an account she did not open?

A. Check her bank balance only
B. Wait for a debt collector to call
C. Ask the thief to tell her
D. Review her free credit reports

CORRECT ANSWER

D. Review her free credit reports

Feedback (shown after answering)

Credit reports list accounts in your name.

Why each other choice is wrong (misconception it represents)

A: Misses accounts at other lenders
B: Too late
C: Unrealistic

Type: knowledge check

GO DEEPER 1 — Special cases of identity theft · Question 1 of 5

Learn: In tax identity theft, a thief files a return with someone else's SSN to steal a refund. A rejection for a duplicate SSN can also come from a filing or data error, such as a dependent claimed on another return, so check before concluding. The IRS offers an Identity Protection PIN to help prevent it.

The IRS rejects Rosa's e-filed return because a return was already filed with her SSN. What may this indicate, and what should she do?

A. She filed twice by accident, so she should ignore it
B. Her employer filed her return for her
C. Possible tax identity theft; investigate with the IRS
D. The IRS lost her return, so nothing can be done

CORRECT ANSWER

C. Possible tax identity theft; investigate with the IRS

Feedback (shown after answering)

A duplicate-SSN rejection may signal tax identity theft; she should check for errors and follow the IRS identity theft steps.

Why each other choice is wrong (misconception it represents)

A: Assumes an error without checking
B: Employers do not file personal returns
D: Misreads the rejection

Type: instruction

GO DEEPER 1 — Special cases of identity theft · Question 2 of 5

Learn: Parents can request a credit freeze for children under 16.

Why do thieves target children's identities?

A. Theft can go unnoticed for years
B. Children have high credit limits
C. Children's SSNs expire at 18
D. Banks require children to have cards

CORRECT ANSWER

A. Theft can go unnoticed for years

Feedback (shown after answering)

Children rarely check credit, so theft can go unnoticed.

Why each other choice is wrong (misconception it represents)

B: They usually have no credit
C: Invents a rule
D: Invents a rule

Type: instruction

GO DEEPER 1 — Special cases of identity theft · Question 3 of 5

Someone used Rosa's information to see a doctor. Which records might be wrong?

A. Her credit card statements only
B. Her medical records
C. Her school records
D. Her car registration

CORRECT ANSWER

B. Her medical records

Feedback (shown after answering)

Medical identity theft can put false information in medical records.

Why each other choice is wrong (misconception it represents)

A: Misses medical records
C: Unrelated records
D: Unrelated records

Type: knowledge check

GO DEEPER 1 — Special cases of identity theft · Question 4 of 5

Learn: Federal law caps liability for unauthorized credit card charges at $50, and many issuers offer $0 liability.

A thief made $2,400 of fraudulent charges on Rosa's credit card. Under federal law, what is the most she can be held liable for?

A. $50
B. $500
C. $1,200
D. $2,400

CORRECT ANSWER

A. $50

Feedback (shown after answering)

Liability is capped at $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Confuses with a debit card rule
C: Halves the charges
D: Ignores the federal limit

Type: instruction · rule as of Federal law as of 2026

GO DEEPER 1 — Special cases of identity theft · Question 5 of 5

Rosa needs to apply for a car loan but has a freeze. What should she do?

A. Remove the freeze permanently forever
B. Apply under a friend's name
C. Give up on the loan
D. Temporarily lift the freeze

CORRECT ANSWER

D. Temporarily lift the freeze

Feedback (shown after answering)

A freeze can be lifted for a set time and then returns.

Why each other choice is wrong (misconception it represents)

A: Not needed
B: Fraud
C: Unnecessary

Type: knowledge check · practical how-to

SET 99 · Consumer Protection, Fraud, and Digital Security

Recognizing and avoiding scams

MAIN skill: Identify common scams and their warning signs, and respond safely

Outcome FL.PROTECT.99 · National topic: Managing Risk · NJSLS 9.1.12: RM, FP

Learning target: Identify common types of fraud and scams and the actions to take if victimized

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payment methods and how hard they are to undo (5 questions)
  - Why: Scammers choose payments that are hard to reverse.
- B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Scam losses add up the money sent and the goods lost.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Scams targeting young people (5 questions)

Practical skills beyond the standards: Reporting fraud to the FTC; Spotting fake check scams

Content status: time-sensitive

Source: FTC (Scams) — Scammers pretend to be from trusted organizations, create urgency, and ask for payment by gift card, wire, cryptocurrency, or payment app. https://consumer.ftc.gov/features/scam-alerts

Source: FTC (Fake check scams) — Banks must make deposited funds available quickly, but a fake check can bounce days later and the depositor must repay the bank.
https://consumer.ftc.gov/articles/how-spot-avoid-and-report-fake-check-scams

Source: New Jersey Division of Consumer Affairs — New Jersey residents can file consumer complaints with the Division of Consumer Affairs, which enforces the New Jersey Consumer Fraud Act. https://www.njconsumeraffairs.gov/

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 D, M-Q4 A, M-Q5 B, B1-Q1 C, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 C, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 D, F1-Q5 B

MAIN — Identify common scams and their warning signs, and respond safely · Question 1 of 5

Learn: Scam warning signs: a caller pretends to be from a trusted group, there is a problem or a prize, pressure to act now, and a demand to pay in a specific way (gift cards, wire transfer, cryptocurrency, or payment app). Government agencies do not demand gift cards.

A caller says he is from the "Social Security office," your number is suspended, and you must pay today with gift cards. Which warning sign appears?

A. The caller uses a polite tone of voice
B. Demanding payment by gift card
C. The call comes during business hours
D. The caller knows that you have a phone

CORRECT ANSWER

B. Demanding payment by gift card

Feedback (shown after answering)

Real agencies never ask for payment by gift card.

Why each other choice is wrong (misconception it represents)

A: Politeness is not a warning sign
C: Timing is not the sign
D: Not a warning sign

Type: instruction

MAIN — Identify common scams and their warning signs, and respond safely · Question 2 of 5

Learn: In a fake check scam, the scammer overpays with a fake check and asks for the difference back. Banks make deposits available quickly, but the check can bounce days later and the depositor must repay the bank.

Rosa sells a bike online for $300. The buyer mails a check for $1,500 and asks her to send back $1,200. Rosa deposits the check, ships the bike, and sends $1,200 by payment app. A week later the check bounces, and the bank takes back the $1,500; the other $300 of it is still in her account at that time. Not counting any bank fees, what has Rosa lost?

A. Nothing, since the bank cleared the check
B. Only the $300 bike price
C. $1,200 plus the bike
D. $1,500 but she keeps the bike

CORRECT ANSWER

C. $1,200 plus the bike

Feedback (shown after answering)

The bank reverses the $1,500: $300 comes from what is left of the deposit, and the $1,200 she sent is gone, along with the bike she shipped.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: "Available" does not mean the check is good
B: Ignores the money she sent
D: Misreads what she sent

Type: instruction

MAIN — Identify common scams and their warning signs, and respond safely · Question 3 of 5

A job posting pays $40 an hour to "reship packages" after you pay $99 for a starter kit. What is the best response?

A. Pay the fee because good jobs require investment
B. Give your bank login so they can send pay
C. Reship the packages to earn trust first
D. Avoid it; it shows scam signs

CORRECT ANSWER

D. Avoid it; it shows scam signs

Feedback (shown after answering)

Paying to get a job and reshipping packages are classic scam signs.

Why each other choice is wrong (misconception it represents)

A: Real employers do not charge to hire
B: Never share logins
C: Could involve stolen goods

Type: knowledge check

MAIN — Identify common scams and their warning signs, and respond safely · Question 4 of 5

A pop-up says Rosa's computer has a virus and to call a number for "tech support." What should she do?

A. Close the page and not call
B. Call and give the support agent remote access
C. Pay with a gift card for a quick fix
D. Share her passwords so they can test them

CORRECT ANSWER

A. Close the page and not call

Feedback (shown after answering)

Real tech companies do not use pop-ups with phone numbers; close it and run trusted security software.

Why each other choice is wrong (misconception it represents)

B: Lets scammers in
C: Payment red flag
D: Never share passwords

Type: knowledge check · practical how-to

MAIN — Identify common scams and their warning signs, and respond safely · Question 5 of 5

Learn: Report fraud to the FTC at ReportFraud.ftc.gov, to your bank or payment app right away, and to state agencies such as the New Jersey Division of Consumer Affairs.

Rosa was scammed. Where should she report it?

A. Only to the scammer, to ask for a refund
B. ReportFraud.ftc.gov
C. Nowhere, since reporting does nothing
D. A website that promises to recover money for a fee

CORRECT ANSWER

B. ReportFraud.ftc.gov

Feedback (shown after answering)

The FTC collects scam reports; contact your bank quickly too.

Why each other choice is wrong (misconception it represents)

A: Will not help
C: Reports help stop scams
D: Recovery scam

Type: instruction · practical how-to

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 1 of 5

Which payment is hardest to get back after a scam?

A. A credit card purchase you dispute
B. A check you stop in time
C. Gift card codes
D. A debit card charge reported quickly

CORRECT ANSWER

C. Gift card codes

Feedback (shown after answering)

Gift card codes are like cash once shared.

Why each other choice is wrong (misconception it represents)

A: Dispute rights exist
B: Can be stopped
D: Protections exist

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 2 of 5

Which payment gives the strongest legal protection for online shopping?

A. A credit card
B. A wire transfer
C. Cryptocurrency
D. A gift card

CORRECT ANSWER

A. A credit card

Feedback (shown after answering)

Credit cards have federal dispute rights and liability limits.

Why each other choice is wrong (misconception it represents)

B: Hard to reverse
C: Hard to reverse
D: Like cash

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 3 of 5

"Act now or lose this offer!" is an example of...

A. Good, helpful customer service
B. A legal requirement for limited offers
C. A normal sale with a deadline
D. Pressure to act quickly

CORRECT ANSWER

D. Pressure to act quickly

Feedback (shown after answering)

Urgency pushes victims to skip checking.

Why each other choice is wrong (misconception it represents)

A: Misreads pressure
B: Believes urgency is required by law
C: Misses the pressure tactic

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 4 of 5

A check for $1,500 pays a $300 item. How much is the overpayment?

A. $300
B. $1,200
C. $1,500
D. $1,800

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$1,500 − $300 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Gives the price
C: Gives the check amount
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Payment methods and how hard they are to undo · Question 5 of 5

If a message says you won a prize but must pay a fee to claim it, it is probably…

A. A normal contest rule
B. A sweepstakes tax the winner must prepay
C. A scam
D. A real prize with a shipping fee

CORRECT ANSWER

C. A scam

Feedback (shown after answering)

Paying to receive a prize is a scam sign.

Why each other choice is wrong (misconception it represents)

A: Real prizes do not require fees
B: Believes winners pay tax to the sponsor
D: Believes fees can be normal for prizes

Type: knowledge check

GO DEEPER 1 — Scams targeting young people · Question 1 of 5

Learn: Money mules move stolen money for criminals, often recruited online. It can lead to frozen accounts and criminal charges.

An online friend Rosa has never met asks her to receive money and forward it. What is she being asked to do?

A. Act as a money mule
B. Join a legitimate savings club
C. Open a normal business account
D. Help a charity process donations

CORRECT ANSWER

A. Act as a money mule

Feedback (shown after answering)

Forwarding money for strangers can make you a money mule.

Why each other choice is wrong (misconception it represents)

B: Misreads the request
C: Misreads the request
D: Misreads the request

Type: instruction

GO DEEPER 1 — Scams targeting young people · Question 2 of 5

A website sells sneakers worth $200 for $40 and accepts only payment apps. What is the best move?

A. Buy several pairs to resell
B. Pay with a gift card for a discount
C. Send money first and check reviews later
D. Buy elsewhere

CORRECT ANSWER

D. Buy elsewhere

Feedback (shown after answering)

A huge discount plus unusual payment is a red flag.

Why each other choice is wrong (misconception it represents)

A: Doubles the loss
B: Hard to reverse
C: Too late

Type: knowledge check

GO DEEPER 1 — Scams targeting young people · Question 3 of 5

A "friend" messages from a new account asking to borrow $100 urgently. What should Rosa do?

A. Send the money right away
B. Contact the friend another way to check
C. Send half to be safe
D. Ask for the friend's password to verify

CORRECT ANSWER

B. Contact the friend another way to check

Feedback (shown after answering)

Verify through a known channel before sending money.

Why each other choice is wrong (misconception it represents)

A: Imposter risk
C: Still risky
D: Never ask for passwords

Type: knowledge check · practical how-to

GO DEEPER 1 — Scams targeting young people · Question 4 of 5

Rosa paid a scammer $200 with a debit card and reports it the same day. What should she ask the bank to do?

A. Wait a month to see if it resolves
B. Ask the scammer for a refund first
C. Send more money to test it
D. Dispute the charge and block the card

CORRECT ANSWER

D. Dispute the charge and block the card

Feedback (shown after answering)

Quick reporting gives the best chance of recovery.

Why each other choice is wrong (misconception it represents)

A: Delays reporting
B: Relies on the scammer
C: Unsafe

Type: knowledge check · practical how-to

GO DEEPER 1 — Scams targeting young people · Question 5 of 5

A "recovery service" offers to get Rosa's lost money back for an upfront fee. What is it likely to be?

A. A government program
B. Another scam
C. A required step before reporting
D. A bank's official fraud refund program

CORRECT ANSWER

B. Another scam

Feedback (shown after answering)

Recovery scams target people who were already scammed.

Why each other choice is wrong (misconception it represents)

A: Government help is free
C: Believes recovery must be paid first
D: Banks do not charge upfront fees

Type: knowledge check

SET 100 · Consumer Protection, Fraud, and Digital Security

Consumer rights and where to get help

MAIN skill: Use federal and state consumer protections and file a complaint

Outcome FL.PROTECT.100 · National topic: Managing Risk · NJSLS 9.1.12: RM, CFR

Learning target: Describe consumer protection laws and how to file complaints

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: What consumer protection laws do (5 questions)

Why: Each law protects a different kind of transaction.

B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers

Why: Liability questions compare a loss with a legal limit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Using your rights (5 questions)

Practical skills beyond the standards: Filing a CFPB complaint; Disputing a debt

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Liability for unauthorized debit card use is limited to $50 if reported within 2 business days after learning of the loss or theft, up to $500 if reported later, and can be unlimited for later transfers if not reported within 60 days after the statement is sent. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Source: CFPB (Lost or stolen credit cards) — Under federal law, liability for unauthorized credit card charges is at most $50 (Regulation Z, 12 CFR 1026.12(b)). https://www.consumerfinance.gov/ask-cfpb/am-i-responsible-for-unauthorized-charges-if-my-credit-cards-are-lost-or-stolen-en-29/

Source: CFPB (Submit a complaint) — Consumers can submit complaints about financial products; the CFPB forwards them to companies for a response. https://www.consumerfinance.gov/complaint/

Source: FTC (Cooling-Off Rule) — The Cooling-Off Rule lets buyers cancel covered sales of $25 or more at their home, or $130 or more at temporary locations, until midnight of the third business day (Saturday counts; Sundays and federal holidays do not); some sales are excluded. https://consumer.ftc.gov/articles/buyers-remorse-ftcs-cooling-rule-may-help

Source: New Jersey Division of Consumer Affairs — New Jersey residents can file consumer complaints with the Division of Consumer Affairs, which enforces the New Jersey Consumer Fraud Act. https://www.njconsumeraffairs.gov/

Source: CFPB (Regulation Z, 12 CFR 1026.13) — A billing-error notice is timely when the creditor receives it in writing at its billing-inquiries address within 60 days after transmitting the statement that first shows the error. https://www.consumerfinance.gov/rules-policy/regulations/1026/13/

Source: CFPB (Regulation F, 12 CFR 1006.34) — The 30-day validation period starts when the consumer receives the validation information; a written dispute within it pauses collection until verification is sent. https://www.consumerfinance.gov/rules-policy/regulations/1006/34/

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 C, M-Q4 A, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 D, B1-Q4 B, B1-Q5 D, F1-Q1 C, F1-Q2 B, F1-Q3 A, F1-Q4 B, F1-Q5 A

MAIN — Use federal and state consumer protections and file a complaint · Question 1 of 5

Learn: Federal rules (Regulation E) limit debit card losses: $50 if you report within 2 business days of learning of the loss; up to $500 if later; and possibly unlimited if not reported within 60 days after the statement. Many banks offer more protection.

Rosa's debit card is stolen. She reports it within 2 business days of noticing. Thieves spent $700. What is her most liability under federal rules?

A. $50
B. $700
C. $500
D. $0 in every case

CORRECT ANSWER

A. $50

Feedback (shown after answering)

Reported within 2 business days, her liability is at most $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Ignores the rule
C: Uses the limit for later reporting
D: Overstates the federal rule

Type: instruction · rule as of Regulation E as of 2026

MAIN — Use federal and state consumer protections and file a complaint · Question 2 of 5

Learn: Federal rules (Regulation E) limit debit card losses, counted from when you learn of the loss: up to $50 if you report within 2 business days, and up to $500 if you report later. If you do not report unauthorized transfers within 60 days after the statement showing them, you can be liable for later transfers the bank could have stopped.

Rosa's debit card is stolen and used for $700. She reports it 10 days after she learned it was stolen, which is more than 2 business days later but before 60 days after her statement. What is the most she could owe?

A. $50
B. $200
C. $500
D. $700

CORRECT ANSWER

C. $500

Feedback (shown after answering)

Reporting more than 2 business days after learning of the theft raises the limit to $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Applies the limit for reporting within 2 business days
B: Subtracts the limit
D: Applies no limit

Type: instruction · rule as of Regulation E as of 2026

MAIN — Use federal and state consumer protections and file a complaint · Question 3 of 5

Learn: The CFPB accepts complaints about banks, credit cards, loans, and credit reports and sends them to companies for a response. New Jersey residents can also contact the Division of Consumer Affairs.

Rosa's company will not fix a problem with her bank account. Where can she file a complaint?

A. The company's competitor
B. A social media influencer
C. The Consumer Financial Protection Bureau
D. The U.S. Postal Service

CORRECT ANSWER

C. The Consumer Financial Protection Bureau

Feedback (shown after answering)

The CFPB handles complaints about financial products.

Why each other choice is wrong (misconception it represents)

A: Not a regulator
B: Not a regulator
D: Wrong agency

Type: instruction · practical how-to

MAIN — Use federal and state consumer protections and file a complaint · Question 4 of 5

Learn: The Fair Debt Collection Practices Act bars collectors from harassment, threats, and calls before 8 a.m. or after 9 p.m. It also gives you the right to dispute a debt and get validation.

A debt collector calls Rosa at 2 a.m. and threatens jail. What is true?

A. This breaks federal debt collection rules
B. Collectors may call anytime
C. Unpaid debts send people to jail
D. She must pay immediately to stop the calls

CORRECT ANSWER

A. This breaks federal debt collection rules

Feedback (shown after answering)

Late-night calls and false threats violate the FDCPA.

Why each other choice is wrong (misconception it represents)

B: Hours are limited
C: Civil debts do not
D: She has dispute rights

Type: instruction

MAIN — Use federal and state consumer protections and file a complaint · Question 5 of 5

Learn: The FTC Cooling-Off Rule lets buyers cancel many sales made at their home for $25 or more, or at temporary locations such as hotel rooms or fairgrounds for $130 or more, within three business days. Saturday counts as a business day; Sundays and federal holidays do not. Some sales, such as real estate, insurance, and emergency repairs, are excluded.

A salesperson sells Rosa a $400 vacuum at her home. Under the FTC Cooling-Off Rule, how long does she have to cancel?

A. 30 calendar days
B. One day
C. Three business days
D. No time; home sales are final

CORRECT ANSWER

C. Three business days

Feedback (shown after answering)

A $400 sale at her home is covered: three business days to cancel.

Why each other choice is wrong (misconception it represents)

A: Confuses with store return policies
B: Undercounts
D: Ignores the rule

Type: instruction · rule as of FTC rule as of 2026

BACKWARD B1 · concept review — What consumer protection laws do · Question 1 of 5

Which law limits harassment by debt collectors?

A. The Fair Labor Standards Act (minimum wage)
B. The Clean Air Act
C. The Fair Debt Collection Practices Act
D. The Affordable Care Act

CORRECT ANSWER

C. The Fair Debt Collection Practices Act

Feedback (shown after answering)

The FDCPA governs debt collectors.

Why each other choice is wrong (misconception it represents)

A: Wages
B: Environment
D: Health

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 2 of 5

Which law gives the right to dispute errors on a credit report?

A. The Truth in Lending Act
B. The Fair Credit Reporting Act
C. The Cooling-Off Rule
D. The Fair Labor Standards Act of 1938

CORRECT ANSWER

B. The Fair Credit Reporting Act

Feedback (shown after answering)

The FCRA covers credit reports.

Why each other choice is wrong (misconception it represents)

A: Loan disclosures
C: Door-to-door sales
D: Wages

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 3 of 5

Which agency collects reports about scams?

A. The Federal Reserve
B. NASA
C. The National Park Service office
D. The Federal Trade Commission

CORRECT ANSWER

D. The Federal Trade Commission

Feedback (shown after answering)

The FTC collects fraud reports.

Why each other choice is wrong (misconception it represents)

A: Monetary policy
B: Space
C: Parks

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 4 of 5

Under federal law, what is the most a person can owe for unauthorized credit card use?

A. $500
B. $50
C. $5,000
D. Unlimited

CORRECT ANSWER

B. $50

Feedback (shown after answering)

Federal law caps it at $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Debit rule
C: Invents a limit
D: Ignores the law

Type: knowledge check

BACKWARD B1 · concept review — What consumer protection laws do · Question 5 of 5

Why report a lost debit card quickly?

A. Banks charge less for replacement cards sooner
B. The card expires on its own if lost
C. Liability is the same no matter when you report
D. Liability is lower the sooner you report

CORRECT ANSWER

D. Liability is lower the sooner you report

Feedback (shown after answering)

Quick reporting limits losses.

Why each other choice is wrong (misconception it represents)

A: Confuses fees with liability
B: Assumes lost cards stop working
C: Ignores the timing rules

Type: knowledge check

GO DEEPER 1 — Using your rights · Question 1 of 5

Learn: The Fair Credit Billing Act lets you dispute billing errors, including goods not delivered. The issuer must receive your written notice at the address it lists for billing inquiries within 60 days after it sent the statement with the error.

Rosa's credit card statement sent April 30 shows a $120 charge for an item never delivered. The issuer receives her written dispute at its billing-inquiries address on June 15. Is it on time under the Fair Credit Billing Act?

A. No; disputes must be made within 6 days of the purchase
B. No; disputes are allowed only before the item ships
C. Yes; it arrived within 60 days of the statement
D. Yes, because there is no deadline for billing errors

CORRECT ANSWER

C. Yes; it arrived within 60 days of the statement

Feedback (shown after answering)

April 30 to June 15 is 46 days, inside the 60-day window.

Why each other choice is wrong (misconception it represents)

A: Invents a short deadline
B: Misreads the rule
D: Ignores the 60-day window

Type: instruction · practical how-to · rule as of FCBA as of 2026

GO DEEPER 1 — Using your rights · Question 2 of 5

Learn: A debt collector must give you validation information about the debt. If you dispute in writing within the 30-day validation period after receiving it, the collector must pause collection until it verifies the debt. You can still dispute later, but this pause right applies only within that window.

Rosa receives a collector's validation notice about a debt. Within how many days after receiving it can she dispute the debt in writing and make the collector verify it before continuing?

A. 3
B. 30
C. 60
D. 365

CORRECT ANSWER

B. 30

Feedback (shown after answering)

Dispute in writing within about 30 days after receiving the validation information.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Confuses with the Cooling-Off Rule
C: Confuses with billing disputes
D: Too long

Type: instruction · rule as of Regulation F as of 2026

GO DEEPER 1 — Using your rights · Question 3 of 5

A good complaint to the CFPB includes...

A. Dates, amounts, and copies of documents
B. Only an angry message
C. Her passwords
D. A demand for triple damages

CORRECT ANSWER

A. Dates, amounts, and copies of documents

Feedback (shown after answering)

Facts and documents help companies and regulators respond.

Why each other choice is wrong (misconception it represents)

B: Not useful
C: Never share
D: Not how complaints work

Type: knowledge check · practical how-to

GO DEEPER 1 — Using your rights · Question 4 of 5

A New Jersey store refuses to honor its posted return policy. Which state office can help?

A. The Department of Transportation
B. The Division of Consumer Affairs
C. The State Police only
D. The Board of Education

CORRECT ANSWER

B. The Division of Consumer Affairs

Feedback (shown after answering)

The Division of Consumer Affairs handles consumer complaints in New Jersey.

Why each other choice is wrong (misconception it represents)

A: Roads
C: Not first stop
D: Schools

Type: knowledge check

GO DEEPER 1 — Using your rights · Question 5 of 5

Why keep receipts and confirmation emails?

A. They prove what was bought and promised
B. Stores require them to be shown at every visit
C. They raise credit scores
D. They make every purchase returnable

CORRECT ANSWER

A. They prove what was bought and promised

Feedback (shown after answering)

Records support disputes and returns.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses receipts with credit
D: Overstates receipts

Type: knowledge check · practical how-to

SET 101 · Consumer Protection, Fraud, and Digital Security

Digital security for money

MAIN skill: Protect financial accounts online with strong passwords, multifactor authentication, and safe habits

Outcome FL.PROTECT.101 · National topic: Managing Risk · NJSLS 9.1.12: RM

Learning target: Use digital security practices to protect financial accounts and personal data

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Everyday account security (5 questions)

Why: Security habits matter before any tricky situation arises.

B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents

Why: Counting possible passwords uses powers.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Stronger protection (5 questions)

Practical skills beyond the standards: Setting up multifactor authentication; Using a password manager

Content status: stable

Source: CISA (Secure Our World: Use strong passwords) — Recommends long, unique passwords or a password manager, and turning on multifactor authentication. https://www.cisa.gov/secure-our-world/use-strong-passwords

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 D, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 C, F1-Q1 D, F1-Q2 D, F1-Q3 B, F1-Q4 A, F1-Q5 D

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 1 of 5

Learn: Strong passwords are long, unique to each account, and hard to guess. A password manager can create and store them.

Which password is strongest?

A. Rosa2008 used on every site
B. The word "password" with the number 1 added at the end
C. A long, random phrase used only for one account
D. Her pet's name and birthday

CORRECT ANSWER

C. A long, random phrase used only for one account

Feedback (shown after answering)

Length plus uniqueness makes passwords strong.

Why each other choice is wrong (misconception it represents)

A: Short, guessable, and reused
B: Very common
D: Easy to guess from social media

Type: instruction

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 2 of 5

Learn: MFA requires something besides your password, such as a code from an app or a security key, so a stolen password alone is not enough.

What does multifactor authentication (MFA) add?

A. A faster login with no password at all
B. A stronger password that is generated for you
C. Encryption for public Wi-Fi
D. A second proof of identity

CORRECT ANSWER

D. A second proof of identity

Feedback (shown after answering)

MFA adds a second check.

Why each other choice is wrong (misconception it represents)

A: Misreads MFA
B: Confuses MFA with a password manager
C: Confuses MFA with a VPN

Type: instruction

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 3 of 5

Learn: Possible codes = choices per position raised to the number of positions. Longer codes are much harder to guess.

A 4-digit PIN has 10 choices for each digit. How many possible PINs are there?

A. 40
B. 1,000
C. 4,000
D. 10,000

CORRECT ANSWER

D. 10,000

Feedback (shown after answering)

10^4 = 10,000.

Recomputed independently by the build: 10000

Why each other choice is wrong (misconception it represents)

A: Multiplies 10 by 4
B: Uses three digits
C: Multiplies 1,000 by 4

Type: instruction

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 4 of 5

Rosa is on free public Wi-Fi at a café. Which is safest?

A. Log in to her bank to check her balance quickly
B. Wait to bank on a trusted network
C. Share her screen with strangers
D. Turn off her phone's updates

CORRECT ANSWER

B. Wait to bank on a trusted network

Feedback (shown after answering)

Avoid sensitive logins on public Wi-Fi or use a trusted connection.

Why each other choice is wrong (misconception it represents)

A: Risky on open networks
C: Unsafe
D: Reduces security

Type: knowledge check

MAIN — Protect financial accounts online with strong passwords, multifactor authentication, and safe habits · Question 5 of 5

A text says "Your bank account is locked. Click here to verify." What should Rosa do?

A. Click the link and enter her login
B. Reply with her PIN
C. Forward it to friends
D. Open her bank's app directly

CORRECT ANSWER

D. Open her bank's app directly

Feedback (shown after answering)

Go to your bank through its official app or a saved site, not a link in a message.

Why each other choice is wrong (misconception it represents)

A: Phishing
B: Never share
C: Spreads the scam

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Everyday account security · Question 1 of 5

Why should each account have a different password?

A. One leak cannot unlock everything
B. Websites forbid reuse by law
C. Different passwords are always shorter to type
D. It stops phishing emails from arriving

CORRECT ANSWER

A. One leak cannot unlock everything

Feedback (shown after answering)

Unique passwords limit the damage of a breach.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Misreads the reason
D: Confuses passwords with spam filters

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 2 of 5

What is phishing?

A. A safe way to reset passwords
B. A program that blocks spam
C. A fake message that tricks you into sharing information
D. A bank's official alert

CORRECT ANSWER

C. A fake message that tricks you into sharing information

Feedback (shown after answering)

Phishing uses fake messages to steal information.

Why each other choice is wrong (misconception it represents)

A: Believes the bait
B: Confuses the threat with a defense
D: Believes the disguise

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 3 of 5

Why install software updates?

A. They fix security holes
B. They mainly add new emojis and features
C. They delete saved passwords
D. They are optional and add no protection

CORRECT ANSWER

A. They fix security holes

Feedback (shown after answering)

Updates patch known weaknesses.

Why each other choice is wrong (misconception it represents)

B: Misses security fixes
C: Invents a risk
D: Misses security fixes

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 4 of 5

10 × 10 × 10 × 10 × 10 × 10 = ?

A. 60
B. 100,000
C. 1,000,000
D. 10,000,000

CORRECT ANSWER

C. 1,000,000

Feedback (shown after answering)

10^6 = 1,000,000.

Recomputed independently by the build: 1000000

Why each other choice is wrong (misconception it represents)

A: Multiplies 10 by 6
B: Uses five factors
D: Uses seven factors

Type: knowledge check

BACKWARD B1 · concept review — Everyday account security · Question 5 of 5

Which alert helps Rosa notice fraud fast?

A. A monthly statement email
B. A yearly credit report check
C. A text for every card purchase
D. A reminder that a bill is due

CORRECT ANSWER

C. A text for every card purchase

Feedback (shown after answering)

Transaction alerts flag charges right away.

Why each other choice is wrong (misconception it represents)

A: Too slow to catch fraud quickly
B: Too slow to catch fraud quickly
D: Not tied to purchases

Type: knowledge check · practical how-to

GO DEEPER 1 — Stronger protection · Question 1 of 5

A 6-digit PIN has how many times as many possibilities as a 4-digit PIN?

A. 1.5
B. 2
C. 10
D. 100

CORRECT ANSWER

D. 100

Feedback (shown after answering)

10^6 ÷ 10^4 = 10^2 = 100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Divides the lengths
B: Subtracts the lengths
C: Uses one extra digit

Type: knowledge check

GO DEEPER 1 — Stronger protection · Question 2 of 5

Learn: With your number, a thief can receive text codes. Add a carrier PIN and prefer app-based or key-based MFA.

What is a SIM swap scam?

A. Copying your contacts to a new phone
B. A text offering a free SIM upgrade
C. A virus that slows your phone
D. A thief moves your phone number to their device

CORRECT ANSWER

D. A thief moves your phone number to their device

Feedback (shown after answering)

SIM swaps hijack phone numbers to steal codes.

Why each other choice is wrong (misconception it represents)

A: Describes a normal transfer
B: Describes bait, not the takeover
C: Confuses with malware

Type: instruction

GO DEEPER 1 — Stronger protection · Question 3 of 5

Why is a password manager helpful?

A. It shares passwords with friends
B. It creates and stores unique strong passwords
C. It removes the need for any password
D. It posts your passwords online as a backup copy

CORRECT ANSWER

B. It creates and stores unique strong passwords

Feedback (shown after answering)

Managers make unique strong passwords practical.

Why each other choice is wrong (misconception it represents)

A: Misreads sharing features
C: Overstates the tool
D: Unsafe

Type: knowledge check

GO DEEPER 1 — Stronger protection · Question 4 of 5

Which is safest to post publicly?

A. Her favorite book
B. Her full birth date and address
C. A photo of her debit card
D. Her bank's security question answers

CORRECT ANSWER

A. Her favorite book

Feedback (shown after answering)

Avoid posting details used to verify identity.

Why each other choice is wrong (misconception it represents)

B: Used for identity theft
C: Exposes the number
D: Unlocks accounts

Type: knowledge check

GO DEEPER 1 — Stronger protection · Question 5 of 5

An app asks for permission to read all texts and contacts but is only a flashlight. What should Rosa do?

A. Allow everything
B. Share her bank login with it
C. Ignore the request and keep using it
D. Deny or delete it

CORRECT ANSWER

D. Deny or delete it

Feedback (shown after answering)

Apps should request only what they need.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Unsafe
C: Risky

Type: knowledge check · practical how-to

SET 102 · Inflation, Interest Rates, and the Economy

Inflation and the Consumer Price Index

MAIN skill: Calculate inflation from prices and the CPI and explain its effect on purchasing power

Outcome FL.ECON.102 · National topic: Saving · NJSLS 9.1.12: EG

Learning target: Calculate inflation using price indexes and explain how inflation affects purchasing power

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent change (5 questions)
  - Why: Inflation rates are percent changes from an old value.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Inflation is a percent increase in prices.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Inflation over many years (5 questions)

Practical skills beyond the standards: Reading the CPI

Content status: stable

Source: U.S. Bureau of Labor Statistics (Consumer Price Index) — The CPI measures the average change over time in prices paid by urban consumers for a market basket of goods and services. https://www.bls.gov/cpi/

Source: TreasuryDirect (I bonds) — Series I savings bonds pay a rate that combines a fixed rate and an inflation rate that is reset every six months. https://www.treasurydirect.gov/savings-bonds/i-bonds/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 C, B1-Q3 A, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 B, F1-Q3 D, F1-Q4 B, F1-Q5 C

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 1 of 5

Learn: Inflation is a general rise in prices over time. Inflation rate = (new price − old price) ÷ old price × 100.

A basket of groceries cost $80 last year and costs $84 this year. What is the inflation rate for this basket?

A. 4%
B. 4.8%
C. 5%
D. 105%

CORRECT ANSWER

C. 5%

Feedback (shown after answering)

($84 − $80) ÷ $80 = 0.05 = 5%.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Uses the $4 change as the percent
B: Divides the change by $84
D: Gives the new price as a percent of the old

Type: instruction

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 2 of 5

Learn: The Consumer Price Index (CPI), published by the Bureau of Labor Statistics, tracks prices of a typical basket of goods and services. Percent change in the CPI measures inflation.

The CPI was 300 last year and is 309 this year. What was the inflation rate?

A. 2.9%
B. 3%
C. 9%
D. 103%

CORRECT ANSWER

B. 3%

Feedback (shown after answering)

(309 − 300) ÷ 300 = 0.03 = 3%.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Divides by 309
C: Uses the point change as the percent
D: Gives the ratio as a percent

Type: instruction

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 3 of 5

Prices rise 4% this year. A $50 pair of jeans will cost about how much next year?

A. $48
B. $50.04
C. $52
D. $54

CORRECT ANSWER

C. $52

Feedback (shown after answering)

$50 × 1.04 = $52.

Recomputed independently by the build: 52

Why each other choice is wrong (misconception it represents)

A: Subtracts 4%
B: Adds 4 cents
D: Adds $4

Type: knowledge check

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 4 of 5

Learn: Purchasing power is how much money can buy. When prices rise, each dollar buys less.

What happens to the purchasing power of $100 kept in a jar during inflation?

A. It buys more because prices are rising
B. It stays the same because the bill still says $100
C. It buys less over time
D. It earns interest from the government

CORRECT ANSWER

C. It buys less over time

Feedback (shown after answering)

Rising prices shrink what the same dollars can buy.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Confuses face value with buying power
D: Cash in a jar earns nothing

Type: instruction

MAIN — Calculate inflation from prices and the CPI and explain its effect on purchasing power · Question 5 of 5

Which group is usually hurt most by unexpected inflation?

A. People whose pay rises faster than prices
B. People on fixed incomes
C. Borrowers with fixed-rate loans
D. Owners of assets that rise with prices

CORRECT ANSWER

B. People on fixed incomes

Feedback (shown after answering)

Fixed incomes do not rise with prices, so they buy less.

Why each other choice is wrong (misconception it represents)

A: They keep up
C: They repay with cheaper dollars
D: Their assets keep up

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 1 of 5

Learn: Percent change = change ÷ original × 100.

A price goes from $20 to $22. What is the percent increase?

A. 2%
B. 9.1%
C. 10%
D. 110%

CORRECT ANSWER

C. 10%

Feedback (shown after answering)

$2 ÷ $20 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses the dollar change
B: Divides by $22
D: Gives the ratio

Type: instruction

BACKWARD B1 · concept review — Percent change · Question 2 of 5

$200 increased by 3% is...

A. $194
B. $203
C. $206
D. $260

CORRECT ANSWER

C. $206

Feedback (shown after answering)

$200 × 1.03 = $206.

Recomputed independently by the build: 206

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Adds $3
D: Adds 30%

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 3 of 5

Which word means a general rise in prices?

A. Inflation
B. Depreciation
C. Dividend
D. Deduction

CORRECT ANSWER

A. Inflation

Feedback (shown after answering)

Inflation is rising prices overall.

Why each other choice is wrong (misconception it represents)

B: Loss of an asset's value
C: A company payment
D: A tax term

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 4 of 5

A price goes from $40 to $38. What is the percent change?

A. -5%
B. -2%
C. 5%
D. 95%

CORRECT ANSWER

A. -5%

Feedback (shown after answering)

−$2 ÷ $40 = −5%.

Recomputed independently by the build: -5

Why each other choice is wrong (misconception it represents)

B: Uses dollars
C: Ignores the direction
D: Gives the ratio

Type: knowledge check

BACKWARD B1 · concept review — Percent change · Question 5 of 5

When prices fall across the economy, it is called...

A. Inflation
B. Deflation
C. Interest
D. Appreciation

CORRECT ANSWER

B. Deflation

Feedback (shown after answering)

Deflation is a general fall in prices.

Why each other choice is wrong (misconception it represents)

A: Rising prices
C: Cost of borrowing
D: Asset value rising

Type: knowledge check

GO DEEPER 1 — Inflation over many years · Question 1 of 5

Learn: Inflation compounds: each year's prices rise from the year before. Price after t years = price × (1 + rate)^t.

At 3% inflation a year, about what will a $1,000 cost of living be in 2 years?

A. $1,030.00
B. $1,060.00
C. $1,060.90
D. $1,090.00

CORRECT ANSWER

C. $1,060.90

Feedback (shown after answering)

$1,000 × 1.03 × 1.03 = $1,060.90.

Recomputed independently by the build: 1060.9

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses simple growth
D: Uses 9%

Type: instruction

GO DEEPER 1 — Inflation over many years · Question 2 of 5

Learn: The Rule of 72 estimates doubling time: 72 ÷ rate.

Using the Rule of 72, at 4% inflation, about how many years until prices double?

A. 4
B. 18
C. 68
D. 288

CORRECT ANSWER

B. 18

Feedback (shown after answering)

72 ÷ 4 = 18 years.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Uses the rate
C: Subtracts
D: Multiplies

Type: instruction

GO DEEPER 1 — Inflation over many years · Question 3 of 5

A movie ticket cost $5 when the CPI was 150 and costs $15 when the CPI is 300. Did ticket prices rise faster than overall prices?

A. No; ticket prices rose exactly with overall prices
B. No; tickets rose less than prices
C. Yes; tickets rose by $150
D. Yes; tickets tripled while prices doubled

CORRECT ANSWER

D. Yes; tickets tripled while prices doubled

Feedback (shown after answering)

Tickets ×3 versus CPI ×2.

Why each other choice is wrong (misconception it represents)

A: Ignores the numbers
B: Reverses the comparison
C: Confuses CPI points with dollars

Type: knowledge check

GO DEEPER 1 — Inflation over many years · Question 4 of 5

Learn: Today's dollars = old amount × (CPI now ÷ CPI then).

$50 in a year when the CPI was 200 is worth how much in today's dollars if the CPI is now 300?

A. $33.33
B. $75
C. $100
D. $150

CORRECT ANSWER

B. $75

Feedback (shown after answering)

$50 × 300 ÷ 200 = $75.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Uses the CPI difference
D: Adds the CPI change

Type: instruction

GO DEEPER 1 — Inflation over many years · Question 5 of 5

Learn: I bonds from TreasuryDirect pay a rate that includes an inflation part reset every six months.

Which savings product has a rate partly tied to inflation?

A. A gift card
B. A checking account with no interest
C. Series I savings bonds
D. A store loyalty point

CORRECT ANSWER

C. Series I savings bonds

Feedback (shown after answering)

I bonds adjust with inflation.

Why each other choice is wrong (misconception it represents)

A: Earns nothing
B: Earns nothing
D: Not savings

Type: instruction · rule as of As of 2026

SET 103 · Inflation, Interest Rates, and the Economy

Real returns and interest rates

MAIN skill: Find real rates of return and explain how the Federal Reserve affects interest rates

Outcome FL.ECON.103 · National topic: Saving · NJSLS 9.1.12: EG

Learning target: Distinguish nominal and real rates and explain how the Federal Reserve influences interest rates

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Nominal and real (5 questions)
  - Why: Real returns separate growth in dollars from growth in buying power.
- B2 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Real rates subtract one percent from another, including negatives.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Rates in everyday decisions (5 questions)

Practical skills beyond the standards: Comparing a raise with inflation

Content status: time-sensitive

Source: Federal Reserve (Monetary policy) — The Federal Reserve sets a target range for the federal funds rate to pursue maximum employment and stable prices; it has a longer-run inflation goal of 2%.
https://www.federalreserve.gov/monetarypolicy.htm

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 B, F1-Q1 B, F1-Q2 A, F1-Q3 B, F1-Q4 C, F1-Q5 B

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 1 of 5

Learn: The nominal rate is the stated rate. The real rate shows growth in buying power: real rate ≈ nominal rate − inflation rate.

Rosa's savings earn 4.5% a year and inflation is 3%. About what is her real rate of return?

A. -1.5%
B. 1.5%
C. 4.5%
D. 7.5%

CORRECT ANSWER

B. 1.5%

Feedback (shown after answering)

4.5% − 3% = 1.5%.

Recomputed independently by the build: 1.5

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
C: Ignores inflation
D: Adds the rates

Type: instruction

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 2 of 5

Learn: Real pay change ≈ raise − inflation. If prices rise faster than pay, the same paycheck buys less.

Rosa gets a 2% raise when inflation is 4%. What happens to her real pay?

A. It rises by about 6%
B. It rises by about 2%
C. It stays the same
D. It falls by about 2%

CORRECT ANSWER

D. It falls by about 2%

Feedback (shown after answering)

2% − 4% ≈ −2%: her pay buys less.

Why each other choice is wrong (misconception it represents)

A: Adds the rates
B: Ignores inflation
C: Ignores the gap

Type: instruction

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 3 of 5

A savings account pays 0.5% while inflation is 3%. What is happening to the money's buying power?

A. It is growing faster than prices
B. It is shrinking
C. It is growing at exactly 3%
D. It cannot change in a bank

CORRECT ANSWER

B. It is shrinking

Feedback (shown after answering)

0.5% − 3% = −2.5% real: buying power falls.

Why each other choice is wrong (misconception it represents)

A: Reverses the gap
C: Confuses the rates
D: Ignores inflation

Type: knowledge check

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 4 of 5

Learn: The Federal Reserve sets a target for the federal funds rate, which banks charge each other overnight. Changes ripple to credit card, auto, and mortgage rates and to savings yields. Raising rates tends to slow borrowing and cool inflation.

When the Federal Reserve raises its target interest rate, what usually happens to loan rates?

A. They tend to rise
B. They tend to fall
C. They stay the same until each loan ends
D. They are unaffected; only savings rates change

CORRECT ANSWER

A. They tend to rise

Feedback (shown after answering)

Higher Fed rates push borrowing costs up.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Confuses new loans with fixed loans
D: Misses how rates ripple

Type: instruction

MAIN — Find real rates of return and explain how the Federal Reserve affects interest rates · Question 5 of 5

Why might the Fed raise rates when inflation is high?

A. To make loans cheaper for everyone
B. To print more money
C. To slow borrowing and spending
D. To lower taxes

CORRECT ANSWER

C. To slow borrowing and spending

Feedback (shown after answering)

Higher rates cool demand, which helps slow inflation.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Confuses tools
D: Not the Fed's role

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 1 of 5

The "nominal" rate is...

A. The rate after inflation
B. The rate after taxes
C. The stated rate before inflation
D. The rate charged on a credit card only

CORRECT ANSWER

C. The stated rate before inflation

Feedback (shown after answering)

Nominal means stated, not adjusted.

Why each other choice is wrong (misconception it represents)

A: Real rate
B: Confuses with an after-tax rate
D: Too narrow

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 2 of 5

6% − 2% = ?

A. 3%
B. 4%
C. 8%
D. 12%

CORRECT ANSWER

B. 4%

Feedback (shown after answering)

6 − 2 = 4.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Divides
C: Adds
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 3 of 5

Which agency sets the target for short-term U.S. interest rates?

A. The IRS
B. The FDIC
C. The SEC
D. The Federal Reserve

CORRECT ANSWER

D. The Federal Reserve

Feedback (shown after answering)

The Fed sets the federal funds target.

Why each other choice is wrong (misconception it represents)

A: Taxes
B: Deposit insurance
C: Securities

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 4 of 5

If prices rise 5% and your money grows 5%, your buying power...

A. Stays about the same
B. Doubles
C. Falls by about 10 percent
D. Rises by 5%

CORRECT ANSWER

A. Stays about the same

Feedback (shown after answering)

5% − 5% ≈ 0% real.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Adds the rates
D: Ignores inflation

Type: knowledge check

BACKWARD B1 · concept review — Nominal and real · Question 5 of 5

Higher interest rates make borrowing…

A. Cheaper for all
B. More expensive
C. Unaffected
D. Cheaper only for savers

CORRECT ANSWER

B. More expensive

Feedback (shown after answering)

Higher rates raise the cost of loans.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores rates
D: Confuses borrowers and savers

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 1 of 5

Learn: Many credit cards have rates tied to the prime rate, which moves with the Fed's target.

Rosa's variable-rate credit card is 20% APR. The prime rate rises 0.5 percentage point. If her card follows prime, what is the new APR?

A. 20.1%
B. 20.5%
C. 25%
D. 30%

CORRECT ANSWER

B. 20.5%

Feedback (shown after answering)

20% + 0.5 = 20.5%.

Recomputed independently by the build: 20.5

Why each other choice is wrong (misconception it represents)

A: Uses 0.1
C: Adds 5
D: Adds half of 20

Type: instruction

GO DEEPER 1 — Rates in everyday decisions · Question 2 of 5

Rates are high. Rosa wants to lock in a savings rate for 2 years. Which product does that?

A. A 2-year CD
B. A checking account
C. A variable-rate credit card
D. Cash at home

CORRECT ANSWER

A. A 2-year CD

Feedback (shown after answering)

A CD locks a fixed rate for its term.

Why each other choice is wrong (misconception it represents)

B: Variable or none
C: Borrowing
D: No interest

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 3 of 5

Real return using an exact method: (1 + 0.06) ÷ (1 + 0.02) − 1 is about...

A. 3.00%
B. 3.92%
C. 4.00%
D. 8.00%

CORRECT ANSWER

B. 3.92%

Feedback (shown after answering)

1.06 ÷ 1.02 = 1.0392 → 3.92%.

Recomputed independently by the build: 3.92

Why each other choice is wrong (misconception it represents)

A: Divides the rates
C: Uses the approximation
D: Adds

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 4 of 5

Mortgage rates rise from 6% to 7%. What usually happens to how much house a buyer can afford?

A. It increases
B. It is unchanged
C. It decreases
D. It doubles

CORRECT ANSWER

C. It decreases

Feedback (shown after answering)

Higher rates raise payments, lowering affordable price.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores payments
D: Overstates

Type: knowledge check

GO DEEPER 1 — Rates in everyday decisions · Question 5 of 5

What is the Fed's stated longer-run inflation goal?

A. 0%
B. 2%
C. 5%
D. 10%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

The Fed targets 2% inflation over the longer run.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Deflation risk
C: Not the goal
D: Too high

Type: knowledge check · rule as of As of 2026

SET 104 · Inflation, Interest Rates, and the Economy

Economic conditions and personal finances

MAIN skill: Explain how unemployment, recessions, and market changes affect personal financial decisions

Outcome FL.ECON.104 · National topic: Earning Income · NJSLS 9.1.12: EG, CFR

Learning target: Explain how economic conditions such as unemployment and recessions affect income and financial decisions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: The business cycle (5 questions)
  Why: Economic conditions follow cycles that affect jobs and prices.
- B2 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Unemployment and other rates are percents of a whole.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Taxes, government, and the economy (5 questions)

Practical skills beyond the standards: Preparing for a downturn

Content status: stable

Source: U.S. Bureau of Labor Statistics (Unemployment) — The unemployment rate is the share of the labor force that is jobless and looking for work. https://www.bls.gov/cps/

Source: Federal Reserve (Monetary policy) — The Federal Reserve sets a target range for the federal funds rate to pursue maximum employment and stable prices; it has a longer-run inflation goal of 2%. https://www.federalreserve.gov/monetarypolicy.htm

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 B, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 D, B1-Q4 B, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 A, F1-Q4 C, F1-Q5 A

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 1 of 5

Learn: The labor force is people working or looking for work. Unemployment rate = unemployed ÷ labor force × 100.

A town has 50,000 people in the labor force; 2,000 are jobless and looking for work. What is the unemployment rate?

A. 2%
B. 4%
C. 25%
D. 40%

CORRECT ANSWER

B. 4%

Feedback (shown after answering)

2,000 ÷ 50,000 = 4%.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Divides by 100,000
C: Divides the wrong way
D: Misplaces the decimal

Type: instruction

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 2 of 5

Learn: In a recession, output and spending fall, layoffs rise, and many businesses earn less. Recessions are part of the business cycle of expansions and contractions.

What is a recession?

A. A single bad month on the stock market
B. A rise in stock prices
C. A rise in prices across the economy
D. A significant, widespread decline in economic activity

CORRECT ANSWER

D. A significant, widespread decline in economic activity

Feedback (shown after answering)

A recession is a broad economic decline.

Why each other choice is wrong (misconception it represents)

A: Confuses markets with the whole economy
B: Reverses the meaning
C: Confuses with inflation

Type: instruction

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 3 of 5

A recession may be starting. Which step best protects Rosa's finances?

A. Take on new debt for a vacation
B. Build up her emergency fund
C. Sell all investments in a panic
D. Quit her job to wait it out

CORRECT ANSWER

B. Build up her emergency fund

Feedback (shown after answering)

Extra savings cushion a job loss.

Why each other choice is wrong (misconception it represents)

A: Adds risk
C: Locks in losses
D: Loses income

Type: knowledge check · practical how-to

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 4 of 5

Learn: Prices respond to supply and demand: less supply or more demand pushes prices up.

Gas prices jump because supply is cut while demand stays the same. What explains the higher price?

A. More supply with the same demand
B. Less supply with the same demand
C. Less demand with the same supply
D. Prices are set by law each day

CORRECT ANSWER

B. Less supply with the same demand

Feedback (shown after answering)

Reduced supply with steady demand raises prices.

Why each other choice is wrong (misconception it represents)

A: Would lower prices
C: Would lower prices
D: Misunderstands markets

Type: instruction

MAIN — Explain how unemployment, recessions, and market changes affect personal financial decisions · Question 5 of 5

Learn: In past U.S. history, broad stock market declines have eventually been followed by recoveries, but the timing has varied from months to many years. Past results do not guarantee future ones, and a single stock or narrow fund may never recover.

During a downturn, Rosa's broadly diversified U.S. stock market index fund drops 20%. She has 30 years until retirement. What does past U.S. market history suggest?

A. Broad markets have recovered from past drops, but not on any schedule
B. Stocks never recover after a drop
C. She should move everything to cash at once
D. She must sell her shares immediately by federal law

CORRECT ANSWER

A. Broad markets have recovered from past drops, but not on any schedule

Feedback (shown after answering)

Broad markets have historically recovered from downturns over long periods, but recovery is not guaranteed.

Why each other choice is wrong (misconception it represents)

B: Contradicts past history
C: Locks in losses
D: Invents a rule

Type: instruction

BACKWARD B1 · concept review — The business cycle · Question 1 of 5

An expansion is a time when the economy is...

A. Shrinking
B. Stuck at the same level
C. Growing
D. In a recession

CORRECT ANSWER

C. Growing

Feedback (shown after answering)

Expansions bring growth in output and jobs.

Why each other choice is wrong (misconception it represents)

A: Contraction
B: Misses growth
D: Confuses phases

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 2 of 5

1,500 unemployed out of 30,000 in the labor force is...

A. 0.5%
B. 5%
C. 15%
D. 20%

CORRECT ANSWER

B. 5%

Feedback (shown after answering)

1,500 ÷ 30,000 = 5%.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the first digits
D: Divides the wrong way

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 3 of 5

Who is counted as unemployed?

A. Every person without a job, including retirees
B. Students not looking for work
C. People working part time
D. People without jobs who are looking for work

CORRECT ANSWER

D. People without jobs who are looking for work

Feedback (shown after answering)

Unemployed people are jobless and actively looking.

Why each other choice is wrong (misconception it represents)

A: Not in labor force
B: Not in labor force
C: Employed

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 4 of 5

If demand for a concert rises and seats stay the same, prices tend to...

A. Fall
B. Rise
C. Stay fixed
D. Fall to attract more buyers

CORRECT ANSWER

B. Rise

Feedback (shown after answering)

More demand with fixed supply pushes prices up.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores demand
D: Misreads demand

Type: knowledge check

BACKWARD B1 · concept review — The business cycle · Question 5 of 5

GDP measures…

A. The national debt only
B. Total household income only
C. The value of goods and services an economy produces
D. The stock market's value

CORRECT ANSWER

C. The value of goods and services an economy produces

Feedback (shown after answering)

Gross domestic product measures total output.

Why each other choice is wrong (misconception it represents)

A: Different measure
B: Too narrow
D: Confuses markets with output

Type: knowledge check

GO DEEPER 1 — Taxes, government, and the economy · Question 1 of 5

Learn: Taxes pay for many public services. In economics, a "public good" is nonrival (one person's use does not reduce another's) and nonexcludable (hard to keep people from using it). National defense is a classic example. Roads are tax-funded public services, but they can get crowded or charge tolls, so they are not always pure public goods.

Economists define a public good as something that one person's use does not use up and that people cannot easily be kept from using. Which is the clearest example?

A. A private gym membership
B. A restaurant meal
C. A streaming subscription
D. National defense

CORRECT ANSWER

D. National defense

Feedback (shown after answering)

National defense protects everyone at once and cannot exclude anyone.

Why each other choice is wrong (misconception it represents)

A: People can be excluded
B: Used up by the person who eats it
C: People can be excluded

Type: instruction

GO DEEPER 1 — Taxes, government, and the economy · Question 2 of 5

Learn: Unemployment insurance, run by states, replaces part of wages for eligible workers who lose jobs through no fault of their own. Benefit formulas and maximums differ by state and year.

Unemployment insurance pays 50% of Rosa's $800 weekly wage, up to a $600 weekly maximum. What does she receive?

A. $400
B. $600
C. $800
D. $1,400

CORRECT ANSWER

A. $400

Feedback (shown after answering)

50% of $800 = $400, below the $600 cap.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Uses the maximum
C: Uses full pay
D: Adds

Type: instruction · rule as of Hypothetical formula

GO DEEPER 1 — Taxes, government, and the economy · Question 3 of 5

Why do some jobs feel recessions less?

A. Demand for them stays steady
B. They pay no taxes
C. They never hire anyone
D. They pay the highest wages

CORRECT ANSWER

A. Demand for them stays steady

Feedback (shown after answering)

Essential services, such as health care, often stay in demand.

Why each other choice is wrong (misconception it represents)

B: Misreads stability
C: Misreads stability
D: Confuses pay with stability

Type: knowledge check

GO DEEPER 1 — Taxes, government, and the economy · Question 4 of 5

A rise in the minimum wage raises a worker's pay from $15 to $15.92 an hour. What is the percent increase, to the nearest tenth?

A. 0.9%
B. 5.8%
C. 6.1%
D. 92%

CORRECT ANSWER

C. 6.1%

Feedback (shown after answering)

$0.92 ÷ $15 ≈ 6.1%.

Recomputed independently by the build: 6.1

Why each other choice is wrong (misconception it represents)

A: Uses the dollars
B: Divides by $15.92
D: Uses the cents

Type: knowledge check · rule as of Hypothetical rates

GO DEEPER 1 — Taxes, government, and the economy · Question 5 of 5

How do interest rates usually affect new businesses in a downturn when the Fed cuts rates?

A. Cheaper loans can make borrowing easier
B. Loans become illegal
C. Rates rise automatically
D. Banks stop lending forever

CORRECT ANSWER

A. Cheaper loans can make borrowing easier

Feedback (shown after answering)

Lower rates reduce borrowing costs.

Why each other choice is wrong (misconception it represents)

B: Misreads policy
C: Reverses
D: Overstates downturns

Type: knowledge check

SET 105 · Contracts, Subscriptions, and Fees

Reading a contract before signing

MAIN skill: Identify the key terms of a contract and the questions to ask before signing

Outcome FL.CONTRACT.105 · National topic: Spending · NJSLS 9.1.12: CDM, FP

Learning target: Identify the rights and responsibilities in contracts and evaluate their costs before signing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What makes a contract (5 questions)
  - Why: Reading a contract is easier with its basic parts in mind.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Total contract cost adds monthly, one-time, and yearly charges.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Getting out of a contract (5 questions)

Practical skills beyond the standards: Reading cancellation terms; Canceling in writing

Content status: stable

Source: New Jersey Division of Consumer Affairs — New Jersey residents can file consumer complaints, including about contracts and refund policies, with the Division of Consumer Affairs. https://www.njconsumeraffairs.gov/

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 C, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 D, F1-Q3 C, F1-Q4 A, F1-Q5 C

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 1 of 5

Learn: A contract is a legally binding agreement. Key parts: the parties, what each promises, the price and fees, the length (term), how it renews, how to cancel, and how disputes are handled. Read every page before signing and keep a copy.

Jamal is about to sign a gym membership contract. Which part tells him how to end it?

A. The gym's logo and address at the top of the page
B. The list of classes offered this month
C. The photo on his membership card
D. The cancellation terms

CORRECT ANSWER

D. The cancellation terms

Feedback (shown after answering)

Cancellation terms explain how and when the contract can be ended and at what cost.

Why each other choice is wrong (misconception it represents)

A: Identifies the business only
B: Marketing, not a term
C: Not part of the contract terms

Type: instruction · practical how-to

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 2 of 5

Learn: The full cost of a contract includes monthly charges plus one-time and yearly fees.

The gym contract is $35 a month for 12 months, plus a $49 sign-up fee and a $60 annual fee. What is the first-year cost?

A. $420
B. $469
C. $480
D. $529

CORRECT ANSWER

D. $529

Feedback (shown after answering)

12 × $35 = $420; $420 + $49 + $60 = $529.

Recomputed independently by the build: 529

Why each other choice is wrong (misconception it represents)

A: Counts only the monthly dues
B: Leaves out the annual fee
C: Leaves out the sign-up fee

Type: instruction

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 3 of 5

Learn: If a promise matters, get it in writing in the contract. Signed written terms usually control over spoken promises.

A salesperson says, "Don't worry about the fine print; you can cancel anytime." The written contract says cancellation costs $150. Which usually controls?

A. The salesperson's spoken promise, because it came first
B. The written contract
C. Whatever Jamal remembers later
D. Neither, since gym contracts are not binding

CORRECT ANSWER

B. The written contract

Feedback (shown after answering)

Signed written terms usually control; ask for promises in writing.

Why each other choice is wrong (misconception it represents)

A: Spoken promises are hard to prove
C: Memory is not evidence
D: They are binding

Type: instruction

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 4 of 5

Learn: An arbitration clause sends disputes to a private arbitrator, often limiting class actions and appeals.

The contract says disputes go to "binding arbitration." What does that usually mean?

A. Jamal can sue in any court he chooses
B. The gym must refund him automatically
C. A private arbitrator decides instead of a court
D. A judge must approve every monthly bill the gym sends

CORRECT ANSWER

C. A private arbitrator decides instead of a court

Feedback (shown after answering)

Arbitration replaces a court case with a private decision.

Why each other choice is wrong (misconception it represents)

A: Reverses the clause
B: Invents a remedy
D: Misreads the clause

Type: instruction

MAIN — Identify the key terms of a contract and the questions to ask before signing · Question 5 of 5

Learn: In most states, including New Jersey, the age of majority is 18. Many contracts signed by minors are voidable by the minor, though contracts for necessities can be enforced. Businesses often require a parent to cosign.

Jamal is 17. In most states, what is generally true of contracts signed by minors?

A. They are stricter than adult contracts
B. The minor can often cancel them
C. They can never be signed at all
D. Parents automatically owe the money

CORRECT ANSWER

B. The minor can often cancel them

Feedback (shown after answering)

Minors can usually void many contracts, which is why businesses ask for a parent's signature.

Why each other choice is wrong (misconception it represents)

A: Reverses the rule
C: Minors can sign some
D: Not automatic

Type: instruction

BACKWARD B1 · concept review — What makes a contract · Question 1 of 5

A contract is…

A. A suggestion with no effect
B. A store receipt only
C. A promise that only the business must keep
D. A legally binding agreement

CORRECT ANSWER

D. A legally binding agreement

Feedback (shown after answering)

Contracts are enforceable promises.

Why each other choice is wrong (misconception it represents)

A: Not binding
B: Too narrow
C: Misses that both sides are bound

Type: knowledge check

BACKWARD B1 · concept review — What makes a contract · Question 2 of 5

The "term" of a contract is...

A. The price
B. The company name
C. How long it lasts
D. The signature line

CORRECT ANSWER

C. How long it lasts

Feedback (shown after answering)

The term is the length of the agreement.

Why each other choice is wrong (misconception it represents)

A: Separate item
B: Party
D: Not the term

Type: knowledge check

BACKWARD B1 · concept review — What makes a contract · Question 3 of 5

12 months at $25 a month is...

A. $37
B. $250
C. $300
D. $3,000

CORRECT ANSWER

C. $300

Feedback (shown after answering)

12 × $25 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Adds
B: Uses 10 months
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — What makes a contract · Question 4 of 5

Why keep a copy of a signed contract?

A. To check the terms later
B. Copies are illegal to keep
C. It cancels the contract
D. It replaces the need to read it

CORRECT ANSWER

A. To check the terms later

Feedback (shown after answering)

A copy proves what was agreed.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Misreads copies
D: Misunderstands copies

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — What makes a contract · Question 5 of 5

Which should Jamal do before signing?

A. Sign quickly to avoid holding up the line
B. Read every page and ask questions
C. Read only the first page
D. Let the salesperson summarize it

CORRECT ANSWER

B. Read every page and ask questions

Feedback (shown after answering)

Read all terms and ask about anything unclear.

Why each other choice is wrong (misconception it represents)

A: Rushing
C: Misses terms
D: Relies on the other party

Type: knowledge check · practical how-to

GO DEEPER 1 — Getting out of a contract · Question 1 of 5

Learn: Early termination fees are often figured from the months left on the term.

Jamal cancels after 5 months of a 12-month gym contract. The fee is $20 for each remaining month. What is the fee?

A. $20
B. $100
C. $140
D. $240

CORRECT ANSWER

C. $140

Feedback (shown after answering)

12 − 5 = 7 months left; 7 × $20 = $140.

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Charges one month
B: Uses the 5 months used
D: Uses all 12 months

Type: instruction

GO DEEPER 1 — Getting out of a contract · Question 2 of 5

How should Jamal cancel to have proof?

A. By telling a trainer in the hallway
B. By just stopping payments
C. By deleting the gym app
D. In writing, keeping a dated copy

CORRECT ANSWER

D. In writing, keeping a dated copy

Feedback (shown after answering)

Written cancellation creates a record.

Why each other choice is wrong (misconception it represents)

A: No record
B: Can lead to collections
C: Not cancellation

Type: knowledge check · practical how-to

GO DEEPER 1 — Getting out of a contract · Question 3 of 5

Learn: Banks can stop recurring payments and investigate unauthorized charges. Keep the cancellation proof.

After canceling, the gym keeps charging Jamal's debit card. What should he do first?

A. Ignore it and hope it stops
B. Stop opening his bank statements until it ends
C. Contact his bank and dispute the charges
D. Pay extra to make them stop

CORRECT ANSWER

C. Contact his bank and dispute the charges

Feedback (shown after answering)

The bank can block and investigate charges; New Jersey residents can also complain to the Division of Consumer Affairs.

Why each other choice is wrong (misconception it represents)

A: Lets charges continue
B: Avoids the problem
D: Rewards the error

Type: instruction · practical how-to

GO DEEPER 1 — Getting out of a contract · Question 4 of 5

A contract says it "automatically renews for another 12 months unless canceled 30 days before the end." The term ends June 30. By about when must Jamal cancel?

A. By May 31
B. By June 30
C. By July 30
D. Any time in July

CORRECT ANSWER

A. By May 31

Feedback (shown after answering)

30 days before June 30 is May 31.

Why each other choice is wrong (misconception it represents)

B: Ignores the notice period
C: After the term
D: After renewal

Type: knowledge check

GO DEEPER 1 — Getting out of a contract · Question 5 of 5

Which choice best protects Jamal before signing a long contract?

A. Signing two contracts at once
B. Prepaying three years
C. Asking for a month-to-month option
D. Skipping the cancellation section to save time

CORRECT ANSWER

C. Asking for a month-to-month option

Feedback (shown after answering)

Shorter commitments are easier to leave.

Why each other choice is wrong (misconception it represents)

A: Doubles commitment
B: Hard to recover
D: Misses key terms

Type: knowledge check

SET 106 · Contracts, Subscriptions, and Fees

Subscriptions, free trials, and phone plans

MAIN skill: Find the true cost of subscriptions and compare service plans

Outcome FL.CONTRACT.106 · National topic: Spending · NJSLS 9.1.12: PB, FP

Learning target: Calculate the cost of subscriptions and service plans and compare options

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Recurring charges (5 questions)

Why: Subscriptions are recurring charges; comparing plans needs total cost.

B2 · Math link → G8-S22-M (Grade 8 8.EE.C.8.c): Write and solve systems of linear equations for real-world problems

Why: Comparing two plans finds where two costs are equal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Auditing subscriptions (5 questions)

Practical skills beyond the standards: Auditing subscriptions; Canceling a free trial

Content status: time-sensitive

Source: FTC (Free trials, auto-renewals, and subscriptions) — Free trials and subscriptions often renew automatically and charge a card on file unless canceled; consumers should note renewal dates and how to cancel. Federal and state auto-renewal rules have changed in recent years.
https://consumer.ftc.gov/articles/getting-and-out-free-trials-auto-renewals-and-negative-option-subscriptions

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 B, B1-Q4 C, B1-Q5 D, F1-Q1 B, F1-Q2 B, F1-Q3 B, F1-Q4 B, F1-Q5 B

MAIN — Find the true cost of subscriptions and compare service plans · Question 1 of 5

Learn: Small monthly charges add up. Yearly cost = monthly cost × 12.

Jamal has three streaming services at $15.99 each per month. What do they cost in a year?

A. $47.97
B. $191.88
C. $479.70
D. $575.64

CORRECT ANSWER

D. $575.64

Feedback (shown after answering)

3 × $15.99 = $47.97; × 12 = $575.64.

Recomputed independently by the build: 575.64

Why each other choice is wrong (misconception it represents)

A: Gives one month for all three
B: Counts one service for a year
C: Uses 10 months

Type: instruction

MAIN — Find the true cost of subscriptions and compare service plans · Question 2 of 5

Learn: Many free trials automatically become paid subscriptions. Note the end date and how to cancel when you sign up.

A free 7-day trial requires a card and converts to $12.99 a month. Jamal wants only the trial. What should he do?

A. Assume trials end on their own
B. Give a fake card number
C. Sign up twice to get a longer free trial
D. Set a reminder to cancel before day 7

CORRECT ANSWER

D. Set a reminder to cancel before day 7

Feedback (shown after answering)

Cancel before the trial ends to avoid charges.

Why each other choice is wrong (misconception it represents)

A: Most auto-convert
B: Dishonest
C: Breaks terms

Type: instruction · practical how-to

MAIN — Find the true cost of subscriptions and compare service plans · Question 3 of 5

Learn: Set the costs equal: 25 + 10g = 45. Below that amount, Plan B is cheaper; above it, Plan A is.

Plan A: $45 a month, unlimited data. Plan B: $25 a month plus $10 per GB. At how many GB a month do the plans cost the same?

A. 4.5 GB
B. 2 GB
C. 20 GB
D. 7 GB

CORRECT ANSWER

B. 2 GB

Feedback (shown after answering)

10g = 20, so g = 2 GB.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Divides $45 by $10
C: Uses the $20 difference
D: Adds the plans

Type: instruction

MAIN — Find the true cost of subscriptions and compare service plans · Question 4 of 5

Plan A: $45 a month, unlimited data. Plan B: $25 a month plus $10 per GB. Jamal uses about 6 GB a month. Which is cheaper, and by how much?

A. Plan A, by $40 a month
B. Plan B, by $40 a month
C. Plan A, by $20 a month
D. Plan B, by $20 a month

CORRECT ANSWER

A. Plan A, by $40 a month

Feedback (shown after answering)

Plan B: $25 + 6 × $10 = $85. Plan A: $45. A is $40 less.
Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Compares base prices
D: Ignores data charges

Type: knowledge check

MAIN — Find the true cost of subscriptions and compare service plans · Question 5 of 5

A phone sells for $0 down and $33.34 a month for 36 months on a plan. What is the phone's total cost?

A. $0
B. $33.34
C. $400.08
D. $1,200.24

CORRECT ANSWER

D. $1,200.24

Feedback (shown after answering)

36 × $33.34 = $1,200.24.

Recomputed independently by the build: 1200.24

Why each other choice is wrong (misconception it represents)

A: Believes "$0 down" means free
B: One payment
C: Uses 12 months

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 1 of 5

A recurring charge is one that...

A. Repeats automatically on a schedule
B. Happens only once
C. Is always free
D. Ends automatically after a year

CORRECT ANSWER

A. Repeats automatically on a schedule

Feedback (shown after answering)

Recurring charges repeat until canceled.

Why each other choice is wrong (misconception it represents)

B: Reverses the meaning
C: Misreads recurring
D: Assumes subscriptions stop

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 2 of 5

$9.99 a month for a year is...

A. $9.99
B. $21.99
C. $99.90
D. $119.88

CORRECT ANSWER

D. $119.88

Feedback (shown after answering)

$9.99 × 12 = $119.88.

Recomputed independently by the build: 119.88

Why each other choice is wrong (misconception it represents)

A: One month
B: Adds 12
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 3 of 5

25 + 10 × 3 = ?

A. 38
B. 55
C. 65
D. 105

CORRECT ANSWER

B. 55

Feedback (shown after answering)

10 × 3 = 30; 25 + 30 = 55.

Recomputed independently by the build: 55

Why each other choice is wrong (misconception it represents)

A: Adds all
C: Multiplies wrong
D: Adds first

Type: knowledge check

BACKWARD B1 · concept review — Recurring charges · Question 4 of 5

Which tool helps find forgotten subscriptions?

A. Deleting old emails without reading them
B. Checking the app store's top charts
C. Reviewing bank and card statements
D. Asking friends what they subscribe to

CORRECT ANSWER

C. Reviewing bank and card statements

Feedback (shown after answering)

Statements list every recurring charge.

Why each other choice is wrong (misconception it represents)

A: Hides information
B: Not tied to her accounts
D: Not tied to her accounts

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Recurring charges · Question 5 of 5

A "$0 down" phone deal means...

A. The phone is free
B. No contract is involved
C. Taxes are waived
D. The cost is spread into monthly payments

CORRECT ANSWER

D. The cost is spread into monthly payments

Feedback (shown after answering)

"$0 down" spreads the price over months.

Why each other choice is wrong (misconception it represents)

A: Misreads $0 down
B: Often an agreement
C: Invents a benefit

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 1 of 5

Jamal's audit finds subscriptions of $15.99, $10.99, $6.99, and $4.99. He cancels the two he rarely uses: $10.99 and $4.99. How much does he save a year?

A. $15.98
B. $191.76
C. $275.76
D. $467.52

CORRECT ANSWER

B. $191.76

Feedback (shown after answering)

$10.99 + $4.99 = $15.98; × 12 = $191.76.
Recomputed independently by the build: 191.76

Why each other choice is wrong (misconception it represents)

A: Gives one month
C: Gives what he keeps
D: Gives the total of all four for a year

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 2 of 5

A service offers $99 a year or $9.99 a month. How much does the yearly plan save?

A. $0.99
B. $20.88
C. $89.01
D. $119.88

CORRECT ANSWER

B. $20.88

Feedback (shown after answering)

$9.99 × 12 = $119.88; $119.88 − $99 = $20.88.

Recomputed independently by the build: 20.88

Why each other choice is wrong (misconception it represents)

A: Compares one month
C: Subtracts monthly from yearly
D: Gives the monthly plan total

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 3 of 5

When is a yearly plan a poor choice?

A. When you use it every day
B. When you may stop using it soon
C. When it is cheaper per month overall
D. When prices are rising

CORRECT ANSWER

B. When you may stop using it soon

Feedback (shown after answering)

Prepaying for a year wastes money if you quit early.

Why each other choice is wrong (misconception it represents)

A: Good fit
C: Good fit
D: Can be good

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 4 of 5

Jamal shares a family plan for $60 a month with 3 other people, split equally. What is his share per year?

A. $15
B. $180
C. $240
D. $720

CORRECT ANSWER

B. $180

Feedback (shown after answering)

$60 ÷ 4 = $15; × 12 = $180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Gives one month
C: Splits among 3
D: Gives the whole plan

Type: knowledge check

GO DEEPER 1 — Auditing subscriptions · Question 5 of 5

A price-increase email says a subscription will rise from $12.99 to $15.99. What is the yearly increase?

A. $3
B. $36
C. $155.88
D. $191.88

CORRECT ANSWER

B. $36

Feedback (shown after answering)

$3 × 12 = $36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: One month
C: Gives the old yearly cost
D: Gives the new yearly cost

Type: knowledge check

SET 107 · Contracts, Subscriptions, and Fees

Fees, warranties, and the true price

MAIN skill: Find the total price with fees and evaluate warranties and buy now, pay later plans

Outcome FL.CONTRACT.107 · National topic: Spending · NJSLS 9.1.12: CDM, PB

Learning target: Calculate total prices including fees and evaluate warranties and installment plans

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Percent fees and flat fees (5 questions)

Why: Total price adds a percent fee and a flat fee to the base price.

B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee

Why: Fees are often a percent of the price added to the total.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Hidden costs (5 questions)

Practical skills beyond the standards: Comparing total prices with fees; Deciding on extended warranties

Content status: time-sensitive

Source: FTC (Rule on Unfair or Deceptive Fees takes effect) — A federal rule effective May 12, 2025 requires live-event ticket and short-term lodging sellers to show the total price, including mandatory fees, up front. https://www.ftc.gov/news-events/news/press-releases/2025/05/ftc-rule-unfair-or-deceptive-fees-take-effect-may-12-2025

Source: FTC (Warranties) — Explains written warranties, implied warranties, and service contracts (often called extended warranties). https://consumer.ftc.gov/articles/warranties

Source: CFPB (Buy now, pay later) — Buy now, pay later loans split a purchase into installments; missed payments can bring late fees. https://www.consumerfinance.gov/ask-cfpb/what-is-a-buy-now-pay-later-bnpl-loan-en-2108/

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 C, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 A

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 1 of 5

Learn: Many purchases add fees: percent fees (a percent of the price) and flat fees (a set dollar amount). Compare total prices, not base prices. Federal rules now require ticket and hotel sellers to show the total price with mandatory fees up front.

A concert ticket costs $60, plus an 18% service fee and a $5 facility fee. What is the total?

A. $65.00
B. $70.80
C. $75.80
D. $83.00

CORRECT ANSWER

C. $75.80

Feedback (shown after answering)

$60 × 0.18 = $10.80; $60 + $10.80 + $5 = $75.80.

Recomputed independently by the build: 75.8

Why each other choice is wrong (misconception it represents)

A: Leaves out the service fee
B: Leaves out the facility fee
D: Adds $18 instead of 18%

Type: instruction · rule as of FTC fee rule effective 2025-05-12

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 2 of 5

Learn: Buy now, pay later (BNPL) splits a purchase into installments, often with no interest if paid on time. Late fees and overlapping plans can make it costly.

A $600 laptop is split into 4 buy-now-pay-later payments. Jamal misses one and pays a $7 late fee. What does the laptop cost him?

A. $150
B. $600
C. $607
D. $628

CORRECT ANSWER

C. $607

Feedback (shown after answering)

$600 + $7 = $607.

Recomputed independently by the build: 607

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Ignores the fee
D: Charges the fee on every payment

Type: instruction

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 3 of 5

Learn: A warranty is a promise about a product's quality. A manufacturer's warranty usually covers defects for a set period. An "extended warranty" is a separate service contract you pay for.

What does a manufacturer's one-year warranty on a laptop usually cover?

A. Defects in parts or work
B. Damage from dropping it in a pool
C. Any problem for the life of the laptop
D. Theft of the laptop

CORRECT ANSWER

A. Defects in parts or work

Feedback (shown after answering)

Warranties cover defects, not accidents or theft.

Why each other choice is wrong (misconception it represents)

B: Accidents are usually excluded
C: Limited period
D: Insurance covers theft

Type: instruction

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 4 of 5

An extended warranty for a $300 headphone set costs $60. What percent of the price is it?

A. 5%
B. 17%
C. 20%
D. 60%

CORRECT ANSWER

C. 20%

Feedback (shown after answering)

$60 ÷ $300 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Divides $300 by $60 and treats it as a percent
B: Divides by $360, the price plus the warranty
D: Uses the dollars as a percent

Type: knowledge check

MAIN — Find the total price with fees and evaluate warranties and buy now, pay later plans · Question 5 of 5

Two hotels list $120 and $135 a night. The first adds a $30 nightly "resort fee"; the second has none. Which costs less per night?

A. The first, by $15
B. The second, by $45
C. The first, by $30
D. The second, by $15

CORRECT ANSWER

D. The second, by $15

Feedback (shown after answering)

First: $150. Second: $135. The second is $15 less.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Compares base prices
B: Adds the differences
C: Uses only the fee

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 1 of 5

10% of $40 is...

A. $0.40
B. $4
C. $14
D. $40.10

CORRECT ANSWER

B. $4

Feedback (shown after answering)

$40 × 0.10 = $4.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Adds 10
D: Adds 10 cents

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 2 of 5

A $50 item has a $3 flat fee. Total?

A. $47
B. $51.50
C. $53
D. $150

CORRECT ANSWER

C. $53

Feedback (shown after answering)

$50 + $3 = $53.

Recomputed independently by the build: 53

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Treats $3 as 3%
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 3 of 5

What is a flat fee?

A. A percent of the price
B. A fee that rises with the price
C. A set dollar amount
D. A fee charged only on refunds

CORRECT ANSWER

C. A set dollar amount

Feedback (shown after answering)

Flat fees do not change with price.

Why each other choice is wrong (misconception it represents)

A: Percent fee
B: Describes a percent fee
D: Misreads the term

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 4 of 5

$80 with a 5% fee and a $2 flat fee totals...

A. $82
B. $84
C. $86
D. $87

CORRECT ANSWER

C. $86

Feedback (shown after answering)

$80 × 0.05 = $4; $80 + $4 + $2 = $86.

Recomputed independently by the build: 86

Why each other choice is wrong (misconception it represents)

A: Leaves out the percent fee
B: Leaves out the flat fee
D: Uses $5 as the percent fee

Type: knowledge check

BACKWARD B1 · concept review — Percent fees and flat fees · Question 5 of 5

A warranty covers…

A. Anything that ever happens
B. Defects for a set time
C. Accidental drops and spills
D. Theft of the item

CORRECT ANSWER

B. Defects for a set time

Feedback (shown after answering)

Warranties cover defects for a period.

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Confuses with insurance
D: Confuses with insurance

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 1 of 5

A debit card transaction at an out-of-network ATM costs a $3 bank fee and a $3.50 owner fee. Jamal does this 4 times a month. What are his yearly ATM fees?

A. $26
B. $78
C. $144
D. $312

CORRECT ANSWER

D. $312

Feedback (shown after answering)

$6.50 × 4 = $26; × 12 = $312.

Recomputed independently by the build: 312

Why each other choice is wrong (misconception it represents)

A: Gives one month
B: Counts one withdrawal a month
C: Uses only the bank fee

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 2 of 5

A payment app charges 1.75% to transfer money instantly. On $400, what is the fee?

A. $0.70
B. $1.75
C. $7
D. $70

CORRECT ANSWER

C. $7

Feedback (shown after answering)

$400 × 0.0175 = $7.

Recomputed independently by the build: 7

Why each other choice is wrong (misconception it represents)

A: Uses 0.175%
B: Uses the rate as dollars
D: Uses 17.5%

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 3 of 5

Learn: Stores set return policies; "final sale" usually means no returns. In New Jersey, stores generally must post their refund policy.

A $120 jacket is "final sale." What does that usually mean?

A. It can be exchanged but not refunded, by law
B. It has a lifetime warranty
C. It must be returned within 30 days
D. It cannot be returned

CORRECT ANSWER

D. It cannot be returned

Feedback (shown after answering)

Final sale items usually cannot be returned.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Confuses sales terms with warranties
C: Reverses

Type: instruction

GO DEEPER 1 — Hidden costs · Question 4 of 5

Jamal has 3 BNPL plans with payments of $50, $75, and $40 due the same week. How much must he have ready?

A. $90
B. $115
C. $125
D. $165

CORRECT ANSWER

D. $165

Feedback (shown after answering)

$50 + $75 + $40 = $165.

Recomputed independently by the build: 165

Why each other choice is wrong (misconception it represents)

A: Leaves out the $75
B: Leaves out the $50
C: Leaves out the $40

Type: knowledge check

GO DEEPER 1 — Hidden costs · Question 5 of 5

Which question best tests whether an extended warranty is worth it?

A. Could I afford the repair myself?
B. Is the warranty price on sale today?
C. Does it cover more years than the product will last?
D. Do my friends own one?

CORRECT ANSWER

A. Could I afford the repair myself?

Feedback (shown after answering)

If you can afford repairs, a warranty is often not worth its cost.

Why each other choice is wrong (misconception it represents)

B: Focuses on the discount, not the value
C: Longer is not always better value
D: Follows others

Type: knowledge check

SET 108 · Integrated Financial Decisions

Net worth

MAIN skill: Build a net worth statement and explain how decisions change net worth over time

Outcome FL.LIFE.108 · National topic: Saving · NJSLS 9.1.12: PB, FP

Learning target: Construct a net worth statement and explain how financial choices change it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Assets and liabilities (5 questions)

Why: Net worth needs each item sorted correctly.

B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations

Why: Net worth combines positive assets and negative debts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Tracking net worth (5 questions)

Practical skills beyond the standards: Building a net worth statement

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 B, M-Q4 B, M-Q5 D, B1-Q1 C, B1-Q2 A, B1-Q3 C, B1-Q4 A, B1-Q5 C, F1-Q1 B, F1-Q2 A, F1-Q3 B, F1-Q4 B, F1-Q5 D

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 1 of 5

Learn: Net worth = assets (what you own) − liabilities (what you owe). A net worth statement lists both. It is a snapshot of financial health at one point in time.

Nia has checking $1,200, savings $3,000, a car worth $9,000, and a Roth IRA of $2,500. She owes a $6,000 car loan, an $800 credit card balance, and $5,000 in student loans. What is her net worth?

A. $3,900
B. $11,800
C. $15,700
D. $27,500

CORRECT ANSWER

A. $3,900

Feedback (shown after answering)

Assets $15,700 − liabilities $11,800 = $3,900.

Recomputed independently by the build: 3900

Why each other choice is wrong (misconception it represents)

B: Gives total liabilities only
C: Gives total assets only
D: Adds assets and liabilities

Type: instruction

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 2 of 5

Learn: Assets are things you own that have value. Liabilities are debts you owe.

Which item is a liability?

A. Money in a savings account
B. A car Nia owns
C. An unpaid credit card balance
D. Shares in an index fund she owns

CORRECT ANSWER

C. An unpaid credit card balance

Feedback (shown after answering)

Debts owed are liabilities.

Why each other choice is wrong (misconception it represents)

A: Asset
B: Asset
D: Asset

Type: instruction

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 3 of 5

Learn: Paying a debt from savings lowers an asset and a liability by the same amount, so net worth does not change at that moment, though future interest costs fall.

Nia pays $500 from savings toward her credit card balance. What happens to her net worth?

A. It falls by $500
B. It stays the same
C. It rises by $500
D. It rises by $1,000

CORRECT ANSWER

B. It stays the same

Feedback (shown after answering)

Assets −$500 and liabilities −$500 leave net worth unchanged.

Why each other choice is wrong (misconception it represents)

A: Counts only the lost savings
C: Counts only the lower debt
D: Double counts

Type: instruction

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 4 of 5

Nia's car loses $1,500 in value this year while her loan balance falls by $2,000. Ignoring everything else, how does her net worth change from the car?

A. It falls by $1,500
B. It rises by $500
C. It rises by $2,000
D. It falls by $3,500

CORRECT ANSWER

B. It rises by $500

Feedback (shown after answering)

−$1,500 in assets and −$2,000 in liabilities: net change +$500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Ignores the loan paydown
C: Ignores depreciation
D: Adds both as losses

Type: knowledge check

MAIN — Build a net worth statement and explain how decisions change net worth over time · Question 5 of 5

Why is a young adult's negative net worth not always a crisis?

A. Negative net worth means you owe nothing
B. Banks ignore net worth
C. Net worth never changes
D. Debt for education can be an investment in future income

CORRECT ANSWER

D. Debt for education can be an investment in future income

Feedback (shown after answering)

Many people start with student debt; what matters is the trend over time.

Why each other choice is wrong (misconception it represents)

A: Misreads negative
B: Misreads lending
C: Misreads net worth

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 1 of 5

An asset is...

A. Money you owe
B. A monthly bill
C. Something of value you own
D. Income earned in a month

CORRECT ANSWER

C. Something of value you own

Feedback (shown after answering)

Assets are things you own that have value.

Why each other choice is wrong (misconception it represents)

A: Liability
B: Expense
D: Confuses income with assets

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 2 of 5

Which is an asset?

A. A paid-off laptop
B. A student loan
C. A car loan
D. A medical bill owed

CORRECT ANSWER

A. A paid-off laptop

Feedback (shown after answering)

Owned items with value are assets.

Why each other choice is wrong (misconception it represents)

B: Liability
C: Liability
D: Liability

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 3 of 5

Assets $8,000 and liabilities $3,000. Net worth?

A. -$5,000
B. $3,000
C. $5,000
D. $11,000

CORRECT ANSWER

C. $5,000

Feedback (shown after answering)

$8,000 − $3,000 = $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
B: Gives liabilities
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 4 of 5

Assets $4,000 and liabilities $9,000. Net worth?

A. -$5,000
B. $4,000
C. $5,000
D. $13,000

CORRECT ANSWER

A. -$5,000

Feedback (shown after answering)

$4,000 − $9,000 = −$5,000.

Recomputed independently by the build: -5000

Why each other choice is wrong (misconception it represents)

B: Gives assets
C: Ignores the sign
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Assets and liabilities · Question 5 of 5

Which change raises net worth?

A. Adding credit card debt for gifts
B. Letting a car lose value
C. Saving part of each paycheck
D. Paying late fees

CORRECT ANSWER

C. Saving part of each paycheck

Feedback (shown after answering)

Saving adds to assets.

Why each other choice is wrong (misconception it represents)

A: Raises liabilities
B: Lowers assets
D: Lowers assets

Type: knowledge check

GO DEEPER 1 — Tracking net worth · Question 1 of 5

Nia's net worth was $3,900 last year and $7,400 this year. What is the change?

A. -$3,500
B. $3,500
C. $7,400
D. $11,300

CORRECT ANSWER

B. $3,500

Feedback (shown after answering)

$7,400 − $3,900 = $3,500.

Recomputed independently by the build: 3500

Why each other choice is wrong (misconception it represents)

A: Subtracts in the wrong order
C: Gives this year
D: Adds

Type: knowledge check

GO DEEPER 1 — Tracking net worth · Question 2 of 5

Learn: Liquidity is how easily an asset can be turned into cash without losing value.

Which asset is most liquid?

A. Money in checking
B. A car
C. A house
D. A 5-year CD at a bank

CORRECT ANSWER

A. Money in checking

Feedback (shown after answering)

Checking money is available right away.

Why each other choice is wrong (misconception it represents)

B: Must be sold
C: Hard to sell quickly
D: Penalty to withdraw

Type: instruction

GO DEEPER 1 — Tracking net worth · Question 3 of 5

Nia's Roth IRA grows from $2,500 to $2,750. What percent did it grow?

A. 9.1%
B. 10%
C. 25%
D. 250%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

$250 ÷ $2,500 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Divides by $2,750
C: Uses $250 ÷ $1,000
D: Uses dollars

Type: knowledge check

GO DEEPER 1 — Tracking net worth · Question 4 of 5

How often might Nia update her net worth statement?

A. Every minute
B. Once or twice a year
C. Only once in her life
D. Every day, to react to each change

CORRECT ANSWER

B. Once or twice a year

Feedback (shown after answering)

Regular updates show progress.

Why each other choice is wrong (misconception it represents)

A: Unnecessary
C: Misses trends
D: Overreacts to short-term changes

Type: knowledge check · practical how-to

GO DEEPER 1 — Tracking net worth · Question 5 of 5

Learn: Net worth = assets − liabilities. Buying with debt adds the item as an asset at its current market value and adds the debt as a liability.

Nia buys a $1,000 TV on a credit card. The moment she takes it home, it could resell for $800. Ignoring everything else, how does her net worth change?

A. It rises by $1,000
B. It falls by $1,000
C. It does not change
D. It falls by $200

CORRECT ANSWER

D. It falls by $200

Feedback (shown after answering)

Assets +$800, liabilities +$1,000: net worth falls $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Ignores the debt
B: Ignores the TV as an asset
C: Uses the price instead of the resale value

Type: instruction

SET 109 · Integrated Financial Decisions

Charitable giving and civic responsibility

MAIN skill: Plan charitable giving, research charities, and understand the tax treatment of donations

Outcome FL.LIFE.109 · National topic: Spending · NJSLS 9.1.12: CFR, PB

Learning target: Plan charitable giving and evaluate charities, including tax treatment of donations

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why and how people give (5 questions)
  - Why: Planning giving uses percents and knowledge of how charities work.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Giving plans are often a percent of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Giving wisely (5 questions)

Practical skills beyond the standards: Researching a charity

Content status: time-sensitive

Source: IRS (Tax Exempt Organization Search) — Lists organizations eligible to receive tax-deductible charitable contributions. https://apps.irs.gov/app/eos/

Source: IRS (Charitable contribution deductions) — Charitable contributions are deductible only to qualified organizations; itemizers deduct them on Schedule A. https://www.irs.gov/charities-non-profits/charitable-organizations/charitable-contribution-deductions

Source: New Jersey Division of Consumer Affairs (Charities Registration) — Most charities that solicit in New Jersey must register with the state, and residents can look up registration status. https://www.njconsumeraffairs.gov/charities/

Source: FTC (How to donate wisely and avoid charity scams) — Research charities before giving, be wary of pressure and payment by gift card or wire, and watch for scams after disasters. https://consumer.ftc.gov/features/how-donate-wisely-and-avoid-charity-scams

Source: IRS (Working Families Tax Cuts) — Beginning in tax year 2026, taxpayers who do not itemize can deduct up to $1,000 ($2,000 married filing jointly) of eligible cash gifts to qualified charities. https://www.irs.gov/newsroom/working-families-tax-cuts

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 C, F1-Q4 B, F1-Q5 A

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 1 of 5

Learn: Many people plan giving as part of their budget, often as a percent of income. Giving time (volunteering) and skills also counts.

Nia wants to give 5% of her $2,400 monthly take-home pay to charity. How much is that each month?

A. $12
B. $120
C. $480
D. $1,200

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$2,400 × 0.05 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
C: Uses 20%
D: Uses 50%

Type: instruction

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 2 of 5

Learn: Research charities with the IRS Tax Exempt Organization Search, the charity's own reports, and charity evaluators. In New Jersey, most charities that ask for donations must register with the Division of Consumer Affairs.

Before donating to a charity she has never heard of, what should Nia check?

A. Its registration and how it uses money
B. Only the emotional story told in its ad
C. How fast the caller wants payment
D. Whether it accepts gift cards

CORRECT ANSWER

A. Its registration and how it uses money

Feedback (shown after answering)

Confirm the charity is real and see how it spends donations.

Why each other choice is wrong (misconception it represents)

B: Easy to fake
C: Pressure is a warning sign
D: A scam sign

Type: instruction · practical how-to

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 3 of 5

After a hurricane, a stranger texts asking for donations by wire transfer to a personal account. What is this most likely?

A. A normal disaster relief method
B. A verified disaster relief charity
C. A normal fundraiser by a local group
D. A charity scam

CORRECT ANSWER

D. A charity scam

Feedback (shown after answering)

Disaster scams use urgency and hard-to-trace payments.

Why each other choice is wrong (misconception it represents)

A: Real charities do not use personal wires
B: Ignores the warning signs
C: Ignores the personal-account red flag

Type: knowledge check

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 4 of 5

Learn: Starting with tax year 2026, people who take the standard deduction can also deduct cash gifts to qualified charities: up to $1,000 for single filers or $2,000 for married couples filing jointly. Itemizers deduct gifts under the itemized rules instead. A deduction lowers taxable income; it is not a dollar-for-dollar refund.

For tax year 2026, Nia files single and takes the standard deduction. She gave $1,440 in cash to qualified charities. Using the 2026 rule for people who do not itemize, how much can she deduct for those gifts?

A. $0
B. $1,000
C. $1,440
D. $2,000

CORRECT ANSWER

B. $1,000

Feedback (shown after answering)

Her $1,440 is above the $1,000 single cap, so $1,000 is deductible.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the rule from before 2026, when non-itemizers got no charitable deduction
C: Ignores the $1,000 single-filer cap
D: Uses the married-filing-jointly cap

Type: instruction · rule as of Tax year 2026 rule for non-itemizers

MAIN — Plan charitable giving, research charities, and understand the tax treatment of donations · Question 5 of 5

Nia volunteers 4 hours a week at a food bank for 12 weeks. How many hours does she give?

A. 3
B. 16
C. 48
D. 480

CORRECT ANSWER

C. 48

Feedback (shown after answering)

4 × 12 = 48 hours.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Divides
B: Adds
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 1 of 5

A nonprofit charity…

A. Must pay owners dividends
B. Cannot pay any employees
C. Uses money for a mission, not owner profit
D. Is run by the government

CORRECT ANSWER

C. Uses money for a mission, not owner profit

Feedback (shown after answering)

Charities serve a mission.

Why each other choice is wrong (misconception it represents)

A: For-profit trait
B: Misreads nonprofits
D: Confuses nonprofits with agencies

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 2 of 5

10% of $1,800 is...

A. $18
B. $180
C. $1,620
D. $1,810

CORRECT ANSWER

B. $180

Feedback (shown after answering)

$1,800 × 0.10 = $180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives the remainder
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 3 of 5

Which is a way to give without money?

A. Volunteering time
B. Paying a utility bill
C. Buying a phone
D. Opening a CD

CORRECT ANSWER

A. Volunteering time

Feedback (shown after answering)

Time and skills are valuable gifts.

Why each other choice is wrong (misconception it represents)

B: Not giving
C: Not giving
D: Not giving

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 4 of 5

A receipt for a donation is useful because...

A. It doubles the gift
B. It makes the gift a loan
C. It cancels the donation
D. It documents the gift

CORRECT ANSWER

D. It documents the gift

Feedback (shown after answering)

Receipts record donations.

Why each other choice is wrong (misconception it represents)

A: Misreads receipts
B: Misreads receipts
C: Misreads receipts

Type: knowledge check

BACKWARD B1 · concept review — Why and how people give · Question 5 of 5

Learn: Paying taxes and giving both support the community: taxes fund public services, while charity supports causes people choose.

Taxes help pay for…

A. Private vacations
B. Public schools and roads
C. Personal phone bills for families
D. Store profits

CORRECT ANSWER

B. Public schools and roads

Feedback (shown after answering)

Taxes fund public services.

Why each other choice is wrong (misconception it represents)

A: Confuses public and private
C: Confuses public and private
D: Confuses public and private

Type: instruction

GO DEEPER 1 — Giving wisely · Question 1 of 5

Learn: Charity reports show program spending versus fundraising and administration. Program share is one measure, along with results.

Charity A spends 85% of $200,000 on programs. How much goes to programs?

A. $17,000
B. $30,000
C. $85,000
D. $170,000

CORRECT ANSWER

D. $170,000

Feedback (shown after answering)

$200,000 × 0.85 = $170,000.

Recomputed independently by the build: 170000

Why each other choice is wrong (misconception it represents)

A: Drops a zero
B: Gives the other 15%
C: Uses $100,000

Type: instruction

GO DEEPER 1 — Giving wisely · Question 2 of 5

An employer matches donations dollar for dollar up to $500. Nia gives $300. What is the total gift?

A. $300
B. $500
C. $600
D. $800

CORRECT ANSWER

C. $600

Feedback (shown after answering)

$300 + $300 match = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Ignores the match
B: Uses the cap
D: Adds the cap

Type: knowledge check

GO DEEPER 1 — Giving wisely · Question 3 of 5

Which is a sign of a trustworthy charity request?

A. Pressure to give in the next 10 minutes
B. A request for gift card codes
C. A clear mission and public financial reports
D. A thank-you note for a gift you never actually made

CORRECT ANSWER

C. A clear mission and public financial reports

Feedback (shown after answering)

Transparency is a good sign.

Why each other choice is wrong (misconception it represents)

A: Scam sign
B: Scam sign
D: Scam tactic

Type: knowledge check

GO DEEPER 1 — Giving wisely · Question 4 of 5

A deduction of $1,000 for someone in the 12% bracket saves about how much tax?

A. $12
B. $120
C. $880
D. $1,000

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$1,000 × 0.12 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Uses 1.2%
C: Gives what remains
D: Treats it as a credit

Type: knowledge check

GO DEEPER 1 — Giving wisely · Question 5 of 5

Crowdfunding for a neighbor's medical bills is usually...

A. A personal gift, not a charity deduction
B. Always tax-deductible
C. A business expense
D. A loan the neighbor must repay

CORRECT ANSWER

A. A personal gift, not a charity deduction

Feedback (shown after answering)

Gifts to individuals generally are not deductible.

Why each other choice is wrong (misconception it represents)

B: Usually not
C: Misclassifies a gift
D: Misreads giving

Type: knowledge check

SET 110 · Integrated Financial Decisions

Your first full-time job: a money plan

MAIN skill: Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement

Outcome FL.LIFE.110 · National topic: Earning Income · NJSLS 9.1.12: PB, FP

Learning target: Create a plan for a first full-time paycheck that balances benefits, savings, debt, and retirement

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Paycheck priorities (5 questions)
  - Why: A first-job plan builds on budgeting, saving, and benefits.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: A first-job plan combines percents, totals, and time to goals.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Raises and lifestyle (5 questions)

Practical skills beyond the standards: Choosing benefits at open enrollment; Getting the full employer match

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 C, M-Q4 B, M-Q5 B, B1-Q1 B, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 B, F1-Q3 D, F1-Q4 A, F1-Q5 C

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 1 of 5

Learn: An employer match is extra pay for saving. Contributing at least enough to get the full match is often a top priority.

Nia earns $40,000. Her employer matches 50% of what she contributes to her 401(k), up to 6% of pay. If she contributes 6%, how much is the match?

A. $600
B. $1,200
C. $2,400
D. $3,600

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

6% × $40,000 = $2,400; 50% match = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Uses a 3% contribution
C: Gives her own 6%
D: Adds her part and the match

Type: instruction

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 2 of 5

Which order of priorities is most often recommended for a first job?

A. Buy a new car first, then save whatever is left
B. Skip the match to pay a 3% loan faster
C. Invest everything before having any cash savings
D. Starter emergency fund, full match, high-interest debt, then more saving

CORRECT ANSWER

D. Starter emergency fund, full match, high-interest debt, then more saving

Feedback (shown after answering)

A small cushion, the free match, and high-interest debt come first.

Why each other choice is wrong (misconception it represents)

A: Adds debt first
B: Gives up free money
C: No cushion

Type: knowledge check · practical how-to

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 3 of 5

Nia's essential costs are $1,900 a month. How much is a 3-month emergency fund?

A. $1,900
B. $3,800
C. $5,700
D. $11,400

CORRECT ANSWER

C. $5,700

Feedback (shown after answering)

3 × $1,900 = $5,700.

Recomputed independently by the build: 5700

Why each other choice is wrong (misconception it represents)

A: One month
B: Two months
D: Six months

Type: knowledge check

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 4 of 5

Nia saves $250 a month toward her $5,700 goal and already has $1,200. How many months to reach it?

A. 5
B. 18
C. 23
D. 27

CORRECT ANSWER

B. 18

Feedback (shown after answering)

($5,700 − $1,200) ÷ $250 = 18 months.
Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Divides $1,200 by $250
C: Ignores what she has
D: Adds what she has

Type: knowledge check

MAIN — Set priorities for a first paycheck: benefits, emergency savings, debt, and retirement · Question 5 of 5

Learn: New hires choose benefits such as health plans, retirement contributions, and insurance within a set window.

During open enrollment at her new job, what should Nia do?

A. Ignore it; benefits are automatic and fixed
B. Compare and choose her benefits
C. Sign up for every option without reading
D. Wait until she gets sick

CORRECT ANSWER

B. Compare and choose her benefits

Feedback (shown after answering)

Open enrollment is when benefit choices are made.

Why each other choice is wrong (misconception it represents)

A: Choices must be made
C: Wastes money
D: Too late to enroll

Type: instruction · practical how-to

BACKWARD B1 · concept review — Paycheck priorities · Question 1 of 5

6% of $40,000 is...

A. $240
B. $2,400
C. $4,000
D. $24,000

CORRECT ANSWER

B. $2,400

Feedback (shown after answering)

$40,000 × 0.06 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 10%
D: Uses 60%

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 2 of 5

50% of $2,400 is...

A. $120
B. $1,200
C. $2,400
D. $4,800

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$2,400 × 0.5 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Uses 5%
C: Uses 100%
D: Doubles

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 3 of 5

An emergency fund is for…

A. Concert tickets
B. A vacation
C. Unexpected needs like a job loss
D. Daily coffee

CORRECT ANSWER

C. Unexpected needs like a job loss

Feedback (shown after answering)

Emergency funds cover unplanned necessities.

Why each other choice is wrong (misconception it represents)

A: Planned want
B: Planned want
D: Routine spending

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 4 of 5

Why is a 401(k) match valuable?

A. It must be repaid when she leaves
B. It is extra money for saving
C. It is a loan
D. It is taxed at 100%

CORRECT ANSWER

B. It is extra money for saving

Feedback (shown after answering)

A match adds to your retirement savings.

Why each other choice is wrong (misconception it represents)

A: Confuses vesting with repayment
C: Confuses a match with a loan
D: Misreads taxes

Type: knowledge check

BACKWARD B1 · concept review — Paycheck priorities · Question 5 of 5

Which debt usually should be paid off fastest?

A. A 4% student loan
B. A 0% promotional plan within its term
C. A 24% credit card
D. A 6% car loan

CORRECT ANSWER

C. A 24% credit card

Feedback (shown after answering)

Highest-rate debt costs the most.

Why each other choice is wrong (misconception it represents)

A: Lower rate
B: No interest yet
D: Lower rate

Type: knowledge check

GO DEEPER 1 — Raises and lifestyle · Question 1 of 5

Nia gets a 4% raise on $40,000. How much more per year?

A. $400
B. $1,600
C. $4,000
D. $41,600

CORRECT ANSWER

B. $1,600

Feedback (shown after answering)

$40,000 × 0.04 = $1,600.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Uses 10%
D: Gives the new salary

Type: knowledge check

GO DEEPER 1 — Raises and lifestyle · Question 2 of 5

Learn: "Lifestyle creep" is when spending rises with every raise. Saving part of each raise grows wealth while still enjoying some of it.

Nia gets a $1,600-a-year raise and sends half of it to savings. How much more does she save each month?

A. $16.00
B. $66.67
C. $133.33
D. $800.00

CORRECT ANSWER

B. $66.67

Feedback (shown after answering)

$1,600 ÷ 2 = $800 a year; ÷ 12 = $66.67.

Recomputed independently by the build: 66.67

Why each other choice is wrong (misconception it represents)

A: Uses 1% of the raise
C: Uses the whole raise
D: Gives the yearly amount

Type: instruction

GO DEEPER 1 — Raises and lifestyle · Question 3 of 5

Nia turns on a 401(k) feature that automatically raises her contribution rate by one percentage point of salary each year. What is this called?

A. Lifestyle creep
B. Dollar-cost averaging
C. A catch-up contribution
D. Automatic escalation

CORRECT ANSWER

D. Automatic escalation

Feedback (shown after answering)

Automatic escalation raises the contribution rate on a set schedule.

Why each other choice is wrong (misconception it represents)

A: Confuses rising spending with rising saving
B: Confuses with investing on a schedule
C: Confuses with extra contributions at 50+

Type: knowledge check

GO DEEPER 1 — Raises and lifestyle · Question 4 of 5

Learn: A rollover moves retirement money without taxes when done correctly. Unvested employer match money may be forfeited.

If Nia leaves her job, what can she usually do with her 401(k)?

A. Roll it into an IRA or new plan
B. Lose it all automatically
C. Cash it out with no tax
D. Give it back to the employer when she leaves

CORRECT ANSWER

A. Roll it into an IRA or new plan

Feedback (shown after answering)

Roll over to keep savings growing tax-advantaged.

Why each other choice is wrong (misconception it represents)

B: Her contributions are hers
C: Taxes and penalties may apply
D: Misreads ownership

Type: instruction

GO DEEPER 1 — Raises and lifestyle · Question 5 of 5

Nia's employer match vests over 3 years. She leaves after 1 year. What may happen to the match money?

A. It is paid to her in cash
B. Her own contributions disappear as well
C. Part or all of it may be forfeited
D. It turns into a loan

CORRECT ANSWER

C. Part or all of it may be forfeited

Feedback (shown after answering)

Unvested match can be lost; her own contributions stay hers.

Why each other choice is wrong (misconception it represents)

A: Misreads vesting
B: Her money is always hers
D: Misreads vesting

Type: knowledge check

SET 111 · Integrated Financial Decisions

Moving out: the first-apartment budget

MAIN skill: Estimate move-in costs and a monthly budget for living on your own

Outcome FL.LIFE.111 · National topic: Spending · NJSLS 9.1.12: PB, CDM

Learning target: Estimate the costs of independent living and create a sustainable monthly budget

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Upfront and monthly costs (5 questions)
  - Why: Moving out combines one-time costs with a monthly budget.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: A moving-out budget adds and subtracts many amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Making the numbers work (5 questions)

Practical skills beyond the standards: Estimating move-in cash; Writing a roommate agreement

Content status: time-sensitive

Source: New Jersey Department of Community Affairs (Truth in Renting) — New Jersey limits residential security deposits to one and one-half months' rent. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 C, B1-Q2 D, B1-Q3 B, B1-Q4 A, B1-Q5 B, F1-Q1 C, F1-Q2 B, F1-Q3 A, F1-Q4 B, F1-Q5 D

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 1 of 5

Learn: Move-in costs include the first month's rent, a security deposit (New Jersey caps it at 1.5 months' rent), moving costs, and often utility deposits and basic furniture.

Rent is $1,400. The landlord asks for the first month plus a security deposit of 1.5 months' rent, and moving costs $400. How much cash does Nia need to move in?

A. $1,800
B. $3,500
C. $3,900
D. $4,600

CORRECT ANSWER

C. $3,900

Feedback (shown after answering)

$1,400 + $2,100 + $400 = $3,900.

Recomputed independently by the build: 3900

Why each other choice is wrong (misconception it represents)

A: Leaves out the deposit
B: Leaves out moving costs
D: Uses a 2-month deposit

Type: instruction

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 2 of 5

A guideline says rent should be at most about 30% of gross income. Nia earns $54,000 a year. About what is her maximum monthly rent?

A. $1,350
B. $1,620
C. $4,500
D. $16,200

CORRECT ANSWER

A. $1,350

Feedback (shown after answering)

$54,000 ÷ 12 = $4,500; × 0.30 = $1,350.

Recomputed independently by the build: 1350

Why each other choice is wrong (misconception it represents)

B: Divides $54,000 by 12 and uses 36%
C: Gives monthly gross pay
D: Gives the yearly amount

Type: knowledge check

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 3 of 5

Nia and a roommate share a $2,100 two-bedroom plus $180 of utilities, splitting both rent and utilities equally. What is her monthly share?

A. $1,050
B. $1,140
C. $1,230
D. $2,280

CORRECT ANSWER

B. $1,140

Feedback (shown after answering)

($2,100 + $180) ÷ 2 = $1,140.

Recomputed independently by the build: 1140

Why each other choice is wrong (misconception it represents)

A: Leaves out utilities
C: Pays all utilities
D: Pays everything

Type: knowledge check

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 4 of 5

Nia's take-home pay is $3,400. Rent $1,140, utilities and internet $160, food $450, transportation $300, insurance $120, phone $50, debt payments $200. How much is left for savings and wants?

A. $980
B. $1,180
C. $2,260
D. $2,420

CORRECT ANSWER

A. $980

Feedback (shown after answering)

Expenses total $2,420; $3,400 − $2,420 = $980.
Recomputed independently by the build: 980

Why each other choice is wrong (misconception it represents)

B: Leaves out debt payments
C: Gives total expenses
D: Leaves out rent

Type: knowledge check

MAIN — Estimate move-in costs and a monthly budget for living on your own · Question 5 of 5

Which step before signing a lease protects Nia's deposit?

A. Document the apartment's condition with photos
B. Skip the walk-through to save time
C. Pay the whole deposit in cash and skip the receipt
D. Agree verbally to repairs

CORRECT ANSWER

A. Document the apartment's condition with photos

Feedback (shown after answering)

A dated condition record helps get the deposit back.

Why each other choice is wrong (misconception it represents)

B: No record
C: No proof
D: Not in writing

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Upfront and monthly costs · Question 1 of 5

1.5 × $1,200 = ?

A. $1,200
B. $1,201.50
C. $1,800
D. $2,400

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

1.5 × $1,200 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses 1
B: Adds
D: Uses 2

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 2 of 5

Which is a one-time moving-out cost?

A. Monthly rent
B. Groceries
C. Internet service bills
D. A security deposit

CORRECT ANSWER

D. A security deposit

Feedback (shown after answering)

Deposits are paid once at move-in.

Why each other choice is wrong (misconception it represents)

A: Recurring
B: Recurring
C: Recurring

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 3 of 5

30% of $4,000 is...

A. $120
B. $1,200
C. $2,800
D. $4,030

CORRECT ANSWER

B. $1,200

Feedback (shown after answering)

$4,000 × 0.30 = $1,200.

Recomputed independently by the build: 1200

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Gives the remainder
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 4 of 5

$3,000 income minus $2,250 expenses leaves...

A. $750
B. $850
C. $2,250
D. $5,250

CORRECT ANSWER

A. $750

Feedback (shown after answering)

$3,000 − $2,250 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

B: Subtracts wrong
C: Gives expenses
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Upfront and monthly costs · Question 5 of 5

Renters insurance protects...

A. The landlord's whole building
B. Your belongings and liability
C. Your car
D. Your job

CORRECT ANSWER

B. Your belongings and liability

Feedback (shown after answering)

Renters insurance covers your things and liability.

Why each other choice is wrong (misconception it represents)

A: Landlord's policy
C: Auto policy
D: Not insurance

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 1 of 5

Nia needs $3,900 to move in and can save $325 a month. How many months will it take?

A. 4
B. 10
C. 12
D. 13

CORRECT ANSWER

C. 12

Feedback (shown after answering)

$3,900 ÷ $325 = 12 months.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Divides by $975
B: Uses $390
D: Rounds up wrongly

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 2 of 5

Furniture: a bed $400, a desk $150, kitchen basics $120. Buying used saves 40%. What does she pay?

A. $268
B. $402
C. $630
D. $670

CORRECT ANSWER

B. $402

Feedback (shown after answering)

$670 × 0.60 = $402.

Recomputed independently by the build: 402

Why each other choice is wrong (misconception it represents)

A: Gives the savings
C: Subtracts $40
D: Pays full price

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 3 of 5

Utilities are $110 in fall but $190 in summer. Why budget using an average?

A. It smooths bills that change by season
B. Bills never change
C. Averages lower the bill
D. Using the lowest month keeps the budget tight

CORRECT ANSWER

A. It smooths bills that change by season

Feedback (shown after answering)

Budgeting an average and saving in low months covers high months.

Why each other choice is wrong (misconception it represents)

B: Misreads variable bills
C: Confuses budgeting with cost
D: Underbudgets high months

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 4 of 5

An apartment closer to work costs $150 more a month but saves $220 a month in commuting. What is the net monthly effect?

A. Costs $150
B. Saves $70
C. Saves $220
D. Costs $370

CORRECT ANSWER

B. Saves $70

Feedback (shown after answering)

$220 − $150 = $70 saved.

Recomputed independently by the build: 70

Why each other choice is wrong (misconception it represents)

A: Ignores commute savings
C: Ignores higher rent
D: Adds

Type: knowledge check

GO DEEPER 1 — Making the numbers work · Question 5 of 5

A roommate agreement should cover…

A. Only favorite foods
B. Nothing; it is unnecessary
C. Only the Wi-Fi password
D. Rent shares, bills, and move-out terms

CORRECT ANSWER

D. Rent shares, bills, and move-out terms

Feedback (shown after answering)

Written agreements prevent money conflicts.

Why each other choice is wrong (misconception it represents)

A: Incomplete
B: Risky
C: Incomplete

Type: knowledge check · practical how-to

SET 112 · Integrated Financial Decisions

Comparing big financial decisions

MAIN skill: Use total value, opportunity cost, and a decision matrix to compare major choices

Outcome FL.LIFE.112 · National topic: Spending · NJSLS 9.1.12: FP, PB

Learning target: Apply opportunity cost and systematic comparison to major financial decisions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Choices and tradeoffs (5 questions)
  Why: Every choice gives up an alternative.
- B2 · Math link → G6-S44-M (Grade 6 6.EE.A.2.c): Evaluate expressions and formulas for given values
  Why: Decision matrices and growth formulas are evaluated with numbers.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Thinking in totals (5 questions)

Practical skills beyond the standards: Comparing job offers by total value; Using a decision matrix

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 C, M-Q4 D, M-Q5 D, B1-Q1 C, B1-Q2 B, B1-Q3 B, B1-Q4 C, B1-Q5 C, F1-Q1 A, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 B

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 1 of 5

Learn: Compare offers by total value: salary plus benefits (match, health coverage) minus job costs (commuting, required equipment).

Job A pays $50,000 with $3,000 of yearly commuting costs and no 401(k) match. Job B pays $47,000, is remote, and matches $1,410. Comparing pay − commute + match, which is worth more?

A. Job A, by $3,000
B. They are worth the same
C. Job B, by $1,410
D. Job B, by $4,410

CORRECT ANSWER

C. Job B, by $1,410

Feedback (shown after answering)

A: $50,000 − $3,000 = $47,000. B: $47,000 + $1,410 = $48,410. B is worth $1,410 more.

Recomputed independently by the build: 1410

Why each other choice is wrong (misconception it represents)

A: Compares salaries only
B: Ignores the match
D: Adds the commute twice

Type: instruction

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 2 of 5

Learn: Opportunity cost is the value of the next-best alternative you give up.

Nia spends $4,000 on a trip instead of investing it. What is the opportunity cost of the trip?

A. The investment she gave up: $4,000 and its possible growth
B. Nothing, since she enjoyed the trip
C. Only the sales tax
D. The airline's profit

CORRECT ANSWER

A. The investment she gave up: $4,000 and its possible growth

Feedback (shown after answering)

Her next-best choice was investing the $4,000, so the opportunity cost is that investment: the $4,000 and what it might have grown to.

Why each other choice is wrong (misconception it represents)

B: Ignores alternatives
C: Too narrow
D: Not hers

Type: instruction

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 3 of 5

Learn: A decision matrix scores each option on criteria and multiplies by how much each criterion matters (its weight). Highest total wins.

In a decision matrix, Option 1 scores 4 on cost (weight 3) and 2 on fun (weight 1). What is its weighted score?

A. 6
B. 10
C. 14
D. 24

CORRECT ANSWER

C. 14

Feedback (shown after answering)

4 × 3 + 2 × 1 = 14.

Recomputed independently by the build: 14

Why each other choice is wrong (misconception it represents)

A: Ignores weights
B: Adds the weights
D: Multiplies everything

Type: instruction

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 4 of 5

$4,000 invested at 7% a year for 30 years grows to about $4,000 × 7.61. About how much is that?

A. $4,280
B. $5,200
C. $12,400
D. $30,440

CORRECT ANSWER

D. $30,440

Feedback (shown after answering)

$4,000 × 7.61 = $30,440.

Recomputed independently by the build: 30440

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses 30% growth once
C: Uses simple interest

Type: knowledge check

MAIN — Use total value, opportunity cost, and a decision matrix to compare major choices · Question 5 of 5

Which habit leads to better big decisions?

A. Deciding fast under sales pressure
B. Choosing what friends choose
C. Looking only at the monthly payment
D. Waiting a day and comparing options in writing

CORRECT ANSWER

D. Waiting a day and comparing options in writing

Feedback (shown after answering)

Time and written comparison reduce impulse decisions.

Why each other choice is wrong (misconception it represents)

A: Pressure leads to mistakes
B: Ignores your situation
C: Hides total cost

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Choices and tradeoffs · Question 1 of 5

Opportunity cost is…

A. The price tag
B. The money spent
C. The next-best option given up
D. The total of all options

CORRECT ANSWER

C. The next-best option given up

Feedback (shown after answering)

Opportunity cost is what you give up.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Confuses with price
D: Misreads the concept

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 2 of 5

5 × 2 + 3 × 1 = ?

A. 11
B. 13
C. 16
D. 30

CORRECT ANSWER

B. 13

Feedback (shown after answering)

10 + 3 = 13.

Recomputed independently by the build: 13

Why each other choice is wrong (misconception it represents)

A: Adds all
C: Multiplies (5 + 3) × 2
D: Multiplies all

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 3 of 5

Which job benefit adds employer money to your retirement savings?

A. A fancy job title
B. A 401(k) match
C. A company water bottle
D. A long commute

CORRECT ANSWER

B. A 401(k) match

Feedback (shown after answering)

A match adds employer dollars to your retirement account.

Why each other choice is wrong (misconception it represents)

A: No retirement contribution
C: Not a retirement contribution
D: A cost, not a benefit

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 4 of 5

$48,000 + $1,200 = ?

A. $46,800
B. $48,120
C. $49,200
D. $60,000

CORRECT ANSWER

C. $49,200

Feedback (shown after answering)

$48,000 + $1,200 = $49,200.

Recomputed independently by the build: 49200

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Adds $120
D: Adds wrong

Type: knowledge check

BACKWARD B1 · concept review — Choices and tradeoffs · Question 5 of 5

A tradeoff means...

A. Getting everything at once
B. A choice with no downside
C. Getting one thing by giving up another
D. A type of loan

CORRECT ANSWER

C. Getting one thing by giving up another

Feedback (shown after answering)

Tradeoffs are part of every decision.

Why each other choice is wrong (misconception it represents)

A: Misreads tradeoffs
B: Misreads tradeoffs
D: Unrelated meaning

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 1 of 5

Option 1: buy a $1,200 laptop now on a card at 24% and pay it off in 12 payments of $113.47 ($1,361.64 total). Option 2: save $100 a month and buy it in 12 months. How much does saving first avoid?

A. $161.64
B. $288.00
C. $1,200.00
D. $1,361.64

CORRECT ANSWER

A. $161.64

Feedback (shown after answering)

$1,361.64 − $1,200 = $161.64 of interest avoided.
Recomputed independently by the build: 161.64

Why each other choice is wrong (misconception it represents)

B: Uses 24% simple interest on the price
C: Gives the price
D: Gives the total

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 2 of 5

A $30 weekly takeout habit costs how much a year?

A. $120
B. $360
C. $1,560
D. $3,000

CORRECT ANSWER

C. $1,560

Feedback (shown after answering)

$30 × 52 = $1,560.

Recomputed independently by the build: 1560

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses 12 weeks
D: Uses 100 weeks

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 3 of 5

Which question best tests a big purchase?

A. What will it cost in total, and what will I give up?
B. Will it impress people?
C. Is the monthly payment low?
D. Is it on sale today?

CORRECT ANSWER

A. What will it cost in total, and what will I give up?

Feedback (shown after answering)

Total cost and opportunity cost guide good decisions.

Why each other choice is wrong (misconception it represents)

B: Social pressure, not value
C: Hides total cost
D: Discount is not total value

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 4 of 5

Option X scores 4, 3, 5 on criteria weighted 2, 1, 1. Option Y scores 3, 5, 4. Which wins?

A. Option Y, 15 to 16
B. Tie at 12
C. Option Y, 12 to 12
D. Option X, 16 to 15

CORRECT ANSWER

D. Option X, 16 to 15

Feedback (shown after answering)

X: 8 + 3 + 5 = 16. Y: 6 + 5 + 4 = 15.

Recomputed independently by the build: 16

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores weights
C: Ignores weights

Type: knowledge check

GO DEEPER 1 — Thinking in totals · Question 5 of 5

Why might a lower-paying job still be the better choice?

A. Lower pay always means more happiness at work
B. Better benefits, growth, or lower costs
C. Pay does not matter at all
D. Taxes are always zero on lower pay

CORRECT ANSWER

B. Better benefits, growth, or lower costs

Feedback (shown after answering)

Total value includes benefits, training, and costs.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
C: Overstates
D: Invents a tax rule

Type: knowledge check

SET 113 · Integrated Financial Decisions

Capstone: a financial checkup

MAIN skill: Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation

Outcome FL.LIFE.113 · National topic: Saving · NJSLS 9.1.12: PB, FP, RM

Learning target: Integrate earning, spending, saving, investing, credit, and risk decisions into one personal financial plan

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Connecting the topics (5 questions)
  - Why: A checkup uses ideas from every earlier unit.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: The checkup combines percents and differences across topics.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: A five-year plan (5 questions)

Practical skills beyond the standards: Running a personal financial checkup; Writing a five-year plan

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 B, F1-Q1 D, F1-Q2 B, F1-Q3 B, F1-Q4 B, F1-Q5 C

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 1 of 5

Learn: Once essential bills, minimum payments, and a starter emergency fund are covered, many planners suggest capturing a full employer match next, then paying down high-interest debt. Priorities depend on each person's situation.

Nia's checkup: her bills and all debt minimums are paid, she has $900 in emergency savings as a starter cushion, she carries a $2,000 credit card balance at 24%, and she has enough left each month to contribute to her 401(k) but is not getting the full match. Which step should come first?

A. Pay off the credit card before any saving
B. Spend the savings on a vacation
C. Open three new credit cards
D. Contribute enough to get the full match

CORRECT ANSWER

D. Contribute enough to get the full match

Feedback (shown after answering)

With bills, minimums, and a starter cushion covered, the match is an immediate return; then attack the 24% card.

Why each other choice is wrong (misconception it represents)

A: Gives up free match money
B: Removes her cushion
C: Adds risk

Type: instruction

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 2 of 5

Nia's credit card charges 24% APR. About how much interest builds in one month on $2,000?

A. $4
B. $24
C. $40
D. $480

CORRECT ANSWER

C. $40

Feedback (shown after answering)

24% ÷ 12 = 2% a month; 2% × $2,000 = $40.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
B: Uses 1.2%
D: Uses a year

Type: knowledge check

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 3 of 5

Which insurance is Nia, a renter with no dependents, most likely missing if she has only health and auto?

A. Renters insurance
B. Large whole life insurance
C. Flood insurance for a building she does not own
D. Mortgage insurance

CORRECT ANSWER

A. Renters insurance

Feedback (shown after answering)

Renters insurance protects her belongings and liability.

Why each other choice is wrong (misconception it represents)

B: No dependents
C: Landlord's
D: She rents

Type: knowledge check

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 4 of 5

Nia invests $200 a month in a broadly diversified, low-cost index fund. What is the best description?

A. Gambling, since every single investment is just a coin flip
B. Regular investing that can build wealth, with losses possible
C. Saving with a guaranteed 7% return
D. Borrowing, because the account charges interest

CORRECT ANSWER

B. Regular investing that can build wealth, with losses possible

Feedback (shown after answering)

Regular investing in a diversified fund can help build wealth over time, but values can fall and returns are not guaranteed.

Why each other choice is wrong (misconception it represents)

A: Confuses investing with gambling
C: Returns are not guaranteed
D: Confuses investing with debt

Type: knowledge check

MAIN — Apply banking, credit, saving, investing, insurance, and tax knowledge to one person's situation · Question 5 of 5

Nia's W-2 shows $3,600 federal tax withheld; her tax owed is $3,150. What happens when she files?

A. She owes $450
B. She gets a $3,600 refund
C. She gets a $450 refund
D. She owes $3,150 more

CORRECT ANSWER

C. She gets a $450 refund

Feedback (shown after answering)

$3,600 − $3,150 = $450 refund.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores tax owed
D: Ignores withholding

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 1 of 5

Which account is best for an emergency fund?

A. A stock fund
B. A 5-year CD
C. A high-yield savings account
D. A retirement account like a 401(k)

CORRECT ANSWER

C. A high-yield savings account

Feedback (shown after answering)

Emergency money should be safe and available.

Why each other choice is wrong (misconception it represents)

A: Can drop when needed
B: Penalty to withdraw
D: Penalties and taxes

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 2 of 5

24% ÷ 12 = ?

A. 0.5%
B. 2%
C. 12%
D. 288%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

24 ÷ 12 = 2.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Divides by 48
C: Divides by 2
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 3 of 5

Withheld $1,000, owed $800. The result is...

A. A $200 refund
B. $200 owed
C. $1,800 refund
D. $800 refund

CORRECT ANSWER

A. A $200 refund

Feedback (shown after answering)

$1,000 − $800 = $200 back.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Gives tax owed

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 4 of 5

Which builds credit history responsibly?

A. Maxing out cards
B. Missing payments
C. Opening many cards at once
D. Paying every bill on time

CORRECT ANSWER

D. Paying every bill on time

Feedback (shown after answering)

On-time payment history matters most.

Why each other choice is wrong (misconception it represents)

A: Hurts scores
B: Hurts scores
C: Hurts scores

Type: knowledge check

BACKWARD B1 · concept review — Connecting the topics · Question 5 of 5

Diversification means...

A. Buying one stock
B. Spreading money across many investments
C. Keeping cash only
D. Borrowing to invest

CORRECT ANSWER

B. Spreading money across many investments

Feedback (shown after answering)

Spreading investments lowers risk.

Why each other choice is wrong (misconception it represents)

A: Concentrated
C: Not invested
D: Leverage

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 1 of 5

Nia sets 5-year goals: emergency fund $6,000, car fund $8,000, and $15,000 invested. What is the total she plans to set aside?

A. $14,000
B. $21,000
C. $23,000
D. $29,000

CORRECT ANSWER

D. $29,000

Feedback (shown after answering)

$6,000 + $8,000 + $15,000 = $29,000.
Recomputed independently by the build: 29000

Why each other choice is wrong (misconception it represents)

A: Leaves out investing
B: Leaves out the emergency fund
C: Leaves out the car fund

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 2 of 5

Spread evenly over 60 months, about how much a month is $29,000?

A. $290.00
B. $483.33
C. $580.00
D. $2,416.67

CORRECT ANSWER

B. $483.33

Feedback (shown after answering)

$29,000 ÷ 60 ≈ $483.33.

Recomputed independently by the build: 483.33

Why each other choice is wrong (misconception it represents)

A: Uses 100 months
C: Uses 50 months
D: Uses 12 months

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 3 of 5

Nia's take-home pay is $3,400 and she can save $480 a month. What percent is that, to the nearest whole percent?

A. 7%
B. 14%
C. 48%
D. 71%

CORRECT ANSWER

B. 14%

Feedback (shown after answering)

$480 ÷ $3,400 ≈ 14%.

Recomputed independently by the build: 14

Why each other choice is wrong (misconception it represents)

A: Divides by $6,800
C: Uses dollars
D: Divides $3,400 by $4,800

Type: knowledge check

GO DEEPER 1 — A five-year plan · Question 4 of 5

Which check-in habit keeps a five-year plan on track?

A. Setting goals once and never looking at them again
B. Reviewing goals and budget every few months
C. Changing goals every day
D. Hiding statements unopened

CORRECT ANSWER

B. Reviewing goals and budget every few months

Feedback (shown after answering)

Regular reviews let you adjust the plan when life changes.

Why each other choice is wrong (misconception it represents)

A: No feedback
C: No focus
D: Avoids reality

Type: knowledge check · practical how-to

GO DEEPER 1 — A five-year plan · Question 5 of 5

Nia's five-year plan includes an emergency fund, a car fund, a Roth IRA, and a monthly budget. She loses her job in year 2. Which part of her plan helps most right away?

A. The car fund she spends on a new car
B. A new credit card
C. The emergency fund
D. Her Roth IRA earnings

CORRECT ANSWER

C. The emergency fund

Feedback (shown after answering)

Emergency savings exist for exactly this.

Why each other choice is wrong (misconception it represents)

A: Spends reserves
B: Adds debt
D: Penalties may apply

Type: knowledge check